保勝光學(6517)

- 保勝光學認為2027年營收與毛利率將呈穩健持平狀態

::投資評等::

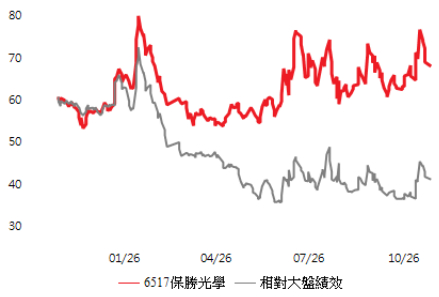
投資評等	區間持有
目標價	75.00
收盤價	68.30
隱含漲幅(%)	9.81
評價區間	27X - 30X(PER)
訪談類型	評等調整

::基本資料::

市值(億元)	20.9
月均量(張)	1,528
每股淨值(元)	21.55
PER	27.43
PBR	3.17
外資持股(%)	10.92
投信持股(%)	0.00
資使用率(%)	21.52
券使用率(%)	0.13

報告日期	評等	目標價

::近一年個股與大盤報酬率比較::



::研究員聯絡方式::

研究員	陳逸民
電子信箱	9899@entrust.com.tw

投資建議

保勝光學(6517)投資評等區間持有，目標價 75.0元；隱含報酬率9.8%，預估2027年稅後EPS 2.49元，投資建議在本益比 27~30倍區間，主要理由如下：

(1). 保勝光學聚焦 AOI、半導體應用與航太領域。

(2). 公司認為2027年營收與毛利率將呈穩健持平狀態。

(3). 部分半導體光學元件專案已通過驗證，進入小量試量產階段。

內容摘要

保勝光學聚焦 AOI、半導體應用與航太領域

保勝光學目前正處於產品組合調整的過渡期，部分新產品剛進入量產初期，良率仍有優化空間，且前期成本較高，因此短期會對毛利率造成壓力。公司仍聚焦 AOI、半導體應用與航太領域。

公司認為2027年營收與毛利率將呈穩健持平狀態

保勝光學依現有市場資訊與開發狀況，公司認為2027年營收與毛利率將呈穩健持平狀態。若新產品開發進度出現突破，公司期待營收與毛利率有上升空間。

部分半導體光學元件專案已通過驗證，進入小量試量產階段

保勝光學表示，部分半導體光學元件專案已通過知名半導體業者驗證，且已進入小批量試跑及試量產階段。由於半導體產品的驗證期較長，公司認為，若開發產品的驗證進度加快，或試量產取得突破，將成為未來額外成長來源。

:: 年度EPS預估::　　單位：億元、元

年度	營收	毛利率(%)	營益率(%)	業外收支率(%)	股本	稅前純益	稅前EPS	稅後EPS
2023	5.1	42.7	25.0	3.4	3.1	1.5	4.76	3.88
2024	5.0	40.3	20.5	7.6	3.1	1.4	4.58	3.67
2025	4.9	37.3	16.3	-3.7	3.1	0.6	2.02	1.63
2026(F)	5.0	36.9	14.2	1.5	3.1	0.8	2.56	2.19
2027(F)	5.5	37.6	15.1	0.1	3.1	0.8	2.74	2.49

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

:: 訪談內容::

公司簡介：

1. 保勝光學(6517)設立於1970年，營運總部位於台中加工出口區，主要從事光學鏡頭/片及相關零組件生產及銷售業務。公司是由德國Robert Bosch成立的台灣第一家光學公司，也是台灣最早成立的光學鏡頭專業製造公司；1986年公司由美國伊士曼柯達接手成為其子公司；2002年由台灣力邦投資公司接手經營，成為百分百台灣本土企業；2003年公司併購日本PENTAX的台灣子公司。
2. 保勝光學是國內第一家開發掃瞄器鏡頭並量產的光學廠。
3. 保勝光學在地深根近55年，目前在潭子「科技產業園區」設有3個生產基地。

產品組合：

1. 保勝光學專精於各類光學鏡片、鏡頭之研發、製造及銷售，主力產品為玻璃鏡頭及玻璃鏡片，應用範圍包含工業檢測設備、天文望遠鏡、投影機、醫療設備、視光學相關產品。
2. 2026Q2營收佔比(產品別)：鏡頭佔比 57.93%、鏡片佔比 35.20%、其他佔比 6.87%。
3. 產品組合：

產品組合

年別	2026(F)	%	2027(F)	%	%
產品別	營收	占比	營收	占比	YOY
鏡頭	2.9	57.9	3.2	58.0	10.4
鏡片	1.8	35.2	1.9	35.0	9.6
其他	0.3	6.9	0.4	7.0	12.3
合計	5.0	100.0	5.5	100.0	10.2

產品技術簡介：

1. 保勝光學承接了美、日、德三大光學技術，自德商Bosch引進中型鏡片研磨與變焦鏡頭設計製造技術，美商USPL引進大型鏡片製造技術，美商Kodak引進數位影像鏡頭與小鏡片的設計製造技術。
2. 主力產品以全玻璃鏡頭(鏡片)為主，有別於消費性市場以塑膠鏡頭為主。

產品	用途
光學鏡頭	應用於投影機、監視器、天文望遠鏡、工業檢測設備、醫療設備，以及各式變焦安全監控用途。
光學鏡片	應用於投影機、天文望遠鏡、賞鳥鏡

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

公司競爭優勢：

1. 聚焦利基市場取得優勢地位：

-以玻璃元件、大口徑高階應用產品為主力市場。

-從傳統光學跨入高科技工業設備領域。

2. 具備高度客製化研發實力：

-逾50年產業經驗。

-具備光學設計、機構設計及生產能力。

3. 提供專業質優一站式服務：

-擁有完整自主產線，有利提高新產品開發效能。

-經驗豐富之技術人力。

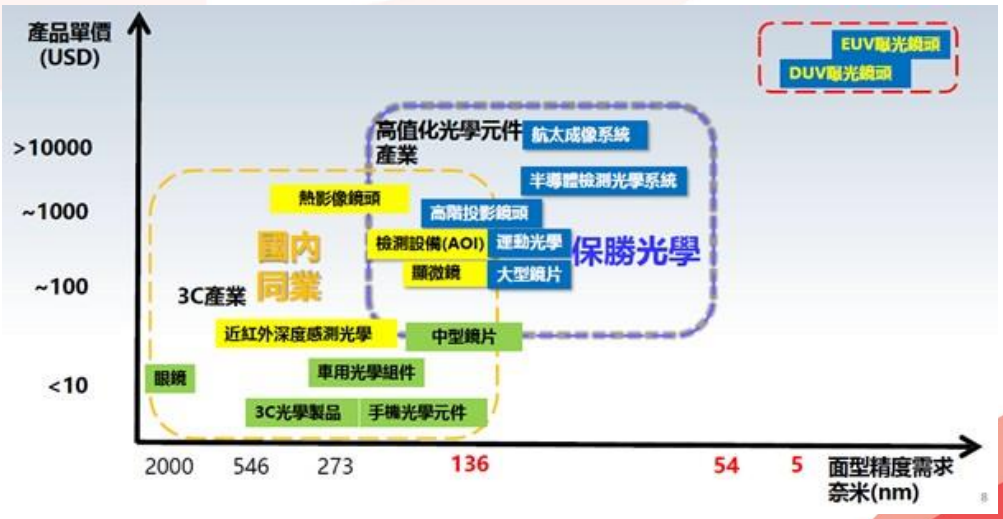
4. -擁有核心之光機設計及製程關鍵技術。

光學產業鏈上中下游關係：

1. 保勝光學產業定位：位於光學產業中游位置。

公司市場定位及同業比較：

1. 保勝光學產品定位：高價高階光學產品。



本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

營運現況：

1. 保勝光學(6517) 2026年9月營收 0.34億元，月增率 -26.96%，年增率 26.54%，累計2026年前9月營收為 3.55億元，年增率 2.22%。
2. 2026年第二季營收 1.12億元，季增率 7.48%，年增率 -16.28%。毛利率 38.8%。營益率 16.3%。業外率 2.28%。稅後淨利率 16.1%。EPS 0.59元。

未來展望：

1. 目前保勝光學(6517) 正處於產品組合調整的過渡期。部分新產品剛進入量產初期，良率仍有優化空間，且前期成本較高，因此短期會對毛利率造成壓力。
2. 保勝光學表示，新產品也有助於開拓潛在市場，公司仍聚焦 AOI、半導體應用與航太領域。
3. 非球面產品效益：含非球面鏡片的模組，在議價與設計競標上有較大優勢。由於同一模組通常同時使用非球面與球面鏡片，無法明確拆分非球面產品營收；但公司表示，使用非球面的模組，其單價與毛利率一定優於未使用非球面的產品。
4. 2026年下半年訂單：保勝光學表示，運動光學、投影、AOI、半導體及國防航太等仍是營收占比較高的產品市場。2026年下半年發展預期穩定持續，佔比與過往紀錄不會有太大差異。
5. 公司累積55年光學製造經驗，擁有標準片庫、鏡頭設計資料庫、完整QA與檢測能力，也具備光機電整合能力及研發團隊，可與客戶共同開發產品並提供完整光學方案。

產業轉型：半導體與航太布局

1. 產業轉型：公司希望藉由精度提升，逐步擴大工業型產品應用，降低對高度競爭消費型市場的依賴，並擴展至半導體檢測、半導體製造裝置及太空科學等高階科技領域。
2. 公司聚焦利基市場，提供從設計到製作的一站式服務。保勝光學表示，EUV 是公司未來發展目標，隨著光學表面精度持續提高，最終會朝該方向發展。
3. 半導體與航太布局：驗證及小批量試產進行中。

   (a). 公司表示，部分半導體光學元件專案已通過知名半導體業者驗證，且已進入小批量試跑及試量產階段。但因客戶簽署 NDA，無法揭露具體專案與營收貢獻。

   (b). 半導體產品的驗證期較長。公司認為，若開發產品的驗證進度加快，或試量產取得突破，將成為未來額外成長來源。

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

::表 季EPS回顧(單位：億元)::

項目	2026Q2	QoQ	YoY	華南預估	差異(%)	市場同業	差異(%)	原因簡述
營業收入	1.1	7.6	-16.3				--	
營業毛利	0.4	25.7	-12.0				--	
營業利益	0.2	100.0	-43.8				--	
稅前純益	0.2	0.0	--				--	
稅後純益	0.2	12.5	--				--	
稅後EPS	0.59	13.5	--				--	
毛利率	38.8						--	
營益率	16.3						--	
稅後淨利率	16.1						--	

資料來源：公開資訊觀測站、CMoney、華南投顧整理

::表 獲利預估修正(單位：億元)::

年度	2025	2026(F)			
項目	實際	原估	新估	差異(%)	修正理由簡述
營業收入	4.9	--	5.0	--	
營業毛利	1.8	--	1.8	--	
營業利益	0.8	--	0.7	--	
稅後純益	0.5	--	0.7	--	
稅後EPS	1.63	--	2.19	--	
毛利率	37.3	--	36.9	--	
營益率	16.3	--	14.2	--	
稅後淨利率	10.1	--	14.3	--	

資料來源：CMoney、華南投顧整理

::表 股利概況::

年度	現金股利(元)	股票股利(元)	現金股利殖利率(%)	平均填息天數	平均填權天數
2018	--	--	--	--	--
2019	0.00	0.00	0.00	--	--
2020	0.00	0.00	0.00	--	--
2021	0.50	0.00	1.78	--	--
2022	1.20	0.00	1.33	82	--
2023	1.50	0.00	2.11	34	--
2024	1.50	0.00	2.12	3	--
2025	1.50	0.00	2.23	16	--

資料來源：CMoney、華南投顧整理

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

::各季EPS預估::

單位：億元、元

年季	營收	毛利率(%)	營益率(%)	業外收支率(%)	股本	稅前純益	稅前EPS	稅後EPS
202601	1.1	33.2	8.8	11.5	3.1	0.2	0.70	0.52
202602	1.1	38.8	16.3	2.3	3.1	0.2	0.68	0.59
202603(F)	1.4	37.5	15.2	-2.4	3.1	0.2	0.58	0.53
202604(F)	1.5	37.5	15.4	-2.7	3.1	0.2	0.60	0.55
202701(F)	1.3	37.3	14.8	0.7	3.1	0.2	0.68	0.62
202702(F)	1.3	37.0	14.2	1.6	3.1	0.2	0.67	0.61
202703(F)	1.3	37.3	14.7	0.8	3.1	0.2	0.68	0.62
202704(F)	1.5	38.6	16.5	-2.3	3.1	0.2	0.72	0.65

::單月營收概況及預估::

單位：億元

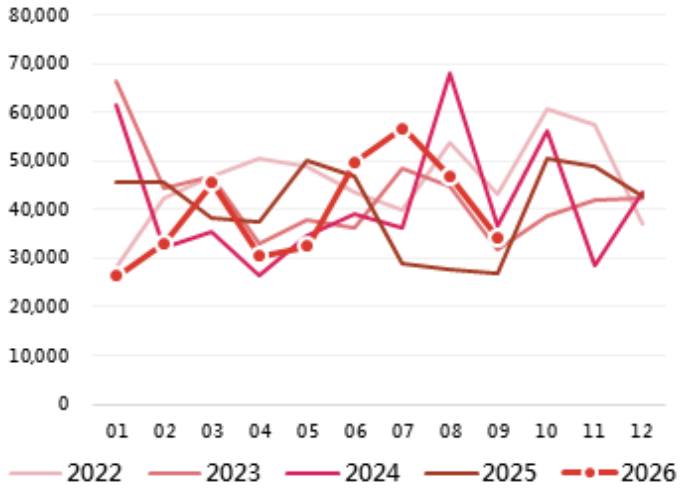
年\月	一	二	三	四	五	六	七	八	九	十	十一	十二
2025	0.5	0.5	0.4	0.4	0.5	0.5	0.3	0.3	0.3	0.5	0.5	0.4
2026	0.3	0.3	0.5	0.3	0.3	0.5	0.6	0.5	0.3	0.5	0.4	0.5
MOM	-38.5	25.6	37.9	-33.1	6.6	53.4	13.9	-17.4	-27.0	56.2	-17.8	7.6
YOY	-42.2	-27.7	19.3	-18.7	-35.4	6.1	95.0	70.1	26.5	5.4	-10.5	10.5
2025	1.3			1.3			0.8			1.4		
2026	1.0			1.1			1.4			1.4		
QOQ	-26.4			7.5			22.2			5.0		
YOY	-18.9			-16.3			64.7			1.5		

::財務資料::

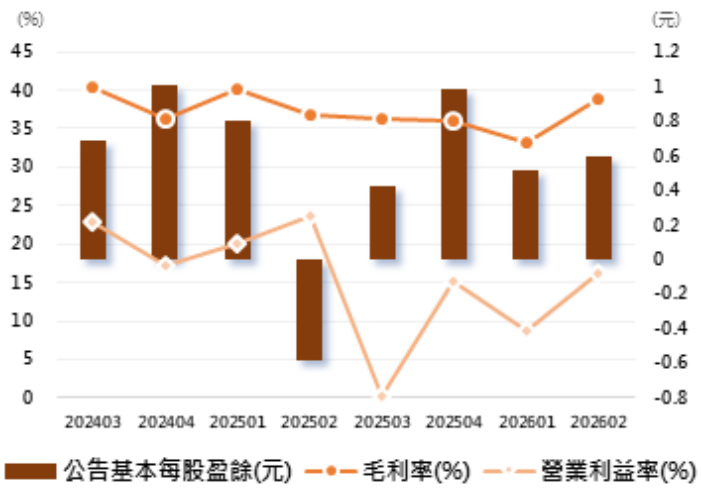
年季度	負債比率(%)	流動比率(%)	速動比率(%)	應收帳款週轉天數	存貨週轉天數	營業費用率(%)	每股營業現金流量	資產報酬率(%)	股東權益報酬率(%)
202403	15.1	635.3	497.1	65.1	133.4	17.4	0.4	2.7	3.4
202404	15.0	644.6	529.9	66.7	127.3	19.0	2.5	4.0	4.7
202501	20.4	443.7	373.2	71.2	122.1	20.0	0.3	3.1	3.7
202502	20.2	441.1	370.8	76.5	105.1	13.0	-0.4	-2.2	-2.8
202503	13.7	702.4	561.8	101.4	178.1	36.0	0.9	1.7	2.0
202504	13.8	704.6	607.9	57.7	97.7	20.8	1.7	4.0	4.6
202601	19.8	479.9	416.9	85.0	108.1	24.4	1.5	2.0	2.4
202602	19.7	486.6	416.9	75.9	117.6	22.5	0.4	2.2	2.8

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

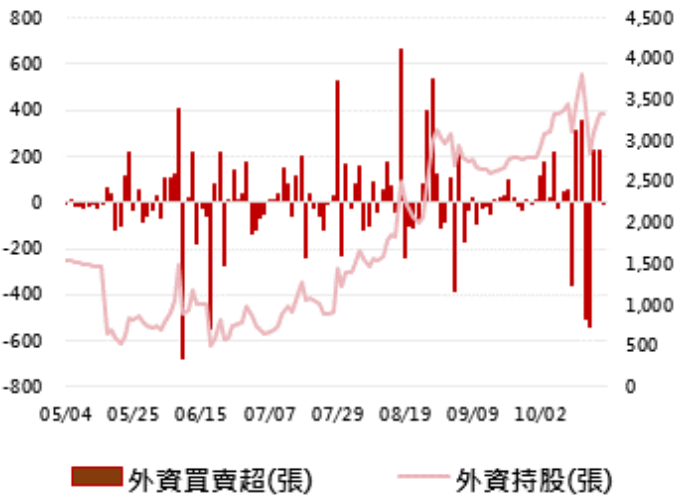
近五年營收走勢(單位：千元)



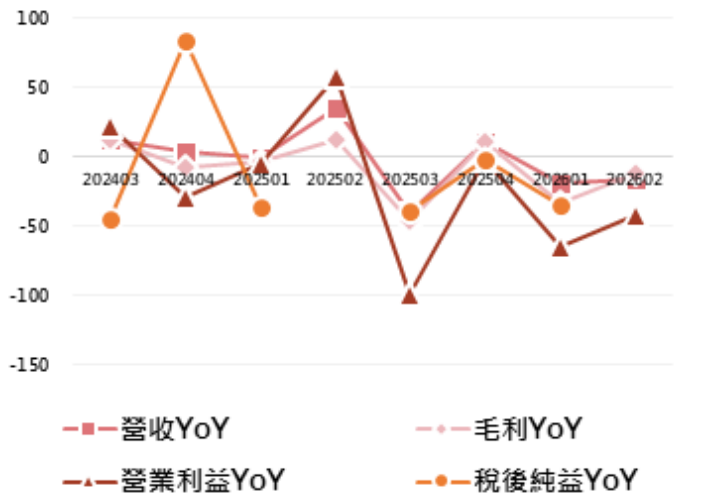
毛利率、營益率、EPS走勢(%，元)



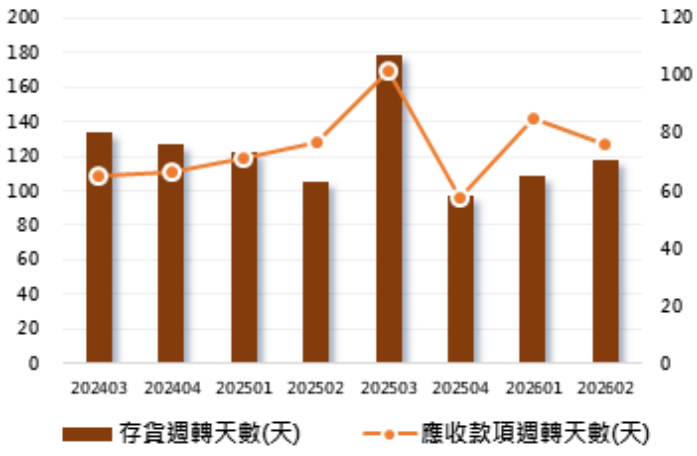
外資買賣超(張)、外資持股(張)



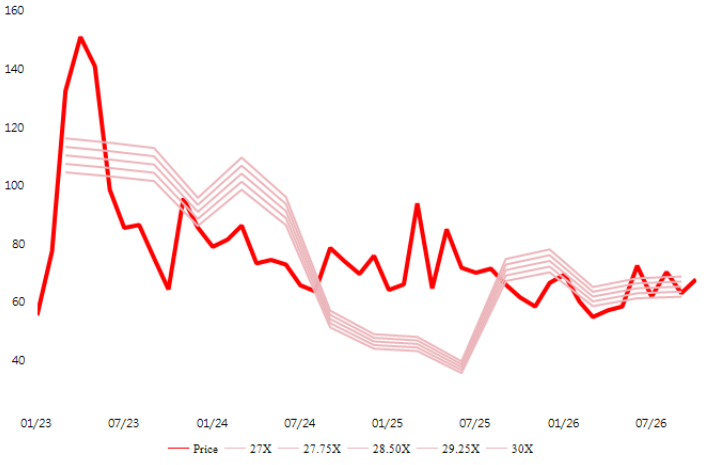
營運狀況年增率



存貨及A/R週轉天數



歷史PE區間



本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

個股投資建議與目標價三年歷史趨勢：

:: 個股投資建議與目標價::

編號	發佈日期	收盤價(元)	目標價(元)	投資評等	研究員
1	20261028	68.30	75.00	區間持有	陳逸民

::評等定義::

投資評等	定義
強力買進	未來一季報酬預期有25%以上空間
買進	未來一季報酬預期有10~25%空間
區間持有	未來一季報酬預期有0~10%空間
中立	未來一季報酬預期空間<0%

::免責宣言::

本項研究報告僅提供本公司會員參酌，且純粹屬於研究性質，並不保證報告內容的完整性與精確性，亦完全無意影響客戶買賣股票的任何投資決定。報告中的各項意見與預測，是得自於本公司信任為可靠的來源，受到特定的判斷日期之時效性限制，若嗣後有任何變動，本公司不做預告，也不會主動更新。投資人做任何決策時，必須自行謹慎評估相關風險，並就投資的結果自行負責。本研究報告的著作權為華南投顧所有，嚴禁抄襲、引用、對外傳送或轉載。

本資料之內容，本公司已力求其正確性，惟純屬研究性質，投資人應審慎考量投資風險，本公司不負任何法律責任。本圖文非經同意請勿轉載，版權所有，翻印必究。

2026/10/28

電子零組件

金運(5235 TT)　法說/座談摘要

鄭子凡
Jasmin.cheng@ctbcsis.com

金運搶進 AI 液冷與 AIDC，大啖資料中心商機

- **金運深耕 EMS 與 AI 熱管理，打造 AIDC 系統整合生態系**
- **CDU 產品線跨 12kW 至 2.5MW，滿足高密度散熱布局**
- **1H26 營收大幅成長，海外市場布局蓄勢待發**

一、 公司簡介

- 金運(Kentec)為廣運(6125)旗下子公司，以電子製造服務(EMS)為核心，業務涵蓋電路板組裝、系統整合及功能測試，應用領域包括網通、工業電腦、車用電子及醫療電子等。隨著 AI 伺服器功耗提升、液冷散熱需求擴大，金運亦積極布局先進熱管理業務，產品涵蓋冷板(Cold Plate)、冷卻液分配裝置(CDU)及相關液冷模組，拓展 AI 伺服器液冷供應鏈商機。
- 資本額為新台幣 6.6 億元。
- 營運據點:台北南港、瑞芳、平鎮、美國德州。
- 金運三大核心整合: 液冷散熱(CDU、水冷板、管路工程等)、AIDC & 系統整合(電力、冷卻系統、網路、消防等)、EMS(EMS、CDU、貨櫃型 AIDC、供應商管理等)。
- 核心競爭力: 數位孿生設計、電子代工服務、CDU 設計生產、AIDC 工程&系統整合、水冷板(CPU、GPU、ASIC)。
- 公司目前具備 14 項發明專利與 13 項新型專利。

圖表一、金運歷史沿革

資料來源:金運、中信投顧整理

圖表二、金運前十大股東(截至 115 年 8 月 25 日)

主要股東名稱	持有股數	持股比例
廣運機械工程(股)公司	47,252,152	71.59%
太極能源科技(股)公司	2,293,885	3.48%
大同股份有限公司	2,000,000	3.03%
王開炫	1,374,499	2.08%
范光松	592,239	0.90%
聯嘉國際投資(股)公司	548,275	0.83%
郭丁賀	533,000	0.81%
謝清福	506,018	0.77%
兆豐國際商業銀行	490,740	0.74%
黃飛榮	451,000	0.68%

資料來源:金運、中信投顧整理

二、CDU 產品特色

- 金運目前 4U 的產品即可做到 300KW 等級產品，可節省伺服器 15~20%的空間。
- 金運目前 2,500KW CDU，密度相對其他三家公司小，且解熱密度最高。

圖表三、金運主要產品介紹

資料來源:金運、中信投顧整理

- 資料中心客戶對液冷系統的漏水與過熱風險仍存有疑慮，因此公司建立 ECO System，整合 AIDC 相關系統與供應鏈資源，提供更完整的解決方案。金運具備 AIDC 生態系布局，並扮演系統整合商(SIP)的角色，串聯伺服器廠、客戶及供應商，藉由整合上下游資源，降低客戶導入液冷系統的疑慮，並提升整體解決方案的競爭力。

圖表四、金運主要產品介紹

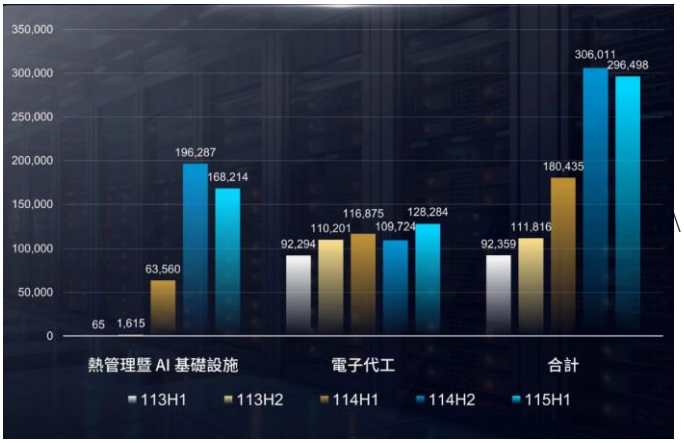
資料來源:金運、中信投顧整理

- 金運透過模組化設計，整合資料中心所需的電力、散熱及相關基礎設施，提供一站式整合解決方案，將傳統建置流程轉為標準化、模組化部署，最快可於 180 天內完成建置並投入運作，有助縮短建置週期、降低系統整合複雜度，並加速客戶算力部署與營運時程。
- 金運結合數位孿生(Digital Twin)與熱流模擬技術，於 AIDC 建置前進行系統層級的熱管理與運作模擬，提前識別潛在風險、優化散熱配置，降低過熱與系統異常發生機率，進一步提升資料中心整體運作的可靠性與穩定性。

三、 財務近況

- 1H26 營收 1.68 億元，相較去年同期成長 165%。
- 公司過去研發與業務前期投資開發大，隨著產品被驗證與出貨規模擴大，將逐步改善獲利表現。

圖表五、金運產品組合



資料來源:金運、中信投顧整理

四、 商業模式

- 產品收入→系統整合收入→全生命週期服務。

圖表六、服務範圍延伸至系統與基礎設施

資料來源:金運、中信投顧整理

五、經營策略

- 持續提升價值鏈:從零件設備供應商到 AI 基礎建設解決方案。
- 貨櫃型數據中心:2027~2030 年 AIDC 市場趨勢: AI 基礎設施進入高速成長期，水冷將成為高密度算力的核心配置。
- 全球布局與在地化: 台灣研發，製造與工程設計為核心;全球化(在地化):透過在地夥伴切入全球 AIDC 市場。

六、未來展望

- AI 算力快速成長帶動水冷需求，液冷從選配變成 AIDC 的標配。
- 逐步邁向高附加價值產品。

七、Q&A

- 海外市場如何變成公司主要的成長動能?

A. 金運積極拓展海外市場，2025 年至 2026 年主要聚焦市場開發與技術交流，下半年已逐步進入方案設計階段，布局涵蓋日本北海道、仙台、九州，以及泰國、馬來西亞等地，其中泰國與馬來西亞已開始貢獻營收。美國市場則已啟動合作夥伴建置，尤其北卡羅來納州電力需求強勁、變壓器供應短缺，金運可結合大同的電力設備產能與相關服務，切入當地資料中心電力基礎設施需求。此外，金運亦與阿伯羅等業者合作，服務範圍涵蓋新竹、苗栗及桃園等地，相關海外布局與合作案預期自 2027 年起逐步展現成果。

- 公司液冷產品與市場既有產品差異化優勢為何?

A. 目前 2.5MW CDU 已開始出貨，3.5MW CDU 則進入驗證階段。隨著 AI 晶片功耗持續提升，整體系統發熱量同步增加，客戶除關注散熱效能外，也更加重視資料中心的整體建置成本。金運將持續配合

客戶需求推進方案設計與部署，並與大同合作電力設備與相關服務，提供從設備供應到系統建置的整合服務。

透過實際參與專案設計、建置及運轉調適，公司得以從系統層級掌握設備整合與運作需求，建立單一零組件供應商較難具備的整體視角。除 CDU 外，公司亦持續開發水冷板與 CDM 等產品，未來有望進一步整合散熱設備與系統設計能力，提供更完整的一站式液冷解決方案。

- 三年內希望公司可以達到什麼樣子的目標?

A. Vertiv 目前已是國際主要大廠，公司期望透過登錄興櫃，進一步提升品牌國際知名度與市場能見度，加速與國際客戶接軌，並拓展海外市場及合作機會。

2026/10/28

投資評等說明

個股評等	Rating	定義
買進	Buy (B)	相較於市場指數之回報潛力極具吸引力
增加持股	Overweight (OW)	相較於市場指數之回報潛力略有吸引力
中立	Neutral (N)	相較於市場指數之回報潛力相似
降低持股	Underweight (UW)	相較於市場指數之回報潛力稍低
賣出	Sell (S)	相較於市場指數之回報潛力較低
未評等	Not Rated (NR)	

免責聲明

【中國信託證券投資顧問股份有限公司獨立經營管理】

本報告係本公司於特定日期就現有資訊所提出，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，本公司將不做預告或更新；而且本報告並非依特定投資目的或特定對象之財務狀況所完成，因此，本報告之目的並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務，亦非進行交易之要約。本公司出具之短、中、長期策略性報告所做出之投資分析與建議，亦可能會隨市場波動隨時調整，而與個股研究報告之意見未必一致。投資人應自行考量本身之需求、投資風險及承受度，並就投資結果自行負責，本公司不做任何獲利保證，亦不就投資盈虧負擔任何法律責任。非經本公司同意，任何人不得將本報告加以引用或轉載。

中國信託金融控股(股)公司旗下子公司暨關係企業（以下稱"中信金集團"）從事廣泛金融業務，包括但不限於包括但不限於銀行、信託、證券經紀、證券承銷、保險、證券投資信託、全權委託投資、自有資金投資等。中信金集團對於本報告所涵蓋之標的公司可能有投資或其他的業務往來關係。中信金集團及其所屬員工，可能會投資本報告所涵蓋之標的公司，或以該等公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的交易方向可能不一致。中信金集團於法令許可的範圍內，亦有可能以本報告所涵蓋之標的公司作為發行衍生性金融商品之標的。中信金集團轄下的銷售人員、交易員及其他業務人員可能會為他們客戶或自營部門提供口頭或書面的市場看法或交易策略，然該等看法與策略可能與本報告的意見不盡一致。中信金集團之自營、資產管理及其他投資業務所做之投資決策也可能與本報告所做的建議或看法不一致。

中國信託證券投資顧問股份有限公司
台北市南港區經貿二路 188 號 5 樓及 18 樓 / (02) 5569-1988
營業執照字號：114 金管投顧新字第 014 號

兆豐投顧 Mega Investment

記憶體產業專題

記憶體需求不止

電子產業組 王穎

2026年10月27日

簡報大綱

- AI需求延續打破循環
- 推論需求擴大，帶動儲存市場規模提升
- 推薦個股

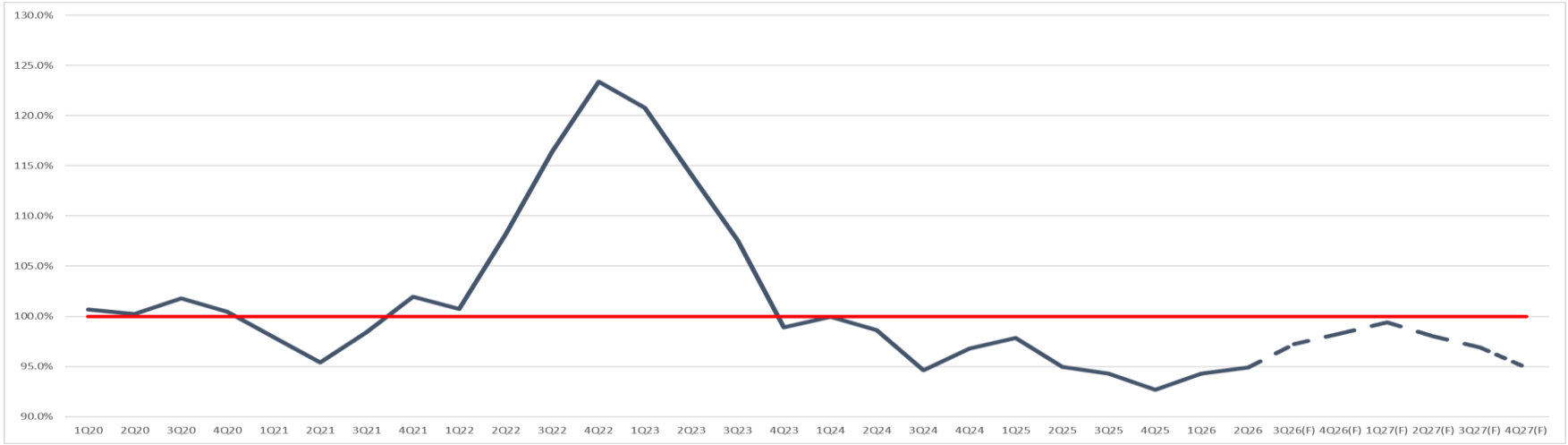
結論

- 記憶體產業歷經庫存調整與價格下修後，走出谷底進入上升週期。
- AI 應用快速擴展下HBM、DDR5產能持續緊俏，供不應求走勢延續。
- 全球伺服器市場及AI推論需求擴大，帶動儲存市場規模擴大
- 推薦個股：南亞科(2408)、華邦電(2344)、群聯(8299)、宜鼎(5289)。

受AI爆炸性成長打破循環

- **DRAM市場過往約每3～4年形成一個完整供需週期。隨AI需求爆炸性成長，三大原廠相繼EOL舊世代產品轉向全力生產高階產品導致排擠，因此導致價格直線式飆升，當價格上漲至一定程度時，消費性產品轉嫁能力有限導致需求減少，然而AI需求仍維持強勁導致供給無法滿足需求，預期至2027年仍維持供不應求態勢。**

DRAM 供需比

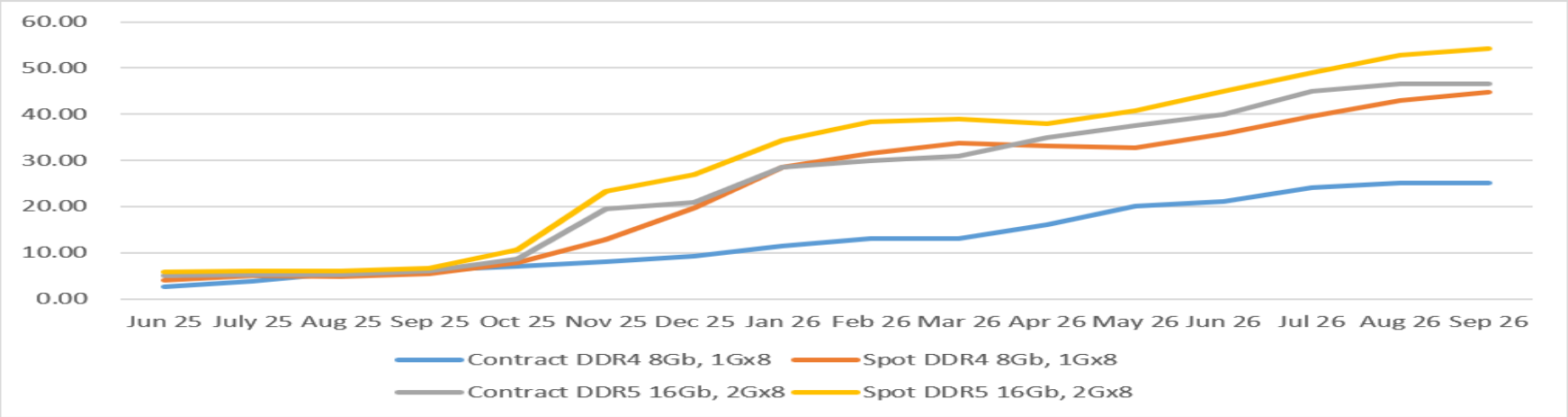


資料來源：Trendforce，兆豐投顧整理

預期DRAM價格維持高檔

- **DRAM 市場在 2025 年下半年迎來顯著的價格攀升，2026年全年DDR4、DDR5價格持續走高，AI持續爆炸性成長之下，持續搶佔記憶體顆粒產品，雖消費性產品已開始面臨價格轉嫁困境導致拉貨力道減弱，但記憶體顆粒廠商仍無法滿足AI需求，因此預期記憶體價格將維持高檔，然LTA比例提高預期漲價幅度將逐步放緩。**

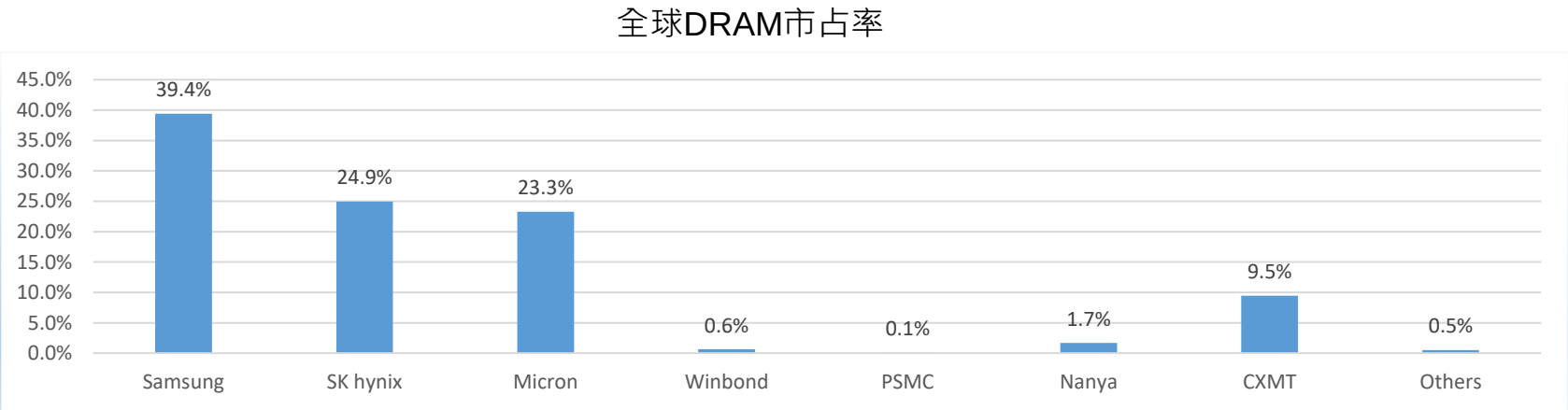
DRAM價格走勢



資料來源：Trendforce，兆豐投顧彙整

全球 DRAM 市場高度集中

- **全球DRAM市場佔有率中，Samsung 以 39.4% 穩居龍頭寶座，SK hynix 以 24.9% 位居第二，Micron 則以 23.3% 名列第三，三大巨頭合計掌控近九成份額；與此同時，排名第四的長鑫存儲（CXMT）市佔率持續快速攀升至 9.5%，進一步壓縮其他廠商空間，而南亞科（Nanya）、華邦電（Winbond）與力積電（PSMC）則分別以 1.7%、0.6% 與 0.1% 的市佔率分列第五至第七名。**

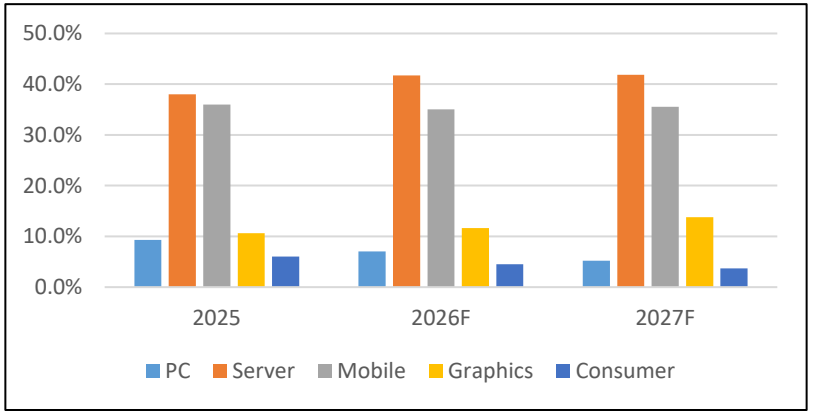


資料來源： Trendforce、兆豐投顧整理

Server帶動需求維持強勁

- **受記憶體價格上漲衝擊，PC 與手機等消費性終端產品需求受到壓抑，2026 年至 2027 年出貨量預估持續呈現負成長，然而伺服器強勁出貨動能帶動下，2026、2027年出貨量年增率分別達達 13% 與 17%，伺服器佔整體記憶體用量比重持續攀升逾40%，龐大的運算需求有效填補並推升用量缺口，促使整體DRAM市場維持供不應求的緊俏態勢。**

記憶體終端佔比



終端出貨數量(單位kpcs)

	2025	2026F	2027F	2027F YoY
DT	61,142	54,491	53,976	-1%
NB	184,840	167,482	161,750	-3%
PC	245,982	221,973	215,726	-3%
Server	20,121	22,745	26,627	17%
Graphics	292,522	294,799	295,672	0%
Handsets	1,444,848	1,226,758	1,139,397	-7%

資料來源： Trendforce、兆豐投顧整理

HBM持續升級

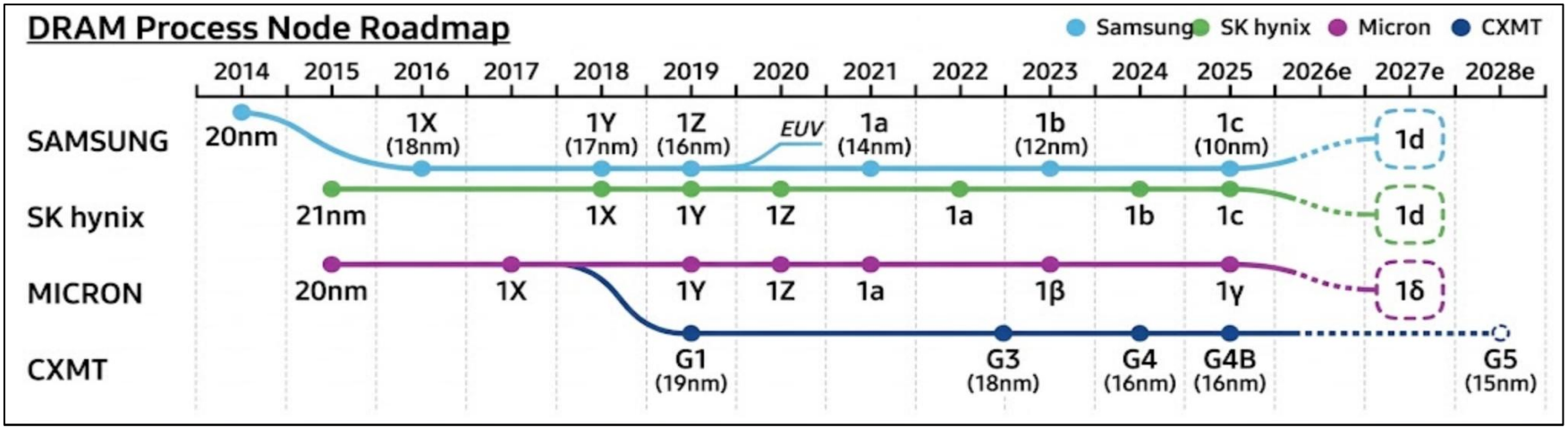
品牌	產品名稱	HBM 規格	HBM 堆疊 (Stacks)	HBM 總容量 (GB)
NVIDIA	H100	HBM3 8hi	5	80
	H200	HBM3E 8hi	6	141
	B200	HBM3E 8hi	8	192
	GB200	HBM3E 8hi	8	192
	GB300	HBM3E 8hi	8	192
	VR200 (Rubin)	HBM4 8hi	8	192
	VR300(Rubin Ultra)	HBM4 8hi	8	192
AMD	MI300X	HBM3 12hi	8	192
	MI325X	HBM3E 12hi	8	256 / 288
	MI350	HBM3E 12hi	8	288
	MI400	HBM4 12hi	8 / 12	384 / 432
Google	TPU v6e	HBM3E 8hi	1 / 4	32
	TPU v7p	HBM3E 8hi	8	192
	TPU v8e	HBM3E 12hi	6	216
	TPU v8p	HBM3E 12hi	8	288
	TPU v9 (Humufish)	HBM4 12hi / 16hi	8	288 / 384
	TPU v9 (Triggerfish)	HBM4E 16hi	8	384 / 512
AWS	Inferentia2	HBM2E 8hi	2	32
	Trainium	HBM2E 8hi	2	32
	Trainium2	HBM3E 8hi	4	96
	Trainium3	HBM3E 12hi	4	144
	Trainium4	HBM4 12hi	6 ~ 8	288 ~ 384

資料來源：兆豐投顧整理

記憶體製程持續推進

- 記憶體廠商持續推進微縮製程，核心目的在於縮小晶片面積以增加每片晶圓的晶片產出量、顯著降低每單位容量的生產成本，並同時實現更高儲存容量、更快傳輸速度與更低功耗，以搶佔 AI 與新世代伺服器等高階市場的競爭優勢。

DRAM Process Node Roadmap



資料來源： 兆豐投顧整理

打破記憶體牆（Memory Wall）

- **AI 大型語言模型（LLM）參數持續擴大下，GPU 運算核心的算力成長遠快於記憶體存取速度，單純靠提高傳輸頻率來擴展頻寬已面臨物理瓶頸，因此，HBM4 選擇將 I/O 匯流排寬度從行之已久的 1,024-bit 翻倍至 2,048-bit，將顯著提升算力利用率。並且HBM3E消耗3倍的DDR5晶圓。HBM4消耗3.5倍，HBM4E會消耗5倍的DDR5晶圓，HBM持續迭代下將會消耗更多記憶體晶圓。**

HBM製程進度

	HBM (2015)	HBM2 (2018)	HBM2E (2020)	HBM3 (2022)	HBM3E (2024)	HBM4 (2026)	HBM4E (*2028)
Data Rate	2 Gbps	2.4 Gbps	3.6 Gbps	6.4 Gbps	8 Gbps	8 Gbps	10 Gbps
# of I/O	1,024					2,048	
Bandwidth	256 GB/s	307 GB/s	461 GB/s	819 GB/s	1.0 TB/s	2.0 TB/s	2.5 TB/s
Capacity/die	8 Gb		16 Gb		24 Gb		32 Gb
# of stack die	4/8-Hi			8/12-Hi		12/16-Hi	
Capacity/HBM	4/8 GB		8/16 GB	16/24 GB	24/36 GB	36/48 GB	48/64 GB
Power/HBM	4 W	10 W	19 W	25 W	32 W	43 / 75 W	48 / 80 W
Cooling Method	Thermo-Electric Cooling (TEC) w/ Heatsink		Direct-to-Chip (D2C) Liquid Cooling				

資料來源：KAIST TERALAB、兆豐投顧整理

DRAM原廠擴產有限

- **原廠於2027年擴產力道有限，而AI Server 搭載的 HBM結構複雜，生產過程將大量消耗先進製程產能，同時NVIDIA新型伺服器搭載大量LPDDR5，預計將占盡高階產能將近 70%。在總體產能擴張受限且 HBM 消耗量極大的雙重壓力下，傳統 DRAM 的供給空間將被進一步擠壓，這將支撐高階記憶體市場的價格韌性，並促使產能轉向更高毛利的 AI 相關應用。**

DRAM原廠產能　　單位:月/K

	24Q1	24Q2	24Q3	24Q4	25Q1	25Q2	25Q3	25Q4	26Q1	26Q2	26Q3	26Q4(F)	27Q1(F)	27Q2(F)	27Q3(F)	27Q4(F)
Samsung	535	600	650	670	645	645	655	650	640	670	720	750	805	815	835	855
SK hynix	368	380	435	480	500	515	530	545	565	585	605	615	635	655	665	695
Micron	320	310	310	315	320	330	340	340	345	360	375	385	395	403	425	440
Nanya	53	57	58	54	53	56	60	62	63	65	65	65	65	65	70	75
PSMC	36	38	42	40	39	40	44	45	45	45	45	45	45	45	45	45
Winbond	24	24	25	24	23	24	24	24	24	24	23	27	29	31	31	31
JHICC	10	10	10	10	12	16	20	20	23	25	31	35	40	43	45	45
CXMT	140	155	185	210	230	260	270	280	290	300	300	300	320	340	350	360
Total	1486	1574	1715	1803	1822	1886	1943	1966	1995	2074	2164	2222	2334	2397	2466	2546

資料來源： Trendforce、兆豐投顧整理

AI Server消耗大量DRAM產能

- 2027 年AI 晶片對 HBM的需求量不斷攀升，進而大量消耗記憶體原廠產能。由於單顆 GPU 搭載的 HBM 容量不斷攀升，加上 HBM 的層數增加與生產良率限制，使得每生產一組 AI 系統就需要投入極高比例的晶圓產能，尤其RUBIN及TPU系列之伺服器需求龐大。
- 原預估AI Server所消耗原廠DRAM高階產能達近70%，然產能不足導致NVIDIA採取降規，預估達高階產能約50%。

	Vera Rubin 2026(F)	HGX R200 2027(F)	Vera Rubin 2027(F)	Rubin ultra 2027(F)	Google TPU	Tranium 3	MI440x/450x
單顆GPU HBM(GB)	288	288	192	192	192	144	288
單櫃GPU HBM(GB)	20736	2304	13824	27648	12288	9216	20736
預估出貨櫃數(K)	26.3	369.6	65	5.2	140.0	23.2	23.2
HBM 位元數（百萬 GB）	545	852	899	144	1720	214	481
每片晶圓切割數量	380	450	280	280	320	320	320
良率 (%)	0.6	0.6	0.6	0.6	0.6	0.6	0.6
每片合格裸晶數量	228	270	168	168	192	192	192
單顆容量（GB）	3	3	3	3	3	3	3
12-inch產能消耗(K)	797	1051	1783	285	2987	371	835

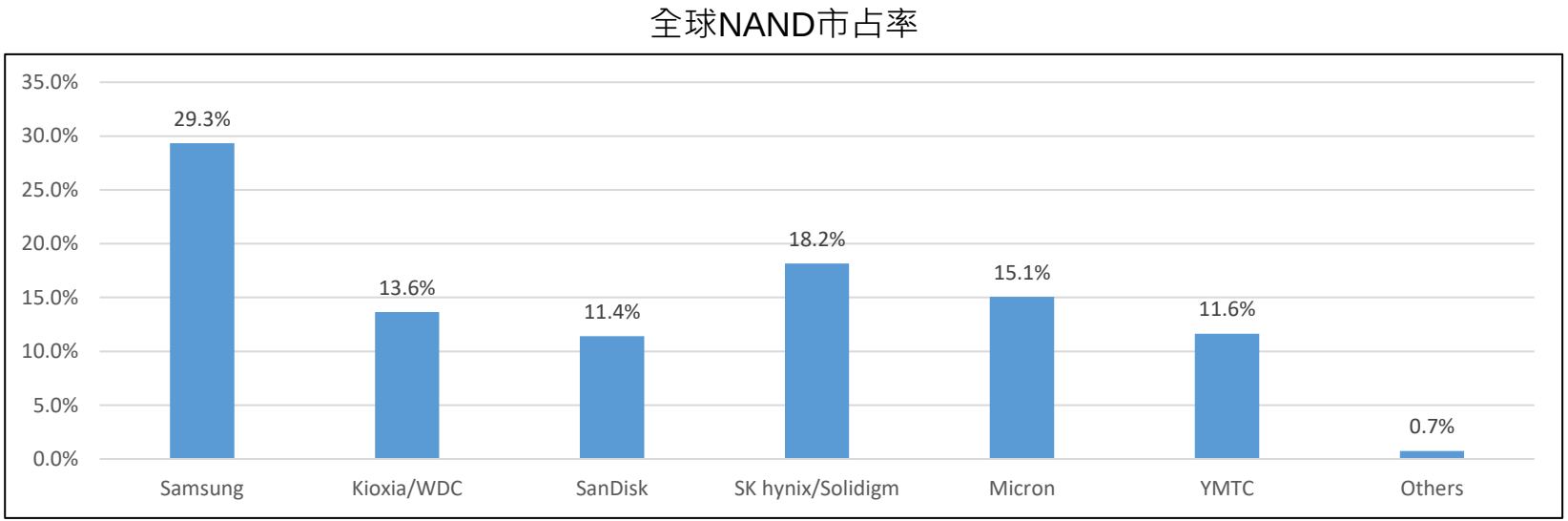
資料來源： Trendforce、兆豐投顧整理

簡報大綱

- AI需求延續打破循環
- 推論需求擴大，帶動儲存市場規模提升
- 推薦個股

全球 NAND 市場為寡占格局

- **全球 NAND 市場高度集中於前六大原廠，呈現典型的寡佔格局，而龍頭三星（29.3%）與 SK 海力士（18.2%）則因優先將產能調配至高利潤的 HBM 生產，致使其 NAND 市佔率面臨下滑趨勢。**

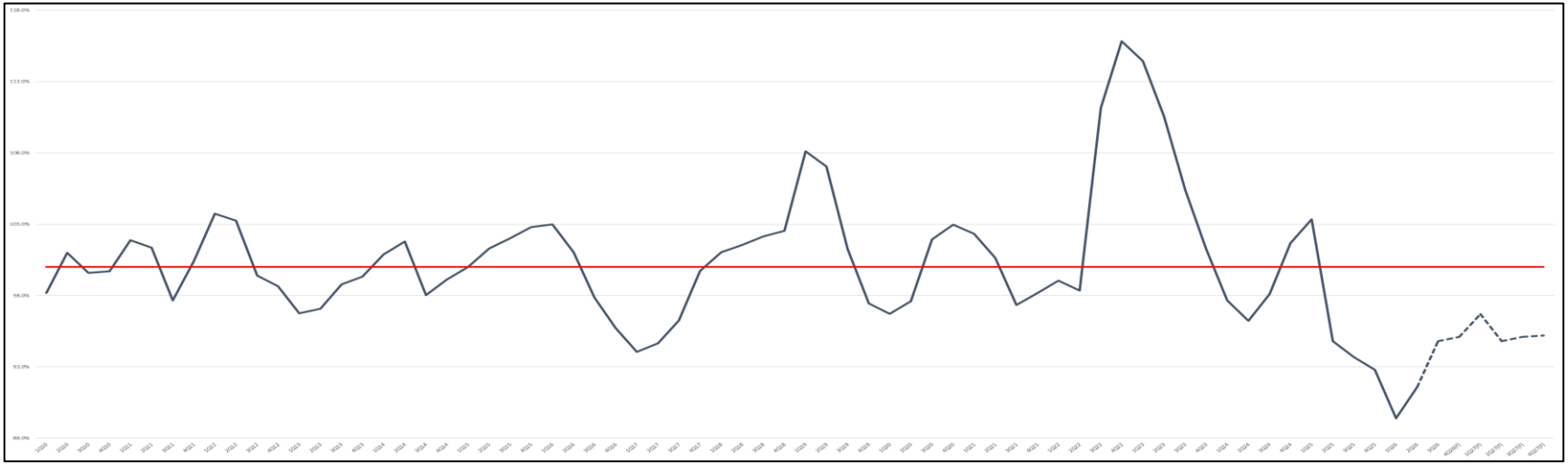


資料來源： Trendforce、兆豐投顧整理

NAND FLASH供需比週期性循環

- **NAND FLASH市場呈現明顯的週期性循環，每約3.5～4年進入一個完整供需週期，過往NAND FLASH市場都相較穩定，然而AI快速發展下帶動儲存供需缺口擴大，預期2027年HDD需求持續強勁且eSSD滲透率提升下，將持續供不應求態勢。**

NAND FLASH供需比

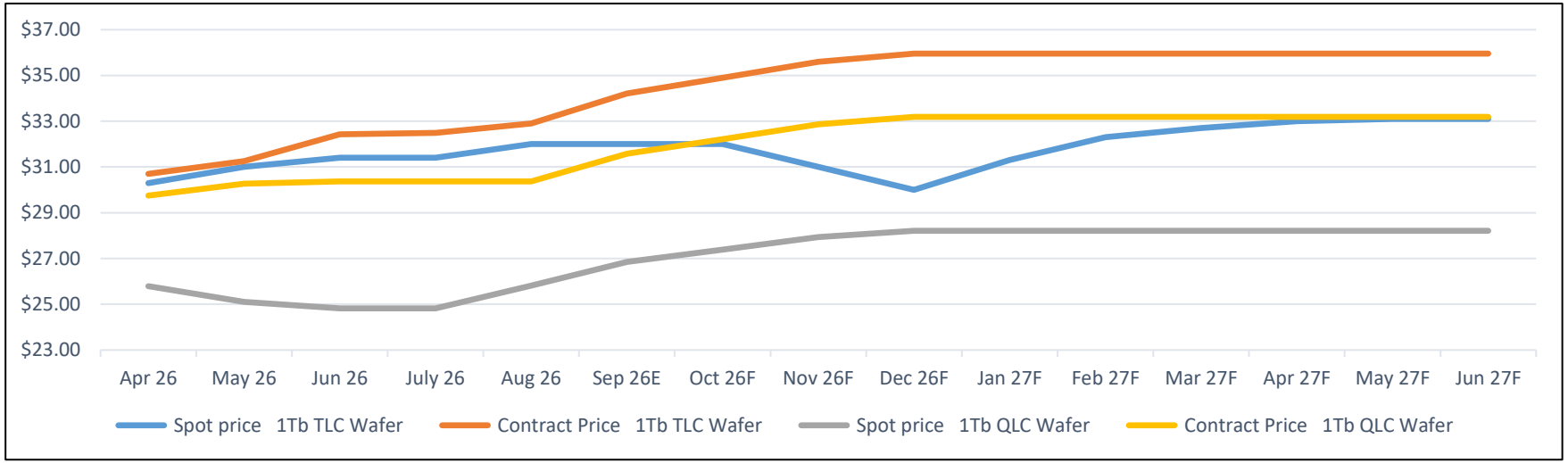


資料來源：Gartner、Trendforce 、兆豐投顧整理

NAND FLASH價格維持高檔

- **自 2025 年第四季開始TLC、QLC NAND價格開始加速上漲呈現陡峭的上升趨勢，且漲勢預計將持續攀升，主要受到CSP大廠持續進入市場搶貨，預期AI持續發展下，HDD及eSSD滲透率提升下供不應求態勢延續，價格將維持高檔。**

NAND FLASH價格走勢



資料來源：Trendforce，兆豐投顧整理

NAND 短期無大規模擴產

- **大部分NAND原廠於2027年並無明顯擴產計畫，並且生產HBM之廠商如三星及海力士將產能優先用於生產HBM導致NAND產能有下滑之趨勢，唯有中國廠商YMTC較積極擴產預期2027年擴產7萬片/月至27萬片/月。**

NAND 原廠產能

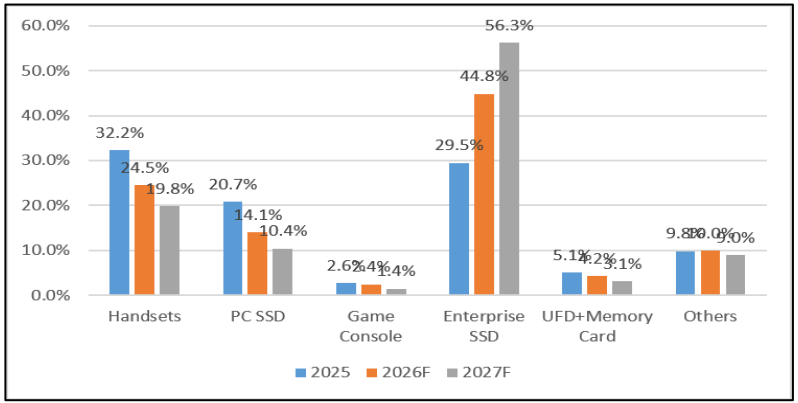
Company	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
Samsung	360	440	530	560	450	410	401	400	375	365	340	310	320	320	320	320
Kioxia/WDC/SanDisk	390	460	460	460	400	400	400	400	400	405	418	418	405	420	420	420
SK hynix	135	140	150	150	145	145	145	145	140	140	140	135	135	130	130	130
Solidigm	60	60	80	85	85	85	85	95	95	95	95	95	110	120	120	120
Micron	130	130	155	155	130	130	130	130	130	130	130	130	130	130	130	130
YMTC	120	125	125	130	140	140	150	160	160	170	200	200	220	240	260	270
PSMC	4	4	4	4	5	5	5	6	8	8	8	8	8	8	8	8
Winbond	8	13	15	15	11	11	13	15	11	11	11	11	11	11	11	11
MXIC	12	12	12	8	8	8	8	9	13	13	17	17	13	13	17	17
SMIC	3	3	3	3	4	4	4	5	5	5	5	5	5	5	5	5
Total	1,222	1,387	1,534	1,570	1,378	1,338	1,341	1,365	1,337	1,342	1,364	1,329	1,357	1,397	1,421	1,431

資料來源：Trendforce，兆豐投顧彙整

AI與伺服器為成長核心

- **手機 與 企業級 SSD 為目前最大的兩個NAND FLASH終端應用市場，於2026年手機及企業級SSD分別佔24.5%及44.8%，然2027年消費性市場受到記憶體上漲影響，預期出貨量都將呈現年減態勢，但企業級 SSD 滲透率將持續走升，預期將會超過5成佔比。**

NAND終端市場占比



資料來源：Trendforce、兆豐投顧整理

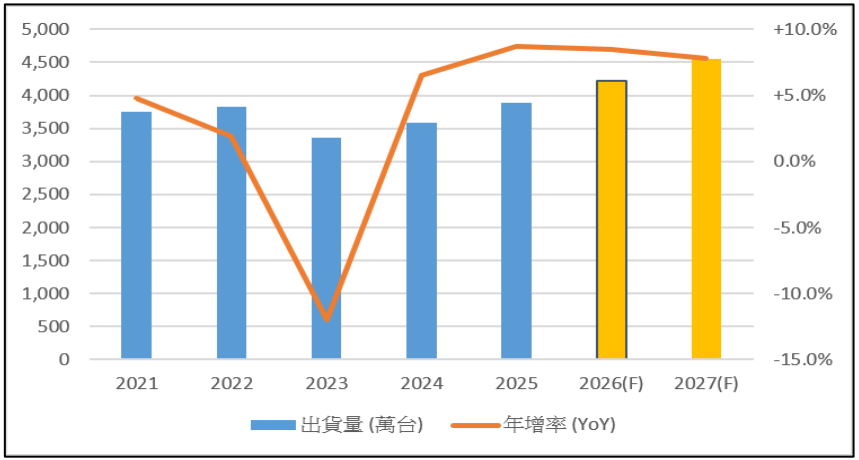
終端出貨預估　　單位:M units

	2025	2026F	2027F	2026(F) YoY	2027(F) YoY
Handsets	1,445	1,227	1,139	-15%	-7%
PC SSD	304	283	257	-7%	-9%
Game Console	42	35	28	-17%	-20%
Enterprise SSD	47	69	91	48%	32%
Memory Card	215	155	139	-28%	-10%
UFD	104	80	65	-23%	-18%
Tablet	138	125	120	-9%	-5%

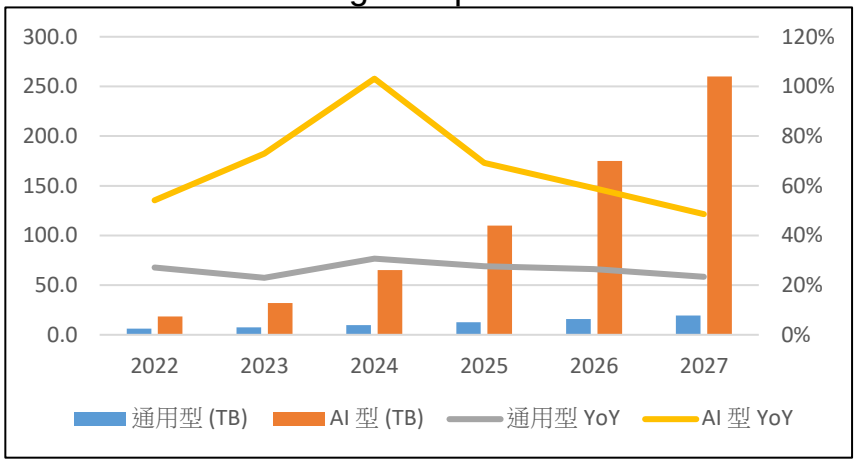
伺服器出貨量及平均儲存量雙雙成長

- **全球伺服器持續成長下，2024 年至 2027 年出貨量逐年走升，AI server及一般型server 需求同走升下，帶動企業級SSD市場規模提升，除出貨量帶動NAND 需求走升外，隨伺服器持續迭代平均每伺服器所搭載之儲存也持續升級，帶來更多需求。**

全球伺服器出貨量



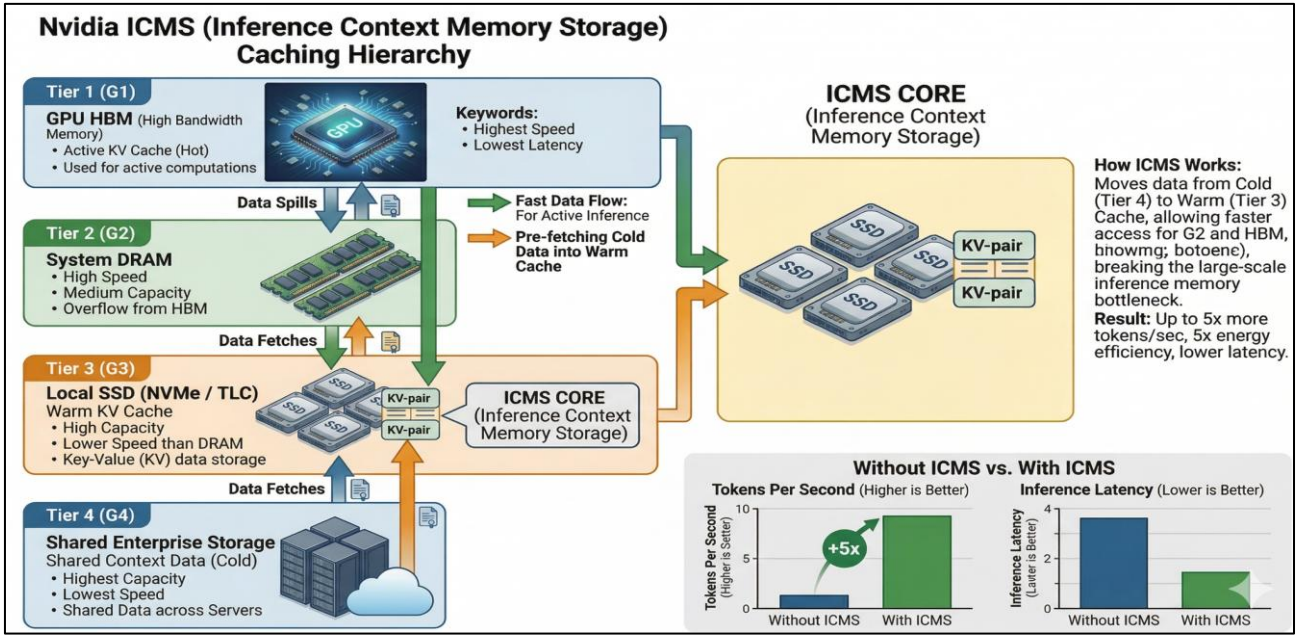
Average TB per Box



資料來源：Trendforce、兆豐投顧整理

推論需求帶動NAND成長

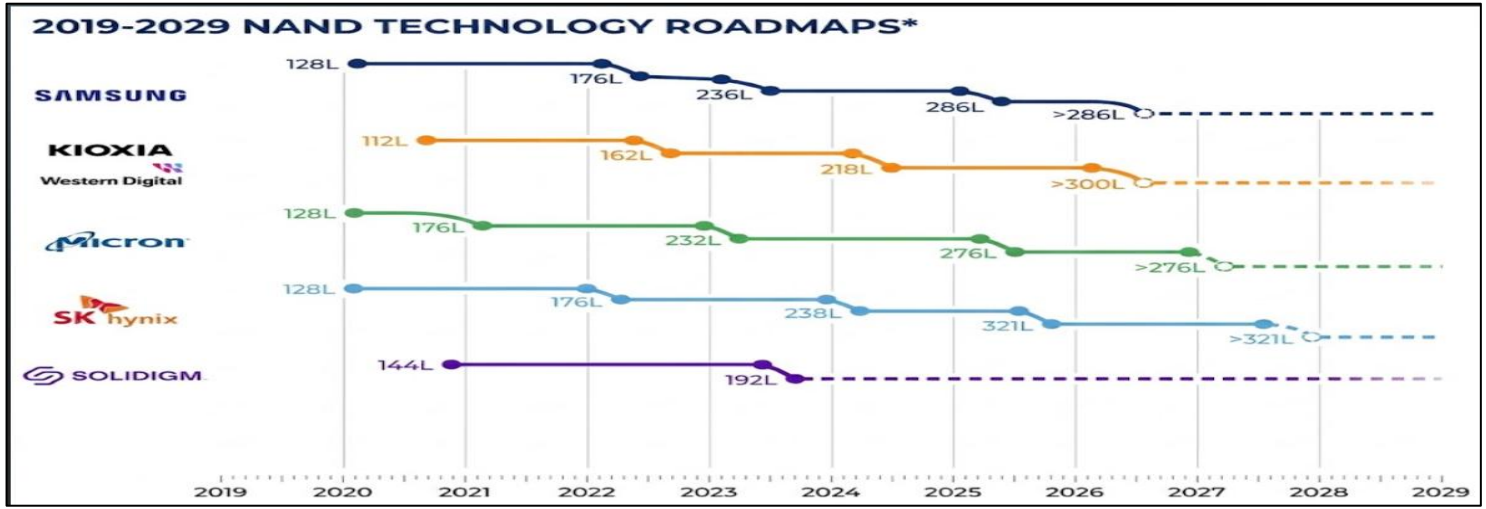
- **Nvidia ICMS (Inference Context Memory Storage) 的快取層級架構，用於解決大型語言模型推論時的記憶體瓶頸，推升NAND需求，提升Token吞吐量5 倍、推論延遲顯著下降、能效優化5 倍。**



資料來源：Gartner、 Trendforce、兆豐投顧彙整

NAND製程發展趨勢

- 目前主流製程為 176 層～238 層，其中 Samsung V8、Micron G8、Kioxia BiCS8、SK hynix V8 是企業級 SSD 常見使用製程。
- 雖2025~2026 年起將正式跨入 300 層以上世代（3xxL、V9/V10），儲存密度、效能與功耗管理將同步優化，V8進入V9世代可透過舊設備更新生產，然而進入V10世代則須購買新機台，對於NAND原廠資本支出較有壓力因此普及仍需時間。



資料來源：兆豐投顧整理

簡報大綱

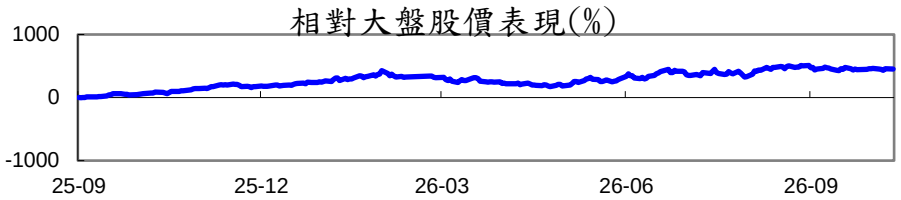
- AI需求延續打破循環
- 推論需求擴大，帶動儲存市場規模提升
- **推薦個股**

南亞科(2408)

投資評等：買進
目標價：800元

推薦重點

- 展望2026~2027年，受惠AI需求持續強勁三大原廠於DRAM產能持續滿載，預期DDR5、DDR4、DDR3等產品將持續供不應求。1C產品預期於27Q1開始驗證，有利打入AI伺服器供應鏈，預期AI占比將逐季提高。因此兆豐預估營收4208.9/6993.1億元，YoY+532.1/66.2%，毛利率83.3/86.3%，EPS為77.85/133.2元。
- 南亞科目前位於(4 X 27(F) PER)，看好記憶體需求緊俏報價持續走升，維持「買進」投資評等，目標價 800元(6 x 27(F)PER) 。



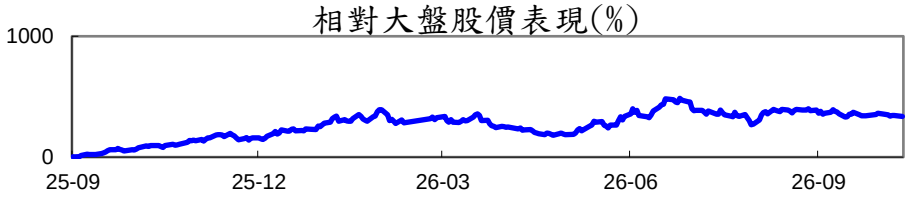
	營收		稅後純益		每股盈餘		每股現金股利(元)	ROE (%)	PER (X)	PBR (X)
	(億元)	YOY(%)	(億元)	YOY(%)	(元)	YOY(%)				
2025	665.9	95.1	66.1	N.A.	2.13	N.A.	0.0	3.9	90.4	3.5
2026(F)	4,208.9	532.1	2,685.8	3,961.0	77.85	3,554.7	1.3	78.2	6.8	3.2
2027(F)	6,993.1	66.2	4,596.0	71.1	133.21	71.1	22.8	65.5	4.0	1.8

華邦電(2344)

投資評等：買進
目標價：300元

推薦重點

- 收購英飛凌旗下 NOR Flash 與 F-RAM事業部，以全球市佔率來看華邦約23%，英飛凌約11%，使華邦電於全球市佔率超過30%，加強市場訂價權。
- 因應客戶強勁需求，擴大2026~2027資本支出近400億，用以擴充台中廠FLASH及高雄廠之DRAM產能，目前高雄廠產能為15K/月，預期至27年擴大至24~25K/月，其中16~17K/月產能將以16nm製程生產為主，有利於公司量產位元數成長一倍，有利於提升公司未來營運動能。預估2026/2027年稅後EPS27.34/61.23元。目標價 300元(5x27(F)PER) 。



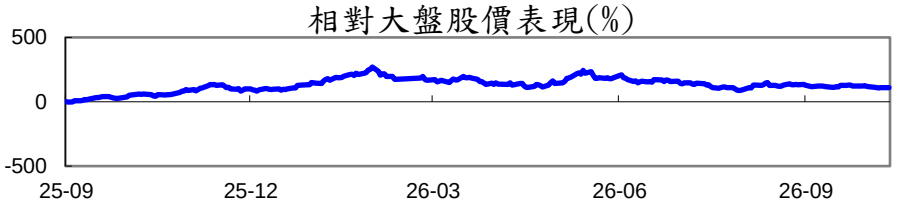
	營收		稅後純益		每股盈餘		每股現金股利(元)	ROE (%)	PER (X)	PBR (X)
	(億元)	YOY(%)	(億元)	YOY(%)	(元)	YOY(%)				
2025	894.1	9.6	39.6	559.2	0.88	528.6	0.0	4.0	93.8	3.3
2026(F)	2,703.0	202.3	1,230.1	3,004.7	27.34	3,006.3	0.5	65.1	6.4	3.0
2027(F)	5,036.6	86.3	2,755.3	124.0	61.23	124.0	10.0	68.6	2.8	1.5

群聯(8299)

投資評等：買進
目標價：3000元

推薦重點

- 展望2026~2027年，AI推論帶動儲存需求，預期至2027仍呈現供不應求之態勢，且於26H2供需缺口將逐季擴大，公司坐擁大量庫存，有利營收規模持續放大。NAND原廠仍無大幅度擴產計畫至2027年仍呈供不應求之態勢。因此兆豐預估營收2940.9/4442.3億元，YoY+304.7/51.1%，毛利率64.0/57.4%，稅後淨利1032.7/1314.0億元，YoY+1081.6/27.3%，EPS為467/594元。
- 群聯目前位於3.5 X 27(F)PER)，給予「買進」投資評等，目標價3000元(5x 27(F)PER) 。



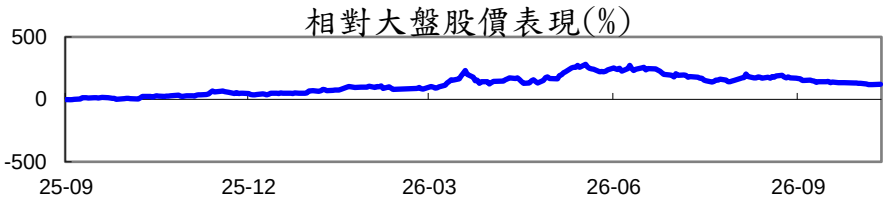
	營收		稅後純益		每股盈餘		每股現金股利(元)	ROE (%)	PER (X)	PBR (X)
	(億元)	YOY(%)	(億元)	YOY(%)	(元)	YOY(%)				
2025	726.6	23.3	87.4	9.9	41.98	7.8	25.1	16.0	34.5	5.0
2026(F)	2,940.9	304.7	1,032.7	1,081.6	467.05	1,012.6	23.2	92.8	4.4	2.8
2027(F)	4,442.3	51.1	1,314.0	27.3	594.31	27.2	154.0	62.2	3.5	1.7

宜鼎(5289)

投資評等：買進
目標價：2000元

推薦重點

- 展望2026~2027年，隨AI需求爆炸性成長，記憶體呈現供不應求，將推升記憶體價格持續走高，同時AI快速發展下，Edge AI需求將快速成長，預期AI相關產品占比將持續提高，有助於宜鼎業績將持續成長，續創高峰。預估2026~2027年營收898.4/1203.5億元，YoY+529.9/34.0%，毛利率60.8/53.4%，稅後淨利374.4/388.5億元，YoY+1739.0/3.8%，EPS為389.9/404.7元。
- 宜鼎目前位於3.1 X 27(F)PER)，低於過往5~22X PER，維持「買進」投資評等，目標價2000元(5x 27(F)PER)。



	營收		稅後純益		每股盈餘		每股現金股利(元)	ROE (%)	PER (X)	PBR (X)
	(億元)	YOY(%)	(億元)	YOY(%)	(元)	YOY(%)				
2025	142.6	60.0	20.4	84.0	21.72	81.5	9.4	24.8	27.2	6.1
2026(F)	898.4	529.9	374.4	1,739.0	389.96	1,695.4	16.8	136.1	3.2	2.6
2027(F)	1,203.5	34.0	388.5	3.8	404.71	3.8	120.0	65.7	3.1	1.7

版權聲明

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須先經本公司同意。

資料內容僅供參考，本公司恕不負任何法律責任，亦不做任何保證

兆豐國際證券投資顧問股份有限公司獨立經營管理 台北市忠孝東路二段95號10樓

本公司經證期局核准之營業執照字號：115年金管投顧新字第023號

報告日期：2026.10.27

玉山投顧 E.SUN Investment Consulting

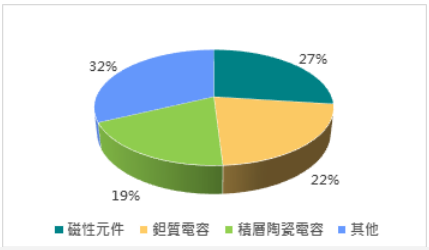
法說前瞻

產業：電子零組件

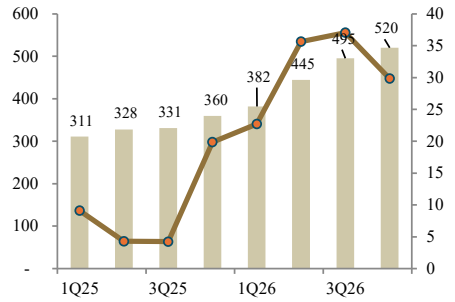
國巨法說會前財報預估

預估 4Q26 營運逐步墊高，仍關注未來獲利狀況

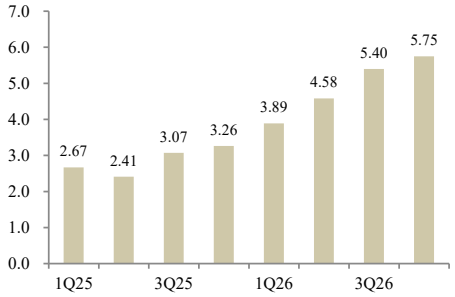
近一季營收比重



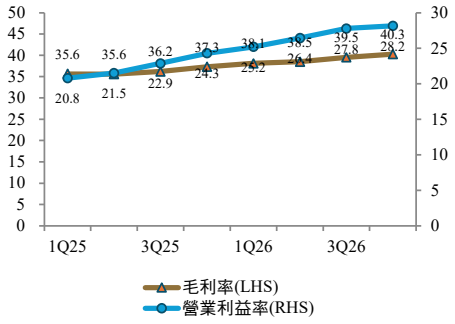
季營收(億元)



季每股盈餘(元)



季毛利率與營業利益率(%)



研究員：章博宇
thomaschang-72182@esunsec.com.tw

財報訊息

國巨即將於10/29(四)舉行法說會，3Q26營收季增11.4%至495.3億元，符合預期，市場普遍預估毛利率介於38~40%，EPS約4.5元，後續將關注公司對於2027年產能規劃、整體產業供需(同業擴廠狀況及AI機櫃時程)以及產品價格看法。

營運現況

3Q26營收符合預期：3Q26營收季增11.4%至495.3億元，主要受惠於AI相關應用需求，且標準品及特殊品出貨均呈現穩定成長，營收達成率100%，符合我們先前預期，而獲利部分，隨3Q26將有新合約逐漸發酵，推測獲利將較上季提升，毛利率和營益率我們預估兩者分別為39.5%和28.8%，稅後EPS達5.4元。

營運展望

本季營收預估季增5%至520億元：我們預估4Q26營收有望季增5%至520億元，成長動能來自於AI新平台陸續放亮對於元件的需求、日韓大廠的外溢訂單以及產品組合轉佳，且從10月代理商提供的交期數據觀察，村田及三星電機的MLCC交期已長達約30及52週，趨勢持續往上，若對照疫情期間的高峰(3Q21村田高容MLCC曾達30~33週)，顯示供需仍吃緊，而目前擴廠及設備準備時間較長，各廠僅藉由產線優化及產線轉換提升約10%~15%，因此推測B/B ratio也保持在高檔，獲利部分，根據供應鏈調查，部分日韓廠有漲價動作，國巨有望跟進漲價，因此預估毛利率將延續上升趨勢，提升0.75個百分點至40.3%，稅後EPS達5.75元。

簡易損益表預估

(單位：百萬元)

	2025	26Q1	26Q2	26Q3(E)	26Q4(F)	2026(F)
營收	132,930	38,166	44,456	49,531	52,008	184,161
YoY	9.3%	22.7%	35.7%	49.7%	44.6%	38.5%
毛利率	36.2%	38.1%	38.5%	39.5%	40.3%	39.2%
營益率	22.4%	25.2%	26.4%	27.8%	28.2%	27.0%
稅後淨利	23,634	8,001	9,418	11,079	11,791	40,288
EPS(元)	11.41	3.89	4.58	5.40	5.75	19.62

玉山證券投資顧問股份有限公司（以下簡稱「玉山投顧」）為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

玉山投顧已針對報告內容力求正確，並為研究人員就其專業能力提供之善意分析，財務預估及投資評等係就報告發行當時，所收集之資訊進行合理之判斷，日後若有資訊更新，玉山投顧將不針對此報告出具更新通知。本報告僅供投資人參考，玉山投顧不負任何投資盈虧之法律責任，如引用本文，須經本公司同意。

智慧財產權聲明

本資料各項內容之各項權利及智慧財產權（包括但不限於著作權、專利權、商標權等）均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。

個股報告

投資評等	目標價
逢低買進	$71

前次投資建議：無

毅嘉(2402)

光通產品高速增長，海外產能持續擴張

報告日期：2026.10.27　　研 究 員：邱岳霖

摘 要 及 調 整 原 因

- 26Q4 光通訊量產，惟缺料與淡季影響營運動能，EPS 0.41 元。
- AI 光通訊放量帶動營收倍增，mSAP 量產為毛利率改善關鍵，2027 年 EPS 3.1 元，考量公司切入高速成長之光通賽道，未來幾年營運將高速增長，兆豐投顧給予目標價 71 元(23X 27(F)PER)，潛在上漲空間 23.9%，投資評等為「逢低買進」。

基本資料

2026/10/22	收盤價：	57.30
普通股股本(百萬股)		308
市值(NT$ 百萬)		17622
董監持股比例		7.86%

近期股價表現

	個股表現	相對大盤
一週	-9.19%	-7.36%
一月	5.91%	9.96%
一季	-2.22%	-4.80%

法人持股

	持股比例
外資	6.22%
投信	0.00%
自營商	1.69%

融資券餘額

(張數)	餘　額
融資餘額	12000
融券餘額	79

結論與建議

- 光通訊散熱型金屬外殼已於26Q3量產，FlipChip打件與液冷測漏板於26Q4導入量產，預期光通訊營收佔比由1%升至6%，然MLCC、DSP、PCB三項缺料影響，同時進入消費性產品淡季，預估毅嘉26Q4營收32.7億元，QoQ -4.3%，毛利率14.5%，季增0.2ppt，稅後淨利1.3億元，QoQ +23.9%，EPS 0.41元。
- 展望後市，AI光通訊將成為毅嘉主要成長動能，預期AI相關營收佔比將由26Q4之6%躍升至2027年40%，係因800G光收發模組需求持續強勁，目前主要客戶明年總需求為27-30KK，此外1.6T/3.2T世代將於2028至2029年接續拉升，帶動Flip Chip打件需求大幅擴大，而毅嘉持續在馬來西亞擴產，雖帶動營收顯著提升，不過因採turnkey出貨，料件佔BOM cost約80%至90%，故毛利率僅約5%至8%，將稀釋整體毛利率。後續改善關鍵在於mSAP高密度電路板，目前已啟動客戶樣品打樣，預期27Q3量產，毛利率可達40%以上；此外散熱事業營收倍增並轉虧為盈，攜手杰華精密切入光模組散熱外殼，加上IMS延伸至儲能與機器人應用，將使產品組合逐步轉佳。綜上所述，兆豐投顧預估毅嘉2027年營收248.9億元，YoY +94.9%，毛利率11.5%，年減2.5ppt，稅後淨利9.5億元，YoY +159%，EPS 3.1元。考量公司切入高速成長之光通賽道，未來幾年營運將高速增長，兆豐投顧給予目標價71元(23X 27(F)PER)，潛在上漲空間23.9%，投資評等為「逢低買進」。

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

簡 要 財 務 預 估 資 訊												
會計年度	營收		營業利益		稅後純益		每股盈餘		每股現金股利(元)	ROE (%)	PER (X)	PBR (X)
	(億元)	YoY(%)	(億元)	YoY(%)	(億元)	YoY(%)	(元)	YoY(%)				
2025	108.5	13.8	9.1	18.2	7.5	6.0	2.5	4.7	2.0	10.5	25.7	2.6
2026(F)	127.7	17.7	5.8	-36.1	3.7	-51.2	1.2	-51.5	2.0	4.9	47.8	2.3
2027(F)	248.9	94.9	13.2	125.1	9.5	159.0	3.1	159.0	2.0	11.9	18.5	2.1

資料來源：CMoney；兆豐投顧預估

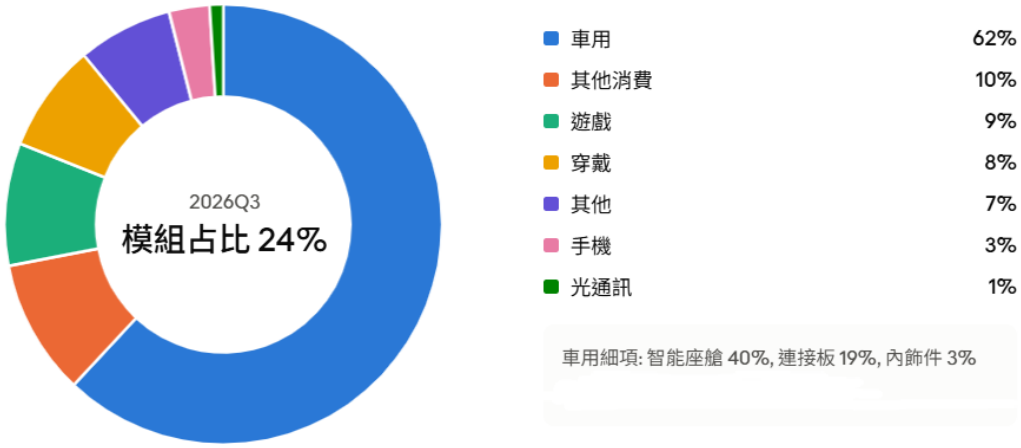
營 運 分 析

毅嘉科技為軟板及機構整合廠

毅嘉科技成立於 1983 年，初期以生產手機按鍵為主，於 2000 年掛牌上市並跨足軟板製造領域，2020 年延伸至硬板打件並在跨入車用模組，2024 年將戰略重心擴張至光通訊領域，從早期供應光收發模組用軟硬結合板，2026 年切入光收發模組 Flip Chip SMT，於 26Q3 完成認證並於 26Q4 放量生產，預計 2027 年再導入 mSAP 高密度電路板，預期 27Q3 開始量產，此外毅嘉於 26Q2 投資光通訊零組件廠商杰華精密(持股 46.25%)跨入光模組金屬外殼。

毅嘉現主營軟板及機構整合業務：26Q3 應用別營收組成為車用 62%(智能座艙 40%，連接板 19%，內飾件 3%)，其他消費 10%，遊戲 9%，穿戴設備 8%，其他產品 7%，手機 3%，光通訊 1%(26Q4 預估升至 6%)。生產基地位於台灣林口廠(研發中心、散熱模組、IMS 研發中心)、大陸蘇州廠(車用軟板、空板、 SMT、Mini LED)、大陸中山廠(穿戴裝置)、馬來西亞檳城及吉打廠(25Q3 完工，產品為機構件、光通訊、車用、儲能)，越南及匈牙利設有銷售據點，北美據點評估中(德州)。

圖一、應用別營收組成



資料來源：公司；兆豐投顧整理

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

26Q3 營收創今年新高，然新廠成本與匯損壓抑獲利，EPS 0.33 元

毅嘉(2402)公告 26Q3 財報：營收 34.2 億元，QoQ +4.4%/YoY +18.4%，再創近年新高，主要受惠車用及消費性電子產品需求成長帶動，毛利率 14.3%，季增 0.1ppt，然因馬來西亞新廠初期營運成本與費用增加，營業利益較上季衰退 10.5%，同時受人民幣升值產生匯兌損失，故稅後淨利 1 億元，QoQ -16.0%/YoY -45.1%，EPS 0.33 元。

26Q4 光通訊量產，惟缺料與淡季影響營運動能，EPS 0.41 元

光通訊散熱型金屬外殼已於 26Q3 量產，FlipChip 打件與液冷測漏板於 26Q4 導入量產，預期光通訊營收佔比由 1%升至 6%，然 MLCC、DSP、PCB 三項缺料影響，同時進入消費性產品淡季，兆豐投顧預估毅嘉 26Q4 營收 32.7 億元，QoQ -4.3%/YoY +20.0%，毛利率 14.5%，季增 0.2ppt，年減 5.3ppt，稅後淨利 1.3 億元，QoQ +23.9%/YoY -32.9%，EPS 0.41 元。

AI 光通訊放量帶動營收倍增，mSAP 量產為毛利率改善關鍵，2027 年 EPS 3.1 元

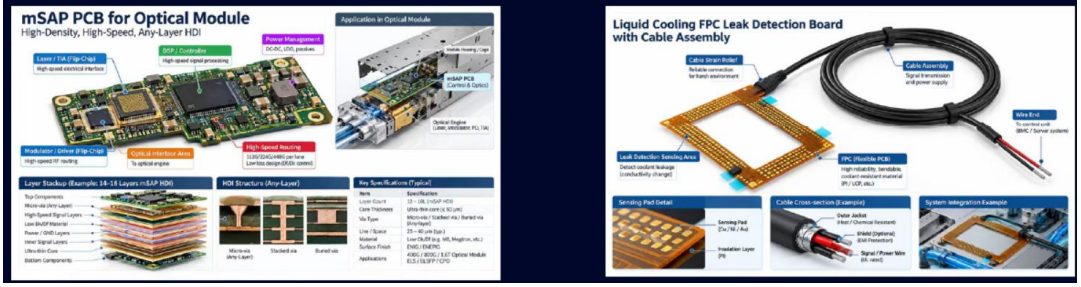
展望後市，AI 光通訊將成為毅嘉主要成長動能，預期 AI 相關營收佔比將由 26Q4 之 6%躍升至 2027 年 40%，係因 800G 光收發模組需求持續強勁，目前主要客戶明年總需求為 27-30KK，此外 1.6T/3.2T 世代將於 2028 至 2029 年接續拉升，帶動 Flip Chip 打件需求大幅擴大，而毅嘉持續在馬來西亞擴產，Flip Chip 產線將由今年 3 條提升至 2027 年 8-10 條，2028 年進一步擴充至 24 條，雖帶動營收顯著提升，不過因採 turnkey 出貨，料件佔 BOM cost 約 80%至 90%，故毛利率僅約 5%至 8%，將稀釋整體毛利率。後續改善關鍵在於 mSAP 高密度電路板，目前已啟動客戶樣品打樣，預期 27Q3 量產，毛利率可達 40%以上；此外散熱事業營收倍增並轉虧為盈，攜手杰華精密切入光模組散熱外殼，加上 IMS 延伸至儲能與機器人應用，將使產品組合逐步轉佳。綜上所述，兆豐投顧預估毅嘉 2027 年營收 248.9 億元，YoY +94.9%，毛利率 11.5%，年減 2.5ppt，稅後淨利 9.5 億元，YoY +159%，EPS 3.1 元。

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

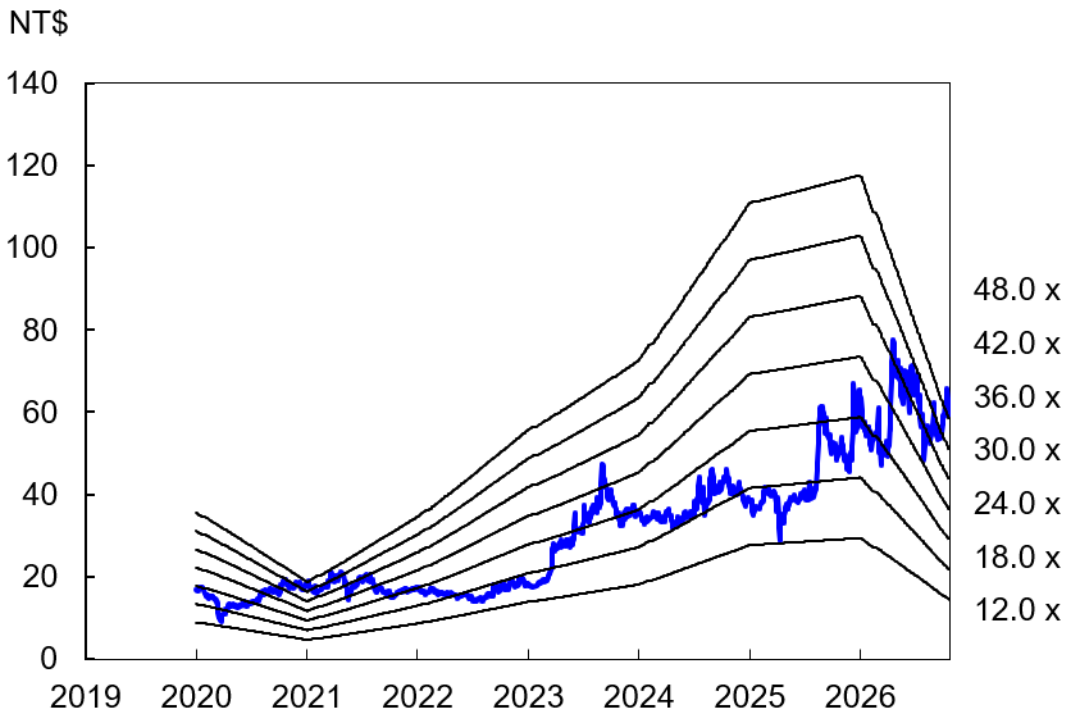
圖二、毅嘉光通訊產品布局

應用場景	核心能力	產品類別	目前定位
高速光通訊收發模組	Flip Chip	PCBA	新成熟技術
高速光通訊收發模組	MSAP 高密度線路製程	PCB	新技術研發
伺服器機櫃液冷系統	液冷測漏板	FPCA	成熟能力



資料來源：公司；兆豐投顧整理

圖三、毅嘉(2402) P/E Band



資料來源：Cmoney；兆豐投顧預估

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

財務報表

季度損益表

單位：新台幣百萬元

2402毅嘉	2025	26Q1	26Q2	26Q3(F)	26Q4(F)	2026(F)	27Q1(F)	27Q2(F)	27Q3(F)	27Q4(F)	2027(F)
營業收入淨額	**10,849**	**2,810**	**3,271**	**3,417**	**3,270**	**12,768**	**3,318**	**3,587**	**8,258**	**9,725**	**24,888**
營業成本	**8,780**	2,450	2,807	2,929	2,796	**10,982**	2,840	3,081	7,358	8,743	**22,022**
營業毛利淨額	**2,069**	**360**	**464**	**488**	**474**	**1,786**	**478**	**506**	**900**	**982**	**2,866**
營業費用	**1,154**	**280**	**279**	**323**	**320**	**1,202**	**350**	**350**	**422**	**428**	**1,550**
營業淨利(損)	**915**	**81**	**185**	**165**	**154**	**584**	**128**	**156**	**478**	**554**	**1,316**
營業外收支											
利息收入	**63**	12	13	13	13	**51**	14	14	14	14	**56**
財務成本	**93**	27	24	25	25	**101**	25	25	25	25	**100**
其他利益及損失	**-12**	-35	-34	-28	0	**-97**	-15	-15	-15	-15	**-60**
其他收支淨額	**67**	9	23	15	15	**62**	15	15	15	15	**60**
營業外收支淨額合計	**25**	**-41**	**-22**	**-25**	**3**	**-85**	**-11**	**-11**	**-11**	**-11**	**-44**
稅前淨利	**939**	**40**	**162**	**140**	**157**	**499**	**117**	**145**	**467**	**543**	**1,272**
所得稅費用(利益)	**185**	19	41	39	31	**131**	29	36	117	136	**318**
稅後淨利-非控制權益	**0**	0	0	0	0	**0**	0	0	0	0	**0**
稅後淨利-歸屬母公司	**754**	**21**	**121**	**101**	**126**	**368**	**88**	**109**	**350**	**407**	**954**
普通股股本	**3,075**	3,075	3,075	3,075	3,075	**3,075**	3,075	3,075	3,075	3,075	**3,075**
每股盈餘(元)	**2.47**	**0.07**	**0.39**	**0.33**	**0.41**	**1.20**	**0.28**	**0.35**	**1.14**	**1.32**	**3.10**
季成長分析(QoQ,%)											
營收成長率		3.1	16.4	4.4	-4.3		1.5	8.1	130.2	17.8	
營業毛利成長率		-33.2	28.7	5.2	-2.8		0.8	5.9	78.0	9.1	
營業利益成長率		-67.1	129.0	-10.4	-6.7		-17.1	21.9	206.9	15.9	
稅前淨利成長率		-82.8	310.0	-13.4	11.9		-25.7	24.0	222.7	16.3	
稅後淨利成長率		-89.0	485.7	-16.0	23.9		-30.3	24.0	222.7	16.3	
年成長分析(YoY,%)											
營收成長率	**13.8**	15.2	16.8	18.4	20.0	**17.7**	18.1	9.7	141.7	197.4	**94.9**
營業毛利成長率	**21.1**	-16.7	-16.9	-9.4	-12.1	**-13.7**	32.6	9.0	84.5	107.2	**60.5**
營業利益成長率	**18.2**	-56.7	-27.3	-28.2	-37.0	**-36.1**	58.6	-15.6	189.3	259.6	**125.1**
稅前淨利成長率	**10.4**	-81.2	-38.7	-40.1	-31.7	**-46.9**	195.2	-10.8	232.6	245.7	**154.8**
稅後淨利成長率	**6.0**	-88.2	-41.6	-45.1	-32.9	**-51.2**	324.9	-10.1	245.3	224.1	**159.0**
獲利分析(%)											
營業毛利率	**19.1**	12.8	14.2	14.3	14.5	**14.0**	14.4	14.1	10.9	10.1	**11.5**
營業利益率	**8.4**	2.9	5.6	4.8	4.7	**4.6**	3.9	4.3	5.8	5.7	**5.3**
稅前淨利率	**8.7**	1.4	5.0	4.1	4.8	**3.9**	3.5	4.0	5.7	5.6	**5.1**
稅後淨利率	**7.0**	0.7	3.7	3.0	3.8	**2.9**	2.6	3.0	4.2	4.2	**3.8**
實質所得稅率	**19.7**	47.9	25.6	27.8	20.0	**26.2**	25.0	25.0	25.0	25.0	**25.0**

資料來源：CMoney；兆豐投顧預估；註：每股盈餘以期末股本計算

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

資產負債表

單位：NT$百萬元	2025	2026(F)	2027(F)
流動資產			
現金及約當現金	2,712	2,811	7,917
存貨	1,267	2,095	4,566
應收帳款及票據	4,307	5,490	13,603
其他流動資產	686	160	1,763
流動資產合計	**8,972**	**10,556**	**27,849**
非流動資產			
長期投資合計	1,127	812	-1,981
固定資產	4,063	5,116	6,289
其它非流動資產	1,229	-1,728	-15,046
非流動資產合計	**6,419**	**4,201**	**-10,738**
資產總計	**15,391**	**14,757**	**17,111**
流動負債			
應付帳款及票據	2,370	3,561	8,295
短期借款	1,939	2,036	2,137
其他流動負債	970	853	6,260
流動負債合計	**5,278**	**6,449**	**16,692**
長期負債			
長期借款	1,744	1,831	1,923
其他非流動負債	962	-1,035	-9,970
長期負債合計	**2,706**	**796**	**-8,047**
負債總計	**7,984**	**7,245**	**8,645**
權益			
普通股股本	3,075	3,075	3,075
資本公積	2,312	2,312	2,312
保留盈餘	1,989	1,750	2,704
其他項目	31	374	374
權益總計	**7,407**	**7,512**	**8,466**
負債與權益總計	**15,391**	**14,757**	**17,111**

資料來源：CMoney；兆豐投顧預估

現金流量表

單位：NT$百萬元	2025	2026(F)	2027(F)
本期淨利	754	368	954
折舊及攤提	337	503	570
本期營運資金變動	-143	-3,202	-15,318
其他營業活動現金流量	-44	324	140
營業活動之淨現金流入(出)	**903**	**-2,007**	**-13,655**
資本支出淨額	-974	-1,023	-1,074
本期長期投資變動	28	-316	-2,793
其他投資活動現金流量	-49	-538	-339
投資活動之淨現金流入(出)	-1,582	-1,876	-4,206
現金增資	0		0
本期借款變動	2,273	-1,910	-8,843
其他籌資活動現金流量	-653		31,809
融資活動之淨現金流入(出)	**1,619**	**3,983**	**22,966**
本期現金與約當現金增加數	**887**	**100**	**5,105**
期初現金與約當現金餘額	1,825	2,712	2,811
期末現金與約當現金餘額	**2,712**	**2,811**	**7,917**

資料來源：CMoney；兆豐投顧預估

重要財務比率分析

	2025	2026(F)	2027(F)
年成長率(%)			
營業收入	13.8	17.7	94.9
營業利益	18.2	-36.1	125.1
稅後純益	6.0	-51.2	159.0
獲利能力分析(%)			
營業毛利率	19.1	14.0	11.5
營業利益率	8.4	4.6	5.3
稅後純益率	7.0	2.9	3.8
資產報酬率	5.3	2.4	6.0
股東權益報酬率	10.5	4.9	11.9
償債能力分析			
負債/股東權益(%)	107.8	96.5	102.1
流動比率(X)	1.7	1.6	1.7
每股資料分析			
每股盈餘(NT$元)	2.5	1.2	3.1
本益比(X)	25.7	47.8	18.5
每股淨值(NT$元)	24.1	24.4	27.5
股價淨值比(X)	2.6	2.3	2.1
每股現金股利(NT$元)	2.0	2.0	2.0
現金股利殖利率(%)	4.8	3.6	3.5

資料來源：CMoney；兆豐投顧預估

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

2402 毅嘉 永續發展概況

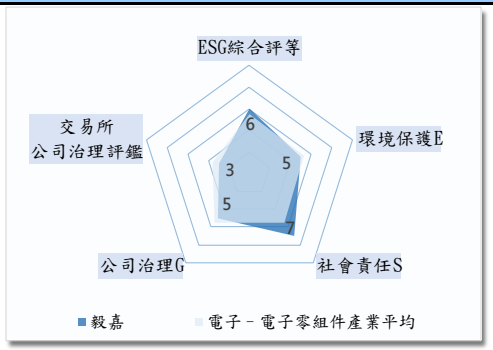
CMoney ESG Rating　　評鑑年季：2026Q3

落後			平均				領先		
1	2	3	4	5	**6**	7	8	9	10

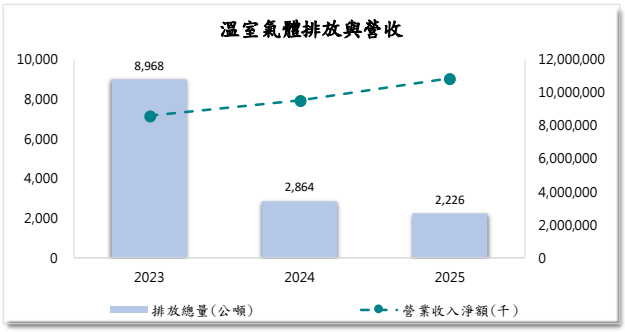
E(環境保護)	S(社會責任)	G(公司治理)	永續報告書連結
5	7	5	https://esggenplus.twse.com.tw/inquiry/info/individual

產業類別	產業樣本數	ESG評等產業排名	TCFD報告書簽署	TCFD報告書連結
電子－電子零組件	210	51	否	否

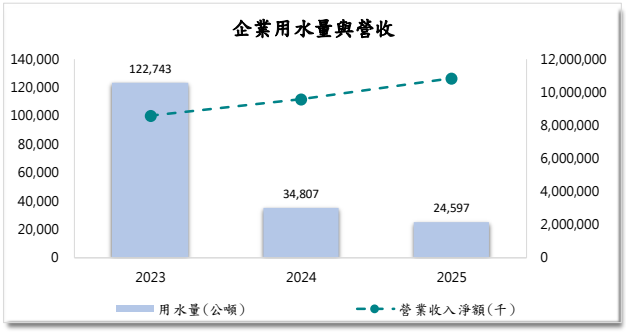
資料來源：CMoney
說明：評等1-10分，10分最高



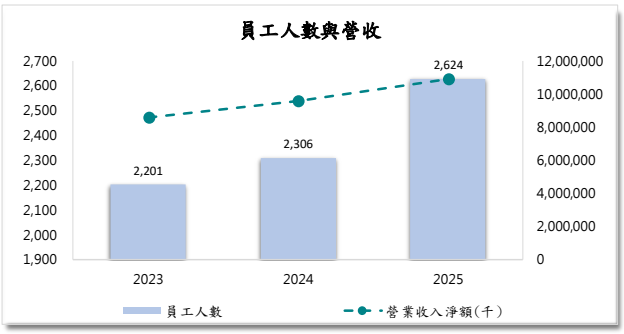
溫室氣體



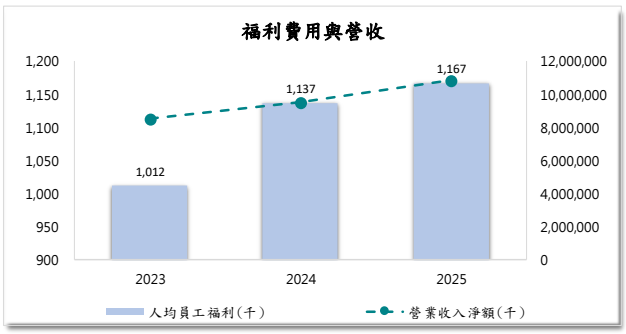
水資源



員工人數

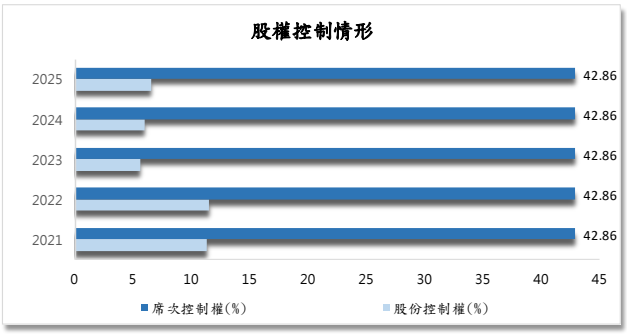


員工福利



公司治理評鑑

股權控制



資料來源：交易所

評等分級：買進（預期未來六個月股價漲幅超過+30%）；逢低買進（預期未來六個月股價漲幅介於+15%與+30%之間）；區間操作（預期未來六個月股價漲跌幅介於-15%與+15%之間）；逢高賣出（預期未來六個月股價跌幅介於-15%與-30%之間）；賣出（預期未來六個月股價跌幅超過-30%）。

本刊所刊載之內容僅做為參考，惟已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之需求與風險，本公司恕不負擔任何法律責任。任何轉載或引用本報告內容必須經本公司同意。

南亞科 (2408 TT) Nanya Tech

獲利與產品組合仍持續提升

買進 (研究員異動) | **目標價 (12 個月)：NT$570.0** | 收盤價 (2026/10/22)：NT$414.0 隱含漲幅：37.7%

營收組成 (3Q26)

Server/AI >20%、PC 10~20%、Consumer 60~70%。

本次報告更新重點

項目	本次	前次
評等	買進	--
目標價 (NT$)	570	--
2026年營收 (NT$/十億)	416.5	--
2026年EPS	75.9	--

交易資料表

市值	NT$1,428,380百萬元
外資持股比率	14.6%
董監持股比率	26.3%
調整後每股淨值 (2026F)	NT$125.48
負債比	16.8%
ESG評級 (Sustainalytics)	中 (曝險程度共5級)

簡明損益表 (NT$百萬元)

年初至12月	2024A	2025A	2026F	2027F
營業收入	34,132	66,587	416,531	694,617
營業利益	-10,555	5,243	319,386	547,720
稅後純益	-5,083	6,614	261,940	441,629
EPS (元)	-1.64	2.13	75.93	128.01
EPS YoY (%)	--	--	3457.6	68.6
本益比 (倍)	--	194.0	5.5	3.2
股價淨值比 (倍)	7.8	7.5	3.3	1.8
ROE (%)	-3.1	3.9	60.5	55.5
現金殖利率 (%)	0	0.3%	5.5%	9.3%
現金股利 (元)	0	1.35	22.78	38.40

林凱威
Wayne.KW.Lin@Yuanta.com

王懷綺
Becky.HQ.Wang@yuanta.com

元大觀點

- **4Q26 預期 ASP 再季增 15~20%，2027 年 DDR4 供不應求延續下合約價仍維持高檔，獲利將年增 68.6%續創新高。**
- **2027 年 DRAM 產業供需緊俏及報價上行持續，最主要驅動力為 Server 相關 DRAM 訂單需求大幅成長，新增產能則相對有限。**
- **產品組合續往 Server/AI 提升，中長期營運更加穩健，給予買進、目標價 570 元(2.5x 2027 年 BVPS)。**

4Q26/2027 年獲利將續創新高，受惠 DDR4 供不應求延續

預估 4Q26 營收季增 13.2%至 1,512.46 億元，其中預期 ASP 再季增 15~20%、雖收斂但仍維持雙位數季增；毛利率季增 0.4ppts 至 86.1%，報價維持高檔下與 3Q26 相近；EPS 季增 11.9%至 28.42 元。展望後續，月產能未來四年內將由目前約 65kwpm 分階段新增 35.9kwpm 的產能、2H27 開始貢獻，供需緊俏延續下 ASP 將維持高檔，4Q26/2027 年營運續創新高。

2027 年 DRAM 供需緊俏與報價上行持續，主要由 Server 驅動

本中心預期 2027 年 DRAM 持續供不應求，報價仍在上行循環，最主要驅動力 Server 於整體位元需求佔比過半且供需差達 20%以上(高於整體 DRAM 的約 10%)，其中預期 2027 年 HBM 市場規模年增 243%，Nvidia VR200 搭載 SOCAMM2 位元需求成長達 6 倍，General Server 亦佔整體 Server 需求一半比重，相關 RDIMM、LPDRAM 成長強勁；同時新增產能相對需求成長仍有限，三大原廠 2027 年底 DRAM 投片月產能僅年增 10~15%，中國同業長鑫存儲雖擴產積極仍僅佔整體產能約 15%，主要供應中國國內需求。此外，DDR4 於消費性/網通/Server 仍具龐大需求，目前 AI Server 仍有約 10%週邊應用搭載 DDR4，供給則在國際原廠 EOL 下大幅縮減，長鑫存儲重心亦已轉往 DDR5，預估 2027 年 DDR4 仍有 20%以上的供需缺口(詳見圖 7)。

產品組合持續往 Server/AI 提升，中長期營運展望正向

綜合上述，預估 2026/27 年營收年增 525.5%/66.8%至 4,165.31 億元/6,946.17 億元，毛利率年增 60ppts/2ppts 至 82.5%/84.5%，EPS 年增 3457.6%/68.6%至 75.93/128.01 元。考量 1) 公司現為 DDR4 第一大廠且同時具備 DDR5 產品布局、2) 產品組合持續往 Server/AI 提升、3) WoW 客製化產品有望帶來更穩定獲利支撐，中長期營運更加穩健，以 2.5 倍 PB(過去三年落在 0.4~2.8 倍)、2027 年 BVPS 230.7 元，給予買進、目標價 570 元。

營運分析

3Q26 獲利季增 74.6%，主因 ASP 季增>60%

3Q26 營收 1,336.49 億元，季增 61.9%/年增 611.7%，其中 1) 平均售價(ASP)：季增超過 60%/年增超過 500%，受惠半年期/一年期等 LTA 重新議價及季度合約價調整、2) 位元出貨量(Bit shipment)：季減中個位數百分比/年減低個位數百分比，主因新廠產能尚未開出且庫存處於低水位；毛利率達 85.7%，季增 6.2ppts/年增 67.2ppts，受惠 ASP 大幅成長；營業利益率 80%，季增 6.3ppts/年增 74ppts，費用方面提列當期及未來之員工薪酬增加；稅後獲利 876.27 億元，季增 74.6%/年增 5505.1%；EPS 25.40 元，整體 3Q26 獲利大致符合市場預期。

圖 1：2026 年第 3 季財報回顧

(百萬元)	3Q25A	2Q26A	3Q26A	季增率	年增率	3Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	18,779	82,549	133,649	61.9%	611.7%	--	133,354	--	0.2%
營業毛利	3,465	65,619	114,482	74.5%	3204.1%	--	113,836	--	0.6%
營業利益	1,119	60,826	106,894	75.7%	9451.3%	--	107,724	--	-0.8%
稅前利益	2,023	62,329	109,332	75.4%	5304.6%	--	109,629	--	-0.3%
稅後淨利	1,563	50,192	87,627	74.6%	5505.1%	--	88,266	--	-0.7%
稀釋後 EPS (元)	0.50	14.55	25.40	74.6%	4935.4%	--	25.58	--	-0.7%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	18.5%	79.5%	85.7%	6.2	67.2	--	85.4%	--	0.3
營業利益率	6.0%	73.7%	80.0%	6.3	74.0	--	80.8%	--	-0.8
稅後純益率	8.3%	60.8%	65.6%	4.8	57.2	--	66.2%	--	-0.6

資料來源：公司資料、元大投顧預估、Bloomberg

4Q26 DDR4 供需持續緊俏，ASP 預估仍延續雙位數季增幅但收斂至 15~20%

展望 4Q26，預估營收季增 13.2%/年增 402.6%至 1,512.46 億元，其中 1) ASP：預估季增 15~20%，考量 DDR4 供需緊俏延續，雖季增幅收斂且本季較無如 3Q26 LTA 重新議價的挹注，但仍預估季增雙位數百分比、2) 位元出貨量：考量 5A 新廠產能尚待 2H27 起陸續開出，此前僅能以生產效率提升與 16nm 製程微幅增加貢獻，且庫存仍處低水位，預估季減低個位數百分比；毛利率季增 0.4ppts/年增 37ppts 至 86.1%，預期在報價維持高檔下毛利率與 3Q26 水準相近；營業利益率季增 0.4ppts/年增 41.2ppts 至 80.4%；稅後獲利季增 11.9%/年增 784%至 980.62 億元；EPS 28.42 元續創新高。

圖 2：2026 年第 4 季財測與預估比較

(百萬元)	4Q25A	3Q26A	4Q26F	季增率	年增率	4Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	30,094	133,649	151,246	13.2%	402.6%	--	145,030	--	4.3%
營業毛利	14,759	114,482	130,149	13.7%	781.8%	--	125,494	--	3.7%
營業利益	11,781	106,894	121,555	13.7%	931.8%	--	117,724	--	3.3%
稅前利益	13,383	109,332	122,577	12.1%	815.9%	--	119,599	--	2.5%
稅後淨利	11,093	87,627	98,062	11.9%	784.0%	--	94,981	--	3.2%
稀釋後 EPS (元)	3.58	25.40	28.42	11.9%	694.0%	--	27.53	--	3.2%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	49.0%	85.7%	86.1%	0.4	37.0	--	86.5%	--	-0.5
營業利益率	39.1%	80.0%	80.4%	0.4	41.2	--	81.2%	--	-0.8
稅後純益率	36.9%	65.6%	64.8%	-0.7	28.0	--	65.5%	--	-0.7

資料來源：公司資料、元大投顧預估、Bloomberg

供不應求延續下，2027 年 DRAM 合約價仍維持高檔且獲利續創新高

本次法說會重點包括：1) 公司表示 DDR4 市場環境健康，DDR4 目前佔整體 DRAM 市場需求仍有約 12~14%，雖需求逐漸縮小但對應大幅縮減的供給仍相當強勁，ASP 仍有望保持雙位數成長；2) 2026 年資本支出指引不超過新台幣 697 億元，2026~2029 年 5A 新廠資本支出預算約新台幣 3,466 億元，屏東新廠長期資本支出規劃達 100 億美元，主要用於 AI 應用的 WoW 3D 晶圓封裝與測試需求，預計 2H28 起設備裝機；3) Server/AI 相關目前營收占比>20%，公司指引將成長至 2029~2030 年的 40~50%，預期隨新產能上線持續提升。

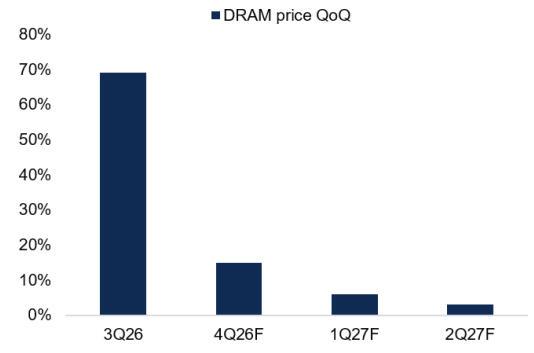
展望 2026/2027 年，目前月產能推估約 65kwpm，而 5A 新廠具備約 50kwpm 的擴充空間，目前規劃 2028 年將投產至 30kwpm，新增產能預計於 2H27 開始微幅貢獻，相關資本支出預算約新台幣 3,466 億元(含 EUV 設備)，長期而言公司亦預計於屏東科學園區投資設立 3D 晶圓封裝測試廠，導入矽穿孔(TSV)、晶圓堆疊等 3DIC 先進技術；位元出貨量方面，2026 年在晶圓產出尚待新廠產能開出、以生產效率提升與 16nm 製程微幅增加貢獻下，公司維持年增 high-10s %的指引，2027 年考量高基期且新廠產能於下半年才開始貢獻，預估 2H27 前位元出貨量維持平穩。

ASP 則受惠市場供需緊俏，1~3Q26 每季皆季增約 60~70%，4Q26 估亦將維持 15~20%的雙位數季增幅；進入 2027 年，DDR4 供不應求態勢延續，但考量報價已處高檔、非 AI 下游終端漸難以負荷，且記憶體原廠毛利率多已達 80%以上，預估 2027 年各季 ASP 持平至季增個位數百分比。

綜合上述，預估 2026/2027 年營收年增 525.5%/66.8%至 4,165.31 億元/6,946.17 億元；毛利率年增 60ppts/2ppts 至 82.5%/84.5%，2026 年毛利率受惠 ASP 大幅年增已顯著提升至高水位，2027 年報價上行趨勢持續但逐漸持穩於高檔，折舊方面，2026 年公司預估資本支出以不超過新台幣 697 億元為上限，其中約 50%用於設備採購，2027 年隨 5A 新廠投產所需設備投資持續增加，資本支出將大幅年增，故在 2026 年隨先前廠房設備折舊陸續到期使折舊成本相對低之後，2027 年折舊金額將明顯增加，但在目前 ASP 與獲利皆維持高檔且加計新產出貢獻下，整體 2027 年毛利率受折舊影響可控；營益率年增 68.8ppts/2.2ppts 至 76.7%/78.9%；稅後獲利年增 3861%/68.6%至 2,619.4 億元/4,416.29 億元；EPS 75.93/128.01 元。

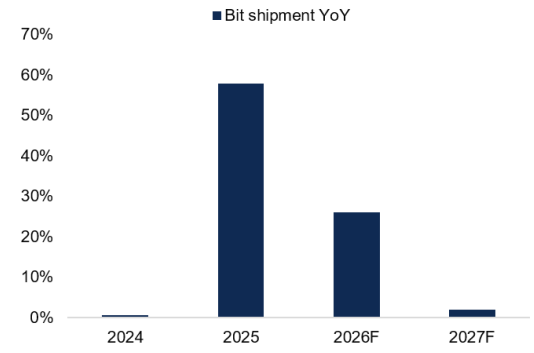
除報價與產能拉升外，中長期可關注趨勢包括：1) Server/AI 相關應用占比持續提升、2) DDR5 16Gb 6400/7200Mbps 及以上貢獻增加、3) WoW 客製化高頻寬記憶體放量。

圖 3：ASP 預期維持季增趨勢



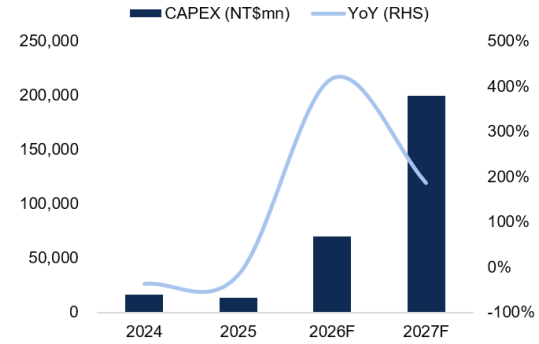
資料來源：元大投顧預估

圖 4：2026 年位元出貨量將年增雙位數%



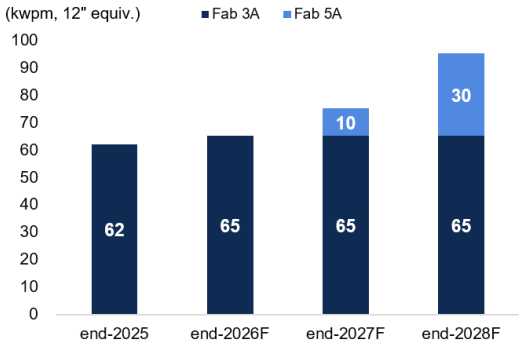
資料來源：元大投顧預估

圖 5：2026/2027 年資本支出持續提升



資料來源：公司資料、元大投顧預估

圖 6：2H27~2028/2029 年新廠產能陸續開出



資料來源：元大投顧預估

圖 7：預期 2027 年 DDR4 供不應求延續

WW DDR4 Sufficiency	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F
DDR4 sufficiency ratio	-23.2%	-16.9%	-23.9%	-30.7%	-28.5%	-28.8%	-24.6%	-20.0%	-4.9%	-23.1%	-26.1%

WW DDR4 Supply	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F
Nanya Tech	762	766	734	722	724	726	752	842	2,368	2,985	3,044
Winbond	218	193	181	199	234	255	278	297	667	792	1,065
Others	2,738	3,215	2,207	1,607	1,142	876	673	322	17,150	9,767	3,014
Total DDR4 die shipment (2Gb equiv. mn units)	3,718	4,175	3,123	2,528	2,101	1,857	1,703	1,461	20,185	13,544	7,122
YoY	*-20%*	*-23%*	*-41%*	*-48%*	*-43%*	*-56%*	*-45%*	*-42%*		*-33%*	*-47%*
DDR4 penetration rate in DRAM supply	*10%*	*10%*	*7%*	*5%*	*4%*	*3%*	*3%*	*2%*	*14%*	*8%*	*3%*

WW DDR4 Demand	1Q26	2Q26	3Q26	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F
PC DRAM demand	3,882	3,944	3,605	3,610	3,617	3,826	3,992	4,140	15,377	15,041	15,575
PC DDR4 demand (2Gb equiv. mn units)	621	552	433	361	235	172	160	124	3,473	1,967	691
DDR4 penetration rate in PC DRAM	*16%*	*14%*	*12%*	*10%*	*7%*	*5%*	*4%*	*3%*	*23%*	*13%*	*4%*
Server DRAM demand	22,338	25,175	26,768	28,712	34,354	40,298	44,551	45,944	65,499	102,993	165,146
Server DDR4 demand (2Gb equiv. mn units)	3,127	3,373	2,677	2,297	1,718	1,531	1,337	919	13,514	11,475	5,504
DDR4 penetration rate in server DRAM	*14%*	*13%*	*10%*	*8%*	*5%*	*4%*	*3%*	*2%*	*21%*	*11%*	*3%*
Other DRAM demand	1,759	1,774	1,661	1,704	1,794	1,809	1,694	1,738	6,762	6,897	7,035
Other DDR4 demand (2Gb equiv. mn units)	1,090	1,100	997	988	987	904	762	782	4,243	4,175	3,436
DDR4 penetration rate in other DRAM	*62%*	*62%*	*60%*	*58%*	*55%*	*50%*	*45%*	*45%*	*63%*	*61%*	*49%*
Total DDR4 demand (2Gb equiv. mn units)	4,839	5,025	4,106	3,646	2,939	2,608	2,259	1,825	21,229	17,616	9,631
YoY	*-10%*	*-8%*	*-22%*	*-28%*	*-39%*	*-48%*	*-45%*	*-50%*		*-17%*	*-45%*
DDR4 penetration rate in DRAM demand	*11%*	*11%*	*9%*	*7%*	*5%*	*4%*	*3%*	*3%*	*14%*	*9%*	*4%*

資料來源：IDC、元大投顧預估；Sufficiency ratio<0 為供不應求、>0 為供過於求

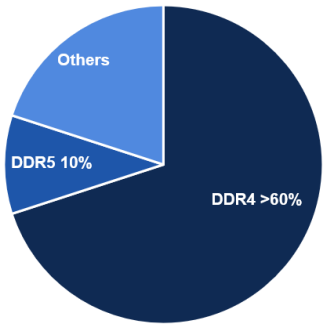
產品結構分析

受惠 DDR4 供需緊俏及寡佔優勢、Server/AI 占比續增，亦具備 DDR5 產品布局

雖三大國際原廠 DDR4 EOL 以將產能轉向 HBM/DDR5，中國同業長鑫存儲(CXMT)亦將重心轉往 DDR5，但 DDR4 於消費性/網通/Server 等仍具龐大需求，在供給大幅縮減下，公司目前已為全球第一大 DDR4 供應商，高度寡占且具備價格主導權，除 8Gb DDR4 以外，16Gb 亦於 2H26 開始貢獻營收。公司目前 Server/AI 相關應用營收比重已超過 20%，且占比將隨新產能開出而提升，持續受惠 Storage、BMC、NIC、Switch 應用等貢獻，相較國內同業有望減緩消費性疲弱影響。

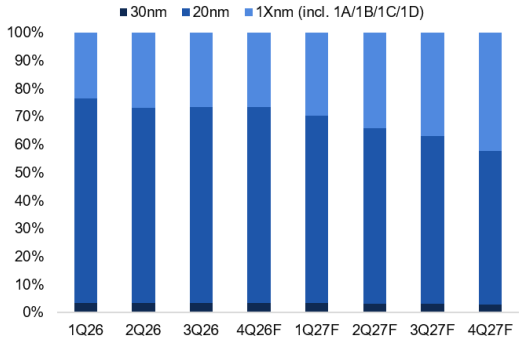
DDR4 為公司目前產業地位、獲利最有利的產品組合，但其亦具備 DDR5 技術能力與相關營收貢獻，目前採 1B 製程的 16Gb DDR5 已量產出貨，傳輸速率現以 6400Mbps 為主並持續開發 7200Mbps 及以上規格。未來若終端客戶需求加速由 DDR4 轉向 DDR5，公司得以靈活調整產能配置以增加出貨，持續拿下市場份額。除一般型 DRAM 以外，公司亦有 LPDDR4 產品出貨，LPDDR5 則有望於 2027 年導入量產。

圖 8：目前營收仍以 DDR4 為主



資料來源：公司資料、元大投顧整理

圖 9：1B/1C 營收占比持續提升

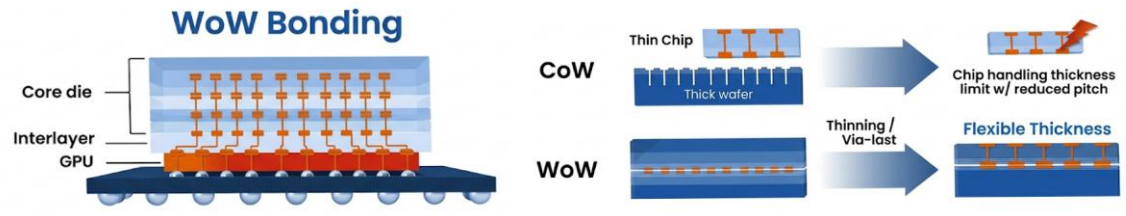


資料來源：元大投顧預估

WoW 客製化高頻寬記憶體為長期成長利基，布局 Edge AI 與外溢市場需求

WoW(Wafer-on-Wafer)客製化高頻寬記憶體為有利公司中長期營運體質的重要成長動能。目前的標準 HBM 為 IC 對 IC 堆疊，主要用於 Cloud AI 訓練等市場，然而 Edge 端裝置受限於功耗、成本與物理體積等限制無法直接採用，同時三大國際原廠有限之 HBM 產能亦無法完全滿足整體 Cloud 端市場需求，公司亦將受惠此外溢效果。其客製化產品採用 Wafer-on-Wafer Hybrid Bonding(晶圓級混合鍵合)技術，將 DRAM 與邏輯 Core Die 直接對接堆疊，能以顯著之成本與功耗優勢滿足客戶於 Edge 端的高頻寬需求。目前有多個客戶專案進行中，預估 2H27~2028 年可見較清晰的量產營收，新廠產能規劃上亦保留彈性予 WoW 客製化 DRAM 專案，長線有望為公司提供較穩定的獲利支撐。

圖 10：Wafer-on-wafer 堆疊技術示意圖



資料來源：Samsung、元大投顧整理

財務分析

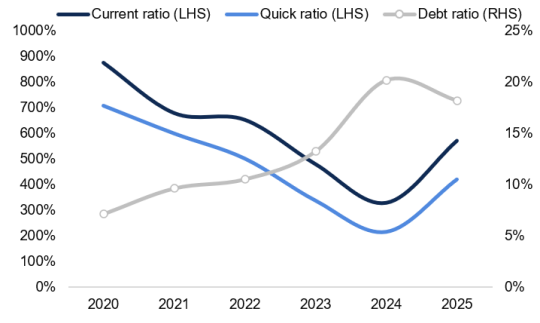
整體財務結構於產業上行及下行循環期間皆維持穩健

公司在 2020~2022 年上行循環期間，流動比率與速動比率分別高達 2020/2021/2022 年的 874%/678%/652%及 707%/599%/502%，後續下行期間雖降至 2023/2024 年的 480%/329%及 339%/217%，但整體仍位於健康水準，且負債比率在上行及下行期間均維持在低於 20%的低水準，短長期償債能力無虞。2025 年以來隨著記憶體市況轉佳、報價顯著上漲，加上 1H26 完成 787.18 億元之私募案，流動比率與速動比率再回升至 2Q26 的 691%與 635%，負債比率則為 17%，預期後續持續優化。

經營能力方面，應收/應付帳款週轉天數落在 36~60 天/19~48 天的健康區間，且兩者差距在合理範圍內。然而，存貨週轉天數受記憶體景氣循環影響，由上行循環期間 2020/2021 年的 130/97 天，攀升至下行循環期間 2023/2024 年的 271/333 天，使整體現金轉換週期由 2021 年的 120 天拉長至 2024 年 337 天，反映景氣谷底期間庫存積壓對營運資金運轉效率帶來短期壓力。不過隨著 2025 年以來 DRAM 報價顯著上漲且公司庫存去化加速，2Q26 存貨週轉天數已降至 124 天，帶動現金轉換週期縮短至 118 天，預期將持續改善。

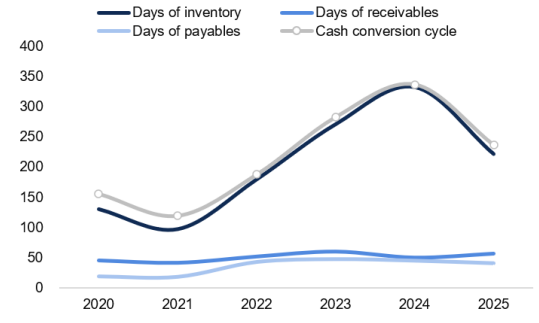
觀察現金流與資本支出動向，公司於 2021 年達到 328.47 億元的自由現金流高峰，隨後於 2022~2024 年下行期間，公司雖降低但仍投入 100 多億元的資本支出以推動製程技術組合轉往 10nm 級發展，自由現金流 2023/2024 年轉為淨流出 193.4/141.91 億元。儘管自由現金流短暫承壓，公司在手現金仍穩健維持於 500 億元以上之充沛水準，2025 年進入上行循環後營運顯著轉佳，1H26 自由現金流已達 805.52 億元，加上引進 Kioxia、SanDisk、Solidigm 及 Cisco 之高達 787.18 億元的私募案挹注，使 2Q26 底在手現金大幅提升至 2,176.03 億元的歷史新高，且隨著營運成長將持續增加，足以支應 5A 新廠未來四年高達 3,466 億元之資本支出規劃，整體財務結構穩健。

圖 11：短長期償債能力無虞



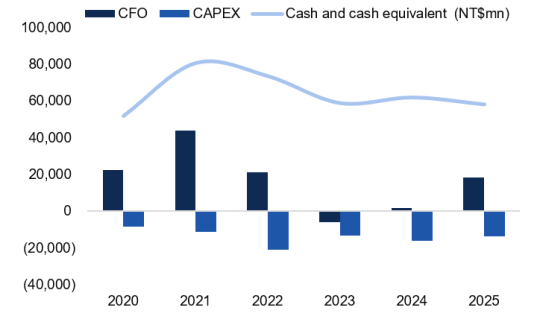
資料來源：公司資料、元大投顧整理

圖 12：現金週轉週期受景氣波動影響



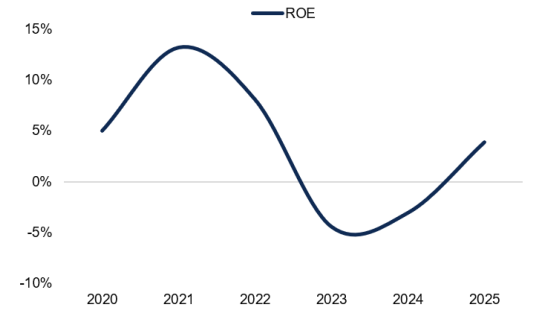
資料來源：公司資料、元大投顧整理

圖 13：在手現金維持高檔



資料來源：公司資料、元大投顧整理

圖 14：ROE 隨市況好轉持續提升



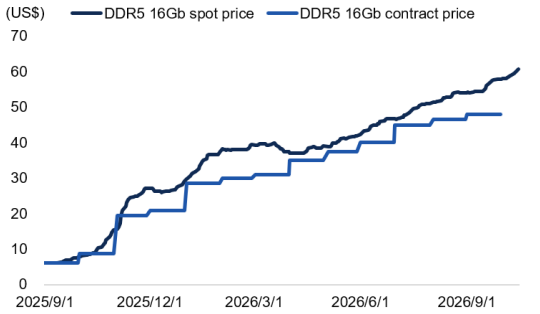
資料來源：公司資料、元大投顧整理

產業概況

2027 年 DRAM 供需緊俏與報價上行持續，主要由 Server 需求驅動

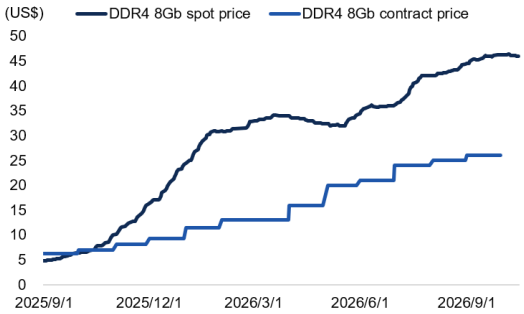
本中心預期 2027 年 DRAM 將持續供不應求，報價仍在上行循環，其中最主要驅動力為 Server 相關 DRAM 訂單需求大幅成長且優於預期，Server 佔整體 DRAM 位元需求比重持續增加，預期自 2026 年的 54%成長至 2027 年的 63%，供需差更達 20%以上，高於整體 DRAM 的約 10%，主因：1) Server 需求大幅成長，如本中心預估 2026/2027 年 ASIC 晶片量年增 91%/88%；2) Server 單位 DRAM Content 持續提升；3) AI Inference/Agentic AI 帶動 DRAM 儲存需求多樣化，如擴大導入 LPDDR(SOCAMM)於 Server 架構中，其中預估 2027 年 Nvidia VR200 機櫃對應 CPU 搭配的 SOCAMM2 位元需求成長高達 6 倍。

圖 15：DDR5 合約價/現貨價趨勢



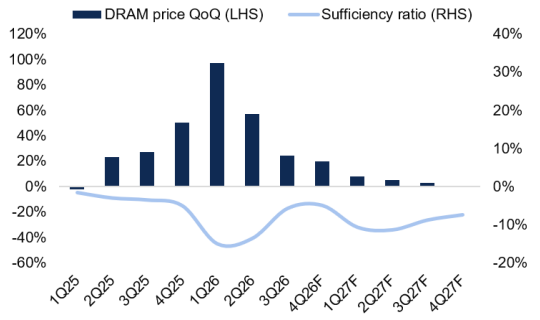
資料來源：Wind、元大投顧整理

圖 16：DDR4 合約價/現貨價趨勢



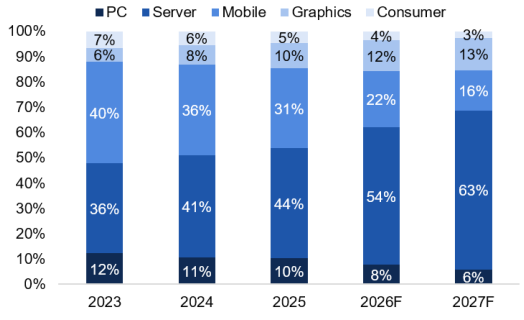
資料來源：Wind、元大投顧整理

圖 17：2027 年 DRAM 供需緊俏持續



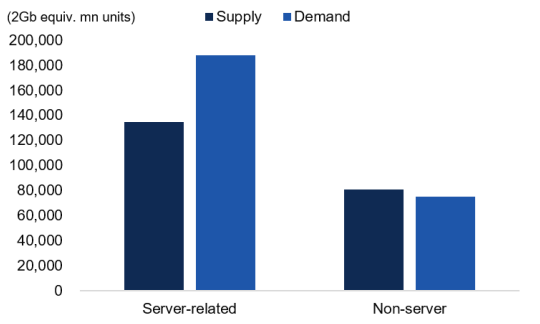
資料來源：IDC、元大投顧預估；Sufficiency ratio<0 為供不應求、>0 為供過於求

圖 18：Server 佔 DRAM 位元需求持續提升



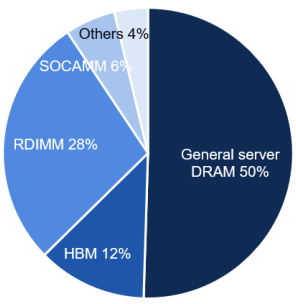
資料來源：IDC、元大投顧預估

圖 19：Server DRAM 供需差達 20%以上



資料來源：IDC、元大投顧預估

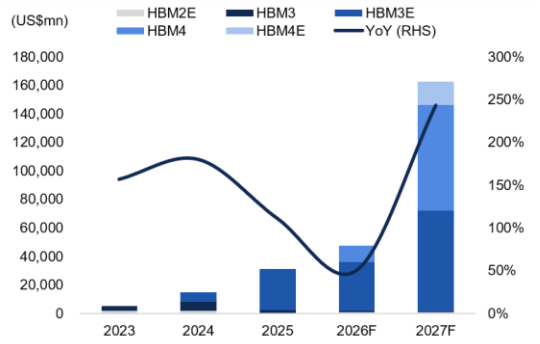
圖 20：Server DRAM 產品應用組成



資料來源：IDC、元大投顧預估

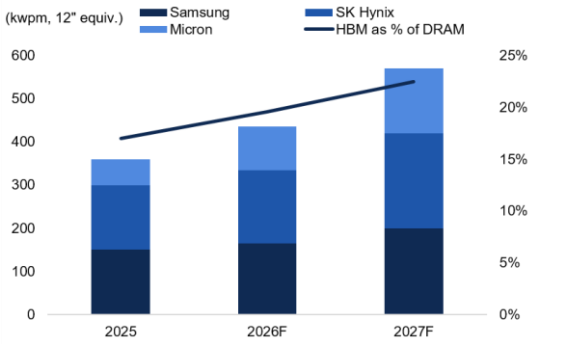
預期 2027 年 HBM 整體市場規模年增 243%，其中位元出貨量年增 55%、ASP 翻倍成長，主因：1) HBM 先前因年度議價機制無法反映 2H25 以來 DRAM 漲勢，近期已重新議定 2027 年度合約價；2) HBM4 放量出貨，其中 HBM4 佔整體 HBM 產值比重將達 46%。此外，雖 Rubin Ultra、TPU v9 搭配的 HBM4E 將由 12Hi 降至 8Hi，但主要為因應供給不足下為確保出貨顆數的應對措施，並非需求下修。2027 年 HBM 市場份額預期 SK Hynix 約 40~45%、Samsung 約 35~40%、Micron 約 25~30%，SK Hynix 仍為 HBM 龍頭，但因 Samsung HBM4 進度優於同業、SK Hynix 持續調整 HBM4 效能，使 Samsung 市佔率具提升空間。

圖 21：2027 年 HBM 市場規模將年增 243%



資料來源：元大投顧預估

圖 22：HBM 佔整體 DRAM 投片比重持續提升



資料來源：元大投顧預估

以 BOM Cost 分布來看，DRAM/NAND 漲價對於 General Server 與 PC 價格之影響程度較高，如 DRAM/NAND 漲 10%，對於 AI Server/General Server/PC/Smartphone 整機價格之影響分別為 1%/5.3%/3~3.6%/2~3%。

而組裝廠更改記憶體規格之彈性來看，PC 最高、Server 其次、AI Server 接續、Smartphone 最低。其中 PC 品牌廠因各地所需之規格不同且主機板可調整彈性相對手機高，加上每年都會針對原有的零組件對供應商要求降價，因此可以最快調整其記憶體設計以因應記憶體價格變化，因此將較快出現產品降規之情況；Server 部分以 Storage Server 所受之影響最大，尤其對於以中小企業客戶為主之白牌業者其價格敏感度較高，不過對 CSP 來說對於 General Server/AI Server(占比小)漲價之接受度仍高；而 Smartphone 則只能在下一代產品發布前更改設計，多只能自行吸收或是對下游反映售價，對於品牌廠毛利與終端需求影響較大。

圖 23：記憶體漲價對 Storage server/PC/Smartphone 影響較大，AI Server 則相對輕微

	DRAM % of cost	NAND % of cost	Sensitivity*
Server			
AI Server	6~9%	2~3%	1.0%
General Server**	35~40%	10~20%	5.3%
PC* **			
High	20~25%	12~15%	3.6%
Mid	15~20%	12~15%	3.1%
Low	15~20%	10~15%	3.0%
Smartphone**			
High	20~25%	5~10%	3.0%
Mid	20~25%	5~10%	2.7%
Low	15~20%	0~5%	2.0%

*資料來源：TrendForce、元大投顧整理；*假設 DRAM/NAND 漲價 10%；**General Server 又可分為高密度運算、一般型、儲存與邊緣運算等用途；***PC 僅計算 DIMM 與 SSD；****手機僅計算 ROM 與 UFS。*

2027 年原廠 DRAM/NAND 新增產能有限，仍不足以因應強勁成長的需求

雖 2027 年中部份新產能將上線，三大 DRAM 國際原廠年底投片月產能預估皆僅較 2026 年底增加 10~15%，長鑫存儲擴產幅度雖達 20~30%仍難以滿足中國國內需求(目前中國 DRAM 自給率僅 30~40%)，即使搭配製程轉換以提升位元產出，仍無法滿足本中心預估之全球 DRAM 位元需求量 30%以上的強勁成長，其中國際原廠擴產計畫如下：

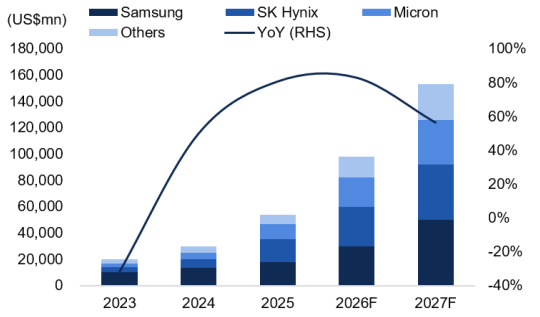
1) Samsung：P4L 自 3Q25 起陸續投產，預計至 2027 年底月產能將達約 150kwpm，主要用於 1c DRAM 以因應強勁的 HBM4 需求，並持續推動現有廠房舊製程轉往 1c nm 以滿足 HBM 與通用型 1c DRAM 市場；此外，P5L Fab 1 已於 2025 年底復工、Fab 2 提前至 2026 年 7 月動工，產能目標高於現有廠房約 50%以上。

2) SK Hynix：M15X 2026 下半年預計投產約 40kwpm，2027 年底月產能將達約 80kwpm，主要用於 1b 並部分導入 1c DRAM；公司亦表示 Y1 首個無塵室設備裝機將提前 3 個月至 2027 年 5 月，以因應強勁的 AI 相關記憶體需求，預計至 2030 年上半年分階段開出共 360kwpm 的產能，Y2 則預計 2027 年 7 月動工、2029 年 6 月投產，用於生產 HBM 及下世代 DRAM。

3) Micron：美國 ID1 預計 2027 年中產出第一批晶圓、ID2 則預計 2028 年底產出；向力積電添購之銅鑼廠預計提前一季至 2027 年中出貨；新加坡廠區 HBM 封裝產能將於 2027 年上半年開始貢獻。

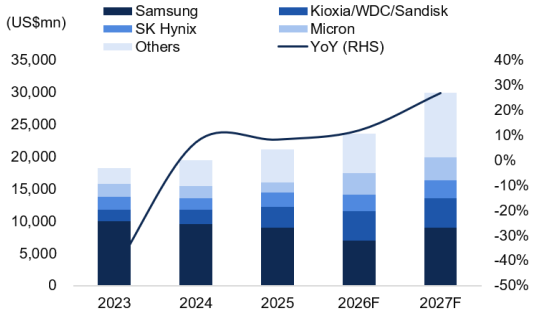
4) 長鑫存儲：上海新廠 2027 年開始投產，主要針對 HBM3 等高端記憶體產品，亦新建後段封測廠以填補中國在 TSV 及堆疊封裝的供應鏈空白，合肥 Phase 3 則預計以 LPDDR4X/5/5X 等產品為主，預計 2028 年開始投產。

圖 24：2027 年 DRAM CAPEX 將年增 56%



資料來源：公司資料、Bloomberg、元大投顧預估

圖 25：2027 年 NAND CAPEX 將年增 27%



資料來源：公司資料、Bloomberg、元大投顧預估

圖 26：原廠 DRAM 部分新產能 2027 年中開出，NAND 則以製程轉換提升位元產出為主

Company	Fab	Country	Capacity (kwpm)		Capacity plans
			end-27F	end-28F	
Samsung	P4L	Korea	150	150	DRAM: • P4L capacity will expand to 120kwpm, mainly for 1c DRAM to meet the strong HBM4 demand. • P5L Fab 1 resumed construction in late 2025, with MP expected in late-2027 to 2028. P5L Fab 2 construction start was pulled in by 6 months to 7M26, targeting MP in 2029. P5L is for DRAM(incl. HBM) and full capacity will be 50% higher than that of existing fabs.
	P5L	Korea	-	100	
SK Hynix	M15X	Korea	80	80	DRAM/NAND: • M15X will begin production at 40kwpm in 2H26 and scale to 80kwpm in 2027, mainly for 1b alongside initial 1c capacity. • Y1's first cleanroom equipment installation was pulled in by 2 months to 2M27. The company plans to add one 60kwpm cleanroom every six months until 1H30, reaching 360kwpm in total. • M17's first NAND cleanroom will start production in 12M28. Until then, NAND strategy will focus on technology upgrades (e.g., adding layers). • Y2 construction will begin in 7M27, with the first cleanroom starting HBM and next-generation DRAM production in 6M29.
	Y1	Korea	40	160	
Micron	OMT	Taiwan	290	300	DRAM/NAND: • US ID1 targets first wafer out in mid-2027, followed by ID2 in late 2028. Construction for first New York megafab began in 1M26. • The newly acquired Tongluo fab (Taiwan) is expected to begin actual product shipments in mid-2027 (a quarter ahead of schedule). Construction of a second EUV-capable cleanroom of the same scale has also begun. • The Singapore site will meaningfully contribute to HBM packaging capacity starting 1H27. • The Singapore NAND cleanroom will add new capacity in 2H28.
	ID1	US	15	50	
	ID2	US	-	10	
	-	Singapore	-	15	
Kioxia/Sandisk	Iwate Fab2(K2)	Japan	40	40	NAND: • K2 opened in 9M25 and BiCS10 MP will begin in 2026. • K3 began preliminary construction in 8M26, with production expected to start in 2029.
Nanya Tech	5A	Taiwan	10	30	DRAM: • The new 5A fab targets a full capacity of 50kwpm, primarily for 1c process in server/AI applications. Current plans aim for 30kwpm by 2028, with minor capacity contributions starting 2H27. • The new Pingtung fab will focus on WoW 3D packaging, with equipment installation beginning in 2H28.
Winbond	KH	Taiwan	24	24	DRAM/NAND: • Kaohsiung fab's DRAM capacity will increase to 24kwpm by end-2026, primarily adding 16nm process capacity. • Kaohsiung fab Module B will break ground in 1M27, with equipment installation in 2029 and MP by end-2029. It will utilize EUV for 16/14/12nm processes, reaching a full capacity of 50–60kwpm.
CXMT	Shanghai	China	60	100	DRAM: • Hefei Phase 3 will focus on mobile DRAM such as LPDDR4/5/5X. • The Shanghai fab will focus on HBM backend packaging, with production gradually ramping from late 2026.
	Phase 3	China	-	50	
YMTC	Wuhan Fab3	China	60	100	NAND: • Wuhan Fab 3 will begin production in late 2026 and gradually ramp up to 50kwpm by end-2027 (full capacity up to 100kwpm). • Wuhan Fab 4 and 5 will each have a 100kwpm capacity, with production slated for 2028-2029.
	Wuhan Fab4	China	-	30	
	Wuhan Fab5	China	-	30	

資料來源：公司資料、元大投顧預估

獲利預估與股票評價

正向看待南亞科後續營運，目標價 570 元

展望後續，在 ASP 維持高檔且新廠產能將於 2H27 開始逐步貢獻下，正向看待公司中長期營運成長，預估 2026/2027 年營收年增 525.5%/66.8%至 4,165.31 億元/6,946.17 億元，毛利率年增 60ppts/2ppts 至 82.5%/84.5%，EPS 年增 3457.6%/68.6%至 75.93/128.01 元。

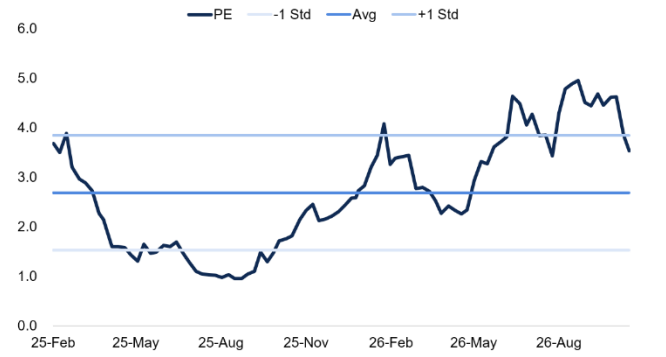
目前公司股價約在 1.8 倍 2027 年每股淨值(BVPS) (隱含本益比 3.2 倍)，低於國外同業平均的 2.0 倍，公司過去三年 PB 則落在 0.4~2.8 倍區間。雖目前循環處於 DRAM 報價仍維持高檔但預期後續季增幅將收斂的階段，然而考量 1) 公司為 DDR4 第一大廠的產業地位且同時具備 DDR5 產品布局、2) 產品組合將逐步擺脫消費性並持續往 Server/AI 提升(目前相關營收占比已超過 20%)、3) WoW 客製化產品有望帶來更穩定的獲利支撐，有助公司中長期營運更加穩健，以 2.5 倍 PB、2027 年 BVPS 230.7 元，推得目標價 570 元，給予買進評等。

圖 27：2026 和 2027 年財務預估與市場共識比較

(百萬元)	2026 估		2027 估		預估差異	
	元大預估	市場共識	元大預估	市場共識	2026	2027
營業收入	416,531	409,888	694,617	663,371	1.6%	4.7%
營業毛利	343,566	338,891	586,673	567,501	1.4%	3.4%
營業利益	319,386	315,538	547,720	529,087	1.2%	3.5%
稅前利益	325,956	322,655	552,036	537,938	1.0%	2.6%
稅後淨利	261,940	260,433	441,629	431,918	0.6%	2.2%
稀釋後 EPS (元)	75.93	75.49	128.01	125.20	0.6%	2.2%
重要比率 (%)					百分點	百分點
營業毛利率	82.5%	82.7%	84.5%	85.5%	-0.2	-1.1
營業利益率	76.7%	77.0%	78.9%	79.8%	-0.3	-0.9
稅後純益率	62.9%	63.5%	63.6%	65.1%	-0.7	-1.5

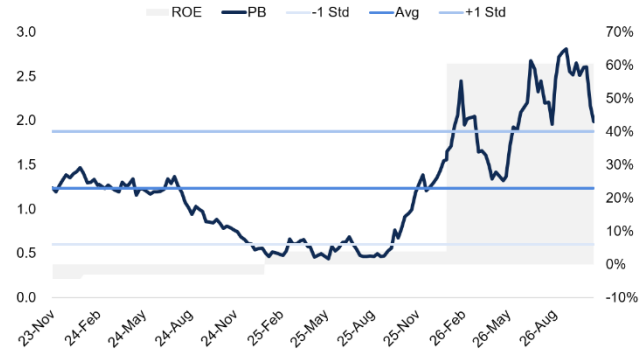
資料來源：公司資料、元大投顧預估

圖 28：12 個月預期本益比區間圖



資料來源：公司資料、元大投顧預估、CMoney

圖 29：12 個月預期股價淨值比區間圖



資料來源：公司資料、元大投顧預估、CMoney

圖 30：同業評價比較表

公司	代碼	評等	股價	市值 (百萬美元)	調整後每股盈餘			本益比(倍)			調整後每股盈餘成長率 (%)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
南亞科	**2408 TT**	**買進**	**414.0**	**46,174**	**2.13**	**75.93**	**128.01**	**194.0**	**5.5**	**3.2**	**--**	**3457.6**	**68.6**
國外同業													
Micron	MU US	未評等	913.7	1,033,747	7.7	73.5	173.7	119.4	12.4	5.3	986.7	861.0	136.3
SK Hynix	000660 KS	未評等	1,223,000.0	712,810	62,044.0	351,508.9	466,352.1	19.7	3.5	2.6	115.9	466.5	32.7
Samsung	005930 KS	未評等	214,500.0	1,089,519	6,605.1	47,091.5	70,345.2	32.5	4.6	3.0	33.4	613.0	49.4
國外同業平均					**22,885.6**	**132,891.3**	**178,957.0**	**57.2**	**6.8**	**3.6**	**378.7**	**646.8**	**72.8**
國內同業													
華邦電	2344 TT	未評等	154.5	22,006	0.9	25.6	53.8	175.5	6.0	2.9	530.1	2,807.8	110.0
旺宏	2337 TT	未評等	99.5	6,259	(1.8)	18.4	39.3	--	5.4	2.5	--	--	113.6
國內同業平均					**(0.4)**	**22.0**	**46.5**	**175.5**	**5.7**	**2.7**	**530.1**	**2,807.8**	**111.8**

資料來源：公司資料、元大投顧、Reuters；每股盈餘數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 31：同業評價比較表 (續)

公司	代碼	評等	股價	市值 (百萬美元)	股東權益報酬率(%)			每股淨值			股價淨值比(倍)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
南亞科	**2408 TT**	**買進**	**414.0**	**46,174**	**3.9**	**60.5**	**55.5**	**54.99**	**125.48**	**230.71**	**7.5**	**3.3**	**1.8**
國外同業													
Micron	MU US	未評等	913.7	1,033,747	19.1	78.6	82.8	48.5	117.9	258.0	18.8	7.7	3.5
SK Hynix	000660 KS	未評等	1,223,000.0	712,810	44.2	98.4	61.7	174,218.0	510,513.2	937,242.9	7.0	2.4	1.3
Samsung	005930 KS	未評等	214,500.0	1,089,519	10.7	52.4	49.1	63,321.0	108,052.4	166,732.5	3.4	2.0	1.3
國外同業平均					**24.6**	**76.5**	**64.5**	**79,195.8**	**206,227.9**	**368,077.8**	**9.7**	**4.0**	**2.0**
國內同業													
華邦電	2344 TT	未評等	154.5	22,006	3.6	65.6	71.4	24.0	50.1	97.4	6.4	3.1	1.6
旺宏	2337 TT	未評等	99.5	6,259	(7.8)	52.8	63.2	24.6	47.1	93.6	4.1	2.1	1.1
國內同業平均					**(2.1)**	**59.2**	**67.3**	**24.3**	**48.6**	**95.5**	**5.2**	**2.6**	**1.3**

資料來源：公司資料、元大投顧、Reuters；每股淨值數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 32：季度及年度簡明損益表 (合併)

(NT$百萬元)	1Q2026A	2Q2026A	3Q2026A	4Q2026F	1Q2027F	2Q2027F	3Q2027F	4Q2027F	FY2026F	FY2027F
營業收入	49,087	82,549	133,649	151,246	160,706	165,962	173,599	194,349	416,531	694,617
銷貨成本	(15,761)	(16,932)	(19,167)	(21,098)	(22,088)	(23,815)	(28,028)	(34,013)	(72,958)	(107,944)
營業毛利	33,316	65,619	114,482	130,149	138,619	142,147	145,572	160,335	343,566	586,673
營業費用	(3,205)	(4,793)	(7,588)	(8,593)	(9,228)	(9,404)	(9,938)	(10,382)	(24,179)	(38,952)
營業利益	30,111	60,826	106,894	121,555	129,390	132,743	135,634	149,954	319,386	547,720
業外利益	1,607	1,503	2,438	1,022	1,028	1,054	1,098	1,135	6,570	4,316
稅前純益	31,718	62,329	109,332	122,577	130,418	133,797	136,732	151,089	325,956	552,036
所得稅費用	(5,660)	(12,138)	(21,705)	(24,515)	(26,084)	(26,759)	(27,346)	(30,218)	(64,018)	(110,407)
少數股東權益	(1)	0	0	0	0	0	0	0	(2)	0
歸屬母公司稅後純益	26,059	50,192	87,627	98,062	104,334	107,037	109,386	120,872	261,940	441,629
調整後每股盈餘(NT$)	7.55	14.55	25.40	28.42	30.24	31.03	31.71	35.04	75.93	128.01
調整後加權平均股數(百萬股)	3,450	3,450	3,450	3,450	3,450	3,450	3,450	3,450	3,450	3,450
重要比率										
營業毛利率	67.9%	79.5%	85.7%	86.1%	86.3%	85.7%	83.9%	82.5%	82.5%	84.5%
營業利益率	61.3%	73.7%	80.0%	80.4%	80.5%	80.0%	78.1%	77.2%	76.7%	78.9%
稅前純益率	64.6%	75.5%	81.8%	81.0%	81.2%	80.6%	78.8%	77.7%	78.3%	79.5%
稅後純益率	53.1%	60.8%	65.6%	64.8%	64.9%	64.5%	63.0%	62.2%	62.9%	63.6%
有效所得稅率	17.8%	19.5%	19.9%	20.0%	20.0%	20.0%	20.0%	20.0%	19.6%	20.0%
季增率(%)										
營業收入	63.1%	68.2%	61.9%	13.2%	6.3%	3.3%	4.6%	12.0%		
營業利益	155.6%	102.0%	75.7%	13.7%	6.4%	2.6%	2.2%	10.6%		
稅後純益	134.9%	92.6%	74.6%	11.9%	6.4%	2.6%	2.2%	10.5%		
調整後每股盈餘	111.0%	92.6%	74.6%	11.9%	6.4%	2.6%	2.2%	10.5%		
年增率(%)										
營業收入	582.9%	684.2%	611.7%	402.6%	227.4%	101.0%	29.9%	28.5%	525.5%	66.8%
營業利益	--	--	9451.3%	931.8%	329.7%	118.2%	26.9%	23.4%	5991.3%	71.5%
稅後純益	--	--	5505.1%	784.0%	300.4%	113.3%	24.8%	23.3%	3861.0%	68.6%
調整後每股盈餘	--	--	4935.4%	694.0%	300.4%	113.3%	24.8%	23.3%	3457.6%	68.6%

資料來源：公司資料、元大投顧、CMoney；標"A"為歷史數據；調整後每股盈餘為根據調整後加權平均股數計算。

公司簡介

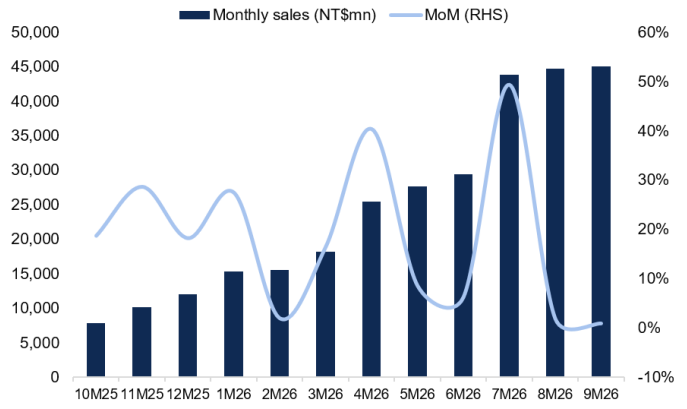
南亞科技成立於 1995 年，近年於全球 DRAM 市佔率約 1~2%，排名第五，公司目前以 DDR4 為主(佔比 60~70%)，亦具備 DDR5 產品，以應用別而言，PC & Server 約 25~30%、Mobile 約 10~15%、Consumer 約 60~70%。公司生產基地為新北泰山 3A 廠，月產能 6~6.5 萬片。由於 DDR4/5 為長期主流市場，公司將陸續發展 1B/1C/1D 製程，且預計 2026~2029 年投入新台幣 3,466 億元建置 5A 新廠產能，預估新產能將於 2H27~2028 年開出。

圖 33：前十大股東

Name	Holding
Nan Ya Plastics Corp.	26.3%
Formosa Chemicals & Fibre Corp.	7.9%
Formosa Petrochemical Corp.	7.9%
Formosa Plastics Corp.	7.9%
Labor Pension Fund (The New Fund)	1.0%
Tsu-Yuan, Chen	0.9%
HACF, L.P.	0.9%
Mai-Liao Power Corporation	0.7%
Mitsubishi UFJ Morgan Stanley Securities Co., Ltd.- equity trading division	0.7%
Yuanta/P-shares Taiwan Top 50 ETF	0.6%
Total	**54.8%**

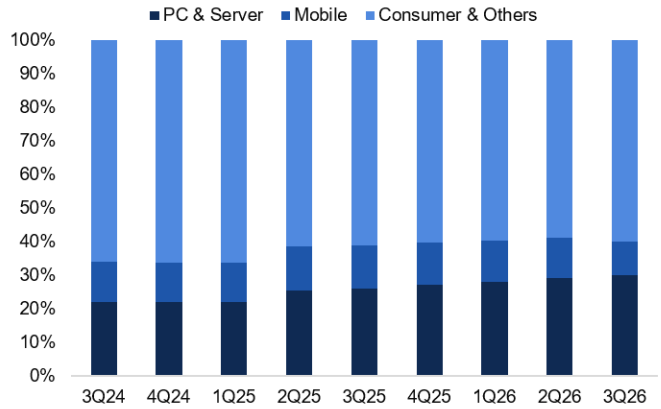
資料來源：公司資料、元大投顧整理

圖 34：月營收趨勢



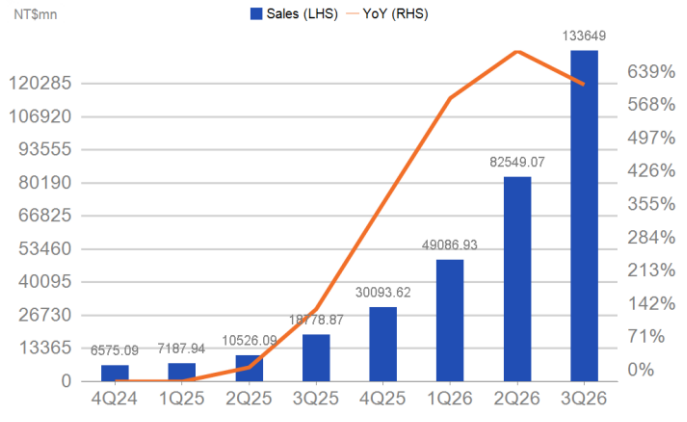
資料來源：Wind、公司資料、元大投顧整理

圖 35：營收組成



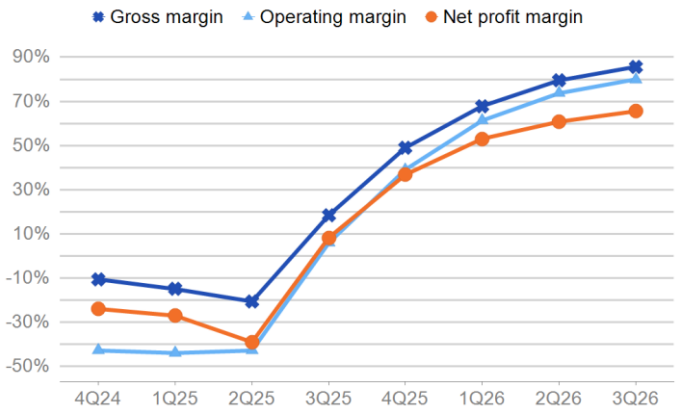
資料來源：公司資料、元大投顧整理

圖 36：營收趨勢



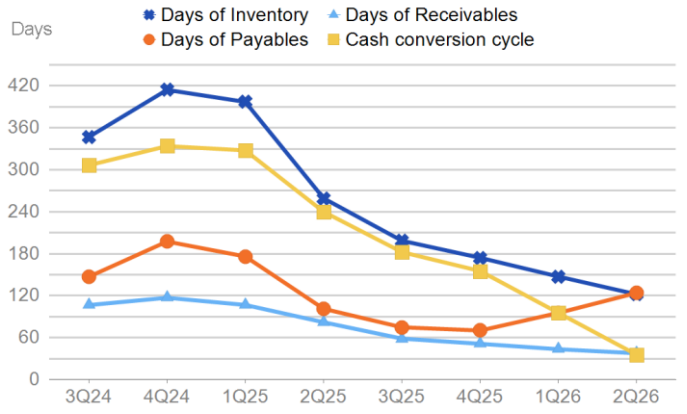
資料來源：CMoney、公司資料

圖 37：毛利率、營益率、淨利率



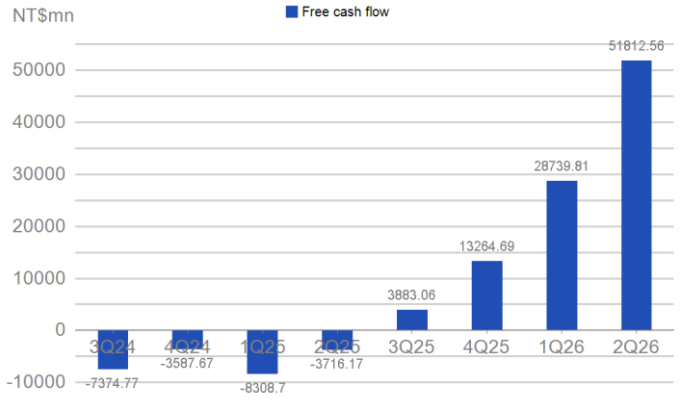
資料來源：CMoney、公司資料

圖 38：經營能力



資料來源：CMoney、公司資料

圖 39：自由現金流量



資料來源：CMoney、公司資料

ESG 分析

分別藉由「在 ESG 議題上的曝險」和「個別公司在 ESG 議題上的執行力」兩個面向來衡量公司於 ESG 上的表現。

- **ESG 總分：** 南亞科整體的 ESG 風險評級屬於中等風險，於 Sustainalytics 資料庫所覆蓋的公司中排行在略為領先的位置，但在半導體設計與製造的公司中排名領先同業。
- **在 ESG 議題上的曝險：** 南亞科的整體曝險屬於中等水準，與半導體設計與製造行業的平均水準相當。公司較需要改善的 ESG 議題包含商業道德以及人力資源等。
- **個別公司在 ESG 議題上的執行力：**南亞科在針對重大 ESG 議題的管理水準和執行力屬較佳。ESG 報告體系完善，公司已指定董事會成員負責監督 ESG 相關事宜。使用 ESG 目標評估高階主管績效；然而，這些目標並未在薪酬政策中明確規定。儘管如此，公司的檢舉人保護計畫和環境政策均較為完善。

圖 40：ESG 分析

分項	評分/評級
ESG 總分	21.0
在 ESG 議題上的曝險 (A)	50.3
個別公司在 ESG 議題上的執行力 (B)	62.9
風險評級	中 ★
同業排行(1~100，1 為最佳)	25

資料來源：Sustainalytics (2026/10/25)

*註 1：ESG 總分=A-(A*可控風險因子*B/100)*

註 1-1：可控風險因子介於 0-1 之間，越大為越佳。

註 2：ESG 總分風險評級： 極低 (0-10) | 低 (10-20) | 中 (20-30) | 高 (30-40) | 極高 (40+)

註 3：曝險分數評級： 低 (0-35) | 中 (35-55) | 高 (55+)

註 4：執行力分數評級： 弱 (0-25) | 中 (25-50) | 強 (50-100)

資產負債表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
現金與短期投資	58,812	61,903	58,074	241,271	407,640
存貨	27,634	35,318	27,288	16,687	36,545
應收帳款及票據	5,220	4,132	16,558	54,195	59,989
其他流動資產	4,844	6,593	6,621	6,621	6,621
流動資產	**96,510**	**107,946**	**108,541**	**318,774**	**510,795**
採用權益法之投資	5,120	4,645	5,904	6,433	7,098
固定資產	81,838	84,327	85,031	142,456	316,792
無形資產	927	688	531	311	311
其他非流動資產	**7,955**	**9,100**	**8,446**	**8,416**	**8,416**
非流動資產	**95,841**	**98,760**	**99,912**	**157,616**	**332,618**
資產總額	**192,351**	**206,706**	**208,453**	**476,389**	**843,413**
應付帳款及票據	3,443	5,180	6,481	11,909	15,891
短期借款	11,181	14,536	5,060	5,060	5,060
什項負債	5,493	13,064	7,480	7,480	7,480
流動負債	**20,118**	**32,780**	**19,020**	**24,448**	**28,430**
長期借款	0	0	10,200	14,196	14,196
其他負債及準備	5,309	8,873	8,694	4,698	4,698
長期負債	**5,309**	**8,873**	**18,894**	**18,894**	**18,894**
負債總額	**25,427**	**41,653**	**37,914**	**43,342**	**47,324**
股本	30,983	30,986	30,986	34,502	34,502
資本公積	32,826	32,834	33,081	33,081	33,081
保留盈餘	102,516	97,478	104,102	363,097	726,138
什項權益	599	3,755	2,231	2,231	2,231
歸屬母公司之權益	**166,924**	**165,053**	**170,400**	**432,910**	**795,952**
非控制權益	**0**	**0**	**139**	**137**	**137**
股東權益總額	**166,924**	**165,053**	**170,538**	**433,047**	**796,089**

資料來源：公司資料、元大投顧

現金流量表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
本期純益	(7,440)	(5,083)	6,613	261,939	441,629
折舊及攤提	15,326	16,144	14,281	12,496	25,663
本期營運資金變動	(5,679)	(6,705)	(3,610)	(21,608)	(21,670)
其他營業資產及負債變動	(8,303)	(2,404)	1,285	0	0
營運活動之現金流量	**(6,095)**	**1,952**	**18,568**	**252,826**	**445,622**
資本支出	(13,245)	(16,143)	(13,446)	(69,700)	(200,000)
本期長期投資變動	(266)	(475)	1,259	(499)	(665)
其他資產變動	725	430	(1,923)	0	0
投資活動之現金流量	**(12,786)**	**(16,188)**	**(14,110)**	**(70,199)**	**(200,665)**
股本變動	2	4	0	0	0
本期負債變動	(29,274)	14,105	(6,027)	0	0
現金增減資	0	0	0	3,516	0
支付現金股利	(6,600)	--	--	(2,945)	(78,588)
其他調整數	40,068	(401)	(291)	0	0
融資活動之現金流量	**4,196**	**13,707**	**(6,317)**	**570**	**(78,588)**
匯率影響數	**(96)**	**3,619**	**(1,970)**	**0**	**0**
本期產生現金流量	**(14,781)**	**3,091**	**(3,829)**	**183,197**	**166,369**
自由現金流量	**(19,340)**	**(14,191)**	**5,123**	**183,126**	**245,622**

資料來源：公司資料、元大投顧

損益表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
營業收入	**29,892**	**34,132**	**66,587**	**416,531**	**694,617**
銷貨成本	(34,375)	(34,552)	(51,600)	(72,958)	(107,944)
營業毛利	**(4,483)**	**(421)**	**14,986**	**343,566**	**586,673**
營業費用	(9,977)	(10,134)	(9,741)	(24,179)	(38,952)
推銷費用	(589)	(665)	(832)	(2,560)	(3,817)
研究費用	(7,576)	(7,685)	(7,041)	(16,329)	(26,800)
管理費用	(1,812)	(1,784)	(1,868)	(5,290)	(8,335)
其他費用	0	0	0	0	0
營業利益	**(14,460)**	**(10,555)**	**5,243**	**319,386**	**547,720**
利息收入	3,160	3,361	2,478	4,143	3,447
利息費用	(146)	(421)	(659)	(175)	(326)
利息收入淨額	3,014	2,939	1,819	3,967	3,121
投資利益(損失)淨額	193	101	417	1,052	1,077
匯兌損益	(38)	697	(214)	946	0
其他業外收入(支出)淨額	587	260	617	604	118
稅前純益	(10,705)	(6,557)	7,882	325,956	552,036
所得稅費用	3,265	1,474	(1,269)	(64,018)	(110,407)
少數股權淨利	0	0	0	(2)	0
歸屬母公司之稅後純益	**(7,440)**	**(5,083)**	**6,614**	**261,940**	**441,629**
稅前息前折舊攤銷前淨利	4,767	9,973	22,735	306,891	522,057
調整後每股盈餘 (NT$)	**4.30**	**(1.64)**	**2.13**	**75.93**	**128.01**

資料來源：公司資料、元大投顧

主要財務報表分析

年初至 12 月	2023A	2024A	2025A	2026F	2027F
年成長率 (%)					
營業收入	(47.5)	14.2	95.1	525.5	66.8
營業利益	--	--	--	5991.3	71.5
稅前息前折舊攤銷前淨利	(85.2)	109.2	128.0	1249.9	70.1
稅後純益	--	--	--	3861.0	68.6
調整後每股盈餘	(8.9)	--	--	3457.6	68.6
獲利能力分析 (%)					
營業毛利率	(15.0)	(1.2)	22.5	82.5	84.5
營業利益率	(48.4)	(30.9)	7.9	76.7	78.9
稅前息前淨利率	(36.3)	(20.5)	10.9	76.7	78.9
稅前息前折舊攤銷前淨利率	16.0	29.2	34.1	73.7	75.2
稅前純益率	(35.8)	(19.2)	11.8	78.3	79.5
稅後純益率	(24.9)	(14.9)	9.9	62.9	63.6
資產報酬率	(3.8)	(2.6)	3.2	55.0	52.4
股東權益報酬率	(4.3)	(3.1)	3.9	60.5	55.5
穩定/償債能力分析					
負債權益比 (%)	15.2	25.2	22.2	10.0	5.9
淨負債權益比(%)	(28.5)	(28.7)	(25.1)	(51.3)	(48.8)
利息保障倍數 (倍)	(72.6)	(14.6)	13.0	1859.4	1693.9
流動比率 (%)	479.7	329.3	570.7	1303.9	1796.7
速動比率 (%)	338.6	217.2	420.8	1235.7	1668.2
淨負債 (NT$百萬元)	(47,631)	(47,367)	(42,815)	(222,016)	(388,385)
調整後每股淨值 (NT$)	53.88	53.27	54.99	125.48	230.71
評價指標 (倍)					
本益比	96.3	-	194.0	5.5	3.2
股價自由現金流量比	-	-	278.8	7.8	5.8
股價淨值比	7.7	7.8	7.5	3.3	1.8
股價稅前息前折舊攤銷前淨	299.6	143.2	62.8	4.7	2.7
股價營收比	47.8	41.8	21.4	3.4	2.1

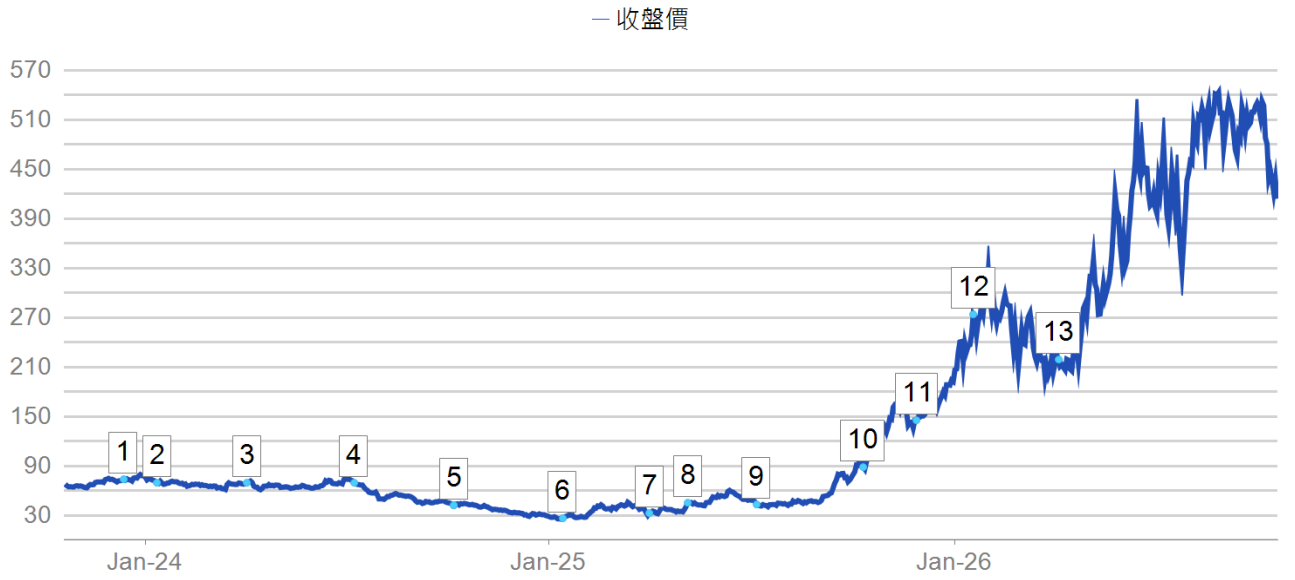
資料來源：公司資料、元大投顧；註：負債為短期債加上長期債。

附錄：重要揭露事項

分析師聲明

主要負責撰寫本研究報告全文或部分內容之分析師，茲針對本報告所載證券或證券發行機構，於此聲明：(1) 文中所述觀點皆準確反映其個人對各證券或證券發行機構之看法；(2) 研究部分析師於本研究報告中所提出之特定投資建議或觀點，與其過去、現在、未來薪酬的任何部份皆無直接或間接關聯。

南亞科 (2408 TT)- 投資建議與目標價三年歷史趨勢



#	日期	收盤價 (A)	目標價 (B)	調整後目標價 (C)	評等	分析師
1	20231213	73.70	90	90	買進	劉誠新
2	20240111	71.50	90	90	買進	劉誠新
3	20240410	70.20	90	90	買進	劉誠新
4	20240711	72.30	90	90	買進	劉誠新
5	20241011	43.50	46	46	持有-超越同業	劉誠新
6	20250114	25.40	28	28	持有-超越同業	劉誠新
7	20250410	33.20	36	36	持有-超越同業	劉誠新
8	20250514	40.90	50	50	買進	徐銘畯
9	20250711	47.20	53	53	持有-超越同業	徐銘畯
10	20251014	95.60	125	125	買進	徐銘畯
11	20251128	146.00	180	180	買進	徐銘畯
12	20260119	275.00	340	340	買進	徐銘畯
13	20260414	225.50	280	280	買進	徐銘畯

資料來源：CMoney、元大投顧
註：A = 未調整之收盤價；B = 未調整之目標價； C = 依據股票股利與現金股利調整後之目標價。員工分紅稀釋影響未反映於 A、B 或 C。

投資評等說明

買進：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持正面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中增持該股。

持有-超越同業：本中心認為根據目前股價，該檔個股基本面吸引力高於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。

持有-落後同業：本中心認為根據目前股價，該檔個股基本面吸引力低於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。

賣出：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持負面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中減持該股。

評估中：本中心之預估、評等、目標價尚在評估中，但仍積極追蹤該個股。

限制評等：為遵循相關法令規章及/或元大之政策，暫不給予評等及目標價。

註：元大給予個股之目標價係依 12 個月投資期間計算。大中華探索系列報告並無正式之 12 個月目標價，其投資建議乃根據分析師報告中之指定期間分析而得。

總聲明

© 2026 元大版權所有。本報告之內容取材自本公司認可之資料來源，但並不保證其完整性或正確性。報告內容並非任何證券之銷售要約或邀購。報告中所有的意見及預估，皆基於本公司於特定日期所做之判斷，如有變更恕不另行通知。

本報告僅提供一般資訊，文中所載資訊或任何意見，並不構成任何買賣證券或其他投資標的之要約或要約之引誘。報告資料之刊發僅供客戶一般傳閱用途，並非意欲提供專屬之投資建議，亦無考慮任何可能收取本報告之人士的個別財務狀況與目標。對於投資本報告所討論或建議之任何證券、投資標的，或文中所討論或建議之投資策略，投資人應就其是否適合本身而諮詢財務顧問的意見。本報告之內容取材自據信為可靠之資料來源，但概不以明示或默示的方式，對資料之準確性、完整性或正確性作出任何陳述或保證。本報告並非（且不應解釋為）在任何司法管轄區內，任何非依法從事證券經紀或交易之人士或公司，為於該管轄區內從事證券經紀或交易之遊說。

元大研究報告於美國僅發送予美國主要投資法人（依據 1934 年《證券交易法》15a-6 號規則及其修正條文與美國證券交易委員會詮釋定義）。美國投資人若欲進行與本報告所載證券相關之交易，皆必須透過依照 1934 年《證券交易法》第 15 條及其修正條文登記註冊之券商為之。元大研究報告在台灣由元大證券投資顧問股份有限公司發佈，在香港則由元大證券(香港)有限公司發佈。元大證券(香港)係獲香港證券及期貨事務監察委員會核准註冊之券商，並獲許從事受規管活動，包括第 4 類規管活動（就證券提供意見）。非經元大證券(香港)有限公司書面明示同意，本研究報告全文或部份，不得以任何形式或方式轉載、轉寄或揭露。

欲取得任何本報告所載證券詳細資料之台灣人士，應透過下列方式聯絡元大證券投資顧問股份有限公司：

致：聯絡人姓名
元大證券投資顧問股份有限公司
台灣臺北市 106 仁愛路三段 157 號 4 樓

Copyright © 2026 Sustainalytics, a Morningstar company. All rights reserved. The information, data, analyses and opinions contained herein: (1) includes the proprietary information of Sustainalytics and/or its content providers; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product, project, investment strategy or consideration of any particular environmental, social or governance related issues as part of any investment strategy; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. The ESG-related information, methodologies, tools, ratings, data and opinions contained or reflected herein are not directed to or intended for use or distribution to India-based clients or users and their distribution to Indian resident individuals or entities is not permitted. Neither Morningstar Inc., Sustainalytics, Morningstar Asia Ltd. Taiwan Branch nor their content providers accept any liability for the use of the information, for actions of third parties in respect to the information, nor are responsible for any trading decisions, damages or other losses related to the information or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers.

27 Oct 2026 06:02:13 ET | 11 pages

CHPT (6510.TWO)

First Take on 3Q26 Results - Margins Remain Resilient; Focus Shift to New Projects Ramp

CITI'S TAKE

CHPT reported 3Q26 net profit of NT$551mn (+12% QoQ/+100% YoY), largely in line with Citi forecasts but slightly below cons forecasts. GPM maintained solid at 57.3% (-0.3 ppt QoQ/+0.9 ppt YoY), 2.0 ppts/1.8 ppts above Citi/cons expectations, as dilution concern from new product ramps proved milder than expected. Opex of NT$420mn went above expectations, likely reflecting capacity expansion, while opex ratio still eased to 22.0%, lifting OPM to 35.2% (+0.5 ppt QoQ/+10.5 ppts YoY). CHPT will host its 3Q26 earnings call on Oct 28. We believe the key focus remains on AI GPU/ASIC testing board ramping progress, GPM sustainability with higher new products mix, probe card total solution opportunities, and capacity expansion schedule. Reiterate Buy/High Risk.

Buy / High Risk	
Price (27 Oct 26 15:00)	NT$2,910.00
Target price	NT$4,350.00
Expected share price return	49.5%
Expected dividend yield	1.1%
Expected total return	50.6%
Market Cap	NT$95,824M
	US$2,940M

Michael Hung[AC]
+886-2-8726-9092
michael.hung@citi.com

Laura (Chia Yi) Chen
+886-2-8726-9090
laura.cy.chen@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

Figure 1. CHPT - 3Q26 earnings review

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	1,905	1,640	16%	1,242	53%	1,957	-3%	1,968	-3%
Gross profit	1,091	943	16%	700	56%	1,081	1%	1,091	0%
Gross margin	*57.3%*	*57.5%*	*-0.3 ppt*	*56.3%*	*+0.9 ppt*	*55.2%*	*+2.0 ppt*	*55.4%*	*+1.8 ppt*
Op. profit	671	570	18%	307	118%	670	0%	688	-3%
OP margin	*35.2%*	*34.7%*	*+0.5 ppt*	*24.7%*	*+10.5 ppt*	*34.2%*	*+1.0 ppt*	*35.0%*	*+0.2 ppt*
Net income	551	494	12%	276	100%	541	2%	578	-5%
EPS (NT$)	16.76	15.02	12%	8.41	99%	16.51	1%	17.47	-4%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company Reports, Citi Research Estimates, Bloomberg consensus

CHPT

Valuation

We value CHPT using a PE-based approach that factors in earnings momentum and the structural shift towards high-end testing. Our target price of NT$4,350 is derived from applying 35x to 2027E EPS, implying the company's average forward PE since 2024 +1 SD, which we believe is justified given the company's entrenched position in the 2nm/3nm testing segment, rising contribution from US AI GPU & AI ASIC projects, and the unique competitive advantage of its "All-in-House" vertical integration model. With these structural drivers in place, and as we believe the market is starting to value it as an AI/HPC play (rather than a consumer electronics stock), we expect the multiple to hold at a premium relative to its historical averages.

Risks

Our quant system rates the CHPT stock as High Risk for its share price volatility.

Key downside risks that could impede the stock from reaching our target price, and to our earnings forecasts, include: 1) margin compression from lower-than-expected utilization rates; 2) execution delays in concentrated US AI GPU and ASIC programs; 3) intensifying competition in testing boards from global peers; and 4) structural gross margin dilution from a shift towards high-end burn-in boards.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

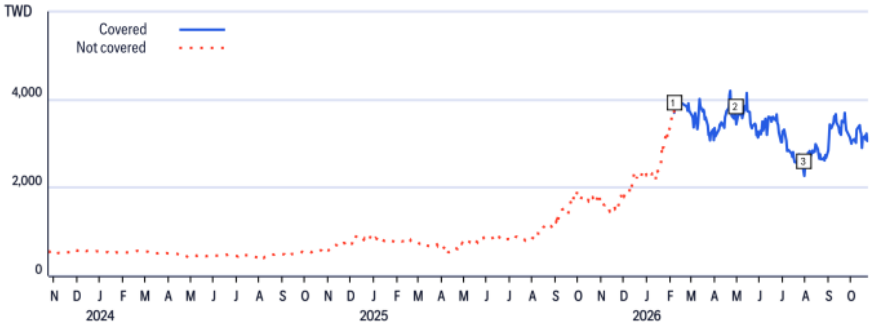
The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

CHPT (6510.TWO)

Ratings and Target Price History
Fundamental Research

Analyst: Michael Hung



	Date	Rating	Target Price	Closing Price
1	06-Feb-26 05:59:37	*1H	*5,000.00	3,700.00
2	29-Apr-26 07:12:48	1H	*4,900.00	3,630.00
3	29-Jul-26 14:55:23	1H	*4,350.00	2,370.00

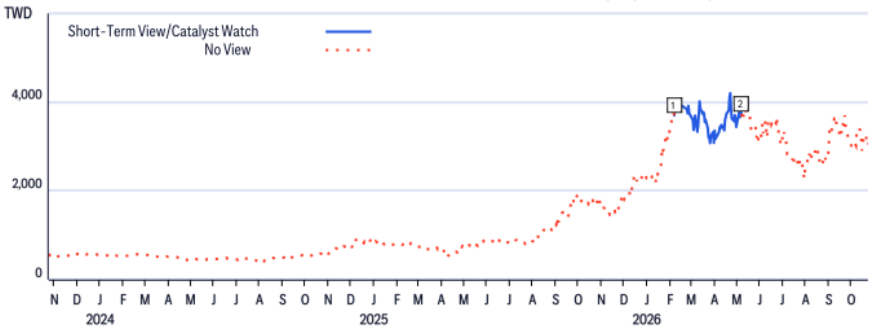
*Indicates Change

Rating/target price changes above reflect Eastern Time

CHPT (6510.TWO)

Short-Term View/Catalyst Watch Research

Analyst: Michael Hung



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Feb-26 00:59:37	Add CW	Upside	90 Days	3,700.00
2	07-May-26 22:13:10	Remove CW	Upside	90 Days	3,730.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from CHPT in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, securities-related: CHPT.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: CHPT.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (https://www.citivelocity.com/cv2) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

Guide to Citi Research Fundamental Research Investment Ratings:
Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.
Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.
Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "-" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:
Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be

different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:

The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies ("private companies") referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited	Jack Chen; Michael Hung; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy","Hold","Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%): Q1 2026 Buy 33% (63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33%(61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (https://www.citivelocity.com/). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be

deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the “Order”), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority (“ISA”) and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm’s institutional and retail clients via the Firm’s proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client’s individual preferences as to the frequency and manner of receiving communications from analysts, the client’s risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be

limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA – Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt fur Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to “securities” (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section “Research Analyst Affiliations / Non-US Research Analyst Disclosures” for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM’s registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures,controls, and training to ensure continued compliance with all applicable rulesand regulations. All recommendations contained herein are made by dulyqualified research analysts. CGM’s Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel:+91-022-61759994, Fax:+91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHViRGlzY2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZXJtc29mVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of CGMK. http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDIS03002002000000&serviceId=SDIS03002002000. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comision Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana ,Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E**, these materials (the "Materials") are communicated byCitigroup Global Markets Limited, DIFC branch ("CGML"), an entityregistered in the Dubai International Financial Center ("DIFC") andlicensed and regulated by the Dubai Financial Services Authority ("DFSA",license #CL0221) to Professional Clients and Market Counterparties, as definedin DFSA regulations, only and should not be relied upon or distributed toRetail Clients. Financial products and/or services to which the Materialsrelate will only be made available to Professional Clients and MarketCounterparties. Citigroup Global Markets Limited DIFC Branch registered addressis Level 3, Gate District Building 02, Dubai International Financial Centre andcan be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.
Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested.The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.
Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, redisseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality,

accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the “Product”), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

27 Oct 2026 07:23:02 ET | 16 pages

Genius Electronic Optical (3406.TW)

Upside on EBO as a long-term catalyst

CITI'S TAKE

Genius reported its 3Q26 earnings of NT$1,092m, down 23% YoY, up 59% QoQ, below our estimate and consensus. Despite 3Q26 shortfall, we believe market now more focuses on its new business in EBO. We've highlighted in our previous report on Genius' development on optical ferrule solution (see our recent report). Following 3M's announcement of investment in Genius on EBO business cooperation, 3M reiterated an EBO total addressable market of approximately US$2 billion in 2028 during its latest earnings. Alongside Microsoft's deployment, 3M also announced that its Amazon ramp in late 2027. As the key partner for 3M, we believe EBO optical solution will become the key catalyst for Genius in the next few years.

Smartphone business unexciting but steady — Genius' preliminary 3Q26 earnings were weaker than ours and Street's estimate as we see potential negative F/X impact on RMB appreciation and GM decline on new project ramp. While Genius' peer, Largan, has indicated a muted outlook for the smartphone industry as the peak production ramp for newly launched models has passed, we expect Genius' revenue to decline seasonally in 4Q26. However, another wave of base-model smartphone launches in 1Q27 should help support demand during what is typically its seasonally slower period at the start of next year. Given its steady market share gain, we expect a stable GM ahead.

EBO business may contribute 8-10% revenue in 2027, more upside ahead — EBO technology uses lens arrays to expand and collimate light between optical fibers, enabling transmission across a contactless interface. Thanks to Genius' experience in camera lens and early business engagement with 3M, the company is working closely with 3M to expand these business opportunities. Compared with conventional physical-contact connectors, EBO reduces sensitivity to dust, cleaning requirements and connector wear, while enabling faster installation and higher connection density. We expect a great opportunity for Genius to extend its precision-optics expertise into infrastructure where reliability and deployment efficiency directly affect customer economics.

Reiterate Buy and raise TP to NT$1,380 — While Genius is also navigating the opportunities in CPO and PMLA for FAU, we believe it takes time and the EBO contribution will provide more substantial upside for the next two years. Given better visibility from its cooperation with 3M, we lift our TP by ~32% to NT$1,380 (higher PER of 33x of 2027/28 EPS projection vs 25x PER previously).

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	4,323	38.35	40.7	31.6	5.5	18.8	1.5
2025A	3,702	32.84	-14.4	36.8	5.1	14.4	1.3
2026E	3,750	33.26	1.3	36.4	4.6	13.5	1.3
2027E	4,299	38.13	14.6	31.7	4.6	14.7	1.5
2028E	5,261	46.67	22.4	25.9	4.2	17.0	1.8

Source: Powered by dataCentral

Buy

Short-Term View: Upside, expires 26-NOV-26

Price (27 Oct 26 13:30)	NT$1,210.00
Target price	NT$1,380.00↑
from NT$1,050.00	
Expected share price return	14.0%
Expected dividend yield	1.3%
Expected total return	15.4%
Market Cap	NT$136,419M
	US$4,186M

Price Performance
(RIC: 3406.TW, BB: 3406 TT)

Laura (Chia Yi) Chen[AC]
+886-2-8726-9090
laura.cy.chen@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

3406.TW: Fiscal year end 31-Dec						Price: NT$1,210.00; TP: NT$1,360.00; Market Cap: NT$136,419m; Recomm: Buy				
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	23,187	24,989	26,467	27,500	32,848	PE (x)	31.6	36.8	36.4	31.7	25.9
Cost of sales	-15,190	-16,864	-17,790	-18,358	-21,737	PB (x)	5.5	5.1	4.6	4.6	4.2
Gross profit	7,997	8,125	8,677	9,143	11,111	EV/EBITDA (x)	15.7	15.3	14.1	13.7	11.9
Gross Margin (%)	34.5	32.5	32.8	33.2	33.8	FCF yield (%)	4.3	3.1	7.8	4.5	4.4
EBITDA (Adj)	**8,370**	**8,320**	**8,628**	**8,445**	**9,530**	Dividend yield (%)	1.5	1.3	1.3	1.5	1.8
EBITDA Margin (Adj) (%)	36.1	33.3	32.6	30.7	29.0	Payout ratio (%)	47	47	47	47	47
Depreciation	-3,699	-3,547	-3,576	-3,024	-2,804	ROE (%)	18.8	14.4	13.5	14.7	17.0
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**4,671**	**4,773**	**5,052**	**5,421**	**6,726**	EBITDA	8,370	8,320	8,628	8,445	9,530
EBIT Margin (Adj) (%)	20.1	19.1	19.1	19.7	20.5	Working capital	1,158	-1,214	5,369	702	40
Net interest	304	298	302	276	276	Other	-334	-1,065	-1,294	-1,122	-1,465
Associates	4	2	0	0	0	**Operating cashflow**	**9,195**	**6,040**	**12,704**	**8,025**	**8,106**
Non-Op/Except/Other Adj	945	-83	-401	100	100	Capex	-3,283	-1,811	-2,120	-1,888	-2,135
Pre-tax profit	**5,925**	**4,990**	**4,954**	**5,797**	**7,102**	Net acq/disposals	-96	109	-16	0	0
Tax	-1,587	-1,282	-1,195	-1,498	-1,841	Other	499	142	-125	0	0
Extraord./Min.Int./Pref.div.	-14	-6	-8	0	0	**Investing cashflow**	**-2,880**	**-1,560**	**-2,261**	**-1,888**	**-2,135**
Reported net profit	**4,328**	**3,702**	**3,750**	**4,299**	**5,261**	Dividends paid	-1,340	-2,010	-1,721	-1,744	-1,999
Net Margin (%)	18.6	14.8	14.2	15.6	16.0	**Financing cashflow**	**-3,856**	**-4,859**	**-1,195**	**-4,245**	**-1,999**
Core NPAT	4,323	3,702	3,750	4,299	5,261	**Net change in cash**	**2,459**	**-379**	**9,248**	**1,892**	**3,972**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**5,912**	**4,229**	**10,583**	**6,137**	**5,971**
Reported EPS ($)	38.35	32.84	33.26	38.13	46.67						
Core EPS ($)	38.35	32.84	33.26	38.13	46.67						
DPS ($)	18.00	15.42	15.62	17.90	21.91						
CFPS ($)	81.55	53.57	112.68	71.18	71.90						
FCFPS ($)	52.43	37.51	93.87	54.43	52.96						
BVPS ($)	222.01	237.40	261.80	262.28	291.49						
Wtd avg ord shares (m)	113	113	113	113	113						
Wtd avg diluted shares (m)	113	113	113	113	113						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	7.0	7.8	5.9	3.9	19.4						
EBIT (Adj) (%)	13.1	2.2	5.8	7.3	24.1						
Core NPAT (%)	40.7	-14.4	1.3	14.6	22.4						
Core EPS (%)	40.7	-14.4	1.3	14.6	22.4						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	11,173	10,795	20,042	21,934	25,906						
Accounts receivables	3,981	5,640	5,241	6,758	6,770						
Inventory	2,379	2,115	2,021	2,606	2,610						
Net fixed & other tangibles	20,727	18,991	17,536	16,400	15,730						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	4,774	6,099	3,753	3,852	3,853						
Total assets	**43,035**	**43,641**	**48,594**	**51,549**	**54,869**						
Accounts payable	1,367	2,631	2,725	3,659	3,701						
Short-term debt	3,494	1,508	1,846	1,846	1,846						
Long-term debt	3,365	2,759	2,192	2,192	2,192						
Provisions & other liab	10,044	10,259	12,619	14,587	14,603						
Total liabilities	**18,271**	**17,157**	**19,382**	**22,284**	**22,341**						
Shareholders' equity	24,791	26,510	29,234	29,288	32,550						
Minority interests	-27	-27	-23	-23	-23						
Total equity	**24,765**	**26,484**	**29,212**	**29,266**	**32,528**						
Net debt (Adj)	**-4,314**	**-6,528**	**-16,005**	**-17,866**	**-21,868**						
Net debt to equity (Adj) (%)	-17.4	-24.6	-54.8	-61.2	-67.2						

For definitions of the items in this table, please click here.

EBO: Solving AI Data Centers' Connectivity Bottlenecks

Expanded Beam Optical (EBO) technology uses lens arrays to expand and collimate light between optical fibers, enabling transmission across a contactless interface. Compared with conventional physical-contact connectors, EBO reduces sensitivity to dust, cleaning requirements and connector wear, while enabling faster installation and higher connection density. These benefits become increasingly valuable as AI clusters require more fiber connections in difficult-to-access locations, including optical backplanes. For Genius, this creates an opportunity to extend its precision-optics expertise into infrastructure where reliability and deployment efficiency directly affect customer economics.

Figure 1. 3M – EBO product demo

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, 3M

Figure 2. 3M – EBO product demo

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, 3M

Technology Requirements and Genius's Manufacturing Advantage

EBO relaxes some connector-interface tolerances, but manufacturing its optical structures still requires precise lens geometry, consistent fiber-to-lens positioning, dimensional stability and stringent optical-loss control. The competitive challenge is reproducing that performance at high volumes with attractive yields. Genius' established precision-optics manufacturing capabilities and production scale therefore complement 3M's proprietary ferrule technology, materials expertise and customer relationships. Their collaboration supports commercialization and capacity expansion, while 3M's planned approximately 4.7% equity investment strengthens strategic alignment. In our view, this provides Genius with a credible route into optical connectivity, given its smartphone-lens expertise translates into qualified, reliable production.

Implications for Genius: Strategic Diversification, with Earnings Following the Ramp

The partnership positions Genius as a manufacturing participant in 3M's EBO expansion, offering a potential growth engine beyond consumer-device optics. Our interpretation is that technology qualification, production yields and capacity readiness will matter most initially, with stronger revenue potential as deployments accelerate from 2027. **We estimate the revenue contribution to reach about 8%/28% in 2027/2028 assuming around 30m/140m units based on 3M's addressable market estimate.**

Muted smartphone outlook well anticipated, more optical upside in AI

Genius' near-term momentum is still highly relying on smartphone order flow. Its peer, Largan, has indicated a muted outlook for the smartphone industry as the peak production ramp for newly launched models has passed; we expect Genius' revenue to decline seasonally in 4Q26. However, another wave of base-model smartphone launches in 1Q27 should help support demand during what is typically its seasonally slower period at the start of next year. Given its steady market share gain, we expect a stable GM ahead. While Genius is also navigating the opportunities in CPO and PMLA for FAU, we believe it takes time and the EBO contribution will provide more substantial upside for the next two years. We slightly lower our earnings projection for 2026/2027 but lift 2028 estimate by 6%, given better visibility for its cooperation with 3M. We raise our TP to NT$1,380 from NT$1,050 previously (higher PER of 33x of our 2027/28 EPS projection vs 25x previously). 33x PER is above the high end of its 5-year historical range as we believe the high growth optical opportunity in AI arena and 3M's strategic cooperation should further reinforce Genius' position in capturing the expanding optical connector markets, leading to better growth and re-rating potential for Genius.

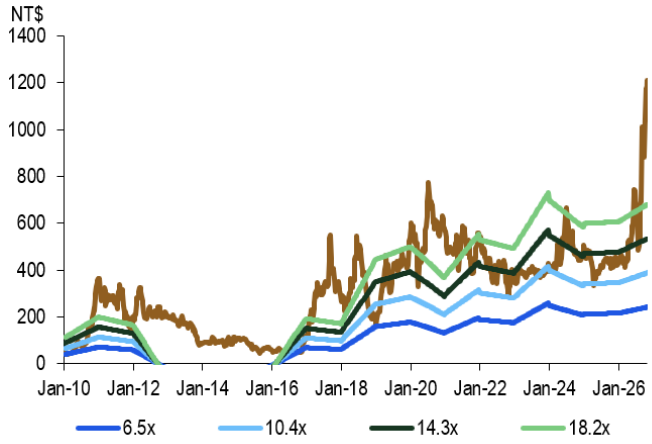
Figure 3. Genius – Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	26,467	24,673	7%	27,500	25,972	6%	32,848	28,687	15%
Gross profit	8,677	8,433	3%	9,143	9,124	0%	11,111	10,164	9%
Opex	(3,625)	(3,499)	4%	(3,722)	(3,547)	5%	(4,385)	(3,841)	14%
Operating profit	5,052	4,933	2%	5,421	5,577	-3%	6,726	6,323	6%
Pre-tax profit	4,954	5,196	-5%	5,797	5,953	-3%	7,102	6,699	6%
Net income	3,750	3,931	-5%	4,299	4,407	-2%	5,261	4,960	6%
EPS (NT$)	33.3	34.9	-5%	38.1	39.1	-2%	46.7	44.0	6%
Gross margin	32.8%	34.2%	-1.4 ppts	33.2%	35.1%	-1.9 ppts	33.8%	35.4%	-1.6 ppts
Opex ratio	-13.7%	-14.2%	+0.5 ppts	-13.5%	-13.7%	+0.1 ppts	-13.4%	-13.4%	+0.0 ppts
Operating margin	19.1%	20.0%	-0.9 ppts	19.7%	21.5%	-1.8 ppts	20.5%	22.0%	-1.6 ppts
Net margin	14.2%	15.9%	-1.8 ppts	15.6%	17.0%	-1.3 ppts	16.0%	17.3%	-1.3 ppts

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

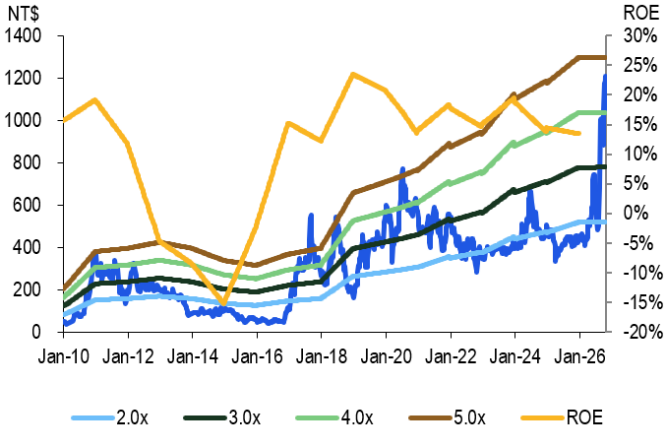
Source: Citi Research

Figure 4. Genius – Forward P/E band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Company data

Figure 5. Genius – Forward P/B band & ROE



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research, Company data

Figure 6. Genius – Forecast summary

NT$mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net sales	5,321	4,776	7,740	7,152	6,141	5,682	7,812	6,832	6,193	5,466	7,032	8,809	24,989	26,467	27,500	32,848
Gross profit	**1,646**	**1,388**	**2,641**	**2,449**	**2,061**	**1,884**	**2,523**	**2,209**	**2,013**	**1,852**	**2,273**	**3,005**	**8,125**	**8,677**	**9,143**	**11,111**
OPEX	749	792	827	983	860	925	945	895	851	879	868	1,123	3,352	3,625	3,722	4,385
Operating profit	**897**	**596**	**1,814**	**1,466**	**1,201**	**960**	**1,578**	**1,314**	**1,162**	**973**	**1,405**	**1,881**	**4,773**	**5,052**	**5,421**	**6,726**
Total Non-OP	267	(304)	119	135	39	(142)	(103)	108	145	45	143	43	217	(98)	376	376
Pre-tax profit	1,164	292	1,933	1,602	1,239	818	1,475	1,422	1,307	1,018	1,548	1,924	4,990	4,954	5,797	7,102
Income tax	294	51	516	422	348	124	383	341	324	275	418	481	1,282	1,195	1,498	1,841
Net profit	**872**	**240**	**1,414**	**1,176**	**891**	**686**	**1,092**	**1,081**	**983**	**743**	**1,130**	**1,443**	**3,702**	**3,750**	**4,299**	**5,261**
EPS	**7.7**	**2.1**	**12.5**	**10.4**	**7.9**	**6.1**	**9.7**	**9.6**	**8.7**	**6.6**	**10.0**	**12.8**	**32.8**	**33.3**	**38.1**	**46.7**
Margins (%)																
Gross profit	**30.9**	**29.1**	**34.1**	**34.3**	**33.6**	**33.2**	**32.3**	**32.3**	**32.5**	**33.9**	**32.3**	**34.1**	**32.5**	**32.8**	**33.2**	**33.8**
OPEX to Sales Ratio	14.1	16.6	10.7	13.7	14.0	16.3	12.1	13.1	13.7	16.1	12.4	12.8	13.4	13.7	13.5	13.4
Operating profit	**16.8**	**12.5**	**23.4**	**20.5**	**19.6**	**16.9**	**20.2**	**19.2**	**18.8**	**17.8**	**20.0**	**21.4**	**19.1**	**19.1**	**19.7**	**20.5**
Total Non-OP	5.0	(6.4)	1.5	1.9	0.6	(2.5)	(1.3)	1.6	2.3	0.8	2.0	0.5	0.9	(0.4)	1.4	1.1
Pre-tax profit	21.9	6.1	25.0	22.4	20.2	14.4	18.9	20.8	21.1	18.6	22.0	21.8	20.0	18.7	21.1	21.6
Net profit	**16.4**	**5.0**	**18.3**	**16.4**	**14.5**	**12.1**	**14.0**	**15.8**	**15.9**	**13.6**	**16.1**	**16.4**	**14.8**	**14.2**	**15.6**	**16.0**
Y/Y (%)																
Net sales	1.6	(4.2)	3.3	30.7	15.4	19.0	0.9	(4.5)	0.9	(3.8)	(10.0)	28.9	7.8	5.9	3.9	19.4
Gross profit	(12.0)	(24.8)	(5.9)	66.2	25.2	35.7	(4.5)	(9.8)	(2.3)	(1.7)	(9.9)	36.0	1.6	6.8	5.4	21.5
Operating profit	(20.1)	(43.5)	(8.5)	186.6	33.9	61.0	(13.0)	(10.4)	(3.2)	1.4	(11.0)	43.2	2.2	5.8	7.3	24.1
Pre-tax profit	(23.0)	(78.7)	1.6	40.8	6.5	179.8	(23.7)	(11.2)	5.4	24.5	5.0	35.3	(15.8)	(0.7)	17.0	22.5
Net profit	(19.8)	(76.0)	2.6	37.0	2.1	185.9	(22.7)	(8.1)	10.3	8.3	3.4	33.5	(14.4)	1.3	14.6	22.4
Q/Q(%)																
Net sales	(2.7)	(10.2)	62.1	(7.6)	(14.1)	(7.5)	37.5	(12.5)	(9.4)	(11.7)	28.7	25.3				
Gross profit	11.7	(15.7)	90.2	(7.3)	(15.9)	(8.6)	33.9	(12.4)	(8.9)	(8.0)	22.7	32.2				
Operating profit	75.2	(33.5)	204.2	(19.1)	(18.1)	(20.1)	64.4	(16.7)	(11.6)	(16.2)	44.4	33.9				
Pre-tax profit	2.3	(74.9)	561.5	(17.1)	(22.6)	(34.0)	80.4	(3.6)	(8.1)	(22.1)	52.0	24.3				
Net profit	1.6	(72.5)	489.0	(16.8)	(24.2)	(23.0)	59.2	(1.0)	(9.1)	(24.4)	52.0	27.7				

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research

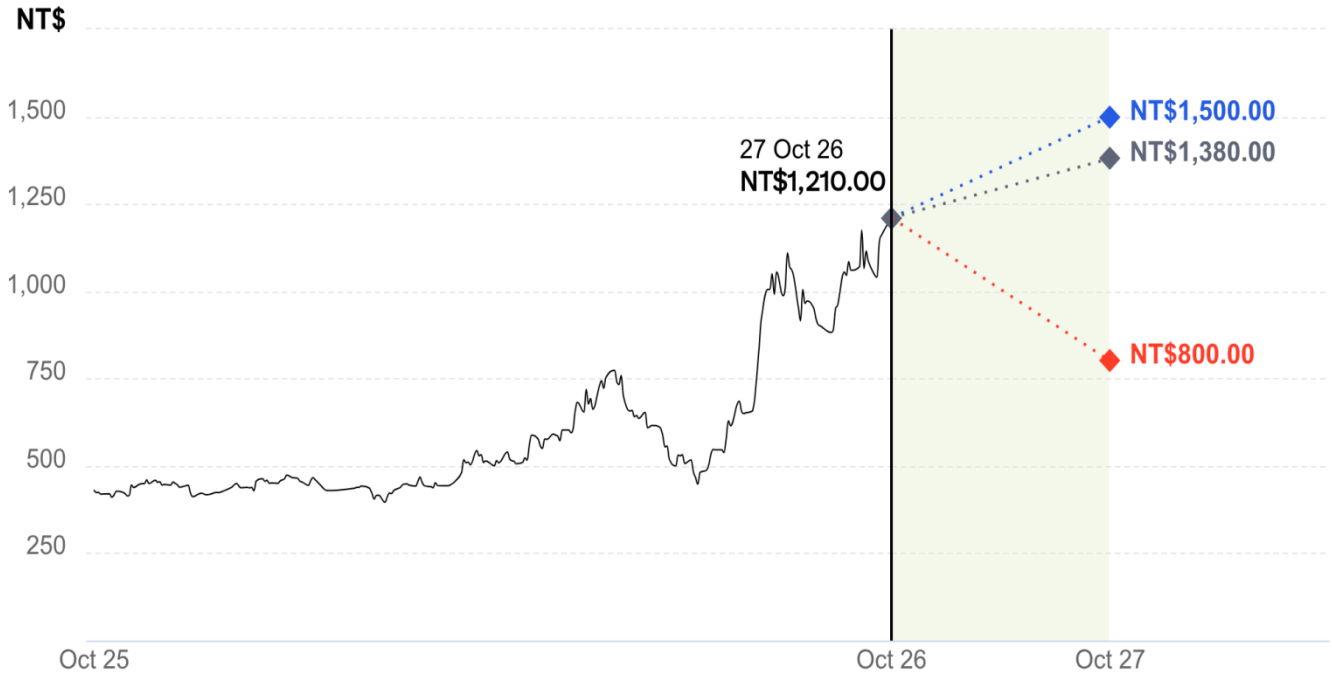
Short-Term View on Genius Electronic Optical (3406.TW)

Direction:	**Upside**
Duration:	Within 90 Days (expires 26 Nov 2026)
Date Added:	27 Aug 2026
Category:	Thematic driven

We expect Genius' positive development in new optical connector business to support the share price performance in the coming months.

Bull/Bear: Genius Electronic Optical (3406.TW)

NT$1,500.00 ▲24% Upside | NT$1,380.00 ▲14% Upside | NT$800.00 ▼34% Downside



Spread 58pp
Current Price and expected returns (upside/downside) as of 27 Oct 2026

BULL Assumptions

- Less fierce competition and more favorable product mix
- Stronger than expected growth potential in new business

BASE Assumptions

- GM of >33% in 2027-28E

BEAR Assumptions

- More fierce competition and less favorable product mix
- Weaker than expected progress in new business

Genius Electronic Optical

Company description

Genius is a leading lens provider. It was established in 1989 and listed on TWSE in 2005. Its revenue increased from NT$4.5bn in 2010 to NT$23.2bn in 2024. The revenue breakdown for Genius in 2023 was 73% smartphone lens and 27% others.

Investment strategy

We have a Buy rating on Genius. We expect Genius to see resilient sales momentum driven by stable lens sales in iPhone business. Moreover, we see its new development in EBO business to provide strong upside potential in the longer term.

Valuation

Our target price for Genius of NT$1,380 is based on 33x 2027/28 EPS. We are using 2027/28 as the valuation base year as we believe the new business in optical connector will be a new catalyst starting from next year. 33x PER is above the high end of its 5-year historical range as we believe the high growth optical opportunity in AI arena will lead better growth and re-rating and 3M's strategic cooperation further reinforces Genius' position in capturing the expanding optical connector markets. Genius used to trade based on smartphone product cycle and the growth has been stagnant. With the new optical connector opportunity, we view it should be resuming strong growth ahead.

Risks

Key downside risks that could mean the stock fails to achieve our target price include: lower-than-expected smartphone sell-through; lower iPhone share allocation; slower-than-expected spec migration for the lens industry; and slower than expected prorgess in new optical business.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

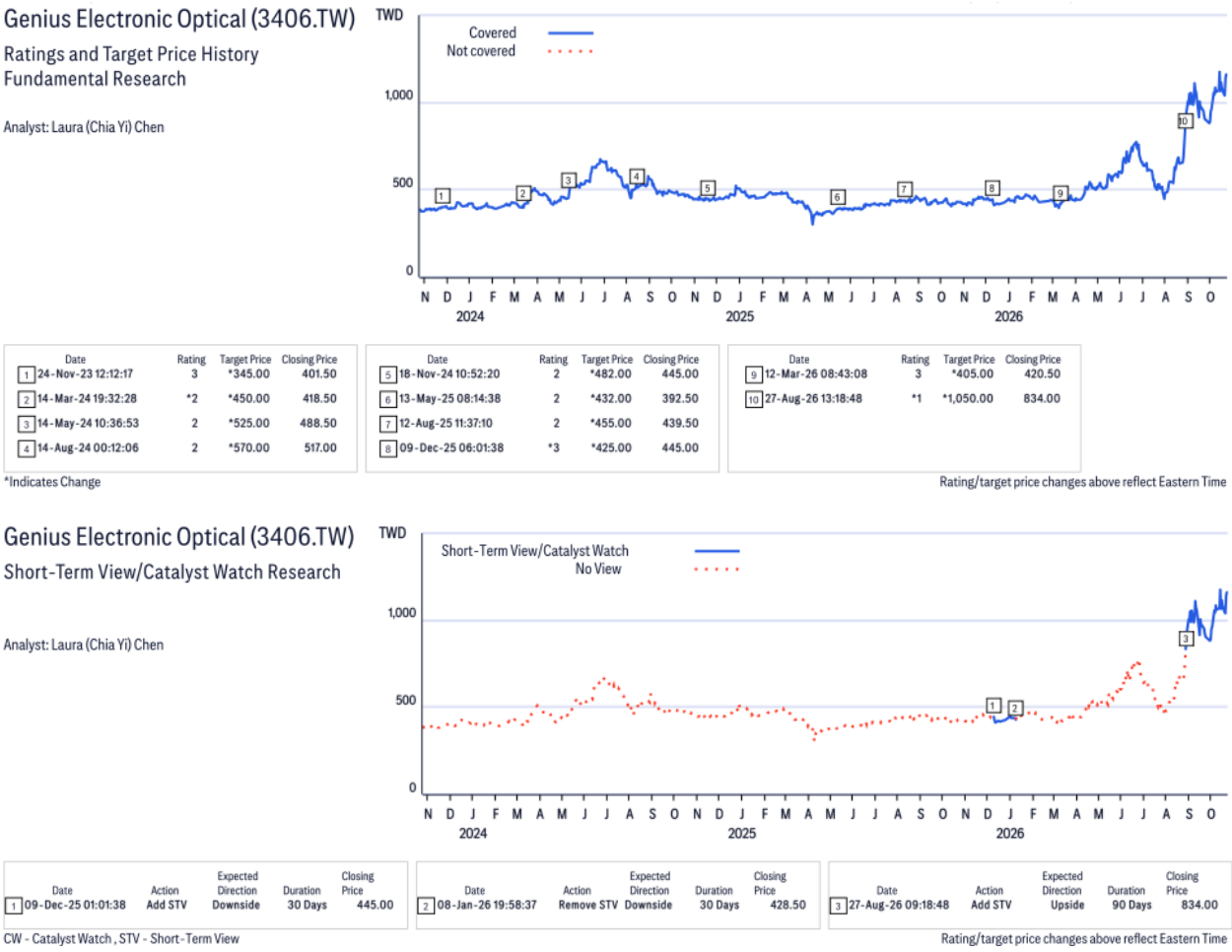
Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES



	Date	Rating	Target Price	Closing Price
1	24-Nov-23 12:12:17	3	*345.00	401.50
2	14-Mar-24 19:32:28	*2	*450.00	418.50
3	14-May-24 10:36:53	2	*525.00	488.50
4	14-Aug-24 00:12:06	2	*570.00	517.00
5	18-Nov-24 10:52:20	2	*482.00	445.00
6	13-May-25 08:14:38	2	*432.00	392.50
7	12-Aug-25 11:37:10	2	*455.00	439.50
8	09-Dec-25 06:01:38	*3	*425.00	445.00
9	12-Mar-26 08:43:08	3	*405.00	420.50
10	27-Aug-26 13:18:48	*1	*1,050.00	834.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

	Date	Action	Expected Direction	Duration	Closing Price
1	09-Dec-25 01:01:38	Add STV	Downside	30 Days	445.00
2	08-Jan-26 19:58:37	Remove STV	Downside	30 Days	428.50
3	27-Aug-26 09:18:48	Add STV	Upside	90 Days	834.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Citigroup Global Markets Inc. or its affiliates received compensation for products and services other than investment banking services from Genius Electronic Optical in the past 12 months.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as clients, and the services provided were non-investment-banking, non-securities-related: Genius Electronic Optical.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (https://www.citivelocity.com/cv2) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

Guide to Citi Research Fundamental Research Investment Ratings:
Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.
Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.
Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign “Rating Suspended” status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as “—“ and “-“ respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned “Under Review” status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views (“STV”) Ratings Disclosure:
Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock’s fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:
The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies (“private companies”) referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are

not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited	Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy","Hold","Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%): Q1 2026 Buy 33% (63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33%(61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (https://www.citivelocity.com/). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel,

this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the

Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA – Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt fur Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to “securities” (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section “Research Analyst Affiliations / Non-US Research Analyst Disclosures” for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM’s registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures,controls, and training to ensure continued compliance with all applicable rulesand regulations. All recommendations contained herein are made by dulyqualified research analysts. CGM’s Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel:+91-022-61759994, Fax:+91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHViRGlzY2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZXJtc29mVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of CGMK. http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDIS03002002000000&serviceId=SDIS03002002000. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comision Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana ,Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey.

Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E**, these materials (the "Materials") are communicated byCitigroup Global Markets Limited, DIFC branch ("CGML"), an entityregistered in the Dubai International Financial Center ("DIFC") andlicensed and regulated by the Dubai Financial Services Authority ("DFSA",license #CL0221) to Professional Clients and Market Counterparties, as definedin DFSA regulations, only and should not be relied upon or distributed toRetail Clients. Financial products and/or services to which the Materialsrelate will only be made available to Professional Clients and MarketCounterparties. Citigroup Global Markets Limited DIFC Branch registered addressis Level 3, Gate District Building 02, Dubai International Financial Centre andcan be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.
Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested.The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.
Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, redisseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party

involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the “Product”), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

27 Oct 2026 09:37:50 ET | 13 pages

Poya (5904.TWO)

Strong 3Q as Expected; Tougher Comparisons Ahead

CITI'S TAKE

Poya's 3Q26 net profit +26% y/y came largely in-line with our forecast, and 5% ahead of BBG consensus. SSSG of 7.0%, higher GPM, opex savings and stronger op leverage lifted OPM to 17.5%, the key drivers to strong profitability. Looking into 4Q, tougher comp should moderate sales and earnings growth despite fast store additions and solid operation execution. We maintain Neutral as the strong share price rally YTD appears to reflect most positives from robust SSSG and margin expansion. A higher comp base and potentially intensifying competition limit the room for further re-rating.

3Q26 broadly in-line; solid margins boosted by strong op leverage — Poya reported 3Q26 net profits of NT$1.0bn +26% y/y, largely in-line with our est and 5% above BBG's est. 3Q sales of NT$7.4bn +15% y/y were supported by solid SSSG +7.0% y/y with ticket size +4.9% and traffic +2.0%. Higher GPM, strong opex savings and op leverage lifted OPM to 17.5%, topping our/BBG est of 17.1%/16.6%. Total store count reached 495 at end-3Q26 (+25 net increase in 9M26).

4Q outlook: faster store expansion meets a higher comp base — We expect 30 net store additions in 4Q26E vs. 35 stores prior, bringing the year-end store count to 525 and supporting continued sales growth. Demand for beauty-related products remains healthy. However, the elevated comparison base from 4Q26E onward should moderate SSSG and overall sales and earnings growth, despite the contribution from new stores. We believe this potential growth deceleration could temper investor enthusiasm and trigger profit-taking pressure.

Implications: Slightly positive reaction expected; maintain Neutral — We keep our earnings estimates for 26-28E largely unchanged in view of the in-line 3Q results. We expect a slightly positive market reaction to the results given the healthy margin expansion. However, strong sales had likely raised expectations for 3Q profitability, limiting the scope for a more meaningful positive surprise. Our Neutral thesis remains unchanged – we believe the strong share price rally has priced in much of the benefit from robust SSSG and margin improvement. Looking ahead, tougher comp could constrain growth, while potentially intensifying competition, including Cosmed's introduction of Olive Young products, could challenge Poya's beauty-led momentum. We therefore see limited room for further re-rating despite solid operating execution.

Neutral

Price (27 Oct 26 15:00)	NT$72.70
Target price	NT$70.00
Expected share price return	-3.7%
Expected dividend yield	5.0%
Expected total return	1.3%
Market Cap	NT$77,385M
	US$2,375M

Price Performance
(RIC: 5904.TWO, BB: 5904 TT)

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	2,804	26.72	9.5	2.7	1.1	41.6	31.6
2025A	3,143	29.52	10.5	2.5	1.0	41.2	35.1
2026E	4,005	3.76	-87.3	19.3	8.9	47.8	4.5
2027E	4,366	4.10	9.0	17.7	8.4	48.8	4.9
2028E	4,714	4.43	8.0	16.4	7.8	49.2	5.3

Source: Powered by dataCentral

Angela Hsu[AC]
+886-2-8726-9083
angela.hc.hsu@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

5904.TWO: Fiscal year end 31-Dec						Price: NT$72.70; TP: NT$70.00; Market Cap: NT$77,395m; Recomm: Neutral					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	23,628	25,320	28,588	31,083	33,587	PE (x)	2.7	2.5	19.3	17.7	16.4
Cost of sales	-12,962	-13,873	-15,350	-16,698	-18,050	PB (x)	1.1	1.0	8.9	8.4	7.8
Gross profit	10,666	11,447	13,238	14,385	15,537	EV/EBITDA (x)	14.4	13.2	11.1	10.3	9.6
Gross Margin (%)	45.1	45.2	46.3	46.3	46.3	FCF yield (%)	55.1	63.4	9.2	8.2	9.0
EBITDA (Adj)	**6,155**	**6,783**	**7,981**	**8,501**	**9,032**	Dividend yield (%)	31.6	35.1	4.5	4.9	5.3
EBITDA Margin (Adj) (%)	26.1	26.8	27.9	27.3	26.9	Payout ratio (%)	86	86	86	86	86
Depreciation	-2,707	-2,908	-2,995	-3,085	-3,178	ROE (%)	41.6	41.2	47.8	48.8	49.2
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**3,448**	**3,875**	**4,986**	**5,416**	**5,854**	EBITDA	6,155	6,783	7,981	8,501	9,032
EBIT Margin (Adj) (%)	14.6	15.3	17.4	17.4	17.4	Working capital	-378	-579	962	-200	-57
Net interest	0	0	0	0	0	Other	-412	-305	-841	-943	-1,033
Associates	0	0	0	0	0	**Operating cashflow**	**5,365**	**5,898**	**8,102**	**7,358**	**7,942**
Non-Op/Except/Other Adj	58	48	15	36	32	Capex	-1,162	-995	-995	-995	-995
Pre-tax profit	**3,506**	**3,923**	**5,000**	**5,451**	**5,886**	Net acq/disposals	13	11	9	9	9
Tax	-702	-781	-996	-1,085	-1,172	Other	-166	-164	-10	-10	-10
Extraord./Min.Int./Pref.div.	0	0	0	0	0	**Investing cashflow**	**-1,316**	**-1,147**	**-996**	**-996**	**-996**
Reported net profit	**2,804**	**3,143**	**4,005**	**4,366**	**4,714**	Dividends paid	-2,173	-2,414	-3,457	-3,769	-4,069
Net Margin (%)	11.9	12.4	14.0	14.0	14.0	**Financing cashflow**	**-3,209**	**-3,912**	**-5,304**	**-5,670**	**-6,026**
Core NPAT	2,804	3,143	4,005	4,366	4,714	**Net change in cash**	**840**	**839**	**1,802**	**692**	**921**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**4,203**	**4,903**	**7,107**	**6,363**	**6,947**
Reported EPS ($)	26.72	29.52	3.76	4.10	4.43						
Core EPS ($)	26.72	29.52	3.76	4.10	4.43						
DPS ($)	23.00	25.50	3.25	3.54	3.82						
CFPS ($)	51.12	55.41	7.61	6.91	7.46						
FCFPS ($)	40.05	46.06	6.68	5.98	6.53						
BVPS ($)	68.17	76.17	8.13	8.69	9.30						
Wtd avg ord shares (m)	105	106	1,064	1,064	1,064						
Wtd avg diluted shares (m)	105	106	1,064	1,064	1,064						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	7.0	7.2	12.9	8.7	8.1						
EBIT (Adj) (%)	8.0	12.4	28.7	8.6	8.1						
Core NPAT (%)	11.0	12.1	27.4	9.0	8.0						
Core EPS (%)	9.5	10.5	-87.3	9.0	8.0						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	2,834	3,673	5,476	6,168	7,088						
Accounts receivables	1,497	1,594	1,487	1,616	1,747						
Inventory	5,979	6,809	5,601	5,861	6,085						
Net fixed & other tangibles	18,195	19,525	19,332	19,103	18,837						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	59	57	57	57	57						
Total assets	**28,564**	**31,659**	**31,952**	**32,805**	**33,814**						
Accounts payable	3,445	3,796	3,443	3,632	3,930						
Short-term debt	1,446	2,210	2,210	2,210	2,210						
Long-term debt	13,196	13,832	13,791	13,750	13,709						
Provisions & other liab	3,325	3,712	3,852	3,959	4,067						
Total liabilities	**21,411**	**23,550**	**23,296**	**23,552**	**23,915**						
Shareholders' equity	7,153	8,108	8,656	9,254	9,898						
Minority interests	0	0	0	0	0						
Total equity	**7,153**	**8,108**	**8,656**	**9,254**	**9,898**						
Net debt (Adj)	**11,807**	**12,368**	**10,525**	**9,792**	**8,831**						
Net debt to equity (Adj) (%)	165.1	152.5	121.6	105.8	89.2						

For definitions of the items in this table, please click here.

Figure 1. Poya: 3Q26 Results Comp

Poya (5904-TW): Result Comparison

NT$ mn	3Q26	2Q26	Q/Q	3Q25	Y/Y	3Q26 Citi	Diff	3Q26 BBG	Diff
Revenue	7,359	6,932	*6%*	6,401	*15%*	7,291	*1%*	7,234	*2%*
Gross profit	3,433	3,115	*10%*	2,938	*17%*	3,399	*1%*	3,329	*3%*
Operating profit	1,289	1,068	*21%*	1,002	*29%*	1,248	*3%*	1,200	*7%*
Net profit	1,016	868	*17%*	808	*26%*	1,005	*1%*	963	*5%*
Basic EPS (NT$)	0.95	0.82	*17%*	0.76	*26%*	0.94	*1%*	0.92	*4%*
Ratio									
Gross margin (%)	46.6	44.9	*1.7*	45.9	*0.7*	46.6	*0.0*	46.0	*0.6*
Operating margin (%)	17.5	15.4	*2.1*	15.7	*1.9*	17.1	*0.4*	16.6	*0.9*
Net margin (%)	13.8	12.5	*1.3*	12.6	*1.2*	13.8	*0.0*	13.3	*0.5*

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Bloomberg, Company Reports, Citi Research, Citi Research Estimates

Figure 2. Poya: Earnings Estimates Revisions

Poya (5904-TW): Earning Revision

	2026E			2027E			2028E		
NT$ mn	New	Old	Chg	New	Old	Chg	New	Old	Chg
Revenue	28,588	28,588	*0%*	31,083	31,225	*0%*	33,587	33,710	*0%*
Gross profit	13,238	13,236	*0%*	14,385	14,447	*0%*	15,537	15,590	*0%*
OPEX	8,252	8,278	*0%*	8,969	9,038	*-1%*	9,683	9,749	*-1%*
Operating profit	4,986	4,958	*1%*	5,416	5,409	*0%*	5,854	5,841	*0%*
Pre-tax profit	5,000	5,000	*0%*	5,451	5,446	*0%*	5,886	5,875	*0%*
Net profit	4,005	4,004	*0%*	4,366	4,362	*0%*	4,714	4,705	*0%*
Basic EPS (NT$)	3.76	3.76	*0%*	4.10	4.10	*0%*	4.43	4.42	*0%*
Ratio	New	Old	*diff*	NeU	Old	*diff*	NeU	Old	*diff*
Gross margin (%)	46.3	46.3	*0.0*	46.3	46.3	*0.0*	46.3	46.2	*0.0*
OPEX to Sales ratio (%)	28.9	29.0	*-0.1*	28.9	28.9	*-0.1*	28.8	28.9	*-0.1*
Operating margin (%)	17.4	17.3	*0.1*	17.4	17.3	*0.1*	17.4	17.3	*0.1*
Net margin (%)	14.0	14.0	*0.0*	14.0	14.0	*0.1*	14.0	14.0	*0.1*

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Citi Research Estimates

Bull/Bear: Poya (5904.TWO)

NT$ 82.00 ▲13% Upside | NT$ 70.00 ▼3.7% Downside | NT$ 52.00 ▼28% Downside

Spread 41pp
Current Price and expected returns (upside/downside) as of 27 Oct 2026

BULL Assumptions

- Sales growth of 15-17% in 2026E
- OPM of 17.5-18.0% in 2026E
- Implied NTM P/E 21x

BASE Assumptions

- Sales growth of 10-15% in 2026E
- OPM of 17-17.5% in 2026E
- Implied NTM P/E 18x

BEAR Assumptions

- Sales growth of 5-10% in 2026E
- OPM of 15.5-16% in 2026E
- Implied NTM P/E 14x

Poya

Company description

Poya is the largest retailer of fast-moving consumer goods in Taiwan, focusing on low-priced cosmetics, accessories, clothing and food products for females aged 15-49. Poya had 470 stores in Taiwan at the end of 2025 and believes that the market can accommodate up to 700-800 stores before reaching saturation.

Investment strategy

We have a Neutral rating on Poya. We think YTD rally has baked in most positives, including strong SSSG and solid margin expansion. While fundamentals remain solid, tougher comparisons from 4Q26E could moderate this year's 6-7% SSSG, lowering operating leverage and capping further earnings upside. Meanwhile, Cosmed's expanding rollout of Olive Young brands is intensifying competition for beauty spending. Although Poya's SSSG has remained resilient, braoder distribution of these brands could divert customer traffic and increase promotional pressure. We continue to recognize Poya's execution in store expansion and ongoing efficiency improvements. However, with these strengths largely reflected in the share price and growth momentum facing a higher hurdle from 4Q26E onward, we see a more balanced risk/reward.

Valuation

We derive our 12-month target price of NT$70 for Poya from a DCF valuation method. Our assumptions include a terminal growth rate of 4.5% and WACC of 10.1% (beta of 1.05; risk-free rate of 4%; risk premium of 7.0%; cost of equity of 11.3%). Our target price implies a P/E of 18x on our NTM EPS.

Risks

Key downside risks that could mean the shares fail to achieve our target price include: intense price competition among online retailers, slower store traffic, margin dilution due to aggressive store expansion, and a soft macro environment.

Key upside risks that could mean the shares fail to achieve our target price include: easing price competition among online retailers, stronger store traffic, margin expansion thanks to strong cost control, and a stronger macro environment.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Poya (5904.TWO)
Ratings and Target Price History
Fundamental Research

Analyst: Angela Hsu

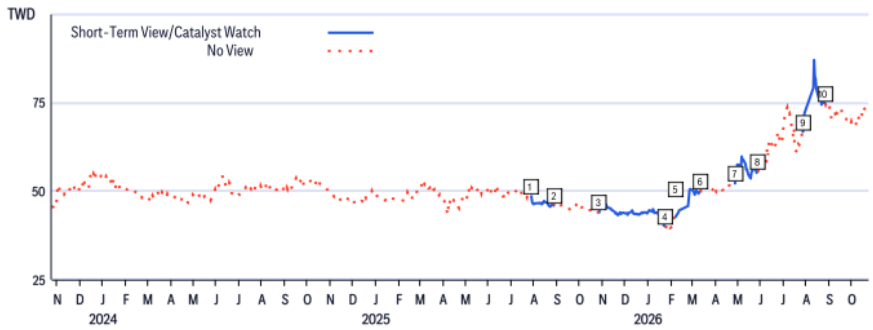
	Date	Rating	Target Price	Closing Price
1	28-Feb-24 08:21:35	1	*60.29	48.52
2	08-May-24 07:52:30	1	*58.82	49.21
3	29-Jul-24 10:35:16	1	*58.42	50.69
4	30-Jul-25 08:12:33	1	*56.50	46.50
5	27-Apr-26 12:23:00	1	*63.00	52.20
6	27-Jul-26 06:55:55	1	*74.50	66.80
7	16-Sep-26 09:22:21	*2	*70.00	73.60

*Indicates Change

Rating/target price changes above reflect Eastern Time

Poya (5904.TWO)
Short-Term View/Catalyst Watch Research

Analyst: Angela Hsu



	Date	Action	Expected Direction	Duration	Closing Price
1	28-Jul-25 04:46:55	Add STV	Upside	30 Days	48.55
2	27-Aug-25 22:13:12	Remove STV	Upside	30 Days	45.90
3	27-Oct-25 03:28:53	Add STV	Upside	90 Days	44.00
4	25-Jan-26 20:18:18	Remove STV	Upside	90 Days	40.05
5	08-Feb-26 22:16:30	Add CW	Upside	30 Days	42.65
6	11-Mar-26 22:16:35	Remove CW	Upside	30 Days	50.00
7	27-Apr-26 08:23:00	Add STV	Upside	30 Days	52.20
8	27-May-26 22:22:55	Remove STV	Upside	30 Days	55.70
9	27-Jul-26 02:55:55	Add STV	Upside	30 Days	66.80
10	26-Aug-26 22:05:40	Remove STV	Upside	30 Days	74.80

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (https://www.citivelocity.com/cv2) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

Guide to Citi Research Fundamental Research Investment Ratings:
Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks.
Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.
Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign "Rating Suspended" status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as "—" and "-" respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned "Under Review" status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views ("STV") Ratings Disclosure:
Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds

15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock's fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:

The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies ("private companies") referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES

The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited	Angela Hsu

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day's market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy","Hold","Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%): Q1 2026 Buy 33% (63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33%(61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (https://www.citivelocity.com/). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain

prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the “Order”), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority (“ISA”) and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm’s institutional and retail clients via the Firm’s proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client’s individual preferences as to the frequency and manner of receiving communications from analysts, the client’s risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the

restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA – Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify, substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt fur Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to “securities” (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section “Research Analyst Affiliations / Non-US Research Analyst Disclosures” for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM’s registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures,controls, and training to ensure continued compliance with all applicable rulesand regulations. All recommendations contained herein are made by dulyqualified research analysts. CGM’s Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel:+91-022-61759994, Fax:+91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at

https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHViRGlzY2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZXJtc29mVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of CGMK. http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDIS03002002000000&serviceId=SDIS03002002000. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comision Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of

the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana ,Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the “Firm”), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E**, these materials (the "Materials") are communicated byCitigroup Global Markets Limited, DIFC branch ("CGML"), an entityregistered in the Dubai International Financial Center ("DIFC") andlicensed and regulated by the Dubai Financial Services Authority ("DFSA",license #CL0221) to Professional Clients and Market Counterparties, as definedin DFSA regulations, only and should not be relied upon or distributed toRetail Clients. Financial products and/or services to which the Materialsrelate will only be made available to Professional Clients and MarketCounterparties. Citigroup Global Markets Limited DIFC Branch registered addressis Level 3, Gate District Building 02, Dubai International Financial Centre andcan be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority (“PRA”) and regulated by the Financial Conduct Authority (“FCA”) and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.
Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested.The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi’s proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information

confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.
Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, redisseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

27 Oct 2026 13:34:19 ET | 15 pages

Unimicron (3037.TW)

ABF GM expansion ahead of expectations; Buy

CITI'S TAKE

We view Unimicron's 3Q26 GM of 28.8% (+4.0ppt QoQ) as robust, although we observed that some investors had aggressive expectations of 3Q26 GM at c.30% levels. We think this GM shortfall could be attributed to lower-than-expected GM improvement in BT/HDI segments. However, we see ABF GM expansion well ahead of expectations, which likely helps reach its long-term ABF GM target of 50-60% earlier than expected. From our perspective, meaningful BT/HDI GM expansion eventually will come after BT capacity conversion into ABF and production ramp for AI PCB products like optical module/AI server products, implying upside potential to Unimicron's GM profile in 2027/28E. Thus, we raise our earnings and DCF-based TP to NT$1,550 (30x 2027E EPS) from NT$1,500 and reiterate our Buy rating.

Robust 3Q26 results: GM beat — 3Q26 sales advanced 23% QoQ, with ABF sales growing at c.30% QoQ. 3Q26 GM posted 28.8% (+4.0ppt QoQ), which came 0.4ppt/1.0ppt than Citi/consensus forecasts, which was mainly driven by ABF GM expansion vs gradual GM improvement in BT and HDI segments. Although we observed that some investors had aggressive expectations of 3Q26 GM at c.30% levels, we still view Unimicron's 3Q26 GM results as robust and think the shortfall could be attributed to gradual improvement in BT/HDI. OPM also saw better leverage with benefit of 0.4ppt QoQ. Overall, OP levels beat Citi/consensus forecasts by 6%/7%. ABF/BT UTR was running at full levels in 3Q26.

4Q26: ABF demand gaining more traction — We currently expect ABF to still take the lead in 4Q26E, resulting in +11% QoQ growth in 4Q26E total sales, considering all the major AI chips entering mass production. For 4Q GM profile, we forecast 32.2% (+3.4ppt QoQ) and ABF drove its GM expansion (vs gradual improvement in HDI GM), more than offset negative impacts from approved salary raise and restricted stock. For OPEX ratio, we forecast +0.2ppt QoQ increase considering employee profit sharing by year-end. We still expect potential price hike of 10-15% in 4Q26E resulting from all the major AI chips ramping up together. For near-term capacity expansion, phase 3 of KF plant 1 just ramped in 3Q26 and phase 1 of KF plant 2 is set to ramp in 2Q27, as per the management.

Buy

Price (27 Oct 26 13:30)	NT$1,060.00
Target price	NT$1,550.00↑
from NT$1,500.00	
Expected share price return	46.2%
Expected dividend yield	1.0%
Expected total return	47.3%
Market Cap	NT$1,739,769M
	US$53,387M

Price Performance
(RIC: 3037.TW, BB: 3037 TT)

Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	5,082	3.34	-57.6	na	17.3	5.5	0.1
2025A	6,673	4.38	31.2	na	16.1	6.9	0.1
2026E	39,060	25.00	470.3	42.4	12.3	32.3	1.0
2027E	81,111	51.32	105.3	20.7	8.5	46.8	2.1
2028E	152,542	96.51	88.1	11.0	5.4	58.0	4.0

Source: Powered by dataCentral

Jack Chen[AC]
+886-2-8726-9091
jack1.chen@citi.com

Laura (Chia Yi) Chen
+886-2-8726-9090
laura.cy.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

3037.TW: Fiscal year end 31-Dec						Price: NT$1,060.00; TP: NT$1,550.00; Market Cap: NT$1,739,769m; Recomm: Buy				
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	115,373	131,241	191,517	314,640	506,092	PE (x)	na	na	42.4	20.7	11.0
Cost of sales	-99,058	-112,949	-140,092	-187,541	-273,903	PB (x)	17.3	16.1	12.3	8.5	5.4
Gross profit	16,315	18,292	51,426	127,099	232,190	EV/EBITDA (x)	79.1	69.6	31.9	13.2	7.2
Gross Margin (%)	14.1	13.9	26.9	40.4	45.9	FCF yield (%)	-0.4	0.0	1.8	3.7	8.6
EBITDA (Adj)	**21,847**	**25,007**	**53,704**	**125,504**	**219,710**	Dividend yield (%)	0.1	0.1	1.0	2.1	4.0
EBITDA Margin (Adj) (%)	18.9	19.1	28.0	39.9	43.4	Payout ratio (%)	45	35	44	44	44
Depreciation	-16,730	-18,333	-20,234	-23,711	-27,148	ROE (%)	5.5	6.9	32.3	46.8	58.0
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**5,117**	**6,674**	**33,470**	**101,793**	**192,563**	EBITDA	21,847	25,007	53,704	125,504	219,710
EBIT Margin (Adj) (%)	4.4	5.1	17.5	32.4	38.0	Working capital	-2,463	-272	4,323	-2,473	2,459
Net interest	494	183	1,524	1,700	1,600	Other	439	876	6,874	-18,882	-37,821
Associates	273	1,627	13,226	60	60	**Operating cashflow**	**19,824**	**25,611**	**64,901**	**104,149**	**184,348**
Non-Op/Except/Other Adj	1,438	343	1,178	900	900	Capex	-26,128	-25,617	-34,758	-42,000	-41,000
Pre-tax profit	**7,321**	**8,827**	**49,398**	**104,453**	**195,123**	Net acq/disposals	250	655	-1,313	0	0
Tax	-1,765	-1,277	-9,054	-21,542	-40,381	Other	-3,499	-1,186	-9,481	-60	-60
Extraord./Min.Int./Pref.div.	-474	-877	-1,283	-1,800	-2,200	**Investing cashflow**	**-29,377**	**-26,149**	**-45,552**	**-42,060**	**-41,060**
Reported net profit	**5,082**	**6,673**	**39,060**	**81,111**	**152,542**	Dividends paid	-4,575	-2,295	-2,580	-17,430	-36,193
Net Margin (%)	4.4	5.1	20.4	25.8	30.1	**Financing cashflow**	**447**	**11,656**	**22,779**	**-14,796**	**-34,781**
Core NPAT	5,082	6,673	39,060	81,111	152,542	**Net change in cash**	**-9,106**	**11,118**	**42,128**	**47,293**	**108,508**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**-6,304**	**-6**	**30,143**	**62,149**	**143,348**
Reported EPS ($)	3.34	4.38	25.00	51.32	96.51						
Core EPS ($)	3.34	4.38	25.00	51.32	96.51						
DPS ($)	1.50	1.52	10.95	22.74	42.77						
CFPS ($)	13.03	16.82	41.53	65.89	116.64						
FCFPS ($)	-4.14	0.00	19.29	39.32	90.70						
BVPS ($)	61.31	66.02	86.14	124.89	195.73						
Wtd avg ord shares (m)	1,521	1,522	1,563	1,581	1,581						
Wtd avg diluted shares (m)	1,521	1,522	1,563	1,581	1,581						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	10.9	13.8	45.9	64.3	60.8						
EBIT (Adj) (%)	-42.6	30.4	401.5	204.1	89.2						
Core NPAT (%)	-57.6	31.3	485.3	107.7	88.1						
Core EPS (%)	-57.6	31.2	470.3	105.3	88.1						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	43,753	54,872	97,000	144,293	252,801						
Accounts receivables	23,617	27,570	43,594	72,426	107,932						
Inventory	14,863	17,802	28,056	46,612	69,463						
Net fixed & other tangibles	136,921	142,257	165,495	183,784	197,637						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	11,693	13,291	22,405	30,757	41,028						
Total assets	**230,847**	**255,792**	**356,550**	**477,872**	**668,860**						
Accounts payable	15,117	17,494	22,575	30,603	45,993						
Short-term debt	10,871	22,206	21,983	24,697	26,189						
Long-term debt	32,905	34,873	23,105	23,105	23,105						
Provisions & other liab	72,367	74,211	142,953	188,132	243,768						
Total liabilities	**131,260**	**148,785**	**210,615**	**266,536**	**339,055**						
Shareholders' equity	93,265	100,569	141,382	204,984	321,252						
Minority interests	6,322	6,438	4,552	6,352	8,552						
Total equity	**99,587**	**107,007**	**145,935**	**211,336**	**329,805**						
Net debt (Adj)	**28**	**2,207**	**-51,912**	**-96,492**	**-203,507**						
Net debt to equity (Adj) (%)	0.0	2.1	-35.6	-45.7	-61.7						

For definitions of the items in this table, please click here.

Long-term strategies: Resources concentrated on ABF/AI PCB — As we highlighted, Unimicron has been converting BT capacity into ABF, which currently causes some BT capacity to be idle during the transition period (negative impact will likely last into 1H27, in our view). Thus, currently, we are less bullish on its BT GM recovery in the near term vs other BT peers. However, we expect this conversion will help the company to secure more ABF demand earlier considering customers currently are still waiting for those ABF greenfield capacity expansion projects to come in the next few years. For HDI/mSAP, Unimicron would only focus on AI server/optical module products in the long term. To note that, the company is still less aggressive in HDI capacity expansion given higher competition from Chinese peers. Meanwhile, the company is also downsizing its traditional PCB capacity (i.e., for non-AI business) and just announced its plan to sell its PCB plant in Japan to other players. We expect there will be more downsizing plans to come for traditional PCB capacity.

GM expansion on track; reiterate Buy — We raise our 2026/27/28E by 10%/5%/5% to factor in robust GM expansion by ABF. We remain positive on its GM expansion by ABF and also see potential upside coming from HDI and BT segments. We raise our DCF-based TP to NT$1,550 (30x 2027E EPS) from NT$1,500 and reiterate our Buy rating.

Figure 1. Unimicron – 3Q26 Results

(NT$mn)	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Cons.	Diff.
Revenue	52,650	42,890	23%	33,994	55%	50,555	4%	50,366	5%
Gross profit	15,189	10,638	43%	4,549	234%	14,400	5%	14,044	8%
Gross margin	28.8%	24.8%	4.0%	13.4%	15.5%	28.5%	0.4%	27.9%	1.0%
Op. profit	10,528	6,651	58%	1,533	587%	9,920	6%	9,878	7%
OP margin	20.0%	15.5%	4.5%	4.5%	15.5%	19.6%	0.4%	19.6%	0.4%
Net income	10,052	13,115	-23%	2,194	358%	7,641	32%	6,738	49%
EPS (NT$)	6.36	8.45	-25%	1.44	341%	4.81	32%	4.14	54%

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research Estimates, Company Reports, Bloomberg

Figure 2. Unimicron – Earnings Revisions

	4Q26E			1Q27E			2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	58,531	55,969	5%	61,664	60,933	1%	191,517	186,860	2%	314,640	312,663	1%	506,092	502,391	1%
Sequential growth	11%	11%		5%	9%		46%	42%		64%	67%		61%	61%	
Gross profit	18,872	17,560	7%	21,481	21,056	2%	51,426	49,325	4%	127,099	125,294	1%	232,190	227,595	2%
Opex	5,337	4,851	10%	5,346	5,282	1%	17,955	17,288	4%	25,306	25,141	1%	39,627	39,334	1%
Operating profit	13,535	12,710	6%	16,134	15,774	2%	33,470	32,037	4%	101,793	100,154	2%	192,563	188,260	2%
Pre-tax profit	14,360	13,035	10%	16,859	16,099	5%	49,398	45,154	9%	104,453	101,524	3%	195,123	189,630	3%
Net income	10,851	9,817	11%	13,206	12,590	5%	39,060	35,616	10%	81,111	77,623	4%	152,542	146,110	4%
EPS (NT$)	6.87	6.18	11%	8.36	7.92	5%	25.00	22.73	10%	51.32	48.84	5%	96.51	91.94	5%
Gross margin	32.2%	31.4%	+0.9 ppt	34.8%	34.6%	+0.3 ppt	26.9%	26.4%	+0.5 ppt	40.4%	40.1%	+0.3 ppt	45.9%	45.3%	+0.6 ppt
Opex ratio	9.1%	8.7%	+0.5 ppt	8.7%	8.7%	+0.0 ppt	9.4%	9.3%	+0.1 ppt	8.0%	8.0%	+0.0 ppt	7.8%	7.8%	+0.0 ppt
Operating margin	23.1%	22.7%	+0.4 ppt	26.2%	25.9%	+0.3 ppt	17.5%	17.1%	+0.3 ppt	32.4%	32.0%	+0.3 ppt	38.0%	37.5%	+0.6 ppt
Net margin	18.5%	17.5%	+1.0 ppt	21.4%	20.7%	+0.8 ppt	20.4%	19.1%	+1.3 ppt	25.8%	24.8%	+1.0 ppt	30.1%	29.1%	+1.1 ppt

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.
Source: Citi Research estimates

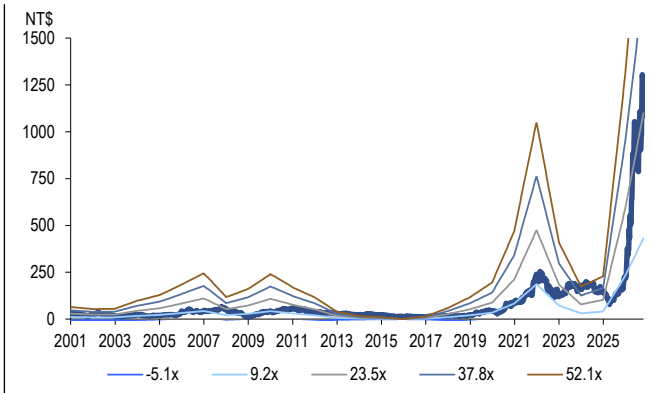
Figure 3. Unimicron — Key Earnings Estimates

Unimicron	2026				2027														
(NT$ in Mn, year-end Dec)	1Q	2Q	3Q	4QE	1QE	2QE	3QE	4QE	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	37,446	42,890	52,650	58,531	61,664	70,517	85,217	97,242	75,733	82,536	87,893	104,563	140,489	104,036	115,373	131,241	191,517	314,640	506,092
Depreciation	-4,917	-4,991	-5,083	-5,242	-5,499	-5,852	-6,087	-6,272	-8,319	-8,396	-8,714	-9,506	-11,391	-14,643	-16,730	-18,333	-20,234	-23,711	-27,148
COGS	-30,720	-32,252	-37,460	-39,659	-40,183	-44,937	-49,493	-52,928	-67,349	-71,222	-75,064	-80,900	-90,056	-83,735	-99,058	-112,949	-140,092	-187,541	-273,903
Gross Profit	6,726	10,638	15,189	18,872	21,481	25,581	35,724	44,314	8,383	11,314	12,828	23,663	50,433	20,302	16,315	18,292	51,426	127,099	232,190
Operating Expense	-3,993	-4,006	-4,662	-5,337	-5,346	-5,764	-6,629	-7,567	-6,994	-7,820	-8,811	-10,493	-12,261	-11,382	-11,198	-11,618	-17,955	-25,306	-39,627
SG&A expenses	-2,430	-2,387	-2,758	-3,003	-3,163	-3,262	-3,683	-4,200	-4,088	-4,378	-4,873	-5,777	-6,374	-6,458	-6,156	-6,619	-10,421	-14,161	-21,689
R&D expenses	-1,587	-1,637	-1,940	-2,371	-2,220	-2,539	-2,983	-3,403	-2,906	-3,442	-3,938	-4,716	-5,887	-4,923	-5,043	-4,999	-7,534	-11,145	-17,938
EBIT	2,757	6,651	10,528	13,535	16,134	19,817	29,095	36,747	1,390	3,493	4,017	13,170	38,172	8,920	5,117	6,674	33,470	101,793	192,563
Net Interest Income	21	191	712	600	500	400	400	400	-505	-444	-282	-160	212	746	494	183	1,524	1,700	1,600
Net Other Income	3,522	8,733	1,924	225	225	285	225	225	1,397	989	2,499	3,619	1,491	5,909	1,710	1,970	14,404	960	960
Pre-Tax Profit	6,299	15,576	13,163	14,360	16,859	20,502	29,720	37,372	2,282	4,038	6,234	16,629	39,875	15,575	7,321	8,827	49,398	104,453	195,123
Tax	918	2,233	2,743	3,159	3,203	4,920	5,944	7,474	-452	-763	-917	-3,104	-8,649	-3,350	-1,765	-1,277	-9,054	-21,542	-40,381
Net Profit	5,043	13,115	10,052	10,851	13,206	15,131	23,326	29,448	1,705	3,260	5,462	13,222	29,619	11,980	5,082	6,673	39,060	81,111	152,542
EPS (NT$)	3.28	8.45	6.36	6.87	8.36	9.57	14.76	18.63	1.14	2.24	3.75	9.00	20.09	7.88	3.34	4.38	25.00	51.32	96.51
Revenue breakdown																			
PCB	10%	9%	8%	7%	6%	5%	5%	4%	14%	14%	13%	14%	11%	13%	10%	11%	8%	5%	3%
HDI	27%	27%	27%	25%	22%	20%	18%	16%	38%	36%	34%	26%	19%	20%	24%	28%	27%	18%	13%
Substrate	59%	61%	62%	66%	71%	73%	77%	79%	41%	43%	47%	55%	67%	63%	61%	58%	62%	76%	84%
FlexPCB	2%	2%	2%	1%	1%	1%	1%	1%	5%	5%	5%	4%	2%	2%	3%	2%	2%	1%	1%
Margins (%)																			
Gross Margin	18.0	24.8	28.8	32.2	34.8	36.3	41.9	45.6	11.1	13.7	14.6	22.6	35.9	19.5	14.1	13.9	26.9	40.4	45.9
Operating Margin	7.4	15.5	20.0	23.1	26.2	28.1	34.1	37.8	1.8	4.2	4.6	12.6	27.2	8.6	4.4	5.1	17.5	32.4	38.0
Net Margin	13.5	30.6	19.1	18.5	21.4	21.5	27.4	30.3	2.3	3.9	6.2	12.6	21.1	11.5	4.4	5.1	20.4	25.8	30.1
Sequential Growth (%)																			
Revenue	7.9	14.5	22.8	11.2	5.4	14.4	20.8	14.1	16.5	9.0	6.5	19.0	34.4	-25.9	10.9	13.8	45.9	64.3	60.8
Gross Profit	22.9	58.2	42.8	24.2	13.8	19.1	39.7	24.0	44.9	35.0	13.4	84.5	113.1	-59.7	-19.6	12.1	181.1	147.2	82.7
EBIT	16.5	141.3	58.3	28.6	19.2	22.8	46.8	26.3	n.m.	151.4	15.0	227.9	189.8	-76.6	-42.6	30.4	401.5	204.1	89.2
Net Profit	42.7	160.1	-23.4	7.9	21.7	14.6	54.2	26.2	311.6	91.2	67.5	142.1	124.0	-59.6	-57.6	31.3	485.3	107.7	88.1
EPS	41.4	157.5	-24.7	7.9	21.7	14.6	54.2	26.2	312.7	96.5	66.9	140.3	123.2	-60.7	-57.6	31.2	470.3	105.3	88.1

© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Company data, Citi Research estimates

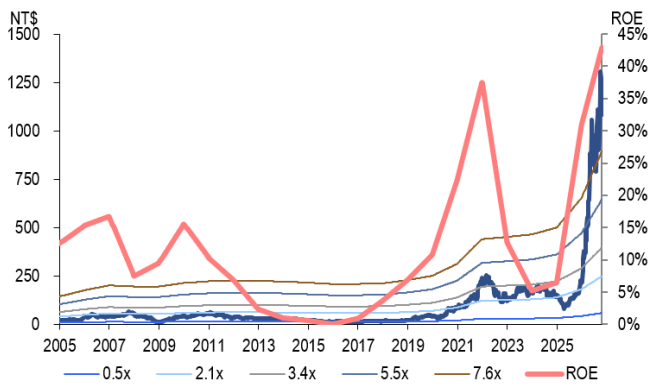
Figure 4. Unimicron — Forward 1-yr P/E Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: Citi Research, Bloomberg

Figure 5. Unimicron — Forward 1-yr P/B Band



© 2026 Citigroup Inc. No redistribution without Citigroup's written permission.

Source: dataCentral, Citi Research

Bull/Bear: Unimicron (3037.TW)

NT$1,700.00 ▲60% Upside | NT$1,550.00 ▲46% Upside | NT$900.00 ▼15% Downside

Spread 75pp
Current Price and expected returns (upside/downside) as of 27 Oct 2026

BULL Assumptions

- Better-than-expected ABF recovery on AI and PC
- Rapid improvement in the yield of HDI for AI products
- ASP hike on T-glass shortage

BASE Assumptions

- +46%/+64% revenue YoY in 26/27E
- 26.9%/40.4% GM and 17.5%/32.4% OPM in 26/27E

BEAR Assumptions

- Weakening ABF demand, dragged by recession
- GM pressure if tariff is not removed or stays at high levels
- Slow improvement in the yield of HDI for AI products

Unimicron

Company description

Established in 1990, Unimicron is the world's No.1 PCB maker and HDI board maker. After the acquisition of PPT in late 2009, its revenue exposure to substrate has surpassed 40%, with the rest almost equally shared by conventional PCB and HDI. Unimicron has manufacturing sites in Taiwan and China (Suzhou, Kunshan, Shenzhen). UMC is the largest shareholder, with a ~13% stake.

Investment strategy

We rate Unimicron shares a Buy. Our positive view is premised on: more upside potential in the ABF segment thanks to product-mix improvements, better pricing on more complex product upgrade, and capacity expansion. Despite macro uncertainty, from a long-term perspective, we believe the tightness in ABF is unlikely to ease without much new capacity ramped aggressively in the upcoming years, and Unimicron should be the largest beneficiary with its scale in ABF. Thanks to AI GPU/ASIC demand, we now see strong growth in 2026/27E ABF consumption. We believe Unimicron could see strong revenue growth again as it did in 2019–21 from both ABF new capacity and a BT rebound.

Valuation

Our target price for Unimicron is NT$1,550. We use a 1-year forward-looking DCF-based valuation (ie, end-2027) to reflect Unimicron's ability to generate stable cash. With a risk-free rate of 5.0% (10-year government bond rate), a market risk premium of 7%, and an equity beta of 1.43 (2-year weekly share price), we calculate Unimicron's WACC as 14.6%. Our target price is equivalent to 62x/30x 2026/27E EPS, which is higher than the +1std level of consensus PE multiple of the past five years. However, as the market focuses on 2027 upcycle, we believe valuation on 2027E EPS is still in line with historical peak valuations of 25–30x during the last upcycles.

Risks

Key downside risks that could mean Unimicron shares trade below our target price include: 1) weaker-than-expected HDI business; 2) significant increase in ABF supply in the industry; and 3) stronger-than-expected margin pressure from depreciation due to higher capex investments.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

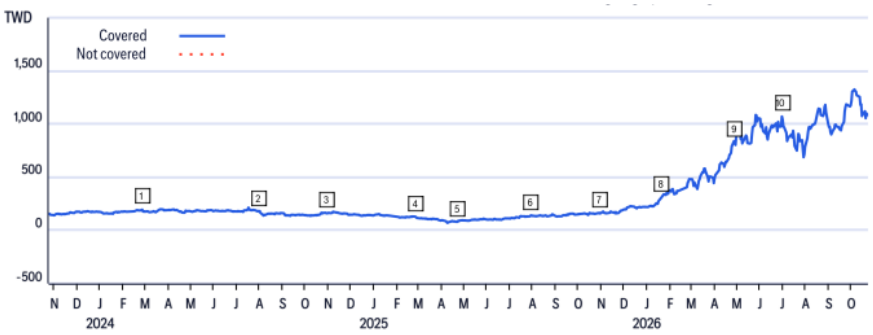
The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Unimicron (3037.TW)

Ratings and Target Price History
Fundamental Research

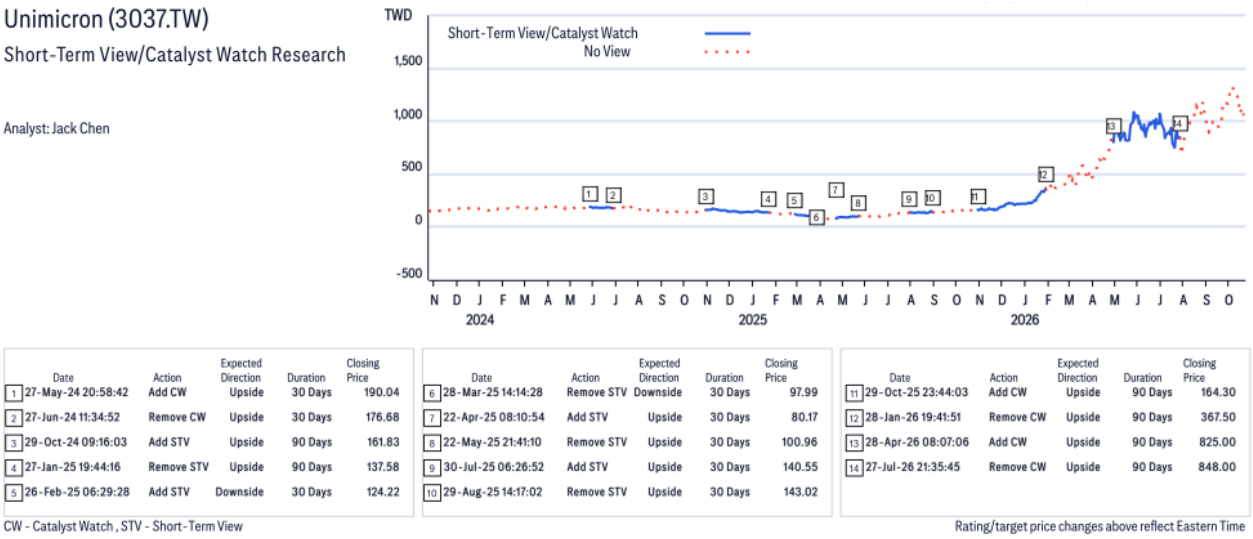
Analyst: Jack Chen



	Date	Rating	Target Price	Closing Price
1	26-Feb-24 10:21:09	1	*247.44	194.00
2	31-Jul-24 10:50:03	1	*237.55	177.67
3	29-Oct-24 13:16:03	1	*217.75	161.83
4	26-Feb-25 11:29:28	1	*173.21	124.22
5	22-Apr-25 12:10:54	1	*98.98	80.17
6	30-Jul-25 10:26:52	1	*163.31	140.55
7	30-Oct-25 03:44:03	1	*217.75	158.36
8	20-Jan-26 10:55:31	1	*400.00	308.00
9	28-Apr-26 12:07:06	1	*1,080.00	825.00
10	30-Jun-26 10:10:46	1	*1,500.00	1,070.00

*Indicates Change

Rating/target price changes above reflect Eastern Time



	Date	Action	Expected Direction	Duration	Closing Price
1	27-May-24 20:58:42	Add CW	Upside	30 Days	190.04
2	27-Jun-24 11:34:52	Remove CW	Upside	30 Days	176.68
3	29-Oct-24 09:16:03	Add STV	Upside	90 Days	161.83
4	27-Jan-25 19:44:16	Remove STV	Upside	90 Days	137.58
5	26-Feb-25 06:29:28	Add STV	Downside	30 Days	124.22
6	28-Mar-25 14:14:28	Remove STV	Downside	30 Days	97.99
7	22-Apr-25 08:10:54	Add STV	Upside	30 Days	80.17
8	22-May-25 21:41:10	Remove STV	Upside	30 Days	100.96
9	30-Jul-25 06:26:52	Add STV	Upside	30 Days	140.55
10	29-Aug-25 14:17:02	Remove STV	Upside	30 Days	143.02
11	29-Oct-25 23:44:03	Add CW	Upside	90 Days	164.30
12	28-Jan-26 19:41:51	Remove CW	Upside	90 Days	367.50
13	28-Apr-26 08:07:06	Add CW	Upside	90 Days	825.00
14	27-Jul-26 21:35:45	Remove CW	Upside	90 Days	848.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Within the past 12 months, Citigroup Global Markets Inc. or its affiliates has acted as manager or co-manager of an offering of securities of Unimicron.

Citigroup Global Markets Inc. or its affiliates has received compensation for investment banking services provided within the past 12 months from Unimicron.

Citigroup Global Markets Inc. or its affiliates currently has, or had within the past 12 months, the following as investment banking client(s): Unimicron.

Analysts' compensation is determined by Citi Research management and Citigroup's senior management and is based upon activities and services intended to benefit the investor clients of Citigroup Global Markets Inc. and its affiliates (the "Firm"). Compensation is not linked to specific transactions or recommendations. Like all Firm employees, analysts receive compensation that is impacted by overall Firm profitability which includes investment banking, sales and trading, and principal trading revenues. One factor in equity research analyst compensation is arranging corporate access events between institutional clients and the management teams of covered companies. Typically, company management is more likely to participate when the analyst has a positive view of the company.

For financial instruments recommended in the Product in which the Firm is not a market maker, the Firm is a liquidity provider in such financial instruments (and any underlying instruments) and may act as principal in connection with transactions in such instruments. The Firm is a regular issuer of traded financial instruments linked to securities that may have been recommended in the Product. The Firm regularly trades in the securities of the issuer(s) discussed in the Product. The Firm may engage in securities transactions in a manner inconsistent with the Product and, with respect to securities covered by the Product, will buy or sell from customers on a principal basis.

Unless stated otherwise neither the Research Analyst nor any member of their team has viewed the material operations of the Companies for which an investment view has been provided within the past 12 months.

For important disclosures (including copies of historical disclosures) regarding the companies that are the subject of this Citi Research product ("the Product"), please contact Citi Research, 388 Greenwich Street, 6th Floor, New York, NY, 10013, Attention: Legal/Compliance [E6WYB6412478]. In addition, the same important disclosures, with the exception of the Valuation and Risk assessments and historical disclosures, are contained on the Firm's disclosure website at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. Valuation and Risk assessments can be found in the text of the most recent research note/report regarding the subject company. Pursuant to the Market Abuse Regulation a history of all Citi Research recommendations published during the preceding 12-month period can be accessed via Citi Velocity (https://www.citivelocity.com/cv2) or your standard distribution portal. Historical disclosures (for up to the past three years) will be provided upon request.

Citi Research Equity Ratings Distribution

	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

Guide to Citi Research Fundamental Research Investment Ratings:
Citi Research stock recommendations include an investment rating and an optional risk rating to highlight high risk stocks. **Risk rating** takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

Investment Ratings: Citi Research investment ratings are Buy, Neutral and Sell. Our ratings are a function of analyst expectations of expected total return ("ETR") and risk. ETR is the sum of the forecast price appreciation (or depreciation) plus the dividend yield for a stock within the next 12 months. The target price is based on a 12 month time horizon. The Investment rating definitions are: Buy (1) ETR of 15% or more or 25% or more for High risk stocks; and Sell (3) for negative ETR. Any covered stock not assigned a Buy or a Sell is a Neutral (2). For stocks rated Neutral (2), if an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Citi Research management not to assign a target price and, thus, not derive an ETR. Citi Research may suspend its rating and target price and assign “Rating Suspended” status for regulatory and/or internal policy reasons. Citi Research may also suspend its rating and target price and assign "Under Review" status for other exceptional circumstances (e.g. lack of information critical to the analyst's thesis, trading suspension) affecting the company and/or trading in the company's securities. In both such situations, the rating and target price will show as “—“ and “-“ respectively in the rating history price chart. Prior to 11 April 2022 Citi Research assigned “Under Review” status to both situations and prior to 11 Nov 2020 only in exceptional circumstances. As soon as practically possible, the analyst will publish a note re-establishing a rating and investment thesis. Investment ratings are determined by the ranges described above at the time of initiation of coverage, a change in investment and/or risk rating, or a change in target price (subject to limited management discretion). At times, the expected total returns may fall outside of these ranges because of market price movements and/or other short-term volatility or trading patterns. Such interim deviations will be permitted but will become subject to review by Research Management. Your decision to buy or sell a security should be based upon your personal investment objectives and should be made only after evaluating the stock's expected performance and risk.

Catalyst Watch/Short Term Views (“STV”) Ratings Disclosure:
Catalyst Watch and STV Upside/Downside calls: Citi Research may also include a Catalyst Watch or STV Upside or Downside call to indicate the analyst expects the share price to rise (fall) in absolute terms over a specified period of 30 or 90 days in reaction to one or more specific near-term catalysts or events impacting the company or the market. A Catalyst Watch will be published when Analyst confidence is high that an impact to share price will occur; it will be a STV when confidence level is moderate. A Catalyst Watch or STV Upside/Downside call will automatically expire at the end of the specified 30/90 day period. The Catalyst Watch will also be automatically removed if share price performance (calculated at market close) exceeds 15% against the direction of the call (unless over-ridden by the analyst). The analyst may also remove a Catalyst Watch or STV call prior to the end of the specified period in a published research note. A Catalyst Watch/STV Upside or Downside call may be different from and does not affect a stock’s fundamental equity rating, which reflects a longer-term total absolute return expectation. For purposes of FINRA ratings-distribution-disclosure rules, a Catalyst Watch/STV Upside call corresponds to a buy recommendation and a Catalyst Watch/STV Downside call corresponds to a sell recommendation. Any stock not assigned to a Catalyst Watch Upside, Catalyst Watch Downside, STV Upside, or STV Downside call is considered Catalyst Watch/STV No View. For purposes of FINRA ratings distribution-disclosure rules, we correspond Catalyst Watch/STV No View to Hold in our ratings distribution table for our Catalyst Watch/STV Upside/Downside rating system. However, we reiterate that we do not consider No View to be a recommendation. For all Catalyst Watch/STV Upside/Downside calls, risk exists that the catalyst(s) and associated share-price movement will not materialize as expected.

Privately held companies:
The legal entities through which Citi conducts its business do not permit investment research recommendations, ratings, target prices, or estimates on any privately held companies (“private companies”) referenced herein. Citi Research does not utilize a rating system for private companies. Any information on private companies in this report is based on generally available information and, although obtained from sources believed by Citi to be reliable, its accuracy and completeness are not guaranteed. Private companies are generally not subject to reporting obligations, which may result in less publicly available information. The information contained in this report may differ from information a private company may subsequently make public or otherwise share with investors. Continuation of publishing private company reports or private company sections within reports is at Citi's discretion, in accordance with internal policies.

RESEARCH ANALYST AFFILIATIONS / NON-US RESEARCH ANALYST DISCLOSURES
The legal entities employing the authors of this report are listed below (and their regulators are listed further herein). Non-US research analysts who have prepared this report (i.e., all research analysts listed below other than those identified as employed by Citigroup Global Markets Inc.) are not registered/qualified as research analysts with FINRA. Such research analysts may not be associated persons of the member organization (but are employed by an affiliate of the member organization) and therefore may not be subject to the FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Citigroup Global Markets Taiwan Securities Company Limited	Jack Chen; Laura (Chia Yi) Chen; Nicholas Lai

OTHER DISCLOSURES

Any price(s) of instruments mentioned in recommendations are as of the prior day’s market close on the primary market for the instrument, unless otherwise stated.

The completion and first dissemination of any recommendations made within this research report are as of the Eastern date-time displayed at the top of the Product. If the Product references views of other analysts then please refer to the price chart or rating history table for the date/time of completion and first dissemination with respect to that view.

Regulations in various jurisdictions require that where a recommendation differs from any of the author's previous recommendations concerning the same financial instrument or issuer that has been published during the preceding 12-month period that the change(s) and the date of that previous recommendation are indicated. For fundamental coverage please refer to the price chart or rating change history within this disclosure appendix or the issuer disclosure summary at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

Citi Research has implemented policies for identifying, considering and managing potential conflicts of interest arising as a result of publication or distribution of investment research. A description of these policies can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures.

The proportion of all Citi Research research recommendations that were the equivalent to "Buy","Hold","Sell" at the end of each quarter over the prior 12 months (with the % of these that had received investment firm services from Citi in the prior 12 months shown in brackets) is as follows; Q2 2026 Buy 33%(63%), Hold 44% (51%), Sell 23% (49%), RV 0.5% (87%): Q1 2026 Buy 33% (63%), Hold 44% (52%), Sell 23% (46%), RV 0.5% (89%); Q4 2025 Buy 33% (63%), Hold 44% (50%), Sell 23% (46%), RV 0.4% (91%); Q3 2025 Buy 33%(61%), Hold 44% (52%), Sell 23% (50%), RV 0.4% (80%). For the purposes of disclosing recommendations other than for equity (whose definitions can be found in the corresponding disclosure sections), "Buy" means a positive directional trade idea; "Sell" means a negative directional trade idea; and "Relative Value" means any trade idea which does not have a clear direction to the investment strategy.

European regulations require a 5 year price history when past performance of a security is referenced. CitiVelocity's Charting Tool (https://www.citivelocity.com/cv2/#go/CHARTING_3_Equities) provides the facility to create customisable price charts including a five year option. This tool can be found in the Data & Analytics section under any of the asset class menus in CitiVelocity (https://www.citivelocity.com/). For further information contact CitiVelocity support (https://www.citivelocity.com/cv2/go/CLIENT_SUPPORT). The source for all referenced prices, unless otherwise stated, is DataCentral, which sources price information from LSEG Data & Analytics. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance.

Investors should always consider the investment objectives, risks, and charges and expenses of an ETF carefully before investing. The applicable prospectus and key investor information document (as applicable) for an ETF should contain this and other information about such ETF. It is important to read carefully any such prospectus before investing. Clients may obtain prospectuses and key investor information documents for ETFs from the applicable distributor or authorized participant, the exchange upon which an ETF is listed and/or from the applicable website of the applicable ETF issuer. The value of the investments and any accruing income may fall or rise. Any past performance, prediction or forecast is not indicative of future or likely performance. Any information on ETFs contained herein is provided strictly for illustrative purposes and should not be deemed an offer to sell or a solicitation of an offer to purchase units of any ETF either explicitly or implicitly. The opinions expressed are those of the authors and do not necessarily reflect the views of ETF issuers, any of their agents or their affiliates.

Citigroup Global Markets India Private Limited and/or its affiliates may have, from time to time, actual or beneficial ownership of 1% or more in the debt securities of the subject issuer.

Please be advised that pursuant to Executive Order 13959 as amended (the "Order"), U.S. persons are prohibited from investing in securities of any company determined by the United States Government to be the subject of the Order. This research is not intended to be used or relied upon in any way that could result in a violation of the Order. Investors are encouraged to rely upon their own legal counsel for advice on compliance with the Order and other economic sanctions programs administered and enforced by the Office of Foreign Assets Control of the U.S. Treasury Department.

This communication is directed at persons who are "Eligible Clients" as such term is defined in the Israeli Regulation of Investment Advice, Investment Marketing and Investment Portfolio Management law, 1995 (the "Advisory Law"). Within Israel, this communication is not intended for retail clients and Citi will not make such products or transactions available to retail clients or to non-Eligible Clients. The presenter is not licensed as investment advisor or investment marketer by the Israeli Securities Authority ("ISA") and this communication does not constitute investment or marketing advice. The information contained herein may relate to matters that are not regulated by the ISA. Any securities which are the subject of this communication may not be offered or sold to any Israeli person except pursuant to a security offering exemption according to the Israeli Securities Law, 1968and the public offering rules provided thereunder.

Citi Research broadly and simultaneously disseminates its research content to the Firm's institutional and retail clients via the Firm's proprietary electronic distribution platforms (e.g., Citi Velocity and various Global Wealth platforms). As a convenience, certain, but not all, research content may be distributed through third party aggregators. Clients may receive published research reports by email, on a discretionary basis, and only after such research content has been broadly disseminated. Certain research is made available only to institutional investors to satisfy regulatory requirements. The level and types of services provided by Citi Research analysts to clients may vary depending on various factors such as the client's individual preferences as to the frequency and manner of receiving communications from analysts, the client's risk profile and investment focus and perspective (e.g. market-wide, sector specific, long term, short-term etc.), the size and scope of the overall client relationship with the Firm and legal and regulatory constraints.

Pursuant to Comissão de Valores Mobiliários Resolução 20 and ASIC Regulatory Guide 264, Citi is required to disclose whether a Citi related company or business has a commercial relationship with the subject company. Considering that Citi operates

multiple businesses in more than 100 countries around the world, it is likely that Citi has a commercial relationship with the subject company.

Securities recommended, offered, or sold by the Firm: (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Citibank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security. Any decision to purchase securities mentioned in the Product must take into account existing public information on such security or any registered prospectus. Although information has been obtained from and is based upon sources that the Firm believes to be reliable, we do not guarantee its accuracy and it may be incomplete and condensed. Note, however, that the Firm has taken all reasonable steps to determine the accuracy and completeness of the disclosures made in the Important Disclosures section of the Product. The Firm's research department has received assistance from the subject company(ies) referred to in this Product including, but not limited to, discussions with management of the subject company(ies). Firm policy prohibits research analysts from sending draft research to subject companies. However, it should be presumed that the author of the Product has had discussions with the subject company to ensure factual accuracy prior to publication. Statements and views concerning ESG (environmental, social, governance) factors are typically based upon public statements made by the affected company or other public news, which the author may not have independently verified. ESG factors are one consideration that investors may choose to examine when making investment decisions. All opinions, projections and estimates constitute the judgment of the author as of the date of the Product and these, plus any other information contained in the Product, are subject to change without notice. Prices and availability of financial instruments also are subject to change without notice. Notwithstanding other departments within the Firm advising the companies discussed in this Product, information obtained in such role is not used in the preparation of the Product. Although Citi Research does not set a predetermined frequency for publication, if the Product is a fundamental equity or credit research report, it is the intention of Citi Research to provide research coverage of the covered issuers, including in response to news affecting the issuer. For non-fundamental research reports, Citi Research may not provide regular updates to the views, recommendations and facts included in the reports. Notwithstanding that Citi Research maintains coverage on, makes recommendations concerning or discusses issuers, Citi Research may be periodically restricted from referencing certain issuers due to legal or policy reasons. Where a component of a published trade idea is subject to a restriction, the trade idea will be removed from any list of open trade ideas included in the Product. Upon the lifting of the restriction, the trade idea will either be re-instated in the open trade ideas list if the analyst continues to support it or it will be officially closed. Citi Research may provide different research products and services to different classes of customers (for example, based upon long-term or short-term investment horizons) that may lead to differing conclusions or recommendations that could impact the price of a security contrary to the recommendations in the alternative research product, provided that each is consistent with the rating system for each respective product.

Investing in non-U.S. securities, including ADRs, may entail certain risks. The securities of non-U.S. issuers may not be registered with, nor be subject to the reporting requirements of the U.S. Securities and Exchange Commission. There may be limited information available on foreign securities. Foreign companies are generally not subject to uniform audit and reporting standards, practices and requirements comparable to those in the U.S. Securities of some foreign companies may be less liquid and their prices more volatile than securities of comparable U.S. companies. In addition, exchange rate movements may have an adverse effect on the value of an investment in a foreign stock and its corresponding dividend payment for U.S. investors. Net dividends to ADR investors are estimated, using withholding tax rates conventions, deemed accurate, but investors are urged to consult their tax advisor for exact dividend computations. Investors who have received the Product from the Firm may be prohibited in certain states or other jurisdictions from purchasing securities mentioned in the Product from the Firm. Please ask your Financial Consultant for additional details. Citigroup Global Markets Inc. takes responsibility for the Product in the United States. Any orders by US investors resulting from the information contained in the Product may be placed only through Citigroup Global Markets Inc.

The Citigroup legal entity that takes responsibility for the production of the Product is the legal entity which the first named author is employed by.

The Product is made available in **Australia** through Citigroup Global Markets Australia Pty Limited. (ABN 64 003 114 832 and AFSL No. 240992), participant of the ASX Group and regulated by the Australian Securities & Investments Commission. Citigroup Centre, 2 Park Street, Sydney, NSW 2000. Citigroup Global Markets Australia Pty Limited is not an Authorised Deposit-Taking Institution under the Banking Act 1959, nor is it regulated by the Australian Prudential Regulation Authority.

The Product is made available in **Brazil** by Citigroup Global Markets Brasil - CCTVM SA, which is regulated by CVM - Comissão de Valores Mobiliários ("CVM"), BACEN - Brazilian Central Bank, APIMEC - Associação dos Analistas e Profissionais de Investimento do Mercado de Capitais and ANBIMA – Associação Brasileira das Entidades dos Mercados Financeiro e de Capitais. Av. Paulista, 1111 - 14º andar(parte) - CEP: 01311920 - São Paulo - SP.

This Product is available in **Chile** through Banchile Corredores de Bolsa S.A., an indirect subsidiary of Citigroup Inc., which is regulated by the Comisión Para El Mercado Financiero. Enrique Foster Sur, 20, piso 6, Las Condes, Santiago, Chile.

Disclosure for investors in the Republic of Colombia :This communication or message does not constitute a professional recommendation to make investment in the terms of article 2.40.1.1.2 of Decree 2555 de 2010 or the regulations that modify,

substitute or complement it. Para la elaboración y distribución de informes de investigación y de comunicaciones generales de que trata este artículo no se requiere ser una entidad vigilada por la Superintendencia Financiera de Colombia.

The Product is made available in **Germany** by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt fur Finanzdienstleistungsaufsicht BaFin). Börsenplatz 9, 60313 Frankfurt am Main, Germany.

Unless otherwise specified, if the analyst who prepared this report is based in Hong Kong and it relates to "securities" (as defined in the Securities and Futures Ordinance (Cap.571 of the Laws of Hong Kong)), the report is issued in Hong Kong by Citigroup Global Markets Asia Limited. Citigroup Global Markets Asia Limited is regulated by Hong Kong Securities and Futures Commission. If the report is prepared by a non-Hong Kong based analyst, please note that such analyst (and the legal entity that the analyst is employed by or accredited to) is not licensed/registered in Hong Kong and they do not hold themselves out as such. Please refer to the section "Research Analyst Affiliations / Non-US Research Analyst Disclosures" for the details of the employment entity of the analysts.

The Product is made available in **India** by Citigroup Global Markets India Private Limited (CGM), which is regulated by the Securities and Exchange Board of India (SEBI), as a Research Analyst (SEBI Registration No. INH000000438). CGM is also actively involved in the business of merchant banking (SEBI Registration No. INM000010718) and stock brokerage ((SEBI Registration No. INZ000263033) in India, and is registered with SEBI in this regard. Registration granted by SEBI, enlistment with Bombay Stock Exchange (BSE) and certification from National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. CGM's registered office is at 1202, 12th Floor, First International Financial Centre (FIFC), G Block, Bandra Kurla Complex, Bandra East, Mumbai – 400098 & registered Tel: +91 22 61759999. Citi maintains robust policies, procedures,controls, and training to ensure continued compliance with all applicable rulesand regulations. All recommendations contained herein are made by dulyqualified research analysts. CGM's Corporate Identity Number is U99999MH2000PTC126657, and its Compliance Officer [Vishal Bohra] contact details are: Tel:+91-022-61759994, Fax:+91-022-61759851, Email: cgmcompliance@citi.com. The Investor Charter in respect of Research Analysts, the Compliance Audit Report and Complaints information can be found at https://www.citivelocity.com/cvr/eppublic/citi_research_disclosures. The grievance officer [Niraj Mody] contact details are Tel: +91-22-42775002, Email: EMEA.CR.Complaints@citi.com. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. SEBI prescribed Client Terms & Conditions can be found at https://www.citivelocity.com/rendition/authfilelinksvcs/eppublic/V1/file?paramData=ZmlsZU5hbWU9L1MzL0dETVMvcHViRGlzY2xvc3VyZUh0bWxzL2dkbV9kaXNfc2ViaV9UZXJtc29mVXNlLmh0bWw

The Product is made available in **Indonesia** through PT Citigroup Sekuritas Indonesia. Citibank Tower 10/F, Pacific Century Place, SCBD lot 10, Jl. Jend Sudirman Kav 52-53, Jakarta 12190, Indonesia. Neither this Product nor any copy hereof may be distributed in Indonesia or to any Indonesian citizens wherever they are domiciled or to Indonesian residents except in compliance with applicable capital market laws and regulations. This Product is not an offer of securities in Indonesia. The securities referred to in this Product have not been registered with the Capital Market and Financial Services Authority (OJK) pursuant to relevant capital market laws and regulations, and may not be offered or sold within the territory of the Republic of Indonesia or to Indonesian citizens through a public offering or in circumstances which constitute an offer within the meaning of the Indonesian capital market laws and regulations.

The Product is made available in **Japan** by Citigroup Global Markets Japan Inc. ("CGMJ"), which is regulated by Financial Services Agency, Securities and Exchange Surveillance Commission, Japan Securities Dealers Association, Tokyo Stock Exchange and Osaka Securities Exchange. Otemachi Park Building, 1-1-1 Otemachi, Chiyoda-ku, Tokyo 100-8132 Japan. In the event that an error is found in an CGMJ research report, a revised version will be posted on the Firm's Citi Velocity website. If you have questions regarding Citi Velocity, please call (81 3) 6270-3019 for help.

The product is made available in the **Kingdom of Saudi Arabia** in accordance with Saudi laws through Citigroup Saudi Arabia, which is regulated by the Capital Market Authority (CMA) under CMA license (17184-31). 2239 Al Urubah Rd – Al Olaya Dist. Unit No. 18, Riyadh 12214 – 9597, Kingdom Of Saudi Arabia.

The Product is made available in **Korea** by Citigroup Global Markets Korea Securities Ltd. (CGMK), which is regulated by the Financial Services Commission, the Financial Supervisory Service and the Korea Financial Investment Association (KOFIA). The address of CGMK is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. KOFIA makes available registration information of research analysts on its website. Please visit the following website if you wish to find KOFIA registration information on research analysts of CGMK. http://dis.kofia.or.kr/websquare/index.jsp?w2xPath=/wq/fundMgr/DISFundMgrAnalystList.xml&divisionId=MDIS03002002000000&serviceId=SDIS03002002000. The Product is made available in Korea by Citibank Korea Inc., which is regulated by the Financial Services Commission and the Financial Supervisory Service. Address is Citibank Center, 50 Saemunan-ro, Jongno-gu, Seoul 03184, Korea. This research report is intended to be provided only to Professional Investors as defined in the Financial Investment Services and Capital Market Act and its Enforcement Decree in Korea.

The Product is made available in **Malaysia** by Citigroup Global Markets Malaysia Sdn Bhd (Registration No. 199801004692 (460819-D)) ("CGMM") to its clients and CGMM takes responsibility for its contents as regards CGMM's clients. CGMM is regulated by the Securities Commission Malaysia. Please contact CGMM at Level 43 Menara Citibank, 165 Jalan Ampang, 50450 Kuala Lumpur, Malaysia in respect of any matters arising from, or in connection with, the Product.

The Product is made available in **Mexico** by Citi México Casa de Bolsa, S.A. de C.V., Grupo Financiero Citi México which is a wholly owned subsidiary of Citigroup Inc. and is regulated by Comision Nacional Bancaria y de Valores. Prolongación Reforma 1196, 24 floor, Colonia Santa Fe, Alcaldía Cuajimalpa de Morelos, C.P. 05348, Ciudad de México.

The Product is made available in **Poland** by Biuro Maklerskie Banku Handlowego (DMBH), separate department of Bank Handlowy w Warszawie S.A. a subsidiary of Citigroup Inc., which is regulated by Komisja Nadzoru Finansowego. Biuro Maklerskie Banku Handlowego (DMBH), ul.Senatorska 16, 00-923 Warszawa.

The Product is made available in **Singapore** through Citigroup Global Markets Singapore Pte. Ltd. ("CGMSPL"), a capital markets services and Exempt Financial Advisor license holder, and regulated by Monetary Authority of Singapore. Please contact CGMSPL at 8 Marina View, 21st Floor Asia Square Tower 1, Singapore 018960, in respect of any matters arising from, or in connection with, the analysis of this document. This Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citi Private Bank, the Product is made available in Singapore by Citi Private Bank through Citibank, N.A., Singapore Branch. Citibank N.A., Singapore Branch is a licensed bank in Singapore that is regulated by the Monetary Authority of Singapore. Please contact your Private Banker in Citibank N.A., Singapore Branch if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited, expert and institutional investors as defined under the Securities and Futures Act 2001. For Citibank Singapore Limited ("CSL"), the Product is distributed in Singapore by CSL to selected Citigold/Citigold Private Clients. CSL provides no independent research or analysis of the substance or in preparation of the Product. Please contact your Citigold//Citigold Private Client Relationship Manager in CSL if you have any queries on or any matters arising from or in connection with this document. The Product is intended for recipients who are accredited investors as defined under the Securities and Futures Act (Cap. 289).

Citigroup Global Markets (Pty) Ltd. is incorporated in the **Republic of South Africa** (company registration number 2000/025866/07) and its registered office is at 145 West Street, Sandton, 2196, Saxonwold. Citigroup Global Markets (Pty) Ltd. is regulated by JSE Securities Exchange South Africa, South African Reserve Bank and the Financial Services Board. The investments and services contained herein are not available to private customers in South Africa.

The Product is made available in the **Republic of China (Taiwan)** through Citigroup Global Markets Taiwan Securities Company Ltd. ("CGMTS"), 14F, 15F and 16F, No. 1, Songzhi Road, Taipei 110, Taiwan, subject to the license scope and the applicable laws and regulations in the Republic of China (Taiwan). CGMTS is regulated by the Securities and Futures Bureau of the Financial Supervisory Commission of Taiwan, the Republic of China (Taiwan). No portion of the Product may be reproduced or quoted in the Republic of China (Taiwan) by the press or any third parties [without the written authorization of CGMTS]. Pursuant to the applicable laws and regulations in the Republic of China (Taiwan), the recipient of the Product shall not take advantage of such Product to involve in any matters in which the recipient may have conflicts of interest. If the Product covers securities which are not allowed to be offered or traded in the Republic of China (Taiwan), neither the Product nor any information contained in the Product shall be considered as advertising the securities or making recommendation of the securities in the Republic of China (Taiwan). The Product is for informational purposes only and is not intended as an offer or solicitation for the purchase or sale of a security or financial products. Any decision to purchase securities or financial products mentioned in the Product must take into account existing public information on such security or the financial products or any registered prospectus.

The Product is made available in **Thailand** through Citicorp Securities (Thailand) Ltd., which is regulated by the Securities and Exchange Commission of Thailand. 399 Interchange 21 Building, 18th Floor, Sukhumvit Road, Klongtoey Nua, Wattana ,Bangkok 10110, Thailand.

Disclosure for investors in the Republic of Turkey: The Product is made available in **Turkey** through Citibank AS which is regulated by Capital Markets Board. Tekfen Tower, Eski Buyukdere Caddesi # 209 Kat 2B, 23294 Levent, Istanbul, Turkey. Under Capital Markets Law of Turkey (Law No: 6362), the investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Comments and recommendations stated here rely on the individual opinions of the ones providing these comments and recommendations. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations. Furthermore, Citi Research is a division of Citigroup Global Markets Inc. (the "Firm"), which does and seeks to do business with companies and/or trades on securities covered in this research reports. As a result, investors should be aware that the Firm may have a conflict of interest that could affect the objectivity of this report, however investors should also note that the Firm has in place organisational and administrative arrangements to manage potential conflicts of interest of this nature.

In the **U.A.E**, these materials (the "Materials") are communicated byCitigroup Global Markets Limited, DIFC branch ("CGML"), an entityregistered in the Dubai International Financial Center ("DIFC") andlicensed and regulated by the Dubai Financial Services Authority ("DFSA",license #CL0221) to Professional Clients and Market Counterparties, as definedin DFSA regulations, only and should not be relied upon or distributed toRetail Clients. Financial products and/or services to which the Materialsrelate will only be made available to Professional Clients and MarketCounterparties. Citigroup Global Markets Limited DIFC Branch registered addressis Level 3, Gate District Building 02, Dubai International Financial Centre andcan be contacted on +971 4 509 97 90.

The Product is made available in **United Kingdom** by Citigroup Global Markets Limited, which is authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA. This material may relate to investments or services of a person outside of the UK or to other matters which are not authorised by the PRA nor regulated by the FCA and the PRA and further details as to where this may be the case are available upon request in respect of this material. Citigroup Centre, Canada Square, Canary Wharf, London, E14 5LB.

The Product is made available in **United States** and **Canada** by Citigroup Global Markets Inc., which is a member of FINRA and registered with the US Securities and Exchange Commission. 388 Greenwich Street, New York, NY 10013.

Unless specified to the contrary, within EU Member States, the Product is made available by Citigroup Global Markets Europe AG ("CGME"), which is regulated by the European Central Bank and the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht-BaFin).

The Product is not to be construed as providing investment services in any jurisdiction where the provision of such services would not be permitted.
Subject to the nature and contents of the Product, the investments described therein are subject to fluctuations in price and/or value and investors may get back less than originally invested. Certain high-volatility investments can be subject to sudden and large falls in value that could equal or exceed the amount invested.The yield and average life of CMOs (collateralized mortgage obligations) referenced in this Product will fluctuate depending on the actual rate at which mortgage holders prepay the mortgages underlying the CMO and changes in current interest rates. Any government agency backing of the CMO applies only to the face value of the CMO and not to any premium paid. Certain investments contained in the Product may have tax implications for private customers whereby levels and basis of taxation may be subject to change. If in doubt, investors should seek advice from a tax adviser. The Product does not purport to identify the nature of the specific market or other risks associated with a particular transaction. Advice in the Product is general and should not be construed as personal advice given it has been prepared without taking account of the objectives, financial situation or needs of any particular investor. Accordingly, investors should, before acting on the advice, consider the appropriateness of the advice, having regard to their objectives, financial situation and needs. Prior to acquiring any financial product, it is the client's responsibility to obtain the relevant offer document for the product and consider it before making a decision as to whether to purchase the product.

Card Insights. Where this report references Card Insights data, Card Insights consists of selected data from a subset of Citi's proprietary credit card transactions. Such data has undergone rigorous security protocols to keep all customer information confidential and secure; the data is highly aggregated and anonymized so that all unique customer identifiable information is removed from the data prior to receipt by the report's author or distribution to external parties. This data should be considered in the context of other economic indicators and publicly available information. Further, the selected data represents only a subset of Citi's proprietary credit card transactions due to the selection methodology or other limitations and should not be considered as indicative or predictive of the past or future financial performance of Citi or its credit card business.

Citi Research product may source data from dataCentral. dataCentral is a Citi Research proprietary database, which includes the Firm's estimates, data from company reports and feeds from LSEG Data & Analytics. The source for all referenced prices, unless otherwise stated, is DataCentral. Past performance is not a guarantee or reliable indicator of future results. Forecasts are not a guarantee or reliable indicator of future performance. The printed and printable version of the research report may not include all the information <(e.g. certain financial summary information and comparable company data) that is linked to the online version available on the Firm's proprietary electronic distribution platforms.
Where included in this report, MSCI sourced information is the exclusive property of Morgan Stanley Capital International Inc. (MSCI). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be reproduced, redisseminated or used to create any financial products, including any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. MSCI, Morgan Stanley Capital International and the MSCI indexes are services marks of MSCI and its affiliates. Where data is attributed to Morningstar that data is © 2026 Morningstar, Inc. All Rights Reserved. That information: (1) is proprietary to Morningstar and/or its content providers; (2) may not be copied or distributed; and (3) is not warranted to be accurate, complete or timely. Neither Morningstar nor its content providers are responsible for any damages or losses arising from any use of this information.

The Firm accepts no liability whatsoever for the actions of third parties. The Product may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the Product refers to website material of the Firm, the Firm has not reviewed the linked site. Equally, except to the extent to which the Product refers to website material of the Firm, the Firm takes no responsibility for, and makes no representations or warranties whatsoever as to, the data and information contained therein. Such address or hyperlink (including addresses or hyperlinks to website material of the Firm) is provided solely for your convenience and information and the content of the linked site does not in any way form part of this document. Accessing such website or following such link through the Product or the website of the Firm shall be at your own risk and the Firm shall have no liability arising out of, or in connection with, any such referenced website.

© 2026 Citigroup Global Markets Inc. Citi Research is a division of Citigroup Global Markets Inc. Citi and Citi and Arc Design are trademarks and service marks of Citigroup Inc. and its affiliates and are used and registered throughout the world. All rights reserved. The research data in this report are not intended to be used for the purpose of (a) determining the price of or amounts due in respect of (or to value) one or more financial products or instruments and/or (b) measuring or comparing the performance of, or defining the asset allocation of a financial product, a portfolio of financial instruments, or a collective investment undertaking, and any such use is strictly prohibited without the prior written consent of Citi Research. Any unauthorized use, duplication, redistribution or disclosure of this report (the "Product"), including, but not limited to, redistribution of the Product by electronic mail, posting of the Product on a website or page, and/or providing to a third party a link to the Product, is prohibited by law and will result in prosecution. The information contained in the Product is intended solely for the recipient and may not be further distributed by the recipient to any third party.

ADDITIONAL INFORMATION IS AVAILABLE UPON REQUEST

Daiwa Capital Markets Hong Kong Limited

earnings

27 October 2026

MEMO

Ardentec (3264 TT)

Share price (27 Oct): **TWD248.00** 12-mth rating: **Buy (1)** **Information Technology: Taiwan**

3Q26 results in line; fundamentals remain on track

Leon Chen
(886) 2 8758 6247
leon.chen@daiwacm-cathay.com.tw

Mike Liu
(886) 2 8758 6252
mike.liu@daiwacm-cathay.com.tw

Summary: Ardentec released its 3Q26 results and held its investor meeting after market hours on 27 October. EPS of TWD3.1 beat our estimate (TWD3.04) and the consensus (TWD2.89) by 2.1% and 7.3%, respectively. Operating profit was broadly in line with our forecast, but beat consensus by 5%, driven by the Longtan plant ramp-up and higher utilisation rates.

We have a Buy (1) rating and 12M TP of TWD395, based on target PER of 25x on our 2027E EPS.

What's the impact:

- **Stronger-than-expected 3Q26 gross margin**: Ardentec's 3Q26 revenue reached TWD5,337m (+17.7% QoQ, +48.5% YoY), broadly in line with both our estimate and the consensus. The strong revenue growth was primarily driven by volume ramp-up at the Longtan facilities and supported by spillover demand. Gross margin came in at 45.4% (+5.2ppt QoQ, +9.7ppt YoY), beating our forecast and consensus expectations by 0.3ppt and 1.7ppt, respectively, mainly due to the Longtan plant ramp-up and higher utilisation rates (approximately 80%). Operating income was TWD1,860m (+35.0% QoQ, +112.8% YoY), largely in line with our estimate, but beating the consensus by 5.1%. Net profit of TWD1,473m, largely in line with both our estimate and the consensus. Although 3Q26 EPS came in at TWD3.1, beating our estimate and the consensus by 2.1% and 7.3%, respectively, the variance was mainly due to share-dilution timing instead of operational issues.

- **4Q26 guidance largely in-line**: Management guided for 4Q26 revenue to be flat or slightly up QoQ on traditional seasonality, which is in line with our forecast (up 3% QoQ). On margins, management guided for a slight QoQ decline in gross margin, mainly due to higher labour cost and depreciation expenses, which is also consistent with our forecast. We estimate 4Q26 gross margin at 44.0%, down 1.4ppt QoQ.

- **Solid demand for 2027**: For 2027, we expect Ardentec to continue benefiting from the AI-driven growth trend, supported by (1) robust wafer sorting outsourcing demand from tier-1 foundry customers and (2) strong AI networking demand from a major U.S. networking customer. The company is currently engaged in several co-packaged optics (CPO) projects with leading U.S. industry players, which could provide it long term opportunities and a larger addressable market.

Important disclosures, including any required research certifications, are provided on the last three pages of this report.

Ardentec: 3Q26 results vs. Daiwa and Bloomberg estimates

(TWDm)	Ardentec's 3Q26 results	QoQ	YoY	Daiwa forecast	Difference	Bloomberg consensus	Difference
Revenue	5,337	*17.7%*	*48.5%*	5,337	0.0%	5,278	1.1%
Gross profit	2,425	*33.1%*	*89.1%*	2,407	0.7%	2,308	5.1%
Operating profit	1,860	*35.0%*	*112.8%*	1,892	-1.7%	1,769	5.1%
Profit before tax	1,825	*25.2%*	*74.7%*	1,897	-3.8%	1,777	2.7%
Net profit	1,473	*27.5%*	*78.1%*	1,505	-2.1%	1,458	1.1%
Basic EPS (TWD)	3.10	*27.0%*	*77.1%*	3.04	2.1%	2.89	7.3%
Margin							
Gross margin	45.4%	*5.2pp*	*9.7pp*	45.1%	0.3pp	43.7%	1.7pp
Operating margin	34.8%	*4.4pp*	*10.5pp*	35.5%	-0.6pp	33.5%	1.3pp
Pre tax margin	34.2%	*2.0pp*	*5.1pp*	35.6%	-1.4pp	33.7%	0.5pp
Net margin	27.6%	*2.1pp*	*4.6pp*	28.2%	-0.6pp	27.6%	0.0pp

Source: Company, Bloomberg, Daiwa forecasts

What we recommend:

We have a Buy (1) rating and 12M TP of TWD395, based on target PER of 25x on our 2027E EPS. While our target PER represents a premium over the OSAT/testing peer average, we believe this premium is justified by steady demand for high-speed AI connectivity and the Longtan ramp-up. Key risk: delays in capacity expansion.

In the interests of timeliness, this document has not been edited.

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For “Ownership of Securities” information, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Investment Banking Relationship

For “Investment Banking Relationship”, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) (“DHK”) which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited’s interest and/or any associated or connected person’s interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEx listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a “without recommendation” to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("**FCA**") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("**DSCL**") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("**DCME**") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at *http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory*.

DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: *https://www.de.daiwacm.com/policies/*

Additional disclosures regarding specific company names and related financial instruments are available at: *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:
https://daiwa3.bluematrix.com/sellside/Disclosures.action

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

"1": the security could outperform the local index by more than 15% over the next 12 months.
"2": the security is expected to outperform the local index by 5-15% over the next 12 months.
"3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
"4": the security is expected to underperform the local index by 5-15% over the next 12 months.
"5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.

- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Faraday Technology (3035 TT)

Target price: **TWD220.00** (from TWD220.00)

Share price (27 Oct): **TWD191.50** | Up/downside: **+14.9%**

5 4 3 2 **1**

Buy (unchanged)

Turnaround confirmed (II)

- 3Q26 results a mixed bag; 4Q26 guidance broadly intact
- Firing on all cylinders into 2027 after near-term hiccups
- Reiterating our Buy (1) call and 12M TP of TWD220

Rick Hsu
(886) 2 8758 6261
rick.hsu@daiwacm-cathay.com.tw

Sam Weng
(886) 2 8758 6255
sam.weng@daiwacm-cathay.com.tw

What's new: Faraday released a mixed set of results and guidance on 27 October. 3Q26 core results missed consensus on an unfavourable product mix and higher opex, while 4Q26 guidance was broadly intact on delayed MCU business rebalancing. Regardless of the near-term hiccup, management expects its 3 product lines of mass-production (MP), IP and non-recurrent engineering (NRE) to fire on all cylinders into 2027 for a double-digit % YoY revenue growth. This concurs with our turnaround story for the counter, and we reiterate our Buy (1) rating and 12M TP of TWD220.

What's the impact: Results mixed, guidance intact. Faraday's 3Q26 net profit came in at TWD279m, 9% above our estimate and beating consensus by a meaningful 38%. Despite the beat, dynamics were mixed (table on p.2). Core operations missed despite a higher top line, which was spurred by MP on stronger-than-expected MCU sales from its 50%-owned Artery (6907 TT, not rated) for a lower gross margin (GM) due to an unfavourable revenue mix as MP carries a lower GM than the other 2 lines. Higher opex, as a result of salary hikes and employee bonuses, further pressured core operations with operating profit missing our/consensus estimates by 36%/11%, but non-operating gains from marked-to-market investments more than offset the miss. Guidance calls for a roughly flat 4Q26 top line with a 45% GM, broadly in line with our expectation.

Firing on all cylinders across all 3 lines. In our *previous note*, we expected rebalancing in the MCU business due to demand pull-in on price hikes and supply chain uncertainties. It failed to happen in 3Q26 thanks to early pull-in of OSAT capacity support, thus pushing back the rebalancing to 4Q26 — a key reason why top line was guided to be flat despite the other 2 lines of IP and NRE growing QoQ. That said, management expects the MCU business to return to a growth track in 2027 after the near-term hiccup. Its delayed advanced packaging (AP) ramp on design complexity and supply constraint looks set to accelerate in 2027 on OSAT capacity improvement which, together with a milestone of 2nm/GAA design-win for a cloud ASIC, should add to upside for the NRE and MP business next year. All in, we lower our 2026-27E EPS by 9-13% to factor in the higher opex.

What we recommend: Despite our forecast revisions, we keep our 12M TP for Faraday unchanged at TWD220 as we maintain our 4-quarter forward PER target of 37x. We reaffirm our Buy (1) rating with key downside risks of silicon inflation and geopolitical overhangs leading to global inflation and prolonging a non-AI recovery.

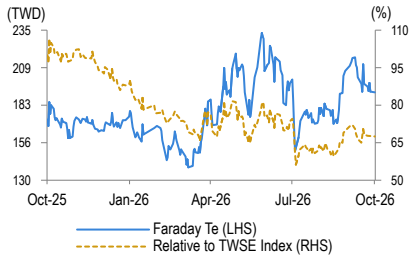
How we differ: Our 2026-28E EPS are 6-9% below the consensus forecasts likely on the street's lower opex assumptions.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	3.6	3.6	5.6
Net profit change	(9.1)	(12.9)	(0.4)
Core EPS (FD) change	(9.1)	(12.9)	(0.4)

Source: Daiwa forecasts

Share price performance



12-month range	139.00-233.00
Market cap (USDbn)	1.53
3m avg daily turnover (USDm)	25.55
Shares outstanding (m)	261
Major shareholder	UMC (13.8%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	13,193	16,024	18,391
Operating profit (m)	942	2,263	3,083
Net profit (m)	808	1,532	2,164
Core EPS (fully-diluted)	3.103	5.878	8.304
EPS change (%)	10.5	89.4	41.3
Daiwa vs Cons. EPS (%)	(6.4)	(5.7)	(8.6)
PER (x)	61.7	32.6	23.1
Dividend yield (%)	0.9	1.0	2.1
DPS	1.8	2.0	4.0
PBR (x)	3.7	3.4	3.1
EV/EBITDA (x)	21.3	11.5	8.6
ROE (%)	6.1	10.8	14.0

Source: FactSet, Daiwa forecasts

See important disclosures, including any required research certifications, beginning on page 6

Flash

Faraday: quarterly P&L estimates and forecasts

TWDm	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Revenue	2,589	3,314	3,664	3,627	3,580	3,782	4,256	4,406	17,993	13,193	16,024	18,391
COGS	-1,364	-1,815	-2,107	-1,996	-1,969	-2,038	-2,280	-2,374	-13,135	-7,282	-8,662	-9,970
Gross profit	1,224	1,499	1,557	1,631	1,611	1,744	1,976	2,032	4,857	5,911	7,362	8,420
Opex	1,129	1,228	1,343	1,270	1,260	1,267	1,281	1,291	4,305	4,969	5,099	5,337
Operating profit	96	271	214	361	350	477	695	741	552	942	2,263	3,083
Non-op gains (losses)	83	111	266	21	32	35	36	36	449	481	139	168
Pretax profit	179	382	480	382	382	512	731	777	1,002	1,424	2,402	3,251
Income taxes & MI	-75	-184	-202	-155	-84	-113	-161	-171	-270	-615	-528	-1,088
Net profit	104	198	279	227	227	306	486	513	731	808	1,532	2,164
EPS (TWD, fully diluted)	**0.40**	**0.76**	**1.07**	**0.87**	**0.87**	**1.17**	**1.87**	**1.97**	**2.81**	**3.10**	**5.88**	**8.30**
Revenue mix*												
MP	63%	73%	79%	77%	77%	75%	76%	76%	79%	74%	76%	76%
NRE	21%	14%	8%	10%	11%	11%	11%	11%	13%	13%	11%	11%
IP	16%	13%	12%	12%	12%	14%	13%	13%	8%	13%	13%	12%
Margin												
Gross	47.3%	45.2%	42.5%	45.0%	45.0%	46.1%	46.4%	46.1%	27.0%	44.8%	45.9%	45.8%
Opex	43.6%	37.1%	36.7%	35.0%	35.2%	33.5%	30.1%	29.3%	23.9%	37.7%	31.8%	29.0%
Operating	3.7%	8.2%	5.9%	10.0%	9.8%	12.6%	16.3%	16.8%	3.1%	7.1%	14.1%	16.8%
Pretax	6.9%	11.5%	13.1%	10.5%	10.7%	13.5%	17.2%	17.6%	5.6%	10.8%	15.0%	17.7%
Net	4.0%	6.0%	7.6%	6.3%	6.3%	8.1%	11.4%	11.6%	4.1%	6.1%	9.6%	11.8%
Growth (QoQ)												
Revenue	-8%	28%	11%	-1%	-1%	6%	13%	4%				
Gross profit	3%	22%	4%	5%	-1%	8%	13%	3%				
Operating profit	19%	182%	-21%	69%	-3%	36%	46%	7%				
Net profit	-50%	90%	41%	-19%	0%	35%	59%	5%				
EPS (FD)	-50%	90%	41%	-19%	0%	35%	59%	5%				
Growth (YoY)												
Revenue	-65%	-27%	13%	29%	38%	14%	16%	21%	63%	-27%	21%	15%
Gross profit	-19%	37%	45%	38%	32%	16%	27%	25%	-4%	22%	25%	14%
Operating profit	-74%	324%	nm	349%	266%	76%	224%	105%	-48%	71%	140%	36%
Net profit	-70%	666%	84%	10%	118%	54%	74%	126%	-30%	11%	89%	41%
EPS (FD)	-70%	667%	84%	10%	118%	54%	74%	126%	-31%	11%	89%	41%

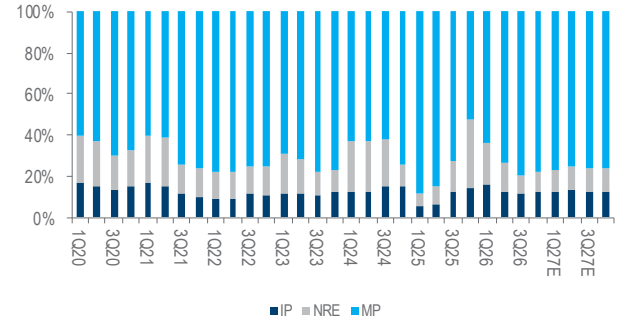
Source: Company, Daiwa estimates and forecasts
*Note: * MP = mass-production, which includes HBM consigned revenue in 1H25, thus deflating organic GM; NRE = non-recurrent engineering; IP = intellectual property*

Faraday: 3Q26 results and 4Q26 guidance check

			3Q26	Variance		Growth			4Q26E
TWDm	Actual	Daiwa	Consensus	Daiwa	Consensus	QoQ	YoY	Guidance	Daiwa (previous)
Revenue	3,664	3,194	3,235	15%	13%	11%	13%	c.flat QoQ	c.flat at TWD3.6bn
MP	2,907	2,320	na	25%	na	20%	25%		
NRE	448	425	na	5%	na	-1%	-9%		
IP	309	449	na	-31%	na	-29%	-25%		
Gross profit	1,557	1,448	1,446	8%	8%	4%	45%	GM c.45%	GM = 45%
Opex	1,343	1,115	1,206	20%	11%	9%	30%	opex down single-digit % QoQ	opex down 9% QoQ
Operating profit	214	333	240	-36%	-11%	-21%	442%		
Pretax profit	480	354	290	36%	66%	26%	126%		
Net profit	279	255	202	9%	38%	41%	84%		
FD EPS (TWD)	1.07	0.98	0.78	9%	38%	41%	84%		
Margin									
Gross	42.5%	45.3%	44.7%	-2.8%	-2.2%				
Operating	5.8%	10.4%	7.4%	-4.6%	-1.6%				
Net	7.6%	8.0%	6.2%	-0.4%	1.4%				
Revenue mix*									
IP	8%	14%							
NRE	12%	13%							
MP	79%	73%							

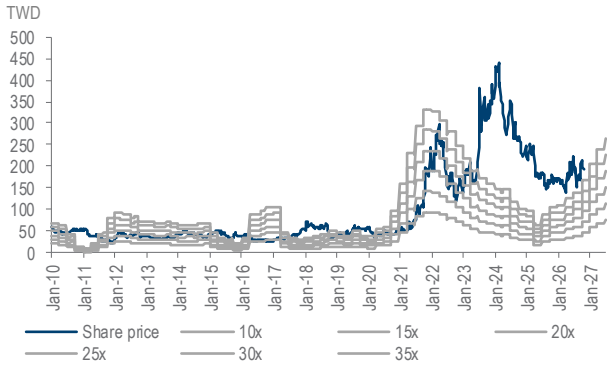
Source: Company, Bloomberg, Daiwa estimates and forecasts
*Note: * IP = intellectual property, NRE = non-recurrent engineering, MP = mass-production*

Faraday: revenue mix by business



Source: Company, Daiwa estimates and forecasts
*Note: * IP = intellectual property, NRE = non-recurrent engineering, MP = mass-production*

Faraday: 4-quarter forward PER band



Source: Company, TEJ, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
IP revenue growth (%)	26.5	26.4	4.5	11.3	(2.8)	15.0	18.1	11.3
NRE revenue growth (%)	32.4	22.1	0.2	30.4	1.7	(27.1)	5.7	18.1
MP revenue growth (%)	56.3	78.2	(11.6)	(17.9)	95.6	(31.1)	24.7	14.9

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
NRE	1,410	1,721	1,725	2,250	2,289	1,669	1,765	2,083
MP	5,614	10,002	8,839	7,255	14,188	9,780	12,199	14,013
Other Revenue	1,062	1,342	1,402	1,560	1,516	1,744	2,061	2,294
Total Revenue	**8,085**	**13,065**	**11,966**	**11,065**	**17,993**	**13,193**	**16,024**	**18,391**
Other income	0	0	0	0	0	0	0	0
COGS	(3,995)	(6,690)	(6,658)	(6,013)	(13,135)	(7,282)	(8,662)	(9,970)
SG&A	(726)	(1,018)	(983)	(989)	(1,114)	(1,405)	(1,449)	(1,502)
Other op.expenses	(1,962)	(2,436)	(2,369)	(2,991)	(3,191)	(3,564)	(3,650)	(3,835)
Operating profit	**1,402**	**2,921**	**1,956**	**1,071**	**552**	**942**	**2,263**	**3,083**
Net-interest inc./(exp.)	7	27	52	100	83	88	99	128
Assoc/forex/extraord./others	93	109	63	173	366	394	40	40
Pre-tax profit	**1,502**	**3,057**	**2,070**	**1,343**	**1,002**	**1,424**	**2,402**	**3,251**
Tax	(212)	(547)	(509)	(271)	(229)	(333)	(528)	(715)
Min. int./pref. div./others	(134)	(56)	28	(30)	(42)	(283)	(342)	(372)
Net profit (reported)	**1,156**	**2,455**	**1,589**	**1,041**	**731**	**808**	**1,532**	**2,164**
Net profit (adjusted)	**1,156**	**2,455**	**1,589**	**1,041**	**731**	**808**	**1,532**	**2,164**
EPS (reported)(TWD)	**4.651**	**9.876**	**6.395**	**4.042**	**2.807**	**3.103**	**5.878**	**8.304**
EPS (adjusted)(TWD)	**4.651**	**9.876**	**6.395**	**4.042**	**2.807**	**3.103**	**5.878**	**8.304**
EPS (adjusted fully-diluted)(TWD)	**4.651**	**9.791**	**6.379**	**3.995**	**2.807**	**3.103**	**5.878**	**8.304**
DPS (TWD)	**1.000**	**3.300**	**5.000**	**4.341**	**3.000**	**1.800**	**2.000**	**4.000**
EBIT	**1,402**	**2,921**	**1,956**	**1,071**	**552**	**942**	**2,263**	**3,083**
EBITDA	**1,807**	**3,394**	**2,457**	**1,880**	**1,481**	**2,046**	**3,562**	**4,579**

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	1,502	3,057	2,070	1,343	1,002	1,424	2,402	3,251
Depreciation and amortisation	405	473	502	810	929	1,103	1,299	1,496
Tax paid	(212)	(547)	(509)	(271)	(229)	(333)	(528)	(715)
Change in working capital	(256)	(2,368)	1,487	1,331	(1,123)	(846)	243	(761)
Other operational CF items	1,067	584	(543)	(312)	351	0	0	0
Cash flow from operations	**2,506**	**1,200**	**3,007**	**2,901**	**930**	**1,349**	**3,416**	**3,270**
Capex	(41)	(86)	(49)	(148)	(162)	(132)	(160)	(184)
Net (acquisitions)/disposals	(842)	1,082	(670)	0	0	0	0	0
Other investing CF items	295	(1,373)	16	(2,414)	(938)	0	0	0
Cash flow from investing	**(588)**	**(377)**	**(704)**	**(2,562)**	**(1,100)**	**(132)**	**(160)**	**(184)**
Change in debt	0	127	(30)	(70)	0	(46)	(37)	(29)
Net share issues/(repurchases)	0	0	0	3,720	0	0	0	0
Dividends paid	(249)	(820)	(1,243)	(1,118)	(782)	(469)	(521)	(1,042)
Other financing CF items	49	(89)	(148)	(354)	(50)	(564)	(46)	(37)
Cash flow from financing	**(200)**	**(782)**	**(1,421)**	**2,178**	**(832)**	**(1,078)**	**(603)**	**(1,108)**
Forex effect/others	(3)	69	(40)	80	(28)	0	0	0
Change in cash	**1,715**	**110**	**842**	**2,596**	**(1,030)**	**138**	**2,652**	**1,978**
Free cash flow	2,465	1,114	2,958	2,752	768	1,217	3,255	3,086

Source: FactSet, Daiwa forecasts

Financial summary continued …

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	4,823	4,899	5,741	8,337	7,293	7,431	10,084	12,062
Inventory	1,321	3,017	1,187	1,074	955	1,439	1,409	1,869
Accounts receivable	939	1,354	1,559	1,054	1,726	1,383	2,130	1,901
Other current assets	310	485	386	560	1,227	1,227	1,227	700
Total current assets	**7,392**	**9,754**	**8,873**	**11,024**	**11,201**	**11,480**	**14,849**	**16,533**
Fixed assets	518	514	553	582	617	583	548	732
Goodwill & intangibles	505	615	683	2,115	1,761	1,099	319	20
Other non-current assets	3,621	2,629	3,309	4,609	5,354	5,354	5,354	5,354
Total assets	**12,037**	**13,513**	**13,418**	**18,330**	**18,932**	**18,516**	**21,070**	**22,639**
Short-term debt	0	127	95	448	589	71	62	54
Accounts payable	1,372	1,129	999	1,675	1,649	944	1,903	1,375
Other current liabilities	2,134	2,899	2,142	1,750	2,447	2,447	2,447	2,447
Total current liabilities	**3,506**	**4,156**	**3,236**	**3,872**	**4,685**	**3,462**	**4,412**	**3,875**
Long-term debt	0	0	0	416	228	183	146	117
Other non-current liabilities	376	388	328	569	491	600	700	1,000
Total liabilities	**3,881**	**4,544**	**3,564**	**4,857**	**5,403**	**4,244**	**5,258**	**4,992**
Share capital	2,486	2,486	2,486	2,606	2,606	2,606	2,606	2,606
Reserves/R.E./others	5,354	6,114	7,048	10,469	10,451	10,911	12,110	13,572
Shareholders' equity	**7,840**	**8,599**	**9,533**	**13,075**	**13,056**	**13,517**	**14,716**	**16,177**
Minority interests	315	369	321	399	472	755	1,097	1,470
Total equity & liabilities	**12,037**	**13,513**	**13,418**	**18,330**	**18,932**	**18,516**	**21,070**	**22,639**
EV	45,388	45,493	44,570	42,821	43,892	43,472	41,116	39,474
Net debt/(cash)	**(4,823)**	**(4,772)**	**(5,646)**	**(7,473)**	**(6,476)**	**(7,178)**	**(9,876)**	**(11,891)**
BVPS (TWD)	**31.543**	**34.597**	**38.356**	**50.743**	**50.111**	**51.878**	**56.479**	**62.089**

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	47.1	61.6	(8.4)	(7.5)	62.6	(26.7)	21.5	14.8
EBITDA (YoY)	210.0	87.8	(27.6)	(23.5)	(21.2)	38.1	74.2	28.5
Operating profit (YoY)	840.3	108.4	(33.1)	(45.3)	(48.4)	70.6	140.2	36.2
Net profit (YoY)	330.6	112.3	(35.2)	(34.5)	(29.8)	10.5	89.4	41.3
Core EPS (fully-diluted) (YoY)	332.1	110.5	(34.8)	(37.4)	(29.7)	10.5	89.4	41.3
Gross-profit margin	50.6	48.8	44.4	45.7	27.0	44.8	45.9	45.8
EBITDA margin	22.4	26.0	20.5	17.0	8.2	15.5	22.2	24.9
Operating-profit margin	17.3	22.4	16.3	9.7	3.1	7.1	14.1	16.8
Net profit margin	14.3	18.8	13.3	9.4	4.1	6.1	9.6	11.8
ROAE	16.4	29.9	17.5	9.2	5.6	6.1	10.8	14.0
ROAA	11.4	19.2	11.8	6.6	3.9	4.3	7.7	9.9
ROCE	19.3	33.9	20.5	8.8	3.9	6.5	14.8	18.2
ROIC	37.3	63.7	35.1	16.7	6.5	10.2	27.1	41.1
Net debt to equity	net cash	net cash	net cash	net cash	net cash	net cash	net cash	net cash
Effective tax rate	14.1	17.9	24.6	20.2	22.8	23.4	22.0	22.0
Accounts receivable (days)	36.8	32.0	44.4	43.1	28.2	43.0	40.0	40.0
Current ratio (x)	2.1	2.3	2.7	2.8	2.4	3.3	3.4	4.3
Net interest cover (x)	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Net dividend payout	92.6	71.0	50.6	69.7	75.1	64.1	64.5	68.0
Free cash flow yield	4.9	2.2	5.9	5.5	1.5	2.4	6.5	6.2

Source: FactSet, Daiwa forecasts

Company profile

Founded in 1993, Faraday is a hybrid design service provider offering IP and ASIC design services to fabless, foundry and system houses. It has R&D and marketing locations in the US, Japan, China, India, and Vietnam.

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	2	Faraday's Board of Directors (BoD) consists of 10 members, including 4 independent directors, representing 40% of the board—significantly above the regulatory minimum of 20%. Three of the 10 directors are female, reflecting progress toward gender diversity at the board level. The roles of Chairman and President are separated, supporting stronger governance checks and balances. However, most non independent directors concurrently serve as executive managers, which may elevate concerns regarding board independence and management oversight from an ESG governance perspective.
	Capital management	1	Over the past 10 years, Faraday has kept its dividend payout ratio at above 70% most of the time, in spite of an up or down cycle. As an IC design service company without capex for manufacturing fabs, Faraday's high dividend payout is appropriate, in our view.
	Related party & transaction	1	UMC, which is Faraday's largest shareholder, is Faraday's major foundry for its turnkey business. For IC design service companies, a close relationship with foundries is essential since their design should build on a foundry's process node and their turnkey businesses also require a foundry's capacity support. UMC's support offers Faraday a competitive advantage, in our view. Faraday has developed many standard cell and I/O libraries for UMC, covering logic and mixed-signal specialty processes across 0.5μ to 22nm.
S	Supply chain management	1	Faraday has set several evaluation standards for its existing and new suppliers and it requires all suppliers to get ISO9001 and ISO14001 certifications for quality and environmental management. In 2024, 100% of its wafer, packaging and testing providers had ISO9001 and ISO14001 certifications. In addition, Faraday also has on-site audits (quality system and process quality audit, CSR evaluation and environment management system) for its suppliers with a mid-to-long term target of conducting annual onsite audits for 100% of its suppliers.
E	Water & wastewater management	1	As an IC design service company, Faraday outsources its manufacturing and thus has no own production sites. As such, Faraday's water use is primarily for general operations, not for production. Faraday continues to conduct several water reduction measures to manage water usage.
E	Waste & hazardous materials management	1	Faraday has established a green supply chain in accordance with the EU Directive on the Restriction of the Use of Certain Hazardous Substances in Electrical and Electronic Equipment (RoHS) and with the EU Chemicals Policy (REACH). Faraday has a mid-to-long term target of carefully evaluating and selecting raw materials with low hazard levels to comply with the Hazardous Substance-Free Product Standard. All of its packaging materials are 100% lead-free and halogen-free.
E	GHG emissions	1	With Faraday's energy saving measures, it reduced the GHG emissions intensity gradually. As an IC design service company without onsite production, Faraday's GHG emissions are much lower than other semiconductor manufacturing companies. Faraday's low power design also helps reduce GHG emissions. In 2019, Faraday completed the development of its ultra-low power consumption 22nm IP solution.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 10 Feb 2026

Source: Daiwa, Company

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For "Ownership of Securities" information, please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Investment Banking Relationship

For "Investment Banking Relationship", please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) ("DHK") which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited's interest and/or any associated or connected person's interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEx listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a "without recommendation" to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("**FCA**") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("**DSCL**") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("**DCME**") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its

content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory.

DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: https://www.de.daiwacm.com/policies/

Additional disclosures regarding specific company names and related financial instruments are available at: https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:

https://daiwa3.bluematrix.com/sellside/Disclosures.action

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

"1": the security could outperform the local index by more than 15% over the next 12 months.
"2": the security is expected to outperform the local index by 5-15% over the next 12 months.
"3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
"4": the security is expected to underperform the local index by 5-15% over the next 12 months.
"5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.
- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Daiwa Capital Markets Hong Kong Limited

news

27 October 2026

MEMO

Taiwan Data Centre Hardware

Rating: **Positive**

Taiwan PCB: Our key takeaways from 2026 TPCA show

Sheng Cheng
(886) 2 8758 6253
sheng.cheng@daiwacm-cathay.com.tw

Thomas Kim
(886) 2 8758 6249
thomas.kim@daiwacm-cathay.com.tw

Summary: We attended the 2026 Taiwan Printed Circuit Association (TPCA) Show that was held on 20-22 October. Below, we share our read-throughs from booth visits and key company takeaways. Overall, we remain positive on Taiwan glass fibre, CCL, PCB, and substrate vendors, supported by upbeat company commentary. On **pricing**, we expect low-end CCL and E-glass price increases to be larger and more sustained than previously anticipated. High-end CCL vendor commentary suggests plans for more meaningful price increases from 2H26 to maintain their products' relative profitability amid sharp increases in low-end CCL prices. We also expect prices for T-glass, ABF, CCL, and substrates to continue rising. On the **CCL technology roadmap**, we favour Q-glass combined with hydrocarbon resin (HC) over PTFE-based alternatives as the longer-term direction. Lastly, we provide our view on the **CCL market competition landscape change** after seeing Nan Ya Plastics targeting the high-end market more aggressively. We also provide some of our key highlights from related companies within the Taiwan PCB supply chain. EMC (2383 TT, TWD4,750, Buy [1]), ITEQ (6213 TT, TWD746, Buy [1]), Kinsus (3189 TT, TWD941, Buy [1]) and NYPCB (8046 TT, TWD1,255, Buy [1]) are our top ideas within our coverage.

We attended the 2026 Taiwan Printed Circuit Association (TPCA) Show last week. Below, we share our read-throughs from booth visits and key company takeaways.

Whether to adopt PTFE emerged as a key point of debate at the show.

- During the TPCA show, Taiwan Union Technology (TUC; 6274 TT, TWD1,280, Buy [1]) unveiled its new M10 (Hydrocarbon base) and M11 (PTFE base) materials with glass-fabric (Low-Dk2, Q-glass) and glass-fabric-free versions. Nan Ya Plastic (1303 TT, not rated) also unveiled its M11-grade material (ie, NPG-A99) at the show. Based on our understanding, NPG-A99 will continue to a hydrocarbon resin (HC) base, likely combined with Low-Dk2, to enhance CCL performance for high frequency and high-speed signal transmission requirements. However, Elite Material (EMC; 2383 TT, TWD4,750, Buy [1]) remains reluctant to enter the PTFE-based CCL market, citing limited end application. Also, EMC plans to use advanced Q-glass for its M10 CCL. Lastly, we also heard from Panasonic's booth representative that Panasonic (6752 JP, JPY3,687, Neutral [3]; covered by Ayaka Inomata) is pursuing a similar strategy for M9/M10 development, leveraging Q-glass instead of PTFE at this stage.

- While Nvidia (NVDA US, USD216, Outperform [2]; covered by Louis Miscioscia) appears keen to enhance product performance by adopting PTFE, given its very low dissipation factor (Df), PCB manufacturing yields remain a key concern. Accordingly, some leading vendors are broadening their material options (including PTFE-based CCL) to address potential customer requirements. EMC and Panasonic, however, remain firmly committed to a Q-glass-based technology roadmap. Although TUC highlighted progress on its PTFE-based M11 at a technology conference during the show, we believe it also intends to advance its existing HC resin/Low-Dk2 and HC resin/Q-glass roadmap for its next-generation CCL. In our view, its PTFE-based M11 development is intended to preserve flexibility across potential technology pathways rather than replace its existing approach. Nan Ya Plastics's strategy also appears reasonable: it can produce Low-Dk glass in-house but must source Q-glass and PTFE externally. This sourcing structure may explain its continued use of Low-Dk2 with HC-resin instead of PTFE for its next-gen products, including M11.

Important disclosures, including any required research certifications, are provided on the last three pages of this report.

- **Conclusion: which technology roadmap will prevail?** We believe it is too early to identify a clear winner, as the supply chain continues to improve manufacturing yields for PTFE-based products. Some vendors remain cautious despite PTFE's long history in the industry, as its thermal shrinkage and relative softness still make adoption in high-layer-count (HLC) PCBs challenging. Given the current stance of leading global vendors EMC, Doosan (000150 KS), and Panasonic, together with EMC's execution track record, we currently favour Q-glass-based solutions without PTFE as the more likely direction. Nevertheless, broadening product offerings to address different customer requirements should not be viewed negatively, provided vendors have sufficient resources to support development across multiple technology pathways.

Low-end CCL and e-glass continue to surprise on the upside.

- During the show, we also spoke with Kingboard Laminates (1888 HK, not rated). The company remained positive on the E-glass outlook, although its booth representative provided no numerical guidance for next year following a c.200% price hike in 2026. Kingboard attributed the pricing strength to supply constraints, driven largely by AI server demand. While we highlighted increased glass yarn supply from Chinese peers in 2Q/3Q26, the company argued that the weaving machine capacity remains the bottleneck. It expects to add only c.500 weaving machines in 2026 and 1.2k in 2027 (vs. current installed base of 3.3k). E-glass fabric price increases therefore appear supported by limited weaving capacity and producers shifting capacity from lower-end glass to higher-end products, including Low-Dk, Low-Dk2, and T-glass. Kingboard also noted a similar trend in low-end copper foil, where shortages have recently intensified.

- The read-through from Nan Ya Plastics is similar. The company indicated that its current fibreglass allocation between internal consumption and external sales is 45:55, with the internal share set to rise gradually as it upgrades its product mix. Its CCL portfolio remains concentrated in FR-4 (M2 grade), but it plans to migrate toward M4/M6, supported by long-term contract wins with two major hyperscalers seeking to secure CCL supply. In 2027, M4/M6 products are expected to account for 60-70% of its mix (4m out of 6.5m in capacity), with M2 and below contributing 20%. The remainder would comprise high-end CCL, including M7/M8/M9, reflecting recent development progress. We therefore expect Nan Ya's external thin-type E-glass supply to decline as its M4/M6 mix increases next year.

Competition from Nan Ya Plastics.

- The current CCL shortage creates favourable conditions for Nan Ya Plastics to expand into the high-end CCL supply chain. Whether the company has entered AMZN's T3/T4 supply chain is also a key point of market debate. Based on discussions with its booth representatives, however, we believe management will prioritise upgrading its M4/M6 product portfolio before pursuing the highest-end CCL market more aggressively. On the positive side, favourable supply-demand dynamics have supported Nan Ya's transition from a low-end supplier toward the mid-to-high-end segment, although high-end CCL should still contribute a relatively small share of revenue in 2027. For incumbent suppliers, competition is clearly intensifying, but we expect the near-term impact on high-end peers to remain limited.

- **Our read:** We expect the impact on EMC and TUC to remain relatively limited in 2027. Competitive pressure could become more meaningful over 2028-2030, although it is too early to assess its magnitude.

Other key takeaways:

- Nitto Boseki (3110 JP, JPY2,942, Neutral [3]; covered by Noritsugu Hirakawa) identified Taiwan Glass (1802 TT, NR) and Grace Fabric Technology (603256 CH, CNY84.95, Outperform [2]; covered by Dennis Ip) as key competitors. Its plan to triple capacity by 2028 remains largely on track. The company also intends to expand capacity further by 2030, although the details have yet to be confirmed.

- Resonac (4004 JP, JPY12,915, Outperform [2]; covered by Hidemitsu Umebayashi) indicated that customers are requesting ABF substrate core thicknesses of 2,000-3,000μm, versus its current maximum of 1,600μm, to accommodate larger package sizes. Potential technology pathways include adopting glass cores or ceramic substrates, or stacking additional core layers to enhance rigidity. Based on discussions with booth representatives, substrate makers may move toward multi-core structures, which could increase T-glass consumption. However, technical challenges in enabling signal transmission between core layers remain a potential barrier that would need to be addressed over the next one to two years.

- Mitsui Kinzoku (5706 JP, JPY2,054, Outperform [2]; covered by Shinichiro Ozaki) indicated that, based on its technology roadmap, M10-grade CCL combined with its HVLP5 copper foil should support 448Gbps SerDes transmission. In the near term, the company plans to shift capacity from lower-end to higher-end HVLP products, with a key piece of production equipment scheduled for installation in 2028/29. On pricing, its booth representative suggested that quarterly increases of more than 10% would be appropriate. Regarding copper foil shortages highlighted by other supply-chain participants, the representative indicated that mid-tier products, such as HVLP1 and HVLP2, could face the most severe supply constraints.

- Unimicron (3037 TT, TWD1,060, Buy [1]) appeared to highlight multi-core structures and the embedding of passive components within core layers as key technology trends in ABF substrates.

- Zhen Ding Technology (ZDT; 4958 TT, not rated) indicated that its substrate business has a plan to list on the Hong Kong Stock Exchange in 1H27 under the name Leading Interconnect Semiconductor Technology (LIST). At the show, the company focused primarily on thick HDI boards and highlighted two next-generation technology trends: 1) sequential lamination (M+N) to improve signal integrity and increase routing density within the same footprint; and 2) hybrid HDI/HLC structures, which add HDI layers to thick HLC boards (M+N), as discussed earlier.

In the interests of timeliness, this document has not been edited.

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For “Ownership of Securities” information, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Investment Banking Relationship

For “Investment Banking Relationship”, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) (“DHK”) which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited’s interest and/or any associated or connected person’s interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEx listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a “without recommendation” to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("**FCA**") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("**DSCL**") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("**DCME**") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at *http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory*.

DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: *https://www.de.daiwacm.com/policies/*

Additional disclosures regarding specific company names and related financial instruments are available at: *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:
https://daiwa3.bluematrix.com/sellside/Disclosures.action

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

"1": the security could outperform the local index by more than 15% over the next 12 months.
"2": the security is expected to outperform the local index by 5-15% over the next 12 months.
"3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
"4": the security is expected to underperform the local index by 5-15% over the next 12 months.
"5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.

- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Taiwan Surface Mounting Technology (6278 TT)

Target price: **n.a.**

Share price (27 Oct): **TWD278.50** | Up/downside: **-**

5 4 3 2 1

No Rating

Optical segment to boost revenue and margins

- Company expects stronger revenue YoY growth for 2027 vs. 2026…
- … driven by optical segment with sequentially increasing contribution
- New optical transceiver client underway, on top of the existing 3

Helen Chien
(886) 2 8758 6254
helen.chien@daiwacm-cathay.com.tw

Neil Teng, CFA
(886) 2 8758 6256
neil.teng@daiwacm-cathay.com.tw

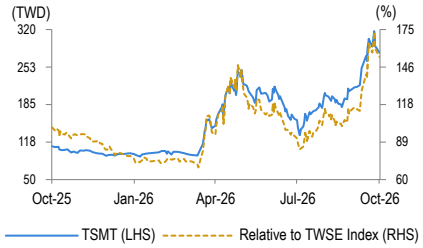
Background: We met with Taiwan Surface Mounting Technology (TSMT) on 27 October. According to management, its product mix for 3Q26 was TFT-LCD 47%, Mini LED 9%, DRAM module 15%, auto 10%, cable 7%, touch 4% and others 8%. TSMT is positive on its optical transceiver, DRAM module, auto, low-earth orbit satellites (LEO), server and robotic segments. The QFII holding in TSMT was 29.7% on 22 October vs. 19.8% at the end of 2025.

Highlights: **4Q26 and 2027 outlook update – an upward revision.** TSMT guided for its 4Q26 revenue to grow by 5-8% QoQ, and 2027 revenue to grow by at least 20% (some upside potential subject to raw material conditions) for 2027 thanks to multiple revenue drivers, including optical transceivers, DRAM module, auto, LEO, server and robotic segments. For 4Q26 and 2027, the company expects its quarterly revenue and gross margin to further expand sequentially on a more favourable product mix from optical transceiver, LEO and server revenue. TSMT expects its gross margin to improve to 15-17% in 1H27 and over 20% in 2H27 on the solid optical transceiver order outlook.

Strong revenue and margin outlook is expected to be driven mainly by the optical transceiver segment. TSMT mentioned several revenue drivers for 2027-28; among them, optical transceiver surface mounting technology (SMT) assembly is the most significant one. TSMT is a major global supplier for 800G and 1.6T products. A US-based client has noted that the 1.6T delivery schedule was ahead of its previous expectation (from 4Q26 to 3Q26). The company has thus won an additional US-based tier-one client (expected to have a larger contribution than the first optical client from 3Q27) and a China-based client over the past few months. TSMT is also in talks with a new US-based tier-one optical transceiver client. According to TSMT, optical transceiver revenue will likely account for 5-10% of total revenue in 1Q27, 10-15% in 2Q27 and 15-20% in 3Q27; for 2028, the company aims for 30-40%. Given the pure outsourcing (ie, includes no buying and selling of material) nature of the optical transceiver business, the segment brings upside potential to the gross margin level, per management. Aside from the optical transceiver segment, the company also sees strong revenue momentum in 2027-2028 from the DRAM module (2027 revenue up 30+% YoY), auto, robotic, LEO and server segments. TSMT says it has been expanding its global capacity and adjusting its equipment to fit different usages, eg, transforming from TFT-LCD to optical transceiver.

Valuation: The stock is currently trading at PERs of 24.8x/13.8x, based on Bloomberg's 2026E/27E EPS forecasts.

Share price performance



12-month range	91.40-316.50
Market cap (USDbn)	2.50
3m avg daily turnover (USDm)	73.74

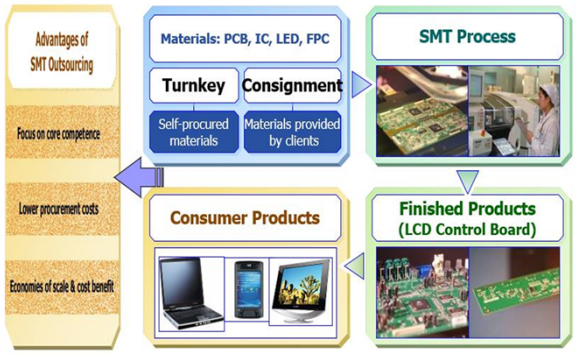
Source: FactSet, Daiwa forecasts

TSMT: financial summary

	2024				2025				2026				
(TWDm)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	2024	2025	6M26
Net sales	10,929	11,502	11,009	11,848	12,414	12,588	12,788	12,087	12,555	13,231	45,288	49,877	25,786
Gross profit	1,294	1,601	1,424	1,733	1,658	1,528	1,621	1,579	1,419	1,560	6,052	6,386	2,980
Operating profit	608	794	646	961	939	840	943	782	724	818	3,009	3,505	1,542
Pre-tax profit	897	1,012	678	1,028	1,042	597	919	953	799	905	3,614	3,512	1,704
Net profit	681	859	662	704	842	480	696	728	627	800	2,906	2,746	1,427
EPS (TWD)	2.33	2.94	2.27	2.41	2.88	1.64	2.38	2.49	2.17	2.77	9.94	9.39	4.94
Margins (%)													
Gross margin	11.8%	13.9%	12.9%	14.6%	13.4%	12.1%	12.7%	13.1%	11.3%	11.8%	13.4%	12.8%	11.6%
Operating margin	5.6%	6.9%	5.9%	8.1%	7.6%	6.7%	7.4%	6.5%	5.8%	6.2%	6.6%	7.0%	6.0%
Pre-tax margin	8.2%	8.8%	6.2%	8.7%	8.4%	4.7%	7.2%	7.9%	6.4%	6.8%	8.0%	7.0%	6.6%
Net margin	6.2%	7.5%	6.0%	5.9%	6.8%	3.8%	5.4%	6.0%	5.0%	6.0%	6.4%	5.5%	5.5%
YoY (%)													
Net sales	16.1%	-5.6%	-13.6%	-2.5%	13.6%	9.4%	16.2%	2.0%	1.1%	5.1%	-2.6%	10.1%	
Gross profit	46.1%	16.0%	-14.6%	29.1%	28.1%	-4.5%	13.8%	-8.9%	-14.4%	2.1%	14.7%	5.5%	
Operating profit	136.3%	16.4%	-32.7%	63.1%	54.5%	5.7%	45.9%	-18.6%	-22.9%	-2.6%	20.9%	16.5%	
Pre-tax profit	192.4%	20.3%	-43.3%	38.3%	16.2%	-41.0%	35.5%	-7.2%	-23.3%	51.5%	17.1%	-2.8%	
Net profit	139.3%	35.9%	-27.5%	3.9%	23.6%	-44.1%	5.1%	3.5%	-25.5%	66.6%	15.9%	-5.5%	
QoQ (%)													
Net sales	-10.1%	5.2%	-4.3%	7.6%	4.8%	1.4%	1.6%	-5.5%	3.9%	5.4%			
Gross profit	-3.6%	23.7%	-11.0%	21.7%	-4.3%	-7.8%	6.1%	-2.6%	-10.1%	9.9%			
Operating profit	3.1%	30.7%	-18.7%	48.7%	-2.3%	-10.6%	12.3%	-17.0%	-7.5%	13.0%			
Pre-tax profit	20.6%	12.8%	-33.0%	51.6%	1.4%	-42.7%	53.8%	3.8%	-16.2%	13.3%			
Net profit	0.6%	26.1%	-22.9%	6.2%	19.6%	-43.0%	45.0%	4.7%	-13.9%	27.5%			

Source: Company

TSMT: EMS business model for SMT outsourcing

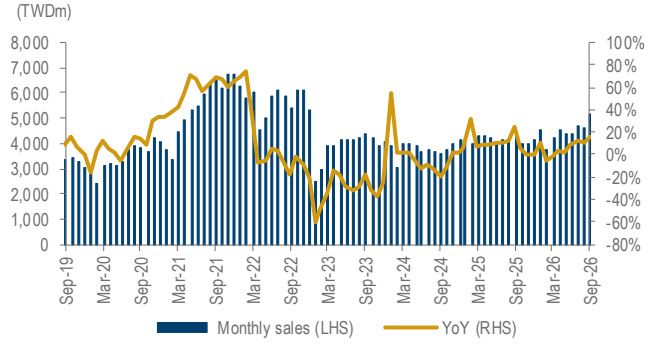


Source: Company

TSMT: QFII holding %

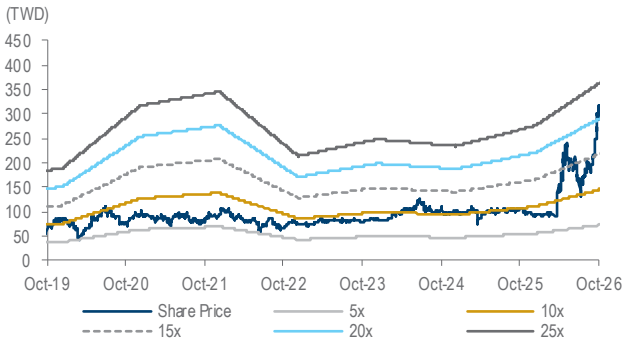
Source: Company

TSMT: monthly revenue



Source: Company

TSMT: 1-year-forward PER



Source: Bloomberg

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For "Ownership of Securities" information, please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Investment Banking Relationship

For "Investment Banking Relationship", please visit BlueMatrix disclosure link at https://daiwa3.bluematrix.com/sellside/Disclosures.action.

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) ("DHK") which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited's interest and/or any associated or connected person's interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEx listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a "without recommendation" to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities' respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("**FCA**") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("**DSCL**") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("**DCME**") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its

content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at *http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory*.

DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: *https://www.de.daiwacm.com/policies/*

Additional disclosures regarding specific company names and related financial instruments are available at: *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:

https://daiwa3.bluematrix.com/sellside/Disclosures.action

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

"1": the security could outperform the local index by more than 15% over the next 12 months.
"2": the security is expected to outperform the local index by 5-15% over the next 12 months.
"3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
"4": the security is expected to underperform the local index by 5-15% over the next 12 months.
"5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.
- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Daiwa Capital Markets Hong Kong Limited

earnings

27 October 2026

MEMO

Unimicron Technology Corp (3037 TT)

Share price (27 Oct): **TWD1,060.00** 12-mth rating: **Buy (1)** **Information Technology: Taiwan**

3Q26 results first-take: results beat on non-ops

Sheng Cheng
(886) 2 8758 6253
sheng.cheng@daiwacm-cathay.com.tw

Thomas Kim
(886) 2 8758 6249
thomas.kim@daiwacm-cathay.com.tw

Summary: Our first take on Unimicron's 3Q26 results (released on 27 October) is that earnings were better than expected, driven by stronger-than-expected non-operating gains. We attribute the upside primarily to a smaller-than-feared valuation loss on UMC in 3Q26. In addition, the company mentioned that other investments, including Unimicron shares held through investment vehicles, contributed c.TWD3bn of mark-to-market gains in 3Q26. As for the core business, 3Q26 revenue reached TWD52.7bn (up 23% QoQ, up 55% YoY), with gross margin expanding 4.0ppt QoQ to 28.8% and operating margin rising 4.5ppt QoQ to 20.0%, supported by improving profitability in ABF substrates and HDI. We believe the profitability performance was broadly in line with the latest buy-side expectations. Looking ahead, while the company does not provide numerical guidance, revenue and gross margin should continue to improve in 4Q26. Given Unimicron's leading position across most CSP AI ASIC projects, Nvidia GPUs, and EMIB-T, we believe the company should continue to benefit from a favourable pricing environment amid the current supply-demand dynamics and ongoing specification upgrades, including larger substrate body sizes and technology migration. We have a Buy (1) rating on Unimicron with a 12M TP of TWD1,500, based on a target PER of 35x applied to our 1-year-forward EPS forecast. Key downside risk: weaker-than-expected demand.

Unimicron's 3Q26 results highlights

(TWDm)	Actual	QoQ%	YoY%	Daiwa	Diff %	Consensus	Diff %
Revenue	52,650	23%	55%	51,251	3%	50,366	5%
Gross profit	15,189	43%	234%	14,513	5%	14,044	8%
Gross margin (%)	28.8%			28.3%		27.9%	
Operating profit	10,528	58%	587%	9,901	6%	9,878	7%
Operating margin (%)	20.0%			19.3%		19.6%	
Pre-tax profit	13,163	-15%	347%	5,473	141%	8,577	53%
Net profit	10,052	-23%	358%	4,184	140%	6,738	49%
EPS (TWD)	6.15	-23%	358%	2.72	140%	4.12	49%

Source: Company data, Daiwa forecasts, Bloomberg

What's the impact:

Below is our first take on Unimicron's 3Q26 results (released on 27 October). We will review our model in due course.

- **3Q26 results beat expectations.** Unimicron's 3Q26 earnings came in at TWD10.1bn (EPS: TWD6.15), beating our estimate of TWD4.2bn and Bloomberg consensus of TWD6.7bn by 140% and 49%, respectively, mainly due to higher-than-expected non-operating gains. In our previous note, Unimicron recognised c.TWD8bn of mark-to-market gains on UMC (2303 TT, TWD122.5, Neutral [3], covered by Rick Hsu) in 2Q26. We had originally expected Unimicron to recognise c.TWD5bn of valuation losses in 3Q26, given UMC's share-price performance in July. However, the actual valuation loss of c.TWD0.7bn was substantially better than feared. In addition, the company attributed part of the strength to c.TWD3bn of other mark-to-market gains, including gains related to Unimicron shares held through its investment vehicles. This is broadly consistent with the reported 3Q26 total non-operating contribution of c.TWD2.6bn after accounting for the UMC valuation loss and other non-operating items.

Important disclosures, including any required research certifications, are provided on the last three pages of this report.

- Looking at the core business, 3Q26 revenue reached TWD52.7bn (up 23% QoQ, up 55% YoY), with gross margin expanding 4.0ppt QoQ to 28.8% and operating margin rising 4.5ppt QoQ to 20.0%, supported by improving profitability in ABF substrates and HDI. With stronger operating leverage, operating profit surged 58% QoQ to TWD10.53bn. We believe the gross-margin and operating-margin performance was broadly in line with recent buy-side expectations for modestly improving profitability in ABF substrates and HDI, given that ABF margin was already high at c.40% in 2Q26, alongside a higher revenue contribution from a large end customer. We estimate ABF substrate margin at c.42-44% in 3Q26 (vs. c.40% in 2Q26).

- **Business outlook.** While the company does not provide numerical guidance, revenue and gross margin should continue to improve in 4Q26 amid the current substrate supply shortage. In addition, the company is aggressively expanding capacity at its Guangfu and Yangmei plants over 2027-29, with roughly c.30% annual ABF capacity expansion, which should become a key growth driver for Unimicron. Given Unimicron's leading position across most CSP AI ASIC projects, Nvidia GPUs, and EMIB-T, we believe the company should continue to benefit from a favourable pricing environment amid the current supply-demand dynamics and ongoing specification upgrades, including larger substrate body sizes and technology migration.

What we recommend:
We have a Buy (1) rating on Unimicron with a 12M TP of TWD1,500, based on a target PER of 35x applied to our 1-year-forward EPS forecast. Key downside risk: less-than-expected demand.

In the interests of timeliness, this document has not been edited.

Important Disclosures and Disclaimer

This publication is produced by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, and distributed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates, except to the extent expressly provided herein. This publication and the contents hereof are intended for information purposes only, and may be subject to change without further notice. Any use, disclosure, distribution, dissemination, copying, printing or reliance on this publication for any other purpose without our prior consent or approval is strictly prohibited. Neither Daiwa Securities Group Inc. nor any of its respective parent, holding, subsidiaries or affiliates, nor any of its respective directors, officers, servants and employees, represent nor warrant the accuracy or completeness of the information contained herein or as to the existence of other facts which might be significant, and will not accept any responsibility or liability whatsoever for any use of or reliance upon this publication or any of the contents hereof. Neither this publication, nor any content hereof, constitute, or are to be construed as, an offer or solicitation of an offer to buy or sell any of the securities or investments mentioned herein in any country or jurisdiction nor, unless expressly provided, any recommendation or investment opinion or advice. Any view, recommendation, opinion or advice expressed in this publication may not necessarily reflect those of Daiwa Securities Group Inc., and/or its affiliates nor any of its respective directors, officers, servants and employees except where the publication states otherwise. This research report is not to be relied upon by any person in making any investment decision or otherwise advising with respect to, or dealing in, the securities mentioned, as it does not take into account the specific investment objectives, financial situation and particular needs of any person.

Daiwa Securities Group Inc., its subsidiaries or affiliates, or its or their respective directors, officers and employees from time to time have trades as principals, or have positions in, or have other interests in the securities of the company under research including market making activities, derivatives in respect of such securities or may have also performed investment banking and other services for the issuer of such securities. Daiwa Securities Group Inc., its subsidiaries or affiliates do and seek to do business with the company(s) covered in this research report. Therefore, investors should be aware that a conflict of interest may exist. The following are additional disclosures.

Licensed and proprietary artificial intelligence (AI) tools may be utilized, where appropriate, as part of the research production process. Such tools may assist with activities including information gathering, data compilation and drafting support. Any AI-assisted output is subject to appropriate review and professional judgment. Research reports are prepared and published in accordance with applicable laws, regulations, and professional standards.

Ownership of Securities

For “Ownership of Securities” information, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Investment Banking Relationship

For “Investment Banking Relationship”, please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action.*

Daiwa Securities Co. Ltd. and Daiwa Securities Group Inc.

Daiwa Securities Co. Ltd. is a subsidiary of Daiwa Securities Group Inc.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

*Subsidiaries of Daiwa Securities Group Inc. for the purposes of this section shall mean any one or more of: Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司), Daiwa Capital Markets Singapore Limited, Daiwa Capital Markets Australia Limited, Daiwa-Cathay Capital Markets Co., Ltd., Daiwa Securities Capital Markets Korea Co., Ltd.

Within the last 12 months, the subsidiaries and/or affiliates of Daiwa Securities Group Inc. * has received compensation for investment banking services from KT Corporation (030200 KS) and Hyundai Department Store Co Ltd (069960 KS).

Hong Kong

This research is distributed in Hong Kong by Daiwa Capital Markets Hong Kong Limited (大和資本市場香港有限公司) (“DHK”) which is regulated by the Hong Kong Securities and Futures Commission. Recipients of this research in Hong Kong may contact DHK in respect of any matter arising from or in connection with this research.

Investment Banking Relationship

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has lead-managed public offerings and/or secondary offerings of the equities or relevant securities of the following companies: WeRide Inc (800 HK/ WRD US), SEYOND (2665 HK), SENASIC Electronics Technology Co Ltd (6675 HK) and Mech-Mind Robotics Technologies Co Ltd (9615 HK).

Within the preceding 12 months, Daiwa Capital Markets Hong Kong Limited has received compensation for investment banking services from -.

Relevant Relationship (DHK)

DHK may from time to time have an individual employed by or associated with it serves as an officer of any of the companies under its research coverage.

Singapore

This research is distributed in Singapore by Daiwa Capital Markets Singapore Limited and it may only be distributed in Singapore to accredited investors, expert investors and institutional investors as defined in the Financial Advisers Regulations of Singapore and the Securities and Futures Act 2001 of Singapore, both as amended from time to time. By virtue of distribution to these category of investors, Daiwa Capital Markets Singapore Limited and its representatives are not required to comply with Section 45 of the Financial Advisers Act 2001 of Singapore (Section 45 relates to disclosure of Daiwa Capital Markets Singapore Limited’s interest and/or any associated or connected person’s interest in securities). Recipients of this research in Singapore may contact Daiwa Capital Markets Singapore Limited in respect of any matter arising from or in connection with this research.

Australia

This research is distributed in Australia by Daiwa Capital Markets Australia Limited and it may only be distributed in Australia to wholesale investors within the meaning of the Corporations Act. Recipients of this research in Australia may contact Daiwa Capital Markets Stockbroking Limited in respect of any matter arising from or in connection with the research.

Taiwan

This research is solely for reference and not intended to provide tailored investment recommendations. This research is distributed in Taiwan by Daiwa-Cathay Capital Markets Co., Ltd. and it may only be distributed in Taiwan to specific customers who have signed recommendation contracts with Daiwa-Cathay Capital Markets Co., Ltd. and non-customers including (i) professional institutional investors, (ii) TWSE or TPEx listed companies, upstream and downstream vendors, and specialists that offer or seek advice, and (iii) potential customers with an actual need for business development in accordance with the Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers. Recipients of this research including non-customer recipients of this research shall not provide it to others or engage in any activities in connection with this research which may involve conflicts of interests. Neither Daiwa-Cathay Capital Markets Co., Ltd. nor its personnel who writes or reviews the research report has any conflict of interest in this research. Since Daiwa-Cathay Capital Markets Co., Ltd. does not operate brokerage trading business in foreign markets, **this research is prepared on a “without recommendation” to any foreign securities basis** and Daiwa-Cathay Capital Markets Co., Ltd. does not accept orders from customers to trade in such foreign securities. Recipients of this research shall carefully judge their own investment risk and take full responsibility for the results of any resulting investments in the companies and/or sectors featured in this research. Without the prior written permission of Daiwa-Cathay Capital Markets Co., Ltd., recipients of this research are prohibited from disclosing the research to the media, reprinting the research, or quoting from the research to other parties. Recipients of this research in Taiwan may contact Daiwa-Cathay Capital Markets Co., Ltd. in respect of any matter arising from or in connection with the research.

Thailand

This research is distributed to only institutional investors in Thailand. This report is provided to you for informational purposes only. Information contained herein is not intended to be, and shall not be construed as, an offer or an invitation for subscription or purchase of securities in Thailand. This document has not been and will not be registered with, or approved by, the Office of the Securities and Exchange Commission of Thailand. As neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees are licensed to carry on any securities business in Thailand, this document is intended to be read by the addressee who is an institutional investor only and may not be circulated or distributed, whether directly or indirectly, to the public or any members of the public in Thailand, unless to the extent permitted by applicable laws and regulations.

This report is prepared by analysts who are employed by Daiwa Securities Group Inc. and/or its non-U.S. affiliates. Neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees accept any liability whatsoever for any direct or consequential loss arising from any use of this research or its contents.

The information and opinions contained herein have been compiled or arrived at from sources believed to be reliable. However, neither Daiwa Securities Group Inc. nor any of its subsidiaries or affiliates, nor any of the foregoing entities’ respective directors, officers, servants and employees make any representation or warranty, express or implied, as to their accuracy or completeness. Expressions of opinion herein are subject to change without notice. The use of any information, forecasts and opinions contained in this report shall be at the sole discretion and risk of the user.

Daiwa Securities Group Inc., its subsidiaries and affiliates and their respective directors, officers, servants and employees may have positions and financial interest in securities mentioned in this research. Daiwa Securities Group Inc. and its subsidiaries and affiliates may from time to time perform investment banking or other services for, or solicit investment banking or other business from, any entity mentioned in this research. Therefore, investors should be aware of conflict of interest that may affect the objectivity of this research.

United Kingdom

These materials constitute independent research for the purposes of the Financial Conduct Authority ("**FCA**") Conduct of Business Rules. These materials have been produced by Daiwa Securities Co. Ltd ("**DSCL**") and/or its affiliates and are distributed by Daiwa Capital Markets Europe Limited ("**DCME**") to persons classified as (i) eligible counterparties; and (ii) professional clients for the purposes of the Conduct of Business Rules of the FCA. These materials should not be disseminated to any retail clients in the United Kingdom. DCME is authorised and regulated by the FCA and is a member of the London Stock Exchange. DCME's FCA registration number is 124490 and the FCA's registered address is 25 The North Colonnade, London, E14 5HS.

DCME makes no representation as to the completeness, accuracy or timeliness of any of the materials produced by DSCL, and does not accept any liability for any losses, costs, liabilities or expenses which may arise directly or indirectly from any use of, or reliance on the materials.

DCME and/or its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of transactions with the issuer(s) referred to in the materials prepared by DSCL, perform services for or solicit business from such issuers, and/or have a position or effect transactions in a particular issuer's securities and/or may have acted as an underwriter during the past twelve months in respect of a particular issuer of its securities. DCME does not review DSCL's materials prior to publication on DCME's platforms and has no influence over its content. DCME has in place organisational arrangements for the prevention and avoidance of conflicts of interest, including information barriers to control the flow of information between the private and public sides of the firm. A summary of DCME's conflict management policies are available at *http://www.uk.daiwacm.com/about-us/corporate-governance-regulatory*.

DSCL's materials are distributed by DCME only as permitted by law. The materials are not directed to, or intended for distribution to or use by, any person or entity located in any jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject DCME to any regulation or licensing requirement within such jurisdiction.

Germany

Research reports are produced by Daiwa Securities Co. Ltd. and/or its affiliates and are distributed by Daiwa Capital Markets Deutschland GmbH in the European Union. Daiwa Capital Markets Deutschland GmbH is authorised and regulated by Bundesanstalt für Finanzdienstleistungsaufsicht ("BaFin") under the reference number 149361. Daiwa Capital Markets Deutschland GmbH and its affiliates may, from time to time, to the extent permitted by law, participate or invest in, or be mandated in respect of, other financing transactions with the issuer(s) of the securities referred to herein (the "Securities"), perform services for or solicit business from such issuers, and/or have a position or effect transactions in the Securities or options thereof.

This publication is intended for investors who are Professional Clients or Eligible Counterparties in the European Union within the meaning of Directive 2014/65/EU ("MiFID II") and should therefore not be distributed to Retail Clients in the European Union.

Daiwa Capital Markets Deutschland GmbH has in place organisational arrangements for the identification, prevention and management of conflicts of interest. Information regarding our conflict management are available at: *https://www.de.daiwacm.com/policies/*

Additional disclosures regarding specific company names and related financial instruments are available at: *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Bahrain

This research material is distributed in Bahrain by Daiwa Capital Markets Europe Limited, Bahrain Branch, regulated by The Central Bank of Bahrain and holds Investment Business Firm – Category 2 license and having its official place of business at the Bahrain World Trade Centre, South Tower, 7th floor, P.O. Box 30069, Manama, Kingdom of Bahrain. Tel No. +973 17534452 Fax No. +973 535113

United States

This research is distributed into the United States directly by Daiwa Capital Markets Hong Kong Limited (DCMHK) and in certain cases indirectly by Daiwa Capital Markets America Inc. (DCMA), a U.S. Securities and Exchange Commission registered broker-dealer and FINRA member firm, exclusively to "major U.S. institutional investors", as defined under Rule 15a-6 promulgated under the U.S. Securities Exchange Act of 1934, as amended, and as interpreted by the staff of the U.S. Securities and Exchange Commission (SEC). Where this is co-branded research published by Daiwa's partners in collaboration with other parties not affiliated with Daiwa, this research is distributed in the United States by DCMHK only. This report is not an offer to sell or the solicitation of any offer to buy securities. U.S. customers wishing to effect transactions in any designated investment discussed in this report should do so through a qualified salesperson of DCMA. Non-U.S. customers wishing to effect transactions in any designated investment discussed in this report should contact a Daiwa entity in their local jurisdiction. The securities or other investment products discussed in this report may not be eligible for sale in some jurisdictions.

Analysts employed outside the U.S., as specifically indicated elsewhere in this report, are not registered as research analysts with FINRA. These analysts may not be associated persons of DCMA, and therefore may not be subject to FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

ADDITIONAL IMPORTANT DISCLOSURES CAN BE FOUND AT:
https://daiwa3.bluematrix.com/sellside/Disclosures.action

Ownership of Securities

For "Ownership of Securities" information please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Investment Banking Relationships

For "Investment Banking Relationships" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

DCMA Market Making

For "DCMA Market Making" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*.

Research Analyst Conflicts

For updates on "Research Analyst Conflicts" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The principal research analysts who prepared this report have no financial interest in securities of the issuers covered in the report, are not (nor are any members of their household) an officer, director or advisory board member of the issuer(s) covered in the report, and are not aware of any material relevant conflict of interest involving the analyst or DCMA, and did not receive any compensation from the issuer during the past 12 months except as noted: no exceptions.

Research Analyst Certification

For updates on "Research Analyst Certification" and "Rating System" please visit BlueMatrix disclosure link at *https://daiwa3.bluematrix.com/sellside/Disclosures.action*. The views about any and all of the subject securities and issuers expressed in this Research Report accurately reflect the personal views of the research analyst(s) primarily responsible for this report (or the views of the firm producing the report if no individual analyst is named on the report); and no part of the compensation of such analyst (or no part of the compensation of the firm if no individual analyst is named on the report) was, is, or will be directly or indirectly related to the specific recommendations or views contained in this Research Report.

The following explains the rating system in the report as compared to relevant local indices, unless otherwise stated, based on the beliefs of the author of the report.

"1": the security could outperform the local index by more than 15% over the next 12 months.
"2": the security is expected to outperform the local index by 5-15% over the next 12 months.
"3": the security is expected to perform within 5% of the local index (better or worse) over the next 12 months.
"4": the security is expected to underperform the local index by 5-15% over the next 12 months.
"5": the security could underperform the local index by more than 15% over the next 12 months.

Disclosure of investment ratings

Rating	Percentage of total
Buy*	73.96%
Hold**	19.58%
Sell***	6.46%

Source: Daiwa

Notes: data is for single-branded Daiwa research in Asia (ex Japan) and correct as of 30 September 2026.
** comprised of Daiwa's Buy and Outperform ratings.*
*** comprised of Daiwa's Hold ratings.*
**** comprised of Daiwa's Underperform and Sell ratings.*

Additional information may be available upon request.

Japan - Notification items pursuant to Article 37 of the Financial Instruments and Exchange Law

(This Notification is only applicable to where report is distributed by Daiwa Securities Co. Ltd.)

If you decide to enter into a business arrangement with our company based on the information described in this report, we ask you to pay close attention to the following items.

- In addition to the purchase price of a financial instrument, our company will collect a trading commission* for each transaction as agreed beforehand with you. Since commissions may be included in the purchase price or may not be charged for certain transactions, we recommend that you confirm the commission for each transaction. In some cases, our company also may charge a maximum of ¥2 million per year as a standing proxy fee for our deposit of your securities, if you are a non-resident.
- For derivative and margin transactions etc., our company may require collateral or margin requirements in accordance with an agreement made beforehand with you. Ordinarily in such cases, the amount of the transaction will be in excess of the required collateral or margin requirements**.
- There is a risk that you will incur losses on your transactions due to changes in the market price of financial instruments based on fluctuations in interest rates, exchange rates, stock prices, real estate prices, commodity prices, and others. In addition, depending on the content of the transaction, the loss could exceed the amount of the collateral or margin requirements.
- There may be a difference between bid price etc. and ask price etc. of OTC derivatives handled by our company.
- Before engaging in any trading, please thoroughly confirm accounting and tax treatments regarding your trading in financial instruments with such experts as certified public accountants.

* The amount of the trading commission cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

** The ratio of margin requirements etc. to the amount of the transaction cannot be stated here in advance because it will be determined between our company and you based on current market conditions and the content of each transaction etc.

When making an actual transaction, please be sure to carefully read the materials presented to you prior to the execution of agreement, and to take responsibility for your own decisions regarding the signing of the agreement with our company.

Corporate Name:	Daiwa Securities Co. Ltd.
Registered:	Financial Instruments Business Operator, Chief of Kanto Local Finance Bureau (Kin-sho) No.108
Memberships:	Japan Securities Dealers Association, The Financial Futures Association of Japan, Investment Management Association of Japan, Type II Financial Instruments Firms Association, Japan Security Token Offering Association

Unimicron Technology (3037.TW): 3Q26 first take: GM/OPM continue to expand with better substrate profitability; Neutral

Chao Wang
+886(2)2730-4195 | kuan-chao.wang@gs.com
Goldman Sachs (Asia) L.L.C., Taipei Branch

Allen Chang
+852-2978-2930 | allen.k.chang@gs.com
Goldman Sachs (Asia) L.L.C.

Al Wang
+886(2)2730-4081 | al.wang@gs.com
Goldman Sachs (Asia) L.L.C., Taipei Branch

3Q26 result overview

Unimicron's 3Q26 core business (OPI) was 3/7% higher than GSe/BBG consensus, mainly driven by the 0.8/1.0ppt higher than GSe/BBG consensus GM. We believe the solid GM expansion this quarter (+4.0ppt QoQ, +15.5ppt YoY) was driven by (1) the more favorable ABF substrate product mix and higher ASP, and with high-end ABF substrate GM could now be 50%-70% per our estimate, and (2) the improved BT substrate product mix and higher utilization rate, as well as more favorable pricing for memory related BT substrates.

For earnings, Unimicron 3Q26 EPS was 21%/49% higher than GSe/BBG consensus due to the financial asset reevaluation gain (non-operating income accounted for ~20% of pretax income).

Valuation

We are Neutral rated with a 12m TP of NT$1,270, based on 17.4x 2028E P/E, which is +2.7x STDV higher than past upcycle average P/E of 10.3x.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to www.gs.com/research/hedge.html. Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

Exhibit 1: Unimicron 3Q26 result comp table

Unimicron (3037.TW)	3Q26			QoQ		YoY		Bloomberg consensus	
P&L (NT$mn)	Actual	GS est.	Diff (%)	2Q26	QoQ	3Q25	YoY	Consensus	%
Revenue	52,650	51,240	3%	42,890	23%	33,994	55%	50,366	5%
Gross profits	15,189	14,351	6%	10,638	43%	4,549	234%	14,044	8%
Operating profits	10,528	10,201	3%	6,651	58%	1,533	587%	9,878	7%
Pre-tax income	13,163	10,201	29%	15,576	-15%	2,947	347%	8,577	53%
Net earnings	10,052	7,861	28%	13,115	-23%	2,194	358%	6,738	49%
EPS, NT$	6.15	5.06	21%	8.45	-27%	1.44	327%	4.14	49%
Gross margin (%)	28.8%	28.0%	0.8ppt	24.8%	4.0ppt	13.4%	15.5ppt	27.9%	1.0ppt
EBIT margin (%)	20.0%	19.9%	0.1ppt	15.5%	4.5ppt	4.5%	15.5ppt	19.6%	0.4ppt
Net margin (%)	19.1%	15.3%	3.8ppt	30.6%	-11.5ppt	6.5%	12.6ppt	13.4%	5.7ppt

Source: Company data, Bloomberg, Goldman Sachs Global Investment Research

Investment Thesis & PT methodology and risks

Investment Thesis - Unimicron Technology

Unimicron is a key supplier of ABF substrates (25% market share in 2025) and BT substrates and also produces FPC/HDI/PCB products. We note (1) over 70% of ABF shipments are covered by long-term agreements (LTA), which limits pricing flexibility and makes price hikes less likely; (2) the company's execution track record has been weaker than peers; (3) capacity expansion plan remains slower than peers, constraining its ability to capture incremental AI demand. The current ABF substrates market is seeing more favorable supply demand outlook, and Unimicron is likely to see a better pricing outlook to reflect rising material costs in the coming quarters. AI ABF accounts for 10% of the company's total revenue, but the growth is likely to be slower than peers as the company is losing market share given its less favourable production yield and slow capacity expansion. Overall, we are Neutral rated on Unimicron given our outlook for limited upside potential, barring ASIC AI servers, despite our generally positive view in the long term on its profitability trajectory.

Price Target Risks and Methodology - Unimicron Technology

Valuation methodology: Our 12-month target price of NT$1,270 for Unimicron is based on 17.4x 2028E P/E, which is 2.7x STDV higher than the past upcycle average P/E (10.3x).

Key upside/downside risks: (1) Slower/faster-than-expected PC demand recovery, (2) Slower/faster-than-expected ABF substrates upgrading pace, and (3) Slower/faster than-expected AI server PCB market share loss progress.

3037.TW	12m Price Target: **NT$1,270.00**	Price: **NT$1,060.00**	Upside: **19.8%**

Neutral

Market cap: NT$1.5tr / $47.3bn
Enterprise value: NT$1.5tr / $46.9bn
3m ADTV: NT$21.7bn / $678.8mn
Taiwan
Greater China Electronic Components
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (NT$ mn)	131,240.9	190,559.9	308,239.8	435,891.3
EBITDA (NT$ mn)	25,446.9	51,420.0	105,180.2	164,788.4
EPS (NT$)	4.38	23.37	44.49	73.25
P/E (X)	30.8	45.4	23.8	14.5
P/B (X)	2.3	13.4	9.9	7.1
Dividend yield (%)	1.5	0.9	1.7	2.8
N debt/EBITDA (ex lease,X)	(0.8)	(0.5)	(0.4)	(0.5)
CROCI (%)	8.6	22.2	28.9	37.0
FCF yield (%)	(5.0)	0.1	1.3	3.3

	6/26	9/26E	12/26E	3/27E
EPS (NT$)	8.45	5.06	6.57	7.97

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 27 Oct 2026 close.

Disclosure Appendix

Reg AC

We, Chao Wang, Allen Chang and Al Wang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Chao Wang Goldman Sachs (Asia) L.L.C., Taipei Branch, Allen Chang Goldman Sachs (Asia) L.L.C., Al Wang Goldman Sachs (Asia) L.L.C., Taipei Branch.

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Unimicron Technology is/are relative to the other companies in its/their coverage universe: AVC, AWSC, Airtac International Group, Asus, Auras, Chenbro, Co-Tech Development Corp., Compal, Delta Electronics, E Ink, Elite Material, Fositek, GCE, Gigabyte, HTC Corp., Hiwin Corp., ITEQ Corp, Inventec, Kinsus, Lotes, NYPCB, Pegatron, Quanta, Shengyi Tech, Shennan Circuits, Taiwan Union Technology Corp., Unimicron Technology, Victory Giant, WNC, WUS, Win Semiconductors Corp., Yageo Corp., Zhen Ding Technology Holding

Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs beneficially owned 1% or more of common equity (excluding positions managed by affiliates and business units not required to be aggregated under US securities law) as of the month end preceding this report: Unimicron Technology (NT$1,060.00)

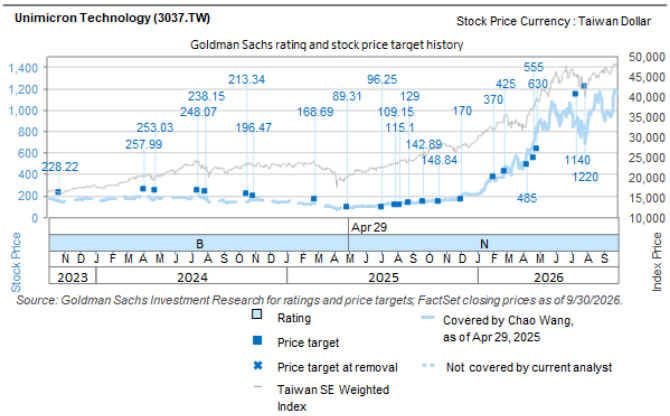
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	58%	43%

As of October 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,094 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Unimicron Technology (3037.TW)

Date of report	Target price (NT$)	Closing price (NT$)
15-Oct-26	1,270.00	1,075.00
29-Jul-26	1,220.00	688.00
12-Jul-26	1,140.00	875.00
28-Apr-26	630.00	825.00
21-Apr-26	555.00	710.00
08-Apr-26	485.00	620.00
25-Feb-26	425.00	458.50
03-Feb-26	370.00	385.00
04-Dec-25	170.00	198.50
21-Oct-25	150.00	158.76
22-Sep-25	144.00	157.28
25-Aug-25	130.00	138.92
07-Aug-25	116.00	134.95
30-Jul-25	110.00	140.90
04-Jul-25	97.00	117.09
29-Apr-25	90.00	95.26
26-Feb-25	170.00	124.53
30-Oct-24	198.00	160.25
18-Oct-24	215.00	143.38
31-Jul-24	240.00	178.11
16-Jul-24	250.00	196.47
24-Apr-24	255.00	185.56
03-Apr-24	260.00	190.52

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: https://www.goldmansachs.com/worldwide/india/research-analyst. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or

policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.

© 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. You may not use, extract, download or retrieve this information, in whole or in part, to train, finetune, adjust, influence the weights or behavior of, or otherwise develop or improve a machine learning or artificial intelligence model or system, or provide or reproduce this information, in whole or in part, as a prompt or input to any such system without the express written consent of Goldman Sachs. Furthermore, you may not bulk download this information, or employ any robot, spider, crawler, scraper, automated agent, or other electronic means to scrape, harvest, extract, or retrieve this information, without the express written consent of Goldman Sachs. A breach of the above terms may result in termination of your right to access this service.

BofA SECURITIES

Faraday

Valuation remains stretched; timely revenue delivery to be key watchpoint

Reiterate Rating: UNDERPERFORM | PO: 120.00 TWD | Price: 191.50 TWD

3Q26 sales beat on record MCU mass production revenue

Faraday's 3Q26 sales was +11% QoQ, above BofAe/street of -7%/-3% QoQ and its guidance of -single-digit% QoQ, mainly driven by strong MP growth (+19.6% QoQ) on record-high MCU sales and accelerating ASIC shipments, coupled with continued IP revenue strength more than offsetting deferred NRE revenue recognition. 3Q26 GM dropped by 270 bps to 42.5% due to product mix, while increased Opex from salary adjustments brought 3Q26 EPS to NT$1.07 (BofAe/Street NT$1.27/0.66).

IP and NRE strength support 4Q26 margin improvement

4Q26 sales is guided to remain flat QoQ, as growth in IP and NRE revenue offset decline in MP revenue on lower MCU shipments following a high base in 3Q26. With sustained strength in IP segment underpinned by higher wafer pricing and utilization, along with NRE milestone delivery, 4Q26 GM should edge up to 43.7% on better mix, in our view.

High-end MCU and advanced projects drive 2027 growth

We now forecast Faraday's 2026/2027 sales to -27%/+36% YoY, supported by healthy demand for high-end MCU and gradual ramp in advanced projects. While the design change from 4nm to 2nm for a US customer's ASIC project should bring greater contract value, Faraday's capability to deliver on schedule and achieve timely revenue recognition remains key watchpoint. On higher advanced packaging/nodes projects contribution through 2027, GM should decline slightly from 44.5% in 2026 to 42.9% in 2027.

Reiterate Underperform with unchanged NT$120 PO

We lower our 2026 EPS from NT$4.05 to NT$3.19 on higher Opex and trim 2027-28 EPS by 3-10% as we remain cautious on the timing of NRE/MP recognition for advanced projects given the increased design complexity and constrained OSAT capacity. We reiterate Underperform rating with unchanged PO of NT$120 on 17x 2027E P/E. Current valuation appears stretched with shares trading at 28x '27 P/E (vs. historical 13-42x).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	1,041	731	832	1,790	2,060
EPS	4.18	2.81	3.19	6.87	7.91
EPS Change (YoY)	-34.6%	-32.9%	13.7%	115.2%	15.1%
Dividend / Share	3.00	1.80	2.23	4.81	5.53
Free Cash Flow / Share	11.06	2.95	8.84	10.25	11.47
Valuation (Dec)					
P/E	45.78x	68.23x	60.00x	27.88x	24.22x
Dividend Yield	1.57%	0.940%	1.17%	2.51%	2.89%
EV / EBITDA*	22.65x	28.76x	23.54x	13.94x	12.52x
Free Cash Flow Yield*	5.52%	1.54%	4.62%	5.35%	5.99%

* For full definitions of *IQmethod℠* measures, see page 6.

This research report provides general information only. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or other persons without the express written consent of BofA Securities.
>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.
Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.
BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.
Refer to important disclosures on page 7 to 9. Analyst Certification on page 4. Price

27 October 2026

Equity

Key Changes

(NT$)	Previous	Current
2026E EPS	4.05	3.19
2027E EPS	7.07	6.87
2028E EPS	8.77	7.91
2026E EBITDA (m)	2,153.4	1,809.6
2027E EBITDA (m)	3,101.9	3,056.1
2028E EBITDA (m)	3,683.9	3,400.4

Haas Liu >>
Research Analyst
Merrill Lynch (Taiwan)
+886 2 2376 3727
haas.liu@bofa.com

Mike Yang >>
Research Analyst
Merrill Lynch (Taiwan)
mike.c.yang@bofa.com

Cathy Hsu >>
Research Analyst
Merrill Lynch (Taiwan)
cathy.hsu3@bofa.com

Stock Data

Price	191.50 TWD
Price Objective	120.00 TWD
Date Established	13-Mar-2026
Investment Opinion	C-3-7
52-Week Range	139.00 TWD-245.00 TWD
Mrkt Val / Shares Out (mn)	1,530 USD / 260.6
Market Value (mn)	49,895 TWD
Average Daily Value (mn)	27.97 USD
Free Float	81.7%
BofA Ticker / Exchange	FDYTF / TAI
Bloomberg / Reuters	3035 TT / 3035.TW
ROE (2026E)	5.2%
Net Dbt to Eqty (Dec-2025A)	-49.5%

IP: Intellectual property

MP: Mass Production

NRE: Non-Recurring Engineering

MCU: Microcontroller Unit

OSAT: Outsourced Semiconductor

iQprofile℠ Faraday

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	11,065	17,993	13,212	17,946	20,050
Gross Profit	5,051	4,857	5,874	7,702	8,496
Sell General & Admin Expense	(1,024)	(1,094)	(1,549)	(1,653)	(1,804)
Operating Profit	1,071	552	862	2,136	2,481
Net Interest & Other Income	272	449	627	696	707
Associates	NA	NA	NA	NA	NA
Pretax Income	1,343	1,002	1,489	2,832	3,188
Tax (expense) / Benefit	(271)	(229)	(359)	(683)	(768)
Net Income (Adjusted)	1,041	731	832	1,790	2,060
Average Fully Diluted Shares Outstanding	258	261	261	261	261
Key Cash Flow Statement Data					
Net Income	1,041	731	832	1,790	2,060
Depreciation & Amortization	810	929	948	920	920
Change in Working Capital	1,295	(580)	(339)	(220)	(151)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(246)	(151)	1,079	360	360
Cash Flow from Operations	2,901	930	2,519	2,849	3,189
Capital Expenditure	(148)	(162)	(215)	(179)	(200)
(Acquisition) / Disposal of Investments	(911)	(755)	(4,988)	0	0
Other Cash Inflow / (Outflow)	(1,503)	(183)	5,018	(800)	(800)
Cash Flow from Investing	(2,562)	(1,100)	(185)	(979)	(1,000)
Shares Issue / (Repurchase)	3,720	0	0	0	0
Cost of Dividends Paid	(1,118)	(782)	0	(582)	(1,253)
Cash Flow from Financing	2,178	(832)	(134)	(582)	(1,253)
Free Cash Flow	2,752	768	2,304	2,670	2,989
Net Debt	(7,886)	(6,697)	(9,132)	(10,420)	(11,356)
Change in Net Debt	(2,418)	1,171	(2,420)	(1,288)	(936)
Key Balance Sheet Data					
Property, Plant & Equipment	582	617	708	708	708
Other Non-Current Assets	6,724	7,115	11,724	12,234	12,854
Trade Receivables	1,054	1,726	1,767	2,508	2,527
Cash & Equivalents	8,334	7,286	9,611	10,898	11,834
Other Current Assets	1,636	2,188	3,483	4,503	5,001
Total Assets	18,330	18,932	27,292	30,851	32,924
Long-Term Debt	0	0	1	1	1
Other Non-Current Liabilities	984	719	833	833	833
Short-Term Debt	448	589	478	478	478
Other Current Liabilities	3,425	4,096	5,785	7,921	9,059
Total Liabilities	4,857	5,403	7,096	9,232	10,370
Total Equity	13,473	13,529	20,196	21,619	22,554
Total Equity & Liabilities	18,330	18,932	27,292	30,851	32,924
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	7.4%	3.3%	4.0%	7.6%	8.4%
Return On Equity	9.2%	5.6%	5.2%	9.1%	10.0%
Operating Margin	9.7%	3.1%	6.5%	11.9%	12.4%
EBITDA Margin	17.0%	8.2%	13.7%	17.0%	17.0%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	2.8x	1.3x	3.0x	1.6x	1.5x
Asset Replacement Ratio	1.0x	0.8x	1.0x	0.8x	0.9x
Tax Rate (Reported)	20.2%	22.8%	24.1%	24.1%	24.1%
Net Debt-to-Equity Ratio	-58.5%	-49.5%	-45.2%	-48.2%	-50.4%
Interest Cover	NM	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 6.

Company Sector

Semiconductors

Company Description

Faraday Technology Corp. was established in 1993 and listed in 1999. The company is an affiliate of the second biggest semiconductor logic foundry (UMC) in Taiwan, and has been the main provider to UMC's IP library. Faraday is also known for its total solution in ASIC (customized chips) which includes chip-design and turnkey mass production, on top of its IP offering. The company has a diversified end-market exposure, including internet of things, factory automation, solar, microcontrollers etc.

Investment Rationale

We have an Underperform rating on Faraday, as we are wary of the slower for longer business outlook in mature node projects, while its collaboration with non-TSMC foundries bears the uncertainty.

Stock Data

Price to Book Value	2.6x

Focus table

Exhibit 1: Faraday 3Q26-4Q26 and 2026-27 estimates BofAe vs. street
Our EPS estimates for '26/27 are now NT$3.19/6.87

	3Q26E			4Q26E			2026E			2027E		
	Actual	Old	Street	BofAe	Old	Street	BofAe	Old	Street	BofAe	Old	Street
Sales (NT$mn)	$3,664	$3,079	$3,235	$3,646	$3,293	$3,648	$13,212	$12,275	$12,810	$17,946	$18,155	$16,307
Sales QoQ / YoY (%)	**10.6%**	**-7.1%**	**-2.4%**	**-0.5%**	**6.9%**	**12.8%**	**-26.6%**	**-31.8%**	**-28.8%**	**35.8%**	**47.9%**	**27.3%**
Gross profit (NT$mn)	$1,557	$1,387	$1,448	$1,594	$1,457	$1,618	$5,874	$5,567	$5,810	$7,702	$7,532	$7,121
GMs (%)	**42.5%**	**45.1%**	**44.8%**	**43.7%**	**44.2%**	**44.4%**	**44.5%**	**45.4%**	**45.4%**	**42.9%**	**41.5%**	**43.7%**
Operating profit (NT$mn)	$214	$340	$238	$281	$469	$409	$862	$1,176	$1,011	$2,136	$2,125	$2,019
OpMs (%)	**5.8%**	**11.1%**	**7.3%**	**7.7%**	**14.2%**	**11.2%**	**6.5%**	**9.6%**	**7.9%**	**11.9%**	**11.7%**	**12.4%**
Pretax profit (NT$mn)	$480	$485	$392	$449	$606	$559	$1,489	$1,651	$1,373	$2,832	$2,632	$2,324
Pretax margins (%)	13.1%	15.7%	12.1%	12.3%	18.4%	15.3%	11.3%	13.5%	10.7%	15.8%	14.5%	14.3%
Tax expense (NT$mn)	-$201	-$153	-$78	-$198	-$184	-$137	-$658	-$595	-$510	-$1,043	-$790	-$700
Tax rate (%)	41.9%	31.5%	19.8%	44.2%	30.4%	24.6%	44.2%	36.1%	37.1%	36.8%	30.0%	30.1%
Net profit (NT$mn)	$279	$332	$315	$250	$422	$421	$832	$1,056	$864	$1,790	$1,842	$1,625
Net margins (%)	7.6%	10.8%	9.7%	6.9%	12.8%	11.5%	6.3%	8.6%	6.7%	10.0%	10.1%	10.0%
EPS (NT$)	**$1.07**	**$1.27**	**$0.66**	**$0.96**	**$1.62**	**$1.32**	**$3.19**	**$4.05**	**$3.25**	**$6.87**	**$7.07**	**$6.09**

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

Price objective basis & risk

Faraday (FDYTF)
Our PO NT$120 is derived from 17x 2027E P/E, which is at low-to-mid-end of the company's historical valuation range. In our view, the multiple is backed by gross margin expansion from 27% in 2025 to over 40% in 2026/27 while revenue would slow down from a peak in 2025.

Upside risks: (1) faster-than-expected progress in new businesses including advanced nodes and advanced packaging, and (2) a better margin profile thanks to more stringent opex and enhanced value-add to customers

Downside risks: (1) downturn in foundry business cycle, given that the firm adopts a cost-plus model for turnkey (mass production) business, and (2) slower qualification and ramp-up of the yield rate for advanced packaging business

Analyst Certification

I, Haas Liu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Information on securities which are listed on the exchanges where ML Securities (Taiwan) Limited is not permitted to trade or solicit trades for clients is for informational purposes only and is not a recommendation or a solicitation to trade such securities. ML Securities (Taiwan) Limited will not execute transactions for nor accept orders from clients to trade such securities. Foreign investment in Taiwan securities is regulated and restricted. Currently, foreign investment in Taiwan securities is permitted by investment through: (1) global depository receipts, (2) convertible bonds, (3) mutual funds issued offshore of Taiwan, and (4) a special foreign institutional investors (FINIs) and foreign individual investors (FIDIs) program supervised by the Taiwan SFB whereunder FINIs/FIDIs may apply for investment ID to invest in Taiwan securities by registration with Taiwan Stock Exchange. FINIs will additionally need consent from the foreign exchange authority, ie, the Central Bank of China. In addition to the limitations above, various industry-specific percentage-based limitations on foreign ownership of Taiwan companies (and in some cases prohibitions) may apply. Investments are subject to exchange rate and currency conversion restrictions and risks. Dividends and interest earned by foreign investors' Taiwan securities/instruments are generally subject to a 20% withholding tax. Ordinary shares are not available to ML private client accounts in the U.S.

This report is distributed in Taiwan by Merrill Lynch Securities (Taiwan) Limited, which is regulated by the Taiwan SFB.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

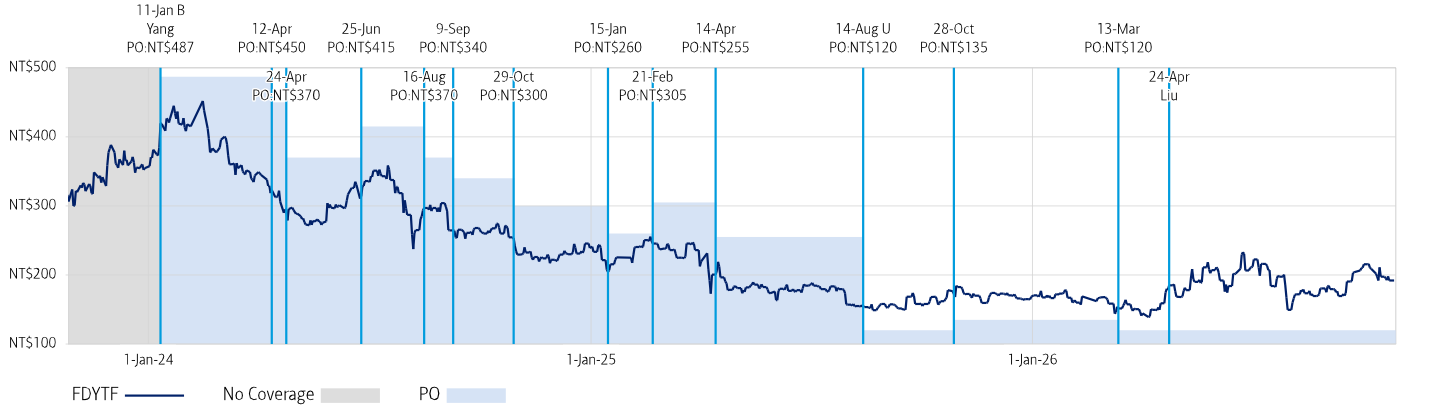
iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofile℠, *iQmethod℠* are service marks of Bank of America Corporation. *iQdatabase®* is a registered service mark of Bank of America Corporation.

Disclosures

Important Disclosures

Faraday (FDYTF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2] Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the Price Charts website, or call 1-800-MERRILL to have them mailed.
In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Faraday.
The country in which this issuer is organized has certain laws or regulations that limit or restrict ownership of the issuer's shares by nationals of other countries: Faraday.
BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel

expenses from the issuer for such visits.
Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.
The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.
Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.
Refer to BofA Global Research policies relating to conflicts of interest.
"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.
Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:
BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSFC); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority.
This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSFC; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the Electronic Communications Disclaimers for further information.
This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.
General Investment Related Disclosures:
Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.
This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.
Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are not regulated in a manner similar to U.S. securities markets. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.
This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may

be more or less positive than a stock's fundamental equity rating.
BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.
Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.
BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities or digital assets that may have been recommended or discussed in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments recommended or discussed in this report.
BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.
In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:
Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.
Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.
This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.
Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.
Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.
The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.
All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.
Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.
Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.
In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.
Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.

BofA SECURITIES

Powertech Technology

Up-cycle level of earnings to continue; reiterate Buy

Reiterate Rating: BUY | PO: 500.00 TWD | Price: 254.50 TWD

Reiterate Buy on above-trend growth and margins

We believe Powertech Technology Inc. (PTI) can continue to benefit from the AI boom and an upturn in the memory chip industry. 3Q results clearly confirm record-high revenue (NT$25bn; up 27% YoY) and an above-trend gross margin (24%; normal high teen% or 20% range). 4Q guidance (for packaging/testing businesses) also remained bullish: DRAM – tight supply vs strong demand; NAND – order increase for more value-added NAND and enterprise SSD; and logic – mix improvement with FC-BGA and price hike (following cost increase). Key customers are Micron, Kioxia, Solidigm (owned by SK Hynix) and various Greater China logic chip makers that require outsourced packaging and testing services. As we have already assumed up-cycle earnings level for 2027-28, our EPS estimates remain largely unchanged. We maintain our PO of NT$500 (27x 2027-28E P/E applied). Reiterate Buy.

Key takeaways from 3Q results

Five takeaways from 3Q results: (1) strong execution in newly growing packaging orders for high-end memory (low-power / high-speed DRAM, enterprise SSD, 200+ layers NAND), (2) increasing exposure to more advanced logic (through FC-BGA, etc), (3) a well-balanced sales mix (DRAM: 20% of total sales; NAND: 28%; SiP/modules 9%; logic 43%), (4) notably improved gross margins (limited increase in manufacturing costs vs strong top-line growth seen), and (5) solid FCF generation (EBITDA: c.NT$8bn vs capex: NT$5bn; expected annual dividend yield: 3-4% range).

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	6,789	5,536	9,744	12,607	15,683
EPS	9.05	7.44	13.13	17.00	21.15
EPS Change (YoY)	-15.2%	-17.8%	76.4%	29.5%	24.4%
Consensus EPS (Visible Alpha)			12.75	16.87	19.97
Dividend / Share	7.00	4.50	8.00	10.00	12.50
Free Cash Flow / Share	17.00	(10.02)	(0.392)	4.92	7.15
Valuation (Dec)					
P/E	28.1x	34.2x	19.4x	15.0x	12.0x
Dividend Yield	2.8%	1.8%	3.1%	3.9%	4.9%
EV / EBITDA*	10.1x	11.0x	7.7x	6.6x	5.8x
Free Cash Flow Yield*	6.6%	-3.8%	-0.2%	1.9%	2.7%

* For full definitions of *iQmethod℠* measures, see page 15.

27 October 2026

Equity

Key Changes

(NT$)	Previous	Current
2027E EPS	16.99	17.00
2028E EPS	21.14	21.15
2026E EBITDA (m)	28,220	28,897
2027E EBITDA (m)	32,890	33,600
2028E EBITDA (m)	37,730	38,447

Simon Woo, CFA >>
Research Analyst
Merrill Lynch (Seoul)
+82 2 3707 0554
simon.woo@bofa.com

Dai Shen >>
Research Analyst
Merrill Lynch (Hong Kong)
+852 3508 7310
dai.shen@bofa.com

Matt Shin >>
Research Analyst
Merrill Lynch (Seoul)
+82 2 3707 0534
matt.shin2@bofa.com

Stock Data

Price	254.50 TWD
Price Objective	500.00 TWD
Date Established	27-May-2026
Investment Opinion	C-1-7
52-Week Range	148.00 TWD-387.00 TWD
Mrkt Val / Shares Out (mn)	5,924 USD / 759.1
Market Value (mn)	193,203 TWD
Average Daily Value (mn)	110.72 USD
Free Float	90.0%
BofA Ticker / Exchange	PWOGF / TAI
Bloomberg / Reuters	6239 TT / 6239.TW
ROE (2026E)	16.1%
Net Dbt to Eqty (Dec-2025A)	12.7%

This research report provides general information only. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or other persons without the express written consent of BofA Securities.
>> Employed by a non-US affiliate of BofAS and is not registered/qualified as a research analyst under the FINRA rules.
Refer to "Other Important Disclosures" for information on certain BofA Securities entities that take responsibility for the information herein in particular jurisdictions.
BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.
Refer to important disclosures on page 16 to 18. Analyst Certification on page 13. Price

AI: Artificial intelligence
DRAM: Dynamic random-access memory
FC-BGA: Flip chip ball-grid array
NAND: Not-AND memory
SiP: System-in-package
SSD: Solid-state drive

iQprofile℠ Powertech Technology

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	73,315	74,929	96,256	113,684	131,728
Gross Profit	13,991	12,729	21,380	25,978	30,562
Sell General & Admin Expense	(2,809)	(2,807)	(3,459)	(3,616)	(3,797)
Operating Profit	9,382	8,132	15,433	19,749	24,033
Net Interest & Other Income	1,295	660	582	(120)	(120)
Associates	NA	NA	NA	NA	NA
Pretax Income	10,677	8,792	16,015	19,629	23,913
Tax (expense) / Benefit	(2,178)	(1,572)	(3,594)	(4,318)	(5,500)
Net Income (Adjusted)	6,789	5,536	9,744	12,607	15,683
Average Fully Diluted Shares Outstanding	750	744	742	741	741
Key Cash Flow Statement Data					
Net Income	6,789	5,536	9,744	12,607	15,683
Depreciation & Amortization	12,656	12,257	13,464	13,851	14,414
Change in Working Capital	2,764	2,011	(2,938)	(821)	(812)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	1,874	(1,295)	(560)	0	0
Cash Flow from Operations	24,082	18,509	19,710	25,637	29,284
Capital Expenditure	(11,379)	(25,941)	(20,000)	(22,000)	(24,000)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	1,514	(82)	1,712	0	0
Cash Flow from Investing	(9,865)	(26,023)	(18,288)	(22,000)	(24,000)
Shares Issue / (Repurchase)	(65)	(390)	0	0	0
Cost of Dividends Paid	(5,231)	(5,172)	(3,325)	(5,910)	(7,388)
Cash Flow from Financing	(11,351)	4,197	7,207	(3,078)	(5,465)
Free Cash Flow	12,703	(7,432)	(290)	3,637	5,284
Net Debt	(3,506)	9,051	5,876	2,912	(186)
Change in Net Debt	(7,933)	9,978	(2,862)	(2,964)	(3,098)
Key Balance Sheet Data					
Property, Plant & Equipment	56,588	70,412	72,386	78,453	86,040
Other Non-Current Assets	5,616	6,387	13,053	13,583	14,134
Trade Receivables	15,885	18,537	21,873	23,301	24,468
Cash & Equivalents	22,271	16,375	25,318	25,877	25,696
Other Current Assets	8,830	11,453	12,748	13,091	13,722
Total Assets	109,191	123,163	145,378	154,305	164,060
Long-Term Debt	16,887	25,413	30,983	28,578	25,300
Other Non-Current Liabilities	2,255	2,699	8,470	8,813	9,171
Short-Term Debt	1,878	13	210	210	210
Other Current Liabilities	16,478	23,764	25,457	26,407	27,392
Total Liabilities	37,498	51,889	65,120	64,008	62,074
Total Equity	71,693	71,275	80,258	90,297	101,987
Total Equity & Liabilities	109,191	123,163	145,378	154,305	164,060
iQ*method℠ - Bus Performance					
Return On Capital Employed	7.9%	7.0%	10.9%	12.4%	14.0%
Return On Equity	12.2%	9.8%	16.1%	18.2%	19.7%
Operating Margin	12.8%	10.9%	16.0%	17.4%	18.2%
EBITDA Margin	30.1%	27.2%	30.0%	29.6%	29.2%
iQ*method℠ - Quality of Earnings					
Cash Realization Ratio	3.5x	3.3x	2.0x	2.0x	1.9x
Asset Replacement Ratio	0.9x	2.1x	1.5x	1.6x	1.7x
Tax Rate (Reported)	20.4%	17.9%	22.4%	22.0%	23.0%
Net Debt-to-Equity Ratio	-4.9%	12.7%	7.3%	3.2%	-0.2%
Interest Cover	NA	NA	NA	NA	NA

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 15.

Company Sector

Semiconductors

Company Description

Headquartered in Taiwan, PTI is one of the largest OSAT firms, which packages and tests memory and logic chips. It has around 18,000 employees. The logic chip-related business operates under Greatek Electronics (fully consolidated into earnings). Management's new focus areas in packaging/testing are PLP, TSV, 3D NAND, low-power DRAM, SSD, etc.

Investment Rationale

Our Buy rating is based on strong earnings growth, driven by more value-added memory and even logic packaging solutions. 1Q-3Q26 earnings have already hit upcycle levels, posting a strong YoY growth (largely driven by NAND/SSD). We believe the memory super-cycle and customers' ongoing outsourcing trend (Micron, Solidigm/Hynix, Kioxia and Greater China's logic chipmakers) using Powertech's proven backend solutions should be the key contributors to strong earnings growth by 2028.

Stock Data

Price to Book Value	3.0x

Key charts/tables after 3Q26 results

Exhibit 1: Powertech is accelerating its advanced FOPLP packaging strategy through significant capacity expansion, strategic partnerships (including Broadcom), and customer wins such as AMD, positioning itself as a key beneficiary of growing AI semiconductor packaging demand from 2027 onward
Powertech's recent news summary during Jul-Aug 2026

Date	Key news	Summary
Aug-2026	FOPLP production	-Powertech plans to start production at the world's first panel-level chip packaging facility for AI chips as soon as early 2027 to make server CPUs, AI computing chips and advanced optics -Powertech said its advanced FOPLP production line has secured a 100% UTR through 2030 ahead of its scheduled volume production in 2027 -Powertech plans to invest NT$70bn (US$2.2bn) in its FOPLP facility, with installed capacity set to increase from 1,000 panels per months in 2026 to 5,000 in 2028
Jul-2026	JV with Broadcom	-Powertech reported plans to invest US$400mn to create a new JV with Broadcom in Singapore to cater to customer demand for advanced panel-based packaging services -The JV will concentrate on offering additive finer-geometry redistribution layer (RDL) tech for advanced package substrates
	AMD business	-Powertech reaffirmed that it is on track to start shipping AI chips utilizing its advanced PLP tech for AMD in 2H27, dismissing concerns over delays -AMD will be one of Powertech's first customers adopting the FOPLP tech, which is considered to be more cost-effective than the mainstream CoWoS tech
	Capex/capacity	-Powertech plans to acquire the entire Philippine unit of ON Semiconductor for US$45mn as part of its efforts to navigate global supply chain realignment amid escalating geopolitical risks -The transaction will be conducted by its subsidiary, Greatek Electronics in which Powertech holds 43% stake

Source: Company, media reports, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 2: Upbeat 3Q results with record-high revenue (NT$25bn; up 27% YoY) and above trend of gross margin (24%; normal high teen% or 20% range), which exceeded consensus and our estimates
Powertech – 3Q26 results vs consensus and our estimate

NT$mn	Actual	QoQ	YoY	Cons	Act vs Cons	Our est	Act vs our est
Sales	**25,334**	**10%**	**27%**	**24,597**	**3%**	**24,350**	**4%**
Gross profit	6,085	21%	89%	5,526	10%	5,352	14%
Operating profit	**4,472**	**27%**	**118%**	**3,998**	**12%**	**4,124**	**8%**
Pretax income	4,557	24%	92%	4,113	11%	4,094	11%
Net income	2,612	18%	70%	2,645	-1%	2,734	-4%
FD EPS (NT$)	**3.52**	**18%**	**70%**	**3.51**	**0%**	**3.68**	**-4%**
Implied # of shares (mn)	741.4	0%	0%	754.5	-2%	743.2	0%
Margins							
Gross margin	**24.0%**	**2.3%pt**	**7.9%pt**	**22.5%**	**1.6%pt**	**22.0%**	**2.0%pt**
OP margin	**17.7%**	**2.4%pt**	**7.4%pt**	**16.3%**	**1.4%pt**	**16.9%**	**0.7%pt**
Pretax margin	18.0%	2.1%pt	6.1%pt	16.7%	1.3%pt	16.8%	1.2%pt
Net margin	10.3%	0.7%pt	2.6%pt	10.8%	-0.4%pt	11.2%	-0.9%pt

Source: Company, Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 3: Our 2027-28 estimates are broadly in line with consensus as but both clearly expect upturn level
Powertech – 2026-28 annual earnings; our estimate vs consensus

	2025	2026E			2027E			2028E		
NT$mn	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**74,929**	**96,256**	**94,476**	**2%**	**113,684**	**114,784**	**-1%**	**131,728**	**128,151**	**3%**
Gross profit	12,729	21,380	20,528	4%	25,978	26,918	-3%	30,562	29,104	5%
Operating profit	**8,132**	**15,433**	**14,547**	**6%**	**19,749**	**20,036**	**-1%**	**24,033**	**23,367**	**3%**
Pretax income	8,792	16,015	15,293	5%	19,629	20,534	-4%	23,913	23,824	0%
Net income	5,536	9,744	9,510	2%	12,607	13,479	-6%	15,683	15,452	1%
FD EPS (NT$)	**7.44**	**13.13**	**12.70**	**3%**	**17.00**	**17.98**	**-5%**	**21.15**	**20.75**	**2%**
Implied # of shares (mn)	743.9	742.1	749.0	-1%	741.4	749.5	-1%	741.4	744.7	0%
Margins										
Gross margin	**17.0%**	**22.2%**	**21.7%**	**0.5%pt**	**22.9%**	**23.5%**	**-0.6%pt**	**23.2%**	**22.7%**	**0.5%pt**
OP margin	**10.9%**	**16.0%**	**15.4%**	**0.6%pt**	**17.4%**	**17.5%**	**-0.1%pt**	**18.2%**	**18.2%**	**0.0%pt**
Pretax margin	11.7%	16.6%	16.2%	0.5%pt	17.3%	17.9%	-0.6%pt	18.2%	18.6%	-0.4%pt
Net margin	7.4%	10.1%	10.1%	0.1%pt	11.1%	11.7%	-0.7%pt	11.9%	12.1%	-0.2%pt

Source: Company, Bloomberg, BofA Global Research estimates

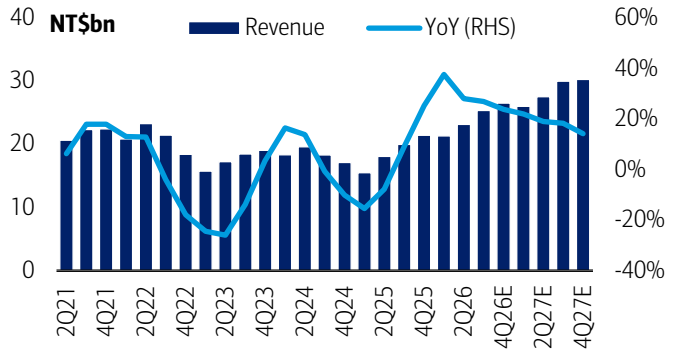
BofA GLOBAL RESEARCH

Exhibit 4: Since we have already assumed up-cycle level of earnings for 2027-28, our EPS estimates are mostly unchanged
Powertech – Earnings revisions (2026-28E)

NT$mn, NT$	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2022	2023	2024	2025	2026E	2027E	2028E
EPS - fully diluted															
New	2.48	2.99	3.52	4.14	3.79	4.02	4.17	5.03	11.52	10.67	9.05	7.44	13.13	17.00	21.15
Old	2.48	2.99	3.68	3.98	3.48	3.69	4.88	4.94	11.52	10.67	9.05	7.44	13.13	16.99	21.14
Difference	na	na	-4%	4%	9%	9%	-15%	2%	na	na	na	na	0%	0%	0%
Dividend/share															
New	0.0	4.5	0.0	0.0	0.0	8.0	0.0	0.0	7.0	7.0	7.0	4.5	8.0	10.0	12.5
Old	0.0	4.5	0.0	0.0	0.0	8.0	0.0	0.0	7.0	7.0	7.0	4.5	8.0	10.0	12.5
Difference	na	na	na	na	na	0%	na	na	na	na	na	na	0%	0%	0%
Shares for FD EPS															
New	743	742	741	741	741	741	741	741	754	751	750	744	742	741	741
Old	743	743	743	743	743	743	743	743	754	751	750	744	743	743	743
Difference	na	na	0%	0%	0%	0%	0%	0%	na	na	na	na	0%	0%	0%
Sales															
New	21,314	23,116	25,334	26,492	25,989	27,497	29,960	30,239	83,927	70,441	73,315	74,929	96,256	113,684	131,728
Old	21,314	23,116	24,350	25,496	24,924	26,392	28,781	29,088	83,927	70,441	73,315	74,929	94,276	109,185	126,907
Difference	na	na	4%	4%	4%	4%	4%	4%	na	na	na	na	2%	4%	4%
Gross margin															
New	19.4%	21.8%	24.0%	23.1%	22.2%	22.7%	23.1%	23.3%	20.7%	17.9%	19.1%	17.0%	22.2%	22.9%	23.2%
Old	19.4%	21.8%	22.0%	22.5%	22.0%	22.5%	23.0%	23.3%	20.7%	17.9%	19.1%	17.0%	21.5%	22.7%	23.2%
Difference	na	na	2.0%	0.6%	0.2%	0.2%	0.1%	0.0%	na	na	na	na	0.7%	0.1%	0.0%
OP															
New	2,761	3,531	4,472	4,670	4,332	4,666	5,227	5,523	12,448	8,154	9,382	8,132	15,433	19,749	24,033
Old	2,761	3,531	4,124	4,377	4,046	4,363	5,330	5,350	12,448	8,154	9,382	8,132	14,793	19,089	23,369
Difference	na	na	8%	7%	7%	7%	-2%	3%	na	na	na	na	4%	3%	3%
OP margin															
New	13.0%	15.3%	17.7%	17.6%	16.7%	17.0%	17.4%	18.3%	14.8%	11.6%	12.8%	10.9%	16.0%	17.4%	18.2%
Old	13.0%	15.3%	16.9%	17.2%	16.2%	16.5%	18.5%	18.4%	14.8%	11.6%	12.8%	10.9%	15.7%	17.5%	18.4%
Difference	na	na	0.7%	0.5%	0.4%	0.4%	-1.1%	-0.1%	na	na	na	na	0.3%	-0.1%	-0.2%
Net non-op income															
New	396	131	85	-30	-30	-30	-30	-30	1,192	3,890	1,295	660	582	-120	-120
Old	396	130	-30	-30	-30	-30	-30	-30	1,192	3,890	1,295	660	466	-120	-120
Difference	na	na	na	0%	0%	0%	0%	0%	na	na	na	na	25%	0%	0%
Tax rate - effective															
New	24.4%	22.2%	21.8%	22.0%	22.0%	22.0%	22.0%	22.0%	21.2%	21.0%	20.4%	17.9%	22.4%	22.0%	23.0%
Old	24.4%	22.2%	21.0%	21.0%	22.0%	22.0%	22.0%	22.0%	21.2%	21.0%	20.4%	17.9%	22.0%	22.0%	23.0%
Difference	na	na	0.8%	1.0%	0.0%	0.0%	0.0%	0.0%	na	na	na	na	0.5%	0.0%	0.0%
NP ex minority int															
New	1,844	2,219	2,612	3,069	2,807	2,979	3,091	3,729	8,687	8,009	6,789	5,536	9,744	12,607	15,683
Old	1,844	2,219	2,734	2,961	2,584	2,743	3,629	3,672	8,687	8,009	6,789	5,536	9,758	12,628	15,712
Difference	na	na	-4%	4%	9%	9%	-15%	2%	na	na	na	na	0%	0%	0%
EBITDA															
New	6,092	6,891	7,849	8,064	7,743	8,112	8,707	9,038	27,303	22,038	22,038	20,388	28,897	33,600	38,447
Old	6,092	6,879	7,489	7,759	7,445	7,796	8,797	8,852	27,303	22,038	22,038	20,388	28,220	32,890	37,730
Difference	na	na	5%	4%	4%	4%	-1%	2%	na	na	na	na	2%	2%	2%
Capex spend															
New	6,548	4,644	4,500	4,308	5,000	6,000	5,500	5,500	18,582	8,727	11,379	25,941	20,000	22,000	24,000
Old	6,548	5,000	4,500	3,952	5,000	6,000	5,500	5,500	18,582	8,727	11,379	25,941	20,000	22,000	24,000
Difference	na	na	0%	9%	0%	0%	0%	0%	na	na	na	na	0%	0%	0%
Net debt															
New	10,254	8,464	6,620	5,876	4,131	8,440	3,436	2,912	10,079	2,512	-3,506	9,051	5,876	2,912	-186
Old	10,254	8,598	9,450	6,030	4,531	9,184	4,141	3,649	10,079	2,512	-3,506	9,051	6,030	3,649	1,138
Difference	na	na	-30%	-3%	-9%	-8%	-17%	-20%	na	na	na	na	-3%	-20%	na
BVPS - O/S shr based															
New	78.8	77.3	77.1	87.3	91.9	88.8	94.3	100.1	68.9	73.4	76.0	76.0	87.3	100.1	115.0
Old	78.8	77.1	82.8	87.4	91.6	88.2	93.8	99.4	68.9	73.4	76.0	76.0	87.4	99.4	113.5
Difference	na	na	-7%	0%	0%	1%	1%	1%	na	na	na	na	0%	1%	1%

Source: Company, BofA Global Research estimates

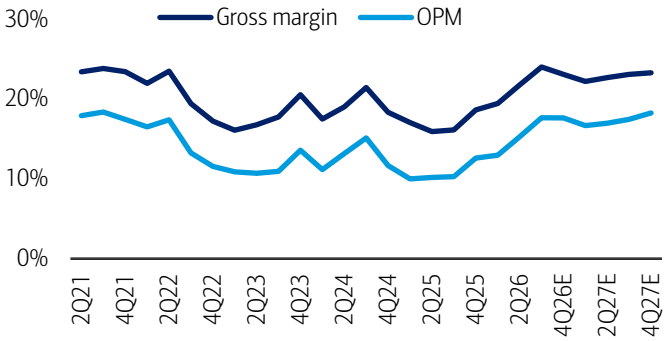
Exhibit 5: We assume robust topline growth in 2026-27 (up 28%/18% YoY); 3-yr sales CAGR (2025-28E) shows 21%
Powertech – Quarterly sales and YoY growth



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

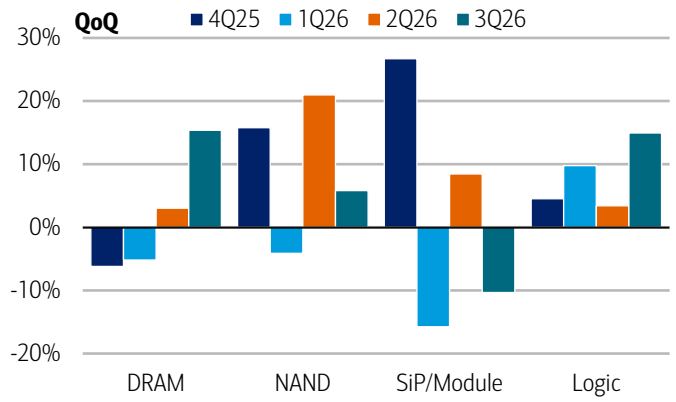
Exhibit 6: We expect 2026-28E margins (GM 22-23%, OPM 16-18%) to closely approach previous highs in 2020-22 (GM 20-23%, OPM 14-17%)
Powertech – Quarterly sales and YoY growth



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

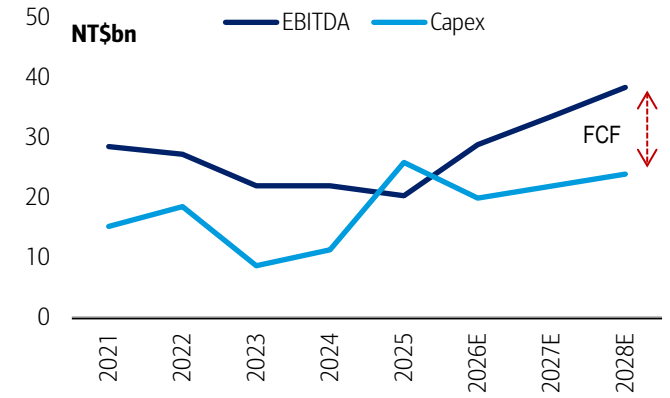
Exhibit 7: Solid QoQ growth seen for all segments in 3Q26 except SiP/Module
Powertech – QoQ sales growth by segment



*SiP/Module refers to mostly Solidigm's SSD products
Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

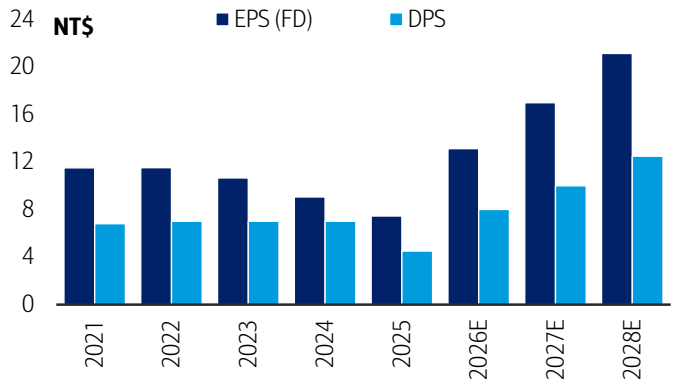
Exhibit 8: Robust 2026-28E FCF generation well-expected on the back of strong EBITDA rebound and disciplined capex spend
Powertech – QoQ sales growth by segment



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

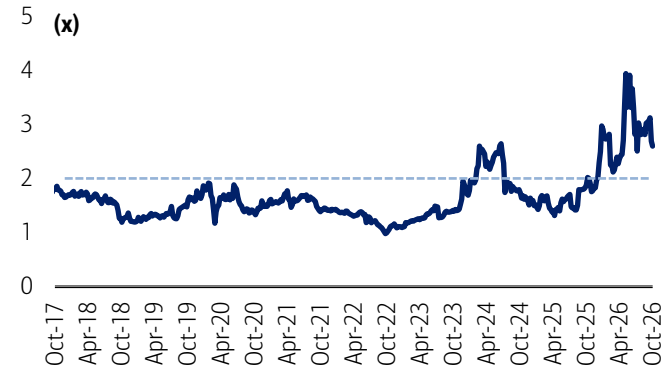
Exhibit 9: Management remains committed to high payout ratio (60%+)
Powertech – EPS and DPS



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

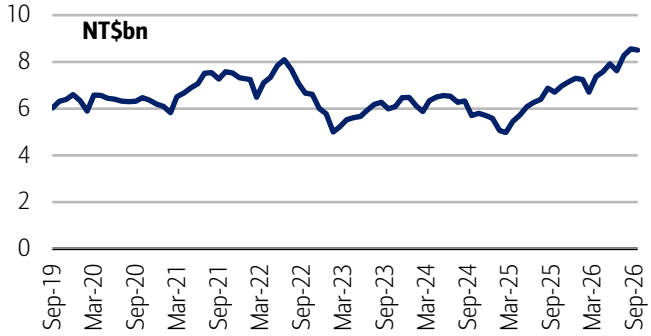
Exhibit 10: Currently trading at mid-2x vs our implied target 2027-28E P/B of 5x
Powertech – 12-month forward P/B



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 11: Powertech's monthly sales showed steady recovery recently, slightly surpassing previous high level in 2022
Powertech – Monthly sales



Source: Company, BofA Global Research

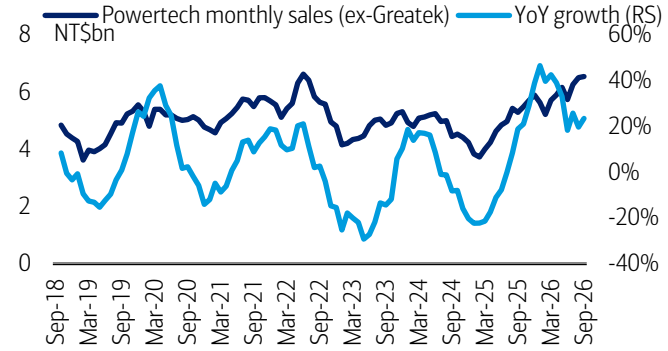
BofA GLOBAL RESEARCH

Exhibit 12: Robust YoY growth continued throughout 2H25-3Q26
Powertech – Monthly sales YoY

Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

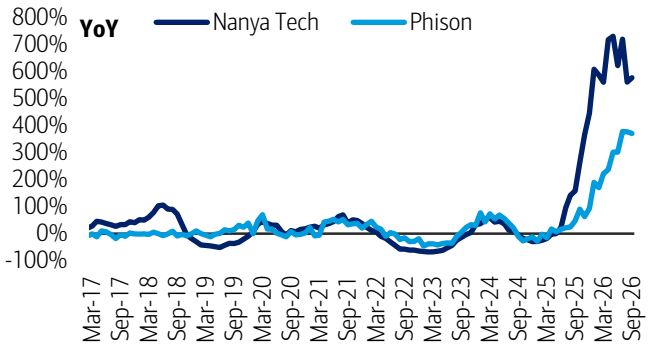
Exhibit 13: YoY turnaround continued throughout 2H25-3Q26
Powertech – monthly sales and YoY ex-Greatek



Source: Companies, BofA Global Research

BofA GLOBAL RESEARCH

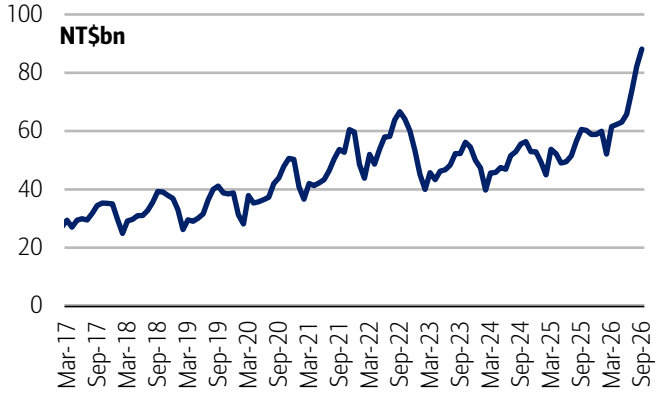
Exhibit 14: Nanya's exceptionally robust growth mostly driven by DRAM super-cycle
Nanya Tech and Phison monthly sales YoY



Source: Companies, BofA Global Research

BofA GLOBAL RESEARCH

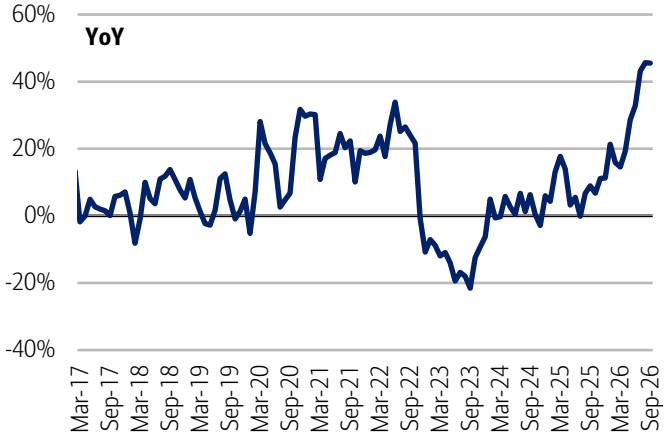
Exhibit 15: Solid recovery seen in 3Q26 (NT$244bn; +28% QoQ, +45% YoY)
ASE – Monthly sales trend



Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 16: Accelerating YoY rebound well-observed in 3Q26
ASE – YoY monthly sales trend



Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

Valuation

Exhibit 17: Our PO NT$500 is derived from 27x 2027-28E P/E
Powertech – Valuation multiples at current price and PO

(x)	2024	2025	2026E	2027E	2028E	2027-28E avg
Current shr price based						
P/E	**28.1**	**34.2**	**19.4**	**15.0**	**12.0**	**13.5**
P/B	**3.4**	**3.3**	**2.9**	**2.5**	**2.2**	**2.4**
EV/EBITDA	9.0	9.7	6.8	5.9	5.1	5.5
EV/Sales	2.7	2.6	2.1	1.7	1.5	1.6
PO based multiples						
P/E	**55.2**	**67.1**	**38.1**	**29.4**	**23.6**	**26.5**
P/B	**6.6**	**6.6**	**5.7**	**5.0**	**4.3**	**4.7**
EV/EBITDA	17.2	18.6	13.1	11.3	9.9	10.6
EV/Sales	5.2	5.1	3.9	3.3	2.9	3.1

Source: Company. BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 18: Long-term historical average P/E shows 12x
Powertech – Historical multiples based on year-average/high/low share prices

(x)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2015-25 Avg
Year-average													
P/E	**11.6**	**12.3**	**12.2**	**10.6**	**10.7**	**11.3**	**9.0**	**7.7**	**9.5**	**17.1**	**18.0**	**20.1**	**11.8**
P/B	**1.4**	**1.7**	**1.9**	**1.6**	**1.5**	**1.6**	**1.6**	**1.3**	**1.4**	**2.0**	**1.8**	**3.0**	**1.6**
EV/EBITDA	3.0	3.9	4.3	3.5	3.3	3.5	2.9	2.8	3.5	5.0	5.3	7.0	3.7
EV/Sales	1.0	1.3	1.4	1.2	1.1	1.1	1.0	0.9	1.1	1.5	1.4	2.1	1.2
Year-high													
P/E	**14.3**	**14.8**	**14.1**	**12.2**	**14.0**	**13.6**	**10.1**	**8.7**	**14.3**	**22.2**	**24.4**	**28.9**	**14.8**
P/B	**1.7**	**2.0**	**2.1**	**1.8**	**1.9**	**2.0**	**1.8**	**1.5**	**2.1**	**2.6**	**2.4**	**4.3**	**2.0**
EV/EBITDA	3.8	4.6	4.8	3.9	4.2	4.1	3.3	3.1	5.2	6.6	7.1	9.9	4.6
EV/Sales	1.3	1.6	1.6	1.3	1.4	1.3	1.1	1.0	1.6	2.0	1.9	3.0	1.5
Year-low													
P/E	**10.0**	**10.2**	**9.4**	**8.0**	**8.6**	**8.0**	**8.2**	**6.1**	**7.5**	**12.7**	**13.3**	**14.0**	**9.3**
P/B	**1.2**	**1.4**	**1.4**	**1.2**	**1.2**	**1.2**	**1.5**	**1.0**	**1.1**	**1.5**	**1.3**	**2.1**	**1.3**
EV/EBITDA	2.6	3.3	3.4	2.8	2.7	2.6	2.7	2.3	2.8	3.7	4.0	4.9	3.0
EV/Sales	0.9	1.1	1.1	0.9	0.9	0.8	0.9	0.7	0.9	1.1	1.1	1.5	1.0

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 19: Powertech's multiples are lower than its memory and semis back-end peers despite solid ROE (high-teen% in FY27-28E)
Valuations comparison

	Ticker	Rating	Price (Local)	Mcap ($bn)	P/E			P/Book			EV/EBITDA			ROE		
					FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E	FY26	FY27E	FY28E
Powertech	PWOGF	C-1-7	254.50	5.9	19.4	15.0	12.0	3.0	2.6	2.3	7.7	6.6	5.8	16.1%	18.2%	19.7%
ASE	XSRIF	C-1-7	651.00	89.2	33.1	19.0	13.1	6.0	4.4	3.2	17.4	10.0	7.1	21.8%	27.2%	28.6%
JCET	XJIEF	C-1-7	53.29	14.3	41.1	26.4	21.5	3.1	2.8	2.5	14.7	11.5	10.1	7.9%	11.3%	12.5%
SIMO	SIMO	C-1-7	189.18	6.4	16.2	17.8	14.3	5.2	4.3	3.5	14.2	12.4	10.1	39.1%	27.2%	27.4%
Phison	PISNF	C-1-8	1,910.00	13.0	5.3	9.0	14.1	3.2	2.6	2.4	3.9	5.6	8.8	92.3%	37.0%	20.7%
Samsung	SSNLF	C-1-7	213,000	980.9	4.9	3.7	3.8	2.1	1.5	1.1	2.9	2.2	2.3	52.4%	46.1%	32.9%
SK Hynix	HXSCF	C-1-7	1,275,000	740.3	3.6	3.5	3.5	2.4	1.6	1.2	2.9	2.1	2.0	98.2%	52.9%	38.1%
Micron	MU	C-1-7	903.70	1,022.5	12.0	5.3	4.6	7.4	3.7	2.5	9.0	4.0	3.6	89.7%	95.8%	68.8%
Nanya Tech	NNYAF	B-1-7	441.00	46.7	5.9	4.3	5.2	3.1	1.9	1.6	3.7	2.5	3.0	75.3%	56.3%	34.2%
Intel	INTC	C-1-9	90.47	478.1	61.5	45.0	31.0	3.6	3.4	3.0	20.3	15.7	12.3	5.9%	7.9%	10.6%

Source: Companies, BofA Global Research estimates. Mcap = market capitalization. ROE = return on equity

BofA GLOBAL RESEARCH

Exhibit 20: NT$20bn+ annual FCF generation suggests a fair value of NT$500
Powertech –Cross-checked discounted cash flow (DCF) valuation

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Sales	73,315	74,929	96,256	113,684	131,728	155,440	175,958	193,553
Sales growth	4%	2%	28%	18%	16%	18%	13%	10%
OP	9,382	8,132	15,433	19,749	24,033	18,653	30,265	36,775
OPM	13%	11%	16%	17%	18%	12%	17%	19%
Dep & Amor	12,656	12,257	13,464	13,851	14,414	15,000	17,000	20,000
EBITDA	22,038	20,388	28,897	33,600	38,447	33,653	47,265	56,775
Capex	11,379	25,941	20,000	22,000	24,000	25,000	25,000	25,000
Increase in NWC	1,113	-2,764	-2,011	2,938	821	200	200	200
Net working capital	38,930	30,598	25,147	43,228	47,616	47,816	48,016	48,216
Taxes	2,178	1,572	3,594	4,318	5,500	4,104	6,658	8,091
Free cash flow	**7,368**	**-4,361**	**7,313**	**4,343**	**8,126**	**4,349**	**15,406**	**23,485**
Discount factor at 12% WACC		1.00	0.89	0.79	0.71	0.63	0.56	0.50
Present value of FCF			6,517	3,449	5,750	2,742	8,656	11,758
Sum of PV FCF (a)		**38,872**						
Terminal value								
PV of TV (b)		**356,468**						
12x EV/EBITDA		356,468						711,960
Perpetual growth		4.50%						
Biz value total (A = a+b)		**395,340**						
Net debt & minority int (B)		24,034						
Shareholder value total (A-B)		**371,306**						
Fully diluted shares (mn)		742						
Per share value (NT$)		**500.2**						
PO vs FV		0%						
BofA PO		**500.0**						
Current share price		254.5						
PO over share price		96%						

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Earnings outlook in 2026-28E

Exhibit 21: Memory (DRAM+NAND combined) accounts for sub-50% of total sales, followed by logic (~40%), SiP/Module (low-teen%); we expect strong 2026-28E topline growth (3-yr CAGR of 21% during 2025-28E)
Powertech – Sales breakdown

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
By chip application																
DRAM	4,263	4,392	5,067	5,422	5,205	5,465	6,011	6,252	17,000	17,987	17,815	15,826	16,876	19,143	22,933	27,225
NAND	5,542	6,704	7,094	7,519	7,143	7,643	8,484	8,908	30,148	28,602	20,219	20,881	18,464	26,858	32,179	38,914
SiP/Module	2,345	2,543	2,280	2,440	2,196	2,371	2,606	2,606	7,709	8,631	6,061	7,490	8,025	9,607	9,779	11,987
Logic	9,165	9,477	10,894	11,112	11,445	12,017	12,858	12,473	28,937	28,707	26,345	29,118	31,565	40,648	48,793	53,603
Total Sales	**21,314**	**23,116**	**25,334**	**26,492**	**25,989**	**27,497**	**29,960**	**30,239**	**83,794**	**83,927**	**70,441**	**73,315**	**74,929**	**96,256**	**113,684**	**131,728**
Mix																
DRAM	20%	19%	20%	20%	20%	20%	20%	21%	20%	21%	25%	22%	23%	20%	20%	21%
NAND	26%	29%	28%	28%	27%	28%	28%	29%	36%	34%	29%	28%	25%	28%	28%	30%
SiP/Module	11%	11%	9%	9%	8%	9%	9%	9%	9%	10%	9%	10%	11%	10%	9%	9%
Logic	43%	41%	43%	42%	44%	44%	43%	41%	35%	34%	37%	40%	42%	42%	43%	41%
Total Sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
QoQ																
DRAM	-5%	3%	15%	7%	-4%	5%	10%	4%								
NAND	-4%	21%	6%	6%	-5%	7%	11%	5%								
SiP/Module	-16%	8%	-10%	7%	-10%	8%	10%	0%								
Logic	10%	3%	15%	2%	3%	5%	7%	-3%								
Total Sales	**0%**	**8%**	**10%**	**5%**	**-2%**	**6%**	**9%**	**1%**								
YoY																
DRAM	31%	1%	6%	21%	22%	24%	19%	15%	-2%	6%	-1%	-11%	7%	13%	20%	19%
NAND	49%	69%	42%	30%	29%	14%	20%	18%	1%	-5%	-29%	3%	-12%	45%	20%	21%
SiP/Module	89%	41%	4%	-12%	-6%	-7%	14%	7%	-7%	12%	-30%	24%	7%	20%	2%	23%
Logic	26%	19%	36%	33%	25%	27%	18%	12%	40%	-1%	-8%	11%	8%	29%	20%	10%
Total Sales	**38%**	**28%**	**27%**	**24%**	**22%**	**19%**	**18%**	**14%**	**10%**	**0%**	**-16%**	**4%**	**2%**	**28%**	**18%**	**16%**
By backend process																
Testing	4,689	5,317	6,080	5,802	5,653	5,939	6,426	6,441	18,435	18,630	15,788	16,300	16,639	21,888	24,459	27,556
SiP/module	2,345	2,543	2,280	2,440	2,196	2,371	2,606	2,606	7,709	8,631	6,061	7,319	8,025	9,607	9,779	11,987
Package	14,280	15,256	16,974	18,251	18,140	19,186	20,927	21,192	57,650	56,666	48,592	49,696	50,265	64,761	79,446	92,186
Total Sales	**21,314**	**23,116**	**25,334**	**26,492**	**25,989**	**27,497**	**29,960**	**30,239**	**83,794**	**83,927**	**70,441**	**73,315**	**74,929**	**96,256**	**113,684**	**131,728**
Mix																
Testing	22%	23%	24%	21.9%	21.8%	21.6%	21.5%	21.3%	22%	22%	22%	22%	22%	23%	22%	21%
SiP/module	11%	11%	9%	9.2%	8.4%	8.6%	8.7%	8.6%	9%	10%	9%	10%	11%	10%	9%	9%
Package	67%	66%	67%	68.9%	69.8%	69.8%	69.9%	70.1%	69%	68%	69%	68%	67%	67%	70%	70%
Total Sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
QoQ																
Testing	0%	13%	14%	-5%	-3%	5%	8%	0%								
SiP/module	-16%	8%	-10%	7%	-10%	8%	10%	0%								
Package	3%	7%	11%	8%	-1%	6%	9%	1%								
Total Sales	**0%**	**8%**	**10%**	**5%**	**-2%**	**6%**	**9%**	**1%**								
YoY																
Testing	32%	34%	38%	23%	21%	12%	6%	11%	8%	1%	-15%	3%	2%	32%	12%	13%
SiP/module	89%	41%	4%	-12%	-6%	-7%	14%	7%	-7%	12%	-30%	21%	10%	20%	2%	23%
Package	34%	24%	27%	31%	27%	26%	23%	16%	13%	-2%	-14%	2%	1%	29%	23%	16%
Total Sales	**38%**	**28%**	**27%**	**24%**	**22%**	**19%**	**18%**	**14%**	**10%**	**0%**	**-16%**	**4%**	**2%**	**28%**	**18%**	**16%**

Source: Company, BofA Global Research estimates

Exhibit 22: We expect solid topline growth in 2026-28E coupled with steady margin improvement (GM 22-23%, OPM 16-18%), closely approaching 2021-22 upturn level

Powertech – Income statement

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	**21,314**	**23,116**	**25,334**	**26,492**	**25,989**	**27,497**	**29,960**	**30,239**	**83,794**	**83,927**	**70,441**	**73,315**	**74,929**	**96,256**	**113,684**	**131,728**
COGS	17,170	18,085	19,249	20,372	20,219	21,255	23,039	23,193	64,499	66,551	57,832	59,324	62,200	74,877	87,706	101,167
Gross profit	**4,144**	**5,031**	**6,085**	**6,120**	**5,769**	**6,242**	**6,921**	**7,046**	**19,295**	**17,376**	**12,609**	**13,991**	**12,729**	**21,380**	**25,978**	**30,562**
SG&A	**1,383**	**1,500**	**1,613**	**1,450**	**1,437**	**1,576**	**1,694**	**1,523**	**4,770**	**4,928**	**4,455**	**4,609**	**4,597**	**5,947**	**6,229**	**6,528**
R&D	843	919	846	850	870	965	889	893	2,443	2,462	2,458	2,809	2,807	3,459	3,616	3,797
Marketing & Admin	540	581	767	600	567	610	805	630	2,326	2,465	1,998	1,800	1,790	2,488	2,613	2,731
OP	**2,761**	**3,531**	**4,472**	**4,670**	**4,332**	**4,666**	**5,227**	**5,523**	**14,525**	**12,448**	**8,154**	**9,382**	**8,132**	**15,433**	**19,749**	**24,033**
EBITDA	**6,092**	**6,891**	**7,849**	**8,064**	**7,743**	**8,112**	**8,707**	**9,038**	**28,577**	**27,303**	**22,038**	**22,038**	**20,388**	**28,897**	**33,600**	**38,447**
Dep & amortization	3,332	3,361	3,377	3,394	3,411	3,445	3,480	3,515	14,052	14,855	13,884	12,656	12,257	13,464	13,851	14,414
Net Non-OP income	**396**	**131**	**85**	**-30**	**-30**	**-30**	**-30**	**-30**	**181**	**1,192**	**3,890**	**1,295**	**660**	**582**	**-120**	**-120**
Pre-tax income	**3,157**	**3,661**	**4,557**	**4,640**	**4,302**	**4,636**	**5,197**	**5,493**	**14,705**	**13,640**	**12,043**	**10,677**	**8,792**	**16,015**	**19,629**	**23,913**
Tax	770	811	992	1,021	946	1,020	1,143	1,208	2,980	2,888	2,534	2,178	1,572	3,594	4,318	5,500
Effective tax rate	*24%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	20%	21%	21%	20%	18%	22%	22%	23%
Net profit	**2,387**	**2,850**	**3,565**	**3,619**	**3,356**	**3,616**	**4,054**	**4,285**	**11,726**	**10,752**	**9,509**	**8,499**	**7,221**	**12,420**	**15,310**	**18,413**
Minority income	543	631	953	550	548	637	963	556	2,828	2,065	1,501	1,711	1,685	2,676	2,703	2,730
Net profit after min.	**1,844**	**2,219**	**2,612**	**3,069**	**2,807**	**2,979**	**3,091**	**3,729**	**8,898**	**8,687**	**8,009**	**6,789**	**5,536**	**9,744**	**12,607**	**15,683**
EPS (FD)	**2.48**	**2.99**	**3.52**	**4.14**	**3.79**	**4.02**	**4.17**	**5.03**	**11.50**	**11.52**	**10.66**	**9.05**	**7.45**	**13.13**	**17.00**	**21.15**
Margins (%)																
GP margin	19%	22%	24%	23%	22%	23%	23%	23%	23%	21%	18%	19%	17%	22%	23%	23%
OP margin	13%	15%	18%	18%	17%	17%	17%	18%	17%	15%	12%	13%	11%	16%	17%	18%
RP margin	15%	16%	18%	18%	17%	17%	17%	18%	18%	16%	17%	15%	12%	17%	17%	18%
NP margin	11%	12%	14%	14%	13%	13%	14%	14%	14%	13%	13%	12%	10%	13%	13%	14%

Source: Company, BofA Global Research estimates

Exhibit 22: Net debt shows NT$6.6bn as of 2Q26
Powertech – Balance sheet

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets total	**126,980**	**130,960**	**144,094**	**145,378**	**147,687**	**145,281**	**152,058**	**154,305**	**118,587**	**118,969**	**111,155**	**109,191**	**123,163**	**145,378**	**154,305**	**164,060**
Current assets total	**47,281**	**50,534**	**59,165**	**59,939**	**61,058**	**56,488**	**61,629**	**62,269**	**51,959**	**49,777**	**48,194**	**46,986**	**46,365**	**59,939**	**62,269**	**63,886**
Cash & cash equivalent	16,023	17,625	24,886	25,318	26,443	21,527	25,935	25,877	23,175	20,534	21,319	22,271	16,375	25,318	25,877	25,696
A/R	19,457	20,626	21,657	21,873	21,436	21,650	22,733	23,301	17,975	14,347	16,679	15,885	18,537	21,873	23,301	24,468
Inventories	6,857	7,424	7,498	7,573	7,952	8,031	7,630	7,706	6,768	10,753	6,681	5,446	6,566	7,573	7,706	8,118
Others	4,945	4,859	5,124	5,175	5,227	5,279	5,332	5,385	4,041	4,143	3,516	3,384	4,887	5,175	5,385	5,604
Non-current assets total	**79,699**	**80,426**	**84,929**	**85,439**	**86,630**	**88,793**	**90,429**	**92,036**	**66,628**	**69,192**	**62,960**	**62,205**	**76,798**	**85,439**	**92,036**	**100,174**
LT investments	1,265	831	1,246	1,258	1,271	1,284	1,296	1,309	509	447	829	1,199	1,212	1,258	1,309	1,362
Fixed assets	73,313	74,345	72,006	72,386	73,446	75,478	76,980	78,453	63,237	64,818	56,924	56,588	70,412	72,386	78,453	86,040
Others	5,121	5,250	11,678	11,794	11,912	12,031	12,152	12,273	2,883	3,927	5,208	4,417	5,175	11,794	12,273	12,772
Liabilities total	**53,171**	**58,761**	**71,590**	**65,120**	**63,916**	**63,645**	**66,208**	**64,008**	**55,281**	**52,646**	**42,048**	**37,498**	**51,889**	**65,120**	**64,008**	**62,074**
Current liabilities total	**24,511**	**29,895**	**31,908**	**25,667**	**24,998**	**25,249**	**28,321**	**26,617**	**23,319**	**19,615**	**16,508**	**18,356**	**23,776**	**25,667**	**26,617**	**27,602**
ST debts	307	9	210	210	210	210	210	210	199	260	634	1,878	13	210	210	210
A/P	7,034	7,325	8,057	7,948	7,104	7,178	10,071	8,187	6,899	5,594	5,077	5,081	7,717	7,948	8,187	8,433
Others	17,170	22,561	23,641	17,509	17,684	17,861	18,040	18,220	16,221	13,762	10,798	11,397	16,047	17,509	18,220	18,960
Non-current liabilities	**28,660**	**28,866**	**39,682**	**39,453**	**38,918**	**38,396**	**37,887**	**37,391**	**31,962**	**33,031**	**25,540**	**19,142**	**28,113**	**39,453**	**37,391**	**34,471**
LT debts	25,970	26,080	31,296	30,983	30,364	29,756	29,161	28,578	30,013	30,354	23,198	16,887	25,413	30,983	28,578	25,300
Others	2,690	2,786	8,386	8,470	8,554	8,640	8,726	8,813	1,949	2,678	2,342	2,255	2,699	8,470	8,813	9,171
Equity total	**58,366**	**57,128**	**56,925**	**64,523**	**67,879**	**65,584**	**69,638**	**73,923**	**49,507**	**52,289**	**54,870**	**56,762**	**56,291**	**64,523**	**73,923**	**84,948**
Paid in capital	7,591	7,591	7,591	7,591	7,591	7,591	7,591	7,591	7,791	7,591	7,591	7,591	7,591	7,591	7,591	7,591
Capital surplus	462	462	462	462	462	462	462	462	271	150	237	320	462	462	462	462
Retained earnings	51,805	50,608	54,173	57,792	61,148	58,853	62,907	67,192	43,574	45,551	48,242	49,756	49,961	57,792	67,192	78,217
Treasury stocks	-923	-923	-923	-923	-923	-923	-923	-923	-711	-469	-469	-533	-923	-923	-923	-923
Others	-570	-611	-4,379	-400	-400	-400	-400	-400	-1,418	-534	-732	-372	-801	-400	-400	-400
D/E Analysis																
Cash	16,023	17,625	24,886	25,318	26,443	21,527	25,935	25,877	23,175	20,534	21,319	22,271	16,375	25,318	25,877	25,696
Debts total	26,276	26,089	31,506	31,193	30,574	29,966	29,371	28,788	30,212	30,613	23,832	18,765	25,426	31,193	28,788	25,510
Net debts	10,254	8,464	6,620	5,876	4,131	8,440	3,436	2,912	7,037	10,079	2,512	-3,506	9,051	5,876	2,912	-186
Net D/E ratio	14%	12%	9%	7%	5%	10%	4%	3%	11%	15%	4%	-5%	13%	7%	3%	0%
Gross D/E ratio	36%	36%	43%	39%	36%	37%	34%	32%	48%	46%	34%	26%	36%	39%	32%	25%
BVPS	**79**	**77**	**77**	**87**	**92**	**89**	**94**	**100**	**64**	**69**	**73**	**76**	**76**	**87**	**100**	**115**

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 23: 2026-28E capex increase (NT$20-24bn pa) mostly for advanced packaging such as PLP and TSV/HBM; this should be fully covered by operating cash flow
Powertech – Cash flow statement

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
I. Operating CF	**4,102**	**5,972**	**9,756**	**-120**	**5,557**	**419**	**14,819**	**4,842**	**24,649**	**22,923**	**19,682**	**24,082**	**18,509**	**19,710**	**25,637**	**29,284**
Net income	1,844	2,219	2,612	3,069	2,807	2,979	3,091	3,729	8,898	8,687	8,009	6,789	5,536	9,744	12,607	15,683
D&A	3,332	3,361	3,377	3,394	3,411	3,445	3,480	3,515	14,052	14,855	13,884	12,656	12,257	13,464	13,851	14,414
Change in NWC	-829	708	3,766	-6,583	-662	-6,006	8,248	-2,402	611	-4,223	-1,113	2,764	2,011	-2,938	-821	-812
Others	-245	-315	0	0	0	0	0	0	1,087	3,605	-1,098	1,874	-1,295	-560	0	0
II. Investing CF	**-5,453**	**-4,026**	**-4,500**	**-4,308**	**-5,000**	**-6,000**	**-5,500**	**-5,500**	**-14,059**	**-18,927**	**-5,303**	**-9,865**	**-26,023**	**-18,288**	**-22,000**	**-24,000**
Capital expenditures	-6,548	-4,644	-4,500	-4,308	-5,000	-6,000	-5,500	-5,500	-15,275	-18,582	-8,727	-11,379	-25,941	-20,000	-22,000	-24,000
Others	1,094	618	0	0	0	0	0	0	1,216	-346	3,424	1,514	-82	1,712	0	0
III. Financing CF	**226**	**215**	**2,005**	**4,760**	**568**	**665**	**-4,911**	**600**	**-8,716**	**-6,761**	**-13,530**	**-11,351**	**4,197**	**7,207**	**-3,078**	**-5,465**
Change in debts	851	-188	5,417	-313	-620	-607	-595	-583	-1,342	401	-6,782	-5,066	6,660	5,768	-2,405	-3,278
Change in capital stocks	0	0	0	0	0	0	0	0	40	-321	88	83	143	0	0	0
Net share repurchases	0	0	0	0	0	0	0	0	-481	242	0	-65	-390	0	0	0
Dividends	0	0	-3,325	0	0	0	-5,910	0	-3,896	-5,086	-5,231	-5,231	-5,172	-3,325	-5,910	-7,388
Others	-624	403	-88	5,073	1,188	1,273	1,594	1,183	-3,036	-1,996	-1,604	-1,072	2,955	4,764	5,238	5,201
IV. Cash flows (I+II+III)	**-353**	**1,603**	**7,261**	**332**	**1,125**	**-4,916**	**4,408**	**-58**	**1,594**	**-2,241**	**706**	**3,675**	**-4,052**	**8,843**	**559**	**-181**
Cash at beginning	16,375	16,023	17,625	24,886	25,218	26,343	21,427	25,835	21,020	22,614	20,373	21,080	22,238	16,375	25,218	25,777
Cash at end	16,023	17,625	24,886	25,218	26,343	21,427	25,835	25,777	22,614	20,373	21,080	22,238	16,375	25,218	25,777	25,596

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 25: We assume FCF turnaround in 2026 (NT$2.4bn) and more meaningful recovery in 2027/28E (NT$6.5/8.1bn) on the back of steady EBITDA rebound with disciplined capex spend

Powertech Technology – Free cash flow (FCF) analysis

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	21,314	23,116	25,334	26,492	25,989	27,497	29,960	30,239	83,794	83,927	70,441	73,315	74,929	96,256	113,684	131,728
Operating income	2,761	3,531	4,472	4,670	4,332	4,666	5,227	5,523	14,525	12,448	8,154	9,382	8,132	15,433	19,749	24,033
Dep & amortization	3,332	3,361	3,377	3,394	3,411	3,445	3,480	3,515	14,052	14,855	13,884	12,656	12,257	13,464	13,851	14,414
EBITDA	**6,092**	**6,891**	**7,849**	**8,064**	**7,743**	**8,112**	**8,707**	**9,038**	**28,577**	**27,303**	**22,038**	**22,038**	**20,388**	**28,897**	**33,600**	**38,447**
Capex	**6,548**	**4,644**	**4,500**	**4,308**	**5,000**	**6,000**	**5,500**	**5,500**	**15,275**	**18,582**	**8,727**	**11,379**	**25,941**	**20,000**	**22,000**	**24,000**
Increase of NWC	**829**	**-708**	**-3,766**	**6,583**	**662**	**6,006**	**-8,248**	**2,402**	**-611**	**4,223**	**1,113**	**-2,764**	**-2,011**	**2,938**	**821**	**812**
Net working capital (NWC)	7,055	6,347	2,581	9,164	9,826	15,832	7,584	9,986	5,664	32,064	51,120	38,930	30,598	25,147	43,228	47,616
Ex-cash current assets	31,259	32,909	34,279	34,622	34,615	34,961	35,695	36,393	28,784	122,803	116,778	106,028	106,304	133,068	141,663	149,308
Ex-debts current liabilities	24,204	26,561	31,698	25,457	24,788	19,129	28,111	26,407	23,120	90,739	65,657	67,098	75,706	107,921	98,435	101,691
Taxes	770	811	992	1,021	946	1,020	1,143	1,208	2,980	2,888	2,534	2,178	1,572	3,594	4,318	5,500
Free cash flow (FCF)	**-2,054**	**2,143**	**6,124**	**-3,848**	**1,135**	**-4,914**	**10,312**	**-73**	**10,934**	**1,610**	**9,664**	**11,245**	**-5,114**	**2,364**	**6,460**	**8,135**
FCF without NWC changes	-1,225	1,436	2,357	2,735	1,797	1,092	2,064	2,329	10,323	5,833	10,777	8,481	-7,124	5,303	7,281	8,947
US$ equivalent (mn)																
Sales	673	732	792	837	826	877	959	971	3,000	2,826	2,258	2,280	2,413	3,033	3,633	4,248
OP	87	112	140	147	138	149	167	177	520	421	261	292	262	486	631	775
EBITDA	192	218	245	255	246	259	279	290	1,023	920	707	685	656	910	1,074	1,240
Capex	207	147	141	136	159	191	176	177	547	630	281	353	836	630	703	774
Free cash flow (FCF)	**-65**	**68**	**191**	**-122**	**36**	**-157**	**330**	**-2**	**392**	**52**	**305**	**351**	**-170**	**73**	**207**	**262**
FCF without NWC changes	**-39**	**45**	**74**	**86**	**57**	**35**	**66**	**75**	**369**	**193**	**345**	**264**	**-231**	**167**	**233**	**288**

Source: Company, BofA Global Research estimates

Price objective basis & risk

Powertech Technology (PWOGF)
Our PO of NT$500 is derived from 27x P/E based on 2027-28E EPS. This is 10-20% higher than 2024-25 peak levels (low- to mid-20x). Since we expect 50%+ higher EPS in 2026-28E vs 2024-25 on the back of record-high sales/margin, we believe fair multiples should be at least on par with the previous peak level. True, the long-term historical average P/E came in the range of 10-20x, but the memory super-cycle and AI boom should warrant above-trend earnings growth and consequently over 20x fair P/E. Taiwan's OSAT stocks also trade at 20-30x P/E.

Upside risk is mostly related to strong packaging orders from memory chipmakers and even logic chip suppliers.

Downside risk is mostly associated with an unexpected memory industry downturn or AI bubble (e.g., significant packaging order cut).

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Special Disclosures

Information on securities which are listed on the exchanges where ML Securities (Taiwan) Limited is not permitted to trade or solicit trades for clients is for informational purposes only and is not a recommendation or a solicitation to trade such securities. ML Securities (Taiwan) Limited will not execute transactions for nor accept orders from clients to trade such securities. Foreign investment in Taiwan securities is regulated and restricted. Currently, foreign investment in Taiwan securities is permitted by investment through: (1) global depository receipts, (2) convertible bonds, (3) mutual funds issued offshore of Taiwan, and (4) a special foreign institutional investors (FINIs) and foreign individual investors (FIDIs) program supervised by the Taiwan SFB whereunder FINIs/FIDIs may apply for investment ID to invest in Taiwan securities by registration with Taiwan Stock Exchange. FINIs will additionally need consent from the foreign exchange authority, ie, the Central Bank of China. In addition to the limitations above, various industry-specific percentage-based limitations on foreign ownership of Taiwan companies (and in some cases prohibitions) may apply. Investments are subject to exchange rate and currency conversion restrictions and risks. Dividends and interest earned by foreign investors' Taiwan securities/instruments are generally subject to a 20% withholding tax. Ordinary shares are not available to ML private client accounts in the U.S.

This report is distributed in Taiwan by Merrill Lynch Securities (Taiwan) Limited, which is regulated by the Taiwan SFB.

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

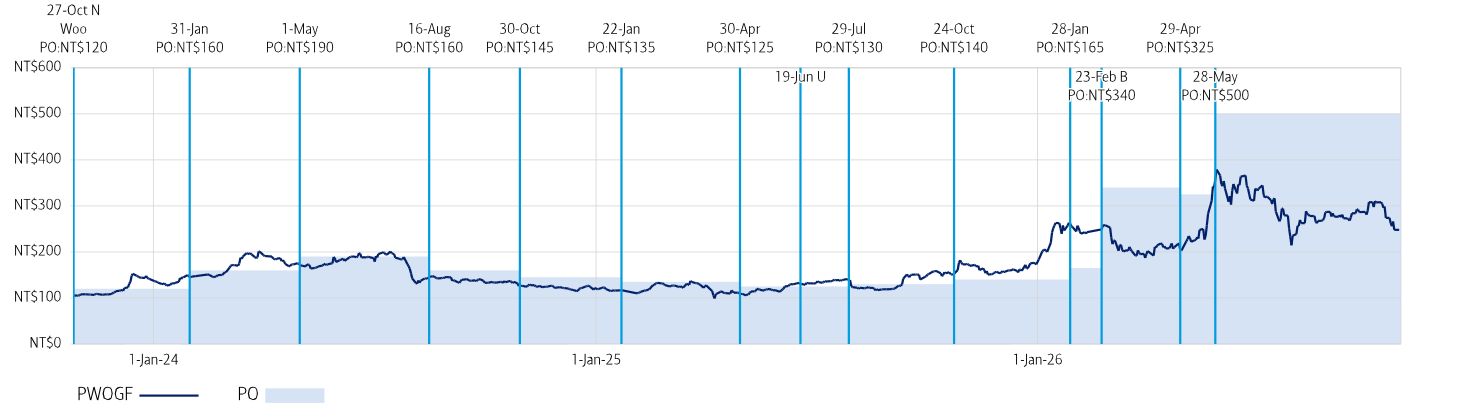
iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

iQprofile℠, *iQmethod℠* are service marks of Bank of America Corporation. *iQdatabase®* is a registered service mark of Bank of America Corporation.

Disclosures

Important Disclosures

Powertech (PWOGF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

Price Charts for the securities referenced in this research report are available on the Price Charts website, or call 1-800-MERRILL to have them mailed.
In the US, retail sales and/or distribution of this report may be made only in states where these securities are exempt from registration or have been qualified for sale: Powertech.
The country in which this issuer is organized has certain laws or regulations that limit or restrict ownership of the issuer's shares by nationals of other countries: Powertech.
BofA Global Research personnel (including the analyst(s) responsible for this report) receive compensation based upon, among other factors, the overall profitability of Bank of America Corporation, including profits derived from investment banking. The analyst(s) responsible for this report may also receive compensation based upon, among other factors, the overall profitability of the Bank's sales and trading businesses relating to the class of securities or financial instruments for which such analyst is responsible.

Other Important Disclosures

From time to time research analysts conduct site visits of covered issuers. BofA Global Research policies prohibit research analysts from accepting payment or reimbursement for travel

expenses from the issuer for such visits.
Prices are indicative and for information purposes only. Except as otherwise stated in the report, for any recommendation in relation to an equity security, the price referenced is the publicly traded price of the security as of close of business on the day prior to the date of the report or, if the report is published during intraday trading, the price referenced is indicative of the traded price as of the date and time of the report and in relation to a debt security (including equity preferred and CDS), prices are indicative as of the date and time of the report and are from various sources including BofA Securities trading desks.
The date and time of completion of the production of any recommendation in this report shall be the date and time of dissemination of this report as recorded in the report timestamp.

Recipients who are not institutional investors or market professionals should seek the advice of their independent financial advisor before considering information in this report in connection with any investment decision, or for a necessary explanation of its contents.
Officers of BofAS or one or more of its affiliates (other than research analysts) may have a financial interest in securities of the issuer(s) or in related investments.
Refer to BofA Global Research policies relating to conflicts of interest.
"BofA Securities" includes BofA Securities, Inc. ("BofAS") and its affiliates. Investors should contact their BofA Securities representative or Merrill Global Wealth Management financial advisor if they have questions concerning this report or concerning the appropriateness of any investment idea described herein for such investor. "BofA Securities" is a global brand for BofA Global Research.
Information relating to Non-US affiliates of BofA Securities and Distribution of Affiliate Research Reports:
BofAS and/or Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S") may in the future distribute, information of the following non-US affiliates in the US (short name: legal name, regulator): Merrill Lynch (South Africa): Merrill Lynch South Africa (Pty) Ltd., regulated by the Financial Sector Conduct Authority; MLI (UK): Merrill Lynch International, regulated by the Financial Conduct Authority (FCA) and the Prudential Regulation Authority (PRA); BofASE (France): BofA Securities Europe SA is authorized by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers (AMF). BofA Securities Europe SA ("BofASE") with registered address at 51, rue La Boétie, 75008 Paris is registered under no 842 602 690 RCS Paris. In accordance with the provisions of French Code Monétaire et Financier (Monetary and Financial Code), BofASE is an établissement de crédit et d'investissement (credit and investment institution) that is authorised and supervised by the European Central Bank and the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and regulated by the ACPR and the Autorité des Marchés Financiers. BofASE's share capital can be found at www.bofaml.com/BofASEdisclaimer; BofA Europe (Milan): Bank of America Europe Designated Activity Company, Milan Branch, regulated by the Bank of Italy, the European Central Bank (ECB) and the Central Bank of Ireland (CBI); BofA Europe (Frankfurt): Bank of America Europe Designated Activity Company, Frankfurt Branch regulated by BaFin, the ECB and the CBI; BofA Europe (Zurich): Bank of America Europe Designated Activity Company, Zurich Branch, regulated by the Swiss Financial Market Supervisory Authority FINMA, the ECB and CBI; BofA Europe (Madrid): Bank of America Europe Designated Activity Company, Sucursal en España, regulated by the Bank of Spain, the ECB and the CBI; Merrill Lynch (Australia): Merrill Lynch Equities (Australia) Limited, regulated by the Australian Securities and Investments Commission; Merrill Lynch (Hong Kong): Merrill Lynch (Asia Pacific) Limited, regulated by the Hong Kong Securities and Futures Commission (HKSFC); Merrill Lynch (Singapore): Merrill Lynch (Singapore) Pte Ltd, regulated by the Monetary Authority of Singapore (MAS); Merrill Lynch (Canada): Merrill Lynch Canada Inc, regulated by the Canadian Investment Regulatory Organization; Merrill Lynch (Mexico): Merrill Lynch Mexico, SA de CV, Casa de Bolsa, regulated by the Comisión Nacional Bancaria y de Valores; BofAS Japan: BofA Securities Japan Co., Ltd., regulated by the Financial Services Agency; Merrill Lynch (Seoul): Merrill Lynch International, LLC Seoul Branch, regulated by the Financial Supervisory Service; Merrill Lynch (Taiwan): Merrill Lynch Securities (Taiwan) Ltd., regulated by the Securities and Futures Bureau; BofAS India: BofA Securities India Limited, regulated by the Securities and Exchange Board of India (SEBI); Merrill Lynch (Israel): Merrill Lynch Israel Limited, regulated by Israel Securities Authority; Merrill Lynch (DIFC): Merrill Lynch International (DIFC Branch), regulated by the Dubai Financial Services Authority (DFSA); Merrill Lynch (Brazil): Merrill Lynch S.A. Corretora de Títulos e Valores Mobiliários, regulated by Comissão de Valores Mobiliários; Merrill Lynch KSA Company: Merrill Lynch Kingdom of Saudi Arabia Company, regulated by the Capital Market Authority.
This information: has been approved for publication and is distributed in the United Kingdom (UK) to professional clients and eligible counterparties (as each is defined in the rules of the FCA and the PRA) by MLI (UK), which is authorized by the PRA and regulated by the FCA and the PRA - details about the extent of our regulation by the FCA and PRA are available from us on request; has been approved for publication and is distributed in the European Economic Area (EEA) by BofASE (France), which is authorized by the ACPR and regulated by the ACPR and the AMF; has been considered and distributed in Japan by BofAS Japan, a registered securities dealer under the Financial Instruments and Exchange Act in Japan, or its permitted affiliates; is issued and distributed in Hong Kong by Merrill Lynch (Hong Kong) which is regulated by HKSFC; is issued and distributed in Taiwan by Merrill Lynch (Taiwan); is issued and distributed in India by BofAS India; and is issued and distributed in Singapore to institutional investors and/or accredited investors (each as defined under the Financial Advisers Regulations) by Merrill Lynch (Singapore) (Company Registration No 198602883D). Merrill Lynch (Singapore) is regulated by MAS. Merrill Lynch Equities (Australia) Limited (ABN 65 006 276 795), AFS License 235132 (MLEA) distributes this information in Australia only to 'Wholesale' clients as defined by s.761G of the Corporations Act 2001. With the exception of Bank of America N.A., Australia Branch, neither MLEA nor any of its affiliates involved in preparing this information is an Authorised Deposit-Taking Institution under the Banking Act 1959 nor regulated by the Australian Prudential Regulation Authority. No approval is required for publication or distribution of this information in Brazil and its local distribution is by Merrill Lynch (Brazil) in accordance with applicable regulations. Merrill Lynch (DIFC) is authorized and regulated by the DFSA. Information prepared and issued by Merrill Lynch (DIFC) is done so in accordance with the requirements of the DFSA conduct of business rules. BofA Europe (Frankfurt) distributes this information in Germany and is regulated by BaFin, the ECB and the CBI. BofA Securities entities, including BofA Europe and BofASE (France), may outsource/delegate the marketing and/or provision of certain research services or aspects of research services to other branches or members of the BofA Securities group. You may be contacted by a different BofA Securities entity acting for and on behalf of your service provider where permitted by applicable law. This does not change your service provider. Please refer to the Electronic Communications Disclaimers for further information.
This information has been prepared and issued by BofAS and/or one or more of its non-US affiliates. The author(s) of this information may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so. BofAS and/or MLPF&S is the distributor of this information in the US and accepts full responsibility for information distributed to BofAS and/or MLPF&S clients in the US by its non-US affiliates. Any US person receiving this information and wishing to effect any transaction in any security discussed herein should do so through BofAS and/or MLPF&S and not such foreign affiliates. Hong Kong recipients of this information should contact Merrill Lynch (Asia Pacific) Limited in respect of any matters relating to dealing in securities or provision of specific advice on securities or any other matters arising from, or in connection with, this information. Singapore recipients of this information should contact Merrill Lynch (Singapore) Pte Ltd in respect of any matters arising from, or in connection with, this information. For clients that are not accredited investors, expert investors or institutional investors Merrill Lynch (Singapore) Pte Ltd accepts full responsibility for the contents of this information distributed to such clients in Singapore.
General Investment Related Disclosures:
Taiwan Readers: Neither the information nor any opinion expressed herein constitutes an offer or a solicitation of an offer to transact in any securities or other financial instrument. No part of this report may be used or reproduced or quoted in any manner whatsoever in Taiwan by the press or any other person without the express written consent of BofA Securities.
This document provides general information only, and has been prepared for, and is intended for general distribution to, BofA Securities clients. Neither the information nor any opinion expressed constitutes an offer or an invitation to make an offer, to buy or sell any securities or other financial instrument or any derivative related to such securities or instruments (e.g., options, futures, warrants, and contracts for differences). This document is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of, and is not directed to, any specific person(s). This document and its content do not constitute, and should not be considered to constitute, investment advice for purposes of ERISA, the US tax code, the Investment Advisers Act or otherwise. Investors should seek financial advice regarding the appropriateness of investing in financial instruments and implementing investment strategies discussed or recommended in this document and should understand that statements regarding future prospects may not be realized. Any decision to purchase or subscribe for securities in any offering must be based solely on existing public information on such security or the information in the prospectus or other offering document issued in connection with such offering, and not on this document.
Securities and other financial instruments referred to herein, or recommended, offered or sold by BofA Securities, are not insured by the Federal Deposit Insurance Corporation and are not deposits or other obligations of any insured depository institution (including, Bank of America, N.A.). Investments in general and, derivatives, in particular, involve numerous risks, including, among others, market risk, counterparty default risk and liquidity risk. No security, financial instrument or derivative is suitable for all investors. Digital assets are extremely speculative, volatile and are not regulated in a manner similar to U.S. securities markets. In some cases, securities and other financial instruments may be difficult to value or sell and reliable information about the value or risks related to the security or financial instrument may be difficult to obtain. Investors should note that income from such securities and other financial instruments, if any, may fluctuate and that price or value of such securities and instruments may rise or fall and, in some cases, investors may lose their entire principal investment. Past performance is not necessarily a guide to future performance. Levels and basis for taxation may change.
This report may contain a short-term trading idea or recommendation, which highlights a specific near-term catalyst or event impacting the issuer or the market that is anticipated to have a short-term price impact on the equity securities of the issuer. Short-term trading ideas and recommendations are different from and do not affect a stock's fundamental equity rating, which reflects both a longer term total return expectation and attractiveness for investment relative to other stocks within its Coverage Cluster. Short-term trading ideas and recommendations may

be more or less positive than a stock's fundamental equity rating.
BofA Securities is aware that the implementation of the ideas expressed in this report may depend upon an investor's ability to "short" securities or other financial instruments and that such action may be limited by regulations prohibiting or restricting "shortselling" in many jurisdictions. Investors are urged to seek advice regarding the applicability of such regulations prior to executing any short idea contained in this report.
Foreign currency rates of exchange may adversely affect the value, price or income of any security or financial instrument mentioned herein. Investors in such securities and instruments, including ADRs, effectively assume currency risk.
BofAS or one of its affiliates is a regular issuer of traded financial instruments linked to securities or digital assets that may have been recommended or discussed in this report. BofAS or one of its affiliates may, at any time, hold a trading position (long or short) in the securities and financial instruments recommended or discussed in this report.
BofA Securities, through business units other than BofA Global Research, may have issued and may in the future issue trading ideas or recommendations that are inconsistent with, and reach different conclusions from, the information presented herein. Such ideas or recommendations may reflect different time frames, assumptions, views and analytical methods of the persons who prepared them, and BofA Securities is under no obligation to ensure that such other trading ideas or recommendations are brought to the attention of any recipient of this information.
In the event that the recipient received this information pursuant to a contract between the recipient and BofAS for the provision of research services for a separate fee, and in connection therewith BofAS may be deemed to be acting as an investment adviser, such status relates, if at all, solely to the person with whom BofAS has contracted directly and does not extend beyond the delivery of this report (unless otherwise agreed specifically in writing by BofAS). If such recipient uses the services of BofAS in connection with the sale or purchase of a security referred to herein, BofAS may act as principal for its own account or as agent for another person. BofAS is and continues to act solely as a broker-dealer in connection with the execution of any transactions, including transactions in any securities referred to herein.

Copyright and General Information:
Copyright 2026 Bank of America Corporation. All rights reserved. iQdatabase® is a registered service mark of Bank of America Corporation. This information is prepared for the use of BofA Securities clients and may not be redistributed, retransmitted or disclosed, in whole or in part, or in any form or manner, without the express written consent of BofA Securities. This document and its content is provided solely for informational purposes and cannot be used for training or developing artificial intelligence (AI) models or as an input in any AI application (collectively, an AI tool). Any attempt to utilize this document or any of its content in connection with an AI tool without explicit written permission from BofA Global Research is strictly prohibited. BofA Global Research utilizes AI, including machine learning and other technologies, to enhance the services we provide to our clients. These technologies assist our analysts in various aspects of their work, including but not limited to data analysis, content extraction, content creation, data aggregation and summarization and identifying relevant information from diverse sources. All AI-driven processes are subject to review by BofA Global Research employees. BofA Global Research information is distributed simultaneously to internal and client websites and other portals by BofA Securities and is not publicly-available material. Any unauthorized use or disclosure is prohibited. Receipt and review of this information constitutes your agreement not to redistribute, retransmit, or disclose to others the contents, opinions, conclusion, or information contained herein (including any investment recommendations, estimates or price targets) without first obtaining express permission from an authorized officer of BofA Securities.
Materials prepared by BofA Global Research personnel are based on public information. Facts and views presented in this material have not been reviewed by, and may not reflect information known to, professionals in other business areas of BofA Securities, including investment banking personnel. BofA Securities has established information barriers between BofA Global Research and certain business groups. As a result, BofA Securities does not disclose certain client relationships with, or compensation received from, such issuers. To the extent this material discusses any legal proceeding or issues, it has not been prepared as nor is it intended to express any legal conclusion, opinion or advice. Investors should consult their own legal advisers as to issues of law relating to the subject matter of this material. BofA Global Research personnel's knowledge of legal proceedings in which any BofA Securities entity and/or its directors, officers and employees may be plaintiffs, defendants, co-defendants or co-plaintiffs with or involving issuers mentioned in this material is based on public information. Facts and views presented in this material that relate to any such proceedings have not been reviewed by, discussed with, and may not reflect information known to, professionals in other business areas of BofA Securities in connection with the legal proceedings or matters relevant to such proceedings.
This information has been prepared independently of any issuer of securities mentioned herein and not in connection with any proposed offering of securities or as agent of any issuer of any securities. None of BofAS any of its affiliates or their research analysts has any authority whatsoever to make any representation or warranty on behalf of the issuer(s). BofA Global Research policy prohibits research personnel from disclosing a recommendation, investment rating, or investment thesis for review by an issuer prior to the publication of a research report containing such rating, recommendation or investment thesis.
Any information relating to sustainability in this material is limited as discussed herein and is not intended to provide a comprehensive view on any sustainability claim with respect to any issuer or security.
Any information relating to the tax status of financial instruments discussed herein is not intended to provide tax advice or to be used by anyone to provide tax advice. Investors are urged to seek tax advice based on their particular circumstances from an independent tax professional.
The information herein (other than disclosure information relating to BofA Securities and its affiliates) was obtained from various sources and we do not guarantee its accuracy. This information may contain links to third-party websites. BofA Securities is not responsible for the content of any third-party website or any linked content contained in a third-party website. Content contained on such third-party websites is not part of this information and is not incorporated by reference. The inclusion of a link does not imply any endorsement by or any affiliation with BofA Securities. Access to any third-party website is at your own risk, and you should always review the terms and privacy policies at third-party websites before submitting any personal information to them. BofA Securities is not responsible for such terms and privacy policies and expressly disclaims any liability for them.
All opinions, projections and estimates constitute the judgment of the author as of the date of publication and are subject to change without notice. Prices also are subject to change without notice. BofA Securities is under no obligation to update this information and BofA Securities ability to publish information on the subject issuer(s) in the future is subject to applicable quiet periods. You should therefore assume that BofA Securities will not update any fact, circumstance or opinion contained herein.
Subject to the quiet period applicable under laws of the various jurisdictions in which we distribute research reports and other legal and BofA Securities policy-related restrictions on the publication of research reports, fundamental equity reports are produced on a regular basis as necessary to keep the investment recommendation current.
Certain outstanding reports or investment opinions relating to securities, financial instruments and/or issuers may no longer be current. Always refer to the most recent research report relating to an issuer prior to making an investment decision.
In some cases, an issuer may be classified as Restricted or may be Under Review or Extended Review. In each case, investors should consider any investment opinion relating to such issuer (or its security and/or financial instruments) to be suspended or withdrawn and should not rely on the analyses and investment opinion(s) pertaining to such issuer (or its securities and/or financial instruments) nor should the analyses or opinion(s) be considered a solicitation of any kind. Sales persons and financial advisors affiliated with BofAS or any of its affiliates may not solicit purchases of securities or financial instruments that are Restricted or Under Review and may only solicit securities under Extended Review in accordance with firm policies.
Neither BofA Securities nor any officer or employee of BofA Securities accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this information.

October 27, 2026 12:56 AM GMT

Lotes Co. Ltd. | Asia Pacific

Margins to trough in 3Q; Upgrade to OW

WHAT'S CHANGED

Lotes Co. Ltd. (3533.TW)	From	To
Rating	Equal-weight	**Overweight**
Price Target	NT$2,045.00	**NT$2,350.00**

We look beyond near-term cost pressures to margin recovery from 4Q as new CPU platforms enable better cost pass-through. AI products such as QD, SOCAMM and NPO should lift the AI revenue mix to >20% by 2028, supporting earnings growth and re-rating.

3Q GM likely to decline on higher costs and slower new product adoption… Lotes reported unaudited 3Q26 revenue of NT$9,924M (+4% q/q, +18% y/y). Higher copper, gold and plastics costs for legacy products, coupled with slower new product adoption, should continue to pressure GM. We forecast 3Q GM of 44.6% (-90bps q/q), below consensus of 45.8% (+30bps q/q). However, a decline in opex to NT$2.0B, consistent with management commentary, should support operating profit growth of 17% q/q to NT$2,452M, albeit still 6% below consensus. We forecast NP of NT$2,174M (+10% q/q) and EPS of NT$19.36, 4% below the Street.

…but we see 3Q as the GM trough, with recovery beginning in 4Q: Following slower server platform transitions, we expect adoption to accelerate from 4Q26. Socket production for AMD's Venice CPU will ramp from 4Q26 and socket production for Intel's Oak Stream CPU will ramp in 1Q27. These transitions should enable Lotes to reprice products and pass through higher input costs, supporting margin recovery. Our industry checks also point to a rebound in ODM server board production in 4Q, following a modest 3Q decline. We forecast 4Q revenue of ~NT $10.5B (+5% q/q), GM of 45.9% (+130bps q/q) and EPS of NT$21.11 (+9% q/q).

2027 - margin recovery and new AI product ramps should drive earnings growth: Rising adoption of new CPU platforms should support socket margin recovery, alongside growing contributions from QD, SOCAMM and NPO. QD reached 2–3% of revenue in September, with further growth expected in 4Q26 and 2027, and we forecast SOCAMM will reach ~7% of revenue in CY27. Lotes has two NPO opportunities, one through LINTES and another directly, with the direct program expected to ramp in 2H27. Although initial contributions should remain modest, we see NPO as a longer-term AI data center growth opportunity and a potential re-rating catalyst. Overall, we see the AI revenue mix, including QD, SOCAMM and NPO, rising from ~5% in CY25 to slightly above 20% by CY28.

Upgrade to OW and raise PT by 15% to NT$2,350, driven by our estimate increases for CY27-28. Our new PT implies 22x 2027e P/E and 16.5x 2028e P/E, above the past 3-year average of 17.4x, which we view as reasonable amid a rising AI revenue mix.

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao
Equity Analyst
Howard.Kao@morganstanley.com +886 2 2730-2989

Irene Yen
Equity Analyst
Irene.Yen@morganstanley.com +886 2 2730-2869

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

Lotes Co. Ltd. (3533.TW, 3533 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$2,350.00
Up/downside to price target (%)	31
Shr price, close (Oct 22, 2026)	NT$1,795.00
52-Week Range	NT$2,955.00-1,140.00
Sh out, dil, curr (mn)	105
Mkt cap, curr (mn)	NT$188,088
EV, curr (mn)	NT$174,852
Avg daily trading value (mn)	NT$2,639

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	70.18	79.63	106.88	142.26
Prior EPS (NT$)**	-	82.77	102.51	125.94
EPS (NT$)§	68.94	81.15	114.13	142.08
Revenue, net (NT$ mn)	33,783	39,271	47,293	57,352
EBITDA (NT$ mn)	12,955	12,683	16,879	21,749
ModelWare net inc (NT $ mn)	7,866	8,925	11,979	15,945
P/E	18.5	22.5	16.8	12.6
P/BV	3.6	4.4	3.8	3.2
RNOA (%)	37.7	29.7	42.8	54.6
ROE (%)	20.7	22.1	26.3	30.0
EV/EBITDA	10.2	13.4	9.7	7.2
Div yld (%)	3.3	1.9	2.2	3.0
FCF yld ratio (%)**	2.1	4.5	5.2	6.8
Leverage (EOP) (%)	(32.8)	(40.6)	(46.1)	(51.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+= Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Lotes Co. Ltd. 3533.TW		
3Q GM	↓ Likely downside surprise	↓ Modest revision lower

• We think rising costs and slower new product adoption rate will continue to weigh on GM

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

3Q26 Results Preview

3Q26 preview: We forecast revenue of NT$9.92B (+4% q/q, +18% y/y), broadly in line with the Street. Although gross margin should decline 80bps q/q to 44.6%, a 12% sequential reduction in operating expenses should lift operating margin 270bps q/q to 24.7%. Nevertheless, this remains 130bps below consensus, implying operating profit of NT$2.45bn, 6% below the Street. We therefore see potential for an earnings miss, as we estimate net profit of ~NT$2,174M (+10% q/q, -6% y/y), for EPS of NT$19.36, 4% below the Street.

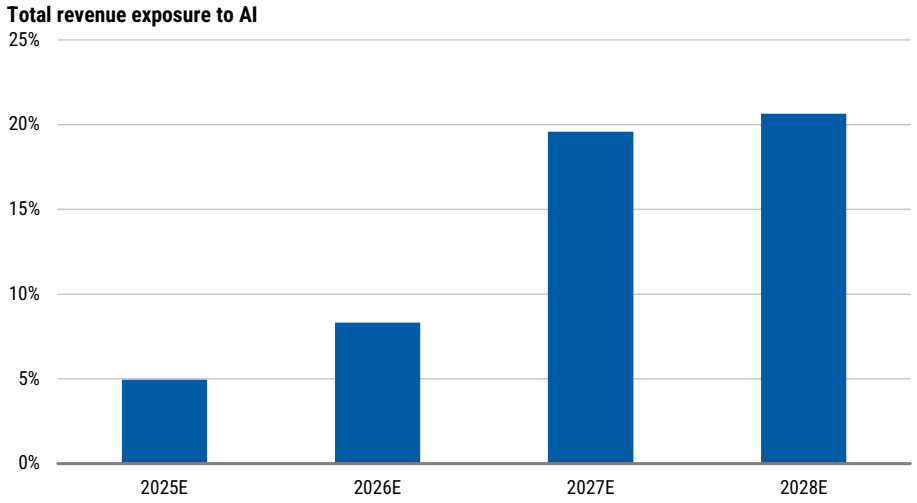
Exhibit 1: 3Q26 Results Preview

	3Q26E Results				
NT$mn	**MS Est.**	**QoQ**	**YoY**	**Cons**	**Var.**
Net sales	**9,924**	**4%**	**18%**	**9,978**	**-1%**
COGS	-5,493	5%	34%	-5,411	2%
Gross profit	**4,431**	**2%**	**3%**	**4,567**	**-3%**
Operating expenses	-1,979	-12%	11%	-1,969	0%
Operating income	**2,452**	**17%**	**-3%**	**2,598**	**-6%**
Non-operating income	245	-50%	-31%	263	-7%
Pre-tax income	**2,697**	**4%**	**-6%**	**2,861**	**-6%**
Income tax	-506	-19%	-10%	-605	-16%
Net income	**2,174**	**10%**	**-6%**	**2,257**	**-4%**
EPS (NT$)	**19.36**	**10%**	**-7%**	**20.12**	**-4%**
Margins (%)		***ppt***	***ppt***		***ppt***
Gross margin	44.6%	-0.8	-6.6	45.8%	-1.1
Operating margin	24.7%	2.7	-5.3	26.0%	-1.3
Pre-tax margin	27.2%	0.0	-7.0	28.7%	-1.5
Net margin	21.9%	1.2	-5.6	22.6%	-0.7

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

AI revenue mix - a sharp step-up in 2027 should strengthen the structural growth story: We forecast AI revenue contribution will rise from ~5% in CY25 to slightly above 20% by CY28, with the largest increase occurring in 2027. Rising adoption of QD and SOCAMM connectors should drive the initial acceleration, while NPO sockets provide an additional growth opportunity, with small-volume contributions expected in 2027 and larger volumes in 2028. We believe this expanding AI exposure, alongside expected margin recovery in CPU sockets, should strengthen Lotes' earnings growth profile and support a potential valuation re-rating as investors look beyond near-term cost pressures.

Exhibit 2: We forecast AI revenue mix will rise from ~5% in CY25 to ~20% by CY28



Source: Morgan Stanley Research (E) estimates.

Estimate Changes

We adjust our model to reflect unaudited 3Q26 revenue and our latest supply chain checks. This leads us to lower our CY26 EPS estimate by 4% but raise CY27 by 4% and CY28 by 13%.

Exhibit 3: Lotes: 2026-28 estimate changes

	2026e			2027e			2028e		
NT$ mn	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	**39,271**	**38,305**	**3%**	**47,293**	**43,197**	**9%**	**57,352**	**50,829**	**13%**
COGS	-21,075	-20,329	4%	-24,408	-22,232	10%	-28,973	-25,913	12%
Gross profit	**18,197**	**17,976**	**1%**	**22,885**	**20,965**	**9%**	**28,379**	**24,916**	**14%**
Operating expenses	-8,123	-8,017	1%	-8,388	-8,200	2%	-8,825	-8,811	0%
Operating income	10,073	9,960	1%	14,497	12,766	14%	19,554	16,105	21%
Non-operating income	1,282	1,778	-28%	986	1,979	-50%	986	1,979	-50%
Pre-tax income	11,355	11,738	-3%	15,483	14,745	5%	20,540	18,084	14%
Income tax	-2,371	-2,576	-8%	-3,434	-3,272	5%	-4,525	-3,985	14%
Net income	**8,925**	**9,277**	**-4%**	**11,979**	**11,490**	**4%**	**15,945**	**14,116**	**13%**
EPS (NT$)	**79.63**	**82.77**	**-4%**	**106.88**	**102.51**	**4%**	**142.26**	**125.94**	**13%**
Margins (%)			***ppt***			***ppt***			***ppt***
Gross margin	46.3%	46.9%	-0.6	48.4%	48.5%	-0.1	49.5%	49.0%	0.5
Operating margin	25.7%	26.0%	-0.4	30.7%	29.6%	1.1	34.1%	31.7%	2.4
Pre-tax margin	28.9%	30.6%	-1.7	32.7%	34.1%	-1.4	35.8%	35.6%	0.2
Net margin	22.7%	24.2%	-1.5	25.3%	26.6%	-1.3	27.8%	27.8%	0.0

Source: Morgan Stanley Research (e) estimates.

Where are we vs. consensus?

Exhibit 4: MSe vs. consensus

Lotes	MSe			Consensus			Variance		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	39,271	47,293	57,352	39,461	48,933	58,050	0%	-3%	-1%
GM	46.3%	48.4%	49.5%	47.0%	49.9%	51.1%	-0.6%	-1.5%	-1.6%
OpM	25.7%	30.7%	34.1%	26.3%	31.8%	33.7%	-0.6%	-1.2%	0.4%
Net income	8,925	11,979	15,945	9,073	12,680	15,667	-2%	-6%	2%
EPS	79.63	106.88	142.26	80.95	113.13	139.78	-2%	-6%	2%

Source: Visible Alpha, Morgan Stanley Research estimates.

Price Target Discussion and Valuation Methodology

Our price target increases ~15%, to NT$2,350 from NT$2,045, driven mainly by our higher earnings estimates for 2027-28.

Our new PT implies ~22x 2027e P/E, slightly above its three-year average forward P/E of 17.4x, but still below that of peer Amphenol (25-35x 2027e P/E, based on Visible Alpha consensus). We think Lotes stock could re-rate to a higher valuation multiple if margins hold up well and Lotes' exposure to AI PCs and AI servers grows in the coming years.

We continue to derive our PT, which is our base case scenario value, from a residual income model (RIM), consistent with the methodology we apply to the rest of our tech hardware coverage universe. To calculate the intrinsic value of the stock, we use the company's beginning equity plus the present value of all expected residual income of earnings in excess of the cost of capital. The RI is positive when ROAE is above the cost of capital and negative when it is below the cost of capital.

Our key RIM assumptions (all unchanged) include a cost of equity of 9.2% (beta of ~1.0, equity risk premium of ~8.7% and risk-free rate of ~1.0%), a medium-term growth rate of 12.5% and a terminal growth rate of 3%.

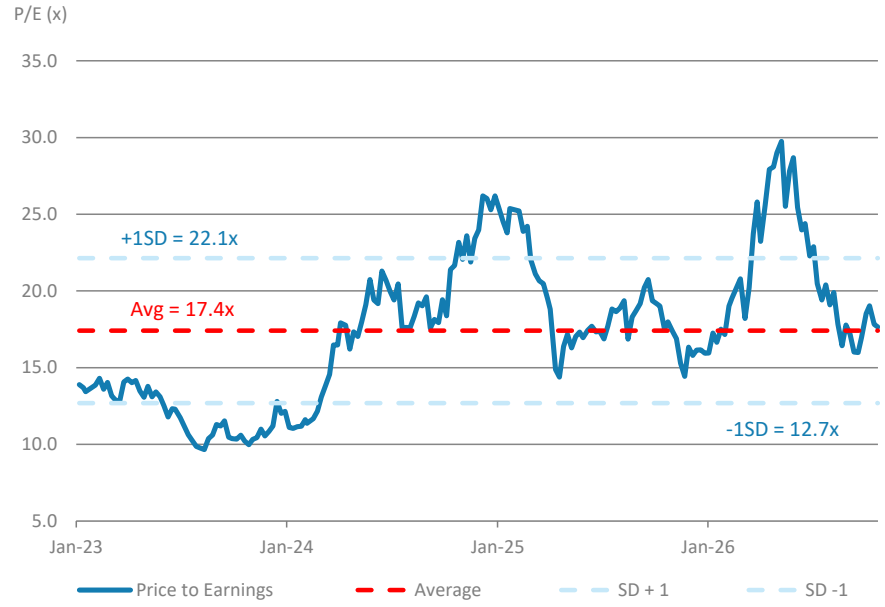
Our bull and bear case values rise to NT$3,400 and NT1,285, respectively, in line with the increase in magnitude of our base case scenario.

Exhibit 5: Lotes: Residual income model

		2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity		**45,603**	**53,171**	**63,183**	**73,889**	**85,933**	**99,483**	**114,726**	**131,875**	**151,168**	**172,872**	**193,835**
Net Profit		**8,925**	**11,979**	**15,945**	**17,938**	**20,180**	**22,702**	**25,540**	**28,733**	**32,324**	**36,365**	**37,456**
Return on Equity		**20.8%**	**24.3%**	**27.4%**	**26.2%**	**25.3%**	**24.5%**	**23.8%**	**23.3%**	**22.8%**	**22.4%**	**20.4%**
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%	8.7%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%	9.2%
Residual Income		**4,678**	**6,876**	**9,693**	**10,738**	**11,878**	**13,157**	**14,593**	**16,206**	**18,018**	**20,056**	**19,449**
Spread		**11.6%**	**15.1%**	**18.2%**	**17.0%**	**16.1%**	**15.3%**	**14.7%**	**14.1%**	**13.7%**	**13.3%**	**11.3%**
Beginning Equity Capital		45,603										
PV of Forecast Period		83,013										
PV of Continuing Value		134,772										
Equity Value		**263,387**										
No. of Shares		112										
Projected Price		**2,350.0**										
Implied 2027 P/E		22.0x										
Implied 2028 P/E		16.5x										

Source: Morgan Stanley Research (E) estimates.

Exhibit 6: Lotes' past 3-year forward P/E band



Source: TEJ, Morgan Stanley Research.

Financials

Exhibit 7: Quarterly and Annual Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	**7,765**	**8,336**	**8,422**	**9,260**	**9,328**	**9,569**	**9,924**	**10,451**	**33,783**	**39,271**	**47,293**	**57,352**
COGS	(3,769)	(4,085)	(4,109)	(4,487)	(4,706)	(5,218)	(5,493)	(5,658)	(16,450)	(21,075)	(24,408)	(28,973)
Gross profit	**3,997**	**4,251**	**4,313**	**4,773**	**4,622**	**4,351**	**4,431**	**4,793**	**17,334**	**18,197**	**22,885**	**28,379**
Operating expenses	(1,546)	(1,653)	(1,788)	(2,002)	(1,913)	(2,248)	(1,979)	(1,984)	(6,989)	(8,123)	(8,388)	(8,825)
SG&A	(762)	(810)	(899)	(1,015)	(938)	(1,101)	(1,096)	(1,092)	(3,486)	(4,227)	(4,708)	(5,066)
R&D	(784)	(843)	(889)	(987)	(975)	(1,147)	(883)	(892)	(3,503)	(3,897)	(3,680)	(3,758)
Operating income	**2,451**	**2,599**	**2,525**	**2,771**	**2,708**	**2,103**	**2,452**	**2,810**	**10,344**	**10,073**	**14,497**	**19,554**
Non-operating income	**420**	**(1,378)**	**357**	**447**	**295**	**495**	**245**	**247**	**(154)**	**1,282**	**986**	**986**
Interest income	110	93	54	48	48	57	57	57	305	217	226	226
Investment income	(12)	(10)	(11)	(9)	(9)	(10)	(11)	(10)	(42)	(41)	(41)	(41)
Disposal of investment	(0)	0	0	2	5	5	0	0	2	10	0	0
Exchange gain	234	(1,505)	215	110	7	(167)	0	0	(946)	(160)	0	0
Other	89	43	99	296	245	610	200	200	528	1,254	800	800
Pre-tax income	**2,871**	**1,220**	**2,882**	**3,218**	**3,003**	**2,598**	**2,697**	**3,056**	**10,191**	**11,355**	**15,483**	**20,540**
Income tax	(573)	(457)	(565)	(649)	(572)	(624)	(506)	(669)	(2,244)	(2,371)	(3,434)	(4,525)
Minority interest	23	14	(2)	46	35	(11)	17	17	81	59	70	70
Net income	**2,276**	**749**	**2,318**	**2,523**	**2,397**	**1,984**	**2,174**	**2,370**	**7,866**	**8,925**	**11,979**	**15,945**
Adj.wtd.avg.shrs (mn)	113	112	112	112	112	112	112	112	112	112	112	112
EPS	**20.22**	**6.69**	**20.71**	**22.51**	**21.37**	**17.68**	**19.36**	**21.11**	**70.18**	**79.63**	**106.88**	**142.26**
Fully Diluted shares (mn)	113	112	112	112	112	112	112	112	112	112	112	112
Diluted EPS (NT$)	**20.22**	**6.69**	**20.71**	**22.51**	**21.37**	**17.68**	**19.36**	**21.11**	**70.18**	**79.63**	**106.88**	**142.26**
Margins (%)												
Gross Margin	51.5	51.0	51.2	51.5	49.5	45.5	44.6	45.9	51.3	46.3	48.4	49.5
Operating Margin	31.6	31.2	30.0	29.9	29.0	22.0	24.7	26.9	30.6	25.7	30.7	34.1
Pretax Margin	37.0	14.6	34.2	34.8	32.2	27.1	27.2	29.2	30.2	28.9	32.7	35.8
Net Margin	29.3	9.0	27.5	27.2	25.7	20.7	21.9	22.7	23.3	22.7	25.3	27.8
QoQ Growth (%)												
Sales	-6	7	1	10	1	3	4	5				
Gross Profit	-9	6	1	11	-3	-6	2	8				
Operating Profit	-14	6	-3	10	-2	-22	17	15				
Pretax Profit	-20	-58	136	12	-7	-13	4	13				
Net Profit	-22	-67	209	9	-5	-17	10	9				
YoY Growth (%)												
Sales	22	13	4	12	20	15	18	13	12	16	20	21
Gross Profit	23	10	2	8	16	2	3	0	10	5	26	24
Operating Profit	21	1	-10	-3	11	-19	-3	1	1	(3)	44	35
Pretax Profit	7	-59	10	-11	5	113	-6	-5	(14)	11	36	33
Net Profit	10	-67	12	-13	5	165	-6	-6	(15)	13	34	33

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 8: Consolidated Financial Summary

Consolidated Income Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	**33,783**	**39,271**	**47,293**	**57,352**
COGS	(16,450)	(21,075)	(24,408)	(28,973)
Gross profit	**17,334**	**18,197**	**22,885**	**28,379**
Operating expenses	(6,989)	(8,123)	(8,388)	(8,825)
Operating income	**10,344**	**10,073**	**14,497**	**19,554**
Non-operating income	**(154)**	**1,282**	**986**	**986**
Interest income	305	217	226	226
Investment income	(42)	(41)	(41)	(41)
Disposal of investment	2	10	-	-
Exchange gain	(946)	(160)	-	-
Other	528	1,254	800	800
Pre-tax income	**10,191**	**11,355**	**15,483**	**20,540**
Income tax	(2,244)	(2,371)	(3,434)	(4,525)
Minority interests	81	59	70	70
Net income	**7,866**	**8,925**	**11,979**	**15,945**
Adj. wtd. Avg. shrs (m)	112	112	112	112
Reported EPS (NT$)	**70.18**	**79.63**	**106.88**	**142.26**
Diluted shrs (m)	112	112	112	112
Diluted EPS (NT$)	**70.18**	**79.63**	**106.88**	**142.26**

Consolidated Cash Flow Statement

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	**8,528**	**10,314**	**11,654**	**14,838**
Net Profits	7,866	8,925	11,979	15,945
Depreciation & Amort.	2,610	2,610	2,382	2,195
Investment losses/(income)	(2)	41	41	41
Working capital change	18,898	(1,065)	(2,475)	(3,000)
Other adjustments	(20,658)	(187)	(273)	(342)
Investing Cashflow	**(5,857)**	**(1,435)**	**(1,421)**	**(1,405)**
Capex	(4,976)	(1,500)	(1,500)	(1,500)
Change of L/T investment	(62)	0	0	0
Change of S/T investment	(746)	0	0	0
Other adjustments	(129)	0	0	0
Financing Cashflow	**(8,844)**	**(3,763)**	**(4,210)**	**(5,672)**
Increase in L/T debt	0	0	0	0
Increase in S/T debt	(3,551)	0	0	0
Issuance of stock	0	(5)	0	0
Cash dividends	(4,803)	(3,923)	(4,451)	(5,974)
Other adjustments	(490)	165	241	302
FX adjustment	15	160	0	0
Net change in cash	**(6,159)**	**5,276**	**6,022**	**7,761**

Consolidated Balance Sheet

NT$mn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	**12,500**	**17,776**	**23,798**	**31,559**
Mkt securities	1,029	1,029	1,029	1,029
AR/NR	14,182	16,486	19,853	24,076
Inventory	4,375	5,605	6,492	7,706
Others	1,148	1,335	1,608	1,949
Current Assets	**33,234**	**42,230**	**52,779**	**66,319**
Long-term investments	962	962	962	962
Fixed assets	13,429	12,254	11,294	10,503
Other assets	2,808	2,808	2,808	2,808
Total Assets	**50,433**	**58,254**	**67,843**	**80,592**
S/T borrowings	225	225	225	225
AP/NP	3,678	4,712	5,457	6,478
Other ST liabilities	5,102	6,536	7,570	8,986
Total Current Liabilities	**9,005**	**11,473**	**13,253**	**15,689**
L/T debt	-	-	-	-
Other LT libilities	1,013	1,178	1,419	1,721
Total Liabilities	**10,018**	**12,652**	**14,672**	**17,410**
Common shares	1,125	1,121	1,121	1,121
Retained Earnings	25,394	30,587	38,155	48,167
Other SH' Equity	13,895	13,895	13,895	13,895
Total Shareholders' Equity	**40,415**	**45,603**	**53,171**	**63,183**
Total Liab./SH's Equity	**50,433**	**58,254**	**67,843**	**80,592**

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	51.3	46.3	48.4	49.5
Operating margin	30.6	25.7	30.7	34.1
Pretax margin	30.2	28.9	32.7	35.8
Net margin	23.3	22.7	25.3	27.8
YoY growth (%)				
Sales	12.3	16.2	20.4	21.3
Operating profits	1.0	(2.6)	43.9	34.9
Pretax profits	(14.1)	11.4	36.4	32.7
Net profits	(15.2)	13.5	34.2	33.1
Others				
Cash dividend payout (%)	50%	50%	50%	50%
Cash div (NT$)	35.00	39.71	53.30	70.95
Yield (%)	2%	2%	3%	4%
Net Debt/Equity (%)	-33%	-41%	-46%	-51%
Liabilities/Equity (%)	25%	28%	28%	28%
Liabilities/Assets (%)	20%	22%	22%	22%
ROAE (%)	20%	21%	24%	27%
ROAA (%)	16%	16%	19%	21%
AR/NR Turnover (days)	145	143	140	140
Inventory Turnover (days)	86	86	90	89
AP/NP Turnover (days)	72	73	76	75
Cash conversion cycle	159	156	155	154

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Lotes Co. Ltd. (3533.TW)

Benefiting from better mix and increasing AI exposure; OW

PRICE TARGET NT$2,350.00

Primary - Residual Income
Base case, residual income model. Key assumptions include a cost of equity of 9.6% (beta of 1.0, equity risk premium of 8.7% and risk-free rate of 1.0%), a medium-term growth rate of 12.5%, and a terminal growth rate of 3%.

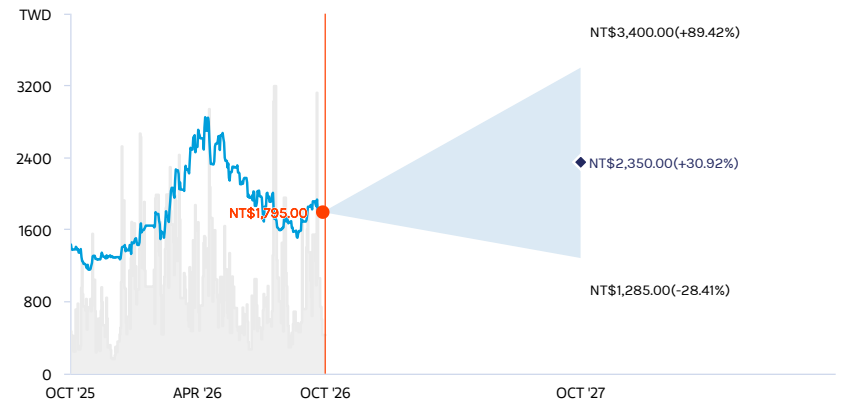
Consensus Price Target Distribution NT$1,670.00 NT$2,375.00 NT$2,850.00

MS PT

Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: Historical Stock Performance Current Stock Price Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We believe GM will trough in 3Q and start to recover from 4Q onward, driven by rising adoption rates of new server platform CPU sockets, which help Lotes reflect a higher cost structure to its end customers.
- Adoption of QD and SOCAMM connectors for AI servers have been rising since 2H26 and should see more contributions into CY27. NPO socket is also expected to ramp in CY27 in small volume, with increases in 2028.
- We forecast the AI revenue mix will rise from ~5% in CY5 to slightly more than 20% by CY28.
- Our price target implies 22x 2027e P/E and 16.5x 2028e P/E, which we consider undemanding vs. its current valuation of 17x 2027e P/E.

Consensus Rating Distribution

71% Overweight
29% Equal-weight
0% Underweight

MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$3,400.00

32x 2027e P/E

Faster server and PC demand growth in 2026 with strong EV project ramp-up: Server and PC demand enjoy significantly stronger growth in 2026, driven by new data center builds/replacements, as well as Windows replacement and PC upgrades. Demand from its strategic customers continues to grow in response to positive feedback on its own silicon. Growth from automotive is much better, with share gains and new project wins.

BASE CASE NT$2,350.00

22x 2027e P/E

Server business has content growth tailwinds; DT volumes to stabilize in the next two to three years, but enjoy content growth; limited room for margin expansion in the next three years: We forecast a total sales CAGR of ~19% in 2025-28, with operating profit margin rising to 34% by 2028 from ~31% in 2025.

BEAR CASE NT$1,285.00

12x 2027e P/E

Much weaker server and PC demand in 2026; automotive projects ramp-up is slower than expected in coming years: Server and PC demand decline much more than we anticipate in 2026, hampered by a weakening macro backdrop. Demand from its strategic customers also faces these challenging headwinds. Demand upturn for automotive is much slower, as are new project wins in the coming quarters.

Risk Reward – Lotes Co. Ltd. (3533.TW)

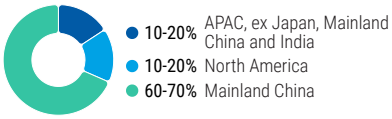
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Server revenue contribution (%)	39.8	55.6	62.6	65.6
Auto revenue contribution (%)	7.3	7.4	6.9	6.9

INVESTMENT DRIVERS

- CPU socket, DDR, PCIe upgrades for servers
- CPU socket, DDR, PCIe upgrades for desktops
- Rising EV penetration rate
- Margin expansion driven by more favorable product mix

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

2/5 MOST — 3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected growth in the server business, such as from cloud and enterprise in China
- Stronger-than-expected DT demand
- Sooner-than-expected inventory digestion of NB
- Faster ramp-up of its EV business

RISKS TO DOWNSIDE

- Further deceleration of server demand from US hyperscalers
- Weaker-than-expected DT demand
- Slower-than-expected inventory digestion of NB
- More severe pricing erosion driven by competition

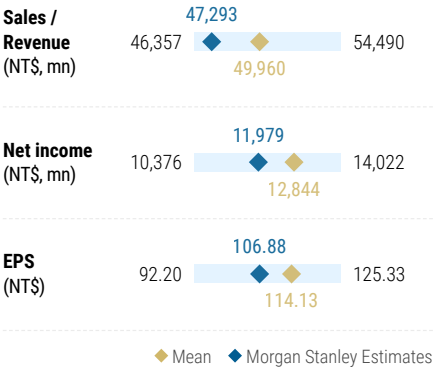
OWNERSHIP POSITIONING

Inst. Owners, % Active 67.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Howard Kao; Andy Meng, CFA; Irene Yen.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of September 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., AirTAC International, Asustek Computer Inc., AU Optronics, Auras Technology Co Ltd, Bizlink, Catcher Technology, Chenbro, Co-Tech Development Corp., Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, Fositek Corp, Genius Electronic Optical Co. Ltd., Giga-Byte Technology Co. Ltd., Hiwin Technologies Corp., LandMark Optoelectronics Corporation, Largan Precision, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, **Lotes Co. Ltd.**, Nan Ya PCB, Quectel Wireless Solutions Co Ltd, Sunny Optical, Suzhou TFC Optical Communication Co Ltd., Taiwan Union Technology Corporation, Unimicron, Visual Photonics Epitaxy Co Ltd, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhejiang Crystal-Optech Co Ltd, Zhen Ding, Zhongji Innolight Co Ltd, ZTE Corporation.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Asustek Computer Inc., Unimicron, Wistron Corporation, Wiwynn Corp, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Asustek Computer Inc., Lenovo, Unimicron, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Zhen Ding, Zhongji Innolight Co Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Advantech, AirTAC International, Asustek Computer Inc., AU Optronics, Bizlink, Catcher Technology, Chenbro, Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, FIT Hon Teng Ltd, Giga-Byte Technology Co. Ltd., Gold Circuit Electronics Ltd., Hon Hai Precision, Innolux, Lenovo, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, **Lotes Co. Ltd.**, Luxshare Precision Industry Co., Ltd., Pegatron Corporation, Q Technology (Group) Company Ltd, Quanta Computer Inc., Shanghai Conant Optical Co Ltd, Shenzhen Transsion Holdings Co Ltd, Suzhou TFC Optical Communication Co Ltd., TCL Corp., Unimicron, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Asustek Computer Inc., AU Optronics, BYD Electronics, Compal Electronics, E Ink Holdings Inc., Eoptolink Technology Inc Ltd, Giga-Byte Technology Co. Ltd., GoerTek Inc, Hon Hai Precision, Innolux, Lenovo, Lingyi Itech Guangdong Co, Quanta Computer Inc., Xiaomi Corp, Yageo Corp..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Advantech, AirTAC International, Asustek Computer Inc., AU Optronics, Bizlink, Catcher Technology, Chenbro, Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, FIT Hon Teng Ltd, Giga-Byte Technology Co. Ltd., Gold Circuit Electronics Ltd., Hon Hai Precision, Innolux, Lenovo, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, **Lotes Co. Ltd.**, Luxshare Precision Industry Co., Ltd., Pegatron Corporation, Q Technology (Group) Company Ltd, Quanta Computer Inc., Shanghai Conant Optical Co Ltd, Shenzhen Transsion Holdings Co Ltd, Suzhou TFC Optical Communication Co Ltd., TCL Corp., Unimicron, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Asustek Computer Inc., AU Optronics, BYD Electronics, Compal Electronics, E Ink Holdings Inc., Eoptolink Technology Inc Ltd, Giga-Byte Technology Co. Ltd., GoerTek Inc, Hon Hai Precision, Innolux, Lenovo, Lingyi Itech Guangdong Co, Quanta Computer Inc., Xiaomi Corp, Yageo Corp., Zhen Ding.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality

of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.
Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.
Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of September 30, 2026)
The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.
For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

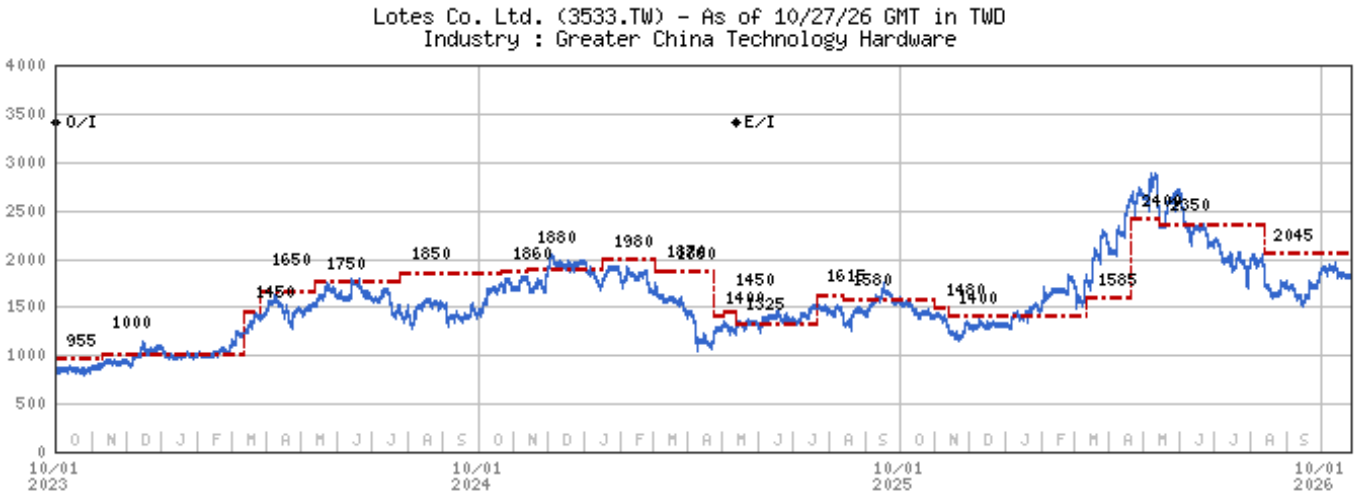
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/6/22 : O/I; 5/12/25 : E/I

Price Target History: 10/6/22 : 959.17; 10/21/22 : 984.02; 3/21/23 : 984; 5/12/23 : 1100; 7/17/23 : 955; 11/10/23 : 1000; 3/13/24 : 1450; 3/27/24 : 1650; 5/13/24 : 1750; 7/25/24 : 1850; 10/21/24 : 1860; 11/12/24 : 1880; 1/17/25 : 1980; 3/4/25 : 1870; 3/12/25 : 1860; 4/23/25 : 1400; 5/2/25 : 1450; 5/12/25 : 1325; 7/21/25 : 1615; 8/13/25 : 1580; 11/1/25 : 1480; 11/12/25 : 1400; 3/13/26 : 1585; 4/20/26 : 2400; 5/15/26 : 2350; 8/13/26 : 2045

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures.

For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. Morgan Stanley Research is disseminated in Canada by Morgan Stanley Canada Limited and Morgan Stanley Wealth Management Canada Inc., members of the Canadian

Investment Regulatory Organization (CIRO). The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of AAC Technologies Holdings, BYD Electronics, FIT Hon Teng Ltd, Hon Hai Precision, Kingboard Laminates Holdings Ltd., Lenovo, Lens Technology, Luxshare Precision Industry Co., Ltd., Sunny Optical, Xiaomi Corp, Yangtze Optical Fibre and Cable JSC Ltd, Zhongji Innolight Co Ltd, ZTE Corporation listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: http://www.hkex.com.hk.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

References to any prediction market or event contract do not constitute an offer, solicitation, recommendation, or endorsement to participate in any such market or contract. Morgan Stanley Research may not be distributed or made available in any jurisdiction where such distribution would be unlawful or otherwise prohibited by applicable law.

INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/26/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$35.38
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb122.53
BYD Electronics (0285.HK)	O (04/28/2023)	HK$22.58
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.05
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.69
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb251.69
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$1,160.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.52
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.42
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.99
Largan Precision (3008.TW)	O (10/13/2026)	NT$6,175.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.70
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.59
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$4.81
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$49.00
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.81
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.37
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.66
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb76.09
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$36.52
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.59
Sunny Optical (2382.HK)	E (03/23/2026)	HK$62.95
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb196.98

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb10.85
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$26.90
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb297.80
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$102.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb96.23
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb22.13
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb594.50
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$721.50
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.10
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.03
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,775.00
Advantech (2395.TW)	O (01/20/2021)	NT$670.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,100.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,145.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$35.40
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,360.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,875.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.87
Chenbro (8210.TW)	O (07/23/2025)	NT$764.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,980.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,560.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$153.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$61.70
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,335.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$299.00
Innolux (3481.TW)	E (04/07/2025)	NT$46.75
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$9,755.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb27.96
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$255.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.47
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.92
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$32.45
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$946.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$196.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT$37.30
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$5,070.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$3.59
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb46.73
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$349.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,115.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$245.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb57.16
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$35.98
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,375.00
Lenovo (0992.HK)	O (07/10/2026)	HK$21.74
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,795.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,265.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$103.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$322.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb100.26
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb267.51
Unimicron (3037.TW)	O (02/23/2026)	NT$1,085.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$467.00

Wistron Corporation (3231.TW)	O (07/12/2023)	NT$190.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,840.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$507.00
Zhen Ding (4958.TW)	++	NT$567.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$438.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,420.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley

Morgan Stanley | RESEARCH

UPDATE

October 27, 2026 02:13 PM GMT

Macronix International Co Ltd | Asia Pacific

Pricing hike lifts margin further; shifting from NOR toward NAND

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	**Modest shortfall** Financial results versus consensus	**Modest revision lower** Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

3Q earnings affected by capacity reallocation:

- 3Q revenue: NT$24.2bn, +27% Q/Q, +195% Y/Y, 9% below our estimate; we cite to capacity transition from NOR to NAND.
- Gross margin: 70.5%, +6.1ppt Q/Q, +57.0ppt Y/Y, 2.7ppt above our estimate – helped by ~NT$750mn inventory reversal, mostly associated with NOR..
- EPS: NT$5.52, +41% Q/Q, 13% below our estimate.
- Employee compensation accruals led to a 24% Q/Q operating expense increase.

Shifting focus to NAND: NOR revenue increased 21% Q/Q despite a 12% Q/Q decline in bit shipments, consistent with pricing strength. Management attributed lower NOR shipments to capacity reallocation toward NAND; NAND revenue rose 39% Q/Q, mainly from pricing.

The first phase of capacity expansion is scheduled to enter volume production in 2H27; the additional NT$15.8bn investment could contribute in 2028.

Incremental capacity will favor NAND, in particular 3D NAND-based eMMC (i.e., MLC NAND), with no planned increase in NOR capacity. The company will gradually withdraw from ROM product.

MORGAN STANLEY TAIWAN LIMITED+

Daniel Yen, CFA
Equity Analyst
Daniel.Yen@morganstanley.com +886 2 2730-2863

Charlie Chan
Equity Analyst
Charlie.Chan@morganstanley.com +886 2 2730-1725

MORGAN STANLEY ASIA LIMITED+

Daisy Dai, CFA
Equity Analyst
Daisy.Dai@morganstanley.com +852 2848-7310

Ethan Jia
Research Associate
Ethan.Jia@morganstanley.com +852 3963-2287

MORGAN STANLEY TAIWAN LIMITED+

Lucas Wang
Equity Analyst
Lucas.Wang@morganstanley.com +886 2 2730-2875

MORGAN STANLEY ASIA LIMITED+

Henry Zhao
Equity Analyst
Henry.Zhao@morganstanley.com +852 2239-7731

Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

Macronix International Co Ltd (2337.TW, 2337 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	NT$220.00
Up/downside to price target (%)	114
Shr price, close (Oct 27, 2026)	NT$103.00
52-Week Range	NT$192.00-28.50
Sh out, dil, curr (mn)	1,805
Mkt cap, curr (mn)	NT$185,892
EV, curr (mn)	NT$188,597
Avg daily trading value (mn)	NT$13,503

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	(1.78)	23.54	60.99	63.79
EPS (NT$)§	(1.86)	18.39	39.28	38.60
Revenue, net (NT$ mn)	28,880	99,611	198,217	200,794
EBITDA (NT$ mn)	1,396	61,530	147,476	153,069
P/E	NM	4.4	1.7	1.6
P/BV	1.6	2.2	0.9	0.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+= Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Valuation Methodology and Risks

Macronix International Co Ltd (2337.TW)

Base case, P/B, in line with our Greater China memory coverage, due to the industry's cyclical nature. We apply a target multiple of 2.1x to our 2027 BVPS estimate vs. its historical average of 1.5x since 2017. We continue to believe the P/B target is justifiable, as the MLC and legacy TLC NAND could be in greater shortage into 2H26, with under-supply easily reaching 40%. We believe the only supplier that could fill the gap remains Macronix.

Risks to Upside

- Wider legacy NAND supply/demand gap
- NOR up-cycle, driven by limited supply expansion and/or stronger demand
- Faster growth for Switch hardware and core titles

Risks to Downside

- Less severe legacy NAND supply/demand gap
- NOR down-cycle, driven by faster supply expansion and/or demand weakness
- Slower growth for Switch hardware and core titles

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Charlie Chan; Daisy Dai, CFA; Daniel Yen, CFA.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of September 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: ACM Research Inc, Advanced Micro-Fabrication Equipment Inc, Advanced Wireless Semiconductor Co, Alchip Technologies Ltd, AllRing Tech Co., AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Aspeed Technology, Cambricon Technology Corporation, eMemory Technology Inc, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, **Macronix International Co Ltd**, Montage Technology Co Ltd, NAURA Technology Group Co Ltd, Novatek, Parade Technologies Ltd, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, SG Micro Corp., Shanghai Fudan Microelectronics, SICC Co Ltd, Silergy Corp., Silicon Motion, StarPower Semiconductor Ltd, TSMC, UMC, Vanguard International Semiconductor, WIN Semiconductors Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Alchip Technologies Ltd, Iluvatar CoreX Semiconductor Co., Ltd., MediaTek, Montage Technology Co Ltd, Powerchip Semiconductor Manufacturing Co, UMC.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from ASMPT Ltd, Iluvatar CoreX Semiconductor Co., Ltd., MediaTek, Montage Technology Co Ltd, Powerchip Semiconductor Manufacturing Co, Silicon Motion, UMC.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Aspeed Technology, CXMT Corp, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, **Macronix International Co Ltd**, MediaTek, MetaX Integrated Circuits, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, SG Micro Corp., SICC Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from ASE Technology Holding Co. Ltd., King Yuan Electronics Co Ltd, MediaTek, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro-Fabrication Equipment Inc, Alchip Technologies Ltd, AP Memory Technology Corp, ASE Technology Holding Co. Ltd., ASMedia Technology Inc, ASMPT Ltd, Aspeed Technology, CXMT Corp, Espressif Systems, GigaDevice Semiconductor Beijing Inc, GlobalWafers Co Ltd, Gudeng Precision, Himax Technologies Inc, Hua Hong Semiconductor Ltd, Iluvatar CoreX Semiconductor Co., Ltd., Innoscience, King Yuan Electronics Co Ltd, **Macronix International Co Ltd**, MediaTek, MetaX Integrated Circuits, Montage Technology Co Ltd, Novatek, Phison Electronics Corp, Powerchip Semiconductor Manufacturing Co, Realtek Semiconductor, SG Micro Corp., SICC Co Ltd, Silergy Corp., Silicon Motion, TSMC, UMC, Universal Scientific Ind. (Shanghai), Vanguard International Semiconductor, Winbond Electronics Corp, WPG Holdings, WT Microelectronics Co. Ltd..

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: ASE Technology Holding Co. Ltd., Iluvatar CoreX Semiconductor Co., Ltd., King Yuan Electronics Co Ltd, MediaTek, Montage Technology Co Ltd, Nanya Technology Corp., Novatek, Nuvoton Technology Corporation, Realtek Semiconductor, Silicon Motion, SMIC, TSMC, UMC, Universal Scientific Ind. (Shanghai), Winbond Electronics Corp, WT Microelectronics Co. Ltd..

Morgan Stanley & Co. LLC makes a market in the securities of ACM Research Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality

of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.
Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.
Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of September 30, 2026)
The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.
For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

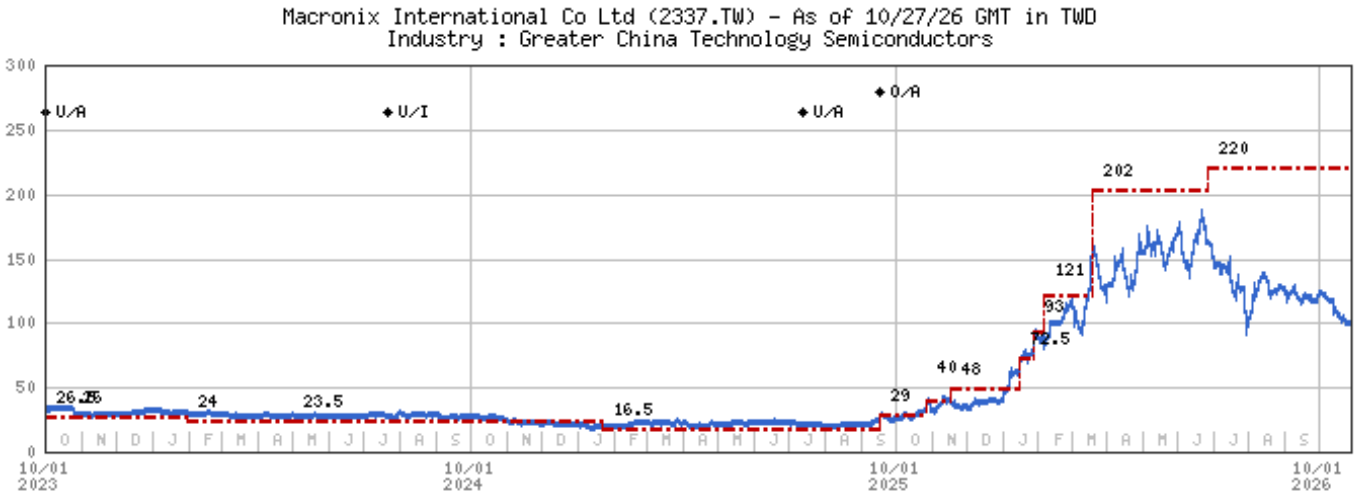
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : E/I; 10/12/21 : E/C; 10/19/21 : U/C; 10/4/22 : U/A; 2/22/23 : U/I; 7/7/23 : U/A; 7/21/24 : U/I; 7/14/25 : U/A; 9/18/25 : O/A

Price Target History: 9/17/21 : 39; 10/19/21 : 30; 1/25/22 : 33; 7/5/22 : 27; 7/26/23 : 26.5; 10/24/23 : 26; 1/31/24 : 24; 5/1/24 : 23.5; 1/22/25 : 16.5; 9/18/25 : 29; 10/27/25 : 40; 11/18/25 : 48; 1/16/26 : 72.5; 1/28/26 : 93; 2/5/26 : 121; 3/20/26 : 202; 6/26/26 : 220

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. Morgan Stanley Research is disseminated in Canada by Morgan Stanley Canada Limited and Morgan Stanley Wealth Management Canada Inc., members of the Canadian

Investment Regulatory Organization (CIRO). The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of ASMPT Ltd, GigaDevice Semiconductor Beijing Inc, Hua Hong Semiconductor Ltd, Montage Technology Co Ltd listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: http://www.hkex.com.hk.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

References to any prediction market or event contract do not constitute an offer, solicitation, recommendation, or endorsement to participate in any such market or contract. Morgan Stanley Research may not be distributed or made available in any jurisdiction where such distribution would be unlawful or otherwise prohibited by applicable law.

INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/27/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$119.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,495.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$651.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb912.98
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb43.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,430.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$814.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$505.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$64.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$71.40
MediaTek (2454.TW)	O (11/28/2025)	NT$3,960.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb471.13
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$441.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.29
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,910.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb84.22
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$478.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.34
TSMC (2330.TW)	O (02/07/2022)	NT$2,400.00
UMC (2303.TW)	O (05/19/2026)	NT$122.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$161.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$491.00

Daisy Dai, CFA

ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$121.20
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb48.19
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb103.82
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.11
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb187.03
Innoscience (2577.HK)	E (10/13/2025)	HK$29.48
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb53.29
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK$22.08
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.48
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb86.22
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb68.01
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.31
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb21.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb70.51
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$814.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,495.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$16,015.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$95.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT$131.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,515.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb138.00
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb268.98
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$11.50
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$103.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$210.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb164.50
Novatek (3034.TW)	U (02/04/2026)	NT$599.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$132.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$522.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$69.40
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$793.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.25
Silicon Motion (SIMO.O)	O (05/06/2024)	US$189.18
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$163.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$116.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT$215.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$50.96
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb238.23
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb53.90
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb488.50
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,285.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$499.50
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,210.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$269.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,790.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley

October 27, 2026 03:23 PM GMT

Unimicron | Asia Pacific

3Q26 GM beat MSe/Street; stay OW

AlphaSignals Earnings Reaction

Unchanged	↑ **Modest upside**	↑ **Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 3Q GM at 28.8% (+400bps q/q) is 120bps/150bps above MSe/Street, but slightly below buy-side expectation of ~30%.
- 3Q non-op gain of ~NT$2.6B is above MSe/Street, and above buy-side expectation of non-op losses, leading to NP of ~NT$10.1B or ~NT$6.41 EPS.
- We view the divestiture of UMJ positively, in-line with Unimicron's long-term strategy to focus on higher-end, more profitable businesses.
- The stock trades at ~14x 2028 P/E, undemanding versus its 5-year average of ~21x.

Divestiture of Unimicron Japan (UMJ): Unimicron to divest 100% of UMJ to Meiko Electronics (6787.T, covered by Sota Harashima). According to Meiko's filing (link), the share purchase agreement is targeted for December 2026 and the business handover for April 2027. The price has not been disclosed. UMJ is a niche specialty PCB maker with no IC substrate exposure. In F3/26, it reported revenue of JPY 8.0B, an operating loss of JPY 594M, and a loss per share of JPY 16,628.

Capex: Unimicron announced an additional NT$50.9B investment in long-lead-time equipment, raising the total to ~NT$82.6B, spanning beyond 2027.

Our view: We view the results as modestly negative, as buy-side investors are likely to place greater emphasis on GM than on non-operating performance. That said, this appears to reflect an expectations mismatch rather than any structural concern, with GM continuing to expand meaningfully, up 400bps q/q. We continue to like all ABF substrate names in our coverage, but prefer Unimicron given its more proactive expansion plans over the next ~5 years, which should help it gain share from competitors.

MORGAN STANLEY TAIWAN LIMITED+

Howard Kao
Equity Analyst
Howard.Kao@morganstanley.com +886 2 2730-2989

Irene Yen
Equity Analyst
Irene.Yen@morganstanley.com +886 2 2730-2869

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA
Equity Analyst
Andy.Meng@morganstanley.com +852 2239-7689

Morgan Stanley appreciates your support in the 2027 Extel Asia Research Survey. Voting opens 10 November 2026.

Unimicron (3037.TW, 3037 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$1,775.00
Up/downside to price target (%)	67
Shr price, close (Oct 27, 2026)	NT$1,060.00
52-Week Range	NT$1,420.00-156.38
Sh out, dil, curr (mn)	1,505
Mkt cap, curr (mn)	US$48,966
EV, curr (mn)	US$51,311
Avg daily trading value (mn)	US$628

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	4.34	23.99	43.46	74.32
EPS (NT$)§	3.93	22.47	42.04	70.11
Revenue, net (NT$ mn)	131,241	189,806	279,618	381,382
EBITDA (NT$ mn)	26,272	53,346	103,138	162,370
ModelWare net inc (NT $ mn)	6,673	36,923	66,887	114,374
P/E	50.7	44.2	24.4	14.3
P/BV	3.2	11.6	8.6	6.0
RNOA (%)	3.7	15.1	32.5	52.3
ROE (%)	6.7	34.5	47.6	60.1
EV/EBITDA	15.8	31.0	15.7	9.6
Div yld (%)	0.7	0.2	1.0	1.9
FCF yld ratio (%)	(0.6)	2.2	5.6	8.6
Leverage (EOP) (%)	(8.6)	(38.0)	(68.5)	(88.3)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+= Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Exhibit 1: Unimicron 3Q26 Results

Year to Dec. 31 (NT$ mn)	Actual	Q/Q	Y/Y	MS Est.	Diff. %	Consensus	Diff. %
	3Q26E			3Q26E		3Q26E	
P&L Summary							
Net sales	**52,650**	**23%**	**55%**	**52,104**	**1%**	**49,333**	**7%**
COGS	(37,460)			(37,714)		(35,839)	
Gross profit	**15,189**	**43%**	**234%**	**14,390**	**6%**	**13,494**	**13%**
Operating expenses	(4,662)			(4,279)		(4,266)	
Operating income	**10,528**	**58%**	**587%**	**10,110**	**4%**	**9,228**	**14%**
Non-operating income	2,636			661		(1,495)	
Pre-tax income	**13,163**	**-15%**	**347%**	**10,771**	**22%**	**7,733**	**70%**
Net income	**10,052**	**-23%**	**358%**	**8,174**	**23%**	**5,972**	**68%**
EPS (NT$)	**6.41**			**5.21**		**3.81**	
Margins		**ppt**	**ppt**		**ppt**		**ppt**
Gross margin	28.8%	4.0%	15.5%	27.6%	1.2%	27.4%	1.5%
Operating margin	20.0%	4.5%	15.5%	19.4%	0.6%	18.7%	1.3%
Pretax margin	25.0%	-11.3%	16.3%	20.7%	4.3%	15.7%	9.3%
Net margin	19.1%	-11.5%	12.6%	15.7%	3.4%	12.1%	7.0%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 14%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley Asia Limited (which accepts the responsibility for its contents) and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research), and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Howard Kao; Andy Meng, CFA; Irene Yen.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of September 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., AirTAC International, Asustek Computer Inc., AU Optronics, Auras Technology Co Ltd, Bizlink, Catcher Technology, Chenbro, Co-Tech Development Corp., Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, Fositek Corp, Genius Electronic Optical Co. Ltd., Giga-Byte Technology Co. Ltd., Hiwin Technologies Corp., LandMark Optoelectronics Corporation, Largan Precision, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, Lotes Co. Ltd., Nan Ya PCB, Quectel Wireless Solutions Co Ltd, Sunny Optical, Suzhou TFC Optical Communication Co Ltd., Taiwan Union Technology Corporation, **Unimicron**, Visual Photonics Epitaxy Co Ltd, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhejiang Crystal-Optech Co Ltd, Zhen Ding, Zhongji Innolight Co Ltd, ZTE Corporation.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Asustek Computer Inc., **Unimicron**, Wistron Corporation, Wiwynn Corp, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Asustek Computer Inc., Lenovo, **Unimicron**, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Zhen Ding, Zhongji Innolight Co Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Advantech, AirTAC International, Asustek Computer Inc., AU Optronics, Bizlink, Catcher Technology, Chenbro, Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, FIT Hon Teng Ltd, Giga-Byte Technology Co. Ltd., Gold Circuit Electronics Ltd., Hon Hai Precision, Innolux, Lenovo, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, Lotes Co. Ltd., Luxshare Precision Industry Co., Ltd., Pegatron Corporation, Q Technology (Group) Company Ltd, Quanta Computer Inc., Shanghai Conant Optical Co Ltd, Shenzhen Transsion Holdings Co Ltd, Suzhou TFC Optical Communication Co Ltd., TCL Corp., **Unimicron**, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Asustek Computer Inc., AU Optronics, BYD Electronics, Compal Electronics, E Ink Holdings Inc., Eoptolink Technology Inc Ltd, Giga-Byte Technology Co. Ltd., GoerTek Inc, Hon Hai Precision, Innolux, Lenovo, Lingyi Itech Guangdong Co, Quanta Computer Inc., Xiaomi Corp, Yageo Corp..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Advantech, AirTAC International, Asustek Computer Inc., AU Optronics, Bizlink, Catcher Technology, Chenbro, Compal Electronics, Delta Electronics Inc., E Ink Holdings Inc., Elite Material Co., Ennostar Inc, Eoptolink Technology Inc Ltd, FIT Hon Teng Ltd, Giga-Byte Technology Co. Ltd., Gold Circuit Electronics Ltd., Hon Hai Precision, Innolux, Lenovo, Lens Technology, Lingyi Itech Guangdong Co, Lite-On Technology, Lotes Co. Ltd., Luxshare Precision Industry Co., Ltd., Pegatron Corporation, Q Technology (Group) Company Ltd, Quanta Computer Inc., Shanghai Conant Optical Co Ltd, Shenzhen Transsion Holdings Co Ltd, Suzhou TFC Optical Communication Co Ltd., TCL Corp., **Unimicron**, Wistron Corporation, Wiwynn Corp, Xiaomi Corp, Yageo Corp., Yangtze Optical Fibre and Cable JSC Ltd, Zhen Ding, Zhongji Innolight Co Ltd.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: AAC Technologies Holdings, Accton Technology Corporation, Acer Inc., Asustek Computer Inc., AU Optronics, BYD Electronics, Compal Electronics, E Ink Holdings Inc., Eoptolink Technology Inc Ltd, Giga-Byte Technology Co. Ltd., GoerTek Inc, Hon Hai Precision, Innolux, Lenovo, Lingyi Itech Guangdong Co, Quanta Computer Inc., Xiaomi Corp, Yageo Corp., Zhen Ding.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality

of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.
Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.
Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of September 30, 2026)
The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.
For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

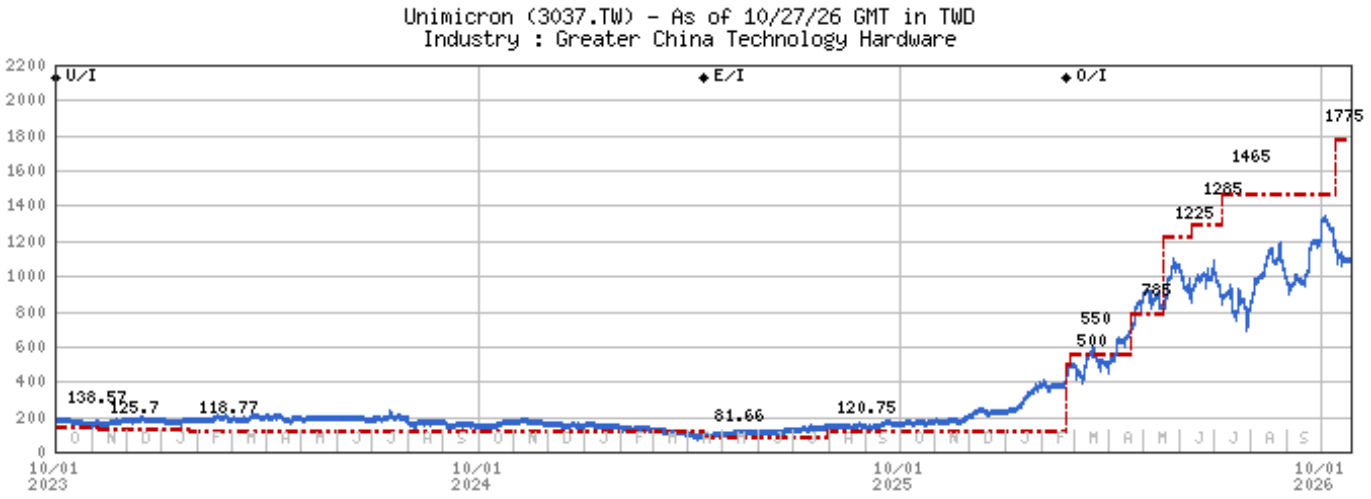
Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.
Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.
Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.
Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 2/22/23 : U/I; 4/15/25 : E/I; 2/23/26 : O/I

Price Target History: 10/22/21 : 188.06; 10/27/21 : 237.55; 2/9/22 : 267.24; 2/24/22 : 366.22; 6/1/22 : 237.55; 8/23/22 : 178.16; 10/27/22 : 133.62; 12/21/22 : 123.72; 2/2/23 : 116.79; 2/22/23 : 98.98; 6/7/23 : 138.57; 11/7/23 : 125.7; 1/24/24 : 118.77; 4/15/25 : 81.66; 7/30/25 : 120.75; 2/23/26 : 500; 2/26/26 : 550; 4/20/26 : 785; 5/18/26 : 1225; 6/12/26 : 1285; 7/7/26 : 1465; 10/14/26 : 1775

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)

Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures.

For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited. Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. Morgan Stanley Research is disseminated in Canada by Morgan Stanley Canada Limited and Morgan Stanley Wealth Management Canada Inc., members of the Canadian

Investment Regulatory Organization (CIRO). The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

Morgan Stanley Hong Kong Securities Limited is the liquidity provider/market maker for securities of AAC Technologies Holdings, BYD Electronics, FIT Hon Teng Ltd, Hon Hai Precision, Kingboard Laminates Holdings Ltd., Lenovo, Lens Technology, Luxshare Precision Industry Co., Ltd., Sunny Optical, Xiaomi Corp, Yangtze Optical Fibre and Cable JSC Ltd, Zhongji Innolight Co Ltd, ZTE Corporation listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: http://www.hkex.com.hk.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

References to any prediction market or event contract do not constitute an offer, solicitation, recommendation, or endorsement to participate in any such market or contract. Morgan Stanley Research may not be distributed or made available in any jurisdiction where such distribution would be unlawful or otherwise prohibited by applicable law.

INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/27/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK$35.20
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb119.97
BYD Electronics (0285.HK)	O (04/28/2023)	HK$21.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.99
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb14.54
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb237.59
Genius Electronic Optical Co. Ltd. (3406.TW)	E (10/13/2026)	NT$1,210.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.11
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.25
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.25
Largan Precision (3008.TW)	O (10/13/2026)	NT$6,000.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.58
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.35
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK$4.78
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK$48.20
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb48.80
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.23
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK$4.61
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb70.72
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK$34.36
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb54.99
Sunny Optical (2382.HK)	E (03/23/2026)	HK$63.35
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb188.62

Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb10.50
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK$25.66
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb289.51
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK$103.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb95.18
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb21.44
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb577.00
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK$725.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK$19.94
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb28.33
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT$1,760.00
Advantech (2395.TW)	O (01/20/2021)	NT$687.00
AirTAC International (1590.TW)	O (04/16/2025)	NT$1,140.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT$3,130.00
AU Optronics (2409.TW)	E (02/10/2026)	NT$33.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT$1,335.00
Bizlink (3665.TW)	O (03/10/2025)	NT$1,735.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb4.73
Chenbro (8210.TW)	O (07/23/2025)	NT$775.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT$1,955.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT$1,510.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT$157.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT$61.90
Fositek Corp (6805.TW)	O (06/25/2025)	NT$2,250.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT$328.50
Innolux (3481.TW)	E (04/07/2025)	NT$46.25
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT$9,810.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb26.58
Lite-On Technology (2301.TW)	E (01/15/2025)	NT$252.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.43
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb5.75
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT$33.15
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT$967.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT$198.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT$37.60
Elite Material Co. (2383.TW)	O (09/14/2026)	NT$4,750.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK$3.56
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb45.92
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT$357.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT$1,080.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT$247.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb54.84
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK$37.22
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT$2,500.00
Lenovo (0992.HK)	O (07/10/2026)	HK$22.38
Lotes Co. Ltd. (3533.TW)	O (10/27/2026)	NT$1,925.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT$1,255.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT$105.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT$327.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb97.61
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb260.01
Unimicron (3037.TW)	O (02/23/2026)	NT$1,060.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT$466.00

Wistron Corporation (3231.TW)	O (07/12/2023)	NT$190.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT$1,950.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT$521.00
Zhen Ding (4958.TW)	++	NT$520.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT$420.50
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT$1,280.00

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

© 2026 Morgan Stanley

First Read

Faraday Technology

New opportunities in advanced nodes

Equities

Taiwan

Semiconductors

12-month rating	**Neutral**
12m price target	**NT$200.00**
	Prior : NT$190.00
Price (27 Oct 2026)	**NT$191.50**

RIC: 3035.TW **BBG:** 3035 TT

Trading data and key metrics

52-wk range	NT$233.00-139.00
Market cap.	NT$49.9b/US$1.54b
Shares o/s	261m (ORD)
Free float	86%
Avg. daily volume ('000)	4,502
Avg. daily value (m)	NT$832
Common s/h equity (12/26E)	NT$17.3b
P/BV (12/26E)	2.9x
Net debt to EBITDA (12/26E)	NM

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	3.45	3.66	6	3.38
12/27E	8.70	8.35	-4	6.29
12/28E	14.07	13.86	-1	9.57

Jerry Su
Analyst
jerry.su@ubs.com
+886-28-722 7306

Annie Chen
Associate Analyst
annie.chen@ubs.com
+886-2-8722 7281

Q326 beat on turnkey strength and non-op gains; Q426 outlook positive

Q326 EPS of NT$1.07 came in above UBS/Street expectations mainly on non-op gains. Q326 sales came in at NT$3.66 bn (+11% QoQ), ahead of its original guidance but in line with its comment during Taiwan Summit with turnkey sales up 20% QoQ given better support from OSAT and foundries, despite NRE declining 31% QoQ. Q326 GM decreased 2.7ppt QoQ to 42.5% on higher turnkey mix, while OPEX grew 9% QoQ on salary adjustment and higher bonus accrual. Non-op gain of NT$266mn mainly includes valuation gains on an investee company. For Q426F, it guided sales flat QoQ remaining at high levels with IP and NRE up QoQ, and turnkey down QoQ. GM is guided back to ~45%, reflecting normalized ASIC economics; OPEX should decline single digit QoQ.

2027 growth outlook supported by AI, advanced packaging and 12nm node

Management guided for double-digit sales growth in 2027, with all three businesses, IP, NRE and turnkey, expected to grow, driven by three key catalysts: AI, advanced packaging and new UMC 12nm project contribution. For IP, growth should be supported by higher royalties on foundry price hikes/customer capacity expansion and initial contribution from 12nm node; NRE should benefit from 2nm/4nm projects entering peak recognition, with 3-4 ASIC tape-outs targeted in H127; while MP should see growth in both MCU and ASIC as new projects gradually ramp. AI-related mix was at 8-9% of Q326 sales, and is expected to increase throughout 2027 alongside accelerating advanced-packaging shipments. We expect 2027E sales to grow 37% YoY.

2nm design win opens new advanced-node and product opportunities

Faraday secured a 2nm GAA special purpose ASIC project worth several tens of millions of US dollars in NRE, which management described as its largest-ever design win and most advanced project to date. The project spans front-end design and IP integration, back-end design, customized 3D DRAM and advanced packaging, and marks Faraday's first customized 3D DRAM and hybrid-bonding project. It expects to recognize its first NRE milestone in H127, followed by MP targeted within 1-2 years. Beyond 2nm, Faraday is expanding into new applications including OCS, CXL and Si-cap, leveraging its capabilities in advanced packaging, interposer design and ASIC integration. We believe successful execution by Faraday and its foundry partner could strengthen Faraday's positioning in advanced-node projects and create follow-on design-win opportunities.

Valuation: Raise PT to NT$200, stay Neutral

We raise 2026E EPS (reported) from NT$3.43 to NT$3.68 on better Q326, but lower 2027/28E EPS by 4%/1% to factor in softer CE demand and higher OPEX. We raise our PT to NT$200 from NT$190 using 24x 2027E PE (vs prior 22x). We raise our multiple as the recent 2nm project win should boost investor confidence, but stay Neutral as the advanced nodes (4nm/2nm) turnkey revenue recognition depends on the foundry partner's execution. We await clearer evidence before revisiting our assumptions.

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	11,966	11,065	17,993	13,438	18,356	24,794	28,815	32,737
EBIT (UBS)	1,956	1,071	552	1,035	3,023	4,851	5,744	6,494
Net earnings (UBS)	1,589	1,041	731	953	2,176	3,612	4,309	4,907
EPS (UBS, diluted) (NT$)	6.39	4.05	2.81	3.66	8.35	13.86	16.54	18.83
DPS (net) (NT$)	0.00	4.29	3.00	1.80	2.02	5.01	9.01	10.75
Net (debt) / cash	5,445	7,863	6,677	8,054	9,326	10,899	12,685	14,514

Profitability/valuation	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
EBIT (UBS) margin %	16.3	9.7	3.1	7.7	16.5	19.6	19.9	19.8
ROIC (EBIT) %	43.9	21.4	8.9	12.2	29.5	44.9	51.0	56.6
EV/EBITDA (UBS core) x	24.5	38.4	28.1	21.6	10.5	7.0	5.8	5.0
P/E (UBS, diluted) x	40.8	75.2	66.3	52.3	22.9	13.8	11.6	10.2
Equity FCF (UBS) yield %	3.6	2.4	0.5	3.3	5.1	7.3	9.8	10.8
Dividend yield (net) %	0.0	1.4	1.6	0.9	1.1	2.6	4.7	5.6

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 191.50 on 27-Oct-2026

Figure 1: UBS vs. VA Consensus 3Q26A/4Q26E and 2025A-28E

	2Q26	3Q26			4Q26E			2025	2026E			2027E			2028E		
(NT$m)	Actual	Actual	UBSe prior	VA	UBSe	UBSe prior	VA	Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	**3,314**	**3,664**	**3,081**	**3,172**	**3,871**	**3,442**	**4,006**	**17,993**	**13,438**	**12,425**	**13,080**	**18,356**	**19,135**	**17,299**	**24,794**	**25,593**	**20,504**
- QoQ / YoY	28.0%	10.6%	-7.0%	-4.3%	5.7%	11.7%	26.3%	62.6%	-25.3%	-30.9%	-27.3%	36.6%	54.0%	32.3%	35.1%	106.0%	18.5%
Gross profit	**1,499**	**1,557**	**1,400**	**1,434**	**1,730**	**1,545**	**1,751**	**4,857**	**6,010**	**5,668**	**5,908**	**7,999**	**7,945**	**7,413**	**9,999**	**10,129**	**8,555**
- Gross margin	45.2%	42.5%	45.4%	45.2%	44.7%	44.9%	43.7%	27.0%	44.7%	45.6%	45.2%	43.6%	41.5%	42.9%	40.3%	39.6%	41.7%
Operating profit	**271**	**214**	**211**	**230**	**460**	**468**	**609**	**552**	**1,041**	**1,045**	**1,206**	**3,023**	**3,129**	**2,393**	**4,851**	**4,901**	**3,026**
- OP margin	8.2%	5.8%	6.8%	7.2%	11.9%	13.6%	15.2%	3.1%	7.7%	8.4%	9.2%	16.5%	16.4%	13.8%	19.6%	19.1%	14.8%
Non-Op	**111**	**265**	**123**	**94**	**119**	**122**	**100**	**449**	**578**	**439**	**388**	**311**	**301**	**341**	**340**	**340**	**356**
Pre-tax profit	**382**	**482**	**333**	**323**	**579**	**590**	**709**	**1,002**	**1,622**	**1,487**	**1,594**	**3,334**	**3,430**	**2,734**	**5,191**	**5,241**	**3,382**
Tax	**96**	**111**	**73**	**73**	**127**	**130**	**160**	**229**	**379**	**343**	**374**	**734**	**755**	**618**	**1,142**	**1,153**	**779**
- Tax rate	-25%	-23%	-22%	-23%	-22%	-22%	-23%	-23%	-23%	-23%	-23%	-22%	-22%	-23%	-22%	-22%	-23%
Net profit	**198**	**279**	**188**	**216**	**378**	**403**	**496**	**731**	**959**	**893**	**1,014**	**2,176**	**2,266**	**1,914**	**3,612**	**3,666**	**2,351**
EPS (NT$)	**0.76**	**1.07**	**0.72**	**0.87**	**1.45**	**1.55**	**1.72**	**2.81**	**3.68**	**3.43**	**3.76**	**8.35**	**8.70**	**7.00**	**13.86**	**14.07**	**9.02**

Source: UBS estimates, Visible Alpha. Note: EPS in this table is reported, which may differ from UBS adjusted EPS as shown in the tables on the front page.

Figure 2: Faraday annual P&L summary

Ticker		**3035.TW**	**Current Price (NT$)**			**$191.5**
Shares outstanding (mn)		**260.5**	**Mkt cap (NT$ mn)**			**$49,895**
Year	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenues (NT$ mn)	**$17,993**	**$13,438**	**$18,356**	**$24,794**	**$28,815**	**$32,737**
YoY Growth (%)		**-25.3%**	**36.6%**	**35.1%**	**16.2%**	**13.6%**
Gross profit (NT$mn)	$4,857	$6,010	$7,999	$9,999	$11,192	$12,395
GM (%)	**27.0%**	**44.7%**	**43.6%**	**40.3%**	**38.8%**	**37.9%**
Operating profit (NT$mn)	$552	$1,041	$3,023	$4,851	$5,744	$6,494
OPM (%)	**3.1%**	**7.7%**	**16.5%**	**19.6%**	**19.9%**	**19.8%**
Net profit (NT$ mn)	$731	$959	$2,176	$3,612	$4,309	$4,907
EPS (NT$)	**$2.81**	**$3.68**	**$8.35**	**$13.86**	**$16.54**	**$18.83**
EPS growth (%)		31.1%	126.9%	66.0%	19.3%	13.9%
P/E (x)	**68.2**	**52.0**	**22.9**	**13.8**	**11.6**	**10.2**
Dividend yield (%)	1.6%	0.9%	1.1%	2.6%	4.7%	5.6%
P/B (x)	**3.8**	**2.9**	**2.6**	**2.3**	**2.1**	**2.0**
ROE (%)	5.6%	5.5%	11.5%	17.0%	18.6%	19.4%

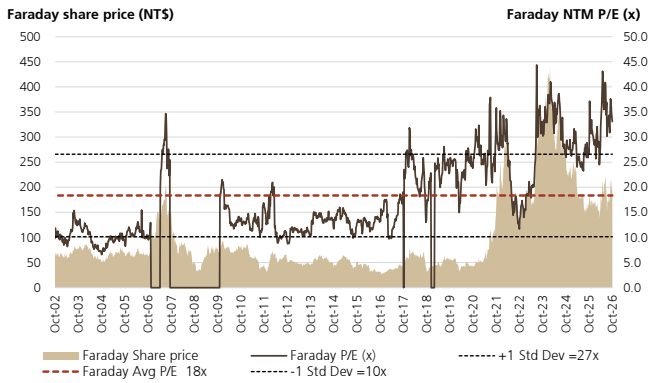
Source: UBS estimates, company data. Note: EPS in this table is reported, which may differ from UBS adjusted EPS as shown in the tables on the front page.

Figure 3: Faraday annual and quarterly forecast summary

Quarters	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E	2027E	2028E
Revenues (NT$ mn)	**$7,438**	**$4,512**	**$3,236**	**$2,808**	**$2,589**	**$3,314**	**$3,664**	**$3,871**	**$11,065**	**$17,993**	**$13,438**	**$18,356**	**$24,794**
-- QoQ Growth (%)	*151.9%*	*-39.3%*	*-28.3%*	*-13.2%*	*-7.8%*	*28.0%*	*10.6%*	*5.7%*					
-- YoY Growth (%)	*188.4%*	*70.3%*	*12.2%*	*-4.9%*	*-65.2%*	*-26.6%*	*13.2%*	*37.9%*	*-7.5%*	*62.6%*	*-25.3%*	*36.6%*	*35.1%*
Gross profit	**$1,508**	**$1,091**	**$1,075**	**$1,184**	**$1,224**	**$1,499**	**$1,557**	**$1,730**	**$5,051**	**$4,857**	**$6,010**	**$7,999**	**$9,999**
-- Gross Margin (%)	20.3%	24.2%	33.2%	42.2%	47.3%	45.2%	42.5%	44.7%	45.7%	27.0%	44.7%	43.6%	40.3%
Operating Profit	**$369**	**$64**	**$39**	**$80**	**$96**	**$271**	**$214**	**$460**	**$1,071**	**$552**	**$1,041**	**$3,023**	**$4,851**
-- OP Margin (%)	5.0%	1.4%	1.2%	2.9%	3.7%	8.2%	5.8%	11.9%	9.7%	3.1%	7.7%	16.5%	19.6%
Non-op	**$86**	**($19)**	**$173**	**$209**	**$83**	**$111**	**$265**	**$119**	**$272**	**$449**	**$578**	**$311**	**$340**
Pre-tax profit (NT$ mn)	**$455**	**$45**	**$213**	**$290**	**$179**	**$382**	**$482**	**$579**	**$1,343**	**$1,002**	**$1,622**	**$3,334**	**$5,191**
Tax	**$103**	**$9**	**$48**	**$68**	**$44**	**$96**	**$111**	**$127**	**$271**	**$229**	**$379**	**$734**	**$1,142**
-- tax rate (%)	22.7%	21.2%	22.6%	23.5%	24.6%	25.2%	23.0%	22.0%	20.2%	22.8%	23.3%	22.0%	22.0%
Net profit (NT$ mn)	**$346**	**$26**	**$152**	**$208**	**$104**	**$198**	**$279**	**$378**	**$1,041**	**$731**	**$959**	**$2,176**	**$3,612**
-- QoQ Growth (%)	*46.6%*	*-92.5%*	*487.3%*	*36.8%*	*-49.8%*	*89.9%*	*40.8%*	*35.5%*					
-- YoY Growth (%)	*23.5%*	*-90.1%*	*-42.5%*	*-12.1%*	*-69.9%*	*666.4%*	*83.8%*	*82.1%*	*-34.5%*	*-29.8%*	*31.1%*	*126.9%*	*66.0%*
EPS (NT$)	**$1.33**	**$0.10**	**$0.58**	**$0.80**	**$0.40**	**$0.76**	**$1.07**	**$1.45**	**$4.05**	**$2.81**	**$3.68**	**$8.35**	**$13.86**

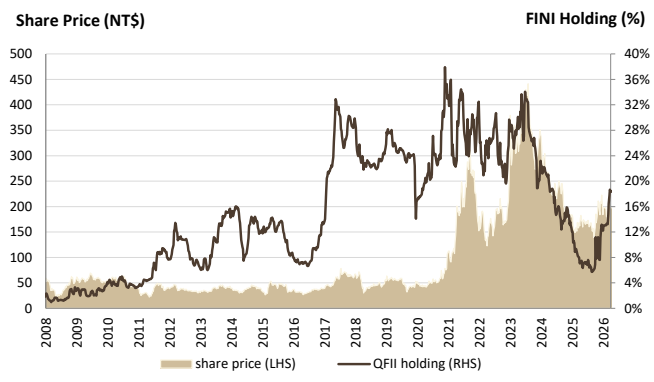
Source: UBS estimates, company data. Note: EPS in this table is reported, which may differ from UBS adjusted EPS as shown in the tables on the front page.

Figure 4: Faraday historical P/E range



Source: LSEG

Figure 5: Faraday FINI holding



Source: TEJ

Forecast returns

Forecast price appreciation	4.4%
Forecast dividend yield	0.9%
Forecast stock return	5.4%
Market return assumption	6.3%
Forecast excess return	-1.0%

Company Description

Faraday was founded in 1993, spun off from UMC's IP and semiconductor design service department as the first IC design service company in Asia. It is an IC design and production service provider that initially focused on specialty applications on mature nodes by partnering with UMC and gradually upgraded to advanced nodes through working with Samsung. The company had its IPO on the Taiwan Securities Exchange in 1999.

Valuation Method and Risk Statement

We value Faraday using PE methodology.
Downside risks include slower-than-expected advanced nodes migration, further delay of advanced packaging ramp, and growing competition in specialty projects from China IC design service companies.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Faraday Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on how UBS manages conflicts and maintains the independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures. Unless otherwise indicated, information and data in this report are based on company disclosures including annual, interim and quarterly reports and other company announcements. Figures in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available on request. UBS Securities Co. Limited is licensed by the China Securities Regulatory Commission to conduct securities investment consultancy businesses. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 27 October 2026 01:54 PM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where they publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient on which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of a number of short term factors occurring, in a product known as the 'Quantitative Research Review'. Views in this assessment on a particular stock reflect only those short term factors and a timeframe different to the 12-month timeframe reflected in any equity rating set out in this document. For the latest responses, please see the Quantitative Research Review Addendum at the back of this document, where applicable. For previous responses, please refer to: (i) previous UBS Global Research reports and (ii) where no applicable research report was published that month, the Quantitative Research Review at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team at ubs-quant-answers@ubs.com. A consolidated report containing all responses is also available; for details and pricing, please contact your UBS sales representative or the Quantitative Research team at the above email.

Analyst Certification:
Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that, with respect to each security or issuer that the analyst covered in this report: (1) all views expressed accurately reflect their personal views about those securities or issuers and were prepared independently, including with respect to UBS, and (2) no part of their compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged by the analyst to indicate that the stock's price target and/or rating may change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have a 12-month investment horizon.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record and discount; **Neutral:** Neutral on factors such as structure, management, performance record and discount; **Sell:** Negative on factors such as structure, management, performance record and discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed very high or low risk may be subject to higher or lower bands for rating purposes. Where such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

Research analysts contributing to this report who are employed by a non-US affiliate of UBS Securities LLC are not registered or qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS Securities Pte. Ltd., Taipei Branch: Annie Chen, Jerry Su.

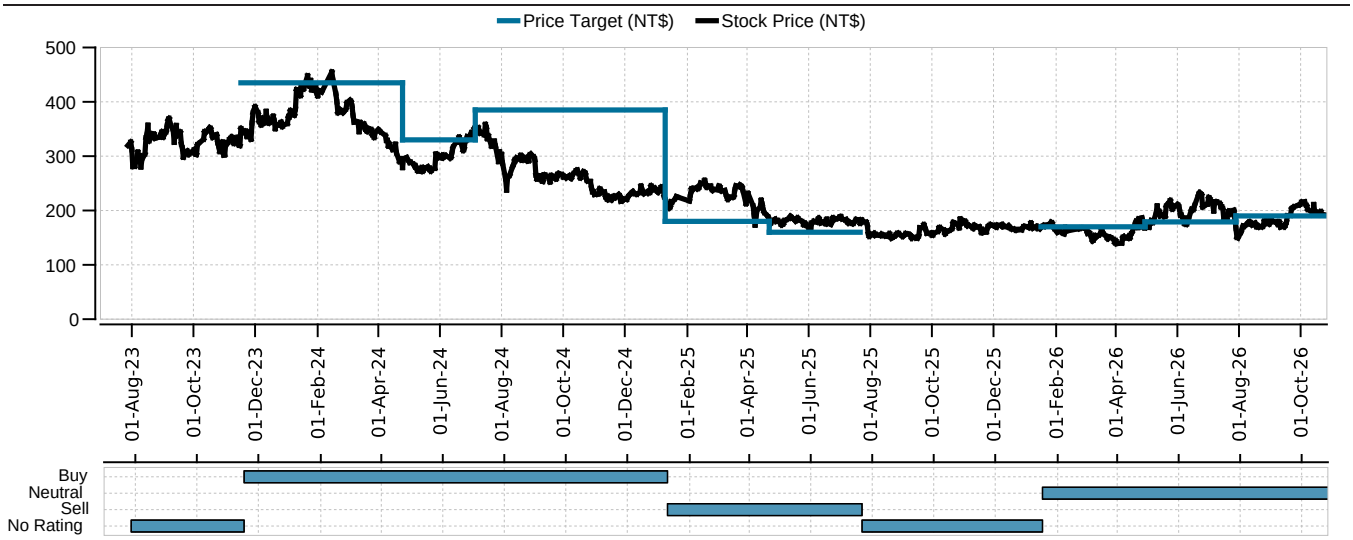
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Faraday Technology	3035.TW	Neutral	NT$191.50	27 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including valuation and risk information, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Faraday Technology (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-27	331.00	-	No Rating
2023-11-16	319.50	435.00	Buy
2024-04-24	294.50	330.00	Buy
2024-07-05	351.00	385.00	Buy
2025-01-09	225.50	180.00	Sell
2025-04-22	188.00	160.00	Sell
2025-07-21	183.00	-	No Rating
2026-01-16	166.50	170.00	Neutral
2026-04-29	168.50	179.00	Neutral
2026-07-28	185.50	190.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 27-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Intel Corp., US$86.96 (23 Oct 2026); Samsung Electronics, Won213000 (26 Oct 2026); UMC, NT$125.50 (23 Oct 2026); Source: UBS. All prices as of local market close.

The Disclaimer relevant to Global Wealth Management clients follows the Global Research Disclaimer.

UBS Global Research Disclaimer

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions in this document may change without notice and are current only as of the publication date. Different areas, groups, and personnel within UBS may independently produce and distribute separate research products. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Each research organization may use different methodologies and rating systems, including investment recommendations, investment horizon, model assumptions, and valuation methods. Accordingly, except for certain economic forecasts on which UBS CIO and UBS Global Research may collaborate, investment recommendations, ratings, price targets, and valuations from those research organizations may differ or be inconsistent. You should refer to each relevant research product for details of its methodology and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

UBS Global Research is primarily intended for institutional/professional/wholesale clients, and not for retail clients or private individuals (excluding via any UBS approved distribution channel for such clients), as defined under the governing law and regulation of the relevant client jurisdiction.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy it.

UBS Global Research is provided to our clients through UBS Neo and, in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each, a "System") as an approved means of distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties by e-mail or other electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or uses data provided by UBS Evidence Lab, and you would like access to that data, please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending on factors including a client's preferences as to the frequency and manner of receiving communications, risk profile, and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab, and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for details and pricing, please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; if you are interested in the warranted price for a particular company, please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, subject again to commercial considerations. UBS Pharma Values is an analytical tool involving individual product net present value calculations based on published forecasts of pharmaceutical sales, and is available to clients of UBS Global Research; for details and pricing, please contact your UBS Sales representative. For all other specific disclaimers, please see https://www.ubs.com/disclosures.

When you receive UBS Global Research through a System, your access to and/or use of it is subject to this UBS Global Research Disclaimer, the UBS Neo Platform Use Agreement (the "Neo Terms"), and any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (https://www.ubs.com/global/en/investment-bank/regulatory.html) and to UBS's Terms of Use/ Disclaimer (https://www.ubs.com/global/en/legalinfo2/disclaimer.html). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (https://www.ubs.com/global/en/legalinfo2/privacy.html) and Cookie Notice (https://www.ubs.com/global/en/legal/privacy/users.html).

If you receive UBS Global Research, whether through a System or otherwise, you agree not to copy, revise, amend, create derivative works, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and not to extract data from any research or estimates provided to you via UBS Global Research or otherwise, without UBS's prior written consent. You also agree not to use UBS Global Research in any artificial intelligence system without UBS's prior written consent.

In certain circumstances, you may receive UBS Global Research other than in your capacity as a UBS client and, you understand and agree that in those circumstances: (i) UBS Global Research is provided to you for information purposes only; (ii) for the purpose of receiving it, you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document may be distributed only as permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of, or located in, any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement in that jurisdiction.

This document is a general communication and educational in nature; it is not an advertisement, solicitation or offer to buy or sell any financial instrument or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, neither UBS nor its representatives has any responsibility or authority to provide, or to have provided, investment advice in a fiduciary or any other capacity. Investments involve risks, and investors should exercise prudence and their own judgment in making investment decisions. Neither UBS nor its representatives is suggesting that the recipient or any other person take a specific course of action, or any action at all. The recipient should read this document carefully and in full and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the recipient's investment objectives. The financial instruments described in this document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is risky and may be appropriate only for sophisticated investors. Before buying or selling an option, you must receive a copy of "The Characteristics and Risks of Standardized Options" for a full description of options risks. You may read it at https://www.theocc.com/publications/risks/riskchap1.jsp or ask your salesperson for a copy. Various theoretical explanations of the risks of these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied on request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies involving multiple purchases and sales, such as spreads and straddles. As tax considerations are important to many options transactions, investors considering options should consult their tax advisor on how taxes affect the outcome of contemplated options transactions.

Mortgage- and asset-backed securities may involve a high degree of risk and be highly volatile in response to interest rate fluctuations or other market conditions. Foreign currency exchange rates may adversely affect the value, price or income of any security or related instrument referred to in this document. For investment advice, trade execution or other inquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, and there is no market consensus, as to what constitutes "ESG" (Environmental, Social or Governance) or an equivalent label, or what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently labelled. Any information, data or other content, including from third party sources, contained or referred to herein or used by UBS or a third party for any purpose ("Information"), in relation to any actual or potential ESG objective, issue or consideration, is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in this document is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in it to meet or qualify for any ESG classification, labelling or similar standards that may exist under ESG Regimes. UBS has not assessed compliance with ESG Regimes. Parties should make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts liability for any loss (including investment loss) or damage arising out of the use of any of the Information.

Before making any investment or financial decision, any recipient of this document or the information should take steps to understand the investment's risk and return and seek individualized advice from their personal financial, legal, tax and other professional advisors, taking into account all relevant facts and circumstances of their investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations of individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices. They do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, express or implied, is given as to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in this document. UBS does not undertake to update or keep current the Information. Any statements contained in this document attributed to a third party represent UBS's interpretation of data, information and/or opinions provided by that third party,

publicly or through a subscription service, and such use and interpretation have not been reviewed by that third party. In no circumstances may this document or any Information, including any forecast, value, index or other calculated amount ("Values"), be used for: (i) valuation or accounting purposes; (ii) determining amounts due or payable, or the price or value of any financial instrument or financial contract; or (iii) measuring the performance of any financial instrument, including without limitation tracking the return or performance of any Value, defining the asset allocation of a portfolio or computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of those purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, including without limitation independence policies and permanent information barriers, intended, and relied on by UBS, to manage potential conflicts of interest and control the flow of information within UBS divisions and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research documents. As a result, investors should be aware that UBS may have a conflict of interest that could affect this document's objectivity. Investors should consider this document as only one factor in making an investment decision. For further information on how UBS Global Research manages conflicts and maintains the independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit https://www.ubs.com/disclosures.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which also has sole discretion over the timing and frequency of any published research product. The analysis in this document is based on numerous assumptions. All material information relating to published research documents, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history and other information required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could produce materially different results.

UBS Global Research may use artificial intelligence tools in the preparation of this document. Notwithstanding any such use, this document has undergone human review.

The analyst(s) responsible for preparing this document may interact with trading desk personnel, sales personnel and other parties to gather, apply and interpret market information. UBS relies on information barriers to control the flow of information from one or more areas within UBS to other areas, units, groups or affiliates. Compensation of the analyst(s) who prepared this document is determined exclusively by UBS Global Research management and senior management (excluding investment banking). It is not based on investment banking revenues; however, it may relate to the revenues of UBS and/or its divisions as a whole, including investment banking, sales and trading, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (as those terms are interpreted under English law or, if the activity is not carried out by UBS in the UK, under the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the issuer's financial instruments, except where liquidity provider activity is carried out in accordance with the definition under the laws and regulations of another EU jurisdiction, in which case it is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker, except where that activity is carried out in the US in accordance with the definition under applicable laws and regulations, in which case it will be specifically disclosed in this document. UBS may have issued a warrant whose value is based on one or more financial instruments referred to in this document. UBS and its affiliates and employees may have long or short positions, trade as principal, and buy and sell instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months, UBS may have received or provided investment services and activities or ancillary services under MiFID II that may have given rise to a payment or promise of payment in relation to those services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, in accordance with UBS's global sanctions policy. UBS's opinions as to future investment worthiness assume no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as associated with the Chinese Military in accordance with amended US Presidential Executive Order 13959.

United Kingdom: Distributed by UBS AG, London Branch to eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority ("PRA") and subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA. **Europe:** Except as otherwise specified, distributed by UBS Europe SE, a subsidiary of UBS AG, to eligible counterparties or professional clients (as defined under the Bundesanstalt fur Finanzdienstleistungsaufsicht ("BaFin") Rules and MIFID II) and are available only to such persons. The information in this document does not apply to, and should not be relied on by, retail clients. UBS Europe SE is authorised by the European Central Bank ("ECB") and regulated by BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, it is also deemed to have been prepared by UBS Europe SE. In all cases, it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for offering, marketing or sale by any means of any capital market instruments or services in the Republic of Turkey. Therefore, this document may not be considered an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be used in connection with providing capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, under article 15(d)(ii) of Decree No. 32, there is no restriction on the purchase or sale of securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce ("UBS Poland"). Where an analyst of UBS Poland has contributed to this document, the document is also deemed to have been prepared by UBS Poland. **Russia:** Prepared and distributed by UBS Bank (OOO). It should not be construed as an individual Investment Recommendation for the purposes of articles 6.1 and 6.2 of Russian Federal Law No. 39-FZ "On the Securities Market". **Switzerland:** Distributed by UBS AG to institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** Information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties as classified under the DFSA rulebook. No other person should act on this document/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE, nor by the UAE Securities and Commodities Authority. **Israel:** This document is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as defined under the Israeli Advisory Law). Nothing in this document should be considered investment advice under the Israeli Advisory Law. This document is only issued to and/or directed at persons who are Eligible Clients (within the meaning of the Israeli Advisory Law), and must not be furnished to, relied on or acted upon by any other person. **United States:** Distributed to US persons by UBS Securities LLC or UBS Financial Services Inc., subsidiaries of UBS AG, or by a group, subsidiary or affiliate of UBS AG not registered as a US broker-dealer (a "non-US affiliate") to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this document must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of that rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG registered to conduct business in Canada or otherwise exempt from registration. **Brazil:** Except as otherwise specified herein, this document is prepared by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. ("UBS BB CCTVM") for eligible investors residing in Brazil who are considered Professional Investors (Investidores Profissionais) under applicable regulation, primarily CVM Resolution No. 30 of 11 May 2021 (which determines the duty to verify the suitability of products, services and transactions to the client's profile). UBS BB CCTVM is a subsidiary of UBS BB Servicos de Assessoria Financeira e Participacoes S.A. ("UBS BB"). UBS BB is an association between UBS AG and Banco do Brasil (through its subsidiary BB Banco de Investimentos S.A.), of which UBS AG is the majority owner, and provides investment banking services and coverage in Brazil, Argentina, Chile, Paraguay, Peru and Uruguay. UBS BB CCTVM is regulated by the Comissao de Valores Mobiliarios (CVM) and the Central Bank of Brazil. Ombudsman: 0800-940-0266 / https://www.ubs.com/br/pt/ubsbb-investment-bank/ombudsman.html**Hong Kong:** Distributed by UBS Securities Asia Limited. Please contact local licensed persons of UBS Securities Asia Limited in respect of any matters arising from, or in connection with, the analysis or document. **Singapore:** Distributed by UBS Securities Pte. Ltd. (Co. Reg. No.: 198500648C] or UBS AG, Singapore Branch. Please contact UBS Securities Pte. Ltd., an exempt

financial adviser under the Singapore Financial Advisers Act (Cap. 110), or UBS AG, Singapore Branch, an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110) and a wholesale bank licensed under the Singapore Banking Act (Cap. 19) and regulated by the Monetary Authority of Singapore, regarding any matters arising from, or in connection with, the analysis or document. Recipients of this document represent and warrant that they are accredited and institutional investors as defined in the Securities and Futures Act (Cap. 289). **Japan:** Distributed by UBS Securities Japan Co., Ltd. to professional investors (except as otherwise permitted). Where this document has been prepared by UBS Securities Japan Co., Ltd., UBS Securities Japan Co., Ltd. is the author, publisher and distributor of the document. Distributed by UBS AG, Tokyo Branch to professional investors (except as otherwise permitted) in relation to foreign exchange and other banking businesses, where relevant. **Australia:** Recipients through a superannuation fund: Distributed by UBS AG, Australia Branch (ABN 47 088 129 613 and holder of Australian Financial Service Licence No. 231087). For all other recipients: Distributed by UBS Securities Australia Limited (ABN 62 008 586 481 and holder of Australian Financial Services Licence No. 231098). This document contains general information and/or general advice only and does not constitute personal financial product advice. As such, the Information in this document has been prepared without taking into account any investor's objectives, financial situation or needs, and investors should, before acting on the Information, consider the appropriateness of the Information, having regard to their objectives, financial situation and needs. If the Information contained in this document relates to the acquisition, or potential acquisition of a particular financial product by a 'Retail' client as defined by section 761G of the Corporations Act 2001 where a Product Disclosure Statement would be required, the retail client should obtain and consider the Product Disclosure Statement relating to the product before making any decision about whether to acquire the product. **New Zealand:** Distributed by UBS New Zealand Ltd. UBS New Zealand Ltd is not a registered bank in New Zealand. You are being provided with this document because you have indicated to UBS that you are a "wholesale client" within the meaning of clause 4 of schedule 5 of the Financial Markets Conduct Act 2013 of New Zealand ("Permitted Client"). This document is not intended for clients who are not Permitted Clients ("non-Permitted Clients"). If you are a non-Permitted Client, you must not rely on this document. If, despite this warning, you nevertheless rely on it, you hereby: (i) acknowledge that you may not rely on its content and that any recommendations or opinions in it are not made or provided to you; and (ii) to the maximum extent permitted by law, (a) indemnify UBS and its associates or related entities (and their respective directors, officers, agents and advisors) (each a "Relevant Person") for any loss, damage, liability or claim any of them may incur or suffer as a result of, or in connection with, your unauthorised reliance on this document, and (b) waive any rights or remedies you may have against any Relevant Person for any loss, damage, liability or claim you may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or document. **Korea:** Distributed in Korea by UBS Securities Pte. Ltd., Seoul Branch. This document may from time to time have been edited or contributed to by affiliates of UBS Securities Pte. Ltd., Seoul Branch. This document is intended for professional/institutional clients only and not for distribution to any retail clients. **Malaysia:** This document is authorized for distribution in Malaysia by UBS Securities Malaysia Sdn. Bhd (Capital Markets Services License No.: CMSL/A0063/2007). This document is intended for professional/institutional clients only and not for distribution to any retail clients. **India:** Distributed by UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) 2/F, 3 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai (India) 400051. Phone: +912261556000. It provides: (i) brokerage services under SEBI Registration Number: INZ000259830; (ii) Merchant Banking services under SEBI Registration Number: INM000013101; and (iii) Research Analyst services under SEBI Registration Number: INH000001204. Compliance Officer: Parameshwaran Shivaramakrishnan. Phone: +912261556151, Email: parameshwaran.s@ubs.com. Grievance Officer: Parameshwaran Shivaramakrishnan. Phone: +912261556151. Email: ol-ubs-sec-compliance@ubs.com. Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS may from time to time have debt holdings or positions or financial interests (e.g., loan/derivative products, rights to or interests in investments) in the subject Indian company/companies. Within the past 12 months, UBS may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS during the 12 months preceding the date of distribution of the research document with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html. The Research Annual Compliance Report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under the Research tab. **Taiwan:** Except as otherwise specified herein, this document may not be distributed in Taiwan. Information and materials on securities/instruments traded on a Taiwan organized exchange are deemed to be issued and distributed by UBS Securities Pte. Ltd., Taipei Branch, which is licensed and regulated by the Taiwan Financial Supervisory Commission. Except for securities/instruments traded in a Taiwan organized exchange, this document should not constitute a "recommendation" to clients or recipients in Taiwan for the covered companies or any companies mentioned in this document. This document may not be reproduced or quoted, in whole or in part, by the press or any other person without authorisation from UBS. **Indonesia:** This document is distributed by PT UBS Sekuritas Indonesia and delivered by its licensed employee(s), including marketing or sales persons, to its client. PT UBS Sekuritas Indonesia, having its registered office at Sequis Tower Level 22 unit 22-1,Jl.Jend. Sudirman, kav.71, SCBD lot 11B, Jakarta 12190. Indonesia, is a subsidiary of UBS AG and licensed under Capital Market Law no. 8 year 1995, and holds broker-dealer and underwriter licenses issued by the Capital Market and Financial Institution Supervisory Agency (now Otoritas Jasa Keuangan (OJK)). PT UBS Sekuritas Indonesia is also a member of the Indonesia Stock Exchange and supervised by Otoritas Jasa Keuangan (OJK). Neither this document nor any copy may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This document is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstances constituting an offering within the meaning of Indonesian capital market laws and regulations.

The disclosures contained in research documents produced by UBS AG, London Branch or UBS Europe SE are governed by and construed in accordance with English law.

UBS specifically prohibits the redistribution of this document in whole or in part without the written permission of UBS and in any event UBS accepts no liability whatsoever for any redistribution of this document or its contents or the actions of third parties in this respect. Images may depict objects or elements that are protected by third party copyright, trademarks and other intellectual property rights. © UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

Global Wealth Management Disclaimer

You receive this document in your capacity as a client of UBS Global Wealth Management. This publication has been distributed to you by UBS Switzerland AG (regulated by FINMA in Switzerland) or its affiliates (**"UBS"**) with whom you have a banking relationship with. The full name of the distributing affiliate and its competent authority can be found in the country-specific disclaimer at the end of this document. UBS may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The date and time of the first dissemination of this publication is the same as the date and time of its publication.

Risk information:

You agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research, and that you shall not extract data from any research or estimates, without the prior written consent of UBS.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is **for your information only**; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the information (as defined below).

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical

model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any opinions expressed in this document may change without notice and may differ or be contrary to opinions expressed by other business areas or groups, personnel or other representative of UBS. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes: (i) valuation or accounting purposes; (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS (including between Global Wealth Management and UBS Global Research) and among its subsidiaries, branches and affiliates. For further information on the ways in which UBS manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS research recommendations, please visit https://www.ubs.com/research-methodology.

Research will initiate, update and cease coverage solely at the discretion of research management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. Different assumptions could result in materially different results.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS's subsidiaries, branches and affiliates as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS AG, its affiliates or subsidiaries (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms in the UK) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Options and futures are not suitable for all investors, and trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "Characteristics and Risks of Standardized Options". You may read the document at https://www.theocc.com/about/publications/character-risks.jsp or ask your financial advisor for a copy.

Investing in structured investments involves significant risks. For a detailed discussion of the risks involved in investing in any particular structured investment, you must read the relevant offering materials for that investment. Structured investments are unsecured obligations of a particular issuer with returns linked to the performance of an underlying asset. Depending on the terms of the investment, investors could lose all or a substantial portion of their investment based on the performance of the underlying asset. Investors could also lose their entire investment if the issuer becomes insolvent. UBS does not guarantee in any way the obligations or the financial condition of any issuer or the accuracy of any financial information provided by any issuer. Structured investments are not traditional investments and investing in a structured investment is not equivalent to investing directly in the underlying asset. Structured investments may have limited or no liquidity, and investors should be prepared to hold their investment to maturity. The return of structured investments may be limited by a maximum gain, participation rate or other feature. Structured investments may include call features and, if a structured investment is called early, investors would not earn any further return and may not be able to reinvest in similar investments with similar terms. Structured investments include costs and fees which are generally embedded in the price of the investment. The tax treatment of a structured investment may be complex and may differ from a direct investment in the underlying asset. UBS and its employees do not provide tax advice. Investors should consult their own tax advisor about their own tax situation before investing in any securities.

Important Information About Sustainable Investing Strategies: This terminology refers to definitions in the UBS Sustainable Investing Framework and does not refer or relate to any product specific regulatory labelling regime or naming conventions. Sustainable investing strategies aim to consider and incorporate environmental, social and governance (ESG) factors into investment process and portfolio construction. Strategies across geographies approach ESG analysis and incorporate the findings in a variety of ways. Incorporating ESG factors or sustainable investing considerations may inhibit the portfolio manager's ability to participate in certain investment opportunities that otherwise would be consistent with its investment objective and other principal investment strategies. The returns on a portfolio incorporating ESG factors or sustainable investing considerations may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered by the portfolio manager, and the investment opportunities available to such portfolios may differ.

Within the past 12 months UBS Switzerland AG, its affiliates or subsidiaries may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Disclosures: If you require detailed information on disclosures of interest or conflict of interest as required by Market Abuse Regulation please contact the mailbox MAR_disclosure_twopager@ubs.com. Please note that e-mail communication is unsecured.

External Asset Managers / External Financial Consultants: In case this research or publication is provided to an External Asset Manager or an External Financial Consultant, UBS expressly prohibits that it is redistributed by the External Asset Manager or the External Financial Consultant and is made available to their clients and/or third parties.

Argentina: All securities that will be offered to you by UBS are not authorized by the Argentine Securities and Exchange Commission (CNV) and are not subject to its reporting, periodic information requirements, or oversight. Furthermore, the CNV has not reviewed or endorsed the information provided in any securities offering document, nor the accuracy of any accounting, financial, economic data, or any other information disclosed therein, which remains the sole responsibility of the respective issuer and the other parties involved. **Australia:** This document is provided by UBS Switzerland AG. UBS Switzerland AG does not hold an Australian Financial Services Licence (AFSL) and relies on an exemption to provide financial services to persons in Australia. This document is intended only for distribution to wholesale clients under the Corporations Act 2001 (Cth). UBS Switzerland AG is a related body corporate of UBS AG, Australia Branch and UBS Securities Australia Limited. This document may be distributed to clients by those entities, but it is provided by UBS Switzerland AG and is not provided under any of the other entities' AFSL. The information in this document is general in nature and is not intended to address the objectives, financial situation or needs of any particular individual or entity. Each recipient should consider their own objectives, financial situation or needs before acting on the advice and obtain the relevant Product Disclosure Statement (if required) before making any decision whether to acquire any product. In Australia, UBS entities, other than UBS AG, Australia Branch, are not authorized deposit-taking institutions for the purposes of the Banking Act 1959 (Cth.) and their obligations do not represent deposits or other liabilities of UBS AG, Australia Branch. UBS AG, Australia Branch does not guarantee or otherwise provide assurance in respect of the obligations of such UBS entities or the funds. An investor is exposed to investment risk including possible delays in repayment and loss of income and principal invested, as relevant. If you do not wish to receive marketing materials from UBS, please contact your UBS representative or the contact details listed in the Australia Privacy Notice: https://www.ubs.com/global/en/legal/privacy.html. Your personal data will be processed in accordance with this notice. **Bahrain**: This report is being distributed by UBS AG, Bahrain Branch, duly licensed and regulated by the Central Bank of Bahrain (CBB) as an Investment Business Firm - Category 2 (Branch). Related financial services or products are only made available to Accredited Investors, as defined by the CBB, and are not intended for any other persons. UBS AG, Bahrain Branch is a Foreign Branch of UBS AG, Zurich/Switzerland and is located on Level 21, East Tower, Bahrain World Trade Centre, Manama, Kingdom of Bahrain. **Brazil**: This report is distributed in Brazil by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. or its affiliates ("UBS"). Pursuant to CVM Resolution No. 20/2021, of February 25, 2021, the author(s) of the report hereby certify(ies) that the views expressed in this report solely and exclusively reflect their personal opinions and have been prepared independently, including with respect to UBS. Part of the author(s)'s compensation is based on various factors, including the total revenues of the relevant UBS Group entity of which they are in employment of, but no part of the compensation has been, is, or will be related to the specific recommendations or views expressed in this report. In addition, UBS declares that: UBS has provided, and/or may in the future provide investment banking, brokerage, asset management, commercial banking and other financial services to the subject company/companies or its affiliates, for which they have received or may receive customary fees and commissions, and which constituted or may constitute relevant financial or commercial interests in relation to the subject company/companies or the subject securities. **Canada**: This publication is for your information only and is not intended as an offer, or a solicitation of an offer, to buy or sell any investment or other specific product. Although all information and opinions expressed in this publication were obtained from sources believed to be reliable and in good faith, no representation or warranty, express or implied, is made as to its accuracy or

completeness. All information and opinions as well as any figures indicated herein are subject to change without notice. At any time, UBS AG ("UBS") and other companies in the UBS group (or employees thereof) may have a long or short position, or deal as principal or agent, in relevant securities or provide advisory or other services to the issuer of relevant securities or to a company connected with an issuer. Some investments may not be readily realizable since the market in the securities is illiquid and therefore valuing the investment and identifying the risk to which you are exposed may be difficult to quantify. Past performance of investments is not a guarantee of future results, and the value of investments may fluctuate over time. There is no guarantee that investment objectives risk or return targets discussed in this publication will be received or attained. For clients and prospective clients of UBS Bank (Canada), please note that this publication has no regard to the specific investment objectives, financial situation or particular needs of any recipient. Neither UBS Bank (Canada) nor UBS Investment Management Canada Inc. is acting as an adviser or fiduciary to or for any recipient of this report unless otherwise agreed upon in writing. Not all products or services may be available at UBS Bank (Canada). Some products and services may be legally restricted for residents of certain countries. Should you have any questions, please contact UBS Bank (Canada) and ask to speak to a member of our Wealth Management Team. UBS Wealth Management is a registered trade-mark of UBS AG. UBS Bank (Canada) is a subsidiary of UBS AG. Investment advisory and portfolio management services are provided through UBS Investment Management Canada Inc., a wholly-owned subsidiary of UBS Bank (Canada). UBS Investment Management Canada Inc. is a registered portfolio manager and exempt market dealer in all the provinces with the exception of P.E.I. and the territories. This publication may not be reproduced, or copies circulated without prior authority of UBS Bank (Canada). **China**: This report and any offering material such as term sheet, research report, other product or service documentation or any other information (the "Material") sent with this report was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the material erroneously, UBS asks that you kindly delete it and inform UBS immediately. This report is prepared by UBS Switzerland AG or its offshore subsidiary or affiliate (collectively as "UBS Offshore"). UBS Offshore is an entity incorporated out of China and is not licensed, supervised or regulated in China to carry out banking or securities business. The recipient should not contact the analysts or UBS Offshore which produced this report for advice as they are not licensed to provide securities investment advice in China. UBS Investment Bank (including Research) has its own wholly independent research and views which at times may vary from the views of UBS Global Wealth Management. The recipient should not use this document or otherwise rely on any of the information contained in this report in making investment decisions and UBS takes no responsibility in this regard. **Denmark**: This publication is not intended to constitute a public offer under Danish law. It is distributed only for information purposes to clients of UBS Europe SE, Denmark Branch, filial af UBS Europe SE, with place of business at Sankt Annae Plads 13, 1250 Copenhagen, Denmark, registered with the Danish Commerce and Companies Agency, under No. 38 17 24 33. UBS Europe SE, Denmark Branch, filial af UBS Europe SE is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Danish Financial Supervisory Authority (Finanstilsynet), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Egypt**: Securities or other investment products are not being offered or sold by UBS to the public in Egypt and they have not been and will not be registered with the Egyptian Financial Regulatory Authority (FRA). **France**: This publication is not intended to constitute a public offer under French law, it does not constitute a personal recommendation as it is distributed only for information purposes to clients of UBS Europe SE Succursale de France (a branch of UBS Europe SE), having its registered office at 39, rue du Colisée, 75008 Paris, France, registered with the "Registre du Commerce et des Sociétés" of Paris under N°844 425 629. UBS Europe SE Succursale de France is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the French "Autorité de contrôle prudentiel et de résolution" and "Autorité des marchés financiers", to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Germany**: This publication is not intended to constitute a public offer under German law. It is distributed only for information purposes to clients of UBS Europe SE, Germany, with place of business at Bockenheimer Landstrasse 2-4, 60306 Frankfurt am Main. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and supervised jointly by the European Central Bank, the German Central Bank (Deutsche Bundesbank) and BaFin, to which this publication has not been submitted for approval. **Hong Kong SAR**: This publication is distributed to clients of UBS AG Hong Kong Branch by UBS AG Hong Kong Branch, a licensed bank under the Hong Kong Banking Ordinance and a registered institution under the Securities and Futures Ordinance. UBS AG Hong Kong Branch is incorporated in Switzerland with limited liability. The contents of this material have not been reviewed by any regulatory authority in Hong Kong. **Indonesia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including futures contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Israel**: UBS is a premier global financial firm offering wealth management, asset management and investment banking services from its headquarters in Switzerland and its operations in over 50 countries worldwide to individual, corporate and institutional investors. This publication is intended for information only and is not intended as an offer to buy or solicitation of an offer. Furthermore, this publication is not intended as an investment advice. Nothing contrary to the above, no action has been, or will be, taken in Israel that would permit an offering of the product(s) mentioned in this document or a distribution of this document to the public in Israel. In particular, this document has not been reviewed or approved by the Israeli Securities Authority. The product(s) mentioned in this document is/are being offered to a limited number of sophisticated investors who qualify as one of the investors listed in the first supplement to the Israeli Securities Law, 5728-1968. This document may not be reproduced or used for any other purpose, nor be furnished to any other person other than those to whom copies have been sent. Anyone who purchases the product(s) mentioned herein shall do so for its own benefit and for its own account and not with the aim or intention of distributing or offering the product(s) to other parties. Anyone who purchases the product(s) shall do so in accordance with its own understanding and discretion and after it has received any relevant financial, legal, business, tax or other advice or opinion required by it in connection with such purchase(s). The word "advice" and/or any of its equivalent terms shall be read and construed in conjunction with the definition of the term "investment marketing" as defined under the Israeli Regulation of Investment Advice, Investment Marketing and Portfolio Management Law. The Swiss laws and regulations require a number of mandatory disclosures to be made in independent financial research reports or recommendations. Pursuant to the Swiss Financial Market Infrastructure Act and the Financial Market Infrastructure Ordinance-FINMA, banks must disclose the percentage of voting rights they hold in companies being researched, if these holdings are equal to or exceed the statutory thresholds. In addition, the Directives on the Independence of Financial Research, issued by the Swiss Bankers Association, mandate a number of disclosures, including the disclosure of potential conflicts of interest, the participation within previous 12 months in any securities issues on behalf of the company being researched, as well as the fact that remuneration paid to the financial analysts is based generally upon the performance of (i) the new issues department or investment banking; or (ii) securities trading performance (including proprietary trading) or sales. **Italy**: This publication is not intended to constitute a public offer under Italian law. It is distributed only for information purposes to clients of UBS Europe SE, Succursale Italia, with place of business at Via del Vecchio Politecnico, 3-20121 Milano. UBS Europe SE, Succursale Italia is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Bank of Italy (Banca d'Italia) and the Italian Financial Markets Supervisory Authority (CONSOB - Commissione Nazionale per le Società e la Borsa), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Japan**: This report is solely distributed in Japan by UBS SuMi TRUST Wealth Management Co., Ltd, Financial Instruments Dealer, Director-General of Kanto Local Finance Bureau (Kinsho) No. 3233, a member of the Japan Securities Dealers Association, Financial Futures Association of Japan, Investment Management Association of Japan. UBS SuMi TRUST Wealth Management Co., Ltd will not distribute or forward this report outside Japan. **Jersey**: UBS AG, Jersey Branch, is regulated and authorized by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Where services are provided from outside Jersey, they will not be covered by the Jersey regulatory regime. UBS AG, Jersey Branch is a branch of UBS AG a public company limited by shares, incorporated in Switzerland whose registered offices are at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH 8001 Zurich. UBS AG, Jersey Branch's principal place of business is 1, IFC Jersey, St Helier, Jersey, JE2 3BX. **Luxembourg**: This publication is not intended to constitute a public offer under Luxembourg law. It is distributed only for information purposes to clients of UBS Europe SE, Luxembourg Branch ("UBS Luxembourg"), R.C.S. Luxembourg n° B209123, with registered office at 33A, Avenue J. F. Kennedy, L-1855 Luxembourg. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and subject to the joint prudential supervision of BaFin, the European Central Bank and the central bank of Germany (Deutsche Bundesbank). UBS Luxembourg is furthermore supervised by the Luxembourg prudential supervisory authority (Commission de Surveillance du Secteur Financier), in its role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Malaysia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant

investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Mexico**: This information is distributed by UBS Asesores México, S.A. de C.V. ("UBS Asesores"), an affiliate of UBS Switzerland AG, incorporated as a non-independent investment advisor under the Mexican regulation due to the relation with a Foreign Bank. UBS Asesores is registered under number 30060-001-(14115)-21/06/2016 and subject to the supervision of the Mexican Banking and Securities Commission ("CNBV") exclusively regarding the rendering of (i) portfolio management services, (ii) securities investment advisory services, analysis and issuance of individual investment recommendations, and (iii) anti-money laundering and terrorism financing matters. This UBS publication or any material related thereto is addressed only to Sophisticated or Institutional Investors located in Mexico. Research reports only reflect the views of the analysts responsible for the report. The compensation of the analyst(s) who prepared this report is determined exclusively by research management and senior management of any entity of UBS Group to which such analyst(s) render(s) services. **Monaco**: This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco laws, but might be made available for information purposes to clients of UBS (Monaco) S.A., a regulated bank having its registered office at 2 avenue de Grande Bretagne 98000 Monaco operating under a banking license granted by the "Autorité de Contrôle Prudentiel et de Résolution" (ACPR) and the Monegasque government which authorizes the provision of banking services in Monaco. UBS (Monaco) S.A. is also licensed by the "Commission de Contrôle des Activités Financières" (CCAF) to provide investment services in Monaco. The latter has not approved this publication. **Philippines:** This communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Portugal**: This publication is not intended to constitute a public offer under Portuguese law. It is distributed only for information purposes by UBS Europe SE, Sucursal em Portugal (UBS Portugal), Commercial Register of Lisbon (Conservatoria do Registo comercial de Lisboa) no. 980492491, with registered office at Avenida da Liberdade, n. 0 180-A, 8.0 andar, 1250-146 Lisboa. UBS Portugal is a branch of UBS Europe SE, a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht – "BaFin") and subject to the joint prudential supervision of BaFin, the central bank of Germany (Deutsche Bundesbank) and the European Central Bank. UBS Portugal is furthermore supervised by the Portuguese banking and financial authorities as the "Banco de Portugal" and the "Comissão do Mercado dos Valores Mobiliários" in their role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Qatar**: UBS Qatar LLC is licensed by the Qatar Financial Centre Authority and authorized by the QFC Regulatory Authority, with QFC no. 01169, and has its registered office at Lusail - Qatar, 14th Floor, Office No. 5 and 6, Building No. 157, Burj Alfardan, Al Majdami. This material is strictly intended for Eligible Counterparties and/or Business Customers only as classified under the QFCRA's Customer and Investor Protection Rules 2019. No other person should act upon this material. **Russia**: This document or information contained therein is for information purposes only and constitutes neither a public nor a private offering, is not an invitation to make offers, to sell, exchange or otherwise transfer any financial instruments in the Russian Federation to or for the benefit of any Russian person or entity and does not constitute an advertisement or offering of securities in the Russian Federation within the meaning of Russian securities laws. The information contained herein is not an "individual investment recommendation" as defined in Federal Law of 22 April 1996 No 39-FZ "On Securities Market" (as amended) and the financial instruments and operations specified herein may not be suitable for your investment profile or your investment goals or expectations. The determination of whether or not such financial instruments and operations are in your interests or are suitable for your investment goals, investment horizon or the acceptable risk level is your responsibility. We assume no liability for any losses connected with making any such operations or investing into any such financial instruments and we do not recommend to use such information as the only source of information for making an investment decision. **Saudi Arabia**: This material is for marketing and information purposes by UBS Saudi Arabia only. It has been distributed by UBS Saudi Arabia or reviewed and approved by UBS Saudi Arabia if it was issued by UBS Switzerland AG, by UBS AG, or any of its subsidiaries or branches. UBS Switzerland AG is a public company limited by shares, incorporated in Switzerland with its registered offices at Bahnhofstrasse 45, CH-8001 Zurich. UBS Saudi Arabia (a subsidiary of UBS AG) is a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia with a paid capital of 110,000,000 Saudi Riyals under commercial register number 1010257812 having its registered office at Laysen Valley, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. This document is distributed only under such circumstances as may be permitted by applicable laws and regulations. The information and – if any - opinions contained in this document have been compiled or arrived at based upon information obtained from sources believed to be reliable and in good faith, but is not guaranteed as being accurate, nor is it a complete statement or summary of the securities, markets or developments referred to in the document. All such information and opinions are subject to changes without notice. Past performance of investments (whether simulated or actual) is not necessarily an indicator of future results. Forward looking data is based on estimates that are subject to changes. Should the currency of a financial product or service not match your reference currency, performance may rise or fall due to currency fluctuations. UBS Switzerland AG and / or other members of the UBS Group may have a position in and may make a purchase and/or sale of any of the securities or other financial instruments mentioned in this document While statements that constitute "forward-looking statements", including, but not limited to, statements relating to our future business development represent UBS judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors could cause actual developments and results to differ materially from our expectations. This document may not be forwarded, reproduced, redistributed or republished for any purpose without the written permission of UBS Saudi Arabia. Source for all data and charts (if not indicated otherwise) is UBS Switzerland AG. **Singapore**: Where applicable, this material is distributed in Singapore by UBS AG, Singapore Branch, which is licensed by the Monetary Authority of Singapore under the Banking Act 1970 to carry on banking business. UBS AG is incorporated in Switzerland with limited liability. UBS AG has a branch registered in Singapore (UEN S98FC5560C). This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (each as defined under the Financial Advisers Regulations (the "FAR")) only. By virtue of your status as an institutional investor, accredited investor, or expert investor, UBS AG is exempted from complying with certain requirements under the Financial Advisers Act 2001 (the "FAA"), the FAR and the relevant Notices and Guidelines issued thereunder, in respect of any financial advisory service which UBS AG may provide to you. These include exemptions from complying with: Section 34 of the FAA (pursuant to Regulation 33(1) of the FAR); Section 36 of the FAA (pursuant to Regulation 34(1) of the FAR); and Section 45 of the FAA (pursuant to Regulation 35(1) of the FAR). Singapore recipients and clients of UBS AG, Singapore Branch should contact UBS AG, Singapore Branch for any matters arising from, or in connection with, this material. Where applicable, this communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved or endorsed by any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Spain:** This report is distributed in Spain by UBS AG, Sucursal en España, authorized under number 1460 in the Register by the Banco de España. **Sweden**: This publication is not intended to constitute a public offer under Swedish law. It is distributed only for information purposes to clients of UBS Europe SE, Sweden Bankfilial, with place of business at Regeringsgatan 38, 11153 Stockholm, Sweden, registered with the Swedish Companies Registration Office under Reg. No 516406-1011. UBS Europe SE, Sweden Bankfilial is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Swedish supervisory authority (Finansinspektionen), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Taiwan**: This material is provided by UBS AG, Taipei Branch in accordance with laws of Taiwan, in agreement with or at the request of clients/prospects. **Thailand**: This communication and any offering material, term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication were done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as

set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Türkiye**: The information in this document is not provided for the purpose of offering, marketing or sale of any capital market instrument or service in the Republic of Türkiye. Therefore, this document may not be considered as an offer made, or to be made, to residents of the Republic of Türkiye in the Republic of Türkiye. UBS Switzerland AG is not licensed by the Capital Markets Board of Türkiye (the CMB) under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instrument/service may be utilized in connection with providing any capital market services to persons within the Republic of Türkiye without the prior approval of the CMB. However, according to article 15 (d) (ii) of the Decree No. 32 residents of the Republic of Türkiye are allowed to purchase or sell the financial instruments traded in financial markets outside of the Republic of Türkiye. Further to this, pursuant to article 9 of the Communiqué on Principles Regarding Investment Services, Activities and Ancillary Services No. III-37.1, investment services provided abroad to residents of the Republic of Türkiye based on their own initiative are not restricted. **United Arab Emirates (UAE) / DIFC / Abu Dhabi**: UBS is not licensed in the UAE by the Central Bank of the UAE nor by the Capital Market Authority of the UAE and does not undertake banking activities in the UAE. This document is provided for your information only and does not constitute financial advice. **DIFC**: UBS AG Dubai Branch is regulated by the DFSA in the DIFC. This material is strictly intended for Professional Clients and/or Market Counterparties only as classified under the DFSA rulebook. It should not be distributed to Retail Clients. The Investment Research is provided for information purposes only and is not a recommendation or offer to buy/sell/hold a particular investment. The investment research may be out of date. You should seek investment advice before acting on the basis of the Investment Research. **Abu Dhabi**: UBS AG Abu Dhabi Branch is licensed and regulated by the Financial Services Regulatory Authority ("FSRA") of the Abu Dhabi Global Market. This material is intended solely for professional clients or market counterparties, as defined in the rules of the FSRA. It is not directed at, nor intended for, retail clients or any person who does not meet the criteria of a professional client or market counterparty. **United Kingdom**: This document is issued by UBS Wealth Management, a division of UBS AG which is authorised and regulated by the Financial Market Supervisory Authority in Switzerland. In the United Kingdom, UBS AG is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of regulation by the Prudential Regulation Authority are available from us on request. A member of the London Stock Exchange. This publication is distributed to retail clients of UBS Wealth Management. **Ukraine**: UBS is a premier global financial services firm offering wealth management services to individual, corporate and institutional investors. UBS is established in Switzerland and operates under Swiss law and in over 50 countries and from all major financial centers. UBS is not registered and licensed as a bank/financial institution under Ukrainian legislation and does not provide banking and other financial services in Ukraine. UBS has not made, and will not make, any offer of the mentioned products to the public in Ukraine. No action has been taken to authorize an offer of the mentioned products to the public in Ukraine and the distribution of this document shall not constitute financial services for the purposes of the Law of Ukraine "On Financial Services and Financial Companies" dated 14 December 2021. Any offer of the mentioned products shall not constitute an investment advice, public offer, circulation, transfer, safekeeping, holding or custody of securities in the territory of Ukraine. Accordingly, nothing in this document or any other document, information or communication related to the mentioned products shall be interpreted as containing an offer, a public offer or invitation to offer or to a public offer, or solicitation of securities in the territory of Ukraine or investment advice under Ukrainian law. Electronic communication must not be considered as an offer to enter into an electronic agreement or other electronic instrument within the meaning of the Law of Ukraine "On Electronic Commerce" dated 3 September 2015. This document is strictly for private use by its holder and may not be passed on to third parties or otherwise publicly distributed. **USA**: Distributed to US persons only by UBS Financial Services Inc. or UBS Securities LLC, subsidiaries of UBS AG. UBS Switzerland AG, UBS Europe SE, UBS Bank, S.A., UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A., UBS Asesores México, S.A. de C.V., UBS SuMi TRUST Wealth Management Co., Ltd., UBS Wealth Management Israel Ltd. and UBS Menkul Degerler AS are affiliates of UBS AG. **UBS Financial Services Inc. accepts responsibility for the content of a report prepared by a non-US affiliate when it distributes reports to US persons. All transactions by a US person in the securities mentioned in this report should be effected through a US-registered broker dealer affiliated with UBS, and not through a non-US affiliate. The contents of this report have not been and will not be approved by any securities or investment authority in the United States or elsewhere. UBS Financial Services Inc. is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule") and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule.** For information on the ways in which UBS Securities LLC manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures.

© UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

First Read

Powertech Technology

Subsidiaries drive stronger revenue/OP growth; FOPLP expansion back on track

Equities

Taiwan
Semiconductors

12-month rating **Neutral**

12m price target	**NT$280.00**
	Prior : NT$260.00
Price (27 Oct 2026)	**NT$254.50**

RIC: 6239.TW **BBG:** 6239 TT

Trading data and key metrics

52-wk range	NT$379.00-151.00
Market cap.	NT$193b/US$5.95b
Shares o/s	759m (ORD)
Free float	90%
Avg. daily volume ('000)	15,401
Avg. daily value (m)	NT$4,234.2
Common s/h equity (12/26E)	NT$59.8b
P/BV (12/26E)	3.1x
Net debt to EBITDA (12/26E)	0.9x

EPS (UBS, diluted) (TWD)

	From	To	% ch	Cons.
12/26E	12.58	12.94	3	12.53
12/27E	15.24	16.59	9	17.70
12/28E	17.81	19.00	7	20.75

Jerry Su
Analyst
jerry.su@ubs.com
+886-28-722 7306

Annie Chen
Associate Analyst
annie.chen@ubs.com
+886-2-8722 7281

Q326 results broadly in-line despite better GM

Q326 EPS of NT$3.54 was broadly in-line with UBSe/consensus as stronger revenue and better GM were offset by higher tax and minority interests. Q326 sales rose 9.6% QoQ to NT$25.3 bn on robust DRAM/eSSD demand and price hikes, ahead of UBSe/Street's +5-6% QoQ. GM expanded by 2.2ppt QoQ to 24.0%, supported by better pricing, higher loadings and more favourable mix. By business, higher GM testing increased by 1ppt QoQ to 24% of total sales, while lower margin SiP/module declined 2ppt QoQ to 9%, and packaging increased 1ppt QoQ to 67%. By entity, we estimate 43%-owned Greatek and 61%-owned Teraprobe each delivered mid-teens % QoQ revenue growth in Q326, versus only mid-single % growth at PTI standalone. The stronger contribution from subsidiaries, however, resulted in higher effective tax rate and minority interests.

Near-term outlook remains constructive

Management remains constructive on the near-term outlook, supported by AI/cloud investment cycle, continued memory supply constraint, and PTI's ongoing diversification into non-memory segments. Q426F UTRs are expected to remain elevated following over-90% levels in Q3, while ASPs should continue to increase as customers absorb higher raw material costs. PTI is also expanding its exposure to logic Flip-Chip BGA, while premium-segment automotive demand remains stable. Nevertheless, consumer electronics demand is showing some weakness amid higher memory pricing. We forecast Q426 sales to grow 4% QoQ and GM to expand 0.8ppt QoQ to 24.8%. Looking into 2027E, we believe GM to remain in the mid-20% range, as continued memory supply tightness and better mix should largely offset higher depreciation.

FOPLP expansion back on track

PTI indicated its FOPLP expansion remains on track for mass production in 2027, with the equipment delivery schedule having improved. It sees robust customer demand with notable increases in New Product Introduction (NPI). We continue to model FOPLP capacity of 3K substrates/month in 2026E, rising to 6K by mid-2027E in Taiwan, with panel substrate size of 510 mm x 515 mm. Importantly, PTI aims to serve end-customers directly and capture greater value-add, rather than operate as an outsourcing partner to leading wafer foundry. Its JV with Broadcom remains under review by Taiwan's MOEA Investment Commission with management expecting a decision in the near-term.

Valuation: Raise PT to NT$280, retain NEUTRAL

We revise our 2026/27/28E EPS by 3%/9%/7% on better sales/GM, offset by higher tax and minority interest from subsidiaries. We raise PT to NT$280 (from NT$260) with the same 17x 2027E PE. While near-term outlook has improved we believe further upside will depend on the execution of the FOPLP ramp and the sustainability of pricing

Highlights (NT$m)	12/23	12/24	12/25	12/26E	12/27E	12/28E	12/29E	12/30E
Revenues	70,441	73,315	74,929	96,171	111,999	125,155	132,574	138,720
EBIT (UBS)	8,154	9,382	8,132	15,668	20,732	23,876	25,769	27,209
Net earnings (UBS)	8,009	6,789	5,536	9,562	12,257	14,036	15,234	16,196
EPS (UBS, diluted) (NT$)	10.72	9.08	7.47	12.94	16.59	19.00	20.62	21.92
DPS (net) (NT$)	8.81	8.20	8.43	4.73	6.47	8.30	9.50	10.31
Net (debt) / cash	(2,751)	3,510	(13,741)	(25,936)	(35,558)	(34,741)	(23,433)	(10,439)
Profitability/valuation	**12/23**	**12/24**	**12/25**	**12/26E**	**12/27E**	**12/28E**	**12/29E**	**12/30E**
EBIT (UBS) margin %	11.6	12.8	10.9	16.3	18.5	19.1	19.4	19.6
ROIC (EBIT) %	14.0	13.6	10.8	17.0	18.6	18.7	19.1	19.9
EV/EBITDA (UBS core) x	3.7	5.9	5.9	7.7	6.3	5.6	5.2	4.9
P/E (UBS, diluted) x	9.4	17.0	18.0	19.7	15.3	13.4	12.3	11.6
Equity FCF (UBS) yield %	14.2	10.0	(8.9)	(10.1)	(4.6)	1.2	6.8	7.9
Dividend yield (net) %	8.7	5.3	6.3	1.9	2.5	3.3	3.7	4.1

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of NT$ 254.50 on 27-Oct-2026

outlook.

Figure 1: UBS vs. VA Consensus Q326A/Q426E and 2025A-27E

	2Q26	3Q26			4Q26E		
(NT$m)	Actual	Actual	UBSe prior	VA	UBSe	UBSe prior	VA
Revenue	**23,116**	**25,334**	**24,219**	**24,595**	**26,407**	**24,605**	**25,287**
- QoQ / YoY	8.5%	9.6%	4.8%	6.4%	4.2%	1.6%	2.8%
Gross profit	**5,031**	**6,085**	**5,355**	**5,471**	**6,547**	**5,492**	**5,685**
- Gross margin	21.8%	24.0%	22.1%	22.2%	24.8%	22.3%	22.5%
Operating profit	**3,531**	**4,472**	**3,887**	**4,008**	**4,904**	**4,025**	**4,188**
- OP margin	15.3%	17.7%	16.1%	16.3%	18.6%	16.4%	16.6%
Non-Op	**131**	**85**	**113**	**91**	**35**	**73**	**87**
Pre-tax profit	**3,661**	**4,557**	**4,000**	**4,099**	**4,939**	**4,098**	**4,275**
Tax	**811**	**992**	**760**	**804**	**1,037**	**779**	**839**
- Tax rate	-22%	-22%	-19%	-20%	-21%	-19%	-20%
Net profit	**2,219**	**2,612**	**2,578**	**2,648**	**2,887**	**2,657**	**2,770**
EPS (NT$)	**3.00**	**3.54**	**3.49**	**3.52**	**3.91**	**3.60**	**3.70**

2025	2026E			2027E			2028E		
Actual	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA	UBSe	UBSe prior	VA
74,929	**96,171**	**93,254**	**94,312**	**111,999**	**103,336**	**112,179**	**125,155**	**113,425**	**127,902**
2.2%	28.3%	24.5%	25.9%	16.5%	10.8%	18.9%	11.7%	21.6%	14.0%
12,729	**21,807**	**20,022**	**20,331**	**27,274**	**23,008**	**25,691**	**30,696**	**25,724**	**30,144**
17.0%	22.7%	21.5%	21.6%	24.4%	22.3%	22.9%	24.5%	22.7%	23.6%
8,132	**15,668**	**14,204**	**14,488**	**20,732**	**17,028**	**19,370**	**23,876**	**19,599**	**23,367**
10.9%	16.3%	15.2%	15.4%	18.5%	16.5%	17.3%	19.1%	17.3%	18.3%
660	**647**	**712**	**704**	**230**	**204**	**352**	**131**	**19**	**342**
8,792	**16,314**	**14,917**	**15,192**	**20,963**	**17,233**	**19,721**	**24,006**	**19,618**	**23,709**
1,572	**3,611**	**3,120**	**3,224**	**4,578**	**3,400**	**4,076**	**5,247**	**3,874**	**4,952**
-18%	-22%	-21%	-21%	-22%	-20%	-21%	-22%	-20%	-21%
5,536	**9,562**	**9,298**	**9,482**	**12,257**	**11,259**	**12,769**	**14,036**	**13,159**	**15,504**
7.47	**12.94**	**12.58**	**12.66**	**16.59**	**15.24**	**17.25**	**19.00**	**17.81**	**21.83**

Source: Company data, UBS estimates, Visible Alpha

Figure 2: Powertech annual P&L summary

Ticker		6239.TW	Current Price (NT$)			$254.5
Shares outstanding (mn)		738.8	Mkt cap (NT$ mn)			$188,024
Year	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenues (NT$ mn)	**$74,929**	**$96,171**	**$111,999**	**$125,155**	**$132,574**	**$138,720**
YoY Growth (%)		**28.3%**	**16.5%**	**11.7%**	**5.9%**	**4.6%**
Gross profit (NT$mn)	$12,729	$21,807	$27,274	$30,696	$32,813	$34,485
GM (%)	**17.0%**	**22.7%**	**24.4%**	**24.5%**	**24.8%**	**24.9%**
Operating profit (NT$mn)	$8,132	$15,668	$20,732	$23,876	$25,769	$27,209
OPM (%)	**10.9%**	**16.3%**	**18.5%**	**19.1%**	**19.4%**	**19.6%**
Net profit (NT$ mn)	$5,536	$9,562	$12,257	$14,036	$15,234	$16,196
EPS (NT$)	**$7.47**	**$12.94**	**$16.59**	**$19.00**	**$20.62**	**$21.92**
EPS growth (%)		73.3%	28.2%	14.5%	8.5%	6.3%
P/E (x)	**34.1**	**19.7**	**15.3**	**13.4**	**12.3**	**11.6**
Dividend yield (%)	3.3%	1.9%	2.5%	3.3%	3.7%	4.1%
P/B (x)	**3.4**	**3.1**	**2.8**	**2.5**	**2.3**	**2.0**
ROE (%)	9.8%	16.0%	18.2%	18.7%	18.3%	17.6%

Source: UBS estimates, company data

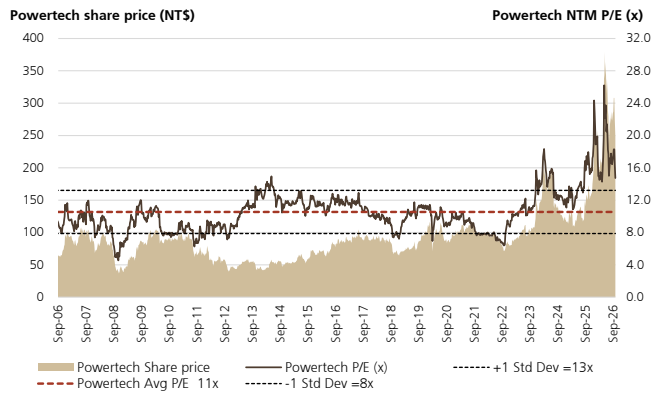
Figure 3: Powertech annual and quarterly forecast summary

Quarters	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Revenues (NT$ mn)	**$21,314**	**$23,116**	**$25,334**	**$26,407**	**$25,273**	**$27,328**	**$29,339**	**$30,058**
Sequential change (%)	*-0.4%*	*8.5%*	*9.6%*	*4.2%*	*-4.3%*	*8.1%*	*7.4%*	*2.5%*
YoY change (%)	*37.6%*	*28.0%*	*26.9%*	*23.4%*	*18.6%*	*18.2%*	*15.8%*	*13.8%*
Gross profit	**$4,144**	**$5,031**	**$6,085**	**$6,547**	**$5,947**	**$6,588**	**$7,241**	**$7,499**
-- Gross Margin (%)	19.4%	21.8%	24.0%	24.8%	23.5%	24.1%	24.7%	24.9%
Operating profit	**$2,761**	**$3,531**	**$4,472**	**$4,904**	**$4,433**	**$4,981**	**$5,551**	**$5,767**
-- Operating Margin (%)	13.0%	15.3%	17.7%	18.6%	17.5%	18.2%	18.9%	19.2%
Non-op	**$396**	**$131**	**$85**	**$35**	**$94**	**$143**	**$35**	**($42)**
Pre-tax profit (NT$ mn)	**$3,157**	**$3,661**	**$4,557**	**$4,939**	**$4,527**	**$5,124**	**$5,586**	**$5,726**
Tax	**$770**	**$811**	**$992**	**$1,037**	**$996**	**$1,179**	**$1,201**	**$1,202**
-- tax rate (%)	24.4%	22.2%	21.8%	21.0%	22.0%	23.0%	21.5%	21.0%
Net profit (NT$ mn)	**$1,844**	**$2,219**	**$2,612**	**$2,887**	**$2,684**	**$2,959**	**$3,245**	**$3,370**
-- QoQ Growth (%)	*-1.0%*	*20.3%*	*17.7%*	*10.5%*	*-7.1%*	*10.3%*	*9.7%*	*3.9%*
-- YoY Growth (%)	*56.9%*	*131.2%*	*69.9%*	*54.9%*	*45.5%*	*33.4%*	*24.2%*	*16.7%*
EPS (NT$)	**$2.50**	**$3.00**	**$3.54**	**$3.91**	**$3.63**	**$4.01**	**$4.39**	**$4.56**

2024	2025	2026E	2027E	2028E
$73,315	**$74,929**	**$96,171**	**$111,999**	**$125,155**
4.1%	*2.2%*	*28.3%*	*16.5%*	*11.7%*
$13,991	**$12,729**	**$21,807**	**$27,274**	**$30,696**
19.1%	17.0%	22.7%	24.4%	24.5%
$9,382	**$8,132**	**$15,668**	**$20,732**	**$23,876**
12.8%	10.9%	16.3%	18.5%	19.1%
$1,295	**$660**	**$647**	**$230**	**$131**
$10,677	**$8,792**	**$16,314**	**$20,963**	**$24,006**
$2,178	**$1,572**	**$3,611**	**$4,578**	**$5,247**
20.4%	17.9%	22.1%	21.8%	21.9%
$6,789	**$5,536**	**$9,562**	**$12,257**	**$14,036**
1.9%	*-37.8%*	*10.1%*	*53.1%*	*106.8%*
$9.08	**$7.47**	**$12.94**	**$16.59**	**$19.00**

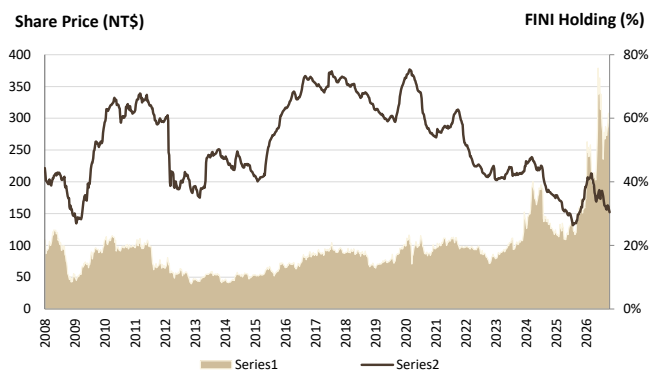
Source: UBS estimates, company data

Figure 4: Powertech trading above historical PE range



Source: LSEG

Figure 5: Powertech's FINI ownership rebounding from trough



Source: TEJ

Forecast returns

Forecast price appreciation	10.0%
Forecast dividend yield	1.8%
Forecast stock return	11.8%
Market return assumption	6.3%
Forecast excess return	5.5%

Valuation Method and Risk Statement

Powertech: We value Powertech using PE methodology.
Upside/downside risks: 1) A stronger/weaker pricing environment; 2) slower-than expected tech end demand and memory market recovery; and 3) faster/slower ramp of FOPLP and CPO businesses.

Quantitative Research Review

UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Powertech Technology

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	3
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	3
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	3
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	
11. What is the catalyst?	

Required Disclosures

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

For information on how UBS manages conflicts and maintains the independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures. Unless otherwise indicated, information and data in this report are based on company disclosures including annual, interim and quarterly reports and other company announcements. Figures in performance charts refer to the past; past performance is not a reliable indicator of future results. Additional information will be made available on request. UBS Securities Co. Limited is licensed by the China Securities Regulatory Commission to conduct securities investment consultancy businesses. UBS acts or may act as principal in the debt securities (or in related derivatives) that may be the subject of this report. This recommendation was finalized on: 27 October 2026 11:42 AM GMT. UBS has designated certain UBS Global Research department members as Derivatives Research Analysts where they publish research principally on the analysis of the price or market for a derivative, and provide information reasonably sufficient on which to base a decision to enter into a derivatives transaction. Where Derivatives Research Analysts co-author research reports with Equity Research Analysts or Economists, the Derivatives Research Analyst is responsible for the derivatives investment views, forecasts, and/or recommendations. **Quantitative Research Review:** UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of a number of short term factors occurring, in a product known as the 'Quantitative Research Review'. Views in this assessment on a particular stock reflect only those short term factors and a timeframe different to the 12-month timeframe reflected in any equity rating set out in this document. For the latest responses, please see the Quantitative Research Review Addendum at the back of this document, where applicable. For previous responses, please refer to: (i) previous UBS Global Research reports and (ii) where no applicable research report was published that month, the Quantitative Research Review at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team at ubs-quant-answers@ubs.com. A consolidated report containing all responses is also available; for details and pricing, please contact your UBS sales representative or the Quantitative Research team at the above email.

Analyst Certification:
Each research analyst primarily responsible for the content of this research report, in whole or in part, certifies that, with respect to each security or issuer that the analyst covered in this report: (1) all views expressed accurately reflect their personal views about those securities or issuers and were prepared independently, including with respect to UBS, and (2) no part of their compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in the research report.

UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	55%	24%
Neutral	FSR is between -6% and 6% of the MRA.	39%	20%
Sell	FSR is > 6% below the MRA.	6%	21%

Source: UBS. Rating allocations are as of 30 September 2026.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.

KEY DEFINITIONS:Forecast Stock Return (FSR) is expected percentage price appreciation plus gross dividend yield over the next 12 months. In some cases, this yield may be based on accrued dividends. **Market Return Assumption (MRA)** is the one-year local market interest rate plus 5% (a proxy for, and not a forecast of, the equity risk premium). **Under Review (UR)** Stocks may be flagged by the analyst to indicate that the stock's price target and/or rating may change in the near term, usually in response to an event that may affect the investment case or valuation. **Equity Price Targets** have a 12-month investment horizon.

EXCEPTIONS AND SPECIAL CASES:UK and European Investment Fund ratings and definitions are: Buy: Positive on factors such as structure, management, performance record and discount; **Neutral:** Neutral on factors such as structure, management, performance record and discount; **Sell:** Negative on factors such as structure, management, performance record and discount. **Core Banding Exceptions (CBE):** Exceptions to the standard +/-6% bands may be granted by the Investment Review Consultation (IRC). Factors considered by the IRC include the stock's volatility and the credit spread of the respective company's debt. As a result, stocks deemed very high or low risk may be subject to higher or lower bands for rating purposes. Where such exceptions apply, they will be identified in the Company Disclosures table in the relevant research piece.

Research analysts contributing to this report who are employed by a non-US affiliate of UBS Securities LLC are not registered or qualified as research analysts with FINRA. Such analysts may not be associated persons of UBS Securities LLC and therefore are not subject to FINRA restrictions on communications with a subject company, public appearances, and trading securities held by a research analyst account. The name of each affiliate and analyst employed by that affiliate contributing to this report, if any, follows.

UBS Securities Pte. Ltd., Taipei Branch: Annie Chen, Jerry Su.

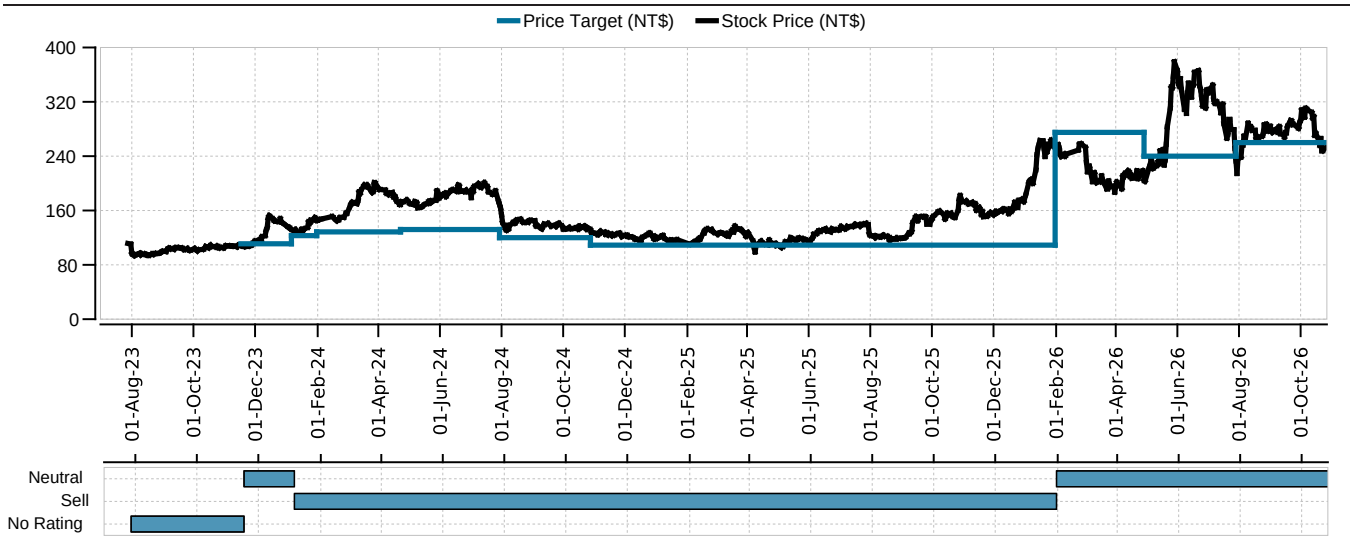
Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Powertech Technology	6239.TW	Neutral	NT$254.50	27 Oct 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.

Unless otherwise indicated, please refer to the Valuation and Risk sections within the body of this report. For a complete set of disclosure statements associated with the companies discussed in this report, including valuation and risk information, please contact UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research.

Powertech Technology (NT$)



Date	Stock Price (NT$)	Price Target (NT$)	Rating
2023-07-27	111.50	-	No Rating
2023-11-16	108.50	111.00	Neutral
2024-01-05	133.00	123.00	Sell
2024-01-30	148.50	128.50	Sell
2024-04-22	169.00	132.00	Sell
2024-07-29	173.50	120.00	Sell
2024-10-27	135.00	109.00	Sell
2026-01-30	254.00	275.00	Neutral
2026-04-28	218.50	240.00	Neutral
2026-07-28	251.50	260.00	Neutral

Source: UBS Global Research; LSEG Eikon as of 27-Oct-2026. All prices as of local market close. Ratings as of date shown.

Additional Prices: Greatek Electronics Inc, NT$112 (27 Oct 2026); Source: UBS. All prices as of local market close.

The Disclaimer relevant to Global Wealth Management clients follows the Global Research Disclaimer.

UBS Global Research Disclaimer

This document has been prepared by UBS Securities Pte. Ltd., Taipei Branch, an affiliate of UBS AG. UBS AG, its subsidiaries, branches and affiliates, including former Credit Suisse AG and its subsidiaries, branches and affiliates are referred to herein as "UBS".

Any opinions in this document may change without notice and are current only as of the publication date. Different areas, groups, and personnel within UBS may independently produce and distribute separate research products. For example, research publications from **UBS CIO** are produced by UBS Global Wealth Management. **UBS Global Research** is produced by UBS Investment Bank. Each research organization may use different methodologies and rating systems, including investment recommendations, investment horizon, model assumptions, and valuation methods. Accordingly, except for certain economic forecasts on which UBS CIO and UBS Global Research may collaborate, investment recommendations, ratings, price targets, and valuations from those research organizations may differ or be inconsistent. You should refer to each relevant research product for details of its methodology and rating system. Not all clients may have access to all products from every organization. Each research product is subject to the policies and procedures of the organization that produces it.

UBS Global Research is primarily intended for institutional/professional/wholesale clients, and not for retail clients or private individuals (excluding via any UBS approved distribution channel for such clients), as defined under the governing law and regulation of the relevant client jurisdiction.

This document is provided solely to recipients who are expressly authorized by UBS to receive it. If you are not so authorized you must immediately destroy it.

UBS Global Research is provided to our clients through UBS Neo and, in certain instances, UBS.com and any other system or distribution method specifically identified in one or more communications distributed through UBS Neo or UBS.com (each, a "System") as an approved means of distributing UBS Global Research. It may also be made available through third party vendors and distributed by UBS and/or third parties by e-mail or other electronic means.

All UBS Global Research is available on UBS Neo. Please contact your UBS sales representative if you wish to discuss access to UBS Neo. Where UBS Global Research refers to "UBS Evidence Lab Inside" or uses data provided by UBS Evidence Lab, and you would like access to that data, please contact your UBS sales representative. UBS Evidence Lab data is available on UBS Neo. The level and types of services provided by UBS Global Research and UBS Evidence Lab to a client may vary depending on factors including a client's preferences as to the frequency and manner of receiving communications, risk profile, and investment focus and perspective (e.g., market wide, sector specific, long-term, short-term), the size and scope of the overall client relationship with UBS Global Research and UBS Evidence Lab, and legal and regulatory constraints. UBS HOLT and UBS Pharma Values are offerings of UBS Global Research. HOLT Lens is a corporate performance platform offering that provides an objective accounting-led framework for comparing and valuing companies and is available to clients of UBS Global Research; for details and pricing, please contact your UBS Sales representative. In particular, HOLT has a variety of warranted prices based on the scenario chosen; if you are interested in the warranted price for a particular company, please mail UBS Securities LLC, 11 Madison Avenue, New York, NY 10010, USA, Attention: Investment Research, subject again to commercial considerations. UBS Pharma Values is an analytical tool involving individual product net present value calculations based on published forecasts of pharmaceutical sales, and is available to clients of UBS Global Research; for details and pricing, please contact your UBS Sales representative. For all other specific disclaimers, please see https://www.ubs.com/disclosures.

When you receive UBS Global Research through a System, your access to and/or use of it is subject to this UBS Global Research Disclaimer, the UBS Neo Platform Use Agreement (the "Neo Terms"), and any other relevant terms of use governing the applicable System.

When you receive UBS Global Research via a third party vendor, e-mail or other electronic means, you agree that use shall be subject to this UBS Global Research Disclaimer, the Neo Terms and where applicable the UBS Investment Bank terms of business (https://www.ubs.com/global/en/investment-bank/regulatory.html) and to UBS's Terms of Use/ Disclaimer (https://www.ubs.com/global/en/legalinfo2/disclaimer.html). In addition, you consent to UBS processing your personal data and using cookies in accordance with our Privacy Statement (https://www.ubs.com/global/en/legalinfo2/privacy.html) and Cookie Notice (https://www.ubs.com/global/en/legal/privacy/users.html).

If you receive UBS Global Research, whether through a System or otherwise, you agree not to copy, revise, amend, create derivative works, provide to any third party, or in any way commercially exploit any UBS research provided via UBS Global Research or otherwise, and not to extract data from any research or estimates provided to you via UBS Global Research or otherwise, without UBS's prior written consent. You also agree not to use UBS Global Research in any artificial intelligence system without UBS's prior written consent.

In certain circumstances, you may receive UBS Global Research other than in your capacity as a UBS client and, you understand and agree that in those circumstances: (i) UBS Global Research is provided to you for information purposes only; (ii) for the purpose of receiving it, you are not intended to be and will not be treated as a "client" of UBS for any legal or regulatory purpose; (iii) UBS Global Research must not be relied on or acted upon for any purpose; and (iv) such content is subject to the relevant disclaimers that follow.

This document may be distributed only as permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of, or located in, any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement in that jurisdiction.

This document is a general communication and educational in nature; it is not an advertisement, solicitation or offer to buy or sell any financial instrument or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, neither UBS nor its representatives has any responsibility or authority to provide, or to have provided, investment advice in a fiduciary or any other capacity. Investments involve risks, and investors should exercise prudence and their own judgment in making investment decisions. Neither UBS nor its representatives is suggesting that the recipient or any other person take a specific course of action, or any action at all. The recipient should read this document carefully and in full and not draw inferences or conclusions from the rating alone. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the recipient's investment objectives. The financial instruments described in this document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, structured derivative products and futures (including OTC derivatives) are not suitable for all investors. Trading in these instruments is risky and may be appropriate only for sophisticated investors. Before buying or selling an option, you must receive a copy of "The Characteristics and Risks of Standardized Options" for a full description of options risks. You may read it at https://www.theocc.com/publications/risks/riskchap1.jsp or ask your salesperson for a copy. Various theoretical explanations of the risks of these instruments have been published. Supporting documentation for any claims, comparisons, recommendations, statistics or other technical data will be supplied on request. Past performance is not necessarily indicative of future results. Transaction costs may be significant in option strategies involving multiple purchases and sales, such as spreads and straddles. As tax considerations are important to many options transactions, investors considering options should consult their tax advisor on how taxes affect the outcome of contemplated options transactions.

Mortgage- and asset-backed securities may involve a high degree of risk and be highly volatile in response to interest rate fluctuations or other market conditions. Foreign currency exchange rates may adversely affect the value, price or income of any security or related instrument referred to in this document. For investment advice, trade execution or other inquiries, clients should contact their local sales representative.

UBS notes that no globally accepted framework or definition (legal, regulatory or otherwise) currently exists, and there is no market consensus, as to what constitutes "ESG" (Environmental, Social or Governance) or an equivalent label, or what precise attributes are required for the Information (as defined below) to be defined as ESG or equivalently labelled. Any information, data or other content, including from third party sources, contained or referred to herein or used by UBS or a third party for any purpose ("Information"), in relation to any actual or potential ESG objective, issue or consideration, is not intended to be relied upon for ESG classification, regulatory regime or industry initiative purposes ("ESG Regimes"). Nothing in this document is intended to convey, suggest or indicate that UBS considers or represents any product, service, person or body mentioned in it to meet or qualify for any ESG classification, labelling or similar standards that may exist under ESG Regimes. UBS has not assessed compliance with ESG Regimes. Parties should make their own assessments for these purposes.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts liability for any loss (including investment loss) or damage arising out of the use of any of the Information.

Before making any investment or financial decision, any recipient of this document or the information should take steps to understand the investment's risk and return and seek individualized advice from their personal financial, legal, tax and other professional advisors, taking into account all relevant facts and circumstances of their investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations of individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices. They do not necessarily reflect UBS's internal books and records or theoretical model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, express or implied, is given as to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in this document. UBS does not undertake to update or keep current the Information. Any statements contained in this document attributed to a third party represent UBS's interpretation of data, information and/or opinions provided by that third party,

publicly or through a subscription service, and such use and interpretation have not been reviewed by that third party. In no circumstances may this document or any Information, including any forecast, value, index or other calculated amount ("Values"), be used for: (i) valuation or accounting purposes; (ii) determining amounts due or payable, or the price or value of any financial instrument or financial contract; or (iii) measuring the performance of any financial instrument, including without limitation tracking the return or performance of any Value, defining the asset allocation of a portfolio or computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of those purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, including without limitation independence policies and permanent information barriers, intended, and relied on by UBS, to manage potential conflicts of interest and control the flow of information within UBS divisions and among its subsidiaries, branches and affiliates. UBS does and seeks to do business with companies covered in its research documents. As a result, investors should be aware that UBS may have a conflict of interest that could affect this document's objectivity. Investors should consider this document as only one factor in making an investment decision. For further information on how UBS Global Research manages conflicts and maintains the independence of its research products, historical performance information and certain additional disclosures concerning UBS Global Research recommendations, please visit https://www.ubs.com/disclosures.

UBS Global Research will initiate, update and cease coverage solely at the discretion of UBS Global Research Management, which also has sole discretion over the timing and frequency of any published research product. The analysis in this document is based on numerous assumptions. All material information relating to published research documents, such as valuation methodology, risk statements, underlying assumptions (including sensitivity analysis of those assumptions), ratings history and other information required by the Market Abuse Regulation, can be found on UBS Neo. Different assumptions could produce materially different results.

UBS Global Research may use artificial intelligence tools in the preparation of this document. Notwithstanding any such use, this document has undergone human review.

The analyst(s) responsible for preparing this document may interact with trading desk personnel, sales personnel and other parties to gather, apply and interpret market information. UBS relies on information barriers to control the flow of information from one or more areas within UBS to other areas, units, groups or affiliates. Compensation of the analyst(s) who prepared this document is determined exclusively by UBS Global Research management and senior management (excluding investment banking). It is not based on investment banking revenues; however, it may relate to the revenues of UBS and/or its divisions as a whole, including investment banking, sales and trading, and UBS as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS (excluding UBS Securities LLC) acts as a market maker or liquidity provider (as those terms are interpreted under English law or, if the activity is not carried out by UBS in the UK, under the law of the relevant jurisdiction in which UBS determines it carries out the activity) in the issuer's financial instruments, except where liquidity provider activity is carried out in accordance with the definition under the laws and regulations of another EU jurisdiction, in which case it is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker, except where that activity is carried out in the US in accordance with the definition under applicable laws and regulations, in which case it will be specifically disclosed in this document. UBS may have issued a warrant whose value is based on one or more financial instruments referred to in this document. UBS and its affiliates and employees may have long or short positions, trade as principal, and buy and sell instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Within the past 12 months, UBS may have received or provided investment services and activities or ancillary services under MiFID II that may have given rise to a payment or promise of payment in relation to those services from or to this company.

Please note that all transactions conducted by UBS are consistent with sanctions imposed by Switzerland, the European Union, the United Nations, the United Kingdom and the United States, in accordance with UBS's global sanctions policy. UBS's opinions as to future investment worthiness assume no new sanctions are imposed.

US persons are prohibited from purchasing or selling securities of certain companies designated as associated with the Chinese Military in accordance with amended US Presidential Executive Order 13959.

United Kingdom: Distributed by UBS AG, London Branch to eligible counterparties or professional clients. UBS AG, London Branch is authorised by the Prudential Regulation Authority ("PRA") and subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA. **Europe:** Except as otherwise specified, distributed by UBS Europe SE, a subsidiary of UBS AG, to eligible counterparties or professional clients (as defined under the Bundesanstalt fur Finanzdienstleistungsaufsicht ("BaFin") Rules and MIFID II) and are available only to such persons. The information in this document does not apply to, and should not be relied on by, retail clients. UBS Europe SE is authorised by the European Central Bank ("ECB") and regulated by BaFin and the ECB. **Germany, Luxembourg, the Netherlands, Belgium and Ireland:** Where an analyst of UBS Europe SE has contributed to this document, it is also deemed to have been prepared by UBS Europe SE. In all cases, it is distributed by UBS Europe SE and UBS AG, London Branch. **Turkey:** Distributed by UBS AG, London Branch. No information in this document is provided for offering, marketing or sale by any means of any capital market instruments or services in the Republic of Turkey. Therefore, this document may not be considered an offer made or to be made to residents of the Republic of Turkey. UBS AG, London Branch is not licensed by the Turkish Capital Market Board under the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instruments/services may be used in connection with providing capital market services to persons within the Republic of Turkey without the prior approval of the Capital Market Board. However, under article 15(d)(ii) of Decree No. 32, there is no restriction on the purchase or sale of securities abroad by residents of the Republic of Turkey. **Poland:** Distributed by UBS Europe SE (spolka z ograniczona odpowiedzialnoscia) Oddzial w Polsce ("UBS Poland"). Where an analyst of UBS Poland has contributed to this document, the document is also deemed to have been prepared by UBS Poland. **Russia:** Prepared and distributed by UBS Bank (OOO). It should not be construed as an individual Investment Recommendation for the purposes of articles 6.1 and 6.2 of Russian Federal Law No. 39-FZ "On the Securities Market". **Switzerland:** Distributed by UBS AG to institutional investors only. UBS AG is regulated by the Swiss Financial Market Supervisory Authority (FINMA). **Italy:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Italy Branch. Where an analyst of UBS Europe SE, Italy Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Italy Branch. **France:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, France Branch. Where an analyst of UBS Europe SE, France Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, France Branch. **Spain:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Spain Branch. Where an analyst of UBS Europe SE, Spain Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Spain Branch. **Sweden:** Prepared by UBS Europe SE and distributed by UBS Europe SE and UBS Europe SE, Sweden Branch. Where an analyst of UBS Europe SE, Sweden Branch has contributed to this document, it is also deemed to have been prepared by UBS Europe SE, Sweden Branch. **South Africa:** Distributed by UBS South Africa (Pty) Limited (Registration No. 1995/011140/07), an authorised user of the JSE and an authorised Financial Services Provider (FSP 7328). **Saudi Arabia:** This document has been issued by UBS AG (and/or any of its subsidiaries, branches or affiliates), a public company limited by shares, incorporated in Switzerland with its registered offices at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH-8001 Zurich. This publication has been approved by UBS Saudi Arabia (a subsidiary of UBS AG), a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia under commercial register number 1010257812 having its registered office at Tatweer Towers, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. **UAE / Dubai:** Information distributed by UBS AG Dubai Branch is only intended for Professional Clients and/or Market Counterparties as classified under the DFSA rulebook. No other person should act on this document/communication. The information is not for further distribution within the United Arab Emirates. UBS AG Dubai Branch is regulated by the DFSA in the DIFC. UBS is not licensed to provide banking services in the UAE, nor by the UAE Securities and Commodities Authority. **Israel:** This document is distributed by UBS AG, London Branch. UBS Securities Israel Ltd is a licensed Investment Marketer supervised by the Israel Securities Authority (ISA). UBS AG, London Branch and its affiliates incorporated outside Israel are not licensed under the Israeli Advisory Law. UBS may engage among others in issuance of Financial Assets or distribution of Financial Assets of other issuers for fees or other benefits. UBS AG, London Branch and its affiliates may prefer various Financial Assets to which they have or may have an Affiliation (as defined under the Israeli Advisory Law). Nothing in this document should be considered investment advice under the Israeli Advisory Law. This document is only issued to and/or directed at persons who are Eligible Clients (within the meaning of the Israeli Advisory Law), and must not be furnished to, relied on or acted upon by any other person. **United States:** Distributed to US persons by UBS Securities LLC or UBS Financial Services Inc., subsidiaries of UBS AG, or by a group, subsidiary or affiliate of UBS AG not registered as a US broker-dealer (a "non-US affiliate") to major US institutional investors only. UBS Securities LLC or UBS Financial Services Inc. accepts responsibility for the content of a report prepared by another non-US affiliate when distributed to US persons by UBS Securities LLC or UBS Financial Services Inc. All transactions by a US person in the securities mentioned in this document must be effected through UBS Securities LLC or UBS Financial Services Inc., and not through a non-US affiliate. UBS Securities LLC is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule"), and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of that rule. **Canada:** Distributed by UBS Securities Canada Inc., a registered investment dealer in Canada and a Member-Canadian Investor Protection Fund, or by another affiliate of UBS AG registered to conduct business in Canada or otherwise exempt from registration. **Brazil:** Except as otherwise specified herein, this document is prepared by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. ("UBS BB CCTVM") for eligible investors residing in Brazil who are considered Professional Investors (Investidores Profissionais) under applicable regulation, primarily CVM Resolution No. 30 of 11 May 2021 (which determines the duty to verify the suitability of products, services and transactions to the client's profile). UBS BB CCTVM is a subsidiary of UBS BB Servicos de Assessoria Financeira e Participacoes S.A. ("UBS BB"). UBS BB is an association between UBS AG and Banco do Brasil (through its subsidiary BB Banco de Investimentos S.A.), of which UBS AG is the majority owner, and provides investment banking services and coverage in Brazil, Argentina, Chile, Paraguay, Peru and Uruguay. UBS BB CCTVM is regulated by the Comissao de Valores Mobiliarios (CVM) and the Central Bank of Brazil. Ombudsman: 0800-940-0266 / https://www.ubs.com/br/pt/ubsbb-investment-bank/ombudsman.html**Hong Kong:** Distributed by UBS Securities Asia Limited. Please contact local licensed persons of UBS Securities Asia Limited in respect of any matters arising from, or in connection with, the analysis or document. **Singapore:** Distributed by UBS Securities Pte. Ltd. (Co. Reg. No.: 198500648C] or UBS AG, Singapore Branch. Please contact UBS Securities Pte. Ltd., an exempt

financial adviser under the Singapore Financial Advisers Act (Cap. 110), or UBS AG, Singapore Branch, an exempt financial adviser under the Singapore Financial Advisers Act (Cap. 110) and a wholesale bank licensed under the Singapore Banking Act (Cap. 19) and regulated by the Monetary Authority of Singapore, regarding any matters arising from, or in connection with, the analysis or document. Recipients of this document represent and warrant that they are accredited and institutional investors as defined in the Securities and Futures Act (Cap. 289). **Japan:** Distributed by UBS Securities Japan Co., Ltd. to professional investors (except as otherwise permitted). Where this document has been prepared by UBS Securities Japan Co., Ltd., UBS Securities Japan Co., Ltd. is the author, publisher and distributor of the document. Distributed by UBS AG, Tokyo Branch to professional investors (except as otherwise permitted) in relation to foreign exchange and other banking businesses, where relevant. **Australia:** Recipients through a superannuation fund: Distributed by UBS AG, Australia Branch (ABN 47 088 129 613 and holder of Australian Financial Service Licence No. 231087). For all other recipients: Distributed by UBS Securities Australia Limited (ABN 62 008 586 481 and holder of Australian Financial Services Licence No. 231098). This document contains general information and/or general advice only and does not constitute personal financial product advice. As such, the Information in this document has been prepared without taking into account any investor's objectives, financial situation or needs, and investors should, before acting on the Information, consider the appropriateness of the Information, having regard to their objectives, financial situation and needs. If the Information contained in this document relates to the acquisition, or potential acquisition of a particular financial product by a 'Retail' client as defined by section 761G of the Corporations Act 2001 where a Product Disclosure Statement would be required, the retail client should obtain and consider the Product Disclosure Statement relating to the product before making any decision about whether to acquire the product. **New Zealand:** Distributed by UBS New Zealand Ltd. UBS New Zealand Ltd is not a registered bank in New Zealand. You are being provided with this document because you have indicated to UBS that you are a "wholesale client" within the meaning of clause 4 of schedule 5 of the Financial Markets Conduct Act 2013 of New Zealand ("Permitted Client"). This document is not intended for clients who are not Permitted Clients ("non-Permitted Clients"). If you are a non-Permitted Client, you must not rely on this document. If, despite this warning, you nevertheless rely on it, you hereby: (i) acknowledge that you may not rely on its content and that any recommendations or opinions in it are not made or provided to you; and (ii) to the maximum extent permitted by law, (a) indemnify UBS and its associates or related entities (and their respective directors, officers, agents and advisors) (each a "Relevant Person") for any loss, damage, liability or claim any of them may incur or suffer as a result of, or in connection with, your unauthorised reliance on this document, and (b) waive any rights or remedies you may have against any Relevant Person for any loss, damage, liability or claim you may incur or suffer as a result of, or in connection with, your unauthorised reliance on this publication or document. **Korea:** Distributed in Korea by UBS Securities Pte. Ltd., Seoul Branch. This document may from time to time have been edited or contributed to by affiliates of UBS Securities Pte. Ltd., Seoul Branch. This document is intended for professional/institutional clients only and not for distribution to any retail clients. **Malaysia:** This document is authorized for distribution in Malaysia by UBS Securities Malaysia Sdn. Bhd (Capital Markets Services License No.: CMSL/A0063/2007). This document is intended for professional/institutional clients only and not for distribution to any retail clients. **India:** Distributed by UBS Securities India Private Ltd. (Corporate Identity Number U67120MH1996PTC097299) 2/F, 3 North Avenue, Maker Maxity, Bandra Kurla Complex, Bandra (East), Mumbai (India) 400051. Phone: +912261556000. It provides: (i) brokerage services under SEBI Registration Number: INZ000259830; (ii) Merchant Banking services under SEBI Registration Number: INM000013101; and (iii) Research Analyst services under SEBI Registration Number: INH000001204. Compliance Officer: Parameshwaran Shivaramakrishnan. Phone: +912261556151, Email: parameshwaran.s@ubs.com. Grievance Officer: Parameshwaran Shivaramakrishnan. Phone: +912261556151. Email: ol-ubs-sec-compliance@ubs.com. Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. UBS may from time to time have debt holdings or positions or financial interests (e.g., loan/derivative products, rights to or interests in investments) in the subject Indian company/companies. Within the past 12 months, UBS may have received compensation for non-investment banking securities-related services and/or non-securities services from the subject Indian company/companies. The subject company/companies may have been a client/clients of UBS during the 12 months preceding the date of distribution of the research document with respect to investment banking and/or non-investment banking securities-related services and/or non-securities services. With regard to information on associates, please refer to the Annual Report at: https://www.ubs.com/global/en/about_ubs/investor_relations/annualreporting.html. The Research Annual Compliance Report for UBS Securities India Private Limited is available on www.ubs.com/ubssi under the Research tab. **Taiwan:** Except as otherwise specified herein, this document may not be distributed in Taiwan. Information and materials on securities/instruments traded on a Taiwan organized exchange are deemed to be issued and distributed by UBS Securities Pte. Ltd., Taipei Branch, which is licensed and regulated by the Taiwan Financial Supervisory Commission. Except for securities/instruments traded in a Taiwan organized exchange, this document should not constitute a "recommendation" to clients or recipients in Taiwan for the covered companies or any companies mentioned in this document. This document may not be reproduced or quoted, in whole or in part, by the press or any other person without authorisation from UBS. **Indonesia:** This document is distributed by PT UBS Sekuritas Indonesia and delivered by its licensed employee(s), including marketing or sales persons, to its client. PT UBS Sekuritas Indonesia, having its registered office at Sequis Tower Level 22 unit 22-1,Jl.Jend. Sudirman, kav.71, SCBD lot 11B, Jakarta 12190. Indonesia, is a subsidiary of UBS AG and licensed under Capital Market Law no. 8 year 1995, and holds broker-dealer and underwriter licenses issued by the Capital Market and Financial Institution Supervisory Agency (now Otoritas Jasa Keuangan (OJK)). PT UBS Sekuritas Indonesia is also a member of the Indonesia Stock Exchange and supervised by Otoritas Jasa Keuangan (OJK). Neither this document nor any copy may be distributed in Indonesia or to any Indonesian citizens except in compliance with applicable Indonesian capital market laws and regulations. This document is not an offer of securities in Indonesia and may not be distributed within the territory of the Republic of Indonesia or to Indonesian citizens in circumstances constituting an offering within the meaning of Indonesian capital market laws and regulations.

The disclosures contained in research documents produced by UBS AG, London Branch or UBS Europe SE are governed by and construed in accordance with English law.

UBS specifically prohibits the redistribution of this document in whole or in part without the written permission of UBS and in any event UBS accepts no liability whatsoever for any redistribution of this document or its contents or the actions of third parties in this respect. Images may depict objects or elements that are protected by third party copyright, trademarks and other intellectual property rights. © UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

Global Wealth Management Disclaimer

You receive this document in your capacity as a client of UBS Global Wealth Management. This publication has been distributed to you by UBS Switzerland AG (regulated by FINMA in Switzerland) or its affiliates (**"UBS"**) with whom you have a banking relationship with. The full name of the distributing affiliate and its competent authority can be found in the country-specific disclaimer at the end of this document. UBS may utilise artificial intelligence tools ("AI Tools") in the preparation of this document. Notwithstanding any such use of AI Tools, this document has undergone human review.

The date and time of the first dissemination of this publication is the same as the date and time of its publication.

Risk information:

You agree that you shall not copy, revise, amend, create a derivative work, provide to any third party, or in any way commercially exploit any UBS research, and that you shall not extract data from any research or estimates, without the prior written consent of UBS.

This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject UBS to any registration or licensing requirement within such jurisdiction.

This document is **for your information only**; it is not an advertisement nor is it a solicitation or an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Nothing in this document constitutes a representation that any investment strategy or recommendation is suitable or appropriate to an investor's individual circumstances or otherwise constitutes a personal recommendation. By providing this document, none of UBS or its representatives has any responsibility or authority to provide or have provided investment advice in a fiduciary capacity or otherwise. Investments involve risks, and investors should exercise prudence and their own judgment in making their investment decisions. None of UBS or its representatives is suggesting that the recipient or any other person take a specific course of action or any action at all. By receiving this document, the recipient acknowledges and agrees with the intended purpose described above and further disclaims any expectation or belief that the information constitutes investment advice to the recipient or otherwise purports to meet the investment objectives of the recipient. The financial instruments described in the document may not be eligible for sale in all jurisdictions or to certain categories of investors.

Options, derivative products and futures are not suitable for all investors, and trading in these instruments is considered risky. Mortgage and asset-backed securities may involve a high degree of risk and may be highly volatile in response to fluctuations in interest rates or other market conditions. Foreign currency rates of exchange may adversely affect the value, price or income of any security or related instrument referred to in the document. For investment advice, trade execution or other enquiries, clients should contact their local sales representative.

The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Past performance is not necessarily a guide to future performance. Neither UBS nor any of its directors, employees or agents accepts any liability for any loss (including investment loss) or damage arising out of the use of all or any of the information (as defined below).

Prior to making any investment or financial decisions, any recipient of this document or the information should take steps to understand the risk and return of the investment and seek individualized advice from his or her personal financial, legal, tax and other professional advisors that takes into account all the particular facts and circumstances of his or her investment objectives.

Any prices stated in this document are for information purposes only and do not represent valuations for individual securities or other financial instruments. There is no representation that any transaction can or could have been effected at those prices, and any prices do not necessarily reflect UBS's internal books and records or theoretical

model-based valuations and may be based on certain assumptions. Different assumptions by UBS or any other source may yield substantially different results.

No representation or warranty, either expressed or implied, is provided in relation to the accuracy, completeness or reliability of the information contained in any materials to which this document relates (the "Information"), except with respect to Information concerning UBS. The Information is not intended to be a complete statement or summary of the securities, markets or developments referred to in the document. UBS does not undertake to update or keep current the Information. Any opinions expressed in this document may change without notice and may differ or be contrary to opinions expressed by other business areas or groups, personnel or other representative of UBS. Any statements contained in this report attributed to a third party represent UBS's interpretation of the data, information and/or opinions provided by that third party either publicly or through a subscription service, and such use and interpretation have not been reviewed by the third party. In no circumstances may this document or any of the Information (including any forecast, value, index or other calculated amount ("Values")) be used for any of the following purposes: (i) valuation or accounting purposes; (ii) to determine the amounts due or payable, the price or the value of any financial instrument or financial contract; or (iii) to measure the performance of any financial instrument including, without limitation, for the purpose of tracking the return or performance of any Value or of defining the asset allocation of portfolio or of computing performance fees.

By receiving this document and the Information you will be deemed to represent and warrant to UBS that you will not use this document or any of the Information for any of the above purposes or otherwise rely upon this document or any of the Information.

UBS has policies and procedures, which include, without limitation, independence policies and permanent information barriers, that are intended, and upon which UBS relies, to manage potential conflicts of interest and control the flow of information within divisions of UBS (including between Global Wealth Management and UBS Global Research) and among its subsidiaries, branches and affiliates. For further information on the ways in which UBS manages conflicts and maintains independence of its research products, historical performance information and certain additional disclosures concerning UBS research recommendations, please visit https://www.ubs.com/research-methodology.

Research will initiate, update and cease coverage solely at the discretion of research management, which will also have sole discretion on the timing and frequency of any published research product. The analysis contained in this document is based on numerous assumptions. Different assumptions could result in materially different results.

The analyst(s) responsible for the preparation of this document may interact with trading desk personnel, sales personnel and other parties for the purpose of gathering, applying and interpreting market information. UBS relies on information barriers to control the flow of information contained in one or more areas within UBS into other areas, units, groups or affiliates of UBS. The compensation of the analyst who prepared this document is determined exclusively by research management and senior management (not including investment banking). Analyst compensation is not based on investment banking revenues; however, compensation may relate to the revenues of UBS and/or its divisions as a whole, of which investment banking, sales and trading are a part, and UBS's subsidiaries, branches and affiliates as a whole.

For financial instruments admitted to trading on an EU regulated market: UBS AG, its affiliates or subsidiaries (excluding UBS Securities LLC) acts as a market maker or liquidity provider (in accordance with the interpretation of these terms in the UK) in the financial instruments of the issuer save that where the activity of liquidity provider is carried out in accordance with the definition given to it by the laws and regulations of any other EU jurisdictions, such information is separately disclosed in this document. For financial instruments admitted to trading on a non-EU regulated market: UBS may act as a market maker save that where this activity is carried out in the US in accordance with the definition given to it by the relevant laws and regulations, such activity will be specifically disclosed in this document. UBS may have issued a warrant the value of which is based on one or more of the financial instruments referred to in the document. UBS and its affiliates and employees may have long or short positions, trade as principal and buy and sell in instruments or derivatives identified herein; such transactions or positions may be inconsistent with the opinions expressed in this document.

Options and futures are not suitable for all investors, and trading in these instruments is considered risky and may be appropriate only for sophisticated investors. Prior to buying or selling an option, and for the complete risks relating to options, you must receive a copy of "Characteristics and Risks of Standardized Options". You may read the document at https://www.theocc.com/about/publications/character-risks.jsp or ask your financial advisor for a copy.

Investing in structured investments involves significant risks. For a detailed discussion of the risks involved in investing in any particular structured investment, you must read the relevant offering materials for that investment. Structured investments are unsecured obligations of a particular issuer with returns linked to the performance of an underlying asset. Depending on the terms of the investment, investors could lose all or a substantial portion of their investment based on the performance of the underlying asset. Investors could also lose their entire investment if the issuer becomes insolvent. UBS does not guarantee in any way the obligations or the financial condition of any issuer or the accuracy of any financial information provided by any issuer. Structured investments are not traditional investments and investing in a structured investment is not equivalent to investing directly in the underlying asset. Structured investments may have limited or no liquidity, and investors should be prepared to hold their investment to maturity. The return of structured investments may be limited by a maximum gain, participation rate or other feature. Structured investments may include call features and, if a structured investment is called early, investors would not earn any further return and may not be able to reinvest in similar investments with similar terms. Structured investments include costs and fees which are generally embedded in the price of the investment. The tax treatment of a structured investment may be complex and may differ from a direct investment in the underlying asset. UBS and its employees do not provide tax advice. Investors should consult their own tax advisor about their own tax situation before investing in any securities.

Important Information About Sustainable Investing Strategies: This terminology refers to definitions in the UBS Sustainable Investing Framework and does not refer or relate to any product specific regulatory labelling regime or naming conventions. Sustainable investing strategies aim to consider and incorporate environmental, social and governance (ESG) factors into investment process and portfolio construction. Strategies across geographies approach ESG analysis and incorporate the findings in a variety of ways. Incorporating ESG factors or sustainable investing considerations may inhibit the portfolio manager's ability to participate in certain investment opportunities that otherwise would be consistent with its investment objective and other principal investment strategies. The returns on a portfolio incorporating ESG factors or sustainable investing considerations may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered by the portfolio manager, and the investment opportunities available to such portfolios may differ.

Within the past 12 months UBS Switzerland AG, its affiliates or subsidiaries may have received or provided investment services and activities or ancillary services as per MiFID II which may have given rise to a payment or promise of a payment in relation to these services from or to this company.

Disclosures: If you require detailed information on disclosures of interest or conflict of interest as required by Market Abuse Regulation please contact the mailbox MAR_disclosure_twopager@ubs.com. Please note that e-mail communication is unsecured.

External Asset Managers / External Financial Consultants: In case this research or publication is provided to an External Asset Manager or an External Financial Consultant, UBS expressly prohibits that it is redistributed by the External Asset Manager or the External Financial Consultant and is made available to their clients and/or third parties.

Argentina: All securities that will be offered to you by UBS are not authorized by the Argentine Securities and Exchange Commission (CNV) and are not subject to its reporting, periodic information requirements, or oversight. Furthermore, the CNV has not reviewed or endorsed the information provided in any securities offering document, nor the accuracy of any accounting, financial, economic data, or any other information disclosed therein, which remains the sole responsibility of the respective issuer and the other parties involved. **Australia:** This document is provided by UBS Switzerland AG. UBS Switzerland AG does not hold an Australian Financial Services Licence (AFSL) and relies on an exemption to provide financial services to persons in Australia. This document is intended only for distribution to wholesale clients under the Corporations Act 2001 (Cth). UBS Switzerland AG is a related body corporate of UBS AG, Australia Branch and UBS Securities Australia Limited. This document may be distributed to clients by those entities, but it is provided by UBS Switzerland AG and is not provided under any of the other entities' AFSL. The information in this document is general in nature and is not intended to address the objectives, financial situation or needs of any particular individual or entity. Each recipient should consider their own objectives, financial situation or needs before acting on the advice and obtain the relevant Product Disclosure Statement (if required) before making any decision whether to acquire any product. In Australia, UBS entities, other than UBS AG, Australia Branch, are not authorized deposit-taking institutions for the purposes of the Banking Act 1959 (Cth.) and their obligations do not represent deposits or other liabilities of UBS AG, Australia Branch. UBS AG, Australia Branch does not guarantee or otherwise provide assurance in respect of the obligations of such UBS entities or the funds. An investor is exposed to investment risk including possible delays in repayment and loss of income and principal invested, as relevant. If you do not wish to receive marketing materials from UBS, please contact your UBS representative or the contact details listed in the Australia Privacy Notice: https://www.ubs.com/global/en/legal/privacy.html. Your personal data will be processed in accordance with this notice. **Bahrain**: This report is being distributed by UBS AG, Bahrain Branch, duly licensed and regulated by the Central Bank of Bahrain (CBB) as an Investment Business Firm - Category 2 (Branch). Related financial services or products are only made available to Accredited Investors, as defined by the CBB, and are not intended for any other persons. UBS AG, Bahrain Branch is a Foreign Branch of UBS AG, Zurich/Switzerland and is located on Level 21, East Tower, Bahrain World Trade Centre, Manama, Kingdom of Bahrain. **Brazil**: This report is distributed in Brazil by UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A. or its affiliates ("UBS"). Pursuant to CVM Resolution No. 20/2021, of February 25, 2021, the author(s) of the report hereby certify(ies) that the views expressed in this report solely and exclusively reflect their personal opinions and have been prepared independently, including with respect to UBS. Part of the author(s)'s compensation is based on various factors, including the total revenues of the relevant UBS Group entity of which they are in employment of, but no part of the compensation has been, is, or will be related to the specific recommendations or views expressed in this report. In addition, UBS declares that: UBS has provided, and/or may in the future provide investment banking, brokerage, asset management, commercial banking and other financial services to the subject company/companies or its affiliates, for which they have received or may receive customary fees and commissions, and which constituted or may constitute relevant financial or commercial interests in relation to the subject company/companies or the subject securities. **Canada**: This publication is for your information only and is not intended as an offer, or a solicitation of an offer, to buy or sell any investment or other specific product. Although all information and opinions expressed in this publication were obtained from sources believed to be reliable and in good faith, no representation or warranty, express or implied, is made as to its accuracy or

completeness. All information and opinions as well as any figures indicated herein are subject to change without notice. At any time, UBS AG ("UBS") and other companies in the UBS group (or employees thereof) may have a long or short position, or deal as principal or agent, in relevant securities or provide advisory or other services to the issuer of relevant securities or to a company connected with an issuer. Some investments may not be readily realizable since the market in the securities is illiquid and therefore valuing the investment and identifying the risk to which you are exposed may be difficult to quantify. Past performance of investments is not a guarantee of future results, and the value of investments may fluctuate over time. There is no guarantee that investment objectives risk or return targets discussed in this publication will be received or attained. For clients and prospective clients of UBS Bank (Canada), please note that this publication has no regard to the specific investment objectives, financial situation or particular needs of any recipient. Neither UBS Bank (Canada) nor UBS Investment Management Canada Inc. is acting as an adviser or fiduciary to or for any recipient of this report unless otherwise agreed upon in writing. Not all products or services may be available at UBS Bank (Canada). Some products and services may be legally restricted for residents of certain countries. Should you have any questions, please contact UBS Bank (Canada) and ask to speak to a member of our Wealth Management Team. UBS Wealth Management is a registered trade-mark of UBS AG. UBS Bank (Canada) is a subsidiary of UBS AG. Investment advisory and portfolio management services are provided through UBS Investment Management Canada Inc., a wholly-owned subsidiary of UBS Bank (Canada). UBS Investment Management Canada Inc. is a registered portfolio manager and exempt market dealer in all the provinces with the exception of P.E.I. and the territories. This publication may not be reproduced, or copies circulated without prior authority of UBS Bank (Canada). **China**: This report and any offering material such as term sheet, research report, other product or service documentation or any other information (the "Material") sent with this report was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the material erroneously, UBS asks that you kindly delete it and inform UBS immediately. This report is prepared by UBS Switzerland AG or its offshore subsidiary or affiliate (collectively as "UBS Offshore"). UBS Offshore is an entity incorporated out of China and is not licensed, supervised or regulated in China to carry out banking or securities business. The recipient should not contact the analysts or UBS Offshore which produced this report for advice as they are not licensed to provide securities investment advice in China. UBS Investment Bank (including Research) has its own wholly independent research and views which at times may vary from the views of UBS Global Wealth Management. The recipient should not use this document or otherwise rely on any of the information contained in this report in making investment decisions and UBS takes no responsibility in this regard. **Denmark**: This publication is not intended to constitute a public offer under Danish law. It is distributed only for information purposes to clients of UBS Europe SE, Denmark Branch, filial af UBS Europe SE, with place of business at Sankt Annae Plads 13, 1250 Copenhagen, Denmark, registered with the Danish Commerce and Companies Agency, under No. 38 17 24 33. UBS Europe SE, Denmark Branch, filial af UBS Europe SE is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Danish Financial Supervisory Authority (Finanstilsynet), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Egypt**: Securities or other investment products are not being offered or sold by UBS to the public in Egypt and they have not been and will not be registered with the Egyptian Financial Regulatory Authority (FRA). **France**: This publication is not intended to constitute a public offer under French law, it does not constitute a personal recommendation as it is distributed only for information purposes to clients of UBS Europe SE Succursale de France (a branch of UBS Europe SE), having its registered office at 39, rue du Colisée, 75008 Paris, France, registered with the "Registre du Commerce et des Sociétés" of Paris under N°844 425 629. UBS Europe SE Succursale de France is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the French "Autorité de contrôle prudentiel et de résolution" and "Autorité des marchés financiers", to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Germany**: This publication is not intended to constitute a public offer under German law. It is distributed only for information purposes to clients of UBS Europe SE, Germany, with place of business at Bockenheimer Landstrasse 2-4, 60306 Frankfurt am Main. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and supervised jointly by the European Central Bank, the German Central Bank (Deutsche Bundesbank) and BaFin, to which this publication has not been submitted for approval. **Hong Kong SAR**: This publication is distributed to clients of UBS AG Hong Kong Branch by UBS AG Hong Kong Branch, a licensed bank under the Hong Kong Banking Ordinance and a registered institution under the Securities and Futures Ordinance. UBS AG Hong Kong Branch is incorporated in Switzerland with limited liability. The contents of this material have not been reviewed by any regulatory authority in Hong Kong. **Indonesia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including futures contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Israel**: UBS is a premier global financial firm offering wealth management, asset management and investment banking services from its headquarters in Switzerland and its operations in over 50 countries worldwide to individual, corporate and institutional investors. This publication is intended for information only and is not intended as an offer to buy or solicitation of an offer. Furthermore, this publication is not intended as an investment advice. Nothing contrary to the above, no action has been, or will be, taken in Israel that would permit an offering of the product(s) mentioned in this document or a distribution of this document to the public in Israel. In particular, this document has not been reviewed or approved by the Israeli Securities Authority. The product(s) mentioned in this document is/are being offered to a limited number of sophisticated investors who qualify as one of the investors listed in the first supplement to the Israeli Securities Law, 5728-1968. This document may not be reproduced or used for any other purpose, nor be furnished to any other person other than those to whom copies have been sent. Anyone who purchases the product(s) mentioned herein shall do so for its own benefit and for its own account and not with the aim or intention of distributing or offering the product(s) to other parties. Anyone who purchases the product(s) shall do so in accordance with its own understanding and discretion and after it has received any relevant financial, legal, business, tax or other advice or opinion required by it in connection with such purchase(s). The word "advice" and/or any of its equivalent terms shall be read and construed in conjunction with the definition of the term "investment marketing" as defined under the Israeli Regulation of Investment Advice, Investment Marketing and Portfolio Management Law. The Swiss laws and regulations require a number of mandatory disclosures to be made in independent financial research reports or recommendations. Pursuant to the Swiss Financial Market Infrastructure Act and the Financial Market Infrastructure Ordinance-FINMA, banks must disclose the percentage of voting rights they hold in companies being researched, if these holdings are equal to or exceed the statutory thresholds. In addition, the Directives on the Independence of Financial Research, issued by the Swiss Bankers Association, mandate a number of disclosures, including the disclosure of potential conflicts of interest, the participation within previous 12 months in any securities issues on behalf of the company being researched, as well as the fact that remuneration paid to the financial analysts is based generally upon the performance of (i) the new issues department or investment banking; or (ii) securities trading performance (including proprietary trading) or sales. **Italy**: This publication is not intended to constitute a public offer under Italian law. It is distributed only for information purposes to clients of UBS Europe SE, Succursale Italia, with place of business at Via del Vecchio Politecnico, 3-20121 Milano. UBS Europe SE, Succursale Italia is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Bank of Italy (Banca d'Italia) and the Italian Financial Markets Supervisory Authority (CONSOB - Commissione Nazionale per le Società e la Borsa), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Japan**: This report is solely distributed in Japan by UBS SuMi TRUST Wealth Management Co., Ltd, Financial Instruments Dealer, Director-General of Kanto Local Finance Bureau (Kinsho) No. 3233, a member of the Japan Securities Dealers Association, Financial Futures Association of Japan, Investment Management Association of Japan. UBS SuMi TRUST Wealth Management Co., Ltd will not distribute or forward this report outside Japan. **Jersey**: UBS AG, Jersey Branch, is regulated and authorized by the Jersey Financial Services Commission for the conduct of banking, funds and investment business. Where services are provided from outside Jersey, they will not be covered by the Jersey regulatory regime. UBS AG, Jersey Branch is a branch of UBS AG a public company limited by shares, incorporated in Switzerland whose registered offices are at Aeschenvorstadt 1, CH-4051 Basel and Bahnhofstrasse 45, CH 8001 Zurich. UBS AG, Jersey Branch's principal place of business is 1, IFC Jersey, St Helier, Jersey, JE2 3BX. **Luxembourg**: This publication is not intended to constitute a public offer under Luxembourg law. It is distributed only for information purposes to clients of UBS Europe SE, Luxembourg Branch ("UBS Luxembourg"), R.C.S. Luxembourg n° B209123, with registered office at 33A, Avenue J. F. Kennedy, L-1855 Luxembourg. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin") and subject to the joint prudential supervision of BaFin, the European Central Bank and the central bank of Germany (Deutsche Bundesbank). UBS Luxembourg is furthermore supervised by the Luxembourg prudential supervisory authority (Commission de Surveillance du Secteur Financier), in its role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Malaysia**: This communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant

investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Mexico**: This information is distributed by UBS Asesores México, S.A. de C.V. ("UBS Asesores"), an affiliate of UBS Switzerland AG, incorporated as a non-independent investment advisor under the Mexican regulation due to the relation with a Foreign Bank. UBS Asesores is registered under number 30060-001-(14115)-21/06/2016 and subject to the supervision of the Mexican Banking and Securities Commission ("CNBV") exclusively regarding the rendering of (i) portfolio management services, (ii) securities investment advisory services, analysis and issuance of individual investment recommendations, and (iii) anti-money laundering and terrorism financing matters. This UBS publication or any material related thereto is addressed only to Sophisticated or Institutional Investors located in Mexico. Research reports only reflect the views of the analysts responsible for the report. The compensation of the analyst(s) who prepared this report is determined exclusively by research management and senior management of any entity of UBS Group to which such analyst(s) render(s) services. **Monaco**: This document is not intended to constitute a public offering or a comparable solicitation under the Principality of Monaco laws, but might be made available for information purposes to clients of UBS (Monaco) S.A., a regulated bank having its registered office at 2 avenue de Grande Bretagne 98000 Monaco operating under a banking license granted by the "Autorité de Contrôle Prudentiel et de Résolution" (ACPR) and the Monegasque government which authorizes the provision of banking services in Monaco. UBS (Monaco) S.A. is also licensed by the "Commission de Contrôle des Activités Financières" (CCAF) to provide investment services in Monaco. The latter has not approved this publication. **Philippines:** This communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Portugal**: This publication is not intended to constitute a public offer under Portuguese law. It is distributed only for information purposes by UBS Europe SE, Sucursal em Portugal (UBS Portugal), Commercial Register of Lisbon (Conservatoria do Registo comercial de Lisboa) no. 980492491, with registered office at Avenida da Liberdade, n. 0 180-A, 8.0 andar, 1250-146 Lisboa. UBS Portugal is a branch of UBS Europe SE, a credit institution constituted under German law in the form of a Societas Europaea (HRB n° 107046), with registered office at Bockenheimer Landstrasse 2-4, D-60306 Frankfurt am Main, Germany, duly authorized by the German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht – "BaFin") and subject to the joint prudential supervision of BaFin, the central bank of Germany (Deutsche Bundesbank) and the European Central Bank. UBS Portugal is furthermore supervised by the Portuguese banking and financial authorities as the "Banco de Portugal" and the "Comissão do Mercado dos Valores Mobiliários" in their role as host member state authority. This publication has not been submitted for approval to any public supervisory authority. **Qatar**: UBS Qatar LLC is licensed by the Qatar Financial Centre Authority and authorized by the QFC Regulatory Authority, with QFC no. 01169, and has its registered office at Lusail - Qatar, 14th Floor, Office No. 5 and 6, Building No. 157, Burj Alfardan, Al Majdami. This material is strictly intended for Eligible Counterparties and/or Business Customers only as classified under the QFCRA's Customer and Investor Protection Rules 2019. No other person should act upon this material. **Russia**: This document or information contained therein is for information purposes only and constitutes neither a public nor a private offering, is not an invitation to make offers, to sell, exchange or otherwise transfer any financial instruments in the Russian Federation to or for the benefit of any Russian person or entity and does not constitute an advertisement or offering of securities in the Russian Federation within the meaning of Russian securities laws. The information contained herein is not an "individual investment recommendation" as defined in Federal Law of 22 April 1996 No 39-FZ "On Securities Market" (as amended) and the financial instruments and operations specified herein may not be suitable for your investment profile or your investment goals or expectations. The determination of whether or not such financial instruments and operations are in your interests or are suitable for your investment goals, investment horizon or the acceptable risk level is your responsibility. We assume no liability for any losses connected with making any such operations or investing into any such financial instruments and we do not recommend to use such information as the only source of information for making an investment decision. **Saudi Arabia**: This material is for marketing and information purposes by UBS Saudi Arabia only. It has been distributed by UBS Saudi Arabia or reviewed and approved by UBS Saudi Arabia if it was issued by UBS Switzerland AG, by UBS AG, or any of its subsidiaries or branches. UBS Switzerland AG is a public company limited by shares, incorporated in Switzerland with its registered offices at Bahnhofstrasse 45, CH-8001 Zurich. UBS Saudi Arabia (a subsidiary of UBS AG) is a Saudi closed joint stock company incorporated in the Kingdom of Saudi Arabia with a paid capital of 110,000,000 Saudi Riyals under commercial register number 1010257812 having its registered office at Laysen Valley, P.O. Box 75724, Riyadh 11588, Kingdom of Saudi Arabia. UBS Saudi Arabia is authorized and regulated by the Capital Market Authority to conduct securities business under license number 08113-37. This document is distributed only under such circumstances as may be permitted by applicable laws and regulations. The information and – if any - opinions contained in this document have been compiled or arrived at based upon information obtained from sources believed to be reliable and in good faith, but is not guaranteed as being accurate, nor is it a complete statement or summary of the securities, markets or developments referred to in the document. All such information and opinions are subject to changes without notice. Past performance of investments (whether simulated or actual) is not necessarily an indicator of future results. Forward looking data is based on estimates that are subject to changes. Should the currency of a financial product or service not match your reference currency, performance may rise or fall due to currency fluctuations. UBS Switzerland AG and / or other members of the UBS Group may have a position in and may make a purchase and/or sale of any of the securities or other financial instruments mentioned in this document While statements that constitute "forward-looking statements", including, but not limited to, statements relating to our future business development represent UBS judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors could cause actual developments and results to differ materially from our expectations. This document may not be forwarded, reproduced, redistributed or republished for any purpose without the written permission of UBS Saudi Arabia. Source for all data and charts (if not indicated otherwise) is UBS Switzerland AG. **Singapore**: Where applicable, this material is distributed in Singapore by UBS AG, Singapore Branch, which is licensed by the Monetary Authority of Singapore under the Banking Act 1970 to carry on banking business. UBS AG is incorporated in Switzerland with limited liability. UBS AG has a branch registered in Singapore (UEN S98FC5560C). This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (each as defined under the Financial Advisers Regulations (the "FAR")) only. By virtue of your status as an institutional investor, accredited investor, or expert investor, UBS AG is exempted from complying with certain requirements under the Financial Advisers Act 2001 (the "FAA"), the FAR and the relevant Notices and Guidelines issued thereunder, in respect of any financial advisory service which UBS AG may provide to you. These include exemptions from complying with: Section 34 of the FAA (pursuant to Regulation 33(1) of the FAR); Section 36 of the FAA (pursuant to Regulation 34(1) of the FAR); and Section 45 of the FAA (pursuant to Regulation 35(1) of the FAR). Singapore recipients and clients of UBS AG, Singapore Branch should contact UBS AG, Singapore Branch for any matters arising from, or in connection with, this material. Where applicable, this communication and any offering material term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication was done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved or endorsed by any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or products or futures contracts). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or products. The relevant investments will be subject to restrictions and obligations on transfer as set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided on and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Spain:** This report is distributed in Spain by UBS AG, Sucursal en España, authorized under number 1460 in the Register by the Banco de España. **Sweden**: This publication is not intended to constitute a public offer under Swedish law. It is distributed only for information purposes to clients of UBS Europe SE, Sweden Bankfilial, with place of business at Regeringsgatan 38, 11153 Stockholm, Sweden, registered with the Swedish Companies Registration Office under Reg. No 516406-1011. UBS Europe SE, Sweden Bankfilial is subject to the joint supervision of the European Central Bank, the German Central Bank (Deutsche Bundesbank), the German Federal Financial Services Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, "BaFin"), as well as of the Swedish supervisory authority (Finansinspektionen), to which this publication has not been submitted for approval. UBS Europe SE is a credit institution constituted under German law in the form of a Societas Europaea, duly authorized by BaFin. **Taiwan**: This material is provided by UBS AG, Taipei Branch in accordance with laws of Taiwan, in agreement with or at the request of clients/prospects. **Thailand**: This communication and any offering material, term sheet, research report, other product or service documentation or any other information (the "Material") sent with this communication were done so as a result of a request received by UBS from you and/or persons entitled to make the request on your behalf. Should you have received the Material erroneously, UBS asks that you kindly delete/destroy the communication and Material and inform UBS immediately. The Material, where provided, was provided for your information only and is not to be further distributed in whole or in part in or into your jurisdiction without the consent of UBS. The Material may not have been reviewed, approved, disapproved, endorsed, registered or filed with any financial or regulatory authority in your jurisdiction. UBS has not, by virtue of the Material, made available, issued any invitation to subscribe for or to purchase any investment (including securities or derivatives products). The Material is neither an offer nor a solicitation to enter into any transaction or contract (including future contracts) nor is it an offer to buy or to sell any securities or derivatives products. The relevant investments will be subject to restrictions and obligations on transfer as

set forth in the Material, and by receiving the Material you undertake to comply fully with such restrictions and obligations. You should carefully study and ensure that you understand and exercise due care and discretion in considering your investment objective, risk appetite and personal circumstances against the risk of the investment. You are advised to seek independent professional advice in case of doubt. Any and all advice provided and/or trades executed by UBS pursuant to the Material will only have been provided upon your specific request or executed upon your specific instructions, as the case may be, and may be deemed as such by UBS and you. **Türkiye**: The information in this document is not provided for the purpose of offering, marketing or sale of any capital market instrument or service in the Republic of Türkiye. Therefore, this document may not be considered as an offer made, or to be made, to residents of the Republic of Türkiye in the Republic of Türkiye. UBS Switzerland AG is not licensed by the Capital Markets Board of Türkiye (the CMB) under the provisions of the Capital Market Law (Law No. 6362). Accordingly, neither this document nor any other offering material related to the instrument/service may be utilized in connection with providing any capital market services to persons within the Republic of Türkiye without the prior approval of the CMB. However, according to article 15 (d) (ii) of the Decree No. 32 residents of the Republic of Türkiye are allowed to purchase or sell the financial instruments traded in financial markets outside of the Republic of Türkiye. Further to this, pursuant to article 9 of the Communiqué on Principles Regarding Investment Services, Activities and Ancillary Services No. III-37.1, investment services provided abroad to residents of the Republic of Türkiye based on their own initiative are not restricted. **United Arab Emirates (UAE) / DIFC / Abu Dhabi**: UBS is not licensed in the UAE by the Central Bank of the UAE nor by the Capital Market Authority of the UAE and does not undertake banking activities in the UAE. This document is provided for your information only and does not constitute financial advice. **DIFC**: UBS AG Dubai Branch is regulated by the DFSA in the DIFC. This material is strictly intended for Professional Clients and/or Market Counterparties only as classified under the DFSA rulebook. It should not be distributed to Retail Clients. The Investment Research is provided for information purposes only and is not a recommendation or offer to buy/sell/hold a particular investment. The investment research may be out of date. You should seek investment advice before acting on the basis of the Investment Research. **Abu Dhabi**: UBS AG Abu Dhabi Branch is licensed and regulated by the Financial Services Regulatory Authority ("FSRA") of the Abu Dhabi Global Market. This material is intended solely for professional clients or market counterparties, as defined in the rules of the FSRA. It is not directed at, nor intended for, retail clients or any person who does not meet the criteria of a professional client or market counterparty. **United Kingdom**: This document is issued by UBS Wealth Management, a division of UBS AG which is authorised and regulated by the Financial Market Supervisory Authority in Switzerland. In the United Kingdom, UBS AG is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of regulation by the Prudential Regulation Authority are available from us on request. A member of the London Stock Exchange. This publication is distributed to retail clients of UBS Wealth Management. **Ukraine**: UBS is a premier global financial services firm offering wealth management services to individual, corporate and institutional investors. UBS is established in Switzerland and operates under Swiss law and in over 50 countries and from all major financial centers. UBS is not registered and licensed as a bank/financial institution under Ukrainian legislation and does not provide banking and other financial services in Ukraine. UBS has not made, and will not make, any offer of the mentioned products to the public in Ukraine. No action has been taken to authorize an offer of the mentioned products to the public in Ukraine and the distribution of this document shall not constitute financial services for the purposes of the Law of Ukraine "On Financial Services and Financial Companies" dated 14 December 2021. Any offer of the mentioned products shall not constitute an investment advice, public offer, circulation, transfer, safekeeping, holding or custody of securities in the territory of Ukraine. Accordingly, nothing in this document or any other document, information or communication related to the mentioned products shall be interpreted as containing an offer, a public offer or invitation to offer or to a public offer, or solicitation of securities in the territory of Ukraine or investment advice under Ukrainian law. Electronic communication must not be considered as an offer to enter into an electronic agreement or other electronic instrument within the meaning of the Law of Ukraine "On Electronic Commerce" dated 3 September 2015. This document is strictly for private use by its holder and may not be passed on to third parties or otherwise publicly distributed. **USA**: Distributed to US persons only by UBS Financial Services Inc. or UBS Securities LLC, subsidiaries of UBS AG. UBS Switzerland AG, UBS Europe SE, UBS Bank, S.A., UBS BB Corretora de Câmbio, Títulos e Valores Mobiliários S.A., UBS Asesores México, S.A. de C.V., UBS SuMi TRUST Wealth Management Co., Ltd., UBS Wealth Management Israel Ltd. and UBS Menkul Degerler AS are affiliates of UBS AG. **UBS Financial Services Inc. accepts responsibility for the content of a report prepared by a non-US affiliate when it distributes reports to US persons. All transactions by a US person in the securities mentioned in this report should be effected through a US-registered broker dealer affiliated with UBS, and not through a non-US affiliate. The contents of this report have not been and will not be approved by any securities or investment authority in the United States or elsewhere. UBS Financial Services Inc. is not acting as a municipal advisor to any municipal entity or obligated person within the meaning of Section 15B of the Securities Exchange Act (the "Municipal Advisor Rule") and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of the Municipal Advisor Rule.** For information on the ways in which UBS Securities LLC manages conflicts and maintains independence of its UBS Global Research product; historical performance information; certain additional disclosures concerning UBS Global Research recommendations; and terms and conditions for certain third party data used in research report, please visit https://www.ubs.com/disclosures.

© UBS 2026. The key symbol and UBS are among the registered and unregistered trademarks of UBS. All rights reserved.

晶技 (3042 TT) TXC

AI 持續貢獻營運，擴充高階產能因應需求

買進 (維持評等) | **目標價 (12 個月)：NT$236.0** | 收盤價 (2026/10/22)：NT$169.5 隱含漲幅：39.2%

營收組成 (3Q26)

AI 16%、Auto 29%、Computing 10%、Mobile 22%、Networking 7%、Connectivity & Others 16%。

本次報告更新重點

項目	本次	前次
評等	買進	買進
目標價 (NT$)	236	229
2026年營收 (NT$/十億)	15.2	14.5
2026年EPS	6.9	6.4

*因應股本變動，調整前次目標價及 EPS 數值

交易資料表

市值	NT$58,140百萬元
外資持股比率	23.0%
董監持股比率	5.3%
調整後每股淨值 (2026F)	NT$45.07
負債比	31.9%
ESG評級 (Sustainalytics)	低 (曝險程度共5級)

簡明損益表 (NT$百萬元)

年初至12月	2024A	2025A	2026F	2027F
營業收入	12,672	13,349	15,208	16,526
營業利益	2,136	2,024	2,708	3,391
稅後純益	2,137	1,805	2,353	2,894
EPS (元)	6.25	5.28	6.86	8.44
EPS YoY (%)	13.0	-15.6	30.0	23.0
本益比 (倍)	27.1	32.1	24.7	20.1
股價淨值比 (倍)	3.6	3.7	3.8	3.5
ROE (%)	15.1	11.1	15.2	17.6
現金殖利率 (%)	3.1%	2.8%	3.2%	3.7%
現金股利 (元)	5.20	4.80	5.49	6.29

陳玫芬 合格證券投資分析人員 & CFP
Lisa.mf.chen@yuanta.com

葉建伸
jasperyeh@yuanta.com

元大觀點

- **3Q26 EPS 上修 16%至 2.07 元，年增 39%，因營收占比 16%/29%的 AI/車用優於原估計 9%/20%；4Q26 EPS 上修 12%至 1.86 元。**
- **石英元件因 AI 升級 Photo die 需求提升；晶技 Photo die 產能規劃由目前的 8KK/月增加至 2027 年中的 24KK/月，2028 年底達到 40KK。**
- **本中心估計 2027 年 AI 的營收占比由 22%上修至 23%，2026/2027 年增率 65%/64%，為主要成長動能，維持正向看法及買進評等。**

3Q26 獲利預估數上修因 AI 及車用優於原估計

3Q26 營收 42 億元，季增/年增 13%/20%，估計 EPS 上修 16%至 2.07 元，季增 28%且年增 39%；上修主因該季 AI/車用營收優於原估計 9%/20%，營收占比 16%/29%，年增 76%/44%。4Q26 估計營收 40 億元，年增 20%，EPS 上修 12%至 1.86 元，年增 41%；上修主因上調車用營收 10%至年增 35%，且 AI 應用估計占比 16%，年增 75%。

Photo die 產能規劃持續擴充，元件頻率與市場 AI 同步升級

光收發模組於 800G 世代主要使用 156.25MHz 的產品；1.6T 世代需要 312.5MHz 的石英元件，搭配黃光微影（Photo die）製程。以交換機而言，低於 25.6T 的舊世代交換機主要使用 156.25MHz 的石英元件；51.2T 等級（主流 AI 交換機）及 102.4T 等級（下世代交換機），升級至 312.5MHz 石英振盪器。因應持續增加的高速傳輸需求，晶技的 Photo die 產能規劃由目前的 8KK/月增加至 2027 年中的 24KK/月，規劃 2028 年底達到 40KK。

2027 年 AI 占比 23%且年增 64%，維持正向看法

本中心預估 2026 年營收上修 5%且 EPS 上修 7%至 6.86 元，年增 30%，因 AI 及車用上修 3%及 8%。2027 年營收上修 2%至 165 億元，年增 9%，EPS 上修 5%至 8.44 元，年增 23%；上修主因 AI 上修 6%且車用上修 2%，手機則下修 2%。本中心正面看待 2027 年 AI 的營收占比 23%且年增 64%，超越手機占比 19%，且 AI 占比高於 2025/2026 的 10%/15%。參考市場上光通訊兼具手機零件概念公司本益比 10-50 倍，本中心以 2027 年 EPS 8.44 元及 28 倍本益比(前次以 2027 年 EPS 28 倍)，給予目標價 236 元，維持買進評等。

營運分析

3Q26 獲利預估數上修因 AI 及車用優於原估計，4Q26 獲利上修因看好車用

3Q26 營收 42 億元，季增/年增 13%/20%，估計 EPS 上修 16%至 2.07 元，季增 28%且年增 39%；上修獲利預期主因該季 AI/車用營收優於原估計 9%/20%，營收占比 16%/29%，年增 76%/44%。4Q26 估計營收 40 億元，年增 20%，EPS 上修 12%至 1.86 元，年增 41%；其中，AI 應用估占比 16%，年增 75%；上修主因上調車用營收 10%至年增 35%，且 AI 應用估計占比 16%，年增 75%。

圖 1：2026 年第 3 季財測與預估比較

(百萬元)	3Q25A	2Q26A	3Q26F	季增率	年增率	3Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	3,492	3,699	4,196	13.4%	20.2%	3,790	4,057	10.7%	3.4%
營業毛利	1,088	1,225	1,440	17.6%	32.3%	1,282	1,434	12.3%	0.4%
營業利益	491	622	829	33.2%	68.8%	683	791	21.4%	4.8%
稅前利益	629	670	857	27.9%	36.3%	741	844	15.7%	1.5%
稅後淨利	511	555	711	28.0%	39.1%	615	700	15.7%	1.6%
調整後 EPS (元)	1.49	1.62	2.07	28.0%	38.7%	1.80	2.04	15.7%	1.6%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	31.2%	33.1%	34.3%	1.2	3.2	33.8%	35.4%	0.5	-1.0
營業利益率	14.1%	16.8%	19.8%	2.9	5.7	18.0%	19.5%	1.7	0.3
稅後純益率	14.6%	15.0%	16.9%	1.9	2.3	16.2%	17.3%	0.7	-0.3

資料來源：公司資料、元大投顧預估、Bloomberg

圖 2：2026 年第 4 季財測與預估比較

(百萬元)	4Q25A	3Q26F	4Q26F	季增率	年增率	4Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	3,324	4,196	3,975	-5.3%	19.6%	3,680	3,955	8.0%	0.5%
營業毛利	1,070	1,440	1,372	-4.7%	28.2%	1,283	1,426	6.9%	-3.8%
營業利益	468	829	754	-9.1%	61.2%	665	795	13.3%	-5.2%
稅前利益	588	857	806	-6.0%	37.0%	717	845	12.3%	-4.6%
稅後淨利	451	711	637	-10.5%	41.0%	567	691	12.3%	-7.9%
調整後 EPS (元)	1.32	2.07	1.86	-10.5%	40.6%	1.66	2.01	12.3%	-7.9%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	32.2%	34.3%	34.5%	0.2	2.3	34.9%	36.1%	-0.4	-1.5
營業利益率	14.1%	19.8%	19.0%	-0.8	4.9	18.1%	20.1%	0.9	-1.1
稅後純益率	13.6%	16.9%	16.0%	-0.9	2.4	15.4%	17.5%	0.6	-1.5

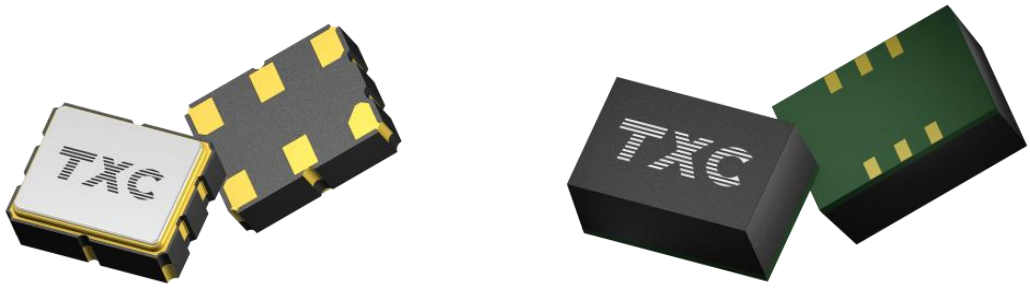
資料來源：公司資料、元大投顧預估、Bloomberg

石英元件頻率與 AI 需求同步升級，由 156.25MHz 邁向 312.5MHz

光收發模組於 800G 世代主要使用 156.25MHz 的產品；1.6T 世代，傳輸速度太快，晶片倍頻產生的雜訊會摧毀訊號。此時必須使用基頻為 312.5MHz 的石英元件，搭配黃光微影（Photo die）製程，將相位抖動壓低到 30 飛秒（fs）等級，才能確保光電轉換過程中資料不失真。。

以交換機而言，低於 25.6T 的舊世代交換機主要使用 156.25MHz 的石英元件；51.2T 等級（主流 AI 交換機）及 102.4T 等級（下世代頂級 AI 交換機），升級至 312.5MHz 石英振盪器，以免 Jitter 過大讓傳輸失真。交換機的插槽(Port)速度而言，800G 乙太網路（Ethernet）/ InfiniBand 埠部分高階 800G 交換機已提前採用 312.5MHz 晶片方案；1.6T 乙太網路均需採用 312.5MHz（且相位抖動 < 30 飛秒 fs） 的石英元件。

圖 3：MHz 石英振盪器(左)；恆溫控制石英振盪器(右)



資料來源：公司資料、元大投顧整理

Photo die 產能規劃持續擴充，由目前的 8KK 至 2028 年底達 40KK

Photo die 石英元件以半導體等級的黃光製程曝光、顯影與化學蝕刻來製作石英晶片；相對於傳統的石英元件利用機械研磨或拋光的方式把石英切割成薄片（Die）而言，在石英元件要求越小且頻率要求越來越高時，傳統機械加工會達到物理極限，容易震碎且精準度不夠，故需要 Photo die 製程將石英晶片做得極度微型化，藉此產生超高頻率與超低訊號抖動。

晶技的 Photo die 產能規劃由目前的 8KK/月增加至 2027 年中的 24KK/月，規劃 2028 年底達到 40KK，因應高速傳輸需求。AI 占營收比重估計於 2026/2027 年為 15%/23%(2024/2025 年為 8%/10%)，年增率為 65%/64%，以光收發模組 DSP 搭配的石英元件 Oscillator 為主要動能；此外，交換機 ASIC 搭配的石英元件以及 AI 加速器應用亦為動能。

圖 4：Photo Die(光電二極體晶片) 月產能規劃

Photo Die 月產能			
時間	2026/10	2027F	2028F
產能(單位:萬)	800	2,400	4,000

資料來源：市場資料、元大投顧整理

圖 5：晶技產品項目分類以 AI 最具成長動能；智慧型手機占比逐年減低

類別	說明	2024 年	2025 年	2026(F)	2027(F)
AI	光收發模組、加速卡；交換器及 AI 伺服器；5G Advanced Infrastructures	8%	10%	15%	23%
Automotive	含車用顯示、ADAS 應用	22%	26%	28%	29%
Computing	NB、Tablet	9%	10%	10%	8%
Mobile Communication	Handset	37%	29%	24%	19%
Networking	Router、Switch、CPE、WiFi、Wireless LAN、CPE	5%	6%	8%	8%
Connectivity & Others	穿戴、智能家電、IOT、AR/VR	19%	19%	16%	14%

資料來源：公司資料、元大投顧整理

產業概況

石英元件能提供穩定頻率信號，為網通設備及晶片提供精確時脈

石英元件利用石英晶體的壓電效應，將機械能及電能轉換成基本訊號源，用來產生高精度振盪頻率的一種電子元件。石英晶體(Crystal Resonators 或 Xtal)是石英晶棒經由切割、研磨等前段製程來產出石英晶片(Blank)後，石英晶片加上電極與外殼封裝；其提供固定時脈信號，作為控頻及計時之用；為單純石英晶體被動元件，不含主動元件，需搭配外加電路才會產生振盪。石英晶體振盪器(crystal oscillator，簡稱 OSC 或 XO)為內含石英晶體加上設計有振盪 IC 形成信號源模組，需要電源，可直接產生振盪訊號輸出；整個模組屬主動元件，通常是四支接腳的電子元件。

石英元件像是節拍器，是讓產品數位訊號能夠對標的關鍵零組件，能夠提供穩定的頻率信號；石英振盪器，為伺服器、網通設備提供穩定和精確的時脈訊號，確保數據傳輸和處理的同步性和可靠性。

晶技營收規模及獲利能力相較於台系同業具優勢

晶技與其他石英元件台系同業相較，營收規模為其他台系業者的 10-20 倍，毛利率及營業利益率亦優於台系業者。主因晶技早期佈局高階產品，且技術能力持續提升，能供應市場需求持續提供微型化及高頻化產品。

圖 6：晶技營收規模高於台灣同業，毛利率及營益率亦有較良好表現

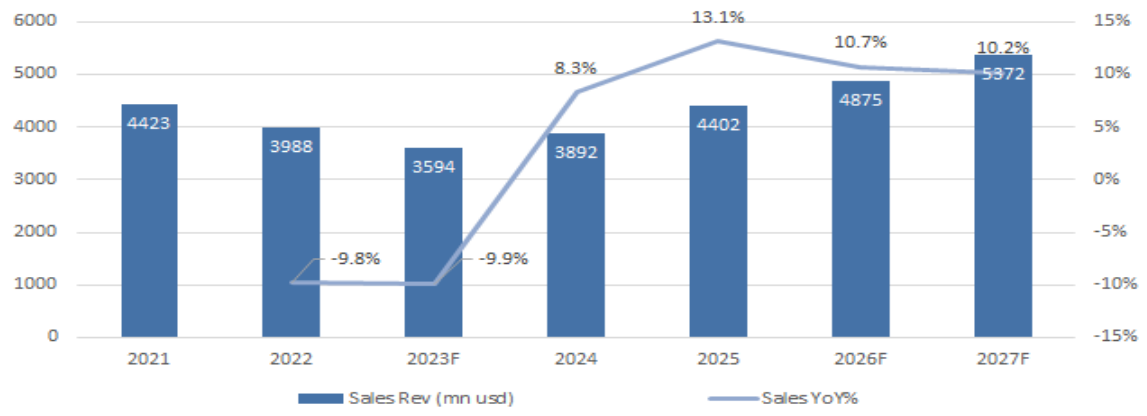
公司	營收	毛利率 %	營益率 %	市值
3042 晶技	13,349	33%	15.2%	62,596
2484 希華	2,410	18%	3.3%	13,136
3221 台嘉碩	2,231	21%	1.2%	5,312
6174 安碁	611	35%	6.7%	2,625
8182 加高	2,871	14%	2.7%	4,239
8289 泰藝	1,744	24%	1.1%	3,512

資料來源：元大投顧整理；營收、毛利率、營益率為 2025 實際數字；單位為新台幣百萬元。市值為最近期數字。

石英元件產業重回成長，其中小型化產品成長動能相對強勁

根據 CS&A 預估全球石英元件市場產值 2020 因受 COVID-19 影響，產值年衰退 6.9%， 2024 年開始回到成長軌道；且相較整體市場之緩和成長，小型化產品成長力道更佳。

圖 7：全球石英元件產值變化



資料來源：TXC、CS&A、元大投顧整理

獲利調整與股票評價

正面看待 AI 貢獻 2026 及 2027 年營運且上修獲利，維持買進建議

本中心預估 2026 年 EPS 上修 7%至 6.86 元，年增 30%；2027 年營收上修 2%至 165 億元，年增 9%，EPS 上修 5%至 8.44 元，年增 23%。上修主因 AI 上修 6%且車用上修 2%，手機則下修 2%。

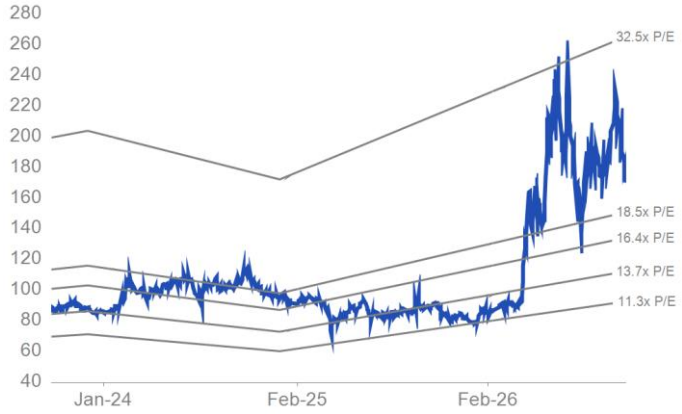
本中心正面看待 2027 年 AI 的營收占比 23%超越手機應用的 19%，參考市場上光通訊兼具手機零件概念公司本益比 10-50 倍，本中心以 2027 年 EPS 8.44 元及 28 倍本益比(前次以 2027 年 EPS 28 倍)，給予目標價 236 元。

圖 8：2026 和 2027 年財務預估調整

(百萬元)	2026 估		2027 估		預估差異	
	調整後	調整前	調整後	調整前	2026	2027
營業收入	15,208	14,508	16,526	16,208	4.8%	2.0%
營業毛利	5,116	4,869	5,930	5,763	5.1%	2.9%
營業利益	2,708	2,474	3,391	3,224	9.5%	5.2%
稅前利益	2,886	2,681	3,532	3,365	7.6%	5.0%
稅後淨利	2,353	2,187	2,894	2,758	7.6%	4.9%
調整後 EPS (元)	6.86	6.40	8.44	8.07	7.3%	4.6%
重要比率 (%)					百分點	百分點
營業毛利率	33.6%	33.6%	35.9%	35.6%	0.1	0.3
營業利益率	17.8%	17.1%	20.5%	19.9%	0.8	0.6
稅後純益率	15.5%	15.1%	17.5%	17.0%	0.4	0.5

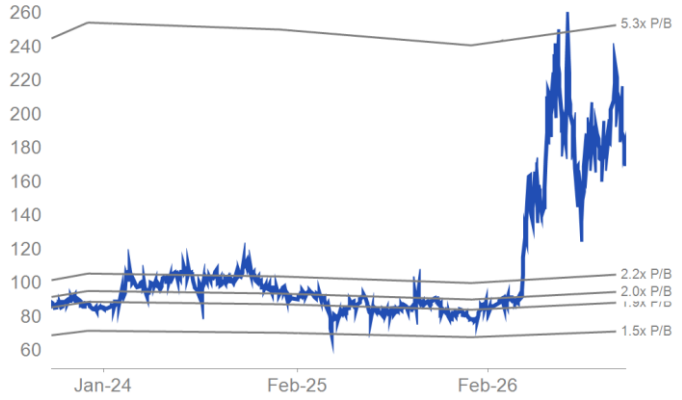
資料來源：公司資料、元大投顧預估

圖 9：12 個月預期本益比區間圖



資料來源：公司資料、元大投顧

圖 10：12 個月預期股價淨值比區間圖



資料來源：公司資料、元大投顧、CMoney

圖 11：同業評價比較表

公司	代碼	評等	股價	市值 (百萬美元)	調整後每股盈餘			本益比(倍)			調整後每股盈餘成長率(%)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
晶技	**3042 TT**	**買進**	**169.5**	**1,761**	**5.28**	**6.86**	**8.44**	**32.1**	**24.7**	**20.1**	**(15.6)**	**30.0**	**23.0**
國外同業													
Epson	6274 JP	未評等	1,931.0	4,581	168.7	133.2	225.6	11.4	14.5	8.6	6.3	(21.1)	69.4
KDS	6962 JP	未評等	548.0	112	8.9	9.8	17.3	61.8	55.7	31.7	(84.7)	10.9	76.0
NDK	6779 JP	未評等	939.0	139	77.7	81.8	145.5	12.1	11.5	6.5	(23.1)	5.2	77.9
國外同業平均					**85.1**	**74.9**	**129.5**	**28.4**	**27.2**	**15.6**	**(33.8)**	**(1.7)**	**74.4**
國內同業													
全新	2455 TT	買進	467.0	2,812	3.0	5.6	8.6	157.6	84.1	54.6	(18)	87.3	54.1
穩懋	3105 TT	未評等	486.0	6,655	4.0	7.1	10.1	121.6	68.0	48.1	120.5	79.0	41.2
國內同業平均					**3.5**	**6.3**	**9.3**	**139.6**	**76.1**	**51.4**	**51.1**	**83.1**	**47.6**

資料來源：公司資料、元大投顧、Reuters；每股盈餘數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 12：同業評價比較表 (續)

公司	代碼	評等	股價	市值 (百萬美元)	股東權益報酬率(%)			每股淨值			股價淨值比(倍)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
晶技	**3042 TT**	**買進**	**169.5**	**1,761**	**11.1**	**15.2**	**17.6**	**46.41**	**45.07**	**48.02**	**3.7**	**3.8**	**3.5**
國外同業													
Epson	6274 JP	未評等	1,931.0	4,581	6.8	5.3	7.6	2,461.2	2,568.5	2,811.8	0.8	0.8	0.7
KDS	6962 JP	未評等	548.0	112	0.8	0.9	1.1	1,150.5	1,124.8	1,180.4	0.5	0.5	0.5
NDK	6779 JP	未評等	939.0	139	6.3	6.3	10.3	1,265.0	1,323.6	1,533.4	0.7	0.7	0.6
國外同業平均					**4.6**	**4.2**	**6.4**	**1,625.5**	**1,672.3**	**1,841.9**	**0.7**	**0.6**	**0.6**
國內同業													
全新	2455 TT	買進	467.0	2,812	16.5	27.0	35.1	17.8	20.6	24.4	26.2	22.7	19.2
穩懋	3105 TT	未評等	486.0	6,655	4.3	7.2	10.3	98.0	97.9	105.0	5.0	5.0	4.6
國內同業平均					**10.4**	**17.1**	**22.7**	**57.9**	**59.2**	**64.7**	**15.6**	**13.8**	**11.9**

資料來源：公司資料、元大投顧、Reuters；每股淨值數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 13：季度及年度簡明損益表 (合併)

(NT$百萬元)	1Q2026A	2Q2026A	3Q2026F	4Q2026F	1Q2027F	2Q2027F	3Q2027F	4Q2027F	FY2026F	FY2027F
營業收入	3,339	3,699	4,196	3,975	3,671	3,965	4,515	4,375	15,208	16,526
銷貨成本	(2,260)	(2,474)	(2,756)	(2,603)	(2,402)	(2,561)	(2,868)	(2,765)	(10,093)	(10,596)
營業毛利	1,080	1,225	1,440	1,372	1,269	1,404	1,647	1,610	5,116	5,930
營業費用	(576)	(602)	(611)	(618)	(589)	(587)	(663)	(700)	(2,407)	(2,539)
營業利益	504	622	829	754	680	817	984	910	2,708	3,391
業外利益	50	48	28	52	49	44	24	24	178	141
稅前純益	553	670	857	806	729	861	1,008	934	2,886	3,532
所得稅費用	(103)	(112)	(146)	(169)	(124)	(146)	(171)	(196)	(529)	(638)
少數股東權益	0	0	0	0	0	0	0	0	0	0
歸屬母公司稅後純益	450	555	711	637	605	714	836	738	2,353	2,894
調整後每股盈餘(NT$)	1.31	1.62	2.07	1.86	1.76	2.08	2.44	2.15	6.86	8.44
調整後加權平均股數(百萬股)	343	343	343	343	343	343	343	343	343	343
重要比率										
營業毛利率	32.3%	33.1%	34.3%	34.5%	34.6%	35.4%	36.5%	36.8%	33.6%	35.9%
營業利益率	15.1%	16.8%	19.8%	19.0%	18.5%	20.6%	21.8%	20.8%	17.8%	20.5%
稅前純益率	16.6%	18.1%	20.4%	20.3%	19.9%	21.7%	22.3%	21.4%	19.0%	21.4%
稅後純益率	13.5%	15.0%	17.0%	16.0%	16.5%	18.0%	18.5%	16.9%	15.5%	17.5%
有效所得稅率	18.5%	16.7%	17.0%	21.0%	17.0%	17.0%	17.0%	21.0%	18.3%	18.1%
季增率(%)										
營業收入	0.4%	10.8%	13.4%	-5.3%	-7.6%	8.0%	13.9%	-3.1%		
營業利益	7.7%	23.5%	33.2%	-9.0%	-9.8%	20.1%	20.4%	-7.5%		
稅後純益	-0.2%	23.3%	28.0%	-10.4%	-5.0%	18.0%	17.1%	-11.7%		
調整後每股盈餘	-0.5%	23.3%	28.0%	-10.5%	-4.9%	18.1%	17.1%	-11.8%		
年增率(%)										
營業收入	5.5%	9.9%	20.2%	19.6%	9.9%	7.2%	7.6%	10.1%	13.9%	8.7%
營業利益	-2.3%	13.2%	68.9%	61.3%	35.0%	31.3%	18.7%	20.7%	33.8%	25.2%
稅後純益	-4.5%	50.0%	39.1%	41.1%	34.3%	28.6%	17.6%	15.9%	30.6%	22.8%
調整後每股盈餘	-4.8%	49.5%	38.7%	40.6%	34.3%	28.6%	17.6%	16.0%	30.0%	23.0%

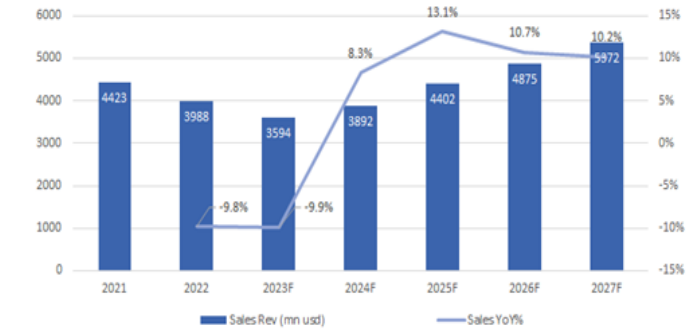
資料來源：公司資料、元大投顧、CMoney；標"A"為歷史數據；調整後每股盈餘為根據調整後加權平均股數計算。

公司簡介

全球石英元件領導廠商，具台灣、中國及印尼產能

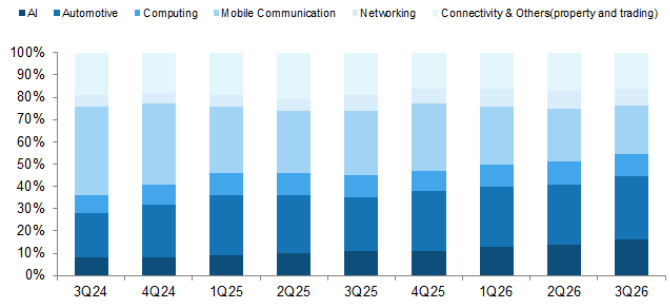
台灣晶技成立於 1983 年，主要產品為石英元件，包含石英晶體諧振器(Crystal Resonator；XTAL)、石英振盪器(Crystal Oscillators；XO)，應用於電子產品頻率控制。產能主要位於台灣平鎮、中國重慶及寧波、印尼泗水。高階產品的技術朝小型化、高頻低雜訊、高精度及穩定性發展。

圖 14：全球石英元件產值變化



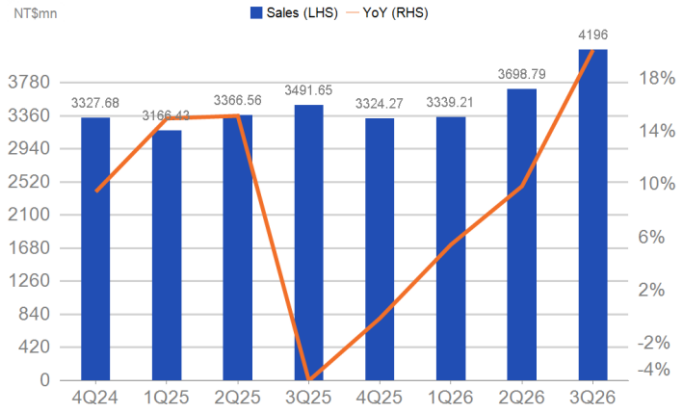
資料來源：公司資料、元大投顧預估

圖 15：營收組成



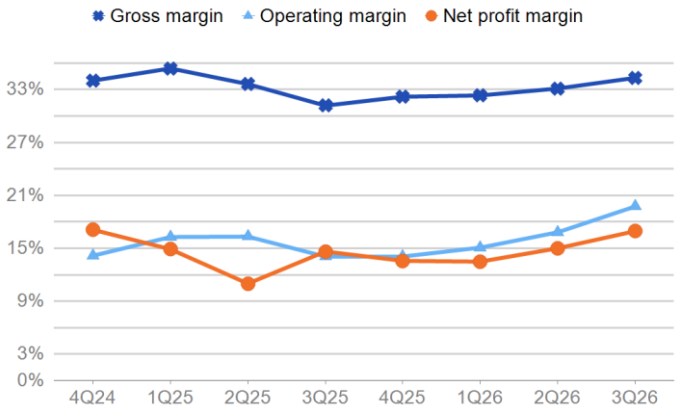
資料來源：公司資料

圖 16：營收趨勢



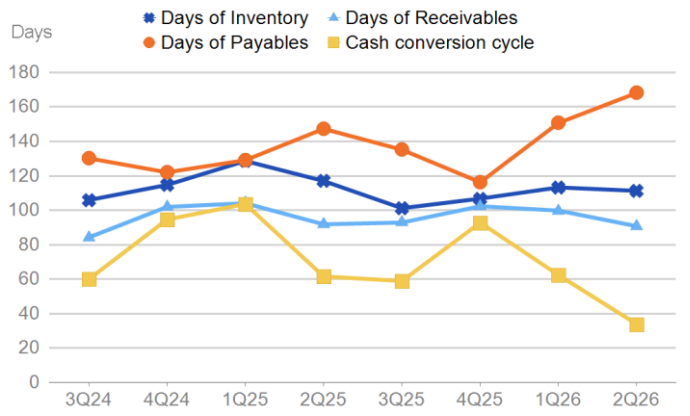
資料來源：CMoney、公司資料

圖 17：毛利率、營益率、淨利率



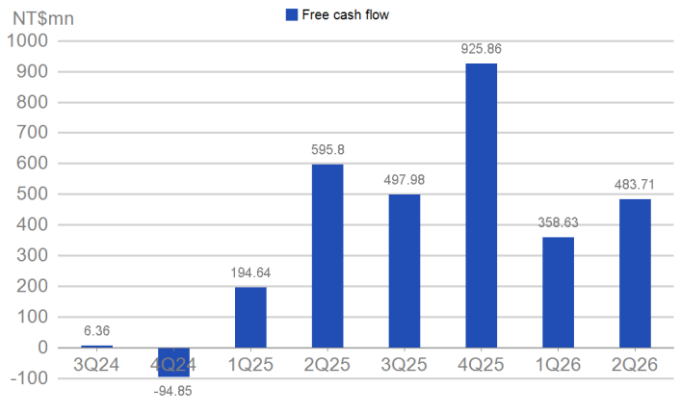
資料來源：CMoney、公司資料

圖 18：經營能力



資料來源：CMoney、公司資料

圖 19：自由現金流量



資料來源：CMoney、公司資料

ESG 分析

分別藉由「在 ESG 議題上的曝險」和「個別公司在 ESG 議題上的執行力」兩個面向來衡量公司於 ESG 上的表現。

- **ESG 總分：** 晶技整體的 ESG 風險評級屬於低風險，於 Sustainalytics 資料庫所覆蓋的公司中排名亦排行於領先的位置，在電子零組件行業中的 公司中排名亦領先同業。
- **在 ESG 議題上的曝險：** 晶技的整體曝險屬於較低水準，且優於電子零組件行業的平均水準。公司較需要改善的 ESG 議題包含「碳排放 - 自身營運」、「商業道德」以及「資源使用」這些實質 ESG 議題上面臨最高的風險敞口。
- **個別公司在 ESG 議題上的執行力：**晶技在針對重大 ESG 議題的管理水準和執行力屬中等，公司已採取一些措施來管理與重大 ESG 議題相關的風險，但這些措施尚不足以涵蓋其所面臨的所有風險。儘管如此，該公司並未捲入任何具有重大財務影響的風險事件。

圖 20：ESG 分析

分項	評分/評級
ESG 總分	19.5
在 ESG 議題上的曝險 (A)	34.6
個別公司在 ESG 議題上的執行力 (B)	46.8
風險評級	低 ★
同業排行(1~100，1 為最佳)	23

資料來源：Sustainalytics (2026/10/22)

*註 1：ESG 總分=A-(A*可控風險因子*B/100)*

註 1-1：可控風險因子介於 0-1 之間，越大為越佳。

註 2：ESG 總分風險評級： 極低 (0-10) | 低 (10-20) | 中 (20-30) | 高 (30-40) | 極高 (40+)

註 3：曝險分數評級： 低 (0-35) | 中 (35-55) | 高 (55+)

註 4：執行力分數評級： 弱 (0-25) | 中 (25-50) | 強 (50-100)

資產負債表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
現金與短期投資	4,204	3,906	3,878	4,244	4,930
存貨	2,470	2,825	2,732	3,195	3,754
應收帳款及票據	3,255	3,760	3,666	3,996	4,313
其他流動資產	882	2,067	2,673	2,942	2,942
流動資產	**10,812**	**12,559**	**12,949**	**14,378**	**15,940**
採用權益法之投資	446	465	446	20	20
固定資產	5,770	6,984	7,255	7,036	6,875
無形資產	51	42	48	49	48
其他非流動資產	**1,743**	**2,120**	**1,122**	**1,562**	**1,562**
非流動資產	**8,010**	**9,611**	**8,871**	**8,667**	**8,505**
資產總額	**18,822**	**22,171**	**21,820**	**23,045**	**24,445**
應付帳款及票據	1,416	1,691	1,717	1,928	2,316
短期借款	242	206	395	699	699
什項負債	3,111	2,302	1,956	3,520	3,520
流動負債	**4,768**	**4,199**	**4,069**	**6,147**	**6,535**
長期借款	1,883	1,187	1,281	970	970
其他負債及準備	298	340	432	354	354
長期負債	**2,180**	**1,527**	**1,713**	**1,324**	**1,324**
負債總額	**6,949**	**5,726**	**5,783**	**7,471**	**7,859**
股本	3,098	3,430	3,430	3,430	3,430
資本公積	1,719	4,622	4,622	4,449	4,449
保留盈餘	7,585	8,345	8,606	7,880	8,892
什項權益	(528)	(73)	(738)	(300)	(300)
歸屬母公司之權益	**11,874**	**16,324**	**15,920**	**15,459**	**16,470**
非控制權益	**0**	**120**	**117**	**116**	**116**
股東權益總額	**11,874**	**16,444**	**16,037**	**15,575**	**16,586**

資料來源：公司資料、元大投顧

現金流量表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
本期純益	1,714	2,137	1,804	2,356	2,894
折舊及攤提	1,228	1,182	1,248	1,277	1,266
本期營運資金變動	779	(560)	215	(581)	(487)
其他營業資產及負債變動	(667)	(163)	146	(137)	0
營運活動之現金流量	**3,053**	**2,596**	**3,413**	**2,916**	**3,674**
資本支出	(710)	(2,199)	(1,198)	(951)	(1,105)
本期長期投資變動	(12)	19	(19)	422	0
其他資產變動	(7)	(957)	(106)	(444)	0
投資活動之現金流量	**(729)**	**(3,136)**	**(1,324)**	**(973)**	**(1,105)**
股本變動	0	332	0	0	0
本期負債變動	(100)	(1,026)	(54)	(60)	0
現金增減資	0	2,338	0	0	0
支付現金股利	(2,168)	(1,394)	(1,784)	(1,646)	(1,883)
其他調整數	(18)	(169)	(264)	(5)	0
融資活動之現金流量	**(2,286)**	**81**	**(2,102)**	**(1,711)**	**(1,883)**
匯率影響數	**(57)**	**162**	**(16)**	**135**	**0**
本期產生現金流量	**(18)**	**(298)**	**(29)**	**367**	**686**
自由現金流量	**2,344**	**397**	**2,214**	**1,965**	**2,569**

資料來源：公司資料、元大投顧

損益表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
營業收入	**10,850**	**12,672**	**13,349**	**15,208**	**16,526**
銷貨成本	(6,990)	(8,185)	(8,939)	(10,093)	(10,596)
營業毛利	**3,860**	**4,487**	**4,410**	**5,116**	**5,930**
營業費用	(1,991)	(2,351)	(2,386)	(2,407)	(2,539)
推銷費用	(447)	(535)	(540)	(556)	(598)
研究費用	(950)	(1,081)	(1,061)	(1,062)	(1,108)
管理費用	(594)	(735)	(785)	(789)	(833)
其他費用	0	0	0	0	0
營業利益	**1,869**	**2,136**	**2,024**	**2,708**	**3,391**
利息收入	77	72	54	59	58
利息費用	(58)	(56)	(67)	(59)	(70)
利息收入淨額	20	16	(13)	0	(12)
投資利益(損失)淨額	5	16	8	10	30
匯兌損益	69	260	(41)	19	0
其他業外收入(支出)淨額	101	146	223	149	123
稅前純益	2,063	2,575	2,200	2,886	3,532
所得稅費用	(350)	(438)	(396)	(529)	(638)
少數股權淨利	0	(1)	0	0	0
歸屬母公司之稅後純益	**1,714**	**2,137**	**1,805**	**2,353**	**2,894**
稅前息前折舊攤銷前淨利	3,349	3,813	3,515	3,986	4,657
調整後每股盈餘 (NT$)	**5.53**	**6.25**	**5.28**	**6.86**	**8.44**

資料來源：公司資料、元大投顧

主要財務報表分析

年初至 12 月	2023A	2024A	2025A	2026F	2027F
年成長率 (%)					
營業收入	(17.6)	16.8	5.3	13.9	8.7
營業利益	(33.5)	14.3	(5.3)	33.8	25.2
稅前息前折舊攤銷前淨利	(28.3)	13.8	(7.8)	13.4	16.8
稅後純益	(38.9)	24.7	(15.6)	30.6	22.8
調整後每股盈餘	(38.9)	13.0	(15.6)	30.0	23.0
獲利能力分析 (%)					
營業毛利率	35.6	35.4	33.0	33.6	35.9
營業利益率	17.2	16.9	15.2	17.8	20.5
稅前息前淨利率	18.5	19.9	16.0	17.8	20.5
稅前息前折舊攤銷前淨利率	30.9	30.1	26.3	26.2	28.2
稅前純益率	19.0	20.3	16.5	19.0	21.4
稅後純益率	15.8	16.9	13.5	15.5	17.5
資產報酬率	8.9	10.4	8.2	10.2	11.8
股東權益報酬率	14.1	15.1	11.1	15.2	17.6
穩定/償債能力分析					
負債權益比 (%)	58.5	34.8	36.1	48.0	47.4
淨負債權益比(%)	(17.5)	(15.3)	(13.7)	(16.5)	(19.7)
利息保障倍數 (倍)	36.8	46.9	33.9	50.0	51.5
流動比率 (%)	226.8	299.1	318.2	233.9	243.9
速動比率 (%)	175.0	231.8	251.1	181.9	186.5
淨負債 (NT$百萬元)	(2,080)	(2,513)	(2,201)	(2,575)	(3,261)
調整後每股淨值 (NT$)	38.33	47.59	46.41	45.07	48.02
評價指標 (倍)					
本益比	30.6	27.1	32.1	24.7	20.1
股價自由現金流量比	24.8	146.4	26.3	29.6	22.6
股價淨值比	4.4	3.6	3.7	3.8	3.5
股價稅前息前折舊攤銷前淨	17.4	15.2	16.5	14.6	12.5
股價營收比	5.4	4.6	4.4	3.8	3.5

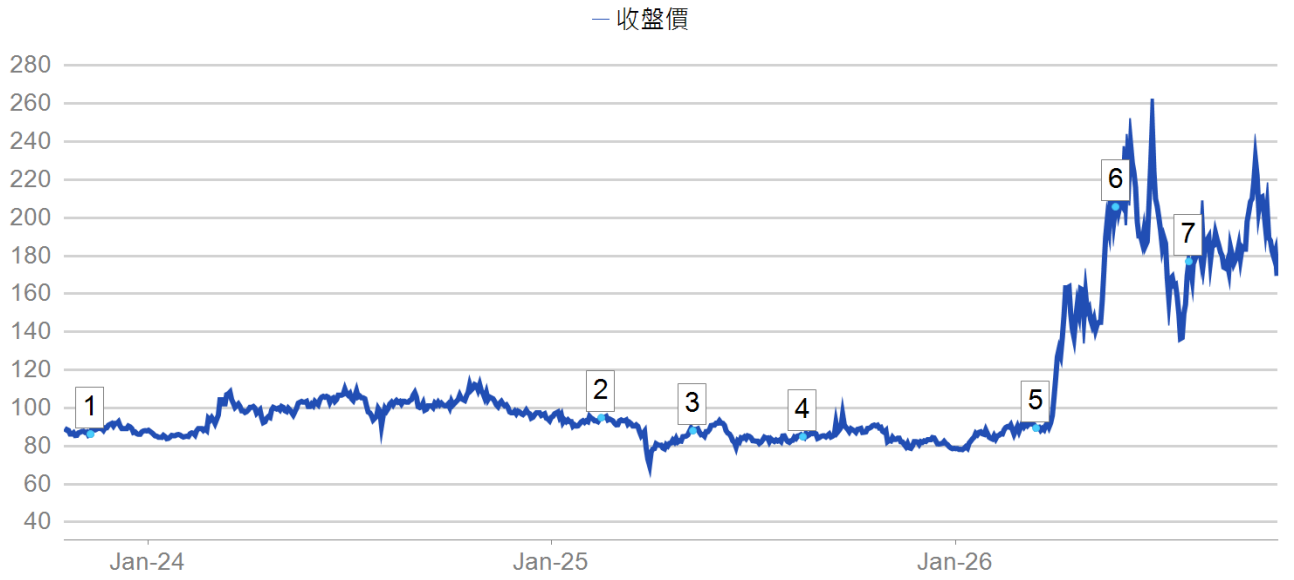
資料來源：公司資料、元大投顧；註：負債為短期債加上長期債。

附錄：重要揭露事項

分析師聲明

主要負責撰寫本研究報告全文或部分內容之分析師，茲針對本報告所載證券或證券發行機構，於此聲明：(1) 文中所述觀點皆準確反映其個人對各證券或證券發行機構之看法；(2) 研究部分析師於本研究報告中所提出之特定投資建議或觀點，與其過去、現在、未來薪酬的任何部份皆無直接或間接關聯。

晶技 (3042 TT)- 投資建議與目標價三年歷史趨勢



#	日期	收盤價 (A)	目標價 (B)	調整後目標價 (C)	評等	分析師
1	20231113	96.10	92	92	持有-超越同業	黃政維
2	20250224	102.50	127	127	買進	陳玫芬
3	20250516	96.40	121	121	買進	陳玫芬
4	20250819	86.70	115	115	買進	陳玫芬
5	20260323	93.00	115	115	買進	陳玫芬
6	20260602	202.50	245	245	買進	陳玫芬
7	20260805	169.50	230	229	買進	陳玫芬

資料來源：CMoney、元大投顧
註：A = 未調整之收盤價；B = 未調整之目標價； C = 依據股本變動調整後之目標價。員工分紅稀釋影響未反映於 A、B 或 C。

投資評等說明

買進：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持正面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中增持該股。

持有-超越同業：本中心認為根據目前股價，該檔個股基本面吸引力高於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。

持有-落後同業：本中心認為根據目前股價，該檔個股基本面吸引力低於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。

賣出：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持負面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中減持該股。

評估中：本中心之預估、評等、目標價尚在評估中，但仍積極追蹤該個股。

限制評等：為遵循相關法令規章及/或元大之政策，暫不給予評等及目標價。

註：元大給予個股之目標價係依 12 個月投資期間計算。大中華探索系列報告並無正式之 12 個月目標價，其投資建議乃根據分析師報告中之指定期間分析而得。

總聲明

© 2026 元大版權所有。本報告之內容取材自本公司認可之資料來源，但並不保證其完整性或正確性。報告內容並非任何證券之銷售要約或邀購。報告中所有的意見及預估，皆基於本公司於特定日期所做之判斷，如有變更恕不另行通知。

本報告僅提供一般資訊，文中所載資訊或任何意見，並不構成任何買賣證券或其他投資標的之要約或要約之引誘。報告資料之刊發僅供客戶一般傳閱用途，並非意欲提供專屬之投資建議，亦無考慮任何可能收取本報告之人士的個別財務狀況與目標。對於投資本報告所討論或建議之任何證券、投資標的，或文中所討論或建議之投資策略，投資人應就其是否適合本身而諮詢財務顧問的意見。本報告之內容取材自據信為可靠之資料來源，但概不以明示或默示的方式，對資料之準確性、完整性或正確性作出任何陳述或保證。本報告並非（且不應解釋為）在任何司法管轄區內，任何非依法從事證券經紀或交易之人士或公司，為於該管轄區內從事證券經紀或交易之遊說。

元大研究報告於美國僅發送予美國主要投資法人（依據 1934 年《證券交易法》15a-6 號規則及其修正條文與美國證券交易委員會詮釋定義）。美國投資人若欲進行與本報告所載證券相關之交易，皆必須透過依照 1934 年《證券交易法》第 15 條及其修正條文登記註冊之券商為之。元大研究報告在台灣由元大證券投資顧問股份有限公司發佈，在香港則由元大證券(香港)有限公司發佈。元大證券(香港)係獲香港證券及期貨事務監察委員會核准註冊之券商，並獲許從事受規管活動，包括第 4 類規管活動（就證券提供意見）。非經元大證券(香港)有限公司書面明示同意，本研究報告全文或部份，不得以任何形式或方式轉載、轉寄或揭露。

欲取得任何本報告所載證券詳細資料之台灣人士，應透過下列方式聯絡元大證券投資顧問股份有限公司：

致：聯絡人姓名
元大證券投資顧問股份有限公司
台灣臺北市 106 仁愛路三段 157 號 4 樓

Copyright © 2026 Sustainalytics, a Morningstar company. All rights reserved. The information, data, analyses and opinions contained herein: (1) includes the proprietary information of Sustainalytics and/or its content providers; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product, project, investment strategy or consideration of any particular environmental, social or governance related issues as part of any investment strategy; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. The ESG-related information, methodologies, tools, ratings, data and opinions contained or reflected herein are not directed to or intended for use or distribution to India-based clients or users and their distribution to Indian resident individuals or entities is not permitted. Neither Morningstar Inc., Sustainalytics, Morningstar Asia Ltd. Taiwan Branch nor their content providers accept any liability for the use of the information, for actions of third parties in respect to the information, nor are responsible for any trading decisions, damages or other losses related to the information or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers.

鈊象 (3293 TT) IGS

美國跨州快速成長，授權收入再擴大

買進 (維持評等)

目標價 (12 個月)：NT$1000.0

收盤價 (2026/10/21)：NT$782.0
隱含漲幅：27.9%

營收組成 (3Q26)

網路授權遊戲 77%、網路遊戲 APP 21%、商用遊戲機 2%。

本次報告更新重點

項目	本次	前次
評等	買進	買進
目標價 (NT$)	1000	930
2026年營收 (NT$/十億)	26.3	25.9
2026年EPS	47.9	46.6

交易資料表

市值	NT$220,370百萬元
外資持股比率	34.2%
董監持股比率	8.1%
調整後每股淨值 (2026F)	NT$79.53
負債比	55.0%
ESG評級 (Sustainalytics)	低 (曝險程度共5級)

簡明損益表 (NT$百萬元)

年初至12月	2024A	2025A	2026F	2027F
營業收入	18,513	22,033	26,253	28,988
營業利益	10,327	13,066	15,851	17,929
稅後純益	9,058	10,852	13,493	15,043
EPS (元)	32.15	38.51	47.88	53.38
EPS YoY (%)	-29.5	19.8	24.3	11.5
本益比 (倍)	24.3	20.3	16.3	14.7
股價淨值比 (倍)	13.5	11.6	9.8	8.8
ROE (%)	63.4	61.2	60.2	60.4
現金殖利率 (%)	3.7%	4.6%	5.7%	6.3%
現金股利 (元)	29.00	36.00	44.50	49.50

陳映慈
Lucy.YT.Chen@yuanta.com

江誼蓁
yizhen0808@yuanta.com

元大觀點

- **3Q26 遊戲授權營收年增 33%，佔比提升至 77%，使自結稅前淨利年增 27%，優於預期 7%；4Q26 授權收入持續疊加，估營收年增 20%。**
- **美國跨州快速推進成為主要動能、東南亞穩健成長、TaDa Gaming 在歐洲及新興市場持續擴張，估 2026/27 年授權收入年增 32%/15%。**
- **看好鈊象高毛利授權占比提升、營運槓桿發酵，以 20 倍本益比及 2H26-1H27 EPS 50.85 元，推得目標價 1,000 元，維持買進評等。**

3Q26 自結稅前淨利年增 27%，優於預期 7%

鈊象 3Q26 營收 67.5 億元(季增 5.2%/年增 25.3%)，自結營業利益率季增 1.9 個百分點，反映高毛利授權收入佔比提升及營收規模擴大，帶動稅前淨利 42.9 億元(季增 8.6%/年增 27.4%)，優於我們/市場預期 7%/5%，推估 EPS 12.55 元。展望 4Q26，9 月單月授權收入提升至 17.5 億元(vs 2025 年底 14 億元)，隨各國業務推進，估遊戲授權營收年增 33%，帶動整體營收年增 19.9%至 68.3 億元，預估 EPS 12.56 元(季持平/年增 18%)，上修 4%。

美國跨州加速推進，估 2026/27 年遊戲授權年增 32%/15%

網路遊戲授權為鈊象主要獲利成長引擎，預期 2026/27 年授權收入年增 32%/15%。以 1-8M26 區域別而言，1) 美國營收年增 65%、占比 14%，目前全美共 35 個州可合法經營 Sweepstakes 相關業務，鈊象於深耕之三大州市占率約 60%，過去三年營收表現平穩，近期透過新型 Social SS 拓展至其他 32 州，將為未來數年最主要成長動能；2) 東南亞營收年增 18%、占比 54%，雖基期已高，但考量市佔率低且部分地區仍有新增合作機會，預期維持穩健成長；3) 其他地區營收年增 86%、占比 11%，南美洲近一年表現亮眼、非洲自去年底進入市場後亦逐步取得進展、歐洲雖已取得多國執照且營收持續成長，惟受國際大廠競爭、品牌知名度影響拓展速度相對較慢。

海外授權多點開花，維持買進評等

看好隨美國業務跨州加速推進、東南亞市場穩健成長，及 TaDa Gaming 品牌在歐洲及其他新興市場持續擴張，帶動鈊象 2026/27 年營收年增 19%/10%；隨高毛利遊戲授權業務佔比提升至 76%/79%、營運槓桿發酵，估營業利益率年增 1.1 個/1.5 個百分點，EPS 年增 24.3%/11.5%至 47.88 元/53.38 元，上修 3%/1%，評價維持歷史區間中值 20 倍本益比，以 2H26-1H27 EPS 50.85 元(前次為 2026 年)，推得目標價 1,000 元，給予買進。

營運分析

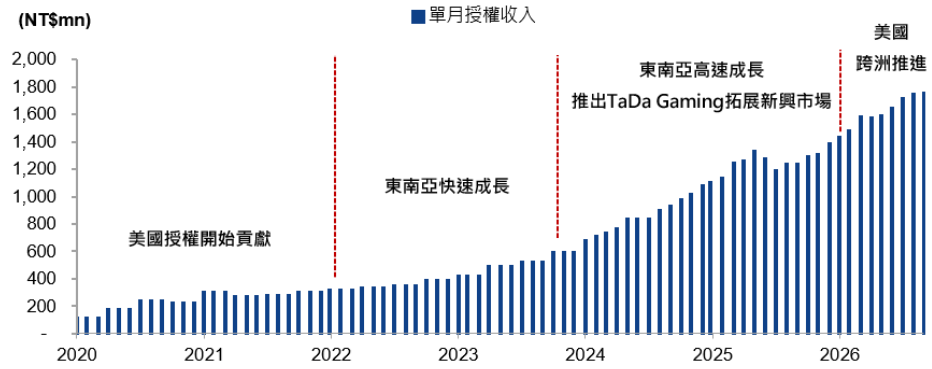
3Q26 網路遊戲授權營收年增 43%，自結稅前淨利年增 27%，優於預期 7%

鈊象 3Q26 營收 67.5 億元(季增 5.2%/年增 25.3%)，達成我們/市場預期 103%/101%，略優於預期，營收佔比為網路遊戲授權 77%、網路遊戲 APP 21%、商用遊戲機 2%，暑假遊戲旺季，且世界盃投注熱潮外溢至其他線上博弈項目，帶動網路遊戲授權營收季增 8%/年增 43%；自結營業利益 41.6 億元(季增 8.5%/年增 34.3%)，營業利益率季增 1.9 個百分點至 61.7%，優於我們預期 1.8 個百分點，反映高毛利授權收入佔比提升及營收規模擴大，自結稅前淨利 42.9 億元(季增 8.6%/年增 27.4%)，優於我們/市場預期 7%/5%，推估 EPS 12.55 元。

三大業務 1-9M26 狀況如下：

- **網路遊戲授權(營收佔比 77%)**：累計營收年增 32%，美國及其他地區成長快速、東南亞穩健擴張，單月遊戲授權收入提升至 17-18 億元，相對 2025 年底約 14 億元成長。
- **網路遊戲 APP (21%)**：累計營收年減 6%，台灣市場已接近飽和及競爭激烈，且觀察 APP 玩家付費率(ARPU)近年來維持在 1.5%至 2%之間，顯示休閒玩家的付費意願已達極限。
- **商用遊戲機(2%)**：累計營收年減 26%，營收佔比下滑，中國內需疲弱、競爭者新品推出快速，且部分遊樂場停止經營使中古機台流入市場，壓抑新機需求。

圖 1：鈊象單月授權收入趨勢



資料來源：公司資料、元大投顧

圖 2：2026 年第 3 季財測與預估比較

(百萬元)	3Q25A	2Q26A	3Q26F	季增率	年增率	3Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	5,384	6,414	6,747	5.2%	25.3%	6,525	6,658	3.4%	1.3%
營業毛利	5,237	6,274	6,610	5.4%	26.2%	6,396	6,521	3.3%	1.4%
營業利益	3,098	3,834	4,159	8.5%	34.3%	3,906	4,019	6.5%	3.5%
稅前利益	3,365	3,945	4,286	8.6%	27.4%	3,991	4,070	7.4%	5.3%
稅後淨利	2,791	3,266	3,536	8.3%	26.7%	3,293	3376	7.4%	4.7%
調整後 EPS (元)	9.90	11.59	12.55	8.3%	26.7%	11.69	11.98	7.3%	4.7%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	97.3%	97.8%	98.0%	0.2	0.7	98.0%	97.9%	-0.1	0.1
營業利益率	57.5%	59.8%	61.7%	1.9	4.2	59.9%	60.4%	1.8	1.3
稅後純益率	51.8%	50.9%	52.4%	1.5	0.6	50.5%	50.7%	1.9	1.7

資料來源：公司資料、元大投顧預估、Bloomberg

授權收入持續疊加，估 4Q26 營收年增 20%

9 月底鈊象單月遊戲授權收入提升至逾 17.5 億元(vs 2025 年底 14 億元)，隨公司於各國業務持續推進，授權收入有望進一步擴張，估 4Q26 網路遊戲授權營收年增 33%至 53 億元，帶動整體營收年增 19.9%至 68.3 億元，上修 2%，預估營業利益 42.1 億元(季增 1.1%/年增 24.5%)、稅後淨利 35.4 億元(季持平/年增 18%)，估 EPS 12.56 元，上修 4%。

圖 3：2026 年第 4 季財測與預估比較

(百萬元)	4Q25A	3Q26F	4Q26F	季增率	年增率	4Q26F		預估差異	
						元大預估	市場預估	元大	市場
營業收入	5,693	6,747	6,828	1.2%	19.9%	6,680	6,853	2.2%	-0.4%
營業毛利	5,555	6,610	6,696	1.3%	20.5%	6,551	6,711	2.2%	-0.2%
營業利益	3,378	4,159	4,206	1.1%	24.5%	4,041	4,169	4.1%	0.9%
稅前利益	3,627	4,286	4,291	0.1%	18.3%	4,126	4,231	4.0%	1.4%
稅後淨利	2,989	3,536	3,540	0.1%	18.4%	3,404	3518	4.0%	0.6%
調整後 EPS (元)	10.61	12.55	12.56	0.1%	18.4%	12.08	12.49	4.0%	0.6%
重要比率 (%)				百分點	百分點			百分點	百分點
營業毛利率	97.6%	98.0%	98.1%	0.1	0.5	98.1%	97.9%	0.0	0.2
營業利益率	59.3%	61.7%	61.6%	-0.1	2.3	60.5%	60.8%	1.1	0.8
稅後純益率	52.5%	52.4%	51.8%	-0.6	-0.7	51.0%	51.3%	0.8	0.5

資料來源：公司資料、元大投顧預估、Bloomberg

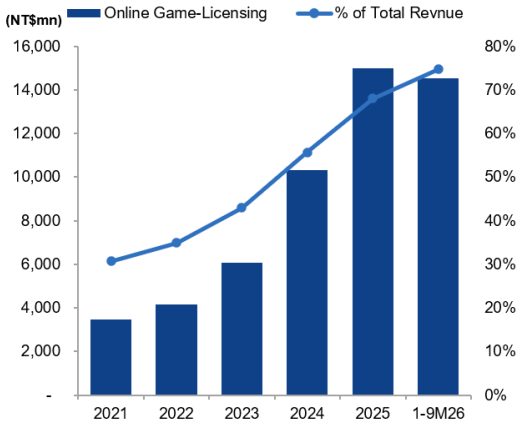
海外版圖持續擴張，估 2026/27 年網路遊戲授權營收年增 32%/15%

網路遊戲授權為鈊象主要獲利成長引擎，1-9M26 網路遊戲授權營收 145 億元，年增 32%，營收占比自 2025 年之 68%提升至 75%，於遊戲授權業務毛利率達 100%，進一步推動公司毛利率提升。

以 1-8M26 區域別而言，1) 美國營收年增 65%、占比 14%，目前全美共 35 個州可合法經營 Sweepstakes 相關業務，鈊象於深耕之三大州市占率約 60%，過去三年營收表現平穩，近期透過新型 Social SS 拓展至其他 32 州，將為未來數年最主要成長動能，同時我們認為於美國更長遠成長引擎，將來自跨足市場規模數倍於 SS 領域的 online casino 市場；2) 東南亞營收年增 18%、占比維持 54%，雖基期已高，但考量市佔率低且部分地區仍有新增合作機會，預期維持穩健成長；3) 其他地區(排除台灣、中國、美國、東南亞)營收年增 86%、占比 11%，以 TaDa Gaming 品牌業務為主，其中南美洲近一年表現亮眼、非洲自去年底進入市場後亦逐步取得進展、歐洲為全球最大線上博弈市場，雖已取得多國執照且營收持續成長，惟受國際大廠競爭、品牌知名度影響拓展速度相對較慢，公司正積極擴大代理商合作以加速產品上架排程。

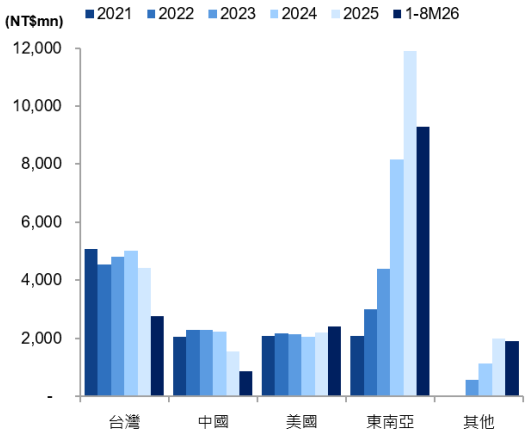
整體而言，隨美國業務跨州加速推進、東南亞市場穩健貢獻，及 TaDa Gaming 品牌在歐洲及其他新興市場持續擴張，預期鈊象 2026/27 年網路授權遊戲收入 198 億/229 億元，年增 32%/15%。

圖 4：鈊象 2021-9M26 授權營收



資料來源：公司資料、元大投顧

圖 5：鈊象 2021-1-8M26 年地區別營收趨勢

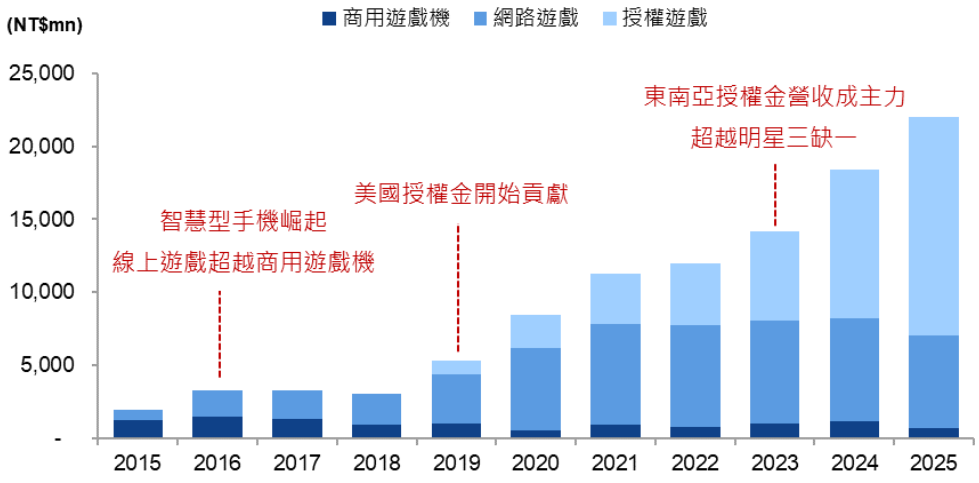


資料來源：公司資料、元大投顧

遊戲授權業務多點開花，估 2026/27 年 EPS 年增 24%/11%

展望 2026/27 年，預估鈊象營收年增 19%/10%至 263 億/290 億元，主要動能來自美國業務跨州加速推進、東南亞市場穩健貢獻，及 TaDa Gaming 品牌在歐洲及其他新興市場持續擴張，估帶動網路遊戲授權營收年增 32%/15%、網路遊戲 app 則因台灣市場已接近飽和及競爭激烈、付費率見頂，預估營收年減 7%/5%、商用遊戲機受中國消費力衰退及美國關稅不利因素影響，預估營收年減 28%/年持平；隨高毛利遊戲授權業務佔比提升至 76%/79%、營運槓桿發酵，預估帶動營業利益率提升年增 1.1 個/1.5 個百分點至 60.4%/61.9%，使營業利益年增 21%/13%至 159 億/179 億元、稅後淨利年增 24%/12%至 134 億/150 億元，估 EPS 47.88 元/53.38 元，上修 3%/1%。

圖 6：鈊象商業模式轉變帶動 2015-2025 年產品組合變化



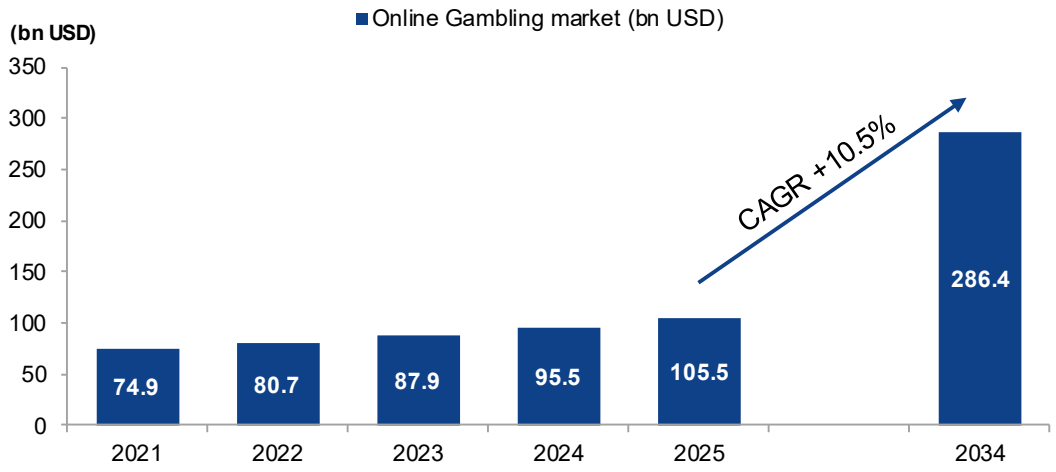
資料來源：公司資料、元大投顧

產業概況

全球線上博弈市場規模將以 CAGR 10.5%成長至 2034 年 2,864 億美元

根據 Facts and Factors 2026/2 月報告，2025 年全球線上博弈市場規模約 1,055 億美元，預計將以 CAGR 10.5%擴張至 2034 年達 2,864 億美元，動能包括多國政府積極推動線上博弈合法化，以爭取稅收增長、行動裝置及 5G 網路普及、數位支付機制成熟，以及 AI 技術在玩家行為分析與精準行銷上的廣泛應用。按照遊戲類型劃分，體育博弈佔比最高達 48%、其次為線上賭場；按照區域劃分，歐洲佔 41%為最大的線上博弈市場，歸因於多國具備極為完善且透明的監管體系、北美多州逐步開放線上博弈，帶動市場成長、拉丁美洲與雅泰地區因基期低及滲透率提升，預期將快速成長。

圖 7：2021-2034 年全球線上博弈市場規模預測

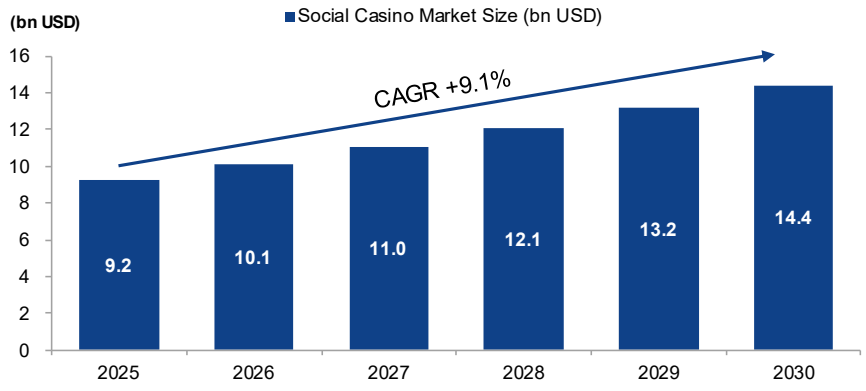


資料來源：Global market insight、元大投顧

社交博弈不涉及現金提現，純娛樂性質降低法規監管門檻

社交博弈不同於傳統線上博弈，其核心在於不涉及現金提現的純娛樂性質，主要受網路遊戲法規監管，根據 The Business Research Company《2026 年社交博弈全球市場報告》，2025 年全球社交博弈市場規模為 92.4 億美元，預計將以 CAGR 9.1%持續成長，至 2030 年達 144 億美元，動能來自全球網路普及率提升進而擴大博弈遊戲的受眾，此外業者積極開發創新的技術平台與互動機制，有效提升社交博弈市場的獲利。在區域表現方面，北美為全球最大社交博弈市場，亞太地區受惠於人口紅利與網路設備普及，預期將成為成長最快速的區域。

圖 8：2025-2030 年全球社交博弈市場規模預測



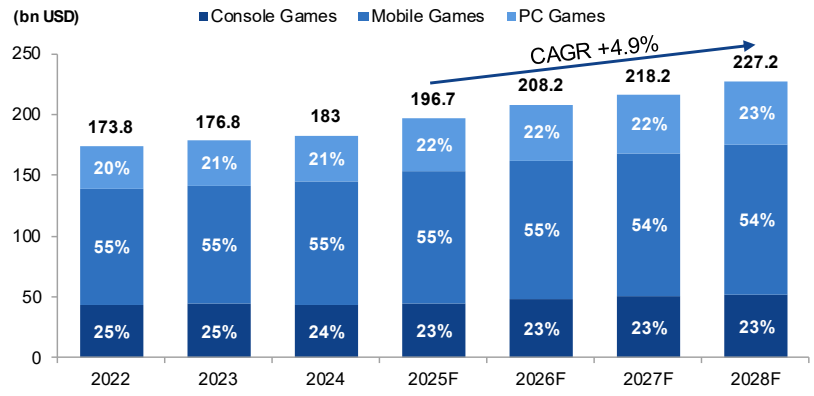
資料來源：Global market insight、元大投顧

全球遊戲市場 2025-2028 年 CAGR 達 4.9%，PC 遊戲成長最強勁

根據 Newzoo 2025/12 遊戲產業市場報告，2025 年全球遊戲市場總收入預計達 1,967 億美元，年增 7.5%，成長動能來自既有玩家更強的付費深度與更長的時間投入。細分平台市場，手機遊戲(佔比 55%)年增 7.7%，受益於成熟的線上服務與廣大的全球覆蓋率、PC 遊戲(22%)年增 10.4%，受惠於高品質遊戲的密集發行，以及 Steam 平台在亞洲市場滲透率提升、主機遊戲(23%)年增 4.2%，受惠硬體設備更替及指標性作品推出。

展望未來，預估全球遊戲產業 2025-2028 年將以 4.9%的 CAGR 成長至 2,272 億美元，並以 PC 遊戲的 6.6%的 CAGR 表現最為強勁，其市場規模有望於 2028 年超越主機遊戲，主要受惠 Steam 降低遊戲開發及供給門檻、東亞與新興市場玩家數量增加，以及於數位原生代(Z 世代和 Alpha 世代)成為消費主力。

圖 9：2022-2028 年全球遊戲市場規模預測



資料來源：Newzoo、元大投顧

台灣遊戲市場維持成長趨勢，但付費意願下滑

根據資誠《2023-2027 全球娛樂暨媒體業展望》報告指出，2024 年台灣電玩遊戲與電競產業產值約達 39 億美元，2022 年至 2027 年 CAGR 達 4.8%，至 2027 年產值達 44.6 億美元，主要動能來自 1) 智慧型手機滲透率高；2) 高速數據傳輸方案價格親民；3) 5G 覆蓋率持續提升等。在付費狀況方面，台灣在全球行動遊戲營收中，每使用者平均收入(ARPU)長期位居全球前十名，根據資策會統計，台灣網友遊玩數位遊戲的滲透率已高達 81.4%，但受疫後消費回歸線下、通膨及影音社群等多元娛樂排擠資源影響，2025 年整體玩家具付費習慣的比例下降至 35.5%，較前一年下滑約一成，反應消費者對免費內容的依賴度提升，在付費決策上更趨於精打細算，未來市場的獲利動能在於透過精準的數據分析與高黏著度的內容經營，深挖核心付費族群的長期價值。

圖 10：2018-2027 年台灣遊戲市場規模預測

資料來源：PwC、元大投顧

獲利調整與股票評價

遊戲授權業務多點開花，給予鈊象買進評等，目標價 1,000元

展望 2026/27 年，預估鈊象營收年增 19%/10%至 263 億/290 億元，主要動能來自美國業務跨州加速推進、東南亞市場穩健貢獻，及 TaDa Gaming 品牌在歐洲及其他新興市場持續擴張，估帶動網路遊戲授權營收年增 32%/15%，網路遊戲 app 則因台灣市場已接近飽和及競爭激烈、付費率見頂，預估營收年減 7%/5%，商用遊戲機受中國消費力衰退及美國關稅不利因素影響，預估營收年減 28%/年持平；隨高毛利遊戲授權業務佔比提升至 76%/79%、營運槓桿發酵，預估帶動營業利益率提升年增 1.1 個/1.5 個百分點至 60.4%/61.9%，使營業利益年增 21%/13%至 159 億/179 億元、稅後淨利年增 24%/12%至 134 億/150 億元，估 EPS 47.88 元/53.38 元，上修 3%/1%。

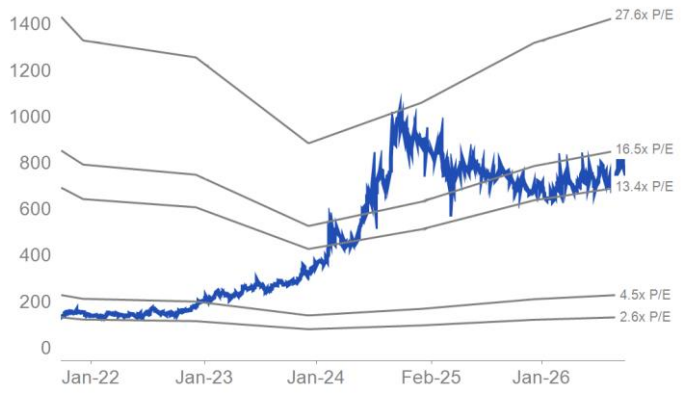
鈊象歷史三年交易於 10-30 倍本益比，看好公司海外遊戲授權業務保持擴張態勢，全球線上博弈市場規模 2025 至 2034 年將以 CAGR 10.5%成長，鈊象於既有市場擴大市佔，並持續開拓新市場，帶動獲利逐年走升，此次評價維持歷史區間中值 20 倍本益比，以 2H26-1H27 EPS 50.85 元(前次為 2026 年)，推得目標價 1,000 元，給予買進評等。

圖 11：2026 和 2027 年財務預估調整

(百萬元)	2026 估		2027 估		預估差異	
	調整後	調整前	調整後	調整前	2026	2027
營業收入	26,253	25,883	28,988	28,950	1.4%	0.1%
營業毛利	25,707	25,358	28,477	28,427	1.4%	0.2%
營業利益	15,851	15,433	17,929	17,633	2.7%	1.7%
稅前利益	16,373	15,914	18,259	17,963	2.9%	1.6%
稅後淨利	13,493	13,143	15,043	14,830	2.7%	1.4%
調整後 EPS (元)	47.88	46.64	53.38	52.63	2.7%	1.4%
重要比率 (%)					百分點	百分點
營業毛利率	97.9%	98.0%	98.2%	98.2%	-0.1	0.1
營業利益率	60.4%	59.6%	61.9%	60.9%	0.8	0.9
稅後純益率	51.4%	50.8%	51.9%	51.2%	0.6	0.7

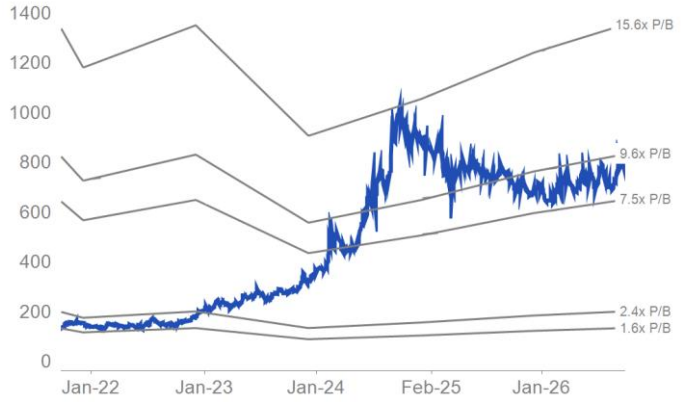
資料來源：公司資料、元大投顧預估

圖 12：12 個月預期本益比區間圖



資料來源：公司資料、元大投顧

圖 13：12 個月預期股價淨值比區間圖



資料來源：公司資料、元大投顧、CMoney

圖 14：同業評價比較表

公司	代碼	評等	股價	市值 (百萬美元)	調整後每股盈餘			本益比(倍)			調整後每股盈餘成長率(%)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
鈊象	**3293 TT**	**買進**	**782.0**	**6812**	**38.5**	**47.9**	**53.4**	**20.3**	**16.3**	**14.7**	**19.8**	**24.3**	**11.5**
國內同業													
宇峻	3546 TT	未評等	73	137	1.9	2.0	-	38.8	36.4	-	(60.9)	6.6	-
網龍	3083 TT	未評等	23	61	0.4	-	-	52.9	-	-	(46.8)	-	-
智冠	5478 TT	未評等	98	467	7.9	6.3	6.6	12.3	15.5	14.8	2.3	(20.6)	4.8
傳奇	4994 TT	未評等	81	164	2.0	-	-	41.2	-	-	(59.1)	-	-
國內同業平均					**3.1**	**4.2**	**6.6**	**36.3**	**25.9**	**14.8**	**(41.1)**	**(7.0)**	**4.8**

資料來源：公司資料、元大投顧、Reuters；每股盈餘數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 15：同業評價比較表 (續)

公司	代碼	評等	股價	市值 (百萬美元)	股東權益報酬率(%)			每股淨值			股價淨值比(倍)		
					2025	2026	2027	2025	2026	2027	2025	2026	2027
鈊象	**3293 TT**	**買進**	**782.0**	**6812**	**61.2**	**60.2**	**60.4**	**67.6**	**79.5**	**88.4**	**11.6**	**9.8**	**8.8**
國內同業													
宇峻	3546 TT	未評等	73	137	7.3	-	-	24.8	25.5	-	2.9	2.9	-
網龍	3083 TT	未評等	23	61	3.0	-	-	14.7	-	-	1.6	-	-
智冠	5478 TT	未評等	98	467	12.0	9.7	10.2	59.6	61.7	-	1.6	1.6	-
傳奇	4994 TT	未評等	81	164	11.6	-	-	15.4	-	-	5.2	-	-
國內同業平均					**8.6**	**9.7**	**10.2**	**28.6**	**43.6**	**-**	**2.8**	**2.2**	**-**

資料來源：公司資料、元大投顧、Reuters；每股淨值數字以當地貨幣為單位；股價依首頁收盤價日期為準。

圖 16：季度及年度簡明損益表 (合併)

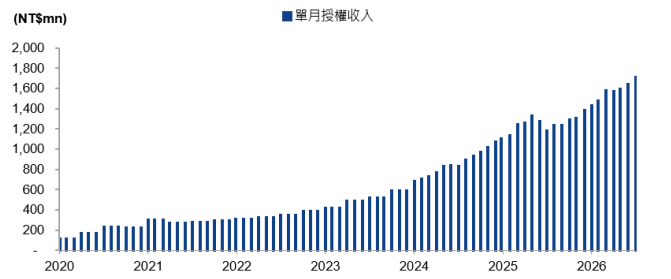
(NT$百萬元)	1Q2026A	2Q2026A	3Q2026F	4Q2026F	1Q2027F	2Q2027F	3Q2027F	4Q2027F	FY2026F	FY2027F
營業收入	6,265	6,414	6,747	6,828	6,964	7,149	7,354	7,521	26,253	28,988
銷貨成本	(136)	(140)	(137)	(133)	(126)	(128)	(131)	(126)	(546)	(511)
營業毛利	6,128	6,274	6,610	6,696	6,838	7,021	7,224	7,395	25,707	28,477
營業費用	(2,477)	(2,439)	(2,450)	(2,490)	(2,585)	(2,618)	(2,648)	(2,698)	(9,856)	(10,548)
營業利益	3,652	3,834	4,159	4,206	4,253	4,403	4,576	4,697	15,851	17,929
業外利益	200	110	127	85	80	80	85	85	522	330
稅前純益	3,851	3,945	4,286	4,291	4,333	4,483	4,661	4,782	16,373	18,259
所得稅費用	(699)	(679)	(750)	(751)	(793)	(771)	(816)	(837)	(2,880)	(3,217)
少數股東權益	0	0	0	0	0	0	0	0	0	0
歸屬母公司稅後純益	3,152	3,266	3,536	3,540	3,540	3,712	3,845	3,945	13,493	15,043
調整後每股盈餘(NT$)	11.19	11.59	12.55	12.56	12.56	13.17	13.65	14.00	47.88	53.38
調整後加權平均股數(百萬股)	282	282	282	282	282	282	282	282	282	282
重要比率										
營業毛利率	97.8%	97.8%	98.0%	98.1%	98.2%	98.2%	98.2%	98.3%	97.9%	98.2%
營業利益率	58.3%	59.8%	61.7%	61.6%	61.1%	61.6%	62.2%	62.5%	60.4%	61.9%
稅前純益率	61.5%	61.5%	63.5%	62.8%	62.2%	62.7%	63.4%	63.6%	62.4%	63.0%
稅後純益率	50.3%	50.9%	52.4%	51.8%	50.8%	51.9%	52.3%	52.5%	51.4%	51.9%
有效所得稅率	18.2%	17.2%	17.5%	17.5%	18.3%	17.2%	17.5%	17.5%	17.6%	17.6%
季增率(%)										
營業收入	10.0%	2.4%	5.2%	1.2%	2.0%	2.7%	2.9%	2.3%		
營業利益	8.1%	5.0%	8.5%	1.1%	1.1%	3.5%	3.9%	2.6%		
稅後純益	5.5%	3.6%	8.3%	0.1%	0	4.9%	3.6%	2.6%		
調整後每股盈餘	5.5%	3.6%	8.3%	0.1%	0	4.9%	3.6%	2.6%		
年增率(%)										
營業收入	16.9%	14.6%	25.3%	19.9%	11.2%	11.5%	9.0%	10.1%	19.2%	10.4%
營業利益	19.3%	8.6%	34.3%	24.5%	16.5%	14.8%	10.0%	11.7%	21.3%	13.1%
稅後純益	20.0%	33.6%	26.7%	18.4%	12.3%	13.7%	8.7%	11.4%	24.3%	11.5%
調整後每股盈餘	20.0%	33.6%	26.7%	18.4%	12.3%	13.7%	8.8%	11.4%	24.3%	11.5%

資料來源：公司資料、元大投顧、CMoney；標"A"為歷史數據；調整後每股盈餘為根據調整後加權平均股數計算。

公司簡介

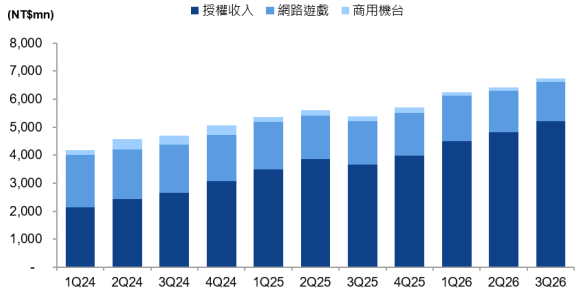
鈊象成立於 1989 年，為台灣商用遊戲機與網路遊戲大廠，專注於遊戲軟硬體之設計、研發、製造與行銷，初期以發展商用遊戲機為主，擁有出色的 IP 如《三國戰記》和《西遊》等。然而為分散中國街機市場競爭和高收入集中風險，鈊象 2000 年跨入 PC 與線上遊戲產業，推出經典麻將線上遊戲「明星三缺一」、「唯舞獨尊」及「封神 Online」等，為公司的社交娛樂場產品組合奠定堅實的基礎。2010 年起在智慧手機崛下時空背景下，鈊象 2015 年線上遊戲業務比重正式超越商用遊戲機，而近五年隨自營 APP 產品玩家人數逐漸飽和，鈊象發展重心轉往海外授權，與當地代理商合作收取授權金以及服務費。2025 年營收比重為：網路授權遊戲 68%、網路遊戲 APP 29%、商用遊戲機 2%。

圖 17：單月授權收入



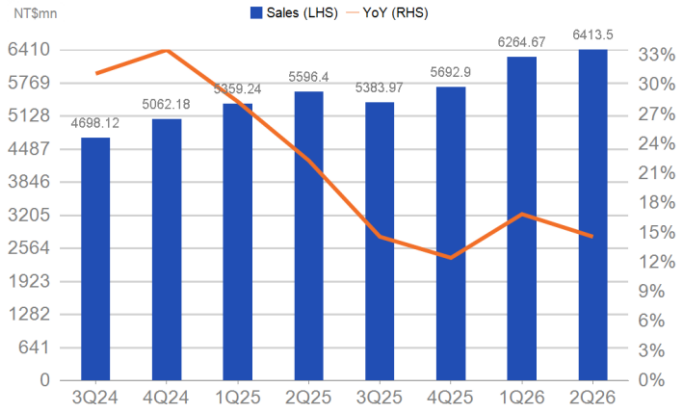
資料來源：公司資料、元大投顧預估

圖 18：營收組成



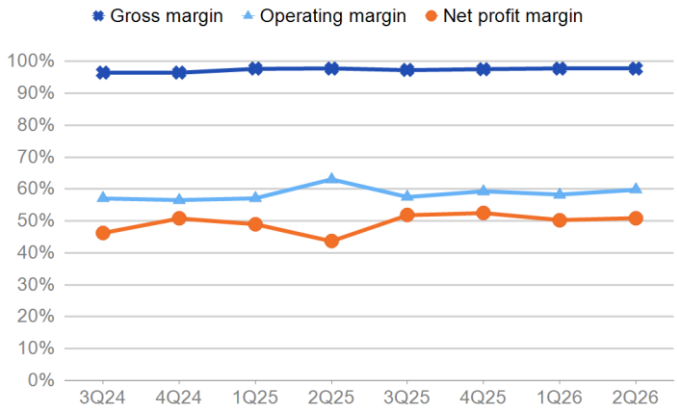
資料來源：公司資料

圖 19：營收趨勢



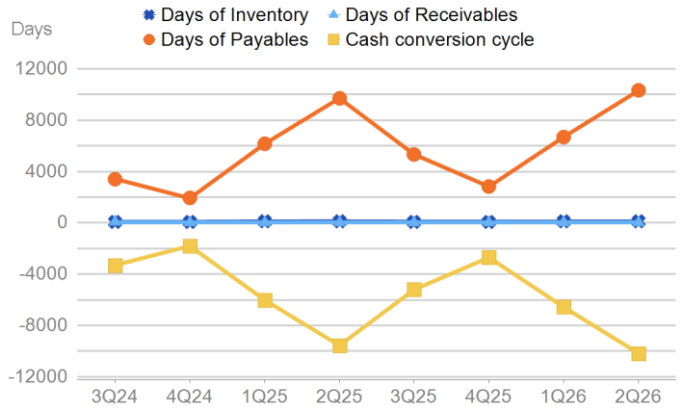
資料來源：CMoney、公司資料

圖 20：毛利率、營益率、淨利率



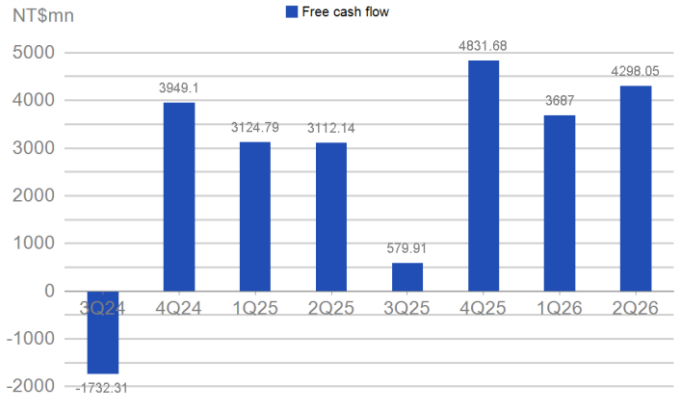
資料來源：CMoney、公司資料

圖 21：經營能力



資料來源：CMoney、公司資料

圖 22：自由現金流量



資料來源：CMoney、公司資料

ESG 分析

分別藉由「在 ESG 議題上的曝險」和「個別公司在 ESG 議題上的執行力」兩個面向來衡量公司於 ESG 上的表現。

- **ESG 總分**：鈊象整體的 ESG 風險評級屬於低風險，於 Sustainalytics 資料庫所覆蓋的公司中排行在略微領先的位置，於娛樂軟體業的公司中排名落後同業。
- **在 ESG 議題上的曝險**：鈊象的整體曝險較低，略低於行業平均。人力資本、資料隱私與網路安全以及商業道德是值得關注的重要 ESG 議題。
- **個別公司在 ESG 議題上的執行力**：鈊象在針對重大 ESG 議題的管理水準和執行力屬平均水準。該公司展現出非常強而有力的環境政策和嚴格的 ESG 報告標準。其舉報人保護機制尚可完善，但仍有提升空間與保護機制的必要性。ESG 治理水準適中，設有 ESG 相關委員會，但其權限低於董事會。

圖 23：ESG 分析

分項	評分/評級
ESG 總分	16.2
在 ESG 議題上的曝險 (A)	24.2
個別公司在 ESG 議題上的執行力 (B)	35.2
風險評級	低 ★
同業排行(1~100，1 為最佳)	17

資料來源：Sustainalytics (2026/10/21)

*註 1：ESG 總分=A-(A*可控風險因子*B/100)*

註 1-1：可控風險因子介於 0-1 之間，越大為越佳。

註 2：ESG 總分風險評級： 極低 (0-10) | 低 (10-20) | 中 (20-30) | 高 (30-40) | 極高 (40+)

註 3：曝險分數評級： 低 (0-35) | 中 (35-55) | 高 (55+)

註 4：執行力分數評級： 弱 (0-25) | 中 (25-50) | 強 (50-100)

資產負債表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
現金與短期投資	943	2,843	1,115	2,354	3,729
存貨	124	147	144	155	125
應收帳款及票據	2,065	2,426	2,111	2,924	2,794
其他流動資產	9,798	10,864	16,356	17,906	19,456
流動資產	**12,930**	**16,280**	**19,726**	**23,340**	**26,104**
採用權益法之投資	0	0	0	0	0
固定資產	1,078	3,369	2,820	2,630	2,431
無形資產	55	73	69	69	69
其他非流動資產	**2,388**	**2,402**	**2,853**	**2,789**	**2,724**
非流動資產	**3,521**	**5,844**	**5,742**	**5,488**	**5,224**
資產總額	**16,451**	**22,124**	**25,468**	**28,828**	**31,327**
應付帳款及票據	92	54	53	57	46
短期借款	0	0	0	0	0
什項負債	4,081	5,588	6,274	6,274	6,274
流動負債	**4,173**	**5,642**	**6,327**	**6,331**	**6,320**
長期借款	0	0	0	0	0
其他負債及準備	82	97	81	81	81
長期負債	**82**	**97**	**81**	**81**	**81**
負債總額	**4,255**	**5,739**	**6,408**	**6,412**	**6,401**
股本	1,409	2,818	2,818	2,818	2,818
資本公積	317	317	317	317	317
保留盈餘	10,156	12,883	15,562	18,910	21,413
什項權益	310	364	359	367	375
歸屬母公司之權益	**12,192**	**16,382**	**19,056**	**22,413**	**24,923**
非控制權益	**3**	**3**	**4**	**3**	**3**
股東權益總額	**12,196**	**16,385**	**19,060**	**22,416**	**24,926**

資料來源：公司資料、元大投顧

現金流量表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
本期純益	6,426	9,057	10,852	13,493	15,042
折舊及攤提	116	173	185	314	324
本期營運資金變動	(497)	(434)	311	(821)	150
其他營業資產及負債變動	477	1,150	329	(1,549)	(1,549)
營運活動之現金流量	**6,522**	**9,946**	**11,677**	**11,436**	**13,967**
資本支出	(20)	(2,357)	(28)	(60)	(60)
本期長期投資變動	0	0	0	0	0
其他資產變動	(9,165)	(771)	(5,226)	0	0
投資活動之現金流量	**(9,184)**	**(3,128)**	**(5,254)**	**(60)**	**(60)**
股本變動	0	1,409	0	0	0
本期負債變動	0	0	0	0	0
現金增減資	0	0	0	0	0
支付現金股利	(4,932)	(4,932)	(8,172)	(10,145)	(12,540)
其他調整數	0	(1,412)	8	8	8
融資活動之現金流量	**(4,932)**	**(4,935)**	**(8,164)**	**(10,137)**	**(12,532)**
匯率影響數	**12**	**16**	**14**	**0**	**0**
本期產生現金流量	**(7,582)**	**1,900**	**(1,728)**	**1,240**	**1,375**
自由現金流量	**6,502**	**7,589**	**11,649**	**11,376**	**13,907**

資料來源：公司資料、元大投顧

損益表

年初至 12 月 (NT$ 百萬元)	2023A	2024A	2025A	2026F	2027F
營業收入	**14,176**	**18,513**	**22,033**	**26,253**	**28,988**
銷貨成本	(560)	(648)	(531)	(546)	(511)
營業毛利	**13,616**	**17,865**	**21,502**	**25,707**	**28,477**
營業費用	(6,082)	(7,538)	(8,436)	(9,856)	(10,548)
推銷費用	(2,475)	(2,876)	(3,097)	(3,561)	(3,865)
研究費用	(3,147)	(4,056)	(4,584)	(5,393)	(5,728)
管理費用	(458)	(598)	(756)	(888)	(955)
其他費用	(2)	(8)	1	(14)	0
營業利益	**7,534**	**10,327**	**13,066**	**15,851**	**17,929**
利息收入	260	301	331	374	280
利息費用	0	0	0	0	0
利息收入淨額	260	301	331	374	280
投資利益(損失)淨額	0	0	0	0	0
匯兌損益	(48)	283	(354)	58	0
其他業外收入(支出)淨額	19	50	40	90	50
稅前純益	7,765	10,961	13,083	16,373	18,259
所得稅費用	(1,339)	(1,904)	(2,231)	(2,880)	(3,217)
少數股權淨利	0	0	1	0	0
歸屬母公司之稅後純益	**6,426**	**9,058**	**10,852**	**13,493**	**15,043**
稅前息前折舊攤銷前淨利	7,881	11,134	13,268	15,537	17,605
調整後每股盈餘 (NT$)	**45.61**	**32.15**	**38.51**	**47.88**	**53.38**

資料來源：公司資料、元大投顧

主要財務報表分析

年初至 12 月	2023A	2024A	2025A	2026F	2027F
年成長率 (%)					
營業收入	18.6	30.6	19.0	19.2	10.4
營業利益	25.5	37.1	26.5	21.3	13.1
稅前息前折舊攤銷前淨利	19.1	41.3	19.2	17.1	13.3
稅後純益	17.2	41.0	19.8	24.3	11.5
調整後每股盈餘	(5.5)	(29.5)	19.8	24.3	11.5
獲利能力分析 (%)					
營業毛利率	96.1	96.5	97.6	97.9	98.2
營業利益率	53.2	55.8	59.3	60.4	61.9
稅前息前淨利率	54.8	59.2	59.4	60.4	61.9
稅前息前折舊攤銷前淨利率	55.6	60.1	60.2	59.2	60.7
稅前純益率	54.8	59.2	59.4	62.4	63.0
稅後純益率	45.3	48.9	49.3	51.4	51.9
資產報酬率	42.0	47.0	45.6	46.8	48.0
股東權益報酬率	56.2	63.4	61.2	60.2	60.4
穩定/償債能力分析					
負債權益比 (%)	34.9	35.0	33.6	28.6	25.7
淨負債權益比(%)	(7.7)	(17.4)	(5.9)	(10.5)	(15.0)
利息保障倍數 (倍)	--	--	--	0	0
流動比率 (%)	309.8	288.6	311.8	368.7	413.0
速動比率 (%)	304.6	283.3	307.1	366.2	411.1
淨負債 (NT$百萬元)	(943)	(2,843)	(1,115)	(2,354)	(3,729)
調整後每股淨值 (NT$)	86.53	58.13	67.62	79.53	88.44
評價指標 (倍)					
本益比	17.2	24.3	20.3	16.3	14.7
股價自由現金流量比	33.9	29.1	18.9	19.4	15.9
股價淨值比	9.0	13.5	11.6	9.8	8.8
股價稅前息前折舊攤銷前淨	28.0	19.8	16.6	14.2	12.5
股價營收比	15.6	11.9	10.0	8.4	7.6

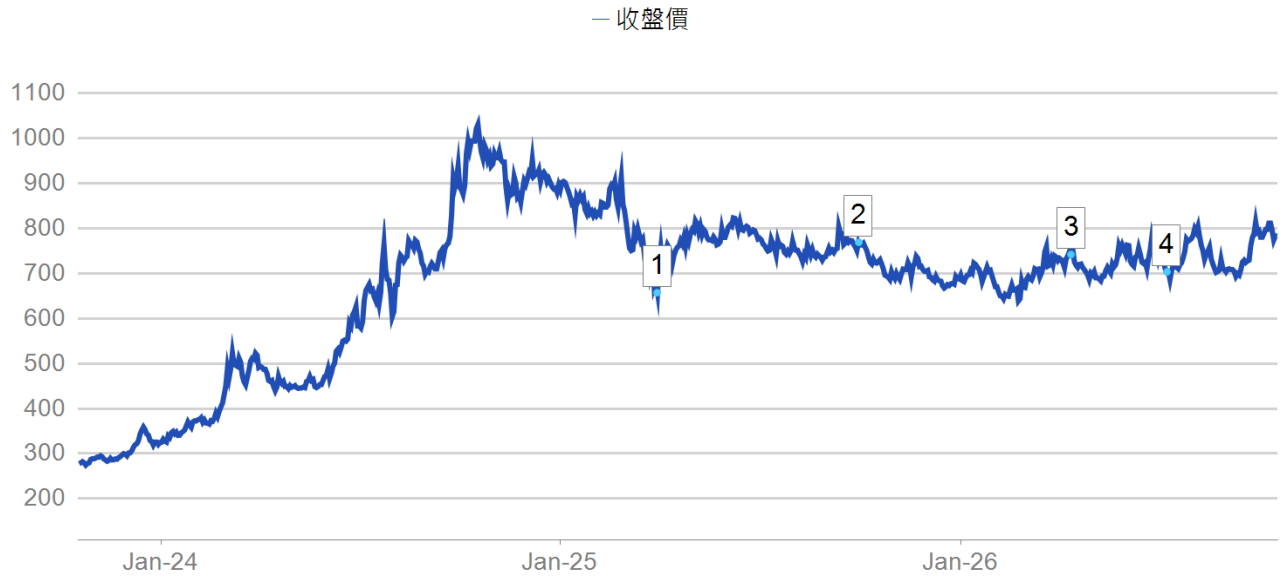
資料來源：公司資料、元大投顧；註：負債為短期債加上長期債。

附錄：重要揭露事項

分析師聲明

主要負責撰寫本研究報告全文或部分內容之分析師，茲針對本報告所載證券或證券發行機構，於此聲明：(1) 文中所述觀點皆準確反映其個人對各證券或證券發行機構之看法；(2) 研究部分析師於本研究報告中所提出之特定投資建議或觀點，與其過去、現在、未來薪酬的任何部份皆無直接或間接關聯。

鉅象 (3293 TT)- 投資建議與目標價三年歷史趨勢



#	日期	收盤價 (A)	目標價 (B)	調整後目標價 (C)	評等	分析師
1	20250409	741.00	880	880	買進	陳澤心
2	20251001	787.00	905	905	買進	陳澤心
3	20260421	785.00	930	930	買進	陳映慈
4	20260715	711.00	930	930	買進	陳映慈

資料來源：CMoney、元大投顧
註：A = 未調整之收盤價；B = 未調整之目標價； C = 依據股本變動調整後之目標價。員工分紅稀釋影響未反映於 A、B 或 C。

投資評等說明

買進：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持正面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中增持該股。
持有-超越同業：本中心認為根據目前股價，該檔個股基本面吸引力高於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。
持有-落後同業：本中心認為根據目前股價，該檔個股基本面吸引力低於同業。此一觀點係基於本中心對該股發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。
賣出：根據本中心對該檔個股投資期間絕對或相對報酬率之預測，我們對該股持負面觀點。此一觀點係基於本中心對該股之發展前景、財務表現、利多題材、評價資訊以及風險概況之分析。建議投資人於投資部位中減持該股。
評估中：本中心之預估、評等、目標價尚在評估中，但仍積極追蹤該個股。
限制評等：為遵循相關法令規章及/或元大之政策，暫不給予評等及目標價。

註：元大給予個股之目標價係依 12 個月投資期間計算。大中華探索系列報告並無正式之 12 個月目標價，其投資建議乃根據分析師報告中之指定期間分析而得。

總聲明

© 2026 元大版權所有。本報告之內容取材自本公司認可之資料來源，但並不保證其完整性或正確性。報告內容並非任何證券之銷售要約或邀購。報告中所有的意見及預估，皆基於本公司於特定日期所做之判斷，如有變更恕不另行通知。

本報告僅提供一般資訊，文中所載資訊或任何意見，並不構成任何買賣證券或其他投資標的之要約或要約之引誘。報告資料之刊發僅供客戶一般傳閱用途，並非意欲提供專屬之投資建議，亦無考慮任何可能收取本報告之人士的個別財務狀況與目標。對於投資本報告所討論或建議之任何證券、投資標的，或文中所討論或建議之投資策略，投資人應就其是否適合本身而諮詢財務顧問的意見。本報告之內容取材自據信為可靠之資料來源，但概不以明示或默示的方

式，對資料之準確性、完整性或正確性作出任何陳述或保證。本報告並非（且不應解釋為）在任何司法管轄區內，任何非依法從事證券經紀或交易之人士或公司，為於該管轄區內從事證券經紀或交易之遊說。

元大研究報告於美國僅發送予美國主要投資法人（依據 1934 年《證券交易法》15a-6 號規則及其修正條文與美國證券交易委員會詮釋定義）。美國投資人若欲進行與本報告所載證券相關之交易，皆必須透過依照 1934 年《證券交易法》第 15 條及其修正條文登記註冊之券商為之。元大研究報告在台灣由元大證券投資顧問股份有限公司發佈，在香港則由元大證券(香港)有限公司發佈。元大證券(香港)係獲香港證券及期貨事務監察委員會核准註冊之券商，並獲許從事受規管活動，包括第 4 類規管活動（就證券提供意見）。非經元大證券(香港)有限公司書面明示同意，本研究報告全文或部份，不得以任何形式或方式轉載、轉寄或揭露。

欲取得任何本報告所載證券詳細資料之台灣人士，應透過下列方式聯絡元大證券投資顧問股份有限公司：

致：聯絡人姓名
元大證券投資顧問股份有限公司
台灣臺北市 106 仁愛路三段 157 號 4 樓

Copyright © 2026 Sustainalytics, a Morningstar company. All rights reserved. The information, data, analyses and opinions contained herein: (1) includes the proprietary information of Sustainalytics and/or its content providers; (2) may not be copied or redistributed except as specifically authorized; (3) do not constitute investment advice nor an endorsement of any product, project, investment strategy or consideration of any particular environmental, social or governance related issues as part of any investment strategy; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. The ESG-related information, methodologies, tools, ratings, data and opinions contained or reflected herein are not directed to or intended for use or distribution to India-based clients or users and their distribution to Indian resident individuals or entities is not permitted. Neither Morningstar Inc., Sustainalytics, Morningstar Asia Ltd. Taiwan Branch nor their content providers accept any liability for the use of the information, for actions of third parties in respect to the information, nor are responsible for any trading decisions, damages or other losses related to the information or its use. The use of the data is subject to conditions available at https://www.sustainalytics.com/legal-disclaimers.

3481 群創光電(INNOLUX)

報告日期：2026/10/27　　研究員：曾智楷(Kevin Tseng)

投資評等：區間操作
目標價位：42.8~54.6 元
1.45x-1.85x27BVPS
參考價位：46.75 元
1.58 X 2027 BVPS
2026/10/22 收盤

壹、訪 談／法 說 內 容

重點摘要：

- **2Q26 營收 637 億，毛利率 14.6%，營利率 2.6%，EPS 0.57 元。受惠於非顯示器比重持續提升 1H26 EPS 達 0.77 元。**
- **公司今年處分三座廠房，累計獲利約為 200 億元，目前資產處分已告一段落，暫無進一步出售廠房計畫，後續將配合 FOPLP 投資調整既有廠區資源。**
- **因上半年提前拉貨以及零組件漲價影響，消費型顯示器需求動能相對保守；半導體事業部分，Chip-first 製程已進入量產，每月出貨量約 4,000 萬片，而 RDL-first 與 TGV（玻璃基板）製程部分，目前正與客戶緊密合作推進，預期玻璃基板封裝產品將於 2028 年推出。**

一、2Q26 毛利率達 14.6%，EPS 0.57 元

群創 2Q26 營收 637 億，QoQ -4.6%，YoY +13.1%，而獲利方面，2Q26 營業毛利 92.7 億，QoQ -3.6%，YoY +96.8%，毛利率 14.6%，QoQ +0.1ppts，YoY +6.2ppts，營業淨利 16.3 億，營利率 2.6%，2Q26 業外淨利 16.3 億，稅後淨利 46.5 億，單季稅後 EPS 0.57 元。而就上半年來看，1H26 消費型顯示器佔整體營收 45%，平均毛利率為 6%至 10%；商用顯示器佔 13%，平均毛利率 16%至 20%；非顯示器領域佔 42%，平均毛利率 11%至 15%，受惠於商用、非顯示器比重提升，1H26 EPS 達 0.77 元。

二、資產處分告一段落，後續聚焦 FOPLP 產能

為充實營運資金、活化公司旗下資產，群創今年處分三座廠房，3 月將南科模組廠以 8.8 億元售予南茂(處分利益 6.59 億元)，以及將南科二廠以 63.25 億元售予矽品(獲利約 58 億元)。公司 4 月再度宣布，將南科五廠房及附屬設施以總價 148.5 億元售予日月光投控，預計處分利益高達 133 億元。累計今年群創認列的售廠總獲利約為 197.59 億元。公司表示，目前資產處分已告一段落，暫無進一步大規模出售廠房計畫，後續將配合 FOPLP 投資調整既有廠區資源。

三. 消費性面板短期保守，持續朝高階封裝領域布局

公司公告 9 月營收 199.95 億，MoM +6.9%，YoY +0.7%，3Q26 營收 575.8 億，QoQ -9.4%，YoY -0.4%，今年累計營收 1879.3 億，YoY +10.6%。展望後市，在面板業務方面，受記憶體等零組

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

件漲價及筆電客戶提前於上半年拉貨影響，對消費性顯示器短期動能相對保守，惟 50 吋以下 TV、高階電競與 OLED 顯示器，以及商用顯示器支撐營運表現。而半導體事業部分，公司表示，目前 Chip-first 製程已進入量產，每月出貨量突破 4,000 萬片，預計今年與 2027 年將維持雙位數年增率，至於 RDL-first 與 TGV 製程部分，由於 TGV 玻璃基板具備優異的散熱效率、低翹曲以及高密度互連優勢，將瞄準 AI 與 HPC 晶片需求，目前正與全球策略夥伴及客戶緊密合作推進，預期玻璃基板封裝產品將於 2028 年前推出。預估 2026 全年營收 2451 億元，YoY +8.1%，毛利率 14.2%，營利率 1.9%，稅後淨利 805 億，全年稅後 EPS 1.01 元。預估 2027 全年營收 2659 億元，YoY +8.5%，毛利率 14.3%，營利率 3.1%，稅後淨利 892 億，全年稅後 EPS 1.12 元，每股淨值 29.51 元。

四. 投資建議為 42.8~54.6 元區間操作

公司持續投入半導體 FOPLP 領域，聚焦轉型、資產活化題材，但考量到 4Q26 至明年上半年面板事業展望保守，半導體事業部分，後續仍須持續觀察客戶認證、量產進度及營運貢獻狀況。目前股價交易於 2027 BVPS 約 1.64 倍 PBR 水準，以公司過往 PBR 介於 0.4x~2.5x 區間水準，給予區間操作投資建議，目標價為 42.8~54.6 元(1.45x~1.85 x 2027 BVPS)。

貳、產 業 及 營 運 概 況

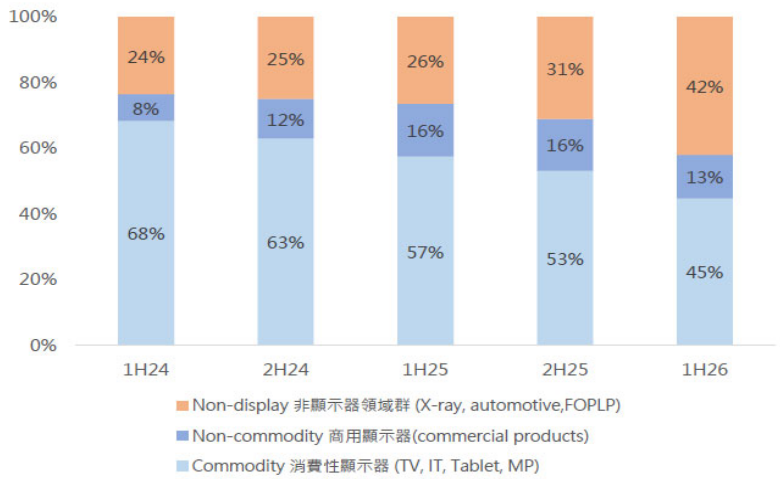
一.公司簡介

群創光電(INNOLUX)為全球第三大面板廠，主要產品為大尺寸(大於 9 吋)與中小尺寸(9 吋以下)與延伸技術之薄膜電晶體液晶顯示器(TFT-LCD)相關產品，大尺寸產品應用於液晶電視、公共看板、桌上型監視器、筆記型電腦與工業控制等；中小尺寸則為平板電腦、可攜式影音播放器、車載、航空船舶、智能家居及手機、穿戴裝置等應用，也可選擇性搭配各類型觸控面板；另針對特殊使用需求，也提供應用於醫療、軍用、教育與電子紙應用之產品。集團總部位於苗栗縣竹南鎮，台灣生產基地位於竹南、南科、台南、高雄等地，另有海外生產基地則包含中國深圳、中國寧波、中國南京、中國南海、荷蘭等地。2025 年公司營收占比大宗消費品(Commodity) 55%；非大宗消費品(Non-commodity) 16%；非顯示器領域群(Non-display) 29%。公司 NB 客戶為 DELL，液晶電視客戶包括 Panasonic、Sharp、Sony、Toshiba、Samsung、TCL 等；手機及平板電腦客戶為 Samsung、Amazon、Apple 及華為；車用面板客戶包括 BMW、福特、General Motors、特斯拉等車廠。國內主要競爭廠商為友達光電、瀚宇彩晶，國外廠商則包括

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

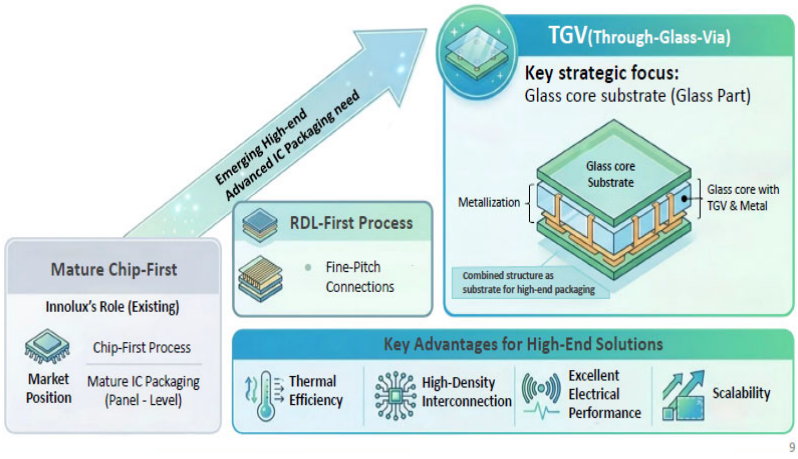
Hitachi、LG Display、Sharp、Samsung、京東方等。

圖一、群創產品營收佔比



資料來源：群創

圖二、群創半導體事業轉型策略



資料來源：群創

2. 群創連售三廠房，預估獲利近 200 億元

為充實營運資金並挹注未來發展動能，群創近期積極活化旗下資產。繼 3 月先後將南科模組廠以 8.8 億元售予南茂(處分利益 6.59 億元)，以及將南科二廠以 63.25 億元售予矽品(獲利約 58 億元)後，群創於 15 日再度宣布，將南科五廠房及附屬設施以總價 148.5 億元售予日月光投控，預計處分利益高達 133 億元。累計今年以來，預估公司可望認列售廠總獲利達 197.59 億元。

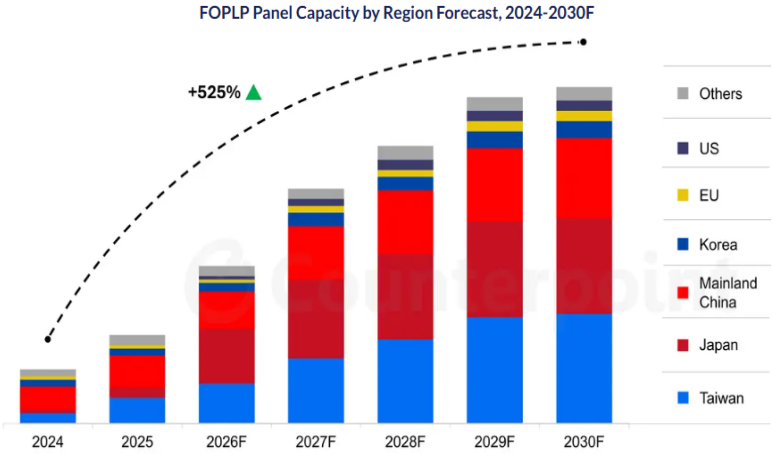
本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

二.產業趨勢概況

1. AI 需求推動，FOPLP 與玻璃基板市場 2030 年將突破 80 億美元

根據 Counterpoint Research 報告，受惠於 AI 與高效能運算(HPC)強勁需求，全球扇出型面板級封裝(FOPLP)與玻璃基板市場規模，預計將從 2024 年的 6.5 億美元飆升至 2030 年的 81 億美元以上，其中 AI 與 HPC 應用將佔 FOPLP 總營收的 45.6%。相較於傳統有機基板，玻璃基板具備高互連密度、尺寸穩定與抗翹曲等優勢，能支援次世代小晶片(Chiplet)架構與大型 AI 處理器，吸引台積電、Intel、三星電機、日月光及力成等大廠積極擴展產能與研發。區域佈局上，預計 2030 年台灣、日本與中國大陸將囊括全球 84.8%的面板級封裝產能。儘管目前仍面臨面板尺寸標準化與玻璃穿孔(TGV)製程等量產挑戰，但在產業鏈合作推動下，整體市場前景依舊十分樂觀。

圖三、2024-2030 年各地區 FOPLP 面板產能預估



資料來源：Counterpoint

2. 零組件成本壓力與需求衰退交織，10 月面板價格全面持平

根據 TrendForce 預估，進入第 4 季後，受上游零組件成本上漲壓力遽增及終端採購需求衰退雙重影響，10 月 TV、MNT 與 NB 三大面板價格預估將全面持平。TV 面板部分，雖有原廠調控產能並喊漲，但主要品牌第 4 季採購需求季減約 5%，短期難接受漲價；而 MNT 面板需求持續減弱，惟成本壓力使面板廠無讓步空間，買賣雙方對持平具共識，後續將視 TV 面板能否成功漲價而定；另外，NB 面板則因前六大品牌第 4 季採購需求恐季減近 30%，出貨動能嚴重萎縮，在成本高漲且降價無助爭取訂單的情況下，雙方亦達成維持價格穩定的共識。

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

圖四、10 月下旬面板報價預估

發表日期: 2026.10.20
(單位:USD/片)
TrendForce

	尺寸	分辨率	出貨型態	液晶顯示器價格				
				低	高	均價	與前月差異(%)	
TV	65"W	3840x2160	Open-Cell	166	176	173	0.0	0.0%
	55"W	3840x2160	Open-Cell	116	126	123	0.0	0.0%
	43"W	1920x1080	Open-Cell	61	65	63	0.0	0.0%
	32"W	1366x768	Open-Cell	34.0	36.0	35.0	0.0	0.0%
MNT	27"W (IPS)	1920x1080	LED	58.0	66.4	63.6	0.0	0.0%
	23.8"W (IPS)	1920x1080	LED	47.9	52.7	51.0	0.0	0.0%
NB	17.3"W (TN)	1600x900	Wedge-LED	37.0	38.9	37.6	0.0	0.0%
	15.6"W (Value IPS)	1920x1080	Flat-LED	37.9	41.0	39.6	0.0	0.0%
	14.0"W (TN)	1366x768	Flat-LED	26.2	27.9	26.7	0.0	0.0%
	11.6"W (TN)	1366x768	Flat-LED	24.0	26.3	24.9	0.0	0.0%

資料來源：TrendForce

參、業 績 及 獲 利 預 估

二、資產處分告一段落，後續聚焦 FOPLP 產能

為充實營運資金、活化公司旗下資產，群創今年處分三座廠房，3 月將南科模組廠以 8.8 億元售予南茂(處分利益 6.59 億元)，以及將南科二廠以 63.25 億元售予矽品(獲利約 58 億元)。公司 4 月再度宣布，將南科五廠房及附屬設施以總價 148.5 億元售予日月光投控，預計處分利益高達 133 億元。累計今年群創認列的售廠總獲利約為 197.59 億元。公司表示，目前資產處分已告一段落，暫無進一步大規模出售廠房計畫，後續將配合 FOPLP 投資調整既有廠區資源。

三. 消費性面板短期保守，持續朝高階封裝領域布局

公司公告 9 月營收 199.95 億，MoM +6.9%，YoY +0.7%，3Q26 營收 575.8 億，QoQ -9.4%，YoY -0.4%，今年累計營收 1879.3 億，YoY +10.6%。展望後市，在面板業務方面，受記憶體等零組件漲價及筆電客戶提前於上半年拉貨影響，對消費性顯示器短期動能相對保守，惟 50 吋以下 TV、高階電競與 OLED 顯示器，以及商用顯示器支撐營運表現。而半導體事業部分，公司表示，目前 Chip-first 製程已進入量產，每月出貨量突破 4,000 萬片，預計今年與 2027 年將維持雙位數年增率，至於 RDL-first 與 TGV 製程部分，由於 TGV 玻璃基板具備優異的散熱效率、低翹曲以及高密度互連優勢，將瞄準 AI 與 HPC 晶片需求，目前正與全球策略夥伴及客戶緊密合作推進，預期玻璃基板封裝產品將於 2028 年前推出。預估 2026 全年營收 2451 億元，YoY +8.1%，毛利率 14.2%，營利率 1.9%，稅後淨利 805 億，全年稅後 EPS 1.01 元。預估 2027

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

全年營收 2659 億元，YoY +8.5%，毛利率 14.3%，營利率 3.1%，稅後淨利 892 億，全年稅後 EPS 1.12 元，每股淨值 29.51 元。

肆、財 務 簡 表

單位：佰萬元

	2025(A)	26Q1(A)	26Q2(A)	26Q3(F)	26Q4(F)	2026(F)	27Q1(F)	27Q2(F)	27Q3(F)	27Q4(F)	2027(F)
營業收入	226,750	66,656	63,589	57,581	57,357	245,117	61,169	65,158	73,137	66,488	265,952
營業毛利	18,657	9,619	9,275	8,061	7,801	34,756	8,564	9,252	10,605	9,574	37,995
營業費用	22,817	8,120	7,642	7,266	7,026	30,055	7,079	7,048	7,845	7,737	29,709
營業利益	-4,160	1,498	1,633	795	775	4,701	1,484	2,205	2,760	1,837	8,286
營業外淨收入（支出）	4,457	909	173	500	600	2,182	600	600	800	800	2,800
稅前純益	296	2,408	1,806	1,295	1,375	6,883	2,084	2,805	3,560	2,637	11,086
稅後純益	250	1,630	4,532	901	992	8,054	1,678	2,258	2,866	2,123	8,924
稅前EPS（元）	0.04	0.30	0.23	0.16	0.17	0.86	0.26	0.35	0.45	0.33	1.39
稅後EPS（元）	0.03	0.20	0.57	0.11	0.12	1.01	0.21	0.28	0.36	0.27	1.12
股本	79,892	79,892	79,892	79,892	79,892	79,892	79,892	79,892	79,892	79,892	79,892
稅後股東權益報酬率%	0.30	0.79	2.04	0.40	0.44	3.67	11.40	10.59	9.41	10.06	3.78
每股淨值（元）	27.70	28.38	28.16	28.27	28.40	28.40	28.61	28.89	29.25	29.51	29.51
毛利率%	8.23	14.43	14.56	14.00	13.60	14.18	14.00	14.20	14.50	14.40	14.29
營利率%	-1.83	2.25	2.56	1.38	1.35	1.92	2.43	3.38	3.77	2.76	3.12
稅前純益與前期比較%	-96.40	-316.39	-24.98	-28.31	6.15	2,221.62	51.65	34.56	26.92	-25.92	61.06
稅前純益率%	0.13	3.61	2.84	2.25	2.40	2.81	3.41	4.30	4.87	3.97	4.17
稅後純益率%	0.11	2.44	7.13	1.56	1.73	3.29	2.74	3.47	3.92	3.19	3.36

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

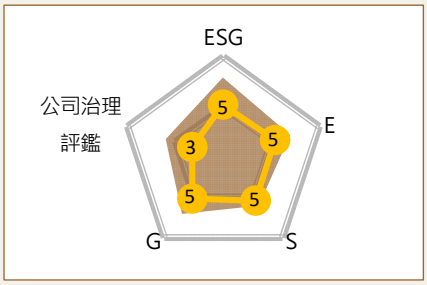
永續發展報告

3481 群創 永續發展概況

CMoney ESG Rating　　評鑑年季：2026Q3

CMoney ESG Rating		交易所公司治理評鑑	產業排名
8		6%至20%	3/116
E	7		
S	6		
G	7		

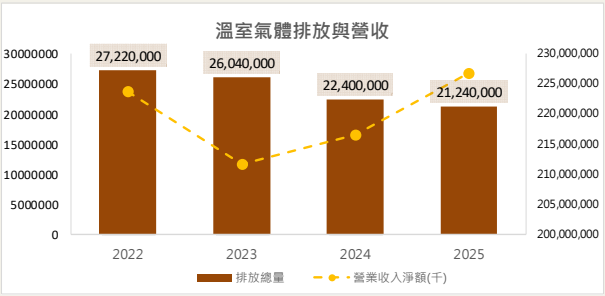
※評等1-10分，10分最高



永續報告書連結	
enplus.twse.com.tw/api/api/MopsSustainReport/data/FileStream?id=fa59c3cb-6ac4-4ad7-84b1-3	
報告書保證確信	驗證單位：第三方保證認證單位：台灣檢驗科技股份有限公司(SGS)驗證方法：A

環境保護 Environment

溫室氣體



摘要	2025年溫室氣體排放量減少5.18%，營收增加4.72%

溫室氣體盤查數據

年度	排放總量(公噸)	範疇一	範疇二
2025	21,240,000	790,000	20,450,000
2024	22,400,000	790,000	21,610,000
2023	26,040,000	1,100,000	24,940,000
2022	27,220,000	1,170,000	26,050,000

*排放總量(公噸)：範疇一+範疇二溫室氣體排放數據
*範疇一：組織擁有或控制的營運據點的溫室氣體排放
*範疇二：組織所購買或取得之電力、用之於供熱、製冷或蒸汽而產生的溫室氣體排放

資料來源：CMoney、企業揭露資訊

水資源

摘要	2025年企業用水量減少4.07%，營收增加4.72%

企業用水量盤查數據

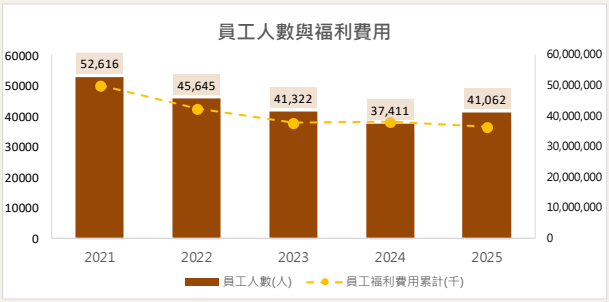
年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2025	14,541,200	267,800,000	9,590,000
2024	15,157,600	249,800,000	8,008,000
2023	15,923,100	267,500,000	9,966,000
2022	18,257,100	263,600,000	10,929,000

*用水總量：依取水來源統計之總使用水量
*回收水量：將已用水和廢水透過循環處理成可再利用的水資源(包含製成回收水)
*排水量：排放的汙水總量

資料來源：CMoney、企業揭露資訊

社會責任 Social Responsibility

員工人數



摘要	2025年員工人數增加3651人，營收增加4.72%，人均福利費用減少0.12%

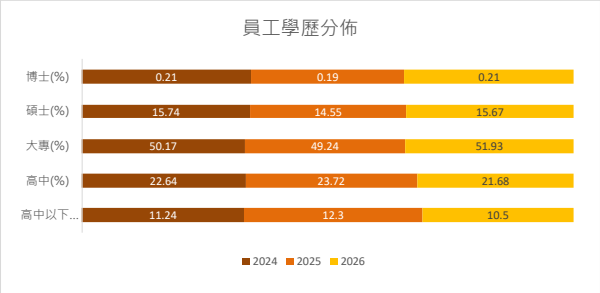
員工人數統計

年度	員工人數(人)	員工人數增減(人)	福利費用(千)
2025	41,062	3,651	36,599,555
2024	37,411	-3,911	38,008,083
2023	41,322	-4,323	37,827,219
2022	45,645	-6,971	42,613,298
2021	52,616	-237	50,131,195

資料來源：CMoney、企業揭露資訊

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

社會責任 Social Responsibility



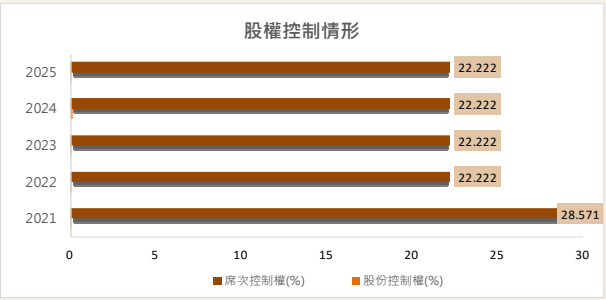
摘要 2026年員工學歷分佈，碩士以上學歷佔15.88(%)

員工學歷分布			
學歷/年度	2024	2025	2026
博士(%)	0.2	0.2	0.2
碩士(%)	15.7	14.6	15.7
大專(%)	50.2	49.2	51.9
高中(%)	22.6	23.7	21.7
高中以下(%)	11.2	12.3	10.5

資料來源：CMoney、企業揭露資訊

公司治理 Corporate Governance

股權控制



摘要 2025，最終控制者(董事長、副董事長、總經理、副總經理)掌握董監席次控制權增加0%，股份控制權減少0.01%

最終控制者股權控制情形			
年度	席次控制權(%)	股份控制權(%)	股權集中度
2025	22.22	0.07	0.0000
2024	22.22	0.07	0.0000
2023	22.22	0.06	0.0000
2022	22.22	0.06	0.0000
2021	28.57	0.05	0.0003

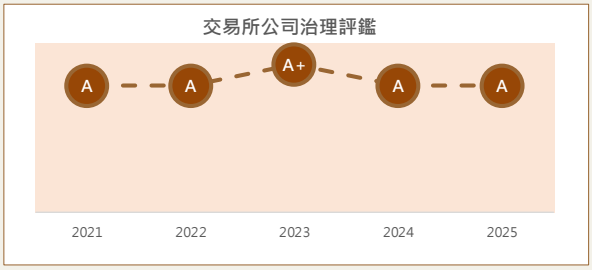
資料來源：CMoney、企業揭露資訊

公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及平等對待股東	強化董事會結構與運作	資訊透明度	落實企業社會責任
2025	6%至20%	A	0.16	0.25	0.1	0.49
2024	6%至20%	A	0.19	0.29	0.17	0.35
2023	前5%	A+	0.22	0.31	0.19	0.28
2022	6%至20%	A	0.2	0.33	0.23	0.24
2021	6%至20%	A	0.2	0.33	0.26	0.21

資料來源：CMoney、交易所

[註]等級轉換：前5%：「A+」；6%至20%：「A」；21%至35%：「B+」；36%至50%：「B」；51%至65%：「C+」；66%至80%：「C」；81%至100%：「D」



企業功能委員會

功能委員會			
審計委員會(非強制設置)		審計委員會(強制設置)	★
提名委員會		資訊安全委員會	
公司治理委員會		永續發展委員會	
薪資報酬委員會	★	誠信經營委員會	
風險管理委員會		策略委員會	

企業裁罰資訊

裁罰資訊

2026/2/26	違反法條： 職業安全衛生設施規則第128條之1第1款。職業安全衛生法第6條第1項	違反內容： 使勞工於廢水棟使用高空工作車進行鐵捲門調整作業，未於事前依作業場所之狀況、高空工作車之種類、容量等訂定包括作業方法之作業計畫，使作業勞工周知，並指定專人指揮監督勞工依計畫從事作業，致該員發生職業災害
2026/2/26	違反法條： 職業安全衛生設施規則第128條之1第1款。職業安全衛生法第6條第1項	違反內容： 使勞工於廢水棟使用高空工作車進行鐵捲門調整作業，未於事前依作業場所之狀況、高空工作車之種類、容量等訂定包括作業方法之作業計畫，使作業勞工周知，並指定專人指揮監督勞工依計畫從事作業，致該員發生職業災害

本報告僅供宏遠投顧內部及客戶參考，雖已力求正確與完整，但因時間及市場客觀因素改變所造成產業、市場或個股之相關條件改變，投資人需自行考量投資之實際狀況與風險，本公司恕不負擔任何法律責任及做任何保證。非經本公司同意，不得將本報告加以引用或轉載

家登(3680)：EUV POD、中國 FOUP 雙軌成長，展望正向

建議：維持買進

2026 EPS(F)		2027 EPS(F)		BVPS	10/21 收盤價	2027年 P/E	目標價		投資建議
前次	本次	前次	本次	126.93	521.0	23.0	前次	本次	買進
15.17	16.83	20.79	22.70				580	615	

一、3Q26 營收創高，EUV POD 放量與產品組合優化推升獲利

家登 3Q26 營收 27.1 億元，+16.9% QoQ，+62.9% YOY，受惠 EUV POD 及 FOUP 出貨同步成長，營運規模持續擴大，除台灣主要客戶需求穩健外，美系大客戶出貨量亦大幅增加，帶動高單價產品營收貢獻，另中國市場 FOUP 需求回溫，多個客戶同步拉貨挹注營收。考量 EUV POD 及中國 FOUP 均為影響公司獲利結構的重要產品，預期在出貨規模擴大、產品組合維持有利的情況下，家登 3Q26 營收與獲利可望同步展現強勁成長。在產能利用率提升、加上產品組合優化下，預估毛利率上升至 43.9%，季增 1.2%、年增 4.8%，營業利益達 5.3 億元，營業利益率 19.7%，季增 2.4%、年增 10.6%，稅後歸屬母公司淨利 4.2 億元，EPS 4.41 元。

二、4Q26 營運維持高檔

展望 4Q26，EUV POD 及 FOUP 需求延續，加上台灣大客戶先進製程產能擴張，帶動載具需求續，預估家登 4Q26 營收 27.7 億元，+2.3% QoQ，+22.0% YoY。預期稼動率及生產效率提升將改善毛利率，惟考量海外布局、折舊攤提、人力擴編等因子下，以保守態度估計毛利率略提升至 44.2%，季增 0.3 百分點，年增 0.9 百分點，不排除後續上修空間，預估營益率 19.9%，季減 0.2 百分點，年減增 2.4 百分點，歸屬母公司淨利 4.2 億元，EPS 為 4.35 元。

三、先進製程擴產和中國 FOUP 回溫為公司成長雙動能

家登的光罩載具以 EUV POD 為主要成長引擎，隨 AI 發展帶動先進製程光罩層數、客戶開案量及載具汰換需求皆顯著增加，預期 EUV POD 用量穩健提升，就產業端觀察，台灣大客戶先進製程節點已佔其整體營收 79%，且投資金額、規模持續擴大，而 ASML 最新法說也顯示 EUV 設備需求強勁，為 EUV 供應鏈的中長期成長提供支撐，另外，除台灣主要客戶需求穩健外，今年美系客戶出貨量亦大幅增加，預期 2027 年延續有機成長。晶圓載具方面，中國 FOUP 需求明顯回溫，且客戶組成較過往更加多元，整體貢獻有望回到前波高峰。

四、先進製程投資延續，2026-2027 年成長可期

AI 發展推動先進製程進入一波新投資循環，ASML 近期法說會表示，EUV 設備需求維持高檔，直至 2028 年都供不應求，已有客戶針對 2029 年後訂單展開討論，而台灣大客戶亦提及 2030 年將導入 High-NA EUV 進行量產，我們認為 AI 相關需求不墜，可支持家登 EUV POD 中長期需求，惟實際營收貢獻仍視客戶開案、光罩使用量及載具採購進度而定。獲利方面，內部效率提升與成本反映有助改善部分產品利潤，預估 2026/2027 年營收為 96.5/117.1 億元，+31.4%/21.3% YoY，EPS 16.83/22.70 元，目前股價依 2026 年 EPS 推估，約位於 30.5 倍本益比，維持買進評等，目標價 615 元(35.0x 3Q26-2Q27PER)。

本刊載之報告為台新投顧於特定日期之分析，已力求陳述內容之可靠性，純屬研究性質，僅作參考，使用者應明瞭內容之時效性，審慎考量投資風險，並就投資結果自行負責。報告著作權屬台新投顧所有，禁止任何形式之抄襲、引用或轉載。
台新證券投資顧問股份有限公司 台北市仁愛路四段 118 號 16 樓(02)5589-9558 (113)金管投顧新字第 021 號

Comprehensive Income Statement												NT$m
	1Q26 IFRS	2Q26 IFRS	3Q26F IFRS	4Q26F IFRS	1Q27F IFRS	2Q27F IFRS	3Q27F IFRS	4Q27F IFRS	FY24 IFRS	FY25 IFRS	FY26F IFRS	FY27F IFRS
Net sales	1,865	2,315	2,705	2,767	2,339	2,778	3,215	3,380	6,545	7,347	9,652	11,712
Gross profit	795	1,012	1,188	1,224	1,032	1,242	1,458	1,546	2,891	3,077	4,219	5,278
Operating profit	291	400	532	550	371	543	714	770	1,193	1,096	1,774	2,397
Total non-ope inc.	47	289	94	77	128	156	182	201	371	132	506	666
Pre-tax profit	338	689	626	627	498	698	896	971	1,564	1,227	2,280	3,064
Net profit	278	614	488	489	408	573	735	796	1,277	998	1,869	2,512
EPS	2.55	5.53	4.41	4.35	3.70	5.13	6.59	7.27	12.32	7.77	16.83	22.70
Y/Y %	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	FY24	FY25	FY26F	FY27F
Net sales	9.1	35.4	62.9	22.0	25.4	20.0	18.9	22.1	28.9	12.3	31.4	21.3
Gross profit	6.4	44.8	83.2	24.7	29.8	22.8	22.7	26.3	18.5	6.4	37.1	25.1
Operating profit	(3.5)	62.9	250.6	38.9	27.2	35.6	34.2	40.0	12.5	(8.2)	61.9	35.1
Net profit	16.1	1,156.7	182.4	(16.8)	45.0	(7.2)	49.6	67.4	29.0	(22.5)	78.7	34.8
Q/Q %	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	FY24	FY25	FY26F	FY27F
Net sales	(17.8)	24.1	16.9	2.3	(15.5)	18.8	15.7	5.1				
Gross profit	(19.0)	27.2	17.4	3.0	(15.7)	20.4	17.4	6.1				
Operating profit	(26.5)	37.3	33.1	3.3	(32.6)	46.4	31.7	7.8				
Net profit	(51.2)	116.8	(20.3)	(1.4)	(14.9)	38.7	28.5	10.3				
Margins %	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	FY24	FY25	FY26F	FY27F
Gross	42.6	43.7	43.9	44.2	44.1	44.7	45.4	45.8	44.2	41.9	43.7	45.1
Operating	15.6	17.3	19.7	19.9	15.8	19.5	22.2	22.8	18.2	14.9	18.4	20.5
Net	13.1	23.0	15.7	15.1	15.2	17.8	19.7	20.7	17.8	12.3	16.8	18.6

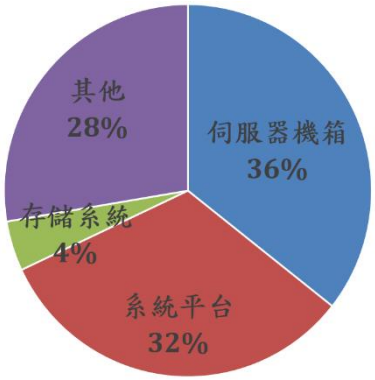
本刊載之報告為台新投顧於特定日期之分析，已力求陳述內容之可靠性，純屬研究性質，僅作參考，使用者應明瞭內容之時效性，審慎考量投資風險，並就投資結果自行負責。報告著作權屬台新投顧所有，禁止任何形式之抄襲、引用或轉載。
台新證券投資顧問股份有限公司 台北市仁愛路四段 118 號 16 樓(02)5589-9558 (113)金管投顧新字第 021 號

營邦(3693)　買進　報告日期：20261027

研究員：陳彥翰

公司基本資料	
前日收盤價(元)	647.00
目前股本(億元)	4.30
市值(億元)	278.20
每股淨值(元)	122.14
外資持股比例(%)	19.86
投信持股比例(%)	0.01
董監持股比例(%)	25.58
融資餘額(張)	5,049

業務營收比重



投資建議

三大事業部同步成長，以及歐洲、東南亞、印度與中國等非北美市場大幅貢獻的帶動下，預期 2027 年仍將延續五成的強勁成長動能，營運獲利可創新高。合庫預估 2026 / 2027 年獲利成長 156% / 72%，稅後每股盈餘 39.73 / 68.33 元，建議買進，目標價 820 元 (2027 PER 12x)。

公司簡介

營邦企業股份有限公司創立於 1996 年，為全球伺服器與儲存系統製造商領導者之一。產品發展方向由工業電腦延伸至系統散熱解決方案，再擴展至高密度系統解決方案。近年來，營邦深耕企業級伺服器與儲存解決方案領域，專注於高效能運算、資安應用及資料中心基礎架構之產品研發與製造，產品範疇涵蓋類別主要包含：伺服器機箱、存儲系統、系統平台、產業設備等產品。

簡易損益表

單位：百萬	2025	2026(F)	2027(F)	3Q25	4Q25	1Q26	2Q26	3Q26(F)	4Q26(F)	1Q27(F)	2Q27(F)
營業收入	7,516	12,279	18,720	1,603	1,614	1,557	2,539	4,029	4,154	3,929	4,358
營業毛利	2,162	3,461	5,471	422	470	362	710	1,172	1,217	1,128	1,281
營業利益	878	1,868	3,306	133	8	48	373	709	739	675	780
稅後純益	666	1,708	2,938	197	94	66	306	657	679	611	679
EPS(NT$)	15.50	39.73	68.33	4.58	2.18	1.54	7.11	15.28	15.80	14.21	15.79
毛利率	28.8%	28.2%	29.2%	26.3%	29.1%	23.2%	28.0%	29.1%	29.3%	28.7%	29.4%
營業利益率	11.7%	15.2%	17.7%	8.3%	0.5%	3.1%	14.7%	17.6%	17.8%	17.2%	17.9%
稅後淨利率	8.9%	13.9%	15.7%	12.3%	5.8%	4.3%	12.0%	16.3%	16.4%	15.5%	15.6%
營收 YoY	(12.0%)	63.4%	52.5%	(40.0%)	(28.6%)	(36.6%)	37.8%	151.4%	157.4%	152.3%	71.6%
EPS YoY	(42.1%)	156.3%	72.0%	(54.8%)	(57.1%)	(84.3%)	5,462.8%	233.6%	624.8%	822.4%	122.1%

營運展望

1. **2H26 營運動能來自 AMD Helios 伺服器專案開始放量：**針對 Meta、Oracle 與 OpenAI 等客戶的 AMD Helios 專案，已由去年的研發與小量送樣階段，於今年正式啟動大量生產。儘管受限於保密協議無法透露單一客戶細節，但整體專案規模與出貨量將迎來顯著成長。2026 年上半年營收約 41.0 億元，第三季單季貢獻即達 40.3 億元，推升前三季累計營收至 81.3 億元。受惠下半年強勁拉貨，全年營收預估將突破百億大關並創下歷史新高，年增率上看五成。

2. **與 NVIDIA 深化儲存專案合作，共同開發下次世代應用：**跟 NVIDIA 除延續多年來在人工智慧資料處理器 (Data Processing Unit, DPU AI) 儲存市場合作，更於今年 GTC 大會深化與 NVIDIA 策略夥伴關係。雙方正緊密圍繞最新 Vera Rubin 平台，共同開發下一代鍵值快取 (Knowledge Base Cache, KB Cache) 在內容管理系統 (Content Management System, CMS) 的應用。與 NVIDIA 次世代合作案正處聯合開發階段，將聚焦提供高階 AI 儲存完整解決方案，其市場份額與營收貢獻將隨 NVIDIA 的市場推廣逐步發酵。

3. **2027 年既有業務穩健成長，新興 AI 業務加速拓展：**在三大事業部同步成長，以及歐洲、東南亞、印度與中國等非北美市場大幅貢獻的帶動下，預期 2027 年仍將延續五成的強勁營收成長幅度。預期標準品、AI 儲存與 CSP 三大事業群的營收年增率將呈現均衡且穩定成長。其中，標準品於各區域市場皆持續貢獻穩定營收，AI 儲存受惠於整體應用規模擴增趨勢而由專責團隊推動成長，CSP 專案則依既有進度維持穩健的營收佔比。公司整體毛利率穩定維持在 25～30% 區間，未來各項產品銷售與營運規劃，也將持續以穩住此毛利率水準作為首要目標。

4. **三大事業部門業務能見度佳，明年營運獲利可創新高：**三大事業部同步成長，Server & Storage 標準品業績規模持續擴大，出貨量顯著成長。AI Storage 出貨快速攀升，掌握重點客戶成長商機。CSP 專案持續拓展，AMD Helios 進入大規模量產階段。合庫預估 2026 年營收 122.8 億元、+63.4% YoY，毛利率 28.2%。營業利益 18.7 億元、+112.8% YoY，營業利益率 15.2%，歸屬母公司稅後淨利 17.1 億元，每股盈餘 39.73 元。

5. **ESG (營邦在 2026 年上櫃公司治理評鑑結果為 81～100%)：**為實踐企業社會責任，並促進經濟、社會與環境生態之平衡及永續發展，營邦制定「永續發展實務守則」與「永續資訊管理作業程序」，將永續做為公司營運決策的一環。透過檢視治理、環境與社會的管理架構，營邦運用永續策略促進創新，以符合平衡環境、社會及公司治理發展之國際趨勢，並透過企業公民擔當，提升國家經濟貢獻，改善員工、社區、社會之生活品質，促進以永續發展為本的競爭優勢。

PE/PB Band

損益表

單位：百萬	2025	2026(F)	2027(F)	3Q25	4Q25	1Q26	2Q26	3Q26(F)	4Q26(F)	1Q27(F)	2Q27(F)
營業收入	7,516	12,279	18,720	1,603	1,614	1,557	2,539	4,029	4,154	3,929	4,358
營業毛利	2,162	3,461	5,471	422	470	362	710	1,172	1,217	1,128	1,281
營業費用	1,284	1,593	2,165	289	462	314	338	464	478	452	502
營業利益	878	1,868	3,306	133	8	48	373	709	739	675	780
業外收支	(55)	140	132	99	87	39	16	44	40	31	31
稅前純益	823	2,008	3,438	232	95	87	389	753	778	706	810
所得稅	194	397	686	45	13	31	64	146	155	138	162
稅後純益	666	1,708	2,938	197	94	66	306	657	679	611	679
股本	430	430	430	430	430	430	430	430	430	430	430
EPS(NT$)	15.50	39.73	68.33	4.58	2.18	1.54	7.11	15.28	15.80	14.21	15.79
營收 QoQ	-	-	-	(13.0%)	0.7%	(3.5%)	63.1%	58.6%	3.1%	(5.4%)	10.9%
營收 YoY	(12.0%)	63.4%	52.5%	(40.0%)	(28.6%)	(36.6%)	37.8%	151.4%	157.4%	152.3%	71.6%
EPS YoY	(42.1%)	156.3%	72.0%	(54.8%)	(57.1%)	(84.3%)	5,462.8%	233.6%	624.8%	822.4%	122.1%
毛利率	28.8%	28.2%	29.2%	26.3%	29.1%	23.2%	28.0%	29.1%	29.3%	28.7%	29.4%
營業費用率	17.1%	13.0%	11.6%	18.0%	28.6%	20.1%	13.3%	11.5%	11.5%	11.5%	11.5%
營業利益率	11.7%	15.2%	17.7%	8.3%	0.5%	3.1%	14.7%	17.6%	17.8%	17.2%	17.9%
稅前淨利率	11.0%	16.4%	18.4%	14.5%	5.9%	5.6%	15.3%	18.7%	18.7%	18.0%	18.6%
所得稅率	23.6%	19.8%	19.9%	19.4%	13.6%	36.0%	16.4%	19.5%	19.9%	19.6%	20.0%
稅後淨利率	8.9%	13.9%	15.7%	12.3%	5.8%	4.3%	12.0%	16.3%	16.4%	15.5%	15.6%

資產負債表

(百萬元)	2023	2024	2025	2Q26
資產總計	6,890	8,044	7,741	10,038
流動資產	5,248	6,123	5,077	6,906
現金及約當現金	1,623	2,024	2,552	1,758
應收帳款與票據	1,454	1,514	993	1,811
存貨	2,103	2,519	1,376	3,004
採權益法之投資	0	0	0	0
不動產及廠房	1,349	1,516	1,977	2,418
負債總計	4,072	2,999	2,466	4,713
流動負債	3,894	2,760	1,947	4,208
應付帳款	1,169	1,096	640	2,456
應付票據	172	98	27	41
非流動負債	179	239	518	505
權益總計	2,818	5,045	5,275	5,325
普通股股本	385	430	430	430
保留盈餘	1,923	2,625	2,818	2,846
母公司業主權益	2,818	5,045	5,211	5,251

損益表

(百萬元)	2024	2025	2026(F)	2027(F)
營業收入淨額	8,537	7,516	12,279	18,720
營業成本	5,837	5,354	8,818	13,249
營業毛利淨額	2,701	2,162	3,461	5,471
營業費用	1,414	1,284	1,593	2,165
營業利益	1,286	878	1,868	3,306
業外收支	127	(55)	140	132
稅前純益	1,413	823	2,008	3,438
所得稅	326	194	397	686
稅後純益	1,087	666	1,708	2,938
稅後EPS(元)	27.30	15.50	39.73	68.33

註1：稅後淨利係指本期淨利歸屬母公司業主。

註2：稅後EPS以當期股本計算

現金流量表

(百萬元)	2023	2024	2025	2Q26
營業活動現金	1,769	758	1,557	186
稅前純益	1,248	1,413	823	389
折舊	104	97	152	52
攤銷	26	38	39	12
其他營運現金	2,268	1,678	2,141	274
投資活動現金	(773)	(304)	(562)	(270)
其他投資現金	0	0	0	0
籌資活動現金	28	(97)	(435)	(18)
現金增資	0	1,485	0	0
發放現金股利	(231)	(385)	(473)	0
其他籌資現金	0	0	0	0
淨現金流量	1,022	401	528	(105)
期初現金	601	1,623	2,024	1,863
期末現金	1,623	2,024	2,552	1,758

比率分析

(%)	2023	2024	2025	2Q26
成長力分析				
營收成長	59.7	(2.9)	(12.0)	37.8
營利成長	117.8	3.6	(31.8)	22.0
稅後純益成長	103.7	17.1	(42.1)	5,462.8
獲利能力分析				
毛利率	28.3	31.6	28.8	28.0
營利率	14.1	15.1	11.7	14.7
稅後純益率	10.6	12.7	8.9	12.0
償債能力分析				
負債比率	59.1	37.3	31.9	47.0
流動比率	134.8	221.8	260.7	164.1
速動比率	80.8	130.6	190.1	92.7

資料來源：CMoney、合庫投顧

免責聲明：

本報告內容僅供參考，已力求訊息確實與完整，但客戶仍應審慎考量本身之需求與投資風險及承受度，本公司不做任何獲利保證，亦不就投資盈虧負任何法律責任。本刊著作權屬合庫投顧所有，非經本公司同意請勿抄襲、引用或轉載。

本研究報告並不構成要約、招攬、邀請、宣傳、誘使，或任何形式之表示，本報告並非針對客戶於買賣證券、選擇權、期貨或其他證券相關商品提供詢價或推介服務。本研究報告內容係報告撰寫人依所收集之資訊進行合理之判斷，並就其專業能力提供之善意分析，報告撰寫人與相關複核人員的報酬與本篇報告內容表述或觀點無關。出具本報告時，本公司、報告撰寫人與複核人員，均遵守主管機關相關利益衝突防範。

合作金庫金融控股(股)公司旗下子公司暨關係企業從事廣泛金融業務，合作金庫集團對於本報告所涵蓋的標的公司可能有投資或業務往來，合作金庫集團及其所屬員工可能會投資本報告所涵蓋的標的，或以該公司為標的的衍生性金融商品，而其交易的方向與本報告中所提及的投資方向可能不一致。

評等標準說明

評等	定義
買進	預期未來 6 個月潛在報酬率>15%
區間	預期未來 6 個月潛在報酬率 0%~15%
中立	預期未來 6 個月潛在報酬率<0%
未評等	訊息不足或有相關業務往來

報告日期：2026.10.27

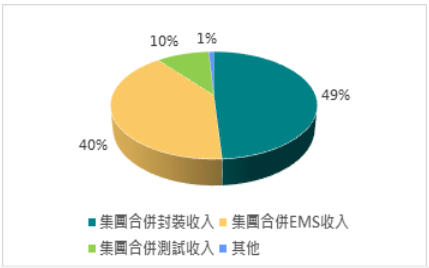
產業：封測

法說前瞻

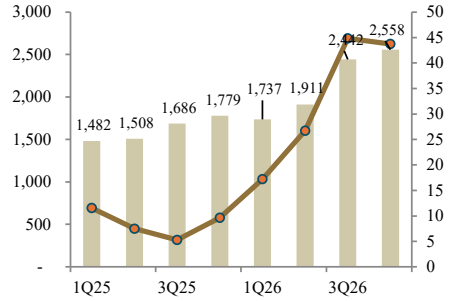
日月光法說會前財務預估

4Q26 Full Process 放量帶動公司獲利持續轉佳

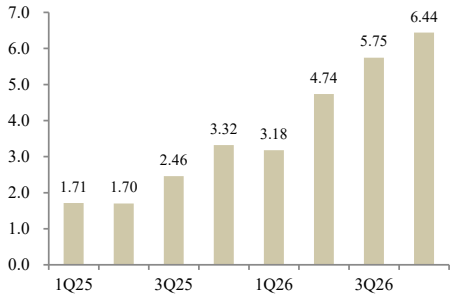
近一季營收比重



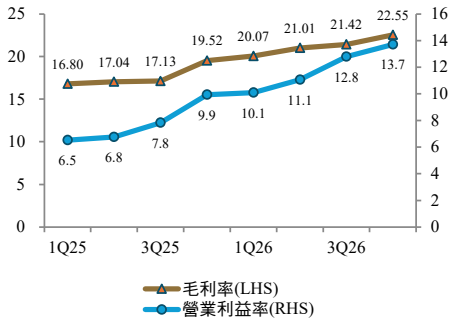
季營收(億元)



季每股盈餘(元)



季毛利率與營業利益率(%)



研究員：陳泳如
kate401124-71795@esunsec.com.tw

財報訊息

日月光即將於10/29(四)舉行法說會，市場普遍預估4Q26營收有望季增約中高個位數，且毛利率受惠於LEAP業務持續成長挹注ATM獲利，有望進一步攀升；另關注公司對於2027年LEAP營收、ATM獲利結構有無進一步更新。

營運現況

3Q26營收優於公司財測：3Q26營收季增27.8%至2,441.6億元，優於公司先前財測(估營收季增21~22%)，主因為ATM業務大幅優於預期，另EMS表現也微幅優於預期，兩者成長動能中，ATM受惠於AI/HPC需求強勁和封測報價調漲，EMS則因蘋果手機季節性備貨、記憶體成本轉嫁之挹注。我們預估毛利率21.4%、稅後EPS 5.75元。

營運展望

Full Process放量帶動LEAP營收、獲利進一步成長：我們預估本季營收有望季增4.8%至2,557.6億元，約落在市場共識之下緣，主要成長動能來自於AMD伺服器CPU Venice帶動Full Process放量，且進一步改善ATM獲利結構。展望明年，我們觀察：(1)封測產業產能利用率維持高檔、AI/HPC需求維持強勁，持續支撐封測報價存在漲價空間，且明年Full Process在AMD伺服器CPU、博通交換器晶片等訂單挹注下，維持高速成長，預估明年LEAP營收將由今年的37億美元成長至74億美元以上(公司先前已提到明年LEAP營收將翻倍)；(2)EMS雖面臨消費性電子需求不彰，但於3Q26漲價後，明年營收將有全年之漲價貢獻。

簡易損益表預估

(單位：百萬元)

	2025	26Q1	26Q2	26Q3(E)	26Q4(F)	2026(F)
營收	645,388	173,662	191,064	244,161	255,761	864,648
YoY	8.4%	17.2%	26.7%	44.8%	43.8%	34.0%
毛利率	17.7%	20.1%	21.0%	21.4%	22.5%	21.4%
營益率	7.9%	10.1%	11.1%	12.8%	13.7%	12.1%
稅後淨利	40,658	14,148	21,068	25,550	28,629	89,395
EPS(元)	9.19	3.18	4.74	5.75	6.44	20.10

玉山證券投資顧問股份有限公司（以下簡稱「玉山投顧」）為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

玉山投顧已針對報告內容力求正確，並為研究人員就其專業能力提供之善意分析，財務預估及投資評等係就報告發行當時，所收集之資訊進行合理之判斷，日後若有資訊更新，玉山投顧將不針對此報告出具更新通知。本報告僅供投資人參考，玉山投顧不負任何投資盈虧之法律責任，如引用本文，須經本公司同意。

智慧財產權聲明

本資料各項內容之各項權利及智慧財產權（包括但不限於著作權、專利權、商標權等）均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。

報告日期：2026/10/27

研 究 報 告

上品(4770.TT)

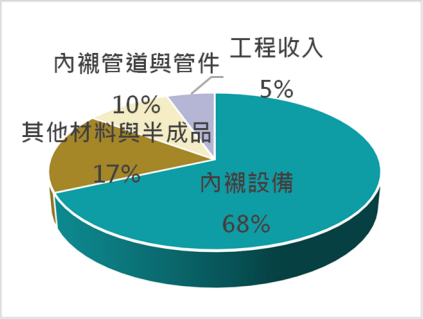
產業：化學工業

AI 需求帶動訂單攀升，擴產與高毛利產品推升獲利成長

增加持股 · 維持評等

目標價 (NT$)	340.00
收盤價 (NT$)	292.00
上漲空間	16.44%

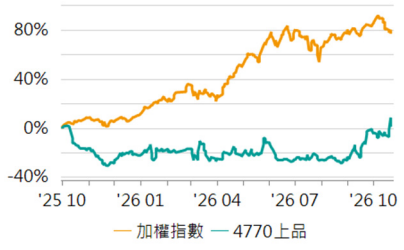
產品營收比重



交易資訊

市值 (NT$百萬元)	23,353
流通在外股數(百萬股)	80
董監持股 (%)	18.59
外資持股 (%)	9.28
投信持股 (%)	0.22
52 週高價	316.00
52 週低價	202.00
3M 平均成交量(百萬股)	0.90
融資使用率 (%)	9.54

個股與大盤走勢比較圖



資料來源：CMoney，玉山投顧

李悅誠
amaris-72238@esunsec.com.tw

投資評價與建議

考量AI驅動全球半導體擴產，帶動氟素設備、化學品槽車與建廠工程訂單成長，且低毛利舊單消化、高毛利產品放量及兩岸產能擴充推升毛利率，參考同業日本AGC、Daikin PE區間13-21倍，基於2027年EPS給予17倍PER。

重點評論分析

AI需求推升訂單動能：3Q26單季營收季增22.5%至16.0億元，受惠AI帶動國內晶圓廠客戶持續建廠，推升氟素內襯設備與管道系統的需求，年初在手訂單38億元陸續轉為實質營收貢獻，且低毛利訂單已消化完畢，預期在高毛利訂單出貨下，推估毛利率進一步提升1.38ppts至37%，稅後EPS 4.46元，2026全年營收年增18%至55.8億元，毛利率提升3.6ppts至36.58%，稅後EPS 14.45元。

擴產與高階新品推升獲利成長：2027年受惠兩岸產能擴充及高單價槽車、建廠設備進入交貨高峰，2026年槽車接單量已超越去年的2倍突破1000台，台灣廠月產能將由80台提升至140台，並規劃進一步擴至170台，中國嘉興廠亦將提升產能20%，預計自1Q27起挹注營收，產品方面，高溫環境用離型膜、高純度配件及過濾產品將隨客戶認證逐步放量，帶動高毛利產品比重提升，PTFE低介電材料則仍處配方測試階段，具中長期成長潛力，受惠在地化供應、工程整合服務及產能利用率提升，預估2027年營收年增25%至69.7億元，毛利率提升2.92ppts至39.5%，費用率因非大幅建廠，維持在11.8%，稅後EPS 19.84元。

投資風險

客戶擴產進度延遲、高階新品開發進度不如預期、原料成本壓抑獲利表現。

主要財務數據及預估值

(單位:百萬元)	2022	2023	2024	2025	2026	2027
營業收入	6,138	5,692	6,457	4,726	5,577	6,971
營業毛利	2,765	2,644	2,630	1,558	2,040	2,753
毛利率(%)	45.05	46.45	40.73	32.98	36.58	39.49
營業利益	2,132	2,003	2,004	1,003	1,342	1,928
營益率(%)	34.74	35.19	31.04	21.22	24.07	27.66
稅前盈餘	2,182	2,081	2,134	1,026	1,436	2,021
稅後EPS(元)	22.54	21.22	21.68	10.20	14.45	19.84
每股股利(元)	12.00	12.00	12.00	6.00	8.50	11.67
營收成長率(%)	60.11	-7.26	13.44	-26.81	18.00	25.00
盈餘成長率(%)	83.64	-4.61	2.56	-51.93	39.93	40.78

公司簡介

主要進口上游高階氟素樹脂，如 PFA、PTFE 原料，並自行加工為半成品的板材與管材，以及製造終端高階等設備，核心產品包括內襯設備(桶槽、反應釜)、內襯管道與管件、化學品運輸槽車以及工程服務等，這些產品主要應用於先進半導體製程，包含 2nm 以下，與高純度電子級化學品，如硫酸、氫氟酸、光阻劑等的生產、儲存、輸送與廢液回收系統，由於氟素材料具有極佳的耐酸鹼腐蝕與抗污染特性，設備能將金屬離子控制在 PPT 等級以下、顆粒控制在 0.02 以下，為晶圓代工與特化廠維持極高良率與穩定品質的關鍵所在。

截至 2Q26 產品別營收，內襯設備佔比 68.3%，為公司最核心的營收來源，包含特化廠與晶圓廠建廠所需的整套重化線純化槽、儲罐、反應釜及槽車等設備，其他材料與半成品 16.7%，主要為第一階段加工的氟素板材與管材半成品，多數留作自用，部分出口給海外(日本、歐洲)缺乏加工業者的獨立市場，內襯管道與管件 9.6%，用於連結各機台設備與廠區內的化學品輸送管線系統，工程業務 5.4%，協助電子化學品廠內部的襯裡與管道施工，受惠於市場技術人力缺乏，該業務毛利率較佳。

公司在台灣彰濱設有主要生產基地與研發中心，並於中國浙江嘉興設有工廠及美國亞利桑那州設有子公司，截至 2Q26 地區別營收，台灣佔比 49.3%，為目前成長動能最強的區域，受惠於晶圓代工龍頭與特化廠強勁建廠需求，台灣廠同時負責供應美洲及全球非中國市場、中國 44.8%，由中國廠獨立生產運作，專門供應中國內需半導體與特化廠擴建需求、美國 3.4%，因當地晶圓廠建廠審核較慢且缺乏專業工程技術人力，推進時程較長，目前營收佔比偏低、歐洲 1.5%、其他 1%。

圖表、上品主要產品及產業概況

資料來源：玉山投顧、公司資料

營運概況

擺脫低谷舊單稀釋，產品組合高階化使毛利提升：1H26 合併營收 23.6 億元，YoY+4%，其中半導體產業佔營收高達 91.3%，主要受惠全球晶圓代工龍頭與記憶體大廠積極擴產，現有特化廠產能無法滿足晶圓廠開出的需求，帶動建廠與特化重化線設備強勁拉貨，其餘為傳統石化產業占 6.4%，做為維持基礎工業需求的穩定貢獻，LCD 面板與太陽能佔 1.2%，其他佔 1.1%，毛利率年減 1.7ppts 至 35.3%，下滑主因在於認列的營收中，相當大部分來自 2025 年半導體與特化產業處於景氣低谷期時所接的舊訂單，因當時因市場需求薄弱、競爭較為激烈，產品平

均毛利率較差且接單總量偏低，進而稀釋 1H26 整體毛利表現，其中 2Q26 單季毛利率季增 1.7ppts 至 35.6%，顯示高毛利的訂單已逐漸回升，1H26 費用年增 25%至 3.25 億元，其中 2Q26 單季費用季增 4%至 1.65 億元，主因包含公司為維持先進製程氟素設備的技術領先，研發支出佔營收比重較去年同期增加 1ppts，另外公司依據會計準則提列了預期信用風險損失評估，約占費用的 2%，若扣除信用風險損失評估，實質營業費用率仍穩定維持在 11-12%區間，1H26 業外 0.44 億元，主要來自利息收入增加，以及美元與人民幣升值所帶來的匯兌收益，2Q26 所得稅因集中認列未分配盈餘加徵 5%稅賦，有效稅率較 1Q26 拉升 7ppts 至 21.6%，稅後 EPS 5.63 元，3Q26 單季營收季增 22.5%至 16.0 億元，受惠於國內客戶持續建廠，年初在手訂單 38 億元轉為實質營收貢獻，且低毛利訂單已消化完畢，推估毛利率進一步提升 1.38ppts 至 37.0%，稅後 EPS 4.46 元。

受惠全球 AI 市場需求與 ESG 回收政策，帶動氟素相關產品需求：截至八月底在手訂單已突破 75 億元，公司預估 2026 全年新接訂單將年增 91%，由於 AI 需求推升全球半導體晶圓廠展開大規模擴產，目前僅晶圓代工龍頭在台灣與海外同時進行興建的晶圓廠就多達約 20 座，隨著客戶現場建廠與設備拉貨排程推進，主要電子級化學品相關製造商均必須進行大規模擴產與建廠，另配合政府政策、ESG 環保法規，中鼎(9933)等大型工程統包商均跨入回收領域，直接推升氟素內襯設備與管道系統的需求，化學品運輸槽車因應晶圓廠大量使用化學品，預估接單量將突破 1,000 台，相較去年 600 台是翻倍成長，目前槽車設備的訂單交期已往後推三年陸續交貨，客戶嚴格把關進程，確保原料與槽車交期不致拖累建廠進度，由於產出的大型槽體與設備體積龐大，產品製造完成入庫後，必須待客戶建廠空間準備就緒並通知拉貨才能認列營收，因此單季成長趨勢比單月數據更為準確，預估 2026 全年營收年增 18%至 55.8 億元，在成本與毛利率方面，上游氟素樹脂原料，如大金(Daikin)、科慕(Chemours)，全球出現嚴重供不應求，交期長達 8 個月以上，供需缺口約在 5-10%，且面臨 PFAS 環保審查與附加稅費增加的壓力，但公司為原料廠的一線直接採購客戶，享有優先供料保障，並具備從原始樹脂顆粒自製半成品(板材/管材)到終端設備的能力，另外由於公司產品設備外殼高達 90%為白鐵(不鏽鋼)，透過高市佔率優勢，能將每一筆新接訂單動態重新計價轉嫁給客戶來降低成本壓力，預期在高毛利的產品訂單陸續開出，使整體毛利率回升 3.6ppts 至 36.58%，稅前盈餘成長 40%至 14.4 億元，稅後 EPS 14.45 元。

產能擴充，持續投入高階新產品開發：2027 年預期營收受惠高能見度槽車與建廠設備大批量交付認列，高單價與高毛利設備將於明年進入出貨高峰，另外新擴充的產能部分，以槽車為單位，中國嘉興廠進行 20%的產能提升、動線優化與組裝委外調整，台灣廠已從每月 80 台提升至 140 台，皆於 1Q27 開始貢獻，台灣廠預計明年規劃再提升 20%至 170 台，有效紓解目前產能滿載的壓力，支撐明年營收大幅成長。

公司持續投入新產品研發，其中離型膜應用於晶圓廠高溫區環境的關鍵新產品，已開始小量出貨，預計於 2026 年底完成送樣，明年貢獻營收，高純度配件與包材，包含關閉時僅留 90% 殘留的射出件接頭、100L 一體成型槽車杯、新型取樣器、濾芯過濾產品等，隨著客戶認證通過，高毛利產品出貨比重將在明年進一步拉高，工程業務高毛利貢獻持續挹注，主要因應特化廠建廠與回收系統需求，化學廠內部的管道與襯裡工程訂單持續增加，在工程人力極度缺乏的市場環境下，公司內部工程團隊提供整合性服務，使工程業務維持高毛利率表現，持續挹注明年獲利，由於同業競爭對手大多採取保守態度不敢大幅投資，公司在地化供應優勢與積極擴產與技術升級策略，預估市佔率將持續攀升，有助於毛利率表現。

另因應 AI 與高頻高速傳輸技術的突破，如 PTFE/氟素樹脂與銅箔結合的低介電常數與低介電損耗(Low Dk/Df)特性需求迫切，公司與特定下游廠商合作，進行高黏性 PTFE 氟素基板材料與金屬銅箔結合的開發與測試，由於技術非常高，氟素樹脂化學惰性極強，提升其高黏著性並與銅箔緊密貼合，同時保持極佳的高頻電性，屬於材料科學上的高難度突破，目前開發進度尚未正式通過客戶驗證，仍處於配方調整測試階段，屬中長期高毛利產品線。

預估 2027 全年成長 25%至 69.7 億元，受惠兩岸新產能開出、高毛利槽車與高階新產品比重提升，毛利率提升 2.92ppts 至 39.5%，費用率因公司擴充產能主要仰賴人員技術培訓、廠區動線優化與前後段工序，非大幅興建廠房，因此未來不會產生龐大折舊費用來墊高費用率，隨營業收入規模擴大而稀釋，預期維持在 11.8%，營益率提升 3.6ppts 至 27.7%，稅前盈餘年成長 40.8%至 20.2 億元，稅後 EPS 19.84 元。

季度主要財務數據及預估值										
(單位:百萬元)	1Q26	2Q26	3Q26	4Q26	2026	1Q27	2Q27	3Q27	4Q27	2027
營業收入	1,059	1,305	1,598	1,616	5,577	1,278	1,799	2,059	1,834	6,971
營業毛利	370	465	591	614	2,040	492	704	820	737	2,753
毛利率(%)	34.94	35.62	37.00	38.00	36.58	38.50	39.12	39.80	40.20	39.49
營業利益	210	300	416	416	1,342	292	494	610	533	1,928
營益率(%)	19.88	22.97	26.05	25.75	24.07	22.86	27.45	29.60	29.05	27.66
稅前盈餘	236	318	446	436	1,436	316	517	634	555	2,021
稅後EPS(元)	2.52	3.11	4.46	4.36	14.45	3.18	5.08	6.14	5.44	19.84
營收成長率(%)	9.60	-0.59	14.37	53.76	18.00	20.77	37.94	28.89	13.48	25.00
盈餘成長率(%)	-8.56	8.89	49.16	146.18	39.93	33.66	62.75	42.02	27.34	40.78

圖 1：營收趨勢 (單位：百萬元，%)

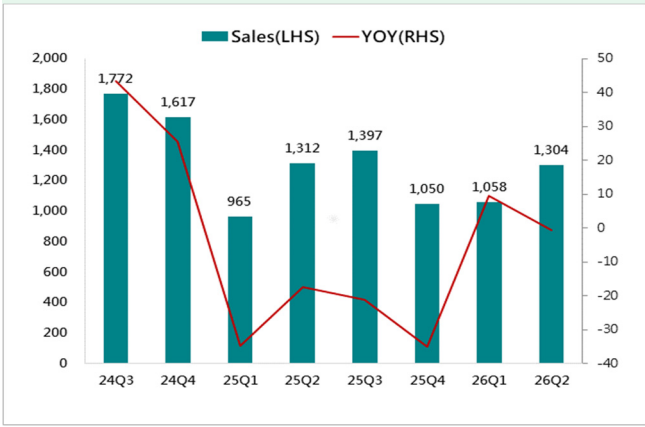


圖 2：毛利率、營益率、淨利率 (單位：百萬元，%)

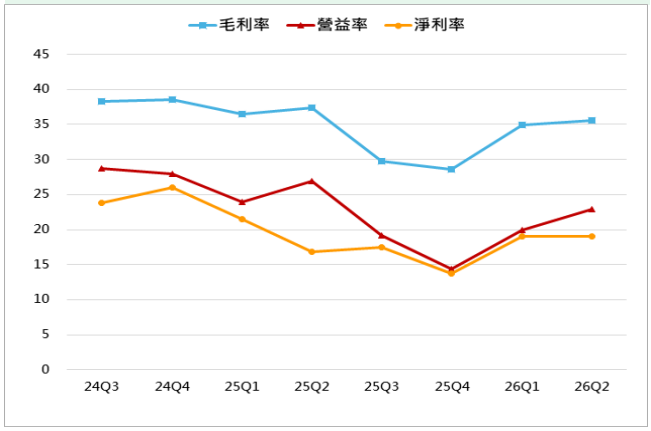


圖 3：經營能力 (單位：天)

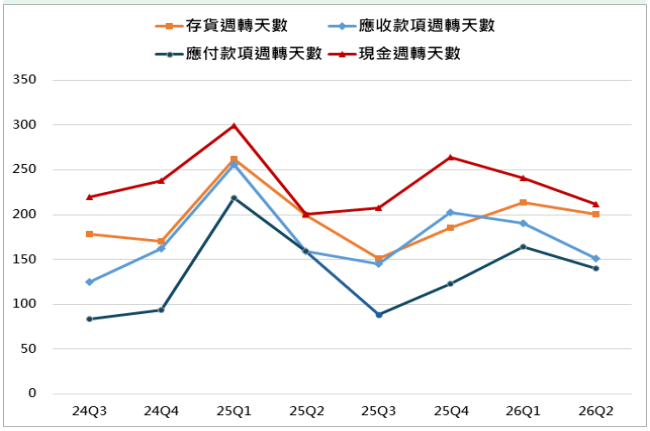


圖 4：自由現金流量 (單位：百萬元)

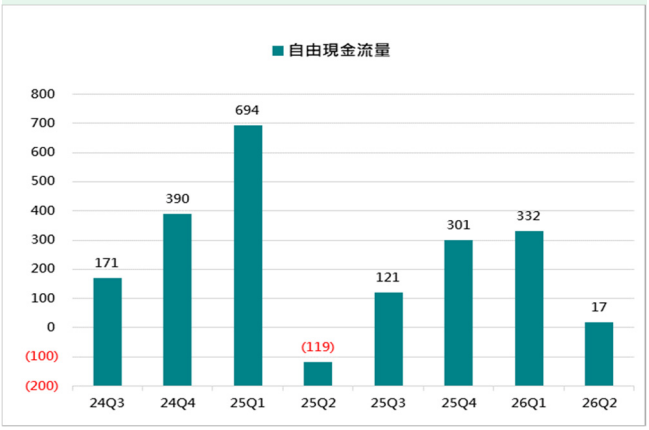


圖 5：本益比區間

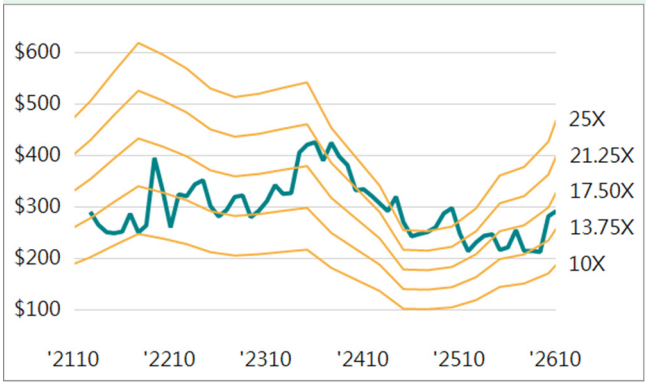
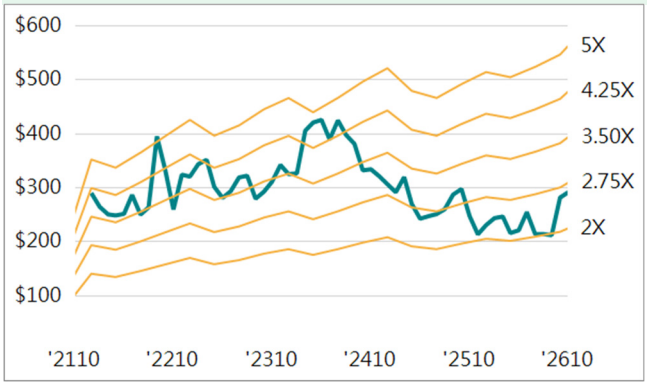


圖 6：股價淨值比



資料來源：CMoney，玉山投顧

玉山投顧
E.SUN Investment Consulting

年損益表				(單位：百萬元，%)
	2024	2025	2026(F)	2027(F)
營業收入	6,457	4,726	5,577	6,971
營業成本	3,827	3,168	3,537	4,218
營業毛利	2,630	1,558	2,040	2,753
營業費用	626	555	698	825
營業利益	2,004	1,003	1,342	1,928
營業外收支淨額	130	23	94	93
稅前淨利	2,134	1,026	1,436	2,021
稅後淨利	1,733	816	1,156	1,587
普通股股本	800	800	800	800
每股盈餘(元)	21.68	10.20	14.45	19.84
年成長率				
營收	13.44	-26.81	18.00	25.00
營業利益	0.06	-49.95	33.81	43.68
稅前淨利	2.56	-51.93	39.93	40.78
母公司稅後淨利	2.94	-52.92	41.71	37.22

資產負債表				(單位： 百萬元)
	2022	2023	2024	2025
流動資產	7,666	8,100	8,731	8,288
現金及約當現金	3,365	3,362	3,529	3,227
存貨	2,037	2,424	1,711	1,585
應收帳款及票據	1,733	1,971	3,054	2,395
其他流動資產	531	343	437	1,081
長期投資	4	0	0	89
固定資產	1,705	1,724	1,713	1,800
其他資產	153	146	251	177
資產總額	9,528	9,970	10,695	10,354
流動負債	2,325	2,006	1,940	1,786
應付帳款及票據	552	440	482	611
短期借款	0	0	0	150
什項負債	1,773	1,566	1,458	1,025
非流動負債	473	520	409	335
負債總額	2,798	2,527	2,350	2,122
普通股股本	790	797	799	799
資本公積	2,022	2,040	2,045	2,045
保留盈餘	3,939	4,680	5,463	5,322
股東權益總額	6,730	7,442	8,345	8,231

現金流量表				(單位：百萬元)
	2022	2023	2024	2025
稅前淨利	2,181	2,081	2,134	1,026
折舊及攤提費用	118	167	186	196
本期營運資金變動	-1,282	-719	-367	928
其他項目	-141	-700	-480	-549
營運活動之現金流量	875	828	1,472	1,601
資本支出	-382	-185	-143	-176
本期長期投資變動	0	0	0	0
其他項目	-73	179	-173	-787
投資活動之現金流量	-456	-5	-317	-964
短期借款及票券變動	-50	0	0	150
舉措/償還長期借款	-128	87	-72	-114
發行/償還公司債	0	0	0	0
現金增資	0	0	0	0
發行現金股利	-628	-948	-959	-959
其他項目	16	15	-3	-8
融資活動之現金流量	-790	-845	-1,034	-931
匯率影響數	16	20	46	-7
本期現金流量	-355	-2	167	-301
期末現金及約當現金	3,365	3,362	3,529	3,227

重要財務比率				(單位：%)
	2024	2025	2026(F)	2027(F)
毛利率	40.73	32.98	36.58	39.49
營業利益率	31.04	21.22	24.07	27.66
稅前淨利率	33.05	21.71	25.75	29.00
稅後淨利率	26.83	17.26	20.73	22.76
現金股利殖利率	3.63	2.77	2.91	4.00

玉山證券投資顧問股份有限公司（以下簡稱「玉山投顧」）為玉山金融事業群之成員。

研究報告可自本公司網站(www.esunconsulting.com.tw)取閱。

投資評等說明

買進：未來六個月內潛在漲幅 30%以上。

增加持股：未來六個月內潛在漲幅 15~30%(含)。

中立：未來六個月內漲跌幅-15~15%(含)。

降低持股：未來六個月內潛在跌幅 15%以上。

未評等：無。

研究人員聲明

研究人員聲明無任何其個人報酬來自於本研究報告的建議或觀點。

免責聲明

玉山投顧已針對報告內容力求正確，並為研究人員就其專業能力提供之善意分析，財務預估及投資評等係就報告發行當時，所收集之資訊進行合理之判斷，日後若有資訊更新，玉山投顧將不針對此報告出具更新通知。本報告僅供投資人參考，玉山投顧不負任何投資盈虧之法律責任，如引用本文，須經本公司同意。

智慧財產權聲明

本資料各項內容之各項權利及智慧財產權（包括但不限於著作權、專利權、商標權等）均屬玉山投顧所有。除非獲得玉山投顧事前書面同意外，均不得擅自以任何形式複製、重製、修改、發行、上傳、張貼、傳送、散佈、公開傳播、販售或其他非法使用本資料。除非有明確表示，本資料之提供並無明示或暗示授權 貴方任何著作權、專利權、商標權、商業機密或任何其他智慧財產權。

永豐投顧
SinoPac Inv. Service

個股聚焦

2026/10/27

產業類別	IC 其他
投資建議	買進
收盤價	6 個月目標價
NT$ 211.00	NT$ 246.00

本次報告：電話訪談

耕興 (6146 TT)

靜待轉單貢獻

永豐觀點

靜待 FCC 正式公告中國實驗室相關禁令。

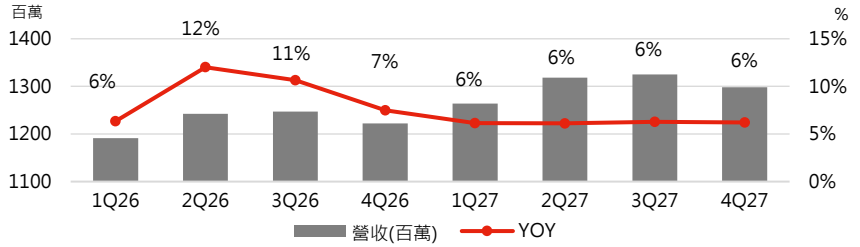
投資評價與建議

研究部維持耕興買進建議：耕興 2Q26 獲利優於預期，2027 年開始有望受益 FCC 禁令 2~6 億台幣的轉單效益，預估 2026 年 EPS 11.18 元，2027 年 EPS 12.31 元，預估明年發放 9.0 元現金股利，換算目前殖利率 4.2%，維持買進建議，目標價 246 元(20X 2027 EPS)。

交易資料	
潛在報酬率 (%)	16.59
52 週還原收盤價區間 (NT$)	142.13-218.69
市值 (NT$百萬元)	21500
市值 (US$百萬美元)	661
流通在外股數 (百萬股)	102.00
董監持股 (%)	29.13
外資持股 (%)	33.06
投信持股 (%)	0.33
融資使用率 (%)	4.8

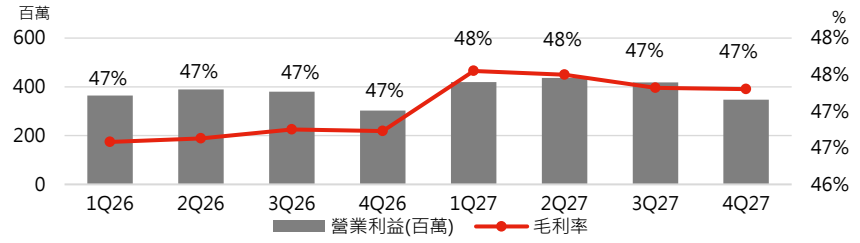
財務資料	2025
股東權益 (NT$百萬元)	5,764
ROA (%)	13.7
ROE (%)	19.18
淨負債比率 (%)	21.91

近八季營收及 YoY 趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Oct. 2026

近八季營業利益及毛利率趨勢圖



資料來源：CMoney；永豐投顧研究部整理，Oct. 2026

公司簡介

耕興目前為台灣最大民營電子產品測試及驗證服務實驗室，集檢測、認證、技術服務與零件銷售為一體，提供電子產品 EMC/Safety 等專業認證及防磁零組件銷售，並於台灣/大陸/美國/德國設立實驗室。以營收結構區分，檢測與認證收入佔營收約 90%、被動元件銷售佔 10%。

主要客戶：

主要競爭對手：UL、BV、PCTEST、SGS、Intertek、耀登、東研信超、華測檢測、譜尼測試

費俊堯 jim.fei@sinopac.com

Please see penultimate page for additional important disclosures.
SinoPac Securities (SinoPac) is a foreign broker-dealer unregistered in the USA. SinoPac research is prepared by SinoPac Securities Investment Service, whose analysts are not registered in the USA. SinoPac research is distributed in the USA pursuant to Rule 15a-6 of the Securities Exchange Act of 1934 solely by Auerbach Grayson & Company, an SEC registered and FINRA-member broker-dealer.

營運現況與分析

耕興為台灣電子產品測試及驗證服務龍頭廠商：耕興成立於 1986 年，以強制性檢測服務起家，目前為台灣最大民營電子產品測試及驗證服務實驗室，集檢測、認證、技術服務與零件銷售為一體，提供電子產品 EMC/Safety 等專業認證及防磁零組件銷售，為全球少數能執行 5G sub-6GHz (FR1)、5G mmWave (FR2)、Wi-Fi 6、Wi-Fi 6E 高速行動通訊、無線傳輸產品且第一家取得 802.11ay 與 5G NR mmWave 產品檢測認證之公司，並於台灣/大陸/美國/德國設立實驗室。以營收結構區分，檢測與認證收入佔營收約 90%、被動元件銷售佔 10%。國際競爭對手包含 UL/BV/PCTEST/SGS/Intertek 等、地區型競爭對手為耀登/東研信超/華測檢測/譜尼測試等。

2Q26 財報優於預期：耕興 2Q26 EPS 3.07 元，優於預期的 2.87 元，5G 手機、AI NB、企業 AP 等產品檢測訂單狀況維持穩定，公司 1H26 5G NR 市佔率 23.97%、FCC 高階網通市占率 47.3%，維持領導地位。

表一：耕興 2Q26 財報

百萬元	2Q26(財報)	2Q26(預估)	差異
營業收入	1,242	1,235	0.6%
營業毛利	579	580	-0.1%
營業利益	389	379	2.8%
稅前淨利	392	384	2.2%
稅後淨利	313	292	7.1%
每股盈餘(元)	3.07	2.87	7.1%
Margin(%)			
營業毛利率	46.6	47.0	-0.4ppts
營業利益率	31.3	30.7	0.7ppts
稅後淨利率	25.2	23.7	1.5ppts

資料來源：永豐投顧研究部預估及整理，Oct. 2026

3Q26 FCC 轉單效益開始小幅貢獻：由於 FCC 擬禁止中國實驗室驗證賣往美國的產品，公司開始收到一些高階測試的轉單，但 FCC 尚未正式全面禁止，故現在貢獻不多，仍在等 FCC 正式決策，預計 11 月會有結果，目前粗估若轉單順利會有共 2~6 億元的營收貢獻，整體 3Q26 營運平穩，預估 3Q26 營收為 12.47 億元(+0.4%QoQ，+10.7%YoY)，毛利率 46.8%，營業利益率 30.5%，稅後淨利 2.93 億元(-6.3%QoQ，+13.9%YoY)，稅後 EPS 2.88 元。

表二：耕興 3Q26 獲利預估調整

百萬元	3Q26(調整後)	3Q26(調整前)	差異
營業收入	1,247	1,157	7.8%
營業毛利	583	542	7.7%
營業利益	380	353	7.6%
稅前淨利	385	358	7.5%
稅後淨利	293	272	7.9%
每股盈餘(元)	2.88	2.67	7.9%
Margin(%)			
營業毛利率	46.8	46.8	0ppts
營業利益率	30.5	30.5	0ppts
稅後淨利率	23.5	23.5	0ppts

資料來源：永豐投顧研究部預估及整理，Oct. 2026

2027 年公司若受益轉單，營運有望小幅創高：FCC 未來擬禁止所有中國實驗室為在美國使用的電子設備 (手機、PC 等) 進行測試，研究處認為 2027 年開始公司有望受益中國實驗室受限產生的轉單效應，公司在 2027 年已有擴產計畫，地點仍待公告，若 NTN (非地面網路)需求如預期增加，有相關設備購買需求，明年 CAPEX 有望上看 4 億台幣，整體預期營運可小幅創高，預估 2026 年營收為 49.04 億元(+9.1%YoY)，毛利率 46.7%，營業利益率 29.3%，稅後淨利 11.39 億元(+3.9%YoY)，稅後 EPS 11.18 元，2027 年營收為 52.04 億元(+6.1%YoY)，毛利率 47.4%，營業利益率 31.2%，稅後淨利 12.54 億元(+10.1%YoY)，稅後 EPS 12.31 元，以過往現金股利配發率 80%來算，預計配發 9.0 元現金股利，換算目前殖利率 4.2%，維持買進建議，目標價 246 元(20X 2027 EPS)。

表三：耕興 2026 年獲利預估調整

百萬元	2026(調整後)	2026(調整前)	差異
營業收入	4,904	4,750	3.2%
營業毛利	2,289	2,220	3.1%
營業利益	1,436	1,383	3.8%
稅前淨利	1,474	1,424	3.6%
稅後淨利	1,139	1,085	5.0%
每股盈餘(元)	11.18	10.65	5.0%
Margin(%)			
營業毛利率	46.7	46.7	-0.1ppts
營業利益率	29.3	29.1	0.2ppts
稅後淨利率	23.2	22.8	0.4ppts

資料來源：永豐投顧研究部預估及整理，Oct. 2026

表四：耕興 2027 年獲利預估調整

百萬元	2027(調整後)	2027(調整前)	差異
營業收入	5,204	5,066	2.7%
營業毛利	2,467	2,418	2.0%
營業利益	1,622	1,558	4.1%
稅前淨利	1,642	1,578	4.1%
稅後淨利	1,254	1,203	4.3%
每股盈餘(元)	12.31	11.81	4.3%
Margin(%)			
營業毛利率	47.4	47.7	-0.3ppts
營業利益率	31.2	30.8	0.4ppts
稅後淨利率	24.1	23.7	0.4ppts

資料來源：永豐投顧研究部預估及整理，Oct. 2026

附表一：當年度損益表

單位：百萬元	26Q1	26Q2	26Q3F	26Q4F	2026F
營業收入	1,191	1,242	1,247	1,222	4,904
營業毛利	555	579	583	571	2,289
營業利益	364	389	380	302	1,436
稅前淨利	390	392	385	307	1,474
稅後純益	302	313	293	231	1,139
稅後 EPS (元)	2.97	3.07	2.88	2.27	11.18
營收 QoQ 成長率	4.71	4.29	0.40	-2	--
營收 YoY 成長率	6.33	12.01	10.65	7.48	9.12
毛利率	46.58	46.63	46.75	46.73	46.68
營益率	30.59	31.35	30.47	24.71	29.28
稅後純益率	26.44	25.82	23.50	18.90	23.23

資料來源：CMoney；永豐投顧研究部整理，Oct. 2026

附表二：五個年度損益表

單位：百萬元	2023	2024	2025	2026F	2027F
營業收入	4,832	4,555	4,495	4,904	5,204
%變動率	-3.64	-5.73	-1.34	9.1	6.12
營業毛利	2,575	2,287	2,072	2,289	2,467
毛利率 (%)	53.28	50.21	46.10	46.68	47.41
營業淨利	1,773	1,524	1,343	1,436	1,622
稅前淨利	1,890	1,677	1,380	1,474	1,642
%變動率	-7.72	-11.29	-17.72	6.81	11.4
稅後純益	1,458	1,290	1,097	1,139	1,254
%變動率	-5.15	-11.58	-14.95	3.83	10.1
稅後 EPS * (元)	14.32	12.66	10.77	11.18	12.31
市調 EPS * (元)	15.14	13.18	10.77	11.69	--
PER (×)	14.73	16.67	19.59	18.87	17.14
PBR (×)	4.01	3.79	3.73	3.67	3.02
每股淨值 * (元)	52.56	55.64	56.57	57.57	69.88
每股股利 (元)	10.50	10.10	12.00	--	--
殖利率 (%)	5.25	5.62	8.18	--	--

* 以目前股本計算

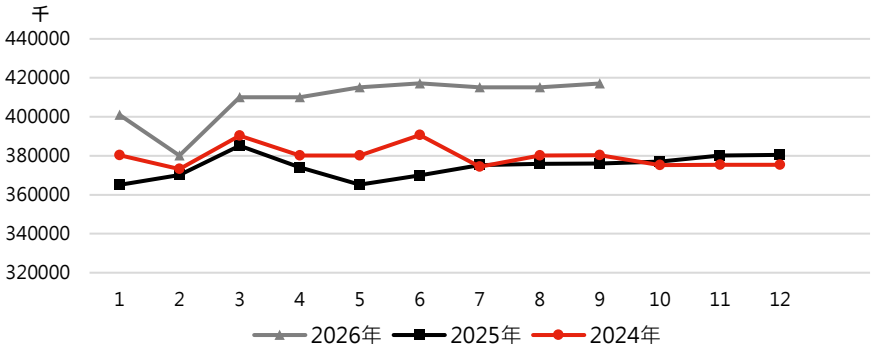
資料來源：CMoney；永豐投顧研究部整理，Oct. 2026

營運基本資料

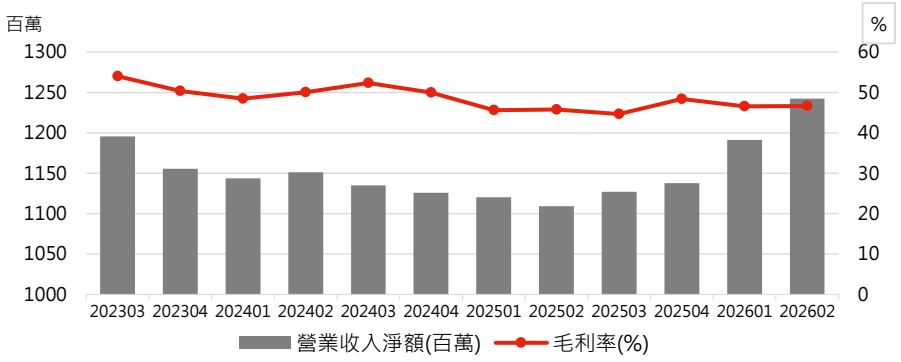
同業比較

代號	公司	投資建議	目前股價	市值(億)	稅後 EPS		PE		PB	
					2025	2026	2025	2026	2025	2026

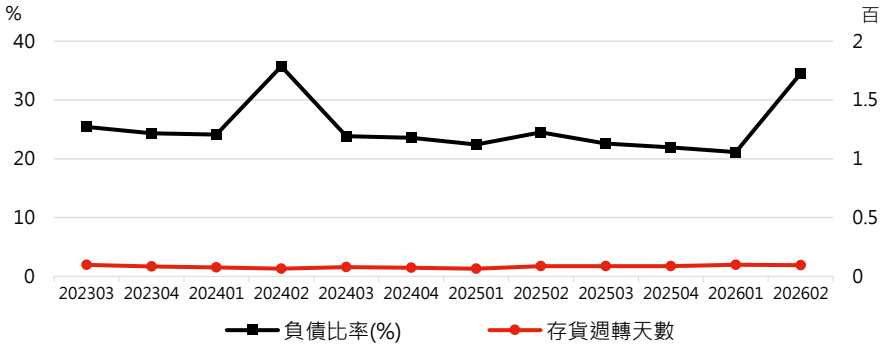
近三年單月營收狀況



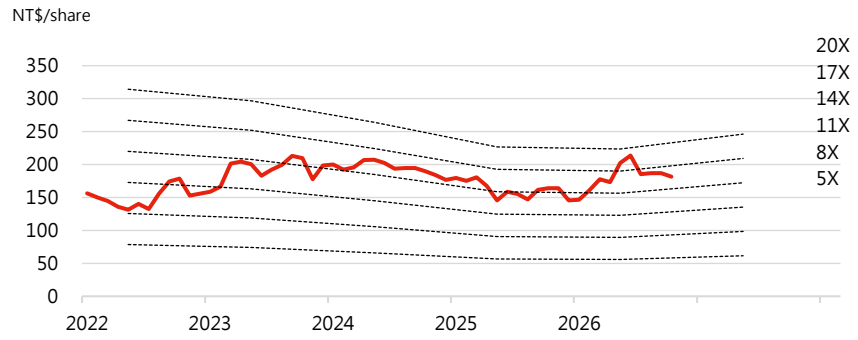
近三年單季營收 VS 毛利率趨勢圖



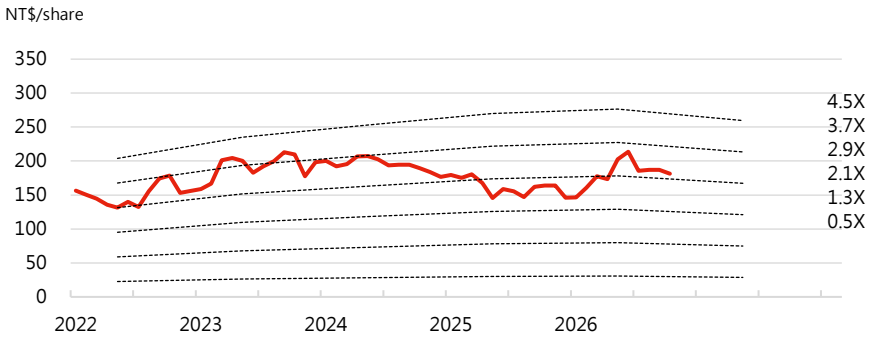
負債比率 VS 存貨周轉天數



歷史 PE 圖


NT$/share
350
300
250
200
150
100
50
0
2022
2023
2024
2025
2026
20X
17X
14X
11X
8X
5X

歷史 PB 圖


NT$/share
350
300
250
200
150
100
50
0
2022
2023
2024
2025
2026
4.5X
3.7X
2.9X
2.1X
1.3X
0.5X

臺北	永豐證券投資顧問股份有限公司 臺北市忠孝西路一段 80 號 14 樓 電話：(886-2) 2361-0868	永豐金證券股份有限公司 臺北市重慶南路一段 2 號 17 樓 電話：(886-2) 2311-4345
香港	永豐金證券(亞洲)有限公司 香港銅鑼灣新寧道 1 號 7 樓 電話：(852) 2586-8288	
上海	永豐金證券(亞洲)有限公司上海代表處 中國上海市浦東新區世紀大道 1528 號陸家嘴基金大廈 1903A-2 室 電話：(86-21) 6228-8220	

責任聲明

本報告內容僅供參考，客戶應審慎考量本身之需求與投資風險，本公司恕不負任何法律責任，亦不作任何保證。本報告中之內容或有取材於本公司認可之來源，但並不保證其真實性或完整性；報告中所有資訊或預估，變更時本公司將不作預告，若資料內容有未盡完善之處，恕不負責。此外，非經本公司同意，不得將本報告加以複製或轉載。

未經本公司事前書面同意，嚴禁將本研究報告之全部或部份內容用於人工智慧（AI）系統之訓練，包含用於機器學習模型或其他 AI 相關之開發，無論是基於商業、學術或其他任何目的。本報告僅供資訊參考，並非設計或授權用於 AI 工具、平台或系統，不得直接或間接將本報告之內容整合、匯入或用於任何 AI 應用程式、模型或演算法。取得本報告即視為同意遵守上述規定，本公司保留採取必要措施以執行相關規定之權利。

110 年金管投顧新字第 024 號

SinoPac 投資評等

B：Buy 買進：未來 6 個月該股票表現將優於大盤
N：Neutral 中立：未來 6 個月該股票表現將與大盤一致
S：Sell 賣出：未來 6 個月該股票表現將落後大盤

Analyst Certification:
For each company mentioned in this research report, the respective analyst(s) who cover the company certifies (certify) that all of the views expressed in this research report accurately reflect his (their) personal views about any and all of the subject issuer(s) or securities. The analyst(s) also certifies (certify) that no part of her (their) compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

SinoPac Research Stock Rating System:
Buy: We think the stock will outperform the broader market over the next 6 months.
Neutral: We think the stock will perform in line with the broader market over the next 6 months.
Sell: We think the stock will underperform the market over the next 6 months.

Global Disclaimer:

Important Disclosures for U.S. Persons
This research report was prepared by SinoPac Securities Corporation (SinoPac), a company authorized to engage in securities activities in Taiwan. SinoPac is not a registered broker-dealer in the United States and, therefore, is not subject to U.S. rules regarding the preparation of research reports and the independence of research analysts. This research report is provided for distribution to “major U.S. institutional investors” in reliance on the exemption from registration provided by Rule 15a-6 of the U.S. Securities Exchange Act of 1934, as amended (the “Exchange Act”).

Where required, any U.S. recipient of this research report wishing to effect transactions in securities discussed herein may do so through Auerbach Grayson & Company, 20 West 55th Street, New York, NY 10019. Under no circumstances should any recipient of this research report effect any transaction to buy or sell securities or related financial instruments through SinoPac. Auerbach Grayson & Company accepts responsibility for the contents of this research report, subject to the terms set out below, to the extent that it is delivered to a U.S. person other than a major U.S. institutional investor.

The analyst whose name appears in this research report is not registered or qualified as a research analyst with the Financial Industry Regulatory Authority (“FINRA”) and may not be an associated person of Auerbach Grayson & Company and, therefore, may not be subject to applicable restrictions under FINRA Rules on communications with a subject company, public appearances and trading securities held by a research analyst account.

Ownership and Material Conflicts of Interest
Auerbach Grayson & Company or its affiliates does not ‘beneficially own,’ as determined in accordance with Section 13(d) of the Exchange Act, 1% or more of any of the equity securities mentioned in the report. Auerbach Grayson & Company, its affiliates and/or their respective officers, directors or employees may have interests, or long or short positions, and may at any time make purchases or sales as a principal or agent of the securities referred to herein. Auerbach Grayson & Company is not aware of any material conflict of interest as of the date of this publication

Compensation and Investment Banking Activities
Auerbach Grayson & Company or any affiliate has not managed or co-managed a public offering of securities for the subject company in the past 12 months, nor received compensation for investment banking services from the subject company in the past 12 months, neither does it or any affiliate expect to receive, or intends to seek compensation for investment banking services from the subject company in the next 3 months.

Additional Disclosures
This research report is for distribution only under such circumstances as may be permitted by applicable law. This research report has no regard to the specific investment objectives, financial situation or particular needs of any specific recipient, even if sent only to a single recipient. This research report is not guaranteed to be a complete statement or summary of any securities, markets, reports or developments referred to in this research report. Neither SinoPac nor any of its directors, officers, employees or agents shall have any liability, however arising, for any error, inaccuracy or incompleteness of fact or opinion in this research report or lack of care in this research report’s preparation or publication, or any losses or damages which may arise from the use of this research report.

SinoPac may rely on information barriers, such as “Chinese Walls” to control the flow of information within the areas, units, divisions, groups, or affiliates of SinoPac.

Investing in any non-U.S. securities or related financial instruments (including ADRs) discussed in this research report may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the U.S. Securities and Exchange Commission. Information on such non-U.S. securities or related financial instruments may be limited. Foreign companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect within the United States.

The value of any investment or income from any securities or related financial instruments discussed in this research report denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related financial instruments.

Past performance is not necessarily a guide to future performance and no representation or warranty, express or implied, is made by SinoPac with respect to future performance. Income from investments may fluctuate. The price or value of the investments to which this research report relates, either directly or indirectly, may fall or rise against the interest of investors. Any recommendation or opinion contained in this research report may become outdated as a consequence of changes in the environment in which the issuer of the securities under analysis operates, in addition to changes in the estimates and forecasts, assumptions and valuation methodology used herein.

No part of the content of this research report may be copied, forwarded or duplicated in any form or by any means without the prior consent of SinoPac and SinoPac accepts no liability whatsoever for the actions of third parties in this respect.

The report contained herein is strictly prohibited from being used, in whole or in part, for the purpose of training AI system, including but not limited to machine learning models or any other AI related development, whether for commercial, public or broad use or distribution purposes, unless with the prior written consent of SinoPac Inv. Service. The report provided herein is intended solely for informational purposes and is not designed or authorized for integration with or use within any AI tools or systems by the report user. The report user shall not, under any circumstances, incorporate, feed, or utilize the content of the report directly or indirectly into any AI applications, models or algorithms. By accessing information herein, you agree to abide by these restrictions and SinoPac and SinoPac Inv. Service reserve the right to enforce these terms.

Taiwan Company Snapshot

電子－電腦及週邊設備

緯穎 (6669.TT)

水冷與MI450接棒，27年營收亮眼

統一投顧 PRESIDENT CAPITAL MANAGEMENT CORP.

買進(維持評等)

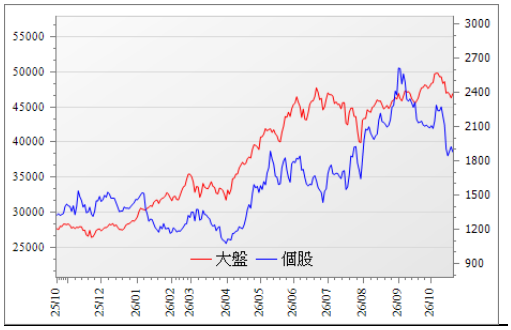
出刊緣由：更新近況

與前次比較：	上次	本次
評　等	買進	買進
目標價	8200	3010
EPS	192.69	241.16
收盤價	6010.00	1880.00
大盤指數	44928.76	46887.77

前次評等日期:2026/08/10

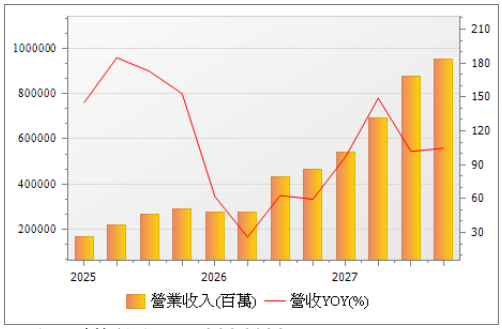
市值(億)	10509.2
股本(億)	55.900000
三個月平均成交金額(億)	107.47
淨負債/股東權益	305.74
董監持股比率	36.47
外資持股比率	26.32
投信持股比率	6.19

個股與大盤走勢



	近一個月	近三個月	近半年	近一年
加權指數報酬率	-1.7	6.0	24.7	69.0
個股股價報酬率	-12.6	12.2	36.7	41.9

營收走勢圖



研究員/莊佳蓉 EVA8894122@uni-psg.com

研究部對緯穎(6669)維持買進建議，主係：(1) 3Q26營收季增56%，大幅優於預期；(2) 4Q26在AWS的ASIC氣冷出貨帶動下，預期4Q營收季增個位數；(3) 雖T3水冷機櫃短期遞延，但預估27年逐月攀升，公司仍為主要供應商。(4) AMD MI450於1H27年放量，客戶與平台更加多元；(5) 新增之Oracle VR200預期的訂單約2.5K，約在27年貢獻營收。綜上所述，研究部上修2026/2027年營收至1.46兆元/3.07兆元(原估1.27兆元/2.38兆元)，EPS上修至143.16元/241.16元，目前評價僅8~9倍，位於低檔，給予12.5倍本益比，目標價3010元(2027EPS*12.5PER)。

重點摘要：

1. 3Q26營收大幅優於預期

緯穎9月營收為1,726億元，月增19.6%，年增100%，整體3Q26營收達4,346億元，季增56.2%，年增63%，營收達成率達到135%(研究部預估)/128%(市場共識)，大幅優於預期，主係Meta通用型及AWS T3氣冷出貨旺盛所致。3Q26財報尚未公布，研究部上修至毛利率8.9%(原估8.1%)，季減0.4pts，優於原先預期，主係通用伺服器占比較高，產品組合較佳，對毛利率形成支撐，預估3Q EPS約45.56元。

2. 4Q營運動能可望延續

展望4Q26，雖水冷機櫃須遞延至年底至1H27才會逐漸放量，但仍預期T3氣冷機櫃及通用持續出貨，預估4Q26營收約4,666億元，季增7.4%，年增59.5%。毛利率8.2% (原估7.3%)，季減0.7pts，主係高單價ASIC水冷機櫃占比尚低，預估EPS約45.18元。整體而言，2H26在ASIC氣冷及通用伺服器帶動下，營運明顯優於上半年

3. T3短期雜音不改長期趨勢，2027年水冷逐步放量

根據供應鏈調查：(1) T3水冷機櫃初期產線磨合不順，客戶因此下修今年出貨規劃。不過，2027年水冷機櫃出貨規劃仍逐季攀升，在晶片端的水冷比重也提升至50~70%，單價為氣冷3-4倍以上，成為2027年營收成長的主要動能。在AWS下一代T4產品，公司持續參與機櫃設計，有望採用全水冷設計，預期28年出貨，為中長期成長動能。

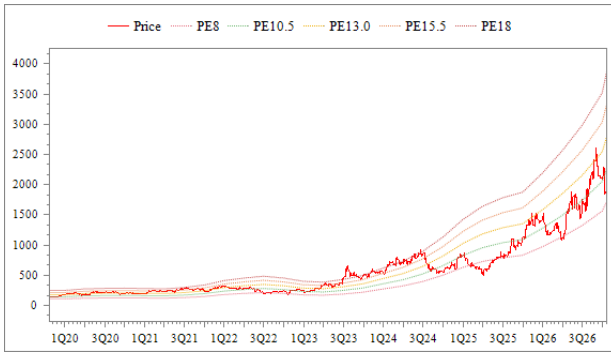
(2)MI450機櫃部分，Meta專案集中在2027年出貨，單價約450～500萬美元，訂單逐漸明確，預估約可達5～7K櫃。(3) 新增Oracle VR200訂單，預期約2.5K櫃，約在27年開始貢獻營收。公司在GPU伺服器的客戶版圖進一步擴大。

4. 目前評價位於低檔，維持買進建議

綜上所述，考量各客戶訂單逐漸明確，研究部上修2026/2027年營收至1.46兆元/3.07兆元(原估1.27兆元/2.38兆元)，2027年毛利率雖然因高單價水冷機櫃及GPU機櫃比重提升，下滑至6.5%(原估7.1%)，但營收規模大幅擴張，獲利仍可望顯著成長。股本部分，緯穎配發股票股利，除權基準日為9/8，配股率達1.9828倍，股本由18.69億元增至56.02億元，EPS因此依比例稀釋，故2026/2027年稀釋後EPS上修至143.16元/241.16元。目前評價僅8~9倍，位於低檔，給予12倍本益比，目標價3010元(2027EPS*12.5PER)。

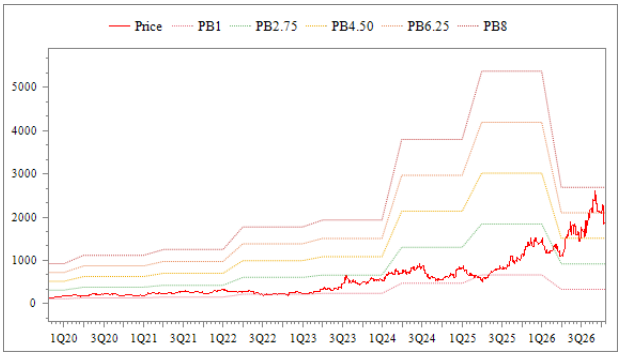
統一投顧 PRESIDENT CAPITAL MANAGEMENT CORP.

12 month Forward PE bands



PE

12 month Forward PB bands



PB

簡明損益表

百萬元	1Q26	2Q26	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025(E)	2026(E)	2027F
營業收入	276,508	278,153	434,618	466,585	544,898	692,587	877,305	955,311	950,663	1,455,863	3,070,101
營業毛利	20,881	25,763	38,607	38,269	41,134	47,389	54,325	58,019	78,454	123,520	200,867
營業費用	3,423	5,545	5,650	5,599	5,994	6,580	7,457	7,642	14,536	20,217	27,673
營業利益	17,458	20,218	32,957	32,670	35,141	40,809	46,868	50,377	63,917	103,303	173,195
業外收支	476	-1,244	-808	-786	-774	-751	-753	-729	2,135	-2,361	-3,007
稅前純益	17,934	18,974	32,150	31,884	34,367	40,058	46,115	49,648	66,052	100,942	170,188
稅後純益	14,114	14,969	25,398	25,188	27,150	31,646	36,431	39,222	51,118	79,670	134,449
EPS	**25.46**	**26.96**	**45.56**	**45.18**	**48.70**	**56.76**	**65.35**	**70.35**	**275.06**	**143.16**	**241.16**
重要比率											
毛利率	7.6	9.3	8.9	8.2	7.5	6.8	6.2	6.1	8.3	8.5	6.5
費用率	1.2	2.0	1.3	1.2	1.1	1.0	0.9	0.8	1.5	1.4	0.9
營益率	6.3	7.3	7.6	7.0	6.4	5.9	5.3	5.3	6.7	7.1	5.6
淨利率	5.1	5.4	5.8	5.4	5.0	4.6	4.2	4.1	5.4	5.5	4.4
QoQ											
營業收入	-5.4	0.6	56.3	7.4	16.8	27.1	26.7	8.9			
營業毛利	-1.2	23.4	49.9	-0.9	7.5	15.2	14.6	6.8			
營業利益	6.0	15.8	63.0	-0.9	7.6	16.1	14.8	7.5			
稅前純益	2.7	5.8	69.5	-0.8	7.8	16.6	15.1	7.7			
稅後淨利	2.3	6.1	69.7	-0.8	7.8	16.6	15.1	7.7			
YoY											
營業收入	62.0	26.0	62.9	59.5	97.1	149.0	101.9	104.7	163.7	53.1	110.9
營業毛利	40.6	36.0	64.1	81.1	97.0	83.9	40.7	51.6	109.8	57.4	62.6
營業利益	45.7	27.2	68.4	98.4	101.3	101.9	42.2	54.2	127.5	61.6	67.7
稅前純益	43.2	20.7	58.0	82.6	91.6	111.1	43.4	55.7	129.1	52.8	68.6
稅後淨利	44.1	23.5	64.8	82.6	92.4	111.4	43.4	55.7	124.4	55.9	68.8

資料來源：公司資料及統一投顧預估

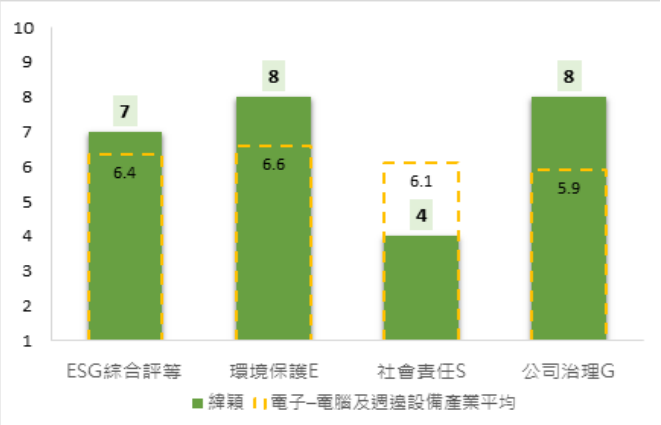
統一投顧
PRESIDENT CAPITAL MANAGEMENT CORP.

ESG 永續發展專區

CMoney Taiwan ESG Rating

CMoney ESG Rating	E 環境保護 Rating	S 社會責任 Rating	G 公司治理 Rating
7 / 10	8 / 10	4 / 10	8 / 10

交易所產業分類排名	交易所公司治理評鑑	永續報告書連結
26 / 109	6%至 20%	https://esggenplus.twse.com.tw/api/api/MopsSustainReport/data/FileStream?id=6ef7a1fc-0d09-483a-aede-a6bc912da2e8



資料來源：交易所、CMoney 及統一投顧整理

溫室氣體盤查數據

年度	排放總量(公噸)	範疇一(公噸)	範疇二(公噸)
2025	18,362	1,093	17,268
2024	20,561	1,857	18,703
2023	16,251	3,273	12,979

企業用水量盤查數據

年度	用水總量(公噸)	回收水量(公噸)	排水量(公噸)
2025	427,820	21,950	232,110
2024	303,340	25,780	167,890
2023	174,330	14,920	95,350

員工人數與福利

年度	員工人數(人)	員工人數增減(人)	福利費用(千)
2025	17,807	5,937	14,673,022
2024	11,870	3,871	8,681,749
2023	7,999	1,207	5,881,229

股權控制情形

年度	席次控制權(%)	股份控制權(%)	股權集中度
2025	1	22	0
2024	1	11	0
2023	2	33	0

交易所公司治理評鑑

評鑑年度	評鑑結果	等級	加權項目比重			
			維護股東權益及平等對待股東	強化董事會結構與運作	資訊透明度	落實企業社會責任
2026	6%至 20%	A	0.16	0.25	0.10	0.49
2025	6%至 20%	A	0.19	0.29	0.17	0.35
2024	6%至 20%	A	0.22	0.31	0.19	0.28

資料來源：交易所、CMoney 及統一投顧整理

附錄一：評等之標準

評等	定義
強力買進	預估未來 6 個月內的絕對報酬超過 25%以上
買進	預估未來 6 個月內的絕對報酬 10%以上
中立	預估未來 6 個月內的絕對報酬介於 10～-10%
降低持股	預估未來 6 個月內的絕對報酬介於(-10%)以下
未評等	沒有足夠的基本資料判斷該公司評等

附錄二：免責宣言

© 2010 統一投資顧問股份有限公司版權所有。本公司提供之報告內容係根據本公司認可之資料來源，並基於特定日期所做之判斷，但不保證其完整性或正確性，報告中所有的意見及預估，如有變更恕不另行通知。

本研究報告所載之投資資訊，僅提供客戶做為一般投資參考，並非針對特定對象提供專屬之投資建議。文中所載資訊或任何意見，不構成任何買賣有價證券或其他投資標的之要約、宣傳或引誘等事項。對於本投資報告所討論或建議之任何證券、投資標的，或文中所討論或建議之投資策略，投資人應就其是否適合本身財務狀況與投資條件，進一步諮詢財務顧問的意見。本投資報告之內容取材自據信為可靠之資料來源，但概不以明示或默示的方式，對資料之準確性、完整性或正確性作出任何陳述或保證。本投資報告載述意見進行更改與撤回並不另行通知。本投資報告並非（且不應解釋為）在任何司法管轄區內，任何非依法從事證券經紀或交易之人士或公司，為於該管轄區內從事證券經紀或交易之遊說。本投資報告內容屬統一投顧之著作權，嚴禁抄襲與仿造。

統一投顧
PRESIDENT CAPITAL MANAGEMENT CORP.

服務據點

台北

統一綜合證券股份有限公司

電話：886-2-2747-8266

地址：台北市松山東興路 8 號 1 樓

台北

統一證券投資顧問股份有限公司

電話：886-2-2748-8399

地址：台北市松山東興路 8 號 3 樓